

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**RESPONDENT'S REPLIES TO COMPLAINANT'S
PROPOSED FINDINGS OF FACT**

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Pursuant to Rule 214 of the Federal Maritime Commission's (the "Commission" or "FMC") Rules of Practice and Procedure, 46 C.F.R. Section 502.214, Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively "Respondent" or "OOCL") submits the following objections to Complainant Bed Bath and Beyond's ("Complainant" or "BBBY") Proposed Findings of Fact and Conclusions of Law ("FOF/COL") in support of its Opening Brief:¹

1. On August 23, 2024, pursuant to 46 U.S.C. Section 41301 and the Presiding Officer's August 23, 2024 Order on Amended Complaint (the "1AC Order"), BBBY filed its Verified First Amended Complaint against Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (together, "OOCL" or "Respondents"). Dep. Ex. 380 (the "Complaint" or "1AC") [APP- 37-91].

RESPONSE: Admitted that BBBY filed its Verified First Amended Complaint on August 23, 2024.

2. As to transportation of cargoes, BBBY's Complaint alleges that OOCL's conduct with respect to BBBY and other shippers during the period 2020 through 2023 violated the Shipping Act of 1984, as amended, 46 U.S. Code Sections 40101 *et seq.* (the "Shipping Act"), in five separate counts:

- **COUNT I ("Unjust and unreasonable failure to meet service commitments under the Service Contracts"):** "Respondent's practice alleged herein of systematically failing to meet its service commitments to Complainant and, upon information and belief, other shippers, seeking to coerce Complainant and, upon information and belief, other shippers, to pay PSS and enter into premium contracts in order to obtain space, constituted failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c)." 1AC ¶ 161 [APP-44].
- **COUNT II ("Unjust and unreasonable assessment of Detention and Demurrage Charges"):** "Respondent's assessment of the [Detention & Demurrage] Charges, and the alleged acts or omissions of Respondent that led to the assessment of such Charges, constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in

¹ Citations to information in the record are contained in BBBY's Appendix ("App." or "APP-").

violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule." 1AC ¶ 163 [APP-83].

- **COUNT III ("Conduct not in accordance with Service Contracts"):** "Respondent's practices alleged herein of systematically failing to meet its service commitments to Complainant and seeking to coerce Complainant to pay PSS and enter into premium rate contracts constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Respondent's Service Contracts with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2)." 1AC ¶ 165 [APP-83].
- **COUNT IV ("Retaliation"):** "Respondent's practices and conduct alleged herein in response to Complainant's October 2021 Letter, and Complainant's criticisms of Respondent's unjust and unreasonable detention and demurrage practices and Charges as inconsistent with the Shipping Act and associated FMC regulations, constituted retaliation against Complainant by, inter alia, refusing, or threatening to refuse, cargo space accommodations when available or resorting to other unfair or unjustly discriminatory methods against Complainant in violation of the former 46 U.S.C. Section 41104(a)(3), which is now codified at 46 U.S.C. Section 41102(d)." 1AC ¶ 167 [APP-83].
- **COUNT V ("Unreasonable refusals to deal or negotiate"):** "Respondent's practices alleged herein of systematically failing to meet its service commitments to Complainant, failing to provide contracted space to Complainant without PSS or premium rates, failing to negotiate in good faith future service contracts, and the acts or omissions of Respondent that led to the assessment of the Charges, constituted unreasonable refusals to deal or negotiate with Complainant in violation of 46 U.S.C. Section 41104(a)(10)." 1AC ¶ 169 [APP-84].

RESPONSE: Admitted that BBBY's Verified First Amended Complaint alleges violations of 46 USC §§ 41102(c), (a)(2), (d) and 41104(a)(10), each of which OOCL specifically denies. See RPFFs 483-495, 670-697. References to BBBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY's CPFFs.

3. BBBY seeks reparations from OOCL in connection with the above Counts.

RESPONSE: Admitted that BBBY's Verified First Amended Complaint alleges a claim of reparations, which OOCL specifically denies. See RPFFs 698-787, 550-575.

4. After fact and expert discovery, BBBY's direct damages from its actual injuries for which it seeks an award of reparations was calculated to total \$165,355,872.69.

RESPONSE: Denied. Although BBBY alleges its direct damages from alleged actual injuries for claimed reparations was calculated to be a total of \$165,355, 872.69. Denied that there is any validity to BBBY’s reparations claim. See RPFFS 698-787, 550-575.

I. THE PARTIES

A. Bed Bath & Beyond Inc. (Complainant)

5. Complainant 20230930-DK-BUTTERFLY-1, Inc. f/k/a Bed Bath & Beyond Inc. is a corporation existing under the laws of New York with a mailing address: P.O. Box 1596, Union, New Jersey 07083, reachable via telephone via (954) 468-2444, and via its undersigned counsel’s telephone numbers and email addresses listed below. See 1AC ¶ 16 [APP-42].

RESPONSE: Admitted. References to BBBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY’s CPFFs.

6. For purposes of the shipments that are the subject of this action, BBBY was a “shipper” as that term is defined by 46 U.S.C. Section 40102(23). 1AC ¶ 16 [APP-43].

RESPONSE: Admitted. References to BBBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY’s CPFFs.

7. Prior to filing a change of name certificate to its present name with the New York State Division of Corporations, State Records, and Uniform Commercial Code on September 21, 2023, Complainant’s corporate name was Bed Bath & Beyond Inc. 1AC ¶ 16 [APP-42-43].

RESPONSE: Admitted. References to BBBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY’s CPFFs.

8. During the time period at issue in this action, OOCL considered BBBY to be one of OOCL’s major customers. See Lam Dep. Tr. 103:2-10 [APP-1364].

RESPONSE: Admitted.

9. The below table lists certain BBBY personnel and their positions during the Relevant Period (July 1, 2020 – April 30, 2022):

BBBY Personnel and Their Positions	
Name	Position and Responsibilities
Rick Cunniff	Senior Director of Financial Analysis , managed cash flow forecasting, ad hoc analyses, and inventory-related month-end close tasks. See Cunniff Dep. Tr. 9:3-24 [APP-274].

Patrick Hackett	Senior Director of International Supply Chain , oversaw booking of shipments on carrier vessels and managed cargo movement from origin ports to U.S. destination ports. <i>See</i> Hackett Dep. Tr. 10:20-11:3, 16:2-17:3 [APP-816-817].
David Kastin	Chief Legal Officer when he joined in December 2022, later became an independent consultant to BBY's bankruptcy plan administrator following its dissolution and entry into Chapter 7 bankruptcy in September 2023. <i>See</i> Kastin Decl. ¶¶ 5-6 [APP-5172].
Reid Klosowsky	Vice President of Global Transportation , oversaw product movement from source to fulfillment locations and reported to BBY's Chief Supply Chain officer—Jeff Macak during part of the pandemic, followed by Juan Guerrero starting around August or September 2020. <i>See</i> Klosowsky Dep. Tr. 11:21-24, 16:4-17:12 [APP-1239-1240].
Paul Pastor	Senior Associate in BBY's International Supply Chain department, supported Patrick Hackett with day-to-day operations. <i>See</i> Pastor Dep. Tr. 14:13-15:8, 17:14-18 [APP-1933].
Ian Pinchuk	Senior Director of Global Logistics , joined in July 2022 and departed on July 26, 2023; facilitated the movement of internationally sourced cargo into the U.S. <i>See</i> Pinchuk Dep. Tr. 8:23-9:14, 10:14-19 [APP-2044-2045].
Melinda Porter	Senior Manager of Import Operations—West Coast , managed warehouses, certain third-party logistics partnerships, and assisted in logistics planning for the West Coast for BBY. <i>See</i> Porter Dep. Tr. 11:10-15, 15:18-16:4 [APP-2122-2123].
Seweryn Soban	Senior Analyst, Customs Compliance Manager , tracked containers starting in January 2022 and later transitioned to International Transportation Manager (assuming additional responsibilities for interacting with carriers) in mid-2022. <i>See</i> Soban Dep. Tr. 10:22-12:18, 14:5-13, 16:16-21, 34:12-36:10 [APP-2433-2433, -2439].
Gisella Stupnik	Import Warehouse Manager , reported to Melinda Porter and managed the acceptance and distribution of containers arriving at West Coast ports, coordinating the delivery of freight to distribution centers or directly to store locations. <i>See</i> Stupnik Dep. Tr. 12:9-22, 13:8-9, 14:8-10 [APP-2637-2638].

RESPONSE: Admitted.

B. OOCL (Respondent)

10. Respondent Orient Overseas Container Line Limited is a company existing under the laws of Hong Kong with its principal place of business located at 25 Harbour Road, 31st Floor Harbour Centre, Wanchai, Hong Kong, acting in the United States by and through its agent, OOCL (USA) Inc. (“OOCL (USA)”), a company existing under the laws of the State of New York with its principal place of business located at 10913 South River Front Parkway, Suite 200, South Jordan, UT 84095. *See* 1AC ¶ 17 [APP-43]; Respondent’s Answer to Verified First Amended Complaint, dated September 6, 2024 (“1AC Answer”) ¶ 17 [APP-98].

RESPONSE: Admitted. References to BBBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY’s CPFFs.

11. OOCL is a vessel operating “ocean common carrier” as that term is defined by 46 U.S.C. § 40102(7) and (18) with FMC organization number 011398, subject to regulation by the FMC. *See* 1AC ¶ 17 [APP-43]; 1AC Answer ¶¶ 17, 18 [APP-98-99].

RESPONSE: Admitted. References to BBBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY’s CPFFs.

12. Respondent Orient Overseas Container Line Limited also is a “controlled carrier” of the People’s Republic of China as that term is defined by 46 U.S.C. Section 40102(9). *See* 1AC ¶ 17 [APP-43]; 1AC Answer ¶ 17 [APP-98].

RESPONSE: Admitted. References to BBBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY’s CPFFs.

13. Respondent OOCL (Europe) Limited is a company existing under the laws of the United Kingdom with its principal place of business located at OOCL House, Levington Park, Bridge Road, Levington Suffolk, IP10 0NE, United Kingdom, acting in the United States by and through its agent, OOCL (USA). *See* 1AC ¶ 18 [APP-43]; 1AC Answer ¶ 18 [APP-99].

RESPONSE: Admitted. References to BBBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY’s CPFFs.

14. Respondent OOCL (Europe) Limited is an “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 024786. *See* 1AC ¶ 18 [APP-43]; 1AC Answer ¶ 18 [APP-99].

RESPONSE: Admitted. References to BBBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY’s CPFFs.

15. Respondent OOCL (Europe) Limited also is a “controlled carrier” of the People’s Republic of China as that term is defined by 46 U.S.C. Section 40102(9). *See* 1AC ¶ 18 [APP-43]; Notice, Controlled Carriers Under the Shipping Act of 1984, 84 Fed. Reg. 18284 (Apr. 30, 2019); *see also* 1AC Answer ¶¶ 17 (“17. Respondents admit the allegations in Amended Complaint paragraph 17.”), 18 (“18. Respondents admit the allegations in Amended Complaint paragraph 17 [sic].”) (presumed typo) [APP-98-99].

RESPONSE: Admitted. References to BBBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY's CPFFs.

16. Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited are both wholly owned subsidiaries of Orient Overseas (International) Limited ("OOIL"), which itself is majority owned and controlled by COSCO SHIPPING Holdings Co. Ltd., which also owns fellow OCEAN Alliance member COSCO SHIPPING Lines Co., Ltd. ("COSCO"). *See* 1 AC ¶ 19 [APP-43-44]; About OOIL, OOIL, <https://www.ooilgroup.com/corporate/aboutoil/Pages/default.aspx> (last visited Dec. 10, 2024); OOCL History, OOCL, <https://www.oocl.com/eng/aboutoocl/companyprofile/ooclhistory/Pages/default.aspx> (last visited Dec. 10, 2024); About Us, COSCO SHIPPING Lines, <https://lines.coscoshipping.com/home/About/about/Profile> (last visited Dec. 10, 2024) [APP- 5082-5083].

RESPONSE: Admitted. References to BBBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY's CPFFs.

17. COSCO is itself an "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 015614. *See* 1 AC ¶ 19 [APP-44]; 1 AC Answer ¶ 19 [APP-99].

RESPONSE: Admitted. References to BBBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY's CPFFs.

18. COSCO also is a "controlled carrier" of the People's Republic of China as that term is defined by 46 U.S.C. Section 40102(9). *See* 1 AC ¶ 19 [APP-44]; 1 AC Answer ¶ 19 [APP-99].

RESPONSE: Admitted. References to BBBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY's CPFFs.

19. During 2020-2022, OOCL had roughly 190 customers in its Northeast Region. *See* Forminio Dep. Tr. 75:10-76:25 [APP-618].

RESPONSE: Admitted that Donna Forminio testified that OOCL had 190 to 200 customers in OOCL's Northeast Region during the last year of her employment; otherwise denied. APP 618; 623 (Forminio Tr. 55:7-15; 75:10-76:25).

19.1. Among OOCL's Northeast Region customers, a group of 10 to 15 core customers, including BBBY, had direct access to the OOCL employees due to their priority status, volume, and importance to the region. *See* Forminio Dep. Tr. 75:10-76:25 [APP-623].

RESPONSE: Admitted that Donna Forminio testified that 10 to 15 customers had a direct line to her due to their volume and value to the region; otherwise denied. APP 623 (Forminio Tr. 76:16-25).

19.2. OOCL's core Northeast Region customers usually had contracts for 5,000 TEUs or more, making them crucial for filling large spaces on ships. *See* Forminio Dep. Tr. 77:3-80:13 [APP-624].

RESPONSE: Admitted that Donna Forminio testified that core customers typically had 5,000 TEU contracts or more, which filled large spaces on a ship; otherwise denied. APP 623-624 (Forminio Tr. 77:3-80:13).

20. The below table lists certain OOCL personnel and their positions during the Relevant Period (July 1, 2020 – April 30, 2022):

OOCL Personnel and Positions	
Name	Position and Responsibilities
Jingdong “Marvic” Chen	Trade Director of Transpacific Trade (Eastbound) based in OOCL's Salt Lake City office, was part of the Trade department responsible for OOCL's profit and loss (P&L). <i>See</i> Chen Dep. Tr. 44: 23-47:11 [APP-162-163]; Schmiemann Dep. Tr. 176:14-15 [APP-2219].
Vincent Delprete	Vice President of Sales North America , was in charge of sales operations for all regions in North America. <i>See</i> Delprete Dep. Tr. 41:20-42:16 [APP-350-351].
Paul Devine	President of OOCL (USA) Inc. , managed regional administration, cross-functional coordination, compliance, terminal operations, and agency affairs while promoting community involvement. <i>See</i> Devine Dep. Tr. 36:22-37:16 [APP-421].
Andrew Donohue	Vice President of Customer Service , was in charge of export services, import services, documentation, dangerous goods, and detention and demurrage, including invoicing and dispute resolution. <i>See</i> Murdoch Dep. Tr. 49:25-50:16 [APP-1813-1814]; Donohue Dep. Tr. 21:20-24, 24: [APP-539-540].
Donna Forminio	Regional Business Analyst in OOCL's Sales department, supported regional sales operations. <i>See</i> Forminio Dep. Tr. 49:20-50:16 [APP-616-617]; Schmiemann Dep. Tr. 110:12-111:17 [APP-2203].
Teddy Fung	Director of Trade based in OOCL's Hong Kong office (<i>see</i> Fung Dep. Tr. 35:20-23, 38:13-19 [APP-769-770]), supervised Karen Lam (<i>see</i> Fung

OOCL Personnel and Positions	
	Dep. Tr. 69:19-21 [APP-777]) and was involved in decision-making regarding the North American ship route, contract direction, shipping space allocation, and pricing (<i>see</i> Fung Dep. Tr. 13:5-11, 39:4-8, 42:17-25 [APP-763; APP-770; APP-771]).
Karen Lam	General Manager of Transpacific Trade based in OOCL's Hong Kong office, was responsible for planning OOCL's Transpacific Trade freight capacity for purposes of entering into service contracts (<i>See</i> Lam Dep. Tr. 45: 11-13 [APP-1349]; Chen Dep. Tr. 54: 5-25, 70: 4-25, 96:11-20, [APP-165; APP-169; APP-175]), setting PSS rates (<i>See</i> Chen Dep. Tr. 106:16-23 [APP-178]), and procuring and establishing the rates for extra loaders (<i>See</i> Chen Dep. Tr. 204:13-205:7 [APP-202]).
Glenn Metzger	Director of Marketing and Sales , oversaw Business Development, Space Control, and Marketing, managing container space across North America and providing performance metrics, strategic insights, and data analysis to support the Sales department. <i>See</i> Metzger Dep. Tr. 7:19-9:24 [APP-1591].
James Mitchell	Account Manager in OOCL's Sales department, reported to Thomas Schmiemann and served as the sales representative for BBY. <i>See</i> Mitchell Dep. Tr. 29:24-30:3, 31:7-11, 47:11-20 [APP-1684-1685; APP-1689]; Chen Dep. Tr. 139: 9-13 [APP-186].
Gavin Murdoch	Vice President of Risk Management and Compliance based in OOCL's Salt Lake City office, oversaw North America's Risk Management programs and coordinated with OOCL's legal teams in Hong Kong and North America on regulatory and business matters. <i>See</i> Murdoch Dep. Tr. 25:25-28:9, 46:8-47:6 [APP-1807-1808; APP-1813].
Thomas Schmiemann	Vice President of Eastern Regional Sales , managed sales across the entire East Coast with a focus on inbound trades. <i>See</i> Schmiemann Dep. Tr. 12:2-7, 38:15-39:9 [APP-2178; APP-2185]; Murdoch Dep. Tr. 50:17-21 [APP-1814].
Tracy Sha	Director of Documentation based in OOCL's Salt Lake City office, managed documentation and invoicing, including demurrage and detention, for North American exports and imports, and oversaw the North America Group Center in Shanghai, which handled documentation and customer services. <i>See</i> Sha Dep. Tr. 31:22-33:23 [APP-2305].

Bess Wong	Assistant General Manager of Transpacific Trade (Eastbound) since September 2023, is based in OOCL's Hong Kong office and previously worked in OOCL's Transpacific Traffic and Analytics departments. <i>See</i> Wong Dep. Tr. 21:2-9, 22:11-23:3 [APP-2707-2708].
Kenny Ye	Chief Operating Officer based in OOCL's Hong Kong office, was in charge of operations for the USA region. <i>See</i> Ye Dep. Tr. 19:14-15, 25:25-28:9 [APP-2769-2770].

OOCL Personnel and Positions	
Mike Young	Functional department head for Regulatory Compliance based in OOCL's Salt Lake City office, engaged in discussions with the FMC and communicated regulatory changes and other issues to OOCL's global teams. <i>See</i> Murdoch Dep. Tr. 49:25-50:16 [APP-1813-1814]; Young Dep. Tr. 96:2-97:5, 140:25-141:1 [APP-2847, -2858].

RESPONSE: Admitted, except that Karen Lam did not assume her role as General Manager of Trans-Pacific Trade until January 2021, APP 1347 and 1349 (Karen Lam Tr. 34:16-19 and 45:2-13), Karen Lam did not “procure rates” for extra loaders, and Kenny Ye testified that he was in charge some regions, including the USA region. APP 2769 (Kenny Ye Tr. at 19:14-15). He did not testify that he was in charge of operations for the USA region.

C. Yusen Logistics (Third-Party)

21. Yusen Logistics (Americas) Inc. (“Yusen”) is a subsidiary of Yusen Logistics Co., Ltd., a global supply chain logistics company operating 650 distribution centers and offices across 375 cities in 46 countries and regions. *See* About us, Yusen Logistics (2024), https://www.yusen-logistics.com/us_en/about-us/about-us-overview (last visited December 10, 2024) [APP-4420-4421].

RESPONSE: Admitted that Yusen represented the foregoing on its website. No one on behalf of Yusen has testified or submitted a declaration to the foregoing in this case.

21.1. Leveraging its global network and local expertise, Yusen provides tailored supply chain solutions for leading multinational companies such as Target and Procter & Gamble (P&G), ensuring the timely and efficient delivery of products to market. *See* Industries – Retail, Yusen Logistics, https://www.yusen-logistics.com/us_en/industries/retail (last visited December 10, 2024) [APP-4420-4421].

RESPONSE: Admitted that Yusen has a website page addressing retail industries but denied that it mentions Procter & Gamble or Target, Further, No one on behalf of Yusen has testified or submitted a declaration to the foregoing in this case.

21.2. Yusen has been recognized by *Inbound Logistics*, a leading publication in the industry, as one of the Top 100 third-party logistics providers for its exceptional ability to tackle complex supply chain challenges and deliver outstanding logistics solutions, achieving a gross logistics revenue of approximately \$4.986 billion in 2023. *See* 2024 Top 100 3PLs, Inbound Logistics <https://www.inboundlogistics.com/articles/top-100-3pls/> (last visited December 10, 2024) [APP-5043-5070]; Largest 3PLs Ranked by 2023 Gross Logistics

Revenue/Turnover, Armstrong & Associates, <https://www.3plogistics.com/3pl-market-info-resources/3pl-market-information/aas-top-50-global-third-party-logistics-providers-3pls-list/> (last visited December 10, 2024) [APP-5071-5072].

RESPONSE: Admitted that Inbound Logistics includes a page on its website that lists Yusen as one of the top 100 3PLs, and that Armstrong & Associates lists Yusen's gross logistics revenue on its website, but otherwise these webpages say nothing about the quality of services rendered by Yusen.

22. During the time period at issue in this action, Yusen served as BBBY's booking agent and third-party logistics service provider for BBBY with respect to ocean freight transportation. *See* Jacobus Dep. Tr. 156:8-15 ("Q. To your knowledge, during the period 2020 through 2022, what was Yusen's relationship with Bed Bath & Beyond? A. We were the 3PL, so coordinating their bookings and managing their cargo at port of origin.") [APP-967]; Hackett Dep. Tr. 11:20-22 ("A. So Yusen Logistics was our overseas forwarder, our booking agent, and our U.S. Customs broker for the entire time.") [APP-816]; McQuade Dep. Tr. 100:4-13 ("A. Mr. McQuade, during the period 2020 through 2022, what was Yusen's relationship with Bed Bath? We were their origin cargo management company. Q. Would you agree that during that time period Yusen was Bed Bath's booking agent for ocean freight? A. That was part of our responsibilities.") [APP-1568]; Shippee Dep. Tr. 89:7-10 ("Yusen was the origin cargo management and freight forwarder for [BBBY]."), 92:2-92:18 ("Yusen acted as the origin cargo management company. They ensured that vendors were booking their purchase orders on time for shipping, that vendors' purchase orders were being produced on time as directed by [BBBY] checking with the vendors, and then working with their carrier, [BBBY's] carriers, and NVOs as directed by BBBY to cover . . . the shipments to move to the U.S. in a timely manner.") [APP-2412, APP-2413].

RESPONSE: Admitted that Yusen Logistics served as BBBY's booking agent. However, per its agreement with BBBY, Yusen was obligated to book per the monthly ocean carrier allocations that BBBY provided to Yusen. RX-000079-153 (Ex. 274, Yusen Logistics-BBBY Contract, pp. 26-27). Nevertheless, Yusen often double-booked cargo and booked beyond the carrier's allocations. Yusen regularly double-booked BBBY's containers during the pandemic. APP 1554 (Brian McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.")); APP 2395-2396 (Rita Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . . .")); APP 960 (Amanda Jacobus Tr. 126:2-21). APP 2414 (Rita Shippee Tr. 94:9-22 ("I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.")); APP 1554 (Brian McQuade Tr. Tr. 43:12-44-9).

22.1. During the time period at issue in this action, Yusen had one or more written contracts with BBBY concerning its services, including acting as BBBY's booking agent for ocean freight. *See* McQuade Dep. Tr. 100:14-25 (Q. And during the period 2020 through 2022, did Yusen have a written contract or contracts with Bed Bath regarding its service as Bed Bath's booking agent for ocean freight? A.

I'm not looking at the contract terms right now, but I'd say yes. Q. And would – those contracts would have been the basis for Yusen serving as Bed Bath's booking agent for ocean freight? A. Correct." [APP-1568].

RESPONSE: Admitted.

22.2. During the time period at issue in this action, Yusen charged a management fee for its services and sent statements to BBBY on a regular basis. *See Jacobus Dep. Tr. 158:6-12* ("Q. To your knowledge, during the period 2020 through 2022, how was Yusen compensated for its services as Bed Bath & Beyond's booking agent or agent or 3PL for ocean freight? A. We had a – we charge a management fee that would be sent in a weekly statement or a monthly statement.") [APP-968].

RESPONSE: Admitted.

22.3. In its capacity as BBBY's booking agent, Yusen performed tasks for BBBY including, but not limited to, ensuring vendors were booking their purchase orders on time for shipping, that vendors' purchase orders were being produced on time as directed by BBBY, checking with the vendors, and then working with BBBY's carriers, including OOCL, and non-vessel operating common carriers ("NVOs" or "NVOCCs") as directed by BBBY to ensure BBBY's shipments to the U.S. moved in a timely manner. *See Shippee Dep. Tr. 92:2-93:1* [APP-2413].

RESPONSE: Admitted that Rita Shippee testified as such, but she also testified that Yusen double booked containers. APP 2395-2396 (Rita Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . . .")); APP 2414 (Rita Shippee Tr. 94:9-22 ("I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary").

22.4. During the time period at issue in this action, Yusen served as a customs broker and assisted with customs brokerage for BBBY with respect to ocean freight transportation. *See Jacobus Dep. Tr. 84:23-25* ("A. 'CHB' is our customs house broker. Yusen Logistics was the broker for Bed Bath & Beyond. 'ISF' is an importer security filing.") [APP-949]; *D'Alfonso Dep. Tr. 43:2-9* ("Q. Can you explain what a Customs broker is? A. Yes. So we review all the documents for their purchase orders. You declare them with U.S. customs, classify them to pay the proper duty or the tariffs for the products that they're importing.") [APP-326].

RESPONSE: Admitted that Yusen Logistics Americas provided customs brokerage services.

22.5. During the time period at issue in this action, Yusen provided limited destination management services to BBBY. *See Jacobus Dep. Tr. 35:6-17* ("A. So,

destination management services, we offer a tiered service where they – we help monitor events, to make sure that they’re visible in the system, meaning – ‘315’ is an EDI transmission from the steamship line or carrier that tells us when the container is arriving and as it goes through the process. For Bed Bath & Beyond, we only offered the first level of service, which is the most basic, and that’s just checking to see what the ETA is at the port and making sure that that date is visible in the system.”) [APP-937]; McQuade Dep. Tr. 21: 24-22: 2 (“A. So we were only giving them an ETA which was public knowledge shown on steamship line websites.”) [APP-1548-1549].

RESPONSE: Admitted.

22.6. During the time period at issue in this action, when acting on behalf of BBY, Yusen understood that it had an obligation to perform its duties correctly, diligently, and in BBY’s best interests. *See* Jacobus Dep. Tr. 164:1-22 [APP-969].

RESPONSE: Admitted that Amanda Jacobus testified as such, but it was over objections that the questions called for a legal conclusion. APP 969 (Amanda Jacobus Tr. 164:7-165:21).

22.7. During the time period at issue in this action, when acting on behalf of BBY, Yusen never failed to do its job for BBY. *See* McQuade Dep. Tr. 104:25-105:14 (“Q. During the period 2020 through 2022, when acting on Bed Bath’s booking agent, to your awareness, did Yusen ever fail to do its job for Bed Bath? . . . A. We never failed to do our job.”) [APP-1569].

RESPONSE: Admitted that Yusen Logistics America’s employee Brian McQuade testified as such, but it was over a foundation objection. APP-1569 (Brian McQuade Tr. 104:25-105:14). Yusen Logistics Americas had limited involvement in bookings unless they were passing an email along that was received from origin about a booking (APP 932 (Amanda Jacobus Tr. at 15:4-23)), and Brian McQuade was not a booking agent, had nothing to do with bookings related to BBY, and has no personal knowledge about any bookings as between BBY and OOCL. APP 1547; 1571 (Brian McQuade Tr. at 14:23-15:3; 110:5-19). McQuade was part of Yusen Logistics director of business development. APP 1545 (Brian McQuade Tr. at 8:13-24). No one reports to him. *Id.* BBY’s booking agent was Yusen Logistics based in Asia. (APP 932 (Amanda Jacobus Tr. at 15:25-16:11).

23. During the time period at issue in this action, BBY provided Yusen with the minimum quantity commitment (“MQC”), the corresponding port pairs subject to that MQC, as outlined in BBY’s services contracts with ocean carriers. *See* Shippee Dep. Tr. 90:18-24 (“Q. Would Yusen know the MQCs in those service contracts? A. As communicated by Bed Bath & Beyond, yes. Q. Same question for the port pairs covered by those service contracts. A. As provided by Bed Bath & Beyond.”) [APP-2413].

RESPONSE: Admitted that Rita Shippee testified that Yusen would know the MQCs in the service contracts with the carriers as communicated by BBBY and would know the port pairs covered by those service contracts as provided by BBBY. Otherwise, she did not testify as indicated. APP-2413 (Rita Shippee Tr. 90:18-24).

24. During the time period at issue in this action, BBBY provided Yusen with forecasts of its ocean freight needs. *See* Shippee Dep. Tr. 91:4-11 (“Q. For the period of 2021 through 2022, to your knowledge, did Yusen know Bed Bath’s forecasts for its ocean freight needs? A. Yes, as provided by Bed Bath, yes. Q. How often would Bed Bath provide those forecasts? A. It should have been monthly. I cannot guarantee that it was always available monthly.”) [APP-2413].

RESPONSE: Admitted that Rita Shippee testified that Yusen would know BBBY’s forecasts for its ocean freight needs for the period 2021 through 2022, but she also testified that BBBY and Yusen agreed that BBBY would provide the monthly projections for each carrier and Yusen would book per these projections and report any issues to BBBY.” APP 2397 (Rita Shippee Tr. 27:22-28:20); RX-000079-153 (Ex. 274, P-0000616637). She did not testify that Yusen was supposed to book per BBBY’s forecasts.

25. During the time period at issue in this action, when acting on behalf of BBBY, Yusen regularly and diligently attempted to book BBBY’s cargo for carriage by OOCL pursuant to the Service Contracts. *See* McQuade Dep. Tr. 105:15-20 (“Q. And during the period 2020 through 2022, did Yusen regularly and diligently attempted to book Bed Bath cargo for carriage by OOCL pursuant to OOCL’s service contracts with Bed Bath? A. Yes.”) [APP-1569]; Jacobus Dep. Tr. 165:12-19 [APP-969]; Shippee Dep. Tr. 92:19-93:1 [APP-2413].

RESPONSE: Admitted that Yusen Logistics America’s employee Brian McQuade testified as such, but it was over a foundation objection. APP 1569 (Brian McQuade Tr. at 105:15-22). OOCL also objected to similar questions posed to Amanda Jacobus and Rita Shippee. APP 969 (Amanda Jacobus Tr. at 165:12-19); APP 2413 (Rita Shippee Tr. at 92:19-93:1). Yusen Logistics Americas had limited involvement in bookings unless they were passing an email along that was received from origin about a booking (APP 932 (Amanda Jacobus Tr. at 15:4-23)), and Brian McQuade was not a booking agent, had nothing to do with bookings related to BBBY, and has no personal knowledge about any bookings as between BBBY and OOCL. APP 1547; 1571 (Brian McQuade Tr. at 14:23-15:3; 110:5-19). McQuade was part of Yusen Logistics director of business development. APP 1545 (Brian McQuade Tr. at 8:13-24). No one reports to him. *Id.* BBBY’s booking agent was Yusen Logistics based in Asia. (APP 932 (Amanda Jacobus Tr. at 15:25-16:11)).

25.1. In the course of its work for BBBY, particularly during peak seasons and at BBBY’s request, Yusen provided manually prepared booking reports detailing booking acceptances and rejections. *See* Jacobus Dep. Tr. 97:21-98:20 (“A. We do provide reports that show, like, booking and acceptance or space issues. Generally, they’re manually created during peak season. Q. And would this be a

report that's provided upon request or would it be provided in the regular course of your business to your customers? A. Generally, on request.") [APP-952-953].

RESPONSE: Admitted that Amanda Jacobus testified that Yusen provides on request reports that show booking and acceptance or space issues, and these reports were manually created during peak season. However, aside from a few sporadic Yusen reports, BBBY has neither identified nor produced any documents from Yusen in this case that show BBBY's booking activity with OOCL (that is, bookings that were attempted, confirmed, cancelled, no shows, etc.) over the entirety of the 2020 and 2021 shipping years. Further, Amanda Jacobus was not involved in Yusen's booking agent work for BBBY. APP 932 (Amanda Jacobus Tr. at 15:4-12. She testified: "I don't, really, know all that a booking agent entails," APP 967 (Amanda Jacobus Tr. at 157:2-3).

25.2. In the course of its work for BBBY, Yusen prepared various reports, including Key Performance Indicators (KPIs) reports, related to the performance of ocean carriers (including OOCL) and suppliers. *See* Jacobus Dep. Tr. 14:10-15:3 ("A. In the United States, we act as – so it's customer service or client management, essentially, bridging the gap between the operation happening in Hong Kong and at origin, and to the customer. So we're, you know, facilitating conference calls, keeping an SOP or standard operation procedure up to date, doing reports, KPIs, and sending e-mails. Q. And by "KPIs," you mean key performance indicators? A. Yes. Q. And which key performance indicators would you be keeping track of for a particular customer such as Bed Bath? A. Typically, like, carrier performance, vendor performance. Even Yusen performance.") [APP-932].

RESPONSE: Admitted that Amanda Jacobus testified as such. However, aside Amanda Jacobus discussing KPIs in general, BBBY has not submitted any documents from Yusen in this case that show any KPIs relating to OOCL.

26. During the time period at issue in this action, BBBY employed Yusen to assist in booking shipments with OOCL under the Service Contracts.

RESPONSE: Admitted that during the two shipping years at issue, BBBY contracted with Yusen Logistics for that company to serve as its booking agent in Asia, and that Yusen was obligated to book per the monthly ocean carrier allocations provided by BBBY. APP 2397 (Rita Shippee Tr. 27:22-28:20); RX-000079-153 (Ex. 274, P-0000616637).

26.1. During the time period at issue in this action, BBBY provided Yusen with OOCL's cargo space allocation to BBBY pursuant to the Service Contracts. *See* Shippee Dep. Tr. 91:12-17 ("Q. During the period of 2021 [through] 2022, to your knowledge, did Yusen know OOCL's cargo space allocations to Bed Bath pursuant to Bed Bath and OOCL's service contract? A. Yes. As communicated by Bed Bath & Beyond, yes.") [APP-2413].

RESPONSE: Admitted that Rita Shippee testified as such, and she also testified BBBY contracted with Yusen Logistics for that company to serve as its booking agent in Asia, and that Yusen was obligated to book per the monthly ocean carrier allocations provided by BBBY. APP 2397 (Rita Shippee Tr. 27:22-28:20); RX-000079-153 (Ex. 274, P-0000616637).

26.2. During the time period at issue in this action, when acting on behalf of BBBY, Yusen regularly and diligently attempted to book BBBY's cargo for carriage by OOCL pursuant to the Service Contracts. *See* McQuade Dep. Tr. 105:15-20 ("Q. And during the period 2020 through 2022, did Yusen regularly and diligently attempted to book Bed Bath cargo for carriage by OOCL pursuant to OOCL's service contracts with Bed Bath? A. Yes.") [APP-1569]; *accord* Jacobus Dep. Tr. 165:12-19 [APP-969]; Shippee Dep. Tr. 92:19-93:1 [APP-2413].

RESPONSE: Admitted that Yusen Logistics America's employee Brian McQuade testified as such, but it was over a foundation objection. APP 1569 (Brian McQuade Tr. at 105:15-22). OOCL also objected to similar questions posed to Amanda Jacobus and Rita Shippee. APP 969 (Amanda Jacobus Tr. at 165:12-19); APP 2413 (Rita Shippee Tr. at 92:19-93:1). Yusen Logistics Americas had limited involvement in bookings unless they were passing an email along that was received from origin about a booking (APP 932 (Amanda Jacobus Tr. at 15:4-23)), and Brian McQuade was not a booking agent, had nothing to do with bookings related to BBBY, and has no personal knowledge about any bookings as between BBBY and OOCL. APP 1547; 1571 (Brian McQuade Tr. at 14:23-15:3; 110:5-19). McQuade was part of Yusen Logistics director of business development. APP 1545 (Brian McQuade Tr. at 8:13-24). No one reports to him. *Id.* BBBY's booking agent was Yusen Logistics based in Asia. (APP 932 (Amanda Jacobus Tr. at 15:25-16:11)).

26.3. During the time period at issue in this action, when acting on behalf of BBBY, Yusen booked as much of BBBY's cargo as it was able to for carriage by OOCL pursuant to the Service Contracts. *See* Jacobus Dep. Tr. 165:21-166:3 ("Q. During the period 2020 through 2022, to your knowledge, did Yusen book as much Bed Bath & Beyond cargo as it was able to, for carriage by OOCL, pursuant to Bed Bath & Beyond's service contracts with OOCL? A. Yes.") [APP-969-970].

RESPONSE: Admitted that Amanda Jacobus testified as such but it was over a foundation objection. APP 969-970 (Jacobus Dep. Tr. 165:21-166:3). Yusen Logistics Americas had limited involvement in bookings unless they were passing an email along that was received from origin about a booking (APP 932 (Amanda Jacobus Tr. at 15:4-23)). Further, Amanda Jacobus was not involved in Yusen's booking agent work for BBBY. APP 932 (Amanda Jacobus Tr. at 15:4-12. She testified: "I don't, really, know all that a booking agent entails," APP 967 (Amanda Jacobus Tr. at 157:2-3).

26.4. Yusen diligently performed its duties attempting to make bookings with OOCL on BBY's behalf pursuant to BBY's Service Contracts. *See* Jacobus Dep. Tr. 164:1-165:3, 165:12-166:3 [APP-969-970]; Pastor Dep. Tr. 283:3-10, 287:14-288:20 [APP-2000-2001].

RESPONSE: Denied. Amanda Jacobus testified as such, but over a foundation objection. Yusen Logistics Americas had limited involvement in bookings unless they were passing an email along that was received from origin about a booking (APP 932 (Amanda Jacobus Tr. at 15:4-23)). Further, Amanda Jacobus was not involved in Yusen's booking agent work for BBY. APP 932 (Amanda Jacobus Tr. at 15:4-12. She testified: "I don't, really, know all that a booking agent entails," APP 967 (Amanda Jacobus Tr. at 157:2-3). OOCL also objected to similar questions posed to BBY's Paul Pastor. APP 2000; 2001 (Paul Pastor Tr. 283:3-10; 287:24-288:12). Aside from such perfunctory and objectionable testimony, BBY has not identified nor produced any reports from Yusen covering in full BBY's booking activity with OOCL for the two shipping years 2020 and 2021 at issue.

27. During the time period at issue in this action, Yusen frequently faced difficulties obtaining space from carriers for its customers and regularly followed up with carriers, including OOCL, to push for assistance. *See* Jacobus Dep. Tr. 166:14-167:15 ("A. Yes. I'm sure there was instances where we weren't able to get the space from the carriers and we would have to follow up with Bed Bath & Beyond for support. Q. So when that happened, you were unable to get the space from carriers; is that your recollection? A. Yes. Q. And how often did you feel that occurred?

A. During that period, it was frequent across all of my customers, so it's kind of hard to say how often it happened. I don't recall how often it happened for Bed Bath & Beyond. Q. It's fair to say it happened often? A. Yes. Q. And when that would happen, in your experience, what did Yusen do when it was unable to get space pursuant to Bed Bath & Beyond's service contracts? A. We would follow up with Bed Bath & Beyond for support, with their carriers, to push their carriers for help, or book with a secondary carrier.") [APP-970].

RESPONSE: Amanda Jacobus made no reference to OOCL in the testimony cited by BBY above. APP 970 (Jacobus Dep. Tr. 166:14-167:15). With respect to questions relating to OOCL, OOCL objected on foundation grounds. APP 969-970 (Amanda Jacobus Dep. Tr. 165:12-166:1). Amanda Jacobus testified that she did not have any personal knowledge about the bookings involving OOCL and BBY, and she did not know how many reports were prepared by Yusen on BBY's behalf with respect to OOCL. APP 962-963 (Amanda Jacobus Dep. Tr. 137:13-138:1).

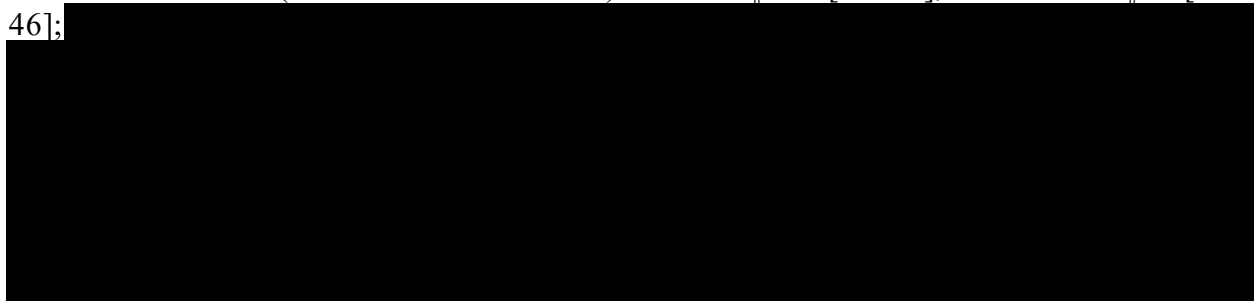
28. The below table lists certain Yusen personnel and their positions during the Relevant Period (July 1, 2020 – April 30, 2022):

Yusen Personnel and Positions	
Name	Position and Responsibilities
Pacy Chow	Manager of Control Tower & Operations in the Supply Chain Solutions Group at Yusen Logistics (Hong Kong) Limited, was responsible for the BBY account. <i>See</i> Dep. Ex. 400 at OOCL_0000071742 (-1743) [APP-4004-4005]; Shippee Dep. Tr. 8:14-22 [APP-2392].
Marco D'Alfonso	Senior Entry Writer at Yusen Logistics (Americas), processed customs entries and facilitated their clearance through U.S. customs. <i>See</i> D'Alfonso Dep. Tr. 8:23-9:6 [APP-317].
Amanda Jacobus	Director of Client Management and Operations at Yusen Logistics (Americas), oversaw Client Manager Laurie Staugaitis. <i>See</i> Jacobus Dep. Tr. 8:9-9:9 [APP-930].
Brian McQuade	Director of Business Development at Yusen Logistics (Americas), managed the customer relationship with BBY. <i>See</i> McQuade Dep. Tr. 10:11-11:3 [APP-1546].
Rita Shippee	Client Management Specialist at Yusen Logistics (Americas), dedicated exclusively to BBY, was the liaison between BBY and Yusen's Hong Kong control tower, managing communications with carriers and vendors and supporting Client Manager Laurie Staugaitis. <i>See</i> Shippee Dep. Tr. 7:11-8:11 [APP-2392]; Jacobus Dep. Tr. 10:20-11:2 [APP-931].

RESPONSE: Admitted.

II. The Service Contracts

29. BBY and OOCL entered into an Ocean Carrier Agreement, with service contract number PE203297 and effective as of July 1, 2020 and initially covering the time period from July 1, 2020 through June 30, 2021 (the "2020 Service Contract"), which was amended on seventeen occasions (the "2020 Amendments"). *See* 1AC ¶ 32.a [APP-8]; 1AC Answer ¶ 32 [APP-46];



[REDACTED]

RESPONSE: Admitted. References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs. OOCL notes that there exists no evidence that BBY's signatory to the 2020 Service Contract or the 17 amendments thereto signed the contract or the amendments thereto involuntarily or under duress.

29.1. The term of the original 2020 Service Contract was set as July 1, 2020 through June 30, 2021 but was later amended to July 1, 2020 through April 30, 2021. [REDACTED]

RESPONSE: Admitted. The contract term was shortened at BBY's request, to which OOCL agreed. OOCL notes that there exists no evidence that BBY's signatory to the 2020 Service Contract signed that contract involuntarily or under duress.

29.2. The 2020 Service Contract sets a minimum quantity commitment ("MQC") and service commitment at 2,100 forty-foot equivalent container units ("FEUs"), corresponding to an average monthly allocation of 175 FEUs. 1AC ¶ 33 [APP-47]; 1AC Answer ¶ 33 [APP-100]; [REDACTED]

RESPONSE: [REDACTED] **References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.**

29.3. [REDACTED]

RESPONSE: [REDACTED] **OOCL notes that there exists no evidence that BBY's signatory to Amendment [REDACTED] to the 2020 Service Contract signed that amendment involuntarily or under duress. Further, signing that amendment enabled BBY to avoid a claim for liquidated damages under Clause 13 of the 2020 Service Contract.** [REDACTED]

30. BBY and OOCL entered into an Ocean Carrier Agreement, with service contract number PE213179 and effective as of May 1, 2021 and covering the time period from May 1, 2021 through April 30, 2022 (the "2021 Service Contract"), which was amended on sixteen occasions (the "2021 Amendments"). See 1AC ¶ 32.b [APP-47]; 1AC Answer ¶ 32 [APP-100]; [REDACTED]

[REDACTED]

RESPONSE: Admitted. References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs. OOCL notes that there exists no evidence that BBY's signatory to the 2021 Service Contract or the 16 amendments thereto signed the contract or the amendments thereto involuntarily or under duress.

30.1. The 2021 Service Contract set its MQC and service commitment at 3,796 FEUs. *See* 1AC ¶ 45 [APP-49]; 1AC Answer ¶ 45 [APP-101]; [REDACTED]

RESPONSE: Admitted that the 2021 Service Contract states an MQC of 7,592 TEUs. [REDACTED] References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.

30.2. Amendment 16 to the 2021 Service Contract amended the 2021 Service Contract's "Minimum Quantity Commitment" to 1,530.5 FEUs. *See* [REDACTED]

RESPONSE: Admitted that Amendment No. [REDACTED] to the 2021 Service Contract reduced the MQC to 3,061 TEUs. [REDACTED] OOCL notes that there exists no evidence that BBY's signatory to Amendment No. 16 to the 2021 Service Contract signed that amendment involuntarily or under duress. [REDACTED]

31. BBY and OOCL entered into an Ocean Carrier Agreement, with service contract numbered [REDACTED] effective as of May 1, 2022 and covering the time period from May 1, 2022 through April 30, 2023 (the "2022 Service Contract"), which was amended on at least one occasion. [REDACTED]

RESPONSE: Admitted. OOCL notes that there exists no evidence that BBY's signatory to the 2022 Service Contract signed that contract involuntarily or under duress.

31.1. The 2022 Service Contract set its MQC and service commitment at 3,039 FEUs. *See* OOCL_0000077725 (-77743) [APP-5132-5170].

RESPONSE: Admitted.

31.2. Amendment 1 to the 2022 Service Contract amended the 2022 Service Contract's "Minimum Quantity Commitment" to 3,125 FEUs. *See* P-0000520047(-520047) (Service Contract [REDACTED], Amendment No. 1 "Amend Minimum Quantity Commitment to read: 6250 TEU) [REDACTED]

RESPONSE: Admitted. OOCL notes that there exists no evidence that BBY's signatory to Amendment No. 1 to the 2022 Service Contract signed that amendment involuntarily or under duress.

III. Impacts of the COVID-19 Pandemic on the Shipping Industry

32. Carriers reacted to the initial drop in demand during the COVID-19 pandemic by coordinating blank sailings and avoiding direct price competition. *See* Dep Ex. 416 at 2 [APP-4038] (describing how 11 out of 12 container lines reduced capacity in the first half of the year); Dep. Ex. 415 at 1-2 (Level rates despite steep drop in demand "according to [OOCL's expert] Lars Jensen . . . could be due to the fact that the shipping lines are consciously deciding not to take cargoes from each other") [APP-4034-4035]; Young Dep. 194:4-17 ("Q. Okay. And, finally, on this, the point about PCC3 VCE not being fully profiled -- A. Uh-huh. Q. -- how would that -- what is that and how would that impact -- what is profiling of PCC3/VCE? A. *All right. PCC3 and VCE are two service loops, and if we see that there's not a lot of cargo booked on that service loop, then we may look at either blanking that sailing and moving the cargo to a different loop or a different sailing in order to fully profile the vessel.*") (emphasis added) [APP-2872]; [REDACTED]

[REDACTED] Dep. Ex. 420 at p. 5 (As Jensen has stated, "We have definitely seen the effects of consolidation. At least on the main trades, there is a de facto oligopoly which means the carriers are able to somewhat better prevent the price wars we've seen in the past. This is the logical end point of 20 years of gradual consolidation.") [APP-4064].

RESPONSE: Denied. There exists no evidence that OOCL coordinated any blank sailings or otherwise attempted to avoid any price competition with any other ocean carriers. Further, with respect to the quote attributed to Lars Jensen, he testified at deposition as follows:

Q. How did you come to the conclusion that the shipping lines were consciously deciding not to take cargoes from each other at this time?

A. I do not know because there is not necessarily any evidence to suggest that that is the case. APP 1035 (Lars Jensen Tr. at 155:20-156:2).

Lars Jensen also noted that he did not write the article that contained the quote. APP 1035 (Lars Jensen Tr. at 156:18-23).

Further, the quote attributed to Mike Young says nothing about coordinating blank sailings or avoiding direct price competition between carriers, but rather addresses more efficient use of OOCL container space aboard its vessels. Mike Young's complete answer to the question posed was as follows:

A. All right. [REDACTED] are two service loops, and if we see that there's not a lot of cargo booked on that service loop, then we may look at either blanking that sailing and moving the cargo to a different loop or a different sailing in order to fully profile the vessel.

If the vessel's, you know, at 30 percent, 40 percent, to maintain that vessel rotation may be in effect here because there's not enough cargo to justify the cost of moving that particular vessel in that particular loop. So it would also be a factor that if it's not fully profiled or if it's not above a certain percentage, that they may decide to omit that sailing or consolidate two sailings into one.

APP 2872 (Mike Young Tr. at 194:11 to 195:2). Mike Young also testified: "I know of blank sailings. I do not know the impact because I would not be involved in that process." APP 2869-2872 (Mike Young Tr. at 183:24-194:2).

[REDACTED]

Lastly, Lars Jensen's statement about a de facto oligopoly made no reference to OOCL. BBY's proposed finding of fact³² above is an agglomeration of unrelated statements jumbled together to support the specious proposition that the ocean carriers coordinated blank sailings to reduce price competition. There is no data in this case to support that proposition or that OOCL was a participant.

33. As of February 21, 2022, OOCL internal documents show that spot market ocean freight rates for cargo space—i.e., rates outside the context of a service contract—were significantly higher than service contract rates for cargo space. *See* Dep. Ex. 62 at Tab "PSW" [APP-3121]; Lam Dep. Tr. 156:2-157:2 (explaining that the "O" rates in Dep. Ex. 62 mean open rates that are not fixed) [APP-3121].

RESPONSE: Denied, spot rate contracts are still service contracts.

34. During the COVID-19 pandemic (2020-2022), the gap between what OOCL charged under its fixed-rate service contracts versus its contracts more closely tethered to spot market rates soared dramatically given that spot market rates were three to four times higher than

the rates secured through fixed-rate service contracts. *See* Forminio Dep. Tr. 105:14-24, 105:25-108:11 [APP-630-631].

RESPONSE: Denied. The statement above makes no sense. Donna Forminio said nothing about tethering. She did testify that the spot market rates were “maybe three or four times higher than the service contract rate, typically.” APP 631 (Donna Forminio Tr. at 108:6-11). However, she also testified that “each contract was negotiated based on the market at the time.” APP 682 (Donna Forminio Tr. at 312:11-13).

34.1. The Drewry World Container Index (“Drewry data”), published weekly by Drewry Shipping Consultant, is a highly regarded and widely recognized spot rate index that measures the level of spot rates in the market. *See* Ex. 381 (McCown Report) at ¶ 98 n.36 [APP-3774]; Ex. 413 (Jensen Report) at 10 [APP-4019].

RESPONSE: Admitted. Respondent recognizes that the Drewry World Container Index publishes spot rate indexes, but cannot comment as to what level it is recognized.

34.2. Drewry data indicates that the average spot market rate for ocean freight was \$1,446/TEU in 2019. *See* Ex. 381 (McCown Report) Table 7, at 22 [APP-3775].

RESPONSE: Admitted that John McCown reported a “Drew SH-LA” rate in his Table 7, but there is no supporting data to verify the accuracy of this information.

34.3. Drewry data indicates that the average spot market rate for ocean freight was \$7,724/TEU in 2021. *See* Ex. 381 (McCown Report) Table 7, at 22 [APP-3775].

RESPONSE: Admitted that John McCown reported a “Drew SH-LA” rate in his Table 7, but there is no supporting data to verify the accuracy of this information.

35. OOCL’s expert Lars Jensen, whom OOCL has advanced as an expert in this case, observed during the COVID-19 pandemic that many companies were under severe pressure from freight costs and “could potentially go bankrupt because of the current situation with extremely high freight rates” *See* Dep. Ex. 425 at 1-2 (quoting Lars Jensen) [APP-4087-4088].

RESPONSE: Admitted that Lars Jensen was quoted in the October 2021 article as saying: “There are some shippers that could potentially go bankrupt because of the current situation with extremely high freight rates. But it’s a common consequence of an open market where some are more competitive than others.” APP 4087-4088 (Ex. 425, p.2). Otherwise denied.

36. The global ocean carrier industry is highly consolidated, whereby the top eight carrier groups had a market share of 81.1% of all global shipping capacity in November 2021. *See* Dep. Ex. 420 at 4 [APP-4063].

RESPONSE: Admitted that the article cited states the above.

37. Jensen in a November 10, 2021 article in FreightWaves that the shipping industry has “definitely seen the effects of consolidation. At least on the main trades there is a de facto oligopoly, which means the carriers are able to somewhat better prevent the price wars we’ve seen in the past. This is the logical end point of 20 years of gradual consolidation.” *See* Dep. Ex. 420 at 5 [APP-4064].

RESPONSE: Admitted that Lars Jensen was quoted in the November 2021 article as saying the above. But Lars Jensen also testified at deposition that there was no link between consolidation in the carrier industry and lack of capacity during the COVID-19 period. APP 1040 (Lars Jensen Tr. 177:4-22). The ocean shipping industry is considered unconcentrated under the Herfindahl–Hirschman Index, an often-used measure of market concentration. RPFF 75.

37.1. A November 10, 2021 article in FreightWaves noted how the cargo container industry is dominated by Chinese government entities, which control access to containers and pricing. *See* Dep. Ex. 420 at 2 (“The same goes for container equipment factories, virtually all of which are in China. Following recent consolidation, the top three Chinese builders produce 83% of all new boxes. ‘They are charging expensive prices for their containers,’ said Ghesquiere. ‘They have a vested interest in maintaining the high pricing levels, so we really can’t see why manufacturing prices would drop. They have no incentives to change behavior.’”) [APP-4061].

RESPONSE: Denied. There is no reference in the article cited to container manufacturers in China being owned by the Chinese Government. The ostensible quote above was from the CEO of a container-equipment lessor, and the validity of his statements has not been verified.

38.



RESPONSE: Denied. There is no evidence that the signatories of these two service contract amendments signed them involuntarily or under duress. Further, OOCL met its service contract obligations in this case. *See* OOCL RPFFs 486 to 495, 504, 505, 540, 542, 576 to 618. APP 3039-3040 (Ex. 39).

39. Jensen recognized that global ocean carrier industry’s high level of consolidation and joint ownership, which suggests the common behavior of carriers was well understood during the time of the COVID-19 pandemic within the industry. *See* Dep. Ex. 420 at 5 [APP-4064].

RESPONSE: Denied. Page 5 of the November 10, 2021 article cited says nothing about “common behavior of carriers was well understood during the time of the COVID-19 pandemic

within the industry” and such a conclusion does not follow from the article’s content. APP-4064 (Ex. 420, p. 5).

40. During the COVID-19 Pandemic, marine terminals around the world, including those at Los Angeles / Long Beach, experienced severe congestion. *See* Donohue Dep. Tr. 39:13-20 [APP-544].

RESPONSE: Denied. Andrew Donahue actually testified: “I understand there was congestion at various terminals, marine terminals around the world and also at various interior facilities around the world.” APP 544 (Andrew Donahue Tr. at 39:14-17). Those terminals included the ports of Loas Angeles and Long Beach. APP 544 (Andrew Donahue Tr. at 39:18:20).

40.1. Worldwide container volume increased by six million containers in 2021. *See* McCown Dep. Tr. 163:14-17 [APP-1477].

RESPONSE: Admitted.

40.2. However, this increase in container volume, equal to about 7.4% worldwide growth, was not unusual for the industry. *See* McCown Dep. Tr. 162:21- 163:4 (“[I]n 2021, the worldwide container volume . . . was up 7.4 percent, which is actually a lower percentage than . . . the entire decade from, I think, ’95 to 2005”); 165:12-14 (“7.4 percent annual volume growth is not particularly significant in the container space”; 165:18-166:5 (“6 million containers by themselves is somewhat meaningless. Again, less volume growth than many actual years in the past.”)

[APP-1477].

RESPONSE: Admitted that BBBY’s purported liability expert John McCown testified to the foregoing but denied that his testimony should be afforded any weight based upon his methodological flaws and specious conclusions, as well as conclusions drawn from data that has not been vetted. See OOCL’s Motion to Strike John McCown, OOCL’s Brief, pp. 7-8, 16-18, 22-23, 31, 61-63, 65-70, and RPFs 550 to 575. John McCown’s conclusion that that the growth of 6,000,000 containers (during the middle of a worldwide pandemic when container space capacity was severely constricted and ports were severely congested) was “not unusual for the industry” patently fails to recognize the impact of such volumes on the container transportation industry at that time.

41. Port congestion in the United States during the pandemic resulted in part from a rise in online purchases of consumer goods, which led to a corresponding increase in shipping volume and for vessel space, including with OOCL. *See* Donohue Dep. Tr. 39:24-6 [APP-544].

RESPONSE: Admitted in part. Congestion was also caused by importers such as BBBY not managing their warehouses and inbound logistics properly and using port terminals as storage. OOCL has provided ample evidence demonstrating that it was BBBY’s own supply chain

management problems that caused it to experience such delays. RPFF 30 to 35, 37, 38, 276, 279 to 284, 288, 289, 506 to 515.

BBBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBBY booked for transport and shipped 590 containers from Asia to the United States with no available warehouse space. RPFF 514; APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time, again when its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161-24); RX-000979-996 (Ex. 201).

BBBY also increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBBY had a practice of "holdbacks," that is, leaving containers at its warehouses containing goods that were not needed at BBBY stores, or were part of a particular season, or an exclusive line. RPFF 37.

BBBY had more holdbacks during the two shipping years at issue than prior to the pandemic. RPFF 512. BBBY's Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

RPFF 512. Seweryn Soban, BBBY's former Customs Compliance manager, testified that "merchandise that was not needed at the time it arrived" caused the lack of space in BBBY's distribution centers. APP 2488 (Seweryn Soban Tr. at 231:8-14).

All of the foregoing was in addition to BBBY's "self-inflicted disruptions" caused by its inability to forecast and anticipate customer purchasing patterns, altering its traditional inventory and substituting BBBY brand-name products (for recognized national brands) that nobody wanted and did not buy, firing its CEO, buying back its stock, and failing to meet its debt service commitments leading to its eventual liquidation. RPFF 30, 32, 482, 513, 705, 727.

41.1. Port congestion issues arose at the Los Angeles / Long Beach port terminal since at least the latter half of 2021. *See* Donohue Dep. Tr. 43:5-9 [APP-545].

RESPONSE: Denied. Andrew Donahue testified that port congestion issues arose in the ports of Long Beach and Los Angeles “around October 2021.” APP 545 (Andrew Donahue Tr. at 43:5-10).

41.2. The Ports of Los Angeles and Long Beach, specifically, which together handle about 40% of the nation’s imports, experienced severe congestion throughout 2021 and early 2022. This congestion, driven by high consumer demand, the early Lunar New Year, and ongoing effects of the COVID-19 pandemic, led to significant delays in unloading and moving cargo.

RESPONSE: Admitted that the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: “And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway.”); APP 1749; 1761 (Jim Mitchell Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11). Otherwise denied.

41.3. **August 2021:** The congestion was particularly severe, with ships queuing up to dock at these major ports. The L.A.-Long Beach ship queue stood at a record 44 vessels. *See* Brendan Murray, *U.S. Port Problems Reach Worst of Pandemic Amid Crush of Imports*, Bloomberg at 1-2 (Aug. 28, 2021), <https://www.bloomberg.com/news/articles/2021-08-28/u-s-port-problems-reach-worst-of-pandemic-amid-crush-of-imports> [APP-5084-5086].

RESPONSE: Admitted that the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: “And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the

pandemic, in collaboration with BNSF Railway.”); APP 1749; 1761 (Jim Mitchell Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11). Otherwise denied; the website page cited by BBY was not available online.

41.4. **September 2021:** The congestion persisted, leading to a record numbers of vessels arriving and waiting at Southern California ports. A record 73 ships were stuck outside—almost twice as many as at the same time in August. At the Port of L.A. alone, the amount of cargo handled was up 30% that year thus far, compared with the whole of 2020. *See* Daniel Thomas, *Record Backlog of Cargo Ships at California Ports*, BBC News at 1-2 (Sept. 21 2021), <https://www.bbc.com/news/business-58643717> [APP-5087-5090].

RESPONSE: Admitted that the article reads as addressed above. OOCL admits that Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: “And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway.”); APP 1749; 1761 (Jim Mitchell Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11).

41.5. **October 2021:** The average waiting time for ships to dock at port was about 10 days. Wait times had grown longer for ships to dock and unload cargo at other ports around the country. *See* Chris Isidore, *Everything You’re Waiting for Is In These Containers*, CNN Business, at 4 (Oct. 23, 2021), <https://www.cnn.com/2021/10/20/business/la-long-beach-port-congestion-problem-national-impact/index.html> [APP-5091-5099].

RESPONSE: Admitted that the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: “And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway.”); APP 1749; 1761 (Jim Mitchell

Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11). Otherwise denied; the website page cited by BBY was not available online.

41.6. Starting November 16, 2021, boats crossing the Pacific were asked to sit 150 miles offshore as they waited for a slot to unload their cargo, and boats traveling north or south along the coast were asked to sit 50 miles out. The containers witnessed dwell times that were at peak levels, on terminal as well as on the street. *See* Sam Dean, Is the Ports Logjam Really Getting Better? The Numbers Don't Tell the Whole Story, L.A. Times (Dec. 3, 2021), <https://www.latimes.com/business/story/2021-12-03/officials-say-the-ports-logjam-is-easing-but-numbers-dont-tell-the-whole-story> [APP-5100-5107].

RESPONSE: Admitted that the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: "And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway."); APP 1749; 1761 (Jim Mitchell Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11). Otherwise denied; container ships are not boats; the website page cited by BBY was not available online.

41.7. **December 2021:** On December 20, 2021, the Port of LA Operations Report indicated that 24 container vessels were anchored within 40 miles (in-port area) and 67 were loitering or steaming toward the San Pedro Bay. Container vessels were waiting for an average of 19.9 to 33.4 days to reach a terminal to unload their containers. *See* Weekly Vessels Anchored and at Terminals as of 12/24/2021, Western Overseas Corporation, <https://www.westernoverseas.com/port-congestion-update-12-24-21/> [APP-5108-5108].

RESPONSE: Admitted that the article reads as addressed above. OOCL admits that Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: "And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL

ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway.”); APP 1749; 1761 (Jim Mitchell Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11).

41.8. **January 2022:** The Port of Los Angeles handled 865,595 TEUs, marking its busiest January. *See Los Angeles Has Record January As Steps Continue to Address Congestion*, The Maritime Executive, at 1-2 (Feb. 17 2022), <https://maritime-executive.com/article/los-angeles-has-record-january-as-steps-continue-to-address-congestion> [APP-5109-5115].

RESPONSE: Admitted that the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: “And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway.”); APP 1749; 1761 (Jim Mitchell Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11). Otherwise denied; the website page cited by BBY was not available online.

41.9. **January 2022:** a record 109 ships awaited entry into the combined ports of Los Angeles and Long Beach, often stretching to south Orange County. *See Donna Littlejohn, Los Angeles, Long Beach Ports Hail Supply Chain Progress*, Transport Topics at 1 (Aug. 15, 2022), <https://www.ttnews.com/articles/los-angeles-long-beach-ports-hail-supply-chain-progress> [APP-5116-5122].

RESPONSE: Admitted that the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: “And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway.”); APP 1749; 1761 (Jim Mitchell Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11). Otherwise denied; the website page cited by BBY was not available online.

41.10. During the pandemic, the irregular flow of containers created gridlock at port terminals, such as through the buildup of empty containers. *See* McCown Dep. Tr. 197:17-198:19 [APP-1485-1486].

RESPONSE: Admitted that the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: “And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway.”); APP 1749; 1761 (Jim Mitchell Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11).

42. Port congestion during the COVID-19 pandemic caused significant delays in OOCL’s operations, creating backlogs as vessels missed port calls and cargo had to wait for the next available vessel. *See* Forminio Dep. Tr. 187:19-189:2 [APP-651].

RESPONSE: Denied. Ms. Forminio did not testify that the congestion caused “significant delays” or “created backlogs.” Instead, she testified in generalities as follows:

So what effect did that port congestion have on OOCL's operations?

A I think there was trouble delivering cargo because if -- if one week a vessel doesn't call the port, you've got all that cargo sitting there with no place to go. You have to wait until the next vessel goes. And then you keep having a backlog, like a domino.

So I think that was a very big effect in a lot of the ports that -- you know, and it was like a rolling thing. This week, it was this port. Next week, it was that port.

It was just -- you know, it wasn't like you can say, okay, just stay away from Shanghai, you know, because that's really bad. You know, ship out of someplace else. But you just couldn't because it was -- you know, you never knew which port it was going to be the next week, you know, so ...

Q So when would you say OOCL first

became aware of the effects on operations that COVID was having in China?

A I don't know. Just like anything else. I would probably say, you know, just springtime. That's when we really realized it wasn't going away.

APP 651 (Donna Forminio Tr. at 187:19-189:2).

43. Port congestion during the COVID-19 pandemic was compounded by the unpredictability of which ports would be affected each week. *See* Forminio Dep. Tr. 187:19-189:2 [APP-651].

RESPONSE: Denied. See response to No. 42 above.

44. Supply chain disruptions happened frequently during the COVID-19 pandemic. *See* Forminio Dep. Tr. 169:13-170:6 [APP-646-647]; Ex. 381 (McCown Report) ¶ 171 [APP-3790-3791].

RESPONSE: OOCL denies the implication of the proposition in the first sentence above, that is, that generalized, anecdotal claims congestion and equipment shortages without demonstrating in any case what actually caused delays to the containers at issue is sufficient to set aside demurrage or detention charges. Instead, a case-by-case assessment is required.

OOCL has and had reasonable demurrage and detention guidelines for handling disputes and followed those guidelines. RPFF 486 to 495. OOCL followed those guidelines in this case. Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL's charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24). Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. RPFF 501.

BBY's Vice President of Global Transportation Reid Klosowsky testified that BBY has the "burden of proof" with respect to demurrage and detention claims. RPFF 497. In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBY never provided. RPFF 500. BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

45. Planned shipping schedules were disrupted during the pandemic, leading to bottlenecks followed by sudden releases of containers, a flow that was difficult to react to and

manage. *See* Porter Dep. Tr. 127:23-128:10 [APP-2151]; Ex. 381 (McCown Report) ¶ 171 [APP-3790-3791].

RESPONSE: OOCL denies the proposition in the first sentence above as to BBY. OOCL has provided ample evidence demonstrating that it was BBY's own supply chain management problems that caused it to experience such delays. RPFF 30 to 35, 37, 38, 276, 279 to 284, 288, 289, 506 to 515.

BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States with no available warehouse space. RPFF 514; APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time, again when its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161:24); RX-000979-996 (Ex. 201).

BBY also increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBY had a practice of "holdbacks," that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. RPFF 37.

BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. RPFF 512. BBY's Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

RPFF 512. Seweryn Soban, BBY's former Customs Compliance manager, testified that "merchandise that was not needed at the time it arrived" caused the lack of space in BBY's distribution centers. APP 2488 (Seweryn Soban Tr. at 231:8-14).

All of the foregoing was in addition to BBY's "self-inflicted disruptions" caused by its inability to forecast and anticipate customer purchasing patterns, altering its traditional inventory and

substituting BBY brand-name products (for recognized national brands) that nobody wanted and did not buy, firing its CEO, buying back its stock, and failing to meet its debt service commitments leading to its eventual liquidation. RPFF 30, 32, 482, 513, 705, 727.

46. Port congestion issues in the United States, including at the Los Angeles / Long Beach terminal, were widespread during the Pandemic. *See* OOCL_0000179250 (detailing severe port congestion issues including *inter alia* long-dwelling containers, White House port envoy meetings and directives, containers without rail appointments, vessel delays and wait times, port terminal interests struggling to manage congestion.) [APP-4250-4317].

RESPONSE: Admitted that U.S. ports, including the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: “And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway.”); APP 1749; 1761 (Jim Mitchell Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11). Further, the FMC recognized in its 2021 Annual Report that despite the port congestion:

In Fiscal Year 2021, nearly 28 million Twenty-Foot Equivalent Units (TEUs) were imported through U.S. ports, an increase of 21% from Fiscal Year 2020 totals. If including volumes entering the United States through Canadian ports, that total grows to more than 29 million TEUs of cargo, also a 21% increase from the preceding year.

While conditions at Los Angeles and Long Beach have drawn the attention of the public, media, and government officials, container ports around the United States handled significant and often record-breaking volumes of international trade. Ports in the states of Washington, New York, New Jersey, South Carolina, Georgia, Texas, and Florida all reported historic years in terms of cargo moving over their gateways.

RPFF 122.

46.1. Import cargo not exiting marine terminals quickly enough to allow for new import cargo delivery from incoming vessels from Asia. *See* Donohue Dep. Tr. 43:10-19 [APP-545]; Young Dep. Tr. 76:5-15 (“But, of course, the consequences of that was that the terminals were then being flooded with imports, and to such a degree that the White House appointed an envoy, and General Lyons, who was the head of that -- he was the envoy -- coordinated meetings with all the participants on the supply chains. So truckers, importers, exporters, shipping lines,

railroads all participated in this meeting to try to see how can we get cargo moving more effectively.”) [APP-2842].

RESPONSE: Admitted.

46.2. Delays in vessel productivity leading to a backlog of empty containers waiting to be loaded onto vessels. *See* Donohue Dep. Tr. 43:20-23 [APP-545].

RESPONSE: Admitted.

46.3. Containers idling at ports. *See* Donohue Dep. Tr. 90:22-91:4 [APP- 557]; Young Dep. Tr. 79:10-22 (“A: . . . we rely on return cargo or export cargo or empties to come back to replenish the rail cars within the port. And because there was containers that were just stuck or just sitting because they couldn’t unpack it, the empties weren’t coming back. Exports were lower than normal. And so we had situations where rail cars were all in the wrong place.”) [APP-2843].

RESPONSE: Admitted.

46.3.1. OOCL employed so-called “extra loader” vessels to clear empty containers from port terminals. *See* Young Dep. Tr. 81:6-12 (“A: . . . we were getting the port envoy that says, get these empties off the terminal. Ship them out . . . So we had to also employ extra loaders just to come up and try to clear the empties away so that we would create space for the work to take place at the terminals.”) [APP-2843].

RESPONSE: Admitted.

46.4. Containers being buried in stacks at ports. *See* Donohue Dep. Tr. 43:24-44:8 (“Generally speaking, it could involve containers buried in stacks. And in certain circumstances, it could make it difficult for pickup.”) [APP-545]; Young Dep. Tr. 77:12-78:23 (“A: . . . to answer your question directly, there were containers specifically in some other containers in the LA basin that definitely were buried.”), 88:17-23 [APP-2842-2843, -2845].

RESPONSE: Denied because the cited testimony does not provide the full context of the witness’s answers. Andrew Donahue speculated at deposition about what could have happened. He testified:

Q. Just going into the specifics of those impacts, did those impacts include containers being buried in stacks?

A. Yes. It could have happened.

Q. And that would have made them hard to pick up?

A. Generally speaking, it could involve containers buried in stacks. And in certain circumstances, it could make it difficult for pickup.

APP 545 (Andrew Donahue Tr. at 43:24 to 44:8). Mike Young testified as follows:

Q. And did those effects include containers being buried in stacks basically inaccessible?

A. To some degree in some of the terminals, yes. Because there was just so much cargo, they would just try to find somewhere to put the cargo. LBCT began -- because it was an automated protocol in terms -- or an automated system, they would know exactly where containers were within their yard.

So if a trucker came in, he would know, go to Bay 17, and you'll get your container there. So it was much more managed or oversaw -- overseen, I should say, in terms of how they dealt with the flood of containers. They didn't get as congested, but they were getting to that point because -- excuse me -- customers were not picking up their cargo. They were just leaving them there because they had nowhere to put it.

And we had truckers being very frustrated because, you know, a lot of pressure was being put on by the port for truckers to go out and pick up and remove containers from the terminal, but they said, what am I going to do with it? I can't take it anywhere. The customer can't handle it.

So the situation was that -- yeah -- in many terminals, they were operating at very high utilization within their terminal compared to what would be a normal course of business.

But, yeah, to answer your question directly, there were containers specifically in some other containers in the LA basin that definitely were buried.

APP 2842-2843 (Mike Young Tr. at 77:12-78:23).

46.5. Long queues of trucks at terminal gates. *See* 1 AC ¶ 88 [APP-60]; *see also* OOCL_0000179250 (-0000179262) (OOCL April 26, 2022 summary of Port of Los Angeles / Long Beach Port Envoy call noting truck deliveries needed to improve to reduce to reduce container yard dwelling) [APP-4262].

RESPONSE: Admitted that the summary of the Port Envoy call noted the need for truck deliveries to improve to reduce long-dwell containers. However, there is no evidence in this case that any such queues delayed BBY or its drayage carriers from picking up loaded OOCL containers from and returning empty OOCL containers to any marine terminal. *See* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14). References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.

46.6. A shortage of chassis. *See* Donohue Dep. Tr. 51:17-22 [APP-547]; Devine Dep. Tr. 100:7-16 ("A: Yeah. I think that it's general knowledge that this chassis shortage was created due to the large volume of imports that sat idle outside warehouses and deserts everywhere in southern California. So, yeah, there wasn't enough chassis to handle the volume. And there was no fluidity. They weren't coming back. So there was a chassis shortage from time to time, yes.") [APP-437]; Chen Dep. Tr. 118:3-17 [APP-181].

RESPONSE: Admitted that both Andrew Donahue and Marvic Chen testified about chassis shortages in general on the transcript pages cited. However, there is no evidence in this case that any chassis shortages delayed BBY or its drayage carriers from picking up loaded OOCL containers from and returning empty OOCL containers to any marine terminal. *See* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

46.6.1. The shortage of available chassis was exacerbated by the institution of chassis pools. *See, e.g.,* OOCL_0000179250 (-179301) ("no improvement on Chassis availability, indicating that Labor at DCs etc. is working flat out but overwhelmed. Imports have been grounded by various importers off dock and freed 2500 Chassis — *but still not enough with the latency of returning equipment back to Terminals and release of Chassis back into the supply chain many drop off and re-use so not return to pool[.]*") (emphasis added) [APP-4301].

RESPONSE: Admitted that the above document includes the quoted language. However, there is no evidence in this case that any chassis shortages delayed BBY or its drayage carriers from picking up loaded OOCL containers from and returning empty OOCL containers to any marine terminal. See APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14) .

46.7. A shortage of railcars. *See* Donohue Dep. Tr. 52:13-17 [APP-547]; Young Dep. Tr. 79:10-22 (“A: . . . we rely on return cargo or export cargo or empties to come back to replenish the rail cars within the port. And because there was containers that were just stuck or just sitting because they couldn’t unpack it, the empties weren’t coming back. Exports were lower than normal. And so we had situations where rail cars were all in the wrong place.”) [APP-2843]; Chen Dep. Tr. 118:18-119:2 [APP-181].

RESPONSE: Admitted that Andrew Donahue, Mike Young and Marvic Chen testified about railcars in general on the transcript pages cited. However, there is no evidence in this case that any shortage of railcars delayed BBY or its drayage carriers from picking up loaded OOCL containers from and returning empty OOCL containers to any marine terminal. See APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

46.8. A shortage of appointments for picking up laden containers or dropping off empty containers. *See* Donohue Dep. Tr. 53:18-54:5 [APP-547-548]; Chen Dep. Tr. 115:17-116:14 (acknowledging that during 2020 through 2022 the lack of appointments was “a very common problem across all terminals”, including Long Beach, California) [APP-180].

RESPONSE: Admitted that Andrew Donahue and Marvic Chen testified about lack of appointments in general on the transcript pages cited. However, there is no evidence in this case that any shortage of railcars delayed BBY or its drayage carriers from picking up loaded OOCL containers from and returning empty OOCL containers to any marine terminal. See APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14). Further, Tracy Sha testified that she and her team vetted whether terminals were

open and appointments were required for the DD charges assessed to BBY when she verified those charges, APP 2353 (Tracy Sha Tr. at 224:25-225:24), and also that OOCL broadcast daily notices in Southern California to the trucking industry about terminal openings and appointment requirements. APP 2353; 2356 (Tracy Sha Tr. at 224:8-24; 237:7-12).

46.9. A shortage of trucks. *See* Donohue Dep. Tr. 56:14-19 [APP-548].

RESPONSE: Denied. Andrew Donahue actually testified as follows:

Q. And for the 2020/2021 shipping year, based on your experience, did customers, OOCL customers complain about demurrage charges based on a lack of trucks to pick up containers?

A. I don't recall any specific demurrage. I don't recall any specific complaints related to lack of trucks to pick up containers.

Q. Are you aware that was a general issue for the 2020/2021 shipping year?

A. Generally, I think there was an element of concern over some lack of trucks or trucks not being -- or there not being enough trucks to service certain periods of demand.

APP 548 (Andrew Donahue Tr. at 56:7-19). However, there is no evidence in this case that any shortage of trucks delayed BBY or its drayage carriers from picking up loaded OOCL containers from and returning empty OOCL containers to any marine terminal. *See* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

47. During at least part of the pandemic period, OOCL had a “no empty in” / “dual appointment” / “dual transaction” restriction for containers at the port of Los Angeles/Long Beach, meaning if a customer wanted to deliver an empty container it had to pick up a loaded container during the same visit. *See* 1AC ¶ 90 [APP-60]; Dep. Ex. 71 at OOCL_0000188127 [APP-3171]; Young Dep. Tr. 87:3-21 [APP-2845].

RESPONSE: Denied. In October 2021, OOCL imposed no such restrictions, nor at any other time. Exhibit 71 makes clear that “severe empty restrictions have been enforced on all carriers starting today” by the LBCT terminal, which was “inching towards gridlock” at that time. APP-3171 (Ex. 71, OOCL_0000188127). Respondent did not have the ability to set restrictions such as “no empty in” or “dual appointments/transaction restrictions. In any event, there is no evidence in this case that any dual transaction restrictions delayed BBY or its drayage carriers from picking up loaded OOCL containers from and returning empty OOCL containers to any marine terminal. *See* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP

2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14. References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.

47.1. A "no empty in" / "dual appointment" / "dual transaction" requirement is a requirement imposed by a port terminal in which for each container that a shipper dropped off, that shipper must also arrange the simultaneous pick up of a container. *See* Donohue Dep. Tr. 50:19-51:3 [APP-547]; Delprete Dep. Tr. 98:7-22 [APP-365]; Devine Dep. Tr. 98:11-12 [APP-437].

RESPONSE: Admitted. Respondent highlights that Complainant admits that dual appointment or dual transaction requirements are set by the port terminal, not ocean carrier such as OOCL.

48. At times during the pandemic, OOCL instituted "no empty in" / "dual appointment" / "dual transaction" requirements for the terminals in which it operated. *See* Devine Dep. Tr. 98:14- 99:23 ("Q: Was there ever a dual transaction requirement at terminals OOCL used? A: There may have been. . . . Q: Was LBCT one of them? A: May have been. Q: So you're saying that in order -- you're saying there were needs for empties, and so there would be, at times, a dual transaction? A: Yes. Exactly. Exactly. Q: And that would be a requirement? A: Uh-huh. May have been.") [APP-437]; Sha Dep. Tr. 80:3-10 ("Q: So when it comes to the dual transaction, dual volume requirement, what are some of the terminals you know that did have the dual transaction requirement? A: I know in some particular day, LBCT. Q: LBCT? A: Long Beach Container Terminal, they do have this requirement.") [APP-2317]; [REDACTED]

RESPONSE: Denied. OOCL did not own or operate any of marine terminals in the United States during the pandemic, see e.g., [OOCL - Orient Overseas \(International\) Limited announces the sale of Long Beach Container Terminal to a consortium led by Macquarie Infrastructure Partners](#), and did not institute any kind of "no empty in" / "dual appointment" / "dual transaction" requirements. The marine terminals controlled the appointment schedule, not OOCL. APP 2308-2309; 2309-2310; 2310; 2317 (Tracy Sha TR. 45:14-46:8; 49:23 to 50:7; 51:9 to 52:14; 80:3 to 81:16). Respondent did not have the ability to set appointment restrictions. Further, OOCL's Tracy Sha testified that she and her team vetted whether terminals were open and appointments were required for the DD charges assessed to BBY when she verified those charges, APP 2353 (Tracy Sha Tr. at 224:25-225:24), and also that OOCL broadcast daily notices in Southern California to the trucking industry about terminal openings and appointment requirements. APP 2353; 2356 (Tracy Sha Tr. at 224:8-24; 237:7-12). No appointments were required by terminals outside Southern California.

49. "No empty in" / "dual appointment" / "dual transaction" requirements prevented the return of many empty containers that terminals badly needed. *See* Young Dep. Tr. 79:11-20 ("A: . . . Because another issue was that while there was so much cargo coming in and we were loading them onto rail cars and distributing them on land, we rely on return cargo or export cargo or empties to come back to replenish the rail cars within the port. And because there was containers

that were just stuck or just sitting because they couldn't unpack it, the empties weren't coming back.") [APP-2843]; *see also infra* ¶ 734.

RESPONSE: Denied. The quote from Mike Young above was taken out of context; his testimony at transcript pages and lines 79:11-20 had nothing to do with dual transaction or appointment requirements. APP 2843 (Mike Young Tr. at 79:11-20). Further, BBY's proposed finding of fact 734 has been stricken.

49.1. OOCL was aware that dual-appointment requirements contributed to port congestion in instances where OOCL's customers such as BBY did not have laden containers to pick up or laden containers were inaccessible. *See* Young Dep. Tr. 88:6-23 [APP-2845].

RESPONSE: Denied. Mike Young testified in generalities about dual transaction requirements and made no reference to BBY or OOCL in the testimony cited; he also testified that in some cases, dual transaction requirements helped and in some cases hampered the situation. APP 2845 (Mike Young Tr. at 88:6-23). The Terminals controlled the appointment schedule, not OOCL. OOCL did not have the ability to set restrictions such as "no empty in" or "dual appointments/transaction restrictions. In any event, there is no evidence in this case that any dual transaction restrictions delayed BBY or its drayage carriers from picking up loaded OOCL containers from and returning empty OOCL containers to any marine terminal. *See* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

50. OOCL was aware of the port and rail congestion issues that all BCO customers, including BBY, faced from 2020 through 2022. *See* Chen Dep. Tr. 113:3-119:2 [APP-179-181]; Mitchell Dep. Tr. 116: 19-119:5 [APP-1706-1707].

RESPONSE: Admitted that Marvic Chen and Jim Mitchell testified in generalities about the effect of port congestion; otherwise denied. In the transcripts citations above, the only reference to BBY was by Jim Mitchell where he testified that: "the railroads may have lacked the number of railcars needed to move out containers. But at that time, if we're talking about Bed Bath & Beyond, they were just shipping to the CY. They weren't going inland; at least not with us." APP 1706-0707 (Jim Mitchell Tr. at 117:23-118:5).

50.1. OOCL participated frequently in industry meetings with envoys tasked by the President of the United States to address port congestion issues. *See* OOCL_0000179250 (*passim*) [APP-4250]; Young Dep. Tr. 76:5-77:11, 79:23-80:17 ("A: . . . So the president set up what he called the White House Envoy to coordinate meetings with all the stakeholders to try to see what we can do to improve the flow of cargo and ensure that we don't have a situation -- and

it did happen a couple times that we had a vessel that came into one of the LA ports and it couldn't work because there was nowhere to discharge and put the containers. Q: And were you -- just to be clear, did you participate in these port envoy meetings? A: I attended the port envoy meetings . . .”) [APP-2842-2843].

RESPONSE: Admitted.

51. Congestion issues during the pandemic were well known not just to carriers but to everyone involved in the supply chain. *See* McCown Dep. Tr. 274:16-22 [APP-1505].

RESPONSE: Admitted that BBBY’s purported liability expert John McCown testified to the foregoing but denied that his testimony should be afforded any weight based upon his methodological flaws and specious conclusions, as well as conclusions drawn from data that has not been vetted. See OOCL’s Motion to Strike John McCown; RPFFs 499, 550-575. The FMC recognized in its 2021 Annual Report that despite the port congestion:

In Fiscal Year 2021, nearly 28 million Twenty-Foot Equivalent Units (TEUs) were imported through U.S. ports, an increase of 21% from Fiscal Year 2020 totals. If including volumes entering the United States through Canadian ports, that total grows to more than 29 million TEUs of cargo, also a 21% increase from the preceding year.

While conditions at Los Angeles and Long Beach have drawn the attention of the public, media, and government officials, container ports around the United States handled significant and often record-breaking volumes of international trade. Ports in the states of Washington, New York, New Jersey, South Carolina, Georgia, Texas, and Florida all reported historic years in terms of cargo moving over their gateways.

RPFF 122.

52. In an email dated September 26, 2021, accompanying a report on U.S. port congestion and inefficiencies, OOCL Logistics employee Zora Jamil-Oden wrote that “extraordinary global circumstances (COVID-19, weather, ocean vessel accidents, labor shortages) has [*sic*] pushed infrastructure to its limits” and noted that there was “substantial strain being put on infrastructure”. *See* OOCL_0000069950 at 1 [APP-4148].

RESPONSE: Admitted. However, OOCL Logistics, which is an NVOCC, is a separate company from OOCL, and not a party to this proceeding. No statements by an OOCL Logistics’ employee are attributable to OOCL.

53. One catalyst for the situation in southern California—where at one point during the relevant time period over one hundred ships were anchored off the coast, waiting to unload their loaded containers—was nonperformance of carriers within their terminal spaces. *See* McCown Dep. Tr. 169:4-24 [APP-1478].

RESPONSE: Denied. Though BBY's purported liability expert John McCown testified to the foregoing, his testimony should not be afforded any weight based upon his methodological flaws and specious conclusions, as well as conclusions drawn from data that has not been vetted. See OOCL's Motion to Strike John McCown, RPFs 499, 550-575.

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While conditions at Los Angeles and Long Beach have drawn the attention of the public, media, and government officials, container ports around the United States handled significant and often record-breaking volumes of international trade. Ports in the states of Washington, New York, New Jersey, South Carolina, Georgia, Texas, and Florida all reported historic years in terms of cargo moving over their gateways.

RPF 122.

OOCL, admits that the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, but denied as to OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), and thus was able to offload its containers with little or no delays. APP 436 (Paul Devine Tr. at 94:7-7-25; who testified: "And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway."); APP 1749; 1761 (Jim Mitchell Tr. at 289:12-21; 336:2-22); APP 1818 (Gavin Murdoch Tr. at 66:10-11).

IV. OOCL's Extreme and Unprecedented Profitability during the COVID-19 Pandemic

54. During the three-year period from 2017 through 2019, the net profit as a percentage of revenue for the shipping industry was well below one percent. *See* Ex. 381 (McCown Report) ¶ 26 [APP-3759].

RESPONSE: Denied. Though John McCown's report states the foregoing, there is no supporting data included with his report.

55. During the three-year period from 2017 through 2019, the net profit as a percentage of revenue for OOCL was 2.3%, 1.6%, and 2.8%, respectively. *See* Ex. 381 (McCown Report) Table 1, at 7 [APP-3760].

RESPONSE: Denied. Though John McCown’s report states the foregoing, there is no supporting data included with his report.

56. In 2020, OOCL’s net profit as a percentage of revenue was 11.0%. *See* Ex. 381 (McCown Report) Table 1, at 7 [APP-3760].

RESPONSE: Denied. Though John McCown’s report states the foregoing, there is no supporting data included with his report.

57. In 2021, OOCL’s net profit as a percentage of revenue was 59.2%. *See* Ex. 381 (McCown Report) ¶ 30 [APP-3760].

RESPONSE: Denied. Though John McCown’s report states the foregoing, there is no supporting data included with his report.

58. In 2022, OOCL’s revenues increased to \$19,820,000,000 while its net profit as a percentage of revenue was 36%, much higher than pre-pandemic margins. *See* Ex. 381 (McCown Report) 7 [APP-3760].

RESPONSE: Denied. Though John McCown’s report states the foregoing, there is no supporting data included with his report.

59. As OOCL publicly reported, its Container Transport and Logistics business had earnings before interest and taxes (“EBIT”) of \$370 million for 2019. *See* Dep. Ex. 54 at 2 [APP-3095].

RESPONSE: Admitted.

60. As OOCL publicly reported, its Container Transport and Logistics business had EBIT of \$1.005 billion for 2020, *nearly triple* its EBIT in the previous year. *See* Lam Dep. Ex. 54 at 1 [APP-3094].

RESPONSE: Admitted.

61. As OOCL publicly reported, its Container Transport and Logistics business had EBIT of \$7.387 billion for 2021, *a more than 700% increase* from 2020. *See* Lam Dep. Ex. 54 at 13 [APP-3106].

RESPONSE: Admitted.

62. OOCL announced its Container Transport and Logistics business reported EBIT of \$10.1 billion for 2022, *a more than 36% increase* from the prior year, and *a more than 2,700% increase from its pre-pandemic EBIT in 2019*. *See* Lam Dep. Ex. 54 at 20 [APP-3113].

RESPONSE: Admitted.

63. In 2021, the shipping industry's net profit as a percentage of revenue was 36.8%, as compared with less than 1% during the years 2017 through 2019. *See* Ex. 381 (McCown Report) Table 1, at 7 [APP-3760]; Ex. 381 (McCown Report) ¶ 26 [APP-3759].

RESPONSE: Denied. Though John McCown's report states the foregoing, there is no supporting data included with his report.

64. OOCL's 2021 net profit as a percentage of revenue of 59.2% was extraordinary not only in an absolute sense but also in a relative sense, as it exceeded the overall industry's net income to revenue margin by 22.4 percentage points. *See* Ex. 381 (McCown Report) ¶ 30 [APP-3760].

RESPONSE: Denied. Denied. Though John McCown's report states the foregoing, there is no supporting data included with his report.

65. [REDACTED]

RESPONSE: [REDACTED]

66. Jensen stated in August 2020 that "shipping lines have for now clearly said goodbye to the old philosophy about it being exclusively a matter of conquering market shares and volumes at all costs, to it now being a bit more reasonably [*sic*] to focus on how to become profitable." *See* Dep. Ex. 416 at 4 [APP-4040].

RESPONSE: Admitted that the quote above was attributed to Lars Jensen in the article cited.

67. Jensen projected in August 2020 that "[u]nless something goes horribly wrong in the second half of the year, the shipping lines altogether will most likely exit 2020 with a profitability that's better than 2019, despite the crisis." *See* Dep. Ex. 416 at 5 [APP-4041].

RESPONSE: Admitted that the quote above was attributed to Lars Jensen in the article cited.

V. Background on Service Commitments by Ocean Carriers

68. Like many shippers, BBY entered into annual service contracts to meet its anticipated needs for freight. *See* Ex. 381 (McCown Report) ¶ 33 [APP-3761].

RESPONSE: Denied. Shippers mostly enter into service contracts to lock in low rates in a rising rate environment. BBY contracted for more space than it anticipated it would need at the beginning of the 2020/21 and 2021/22 service contract years. RPFF 275.

Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint.

BBBY's purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBBY (or Yusen) or a booking denial by OOCL. RPF 563. BBBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence.

69. Service contracts that concern maritime commerce involving the United States are governed by the Shipping Act. *See* Ex. 381 (McCown Report) ¶ 34 [APP-3761].

RESPONSE: Denied. Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Respondent agrees that the Shipping Act governs such service contracts. In this case, the FMC lacks authority over the breach of contract suit between the Parties.

70. Each service contract that BBBY had with OOCL contained an MQC, i.e., a minimum quantity of space that OOCL committed to providing at the prices and on the lanes specified in the service contract. *See* Ex. 381 (McCown Report) ¶ 35 [APP-3761-3762].

RESPONSE: Denied. The service contracts provided for an MQC, which consists of a commitment from OOCL to provide space at agreed prices on agreed lanes *and* a commitment from BBBY to tender the cargo to fill such space. As described by the Commission, "a service contract is a reciprocal commitment between shipper and carrier that ensures the carrier received a minimum volume of cargo and the shipper received commitments to assured space or rates." *OJ Commerce, LLC*, Dkt. No. 21-11, slip. op. at 27 (Fed. Mar. Comm'n Aug. 27, 2024).

71. Some shippers, including BBBY, prefer service contracts for their ocean freight needs. *See* Ex. 381 (McCown Report) ¶ 42 [APP-3763]; *see also infra* ¶¶ 135-136 (citing OOCL's expert Lars Jensen's analysis of benefits of fixed-rate freight contracts to shippers and risks of bankruptcy from increases in ocean freight costs).

RESPONSE: Admitted.

72. As recognized by the FMC, there is a distinction between service contracts, which provide a fixed quantity and fixed prices, and spot market carriage, in which a carrier has no obligation to accept any particular shipment, prices can fluctuate widely, and there is no guarantee of space during periods of peak demand or supply chain congestion. *See* Ex. 381 (McCown Report) ¶ 40 [APP-3762-3763]; *OJ Commerce, LLC*, Dkt. No. 21-11, slip. op. at 27 (Fed. Mar. Comm'n Aug. 27, 2024).

RESPONSE: Denied. While spot market carriage can be as described short-term agreements for carriage usually between beneficial cargo owners and NVOCCs (via NRAs or NSAs), or between VOCCs and NVOCCs (via filed service contracts), the cited *OJ Commerce* reference does not define a service contract as providing a fixed quantity and fixed prices, rather, according to the Commission, "a service contract is a reciprocal commitment between shipper and carrier that ensures the carrier received a minimum volume of cargo and the shipper

received commitments to assured space or rates.” *OJ Commerce, LLC*, Dkt. No. 21-11, slip. op. at 27 (Fed. Mar. Comm’n Aug. 27, 2024).

73. Service contracts are taken seriously in the shipping industry because they create both contractual and statutory obligations. *See* Ex. 381 (McCown Report) ¶ 36 [APP-3762].

RESPONSE: Denied. Complainant’s source for this purported “fact,” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence.

74. In the experience ofBBBY’s expert, John McCown, ocean carriersare well aware of the importance of honoring their service commitments under service contracts and understand that if they choose not to honor these commitments, they do so at peril of investigations, enforcement proceedings, and penalties. *See* Ex. 381 (McCown Report) ¶ 41 [APP-3763].

RESPONSE: Denied. Complainant’s source for this purported “fact,” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence.

75. Beneficial Cargo Owners (“BCOs”) such as BBBY expect to, and should be able to, rely on carriers to honor their service commitments. *See* Ex. 381 (McCown Report) ¶ 42 [APP-3763].

RESPONSE: Denied. Complainant’s source for this purported “fact,” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. BCOs and ocean carriers rely on each other’s service contract commitments, subject to agreed service contract amendments, where applicablesee APP-1023-24 (Jensen Tr. 109:17-110:13), liquidated damages and judicial enforcement for breach.

76. Steffen admitted that his expectation based on his expertise is that, in industries where there is a distinction between fixed rate agreement and floating spot price purchases, producers would honor their fixed rate agreements. *See* Steffen Dep. Tr. 63:23-64:4 (“Q. In your exposure to industries where there is a distinction between fixed rate agreement and floating spot price purchases, do you expect that producers will honor their fixed rate agreements? A I would expect that.”) [APP-2535].

RESPONSE: Admitted that Mr. Steffen testified as set forth above. However, he was not shown any service contract amendments reflecting the parties’ written agreement to a change in rates. Both service contracts permitted changes in rates provided they were signed and filed with the FMC. APP 3261-3292 and 3360-3397 (Exs. 163 (Clause 9; and 332, Clause 9). As agreed by Paul Pastor, BBBY was not in a position to simply enforce fixed-rate agreements as it needed additional capacity beyond its MQC in service years 2020 and 2021, capacity that it knew it would need to pay for at market rates and at rates to which it agreed. APP-1953-1954 (Pastor Tr. 97:8-100:4).

77. Steffen admitted that in any field he has worked in he would never advise a consumer of a product with a fluctuating price to resort solely to fluctuating spot prices where fixed rate-contracts, like the Service Contracts between BBY and OOCL, are available, including because such a consumer could go bankrupt if it suddenly needed to pay significantly higher prices than those it anticipated paying. Steffen Dep. Tr. 60:7-64:19 [APP-2534-2535].

RESPONSE: Denied. Steffen's testimony regarding bankruptcy was limited to his experience with electric utilities. APP-2534 (Steffen Tr. 61:4-13).

VI. OOCL's Employees Acknowledged Its Shipping Act Violations in Internal Communications

78. [REDACTED]

RESPONSE: [REDACTED]

79. [REDACTED]

RESPONSE: [REDACTED]

80.

RESPONSE:

80.1. The September 2021 presentation summarized a meeting of OOCL's top management and trade executive, including: OOCL's Chief Operating Officer, Kenny Ye; Director of Trade, Teddy Fung; General Manager of Transpacific Trade, Karen Lam; Regional Manager, David Maw; President of OOCL (USA) Inc., Paul Devine; North America Director of Marketing and Sales, Glenn Metzger; and regulatory compliance and systems manager, Mike Young. See Dep. Ex. 70 at OOCL 0000229467 [APP-5129];

Young Dep. Tr. 144:3-148:25 ("*It was really more the management group that we wanted to address because we felt they were the ones that could do something about the situation we were in.*") (emphasis added) [APP-2859-2860]; Devine Dep. Tr. at 295:6-22 ("Q. So earlier we discussed an e-mail where Mike Young indicated that he felt it was important to raise certain issues with management. Do you recall that? A. Yes, I recall some discussion about that. Q. Is this a follow-up from that e-mail, to your knowledge?

It appears to be. Q. Okay. Is this where your team raised such issues? A. Mike would regularly raise issues in an effort to keep our group aligned with the operating environment, yeah.") [APP-486].

RESPONSE:

81.

RESPONSE:

Next Steps

- Fix It
 - Review and standardize booking acceptance policy across regions
 - Transparent communications (internal and external)
 - Reduce declined bookings
 - Declined bookings represent 37.9% of NAG booking activity on TPT EB
 - Does not include the bookings that are declined within the External Booking Request module.
 - Review Premium on same / alternate service
 - How it is offered and managed
 - Compliance issue on space availability

82.

RESPONSE:

[REDACTED]

OOCL met its container space commitments during the two shipping years at issue. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

83. The executive summary of OOCL's internal presentation concerning compliance risks noted that OOCL's practice of declining booking requests within standard service contracts but providing space under premium contracts may violate the contractual agreements and regulatory practices and open OOCL to liability with the FMC, and potentially the Department of Justice as well. *See* Dep Ex. 74 [APP-3184]; Ex. 381 (McCown Report) ¶ 127 [APP-3780-3781].

RESPONSE: Denied. [REDACTED]

[REDACTED] One of Complainant's sources for this purported "fact" is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. [REDACTED]

84. In February 2022, senior OOCL employees warned Hong Kong management about the need to comply with "regulatory issues that some in HK may not be aware [of]". *See* Dep. Ex. 76 at OOCL_0000055991 [APP-3195].

RESPONSE: Denied. The cited email discussed perception and raises U.S. regulatory requirements with Hong Kong, but it is not a "warning" as Complainant states. [REDACTED]

85. [REDACTED]

RESPONSE: [REDACTED]

86.

RESPONSE:

87. One OOCL employee told Hong Kong management that he was flagging compliance issues from a “regulatory concerned” position, and remarked that he felt obligated to raise these issues to try to avoid potential complaints with the “FMC, DOJ or other regulatory body”. *See* Dep. Ex. 137 at 2 [APP-3232].

RESPONSE: Admitted.

88.

RESPONSE:

89.

RESPONSE:

90. At least one OOCL employee expressed his concern regarding OOCL's pricing policies. *See* OOCL_0000134511 at 3 [APP-4173].

RESPONSE: Denied. This proposed finding of fact is vague and not supported by the record. The cited statement of Mike Young (APP-4176) was not a concern regarding OOCL's pricing strategy, as Mr. Young conceded he did not know OOCL's pricing strategy. Rather, Mr. Young was explaining his view of a changing market environment and his assessment that a pricing strategy made up of traditional negotiations (high bids and low bids, seeking a middle ground) wasn't "an effective strategy" at that time. APP-4176 ("In the past we tried to pitch high – the customer pitched low and we negotiated to a middle ground. Under the current environment this isn't an effective strategy (if that's what we are still doing)[.]").

ARGUMENT

I. Count I: Violation of 46 U.S.C. § 41102(c): OOCL's Failure to Meet its Service Commitments to BBY under the Service Contracts Regarding MQC Commitments Was Unreasonable and Constitutes a Violation of 46 U.S.C. § 41102(c) ("Unjust and unreasonable failure to meet service commitments under the Service Contracts")

A. Count I, Element 1: OOCL is an ocean common carrier.

91. OOCL is an ocean common carrier.

91.1. This element has been established. *Supra* ¶ 11.

91.2. This element is undisputed.

RESPONSE: Admitted.

B. Count I, Element 2: OOCL's acts or omissions occurred on a normal, customary, and continuous basis.

92. OOCL's conduct in violation of Count I occurred on a normal, customary, and continuous basis.

92.1. This element has been established. *Infra* FOF.Arg.I.B.

92.2. This element is undisputed.

RESPONSE: This is a legal conclusion. Inasmuch as any assertion of fact is made by CPFF92, denied. Further, there was nothing normal and customary during the unprecedented years of 2020 through 2022 with the growth of 6,000,000 containers during the middle of a worldwide pandemic when container space capacity was severely constricted and ports were severely congested. The impact of such volumes on the container transportation industry was tremendous. RPF 93. The FMC's 2021 Annual Report noted that "[i]n Fiscal Year 2021,

nearly 28 million Twenty-Foot Equivalent Units (TEUs) were imported through U.S. ports, an increase of 21% from Fiscal Year 2020 totals.” RPF 122. All of this occurred during the course of a worldwide pandemic.

93. OOCL’s actions throughout the relevant period did not relate to a single discrete incident but rather to a large number of shipments and for extended periods of time. *See* Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages,” SY 21”, “21 But For,” and “21 Damages”) [APP-3359]; Ex. 326 at 9, 10 [APP-3345-3346]; Ex. 381 (McCown Report, Appendices A-1 through C) [APP-3794-3845]; Ex. 381 (McCown Report) ¶ 48 (“*OOCL’s strategy was to participate in the spot market through service contracts with NVOCCs.*”) [APP-3764].

RESPONSE: Denied. One of Complainant’s sources for this purported “fact” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Further, the nature of this purported finding of fact, paired with the absence of evidence supporting the generic claims asserted by BBY, shows that Count I fails. Ex. 330 has not been authenticated or verified for accuracy. RPF 574. BBY’s purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. RPF 563.

94. OOCL’s failure to make space available under its Service Contracts with BBY, and service contracts with other customers, resulted in mounting shortages for BBY as well as other shippers.

RESPONSE: Denied. BBY does not cite to the record for this proposed finding of fact. Accordingly, it should not be adopted. Further, the assertion as to “other shippers” is irrelevant to this case and not supported in the record.

The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPF 576 to 618. Despite BBY’s failures to provide forecasts to OOCL as promised and in spite of BBY’s cancelled bookings, OOCL carried 104.4% of the original MQC under contract PE203297 and 94% under PE213179. APP 1392-1395 (Karen Lam Tr. 214:25-226:11). BBY’s assessment of OOCL’s purported shortfall is bogus. See RPF 550 to 575.

95. During the term of the 2020 Service Contract, OOCL’s misconduct caused OOCL to carry only 1,475.85 FEUs of the 2,100 contracted FEUs, and BBY had to secure at least 624.15 FEUs on the lanes that were supposed to be covered by OOCL’s 2020 Service Contract via alternative means and to pay \$3,146,072 more for carriage of those FEUs than it would have pursuant to the 2020 Service Contract. *See* 1AC ¶ 176 [APP-85]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages”) [APP-3359]; *see also* Ex. 326 at 9-10 [APP-3345-3346].

RESPONSE: Denied. BBY's First Amended Complaint is not evidence and all BBY witnesses have admitted to not knowing the source of the cited data. One of Complainant's sources for this purported "fact" is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. OOCL has submitted unrefuted evidence showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

96. OOCL quickly began under-allocating space, with September 2020 allocations already falling short of the MQC/52. *See* Dep. Ex. 25 at OOCL_0000030424 [APP-3000].

RESPONSE: Denied. Space was not under-allocated in 2020. Rather, BBY's shipments were below MQC/52 due to BBY's failure to book space. Further, MQC/52 is not a metric relied on by any party, as admitted by BBY's Patrick Hackett, retailers do not ship MQC/52 but rather ship seasonally throughout the year. *See* APP-844 (Hackett Tr. 125:9-24). The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

97. OOCL's November and December 2020 allocations met only about two-thirds of BBY's projected space requests. *See* P-0000215635 at P-0000215635 [APP-4394].

RESPONSE: Denied. OOCL's initial allocations were below BBY's projected space needs but were accompanied by "the ability to provide additional allocations three weeks in advance of a vessel's sail date." APP-4394.

98. By January 2021, there were significant backlogs on BBY's orders due to "space constraints from the carriers", including OOCL. *See* Jacobus Dep. Ex. 265 at P-0000224001 [APP- 3332]; Jacobus Dep. Tr. 58:8-59:4 [APP-943].

RESPONSE: Denied. The record cite does not support the proposition asserted. Amanda Jacobus—a Yusen employee not handling BBY's account during January 2021—testified that she had no recollection about BBY orders being past due. APP-943 (Jacobus Tr. 12:22-13:11; 58:4-7). After conceding to not knowing any specific details regarding BBY, Ms. Jacobus testified generally as to the ocean carriage industry at that time. Complainant's omission of this predicate fact renders CPFF 98 yet another disingenuous attempt to mislead the Presiding Officer and misstate the record.

99. By the end of January 2021, OOCL was on track to fulfill only approximately 60 percent of its service commitment to BBY in the 2020 Service Contract. *See* 1AC ¶ 41 [APP-48]; Ex. 330 (Tabs "SY 20", "20 But For," and "20 Damages") [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

RESPONSE: Denied. BBY's First Amended Complaint is not evidence. This proposed finding of fact is also irrelevant as there is only an annual MQC requirement in the relevant service contract. Ex. 330 has not been authenticated or verified for accuracy. RPFF 574. As for Ex. 326, see RPFFs 558 to 575.

100.

RESPONSE:

101. Despite committing to provide 2,100 FEUs of space to BBY during the 2020 Service Contract year, OOCL provided only approximately 1,475.85 FEUs of space, or 70.3% of its service commitment. *See* 1AC ¶ 35 [APP-85]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs "SY 20", "20 But For," and "20 Damages") [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

RESPONSE: Denied. BBY's First Amended Complaint is not evidence and all BBY witnesses have admitted to not knowing the source of the cited data. One of Complainant's sources for this purported "fact" is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Exhibits 328 and 329 have not been authenticated or verified for accuracy. RPFF 569-573. BBY's purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. RPFF 563. BBY's First Amended Complaint is not evidence.

OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

102. As a result of OOCL's 624.15-FEU shortfall during the 2020 Service Contract year, BBY was forced to seek carriage from other sources at higher rates, or else forgo shipments entirely. *See* 1AC ¶ 36 [APP-85]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; [APP-4414]; Ex. 330 (Tabs "SY 20", "20 But For," and "20 Damages") [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345]. [APP-3346].

RESPONSE: Denied. BBY's First Amended Complaint is not evidence and all BBY witnesses have admitted to not knowing the source of the cited data. One of Complainant's sources for this purported "fact" is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his

testimony should be accorded no persuasive influence. Exhibits 328 and 329 have not been authenticated or verified for accuracy. RPF 569-573. BBY's purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. RPF 563.

OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). Because there was no shortfall, BBY did not seek carriage from other sources or forgo shipments due to any conduct of OOCL. The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575.

103. Appendices A-1 through A-4 of the McCown Report reflect actual shipments that BBY had to undertake using NVOs or ocean freight forwarders during the 2020 Service Contract year on lanes that were supposed to be covered by OOCL's 2020 Service Contract, but for which OOCL failed to meet its service commitments under the 2020 Service Contract. *See* Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 329 [APP-3358].

RESPONSE: Denied. One of Complainant's sources for this purported "fact" is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. BBY's purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. RPF 563. Accordingly, his testimony should be accorded no persuasive influence. Exhibits 328 and 329 have not been authenticated or verified for accuracy. RPF 569-573. Further, there is no record evidence that BBY experienced any container space shortfall and there is no evidence that any BBY shipments made with NVOs or other ocean carriers were ever attempted to be booked with OOCL or were otherwise supposed to be carried by OOCL but were not.

OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575.

104. During the term of the 2021 Service Contract, OOCL's misconduct caused OOCL to carry only 2,432.74 FEUs of the 3,796 contracted FEUs, and BBY had to secure at least 1,363.26 FEUs on the lanes that were supposed to be covered by OOCL's 2021 Service Contract via alternative means and to pay at least \$19,563,799.79 more for carriage of those FEUs than it would have pursuant to the 2021 Service Contract. *See* 1AC ¶ 178 [APP-85]; Ex. 381 (McCown

Report, Appendices B-1 through B-4) [APP-3810-3844]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 21”, “21 But For,” and “21 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

RESPONSE: Denied. BBY’s First Amended Complaint is not evidence and all BBY witnesses have admitted to not knowing the source of the cited data. Complainant’s Expert Witness John McCown lacks the requisite qualifications related to the subject matter of this Complaint. BBY’s purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. RPF 563. Accordingly, his testimony should be accorded no persuasive influence. Exhibits 328 and 329 have not been authenticated or verified for accuracy. RPF 569-573. Ex. 330 has not been authenticated or verified for accuracy. RPF 574.

OOCL has submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPF 576 to 618. BBY’s assessment of OOCL’s purported shortfall is bogus. See RPF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, “OOCL met and exceeded its commitments, or its allocation.” APP 1627 (Glenn Metzger Tr. 151:16-24). Because there was no shortfall, BBY did not seek carriage from other sources or forgo shipments due to any conduct of OOCL.

105.

RESPONSE:

106. In the months of October 2021 through March 2022, OOCL provided just 52.9 percent of contracted space to BBY, if allocated monthly. *See* 1AC ¶ 46 [APP-49]; Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 21”, “21 But For,” and “21 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

RESPONSE: Denied. BBY’s First Amended Complaint is not evidence and all BBY witnesses have admitted to not knowing the source of the cited data. Complainant’s Expert Witness John McCown lacks the requisite qualifications related to the subject matter of this Complaint. BBY’s purported liability expert John McCown did not prepare the appendices

to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. RPF 563. Accordingly, his testimony should be accorded no persuasive influence. Exhibits 328 and 329 have not been authenticated or verified for accuracy. RPF 569-573. Ex. 330 has not been authenticated or verified for accuracy. RPF 574.

OOCL has submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

107. On February 5, 2022, following numerous communications alerting OOCL to its failure to meet its service commitments under the 2020 Service Contract, BBY Vice President of Global Transportation, Reid Klosowsky, emailed OOCL to reiterate its failure to meet its service commitments. See OOCL 0000005125 (-5125) [REDACTED]

RESPONSE: Denied. The cited email is from February 2, 2022. Further, there is no record evidence of "numerous communications alerting OOCL . . ." as stated. Patrick Hackett admitted that there was never an agreed MQC breakdown "by week or by month." RPF 211, 217, 293. He also admitted that BBY did not ship on the basis of MQC/52. RPF 223. Further, BBY's Senior Director of International Supply Chain Patrick Hackett testified that to his knowledge an analysis to determine whether or not OOCL provided all of the space it said it was going to provide was never done. RPF 292. Additionally, no such calculation was performed by anyone on behalf of BBY. 560.

108. [REDACTED]

RESPONSE: [REDACTED]

108.1. BBY's February 2022 Letter to OOCL stated in part: [REDACTED]



RESPONSE: OOCL admits that the quoted language was stated in the February 2022 letter but denies the veracity of such language. Patrick Hackett testified that to his knowledge an analysis to determine whether or not OOCL provided all of the space it said it was going to provide was never done. RPFF 292. Additionally, no such calculation was performed by anyone on behalf of BBY. 560.

The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

109. Despite agreeing to provide 3,796 FEUs of space to BBY during the 2021 Service Contract year, OOCL provided only approximately 2,432.74 FEUs of space, or 64.1% of its service commitment. *See* 1AC ¶ 47 [APP-49]; Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Dep. Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs "SY 21", "21 But For," and "21 Damages") [APP-3359]; *see also* Dep. Ex. 326 at 9, 10 [APP-3345-3346].

RESPONSE: Denied. BBY's First Amended Complaint is not evidence and all BBY witnesses have admitted to not knowing the source of the cited data. Complainant's Expert Witness John McCown lacks the requisite qualifications related to the subject matter of this Complaint. BBY's purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. RPFF 563. Exhibits 328 and 329 have not been authenticated or verified for accuracy. RPFF 569-573. Ex. 330 has not been authenticated or verified for accuracy. RPFF 574. Accordingly, his testimony should be accorded no persuasive influence.

OOCL has submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24). The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

110. Appendices B-1 through B-4 of the McCown Report reflect actual shipments that BBBY had to undertake using NVOs or ocean freight forwarders during the 2021 Service Contract year on lanes that were supposed to be covered by OOCL's 2021 Service Contract, but for which OOCL failed to meet its service commitments under the 2021 Service Contract. *See* Ex. 381 (McCown Report Appendices B-1 through B-4) [APP-3810-3844]; Dep. Ex. 328 [APP-3357]; Dep. Ex. 329 [APP-3358].

RESPONSE: Denied. BBBY's purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBBY (or Yusen) or a booking denial by OOCL. RPF 563. Exhibits 328 and 329 have not been authenticated or verified for accuracy. RPF 569-573. Complainant's Expert Witness John McCown lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence.

OOCL has submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24). The undisputed record evidence shows that OOCL met its service contract obligations in the relevant years. RPF 576 to 618. BBBY's assessment of OOCL's purported shortfall is bogus. *See* RPF 550 to 575. Because there was no shortfall, BBBY did not seek carriage from other sources or forgo shipments due to any conduct of OOCL.

111. OOCL failed to meet its service commitment on fixed-price BCO service contracts with all customers, including BBBY. *See* Mitchell Dep. Tr. 178:24-179:4 ("for all of your BCO customers, MQC was not achieved prior to a drawdown amendment, correct? A Correct.") [APP- 1722].

RESPONSE: Denied. Complainant again attributes statements to witnesses that the witness did not make. BBBY's Jim Mitchell agreed that MQC was not met prior to drawdown amendments, however he very clearly did not say that OOCL failed to meet its service commitments. As stated throughout the record—and well known by Complainant—the shipper has an obligation to tender cargo pursuant to the service contracts. *See* APP-885 (Hackett Tr. 289:5-9); APP-1957 (Pastor Tr. 111:10-15). Thus, the presence of a drawdown amendment does not imply failure by OOCL, the carrier. Rather, and unhelpfully to Complainant's burden in this case, a drawdown amendment could imply that the carrier did not provide enough space, the shipper did not provide enough cargo, or both.

Nevertheless, the data shows that OOCL met its container space allocation commitments. RPF 576 to 618. BBBY's assessment of OOCL's purported shortfall is bogus. *See* RPF 550 to 575.

112. It was common for OOCL to experience disputes with its customers as to fulfillment of MQC service commitments, especially during the 2020-2021 shipping year. *See* Forminio Dep. Tr. 138:2-142:7 [APP-639-640].

RESPONSE: Denied. CPFF 112 is irrelevant as the proposition it stands to support does not relate to BBY. Ms. Forminio testified that there were general space complaints from customers, but that BBY's complaints were "more about the extra space than the MQC, from my -- from my perspective." APP-639 (Forminio Tr. 140:5-7). The data shows that OOCL met its container space allocation commitments. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575.

112.1. [REDACTED]

RESPONSE: [REDACTED]

112.2. [REDACTED]

RESPONSE: [REDACTED]

112.3. [REDACTED]

RESPONSE: [REDACTED]

112.4.

[REDACTED]

RESPONSE:

[REDACTED]

112.5.

[REDACTED]

RESPONSE:

[REDACTED]

113.

[REDACTED]

RESPONSE:

[REDACTED]



114. [REDACTED]

RESPONSE: [REDACTED]

115. As of August 5, 2021, *only 7 of OOCL's 146 North America East customers were at or were close to their respective MQC* on a pro rata basis. [REDACTED] *see also* Young Dep. Tr. 123:15-124:24 [APP-2854].

RESPONSE: Respondents admit that the cited document speaks for itself, but deny the relevance and veiled implication of same as MQC imposes obligations on both carrier and shipper. Moreover, Mr. Hackett testified MQC/52 is not relevant. *See* APP-844 (Hackett Tr. 125:9-24). The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

116. [REDACTED]

RESPONSE: Denied. Respondents admit that the cited document speaks for itself but deny the relevance and veiled implication of same as MQC imposes obligations on both carrier and shipper. Complainant's Expert Witness John McCown lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Moreover, Mr. Hackett testified MQC/52 is not relevant. *See* APP-844 (Hackett Tr. 125:9-24). The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

116.1. [REDACTED]

[REDACTED]

RESPONSE: Denied. Respondents admit that the cited document speaks for itself, but deny the relevance and veiled implication of same as MQC imposes obligations on both carrier and shipper. Moreover, Mr. Hackett testified MQC/52 is not relevant. *See* APP-844 (Hackett Tr. 125:9-24). The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

116.2. [REDACTED]

RESPONSE: Respondents admit that the cited document speaks for itself but deny the relevance and veiled implication of same as MQC imposes obligations on both carrier and shipper. Moreover, Mr. Hackett testified MQC/52 is not relevant. *See* APP-844 (Hackett Tr. 125:9-24). Later analysis shows that this calculation was incorrect. Based upon his in-depth review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24). The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575.

117. [REDACTED]

RESPONSE: Respondents admit that the cited document speaks for itself but deny the relevance and veiled implication of same as MQC imposes obligations on both carrier and shipper. Moreover, Mr. Hackett testified MQC/52 is not relevant. *See* APP-844 (Hackett Tr. 125:9-24). The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

118. [REDACTED]

RESPONSE: Respondents admit that the cited document speaks for itself but deny the relevance and veiled implication of same as MQC imposes obligations on both carrier and shipper. Moreover, Mr. Hackett testified MQC/52 is not relevant. *See* APP-844 (Hackett Tr. 125:9-24). The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

119. Even as OOCL failed to meet North American customers' MQCs, more than 95% of OOCL's trans-pacific trade voyages sailed at full capacity during the 2020 and 2021 Shipping Years, and OOCL's overall annual shipping volume actually grew from 2019 (3,477k FEU/6,954k TEU), to 2020 (3,731k FEU/7,462k TEU) and 2021 (3,793.5k FEU/7,587k TEU), before subsiding modestly in 2022 (3,564.5k FEU/7,129k TEU), demonstrating that a lack of capacity was not the reason for this under-performance. *See* Lam Dep. Tr. 94:21-95:23 [APP-1362]; Annual Report, Orient Overseas (International) Ltd. (2020) at 17 [APP-4440]; Annual Report, Orient Overseas (International) Ltd. (2021) at 14 [APP-4640]; Annual Report, Orient Overseas (International) Ltd. (2022) at 16 [APP-4845] (The volume for each year, both TEU and FEU, is shown in the thousands).

RESPONSE: Denied. As the FMC well knows, absolute deployed capacity and capacity utilization rates are not the same thing. As the Commission's economics experts closely monitor (through quarterly reports filed pursuant to 46 CFR 535.702(a)) ocean common carriers including OOCL always target vessel capacity utilization at close to (or over) 100% (i.e., full). *See, e.g.* FMC's 59th Annual Report to Congress 2020 at 49 (available at <https://www.fmc.gov/wp-content/uploads/2021/03/59thAnnualReport.pdf>). A lack of available capacity was created due to shippers' spiking demand for concentrated shipments on certain loops. The capacity cited was annualized and not isolated to the loops and lanes in highest demand. The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

120. Despite OOCL's failures to meet its service commitments to BBY and other service contract customers, during the 2020 Shipping Year, more than 95% of OOCL's trans-pacific trade voyages sailed at full capacity. *See* Lam Dep. Tr. 94:21-95:23 [APP-1362].

RESPONSE: Denied. OOCL did not fail to meet its service commitments to BBY. OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping

year, “OOCL met and exceeded its commitments, or its allocation.” APP 1627 (Glenn Metzger Tr. 151:16-24).

121. Despite OOCL’s failures to meet its service commitments to BBY and other service contract customers, during the 2021 Shipping Year, more than 95% of OOCL’s trans-pacific trade voyages sailed at full capacity. *See* Lam Dep. Tr. 94:21-95:23 [APP-1362].

RESPONSE: Denied. See response to CPFF 120 *supra*. OOCL did not fail to meet its service commitments to BBY. OOCL has submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY’s assessment of OOCL’s purported shortfall is bogus. See RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, “OOCL met and exceeded its commitments, or its allocation.” APP 1627 (Glenn Metzger Tr. 151:16-24).

C. Count I, Element 3: OOCL’s practices and regulations relate to or are connected with receiving, handling, storing, or delivering property. Denied.

122. OOCL’s practices and regulations relate to or are connected with receiving, handling, storing, or delivering property.

RESPONSE: CPFF 122 is a legal conclusion, not a factual finding and as such is improper. To the extent any fact is proposed, it is denied. Count I alleges BBY was not afforded the space to which it was entitled under the service contracts. Space accommodations are transportation and carriage functions, not governed by 46 U.S.C. § 41102(c), which “relates to services performed at the terminal *as distinguished from* the carrying or transporting by the vessel.” *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 113-14 (1939). Further, the FMC has stated that 46 U.S.C. § 41102(c) “is confined to the receiving, handling, storing, or delivery of property *to the exclusion of* transportation rates, fares, and charges in connection therewith.” *Bills of Lading - Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (1949) (emphasis added).

122.1. This element has been established. *Infra* FOF.I.C.

RESPONSE: Denied. As stated in Respondents’ response to CPFF 122, which is fully incorporated herein by reference, this is a legal conclusion and has not been established.

122.2. This element is undisputed.

RESPONSE: Denied. As stated in Respondents’ response to CPFF 122, which is fully incorporated herein by reference, this is a legal conclusion and is disputed. Count I does not relate to any practices of receiving, handling, storing, or delivering property. Rather, Count I relates to transportation and carriage functions not covered by 46 U.S.C. § 41102(c).

D. Count I, Element 4: OOCL's practices and regulations are unjust and unreasonable.

RESPONSE: Denied.

123. Due to OOCL's practices of (1) failing to meet its service commitments as to cargo space under its Service Contracts with BBY, (2) preferring higher-priced freight over meeting its service commitments under its Service Contracts with BBY, and (3) negotiating the Service Contracts without intending to comply with them, OOCL failed to meet its service commitments to BBY under the Service Contracts.

RESPONSE: Denied. There is no evidence in the record—as indicated by the lack of any attempt to cite to any—to support the contentions that OOCL failed to meet its service commitments, “preferred” higher-priced freight, or negotiated service contracts without intent to comply with same. The record shows OOCL met its service contract obligations. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, “OOCL met and exceeded its commitments, or its allocation.” APP 1627 (Glenn Metzger Tr. 151:16-24). Mr. Metzger also testified that he did not “see any reason to believe that OOCL was shifting space from any -- one contract to another.” APP 1618 (Glenn Metzger Tr. 115:22-116:9); RX-000612 (Ex. 387, OOCL254177); see also APP 1084-1085 (Lars Jensen Tr. 352:22-355:13).

123.1. This element has been established. *Infra* FOF.Arg.I.

RESPONSE: Denied. As stated in Respondents' response to CPFF 123, which is fully incorporated herein by reference, this element has not been established.

123.2. This element is undisputed.

RESPONSE: As stated in Respondents' response to CPFF 123, which is fully incorporated herein by reference, this element is vehemently disputed.

124. OOCL's practices were unreasonable and inconsistent with historical industry practice. See Ex. 381 (McCown Report) ¶¶ 86-88 [APP-3772].

RESPONSE: Denied. Complainant's source for this purported “fact,” is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Lars Jensen, a container industry expert with contemporary experience, testified that OOCL's rates and contract practices were reasonable and within market. See APP 1088 (Jensen Tr. 369:15-23) (rates charged by OOCL during the two shipping years at issue were competitive with the market); APP-1017-1017 (Jensen Tr. 85:10-86:7) (it is industry practice for both shippers and carrier to amend the MQC at the end of a contract term down to the amount actually carried);

APP 1084 (Jensen Tr. 352:5 to 352:20); APP 1090 (Jensen Tr. 376:7 to 376:15); APP 4010-4028 (Lars Jensen Report at 5; see also APP 1398 (K. Lam Tr. 238:14-239:8).

The data shows that OOCL met its container space allocation commitments to BBBY. RPFF 576 to 618. BBBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24). Mr. Metzger also testified that he did not "see any reason to believe that OOCL was shifting space from any -- one contract to another." APP 1618 (Glenn Metzger Tr. 115:22-116:9); RX-000612 (Ex. 387, OOCL254177); see also APP 1084-1085 (Lars Jensen Tr. 352:22-355:13).

125. OOCL's practices were not warranted by any constraints outside of OOCL's control. See Ex. 381 (McCown Report) ¶ 89 [APP-3772].

RESPONSE: Denied. Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Lars Jensen, a container industry expert, testified that: shutdowns and other COVID-19 measures "caused numerous involuntary blank sailings in 2020 (APP-1033 (Jensen Tr. 147:19-148:3)); bottlenecks in ports were outside the control of ocean carriers (APP-1049 (Jensen Tr. 212:2-20)); as demand started to rebound after the initial onset of the COVID-19 pandemic, carriers were forced to blank sailings due to operational constraints (APP-1089 (Jensen Tr. 371:12-21)); congestion was created by sudden large surges in demand from shippers (APP-1089 (Jensen Tr. 370:8-371:11)); because ports were above their capacity, additional vessel capacity would have further compounded congestion (APP-1046 (Jensen Tr. 201:2-9)); operational constraints in late summer, early fall of 2022 forced carriers to blank sailings (APP-1033, 1089 (Jensen Tr. 147:19-148:3, 371:12-21)).

125.1. During the 2020-2021 and 2021-2022 shipping years, OOCL's container ships were running full in the headhaul lanes. See Mitchell Dep. Tr. 178:19-22 [APP-1722]; Lam Dep. Tr. 94:21-95:23 [APP-1362]; Chen Dep. Tr. 126:16-127:10, 241:14-16 [APP-183, APP-211]; Ex. 381 (McCown Report) ¶¶ 51, 161 [APP-3765, APP-3789].

RESPONSE: One of Complainant's sources for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Save for McCown's testimony, which should be given no weight, admitted that OOCL witnesses testified to OOCL's vessels running at 95% capacity in 2020 and near 100% capacity in 2021.

125.2. From 2019 (3,477k FEU/6,954k TEU), OOCL's overall annual shipping volume grew in both 2020 (3,731k FEU/7,462k TEU) and 2021

(3,793.5k FEU/7,587k TEU), before subsiding modestly in 2022 (3,564.5k FEU/7,129k TEU). *See* Annual Report, Orient Overseas (International) Ltd. (2020) at 17 [APP-4440]; Annual Report, Orient Overseas (International) Ltd. (2021) at 14 [APP-4640]; Annual Report, Orient Overseas (International) Ltd. (2022) at 16 [APP-4845]; Ex. 381 (McCown Report) ¶¶ 90-91 (Table 3) (The volume for each year, both TEU and FEU, is shown in the thousands) [APP-3773].

RESPONSE: One of Complainant's sources for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Save for McCown's testimony, which should be given no weight, admitted that OOCL's overall annual global carried volume grew and subsided as described. However, during the COVID-19 pandemic, OOCL's effectively loadable vessel capacity decreased by 15 to 20 percent. APP 2782 (Kenny Ye Tr. at 71:3-4), and its Trans-Pacific vessel capacity declined by 4% and 1% in 2020 and 2021, respectively APP-1498 (McCown Tr. 248:18-249:8).

126. Steffen admitted that in any field he has worked in he would never advise a consumer of a product with a fluctuating price to resort solely to fluctuating spot prices where fixed rate-contracts, like the Service Contracts between BBY and OOCL, are available, including because such a consumer could go bankrupt if it suddenly needed to pay significantly higher prices than those it anticipated paying. Steffen Dep. Tr. 60:7-64:19 [APP-2534-2535].

RESPONSE: Denied, as CPFF 126 again misstates record testimony. Steffen agreed that bankruptcy was included in "the risks in my experience working in the electric utility industry." APP-2534 (Steffen Tr. 61:4-18). When then asked whether the same was "true in any market in which there's a difference between negotiated rate agreements and fluctuating spot prices," he answered "[w]ell, I don't know if that's true in any market, but there certainly are markets where it can be true." *Id.* (Steffen Tr. 61:19-25). Then, when asked if the same held true in the container shipping market, he answered "[t]hat may be the case." APP-2535 (Steffen Tr. 62:2-24). Finally, Steffen said he would not advise a customer as described "[b]ecause you cannot hedge the risk." Hedging risk and preventing bankruptcy are different and the mischaracterization again shows Complainant's willingness to bend the record testimony. Further, Boris Steffen was not shown any contract amendments reflecting the parties' written agreement to a change in rates. Both service contracts permitted changes in rates provided they were signed and filed with the FMC. APP 3261-3292 and 3360-3397 (Exs. 163 (Clause 9; and 332, Clause 9)). As agreed by Paul Pastor, BBY was not in a position to simply enforce fixed-rate agreements as it needed additional capacity *beyond* its MQC in service contract years 2020 and 2021, capacity that it knew it would need to pay for at market rates and at rates to which it agreed. APP-1953-1954 (Pastor Tr. 97:8-100:4).

1. OOCL's practice of violating its service commitments in favor of systematically favoring higher-priced freight was unreasonable.

Denied.

127. Throughout the 2020 and 2021 Service Years, OOCL unreasonably failed to meet its service commitments to BBY and other BCO customers, including because (i) OOCL's policies failed to make reasonable accommodations to provide space to BBY under the Service Contracts; (ii) OOCL failed to accurately track booking attempts; and (iii) OOCL otherwise failed to make reasonable accommodations to provide space to BBY and other of its BCO customers.

RESPONSE: Denied. This purported finding of fact includes no citation to the record and is not supported by the evidence. OOCL provided BBY the space to which it was entitled under the service contracts, negating all factual contentions in CPFF 127. OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL has submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11).

The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24). Mr. Metzger also testified that he did not "see any reason to believe that OOCL was shifting space from any -- one contract to another." APP 1618 (Glenn Metzger Tr. 115:22-116:9); RX-000612 (Ex. 387, OOCL254177); see also APP 1084-1085 (Lars Jensen Tr. 352:22-355:13).

128. BBY reasonably relied on OOCL to fulfill OOCL's service commitments under the Service Contracts. *See* Ex. 381 (McCown Report) ¶ 43 [APP-3763].

RESPONSE: Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Save for McCown's testimony, which is given no weight, admitted that BBY relied on OOCL to meet its service contract commitments, which OOCL did. *See* Respondent's response to CPFF 127. The data shows that OOCL met its container space allocation commitments to BBY. RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

128.1. Steffen admitted that relying solely on spot prices for fluctuating commodities can expose a company to risks, including bankruptcy, and he would never advise a large consumer to rely exclusively on spot prices because "you cannot hedge the risk." *See* Steffen Dep. Tr. 62:13-63:12 [APP-2535].

RESPONSE: Admitted, as explained in Respondent's response to CPFF 126. Further, Boris Steffen was not shown any contract amendments reflecting the parties' written agreement to a change in rates. Both service contracts permitted changes in rates provided they were signed and filed with the FMC. APP 3261-3292 and 3360-3397 (Exs. 163 (Clause 9; and 332, Clause 9). As agreed by Paul Pastor, BBY was not in a position to simply enforce fixed-rate agreements as it needed additional capacity beyond its MQC in service years 2020 and 2021, capacity that it knew it would need to pay for at market rates and at rates to which it agreed. APP-1953-1954 (Pastor Tr. 97:8-100:4).

128.2. BBY sought to enter into service contracts covering 100% of its anticipated needs for the year and no more. *See* Ex. 381 (McCown Report) ¶ 43 [APP-3763]; Hackett Dep. Tr. 234:25-235:15 [APP-872]; Klosowsky Dep. Tr. 239:12-16 [APP-1296]; *See* Pastor Dep. Tr. 43:25-44:12, 98:6-14 [APP-1940; APP-1954].

RESPONSE: Denied. One of Complainant's sources for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Further, the witnesses stated that BBY sought to enter into service contracts across all carriers that *collectively* covered its internal projections. There is no record evidence that BBY's projections were accurate or that the space provided to BBY across all carriers was in any way short of their collective allocations or BBY's space projections. Further, Paul Pastor admitted that "the objective was to move it on ocean carriers' contract based on the MQC. But MQC divided by 52 doesn't normally address peak seasons." APP-1953 (Pastor Tr. 97:8-17). BBY brought on more cargo services during the 2020 and 2021 service contract years than it contracted for. APP-1953-1954 (Pastor Tr. 97:18-99:6).

128.3. Steffen admitted that it is preferable to enforce a fixed-rate agreement rather than paying significantly higher prices elsewhere for the same commodity. *See* Steffen Dep. Tr. 102:3-9 [APP-2545].

RESPONSE: Admitted as to the witness's statement but denied as to any further proposition asserted. Steffen caveated his agreement by stating it was true "[i]f that, in fact, is consistent with the fact pattern," implying that his response was not in reference to the facts in issue in this case. APP-2545 (Steffen Tr. 102:8-9). Boris Steffen was not shown any contract amendments reflecting the parties' written agreement to a change in rates. Both service contracts permitted changes in rates provided they were signed and filed with the FMC. APP 3261-3292 and 3360-3397 (Exs. 163 (Clause 9; and 332, Clause 9). As agreed by Paul Pastor, BBY was not in a position to simply enforce fixed-rate agreements as it needed additional capacity beyond its MQC in service years 2020 and 2021, capacity that it knew it would need to pay for at market rates and at rates to which it agreed. APP-1953-1954 (Pastor Tr. 97:8-100:4).

128.4. Jensen observed during the COVID-19 pandemic that many companies were under severe pressure from freight costs and “could potentially go bankrupt because of the current situation with extremely high freight rates”. *See* Dep. Ex. 425 at 1-2 (quoting Lars Jensen) [APP-4087-4088].

RESPONSE: Denied. Jensen was *not* quoted as stating “many” companies could go potentially bankrupt, but was quoted as saying “[t]here are *some* shippers that could potentially go bankrupt[.]” APP-4088. Further, to the extent this CPFF asserts a proposition that OOCL’s freight rates contributed to BBY’s bankruptcy, denied. Boris Steffen testified that any damages that OOCL could have caused BBY would amount to no more than a “rounding error” of its losses. RPFF 724, 725.

129. BBY complied with its obligations under the Service Contracts.

RESPONSE: Denied. BBY, at a minimum, did not tender the amount of cargo required under the 2020 and 2021 service contracts. OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL has submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY’s assessment of OOCL’s purported shortfall is bogus. *See* RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, “OOCL met and exceeded its commitments, or its allocation.” APP 1627 (Glenn Metzger Tr. 151:16-24). Despite OOCL meeting its space accommodation obligations, BBY failed to tender sufficient cargo (RPFF 604), as shown by the relevant drawdown amendments.

129.1. BBY diligently sought to ensure that its forecasts to OOCL of its anticipated needs for each service year would be accurate. *See* Klosowsky Dep. Tr. 206:3-209:14 [APP-1288].

RESPONSE: Denied. Klosowsky testified that, while BBY had a systematic process for determining its space forecasts, “the volumes were going up” as they sourced more goods internationally in the 2020 and 2021 service years, indicating that, even though the volume increase “was not, you know, a surprise,” that BBY’s forecasts to OOCL may not have been accurate. In addition, Paul Pastor also testified that BBY brought on more cargo services during the 2020 and 2021 service contract years than it contracted for. APP-1953-1954 (Pastor Tr. 97:18-99:6).

129.2. BBY regularly provided updated container forecasts to ocean carriers, including OOCL. *See* Klosowsky Dep. Tr. 208:4-15 [APP-1288].

RESPONSE: Denied. Klosowsky testified that BBY provided “quarterly” updates to its carriers. APP-1288 (Klosowsky Tr. 208:4-15).

129.3. BBY regularly reviewed container space provided by OOCL.
See Klosowsky Dep. Tr. 48:7-49:6 [APP-1248].

RESPONSE: Denied. Mr. Klosowsky testified that Paul Pastor would review space provided. APP-1248 (Klosowsky Tr. 48:15-18). Paul Pastor testified to “track[ing] MQCs” by reviewing carrier performance in “KPI meetings.” APP-1956 (Pastor Tr. 107:21-108:15). This data, as seen in Exhibit 235, was provided by Yusen and added-to by BBY. APP-2064 (Pinchuk Tr. 88:22-90:10). But Ian Pinchuk admitted that no one from BBY ever verified the accuracy of the information contained in that report. APP-2065 (Pinchuk Tr. 90:5-10). There is no evidence that BBY reviewed any reliable data relating to OOCL’s space provisions. There exists no testimony or other evidence in the record that anyone with or on behalf of BBY, or its booking agent Yusen Logistics, ever calculated the amount of container space that OOCL provided to BBY during the 2020 and 2021 shipping years. Rather, there exists abundant evidence showing such calculation was never undertaken. RPF 560. Further, Mr. Jensen testified that “[t]he problem with this measurement in exhibit 235 is that it lacks any contextual content related to why bookings are, and are not, accepted. This links back to the outline of how to also measure MQC’s. Without this information[,] exhibit 235 is merely indicative that OOCL treated BBY in a way that is in line with the average treatment provided by carriers in the market at that time.” APP-4023 (Jensen Report, Question 5).

130. OOCL knew BBY intended to fulfill the MQC under the Service Contracts.
See Chen Dep. Tr. 271:5-11. [APP-219].

RESPONSE: Denied. The cited email is from December 22, 2022 in the context of a requested rate adjustment for the 2022-2023 service contract. Further, when setting allocations across all lanes, OOCL anticipates some degree of cancellations/no-shows. APP-2723 (B. Wong Tr. 85:13-19). That is why it does not allocate 100% of its nominal vessel capacity when it plans its “model ship”.

130.1. BBY made repeated requests for the space to which OOCL had committed in the service contracts. *See* OOCL_0000022318 at OOCL_0000022319 [APP-4121]; OOCL_0000030487 at OOCL_0000030487 [APP-4127]; Jacobus Dep. Tr. 166:5-167:15 [APP-970].

RESPONSE: Denied. The record cites above do not support the proposition asserted. In August 2020, BBY requested “urgent” space be provided pursuant to a swap after bookings had already been finalized for a vessel. APP-4121. In November 2020, BBY noted a “huge upsurge in Vietnam” and asked for “more space in coming weeks.” APP-4128. Ms. Jacobus simply testified that Yusen

made booking requests that could not be fulfilled. APP-970 (Jacobus Tr. 166:5-167:15). None of these three record cites show “repeated requests” for space to which BBY was entitled. Rather, they very clearly show BBY was making last-minute requests for additional space to which it was not entitled, but that OOCL attempted to provide anyway.

130.2. During the pandemic, BBY attempted to ship products with OOCL 60 days earlier than BBY typically would in order to help ease shipping issues. *See* Klosowsky Dep. Tr. 194:2-4 [APP-1285].

RESPONSE: Denied. The referenced email dated April 15, 2022 is not limited to OOCL but is a directive from Reid Klosowsky to vendors in China to deliver cargo 60 days earlier than BBY customarily received cargo. RX-000898 (Exhibit 174). This was an effort (after Shanghai closed down leaving hundreds of ships offshore) to build in additional time for local Chinese shutdowns and inland delivery issues and was unrelated to OOCL or any putative efforts BBY made to improve its domestic supply chain. Further, the email was not sent until April 15, 2022 at the end of the 2021 service contract.

131. BBY’s third-party booking agent, Yusen, diligently performed its duties attempting to make bookings with OOCL on BBY’s behalf pursuant to BBY’s Service Contracts. *See* Jacobus Dep. Tr. 164:1-165:3, 165:12-166:3 [APP-969-970]; Pastor Dep. Tr. 283:3-10, 287:14-288:20 [APP-2000-2001].

RESPONSE: Denied. Yusen was directed to book BBY cargo pursuant to OOCL’s space allocations, but nonetheless booked in excess of CSAL, resulting in rejected bookings on BBY’s behalf. RX-000105 (Ex. 274, P-0000616637). Yusen regularly double-booked BBY’s containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBY’s Reid Klosowsky that said, among other things: “Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.”)); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: “Because it was Bed Bath & Beyond’s practice to book with more than one carrier. . . .”)); APP 960 (Jacobus Tr. 126:2-21).

Yusen did not book per the ocean carriers’ allocations provided by BBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 (“I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.”)); APP 1554 (McQuade Tr. Tr. 43:12-44-9).

132. Steffen admitted that a consumer of container shipping who had a fixed rate agreement at a particular price could face operational or financial problems if that consumer was required to pay multiples of that fixed rate agreement price through spot market purchases. *See* Steffen Dep. Tr. 64:11-20 [APP-2535].

RESPONSE: Admitted that Boris Steffen testified as set forth above. However, Mr. Steffen was not shown any contract amendments reflecting the parties’ written agreement to a change

in rates. Both service contracts permitted changes in rates provided they were signed and filed with the FMC. APP 3261-3292 and 3360-3397 (Exs. 163 (Clause 9; and 332, Clause 9). As agreed by Paul Pastor, BBY was not in a position to simply enforce fixed-rate agreements as it needed additional capacity beyond its MQC in service years 2020 and 2021, capacity that it knew it would need to pay for at market rates and at rates to which it agreed. APP-1953-1954 (Pastor Tr. 97:8-100:4).

133. Contrary to paragraph 18 of his report, Boris Steffen admitted that the prices OOCL charged BBY for shipping cargo had an effect on BBY's operational performance. *See* Steffen Dep. Tr. 90:18-91:14, 94:15-95:7 [APP-2542-2543].

RESPONSE: Admitted that Mr. Steffen agreed that BBY's freight expenses had a minor effect on BBY's operations that was far outweighed by BBY's strategic decisions such as debt-financed share repurchases and burdensome debt obligations. APP-2542-43 (Steffen Tr. 90:17-95:7). Mr. Steffen testified that any damages to BBY were a mere rounding error in bankruptcy and did not contribute to BBY's bankruptcy filing. APP 2589-2590 (Steffen Tr. 280:22-282:9). Otherwise denied.

134. Steffen admitted that rising supply chain costs may have contributed to BBY's negative operating cash flow during the pandemic, and that negative cash flow was a factor in BBY's lack of liquidity. *See* Steffen Dep. Tr. 111:19-25, 112:11-16 ("Q. And increases in supply chain costs, to the extent that they caused cost to exceed revenues, would contribute to negative operating cash flow, correct? A. That could contribute to a negative operating cash flow.") [APP-2547].

RESPONSE: Admitted that Mr. Steffen explained that debt financed share repurchases with simultaneous negative and declining cash flow would contribute to a lack of liquidity. APP-2547 (Steffen Tr. 111:11-25). He then explained that "one factor" causing negative cash flow is negative earnings and that "one factor" that could cause negative earnings is having costs that exceed revenues. *Id.* (Steffen Tr. 112:2-10). Finally, he agreed that supply chain costs that caused costs to exceed revenues *could contribute* to negative operating cash flow. *Id.* (Steffen Tr. 112:11-16). Further, he testified that any damages to BBY were a mere rounding error in bankruptcy and did not contribute to BBY's bankruptcy filing. APP 2589-2590 (Steffen Tr. 280:22-282:9). Except as admitted herein, denied.

135. Jensen published analysis on October 19, 2021 that found having fixed freight contracts had a huge benefit to shippers over use of the spot market due to high freight costs. *See* Dep. Ex. 425 at 1 [APP-4087].

RESPONSE: Denied that Mr. Jensen "published" an "analysis." Mr. Jensen was quoted in an article written by someone else, and did not publish or "find" anything. Rather, he asserted an opinion on then-current events as they were happening. Admitted that Mr. Jensen agreed that fixed-rate freight contracts were beneficial when spot-markets increased.

136. Jensen provided analysis published on October 19, 2021 that directly identified shippers' bankruptcy as a likely consequence of the sustained increase in ocean freight costs associated with the COVID-19 pandemic conditions *See* Dep. Ex. 425 at 2 [APP-4088].

RESPONSE: Denied. Mr. Jensen did not “provide analysis,” but was simply quoted in an article written by someone else. He further did not “directly identify shippers’ bankruptcy as a likely consequence” of anything. Rather, he simply stated that “[t]here are *some* shippers that could *potentially* go bankrupt.” APP-4088 (Ex. 425 at 2) (emphasis added). He further offered that if the high rate situation “ends up not lasting long, most will be able to hold their breath and weather the storm.” *Id.* Such statements are a far cry from Complainant’s mischaracterization. Further, Boris Steffen testified that any damages to BBY were a mere rounding error in bankruptcy and did not contribute to BBY’s bankruptcy filing. APP 2589-2590 (Steffen Tr. 280:22-282:9).

137. OOCL failed to meet its service commitments to BBY, including as to fulfilling its MQC obligations.

RESPONSE: Denied. This purported finding of fact includes no citation to the record and is not supported by the evidence. OOCL provided BBY the space to which it was entitled under the service contracts, negating all factual contentions in CPFF 137. OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL has submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY’s assessment of OOCL’s purported shortfall is bogus. *See* RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, “OOCL met and exceeded its commitments, or its allocation.” APP 1627 (Glenn Metzger Tr. 151:16-24). OOCL met only 70.3% of the MQC in the 2020 Service Contract. *See* 1AC ¶ 35 [APP-47]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

137.1. OOCL met only 70.3% of the MQC in the 2020 Service Contract. *See* 1AC ¶ 35 [APP-47]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

RESPONSE: BBY’s First Amended Complaint is not evidence. One of Complainant’s sources for this purported “fact,” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded

no persuasive influence. Further, McCown's opinions are merely a recitation of the allegations about which he has no underlying information and with which he has performed no analysis. APP-1467 (McCown Tr. 122:4-122:24); RPFF 563, 564. In fact, no BBBY witness has analyzed the space provided to BBBY. RPFF 560, 567; APP 887 (Hackett Tr. 294:6-10); APP 2405 (Shippee Tr. 61:4-13); APP 1547 (McQuade Tr. 15:4-11); APP 1159-1160; 1199 (Kastin Tr. 71:11-77:2; 231:10-232:5); APP 2068, 2083 (Pinchuk Tr. 103:4-13; 163:13-25); APP 1466-1467 (McCown Tr. 118:8-122:24); APP 1248 (Klosowsky Tr. 48:7-21 (Reid Klosowsky looked to Paul Pastor as the person who would determine how much container space an ocean carrier actually provided)); APP 1956 (Pastor Tr. 107:6-20) (Paul Pastor testified that he would have to look at the data and he did not recall the number of shipping years 2020/21 and 2021/22); APP 275-276 (Cunniff Tr. 13:24-14:5); APP 1567 (McQuade Tr. 94:7-95:10).

OOCL met its container space commitments to BBBY. RPFFs 576 to 618. BBBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11).

137.2. OOCL met only 64.1% of the MQC in the 2021 Service Contract. See 1AC ¶ 47 [APP-49]; Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Dep. Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs "SY 21", "21 But For," and "21 Damages") [APP-3359]; *see also* Dep. Ex. 326 at 9, 10 [APP-3345-3346].

RESPONSE: BBBY's First Amended Complaint is not evidence. One of Complainant's sources for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Further, McCown's opinions are merely a recitation of the allegations about which he has no underlying information and with which he has performed no analysis. APP-1467 (McCown Tr. 122:4-122:24); RPFF 563, 564. In fact, no BBBY witness has analyzed the space provided to BBBY. RPFF 560, 567; APP 887 (Hackett Tr. 294:6-10); APP 2405 (Shippee Tr. 61:4-13); APP 1547 (McQuade Tr. 15:4-11); APP 1159-1160; 1199 (Kastin Tr. 71:11-77:2; 231:10-232:5); APP 2068, 2083 (Pinchuk Tr. 103:4-13; 163:13-25); APP 1466-1467 (McCown Tr. 118:8-122:24); APP 1248 (Klosowsky Tr. 48:7-21 (Reid Klosowsky looked to Paul Pastor as the person who would determine how much container space an ocean carrier actually provided)); APP 1956 (Pastor Tr. 107:6-20) (Paul Pastor testified that he would have to look at the data and he did not recall the number of shipping years 2020/21 and 2021/22); APP 275-276 (Cunniff Tr. 13:24-14:5); APP 1567 (McQuade Tr. 94:7-95:10).

Exhibits 328 and 329 have not been authenticated or verified for accuracy. RPFF 569-573. Ex. 330 has not been authenticated or verified for accuracy. RPFF 574.

OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. OOCL has submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

137.3. OOCL's "run rates" under its Service Contracts with BBY never even got close to its service commitments under the Service Contracts. *See* Hackett Dep. Tr. 187:3-14 [APP-860].

RESPONSE: Denied. The cited testimony from Mr. Hackett does not state that the "run rate" "never got close to its service commitments." Rather, Mr. Hackett stated that unless there was dramatic improvement, the run rate "*would* never get close." APP-860 (Hackett Tr. 187:3-14). Mr. Hackett's statement has no bearing on whether OOCL met its service contract obligations. Further, as OOCL's unrefuted evidence shows, OOCL met its service contract obligations in each year in issue. See Respondents' Responses to CPFF 137.1-137.2. OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

137.4. OOCL regularly failed to allocate to BBY space that BBY rightfully should have been allocated. *See* Dep. Ex. 276, 278 [APP-3335-3336]; Jacobus Dep. Tr. 132:20-133:13, 146:4-5 [APP-961; APP-965].

RESPONSE: Denied. Exhibits 276 and 278 are not included in the record and should therefore not be considered. Further, Ms. Jacobus testified to having never seen the documents before and could not authenticate them. APP-960, 962, 964 (129:8-24, 137:13-19, 142:17-143:11). Even if the exhibits were considered, they purport to show bookings and acceptances, not allocation versus MQC, and therefore cannot support the proposition that OOCL failed to properly allocate space. Further, Ms. Jacobus testified that they do not explain why certain bookings were rejected (APP-961-962, 965 (Jacobus Tr. 133:7-14, 135:6-9, 147:3-6)). Finally, OOCL has presented unrefuted testimony that it allocated BBY the space to which it was entitled under the service contracts. See Respondents' Responses to CPFF 137.1-137.2. OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

137.5. [REDACTED]

RESPONSE: [REDACTED]

137.6. The November and December 2020 allocations met only about two-thirds of BBY's projected requests. *See* P-0000215635 at P-0000215635 [APP-4394].

RESPONSE: Denied. The record cite from October 30, 2020 does not include information regarding the space BBY requested versus the space that was allocated. Rather, it speaks to BBY's *projection* versus allocation, which is an irrelevant measure. Further, Patrick Hackett's statement clearly shows he was not sure whether the allocation covered BBY's projection request. APP-4394 (P-0000215635). He raised the question, but there is no answer to same in the record.

137.7. By January 2021, there were significant backlogs on BBY's orders due to "space constraints from the carriers", including OOCL. *See* Dep. Ex. 265 [APP-3331-3334]; Jacobus Dep. Tr. 58:8-59:4 [APP-943].

RESPONSE: Denied that Ex. 265 says anything about space constraints by OOCL. Admitted that Amanda Jacobus testified that there were "space constraints from carriers," but she did not identify OOCL and also testified that factor delays were another factor. APP-943 (Jacobus Tr. 58:8-59:4). Except as specifically admitted, denied.

137.8. In August 2021, BBY questioned OOCL about falling below the weekly allocation, noting that much of the cargo that OOCL had actually agreed to carry was transported on extra loaders and under premium contracts. *See* Dep. Ex. 33 at OOCL_0000004326 [APP-3031].

RESPONSE: Denied. In this same Exhibit 33, four weeks (weeks 33, 34, 35, and 36 of the 2021 shipping year) were set forth in a table showing OOCL's space allocations, BBY's bookings and OOCL's accepted (or confirmed) bookings. The numbers were as followings:

Week	Allocation	No. of Bookings	No. of Accepted Bookings
33	96	48	17
34	92	57	27

35	92	59	33
36	106	143	127

BBBY only booked 50% of OOCL’s allocation in week 33, 62% in week 34, 64% in week 35, and 134% in week 36. In week 36, OOCL was only obligated to accept 106, but over accommodated by taking an additional 21 containers above BBBY’s allocation. In terms of booking acceptances, Yusen’s data in Ex. 33 is not specific enough to show why OOCL bookings were not accepted, for example, a customer’s incorrect contract information and human error are examples of possible causes for booking declinations. Other causes of booking declinations include booking past the cut-off date, booking on the wrong service loop, booking where there is no allocation, booking above the customer’s allocation. Customers also cancelled bookings and had “no shows” where a cargo was booked but not delivered to the ship for loading.

Importantly, at this time, “it was Bed Bath & Beyond’s practice to book with more than one carrier,” resulting in duplicative bookings across the carriage market that necessitated significant declinations. APP-2396 (Shippee Tr. 22:5-18). When OOCL issued its monthly container space allocation to BBBY/Yusen, OOCL advised not to exceed its container space allocation. See e.g., APP RX-000977-978 (Ex. 198, Bed Bath & Beyond SPACE WK #31-34.xlsx). APP RX-003123-3124 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBBY/Yusen knew not to book above BBBY’s allocation with OOCL, but BBBY did so anyway. BBBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBBY’s containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBBY’s Reid Klosowsky that said, among other things: “Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.”)); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: “Because it was Bed Bath & Beyond’s practice to book with more than one carrier. . . .”)); APP 960 (Jacobus Tr. 126:2-21).

For “CY movements”, that is, for transportation of the containers concluding at the marine terminal at destination, APP 2397 (Rita Shippee Tr. 26:24-27:21), BBBY and Yusen agreed that BBBY would provide the monthly projections for each carrier with whom BBBY had a service contract and Yusen would book per these projections and report any issues to BBBY.” RPF 6.f. Yusen did not book per the ocean carriers’ allocations provided by BBBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 (“I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.”)); APP 1554 (McQuade Tr. Tr. 43:12-44-9).

Glenn Metzger testified that after he had done a deeper dive regarding the booking activity between OOCL and BBY during the 2021 shipping year, he found that most of the problems were on BBY's side, that OOCL met its space allocation obligations, and that BBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. RPFF 604.

137.9. BBY followed up with OOCL in February 2022 to reiterate OOCL's failure to meet its service commitments to BBY. *See* OOCL_0000005125 at OOCL_0000005125 [APP-4091].

RESPONSE: Admitted that Reid Klosowsky sent an email to that effect but denied that OOCL failed to meet any service contract commitments. OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575.

137.10. During the 2020-2021 and 2021-2022 Service Contract years, OOCL never even approached providing space to BBY equaling its service commitments under its Service Contracts with BBY. *See* Klosowsky Dep. Tr. 230:7-230:20; 246:9-10 [APP-1294; APP-1298].

RESPONSE: Denied. BBY has proffered no evidence to support this contention. However, OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL has also submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

- i. OOCL's policies failed to make reasonable accommodations to provide space to BBY under the Service Contracts.

RESPONSE: Denied.

138. OOCL failed to make reasonable accommodations to provide space to BBY under the Service Contracts.

RESPONSE: Denied. OOCL provided BBY all space to which it was entitled. OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL

has also submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL met its container space commitments to BBY. RPFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

a. Description of OOCL's allocation scheme.

139. OOCL's CSAL scheme was complicated and self-servingly crafted to enrich OOCL at the expense of its customers.

RESPONSE: Denied. Glenn Metzger testified that other of OOCL's customers have provided positive feedback about CSAL, which is seen as a competitive advantage. APP-1627 (Metzger Tr. 152:24-153:21). Further, in March 2022, Karen Lam described CSAL as "another key and unique nature of OOCL." APP-4174. She explained that CSAL is "highlight valued" by customers that value clear space protection, while "some customers who have not enough internal control and loose production schedule would face challenges and suffered, as they will have high fluctuations in their loading volume every week at different locations." *Id.* OOCL was not inadequate, but "one system can never suit all customers' need[s]." *Id.* While many carriers adapted different ways to offer space to shippers, OOCL kept its space allocation system consistent and has "heard so many [sic] positive feedback about this protection." *Id.* Mr. Jensen also testified generally to CSAL's reasonableness, noting that all carriers have some means of allocating space. APP-1015 (Jensen Tr. 76:7-15).

140. OOCL used a program called "CSAL" to determine how much space to offer to OOCL's customers, including BBY, during the service contract years at issue. *See* Ex. 381 (McCown Report) ¶ 53 ("OOCL states that it used a program called 'CSAL' to determine how much space to offer to OOCL's customers, including BBY, during the service contract years at issue. CSAL is not described in OOCL's service contracts, and BBY did not agree to be bound by CSAL in its service contracts with OOCL.") [APP-3765].

RESPONSE: Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Admitted that OOCL utilized a system called CSAL ("Customer Space Allocation List") to manage space allocation, just like every carrier employs some type of system to do same. APP-1015 (Jensen Tr. 76:7-15).

141. During the time period 2020 through 2022, OOCL's customers, including customers with service contracts, did not have access to OOCL's actual space booking system.

RESPONSE: Denied. It is not clear what "actual space booking system" is intended to mean. OOCL customers could make a booking online, which an OOCL customer service representative would review and confirm or otherwise provide feedback concerning.

141.1. Instead, OOCL maintained a separate external booking request system, “My OOCL Center”, into which customers “could put anything they want in their booking request”. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: Admitted that OOCL’s customers had access to My OOCL Center and could place booking requests therein. Whatever proposition is intended by the use of “instead” is denied as “actual space booking system” is not an understood term.

141.2. That electronic booking request, however, would merely “create[] a dashboard task for a[n OOCL] Customer Service rep to put the actual booking into . . . [OOCL’s internal] enterprise system”, which was known as IRIS-4, on a manual basis, and only then, after the OOCL employee had manually entered a booking into IRIS-4, would a customer receive a booking acknowledgment generated by OOCLs internal IRIS-4 system. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: Denied as to the proposition that a customer booking “merely” creates a task. Admitted that external booking requests are thoroughly reviewed by OOCL employees, credited to the appropriate customer and contract, and approved, declined or pended based on the agreement of the shipper and carrier, the space available, and other factors.

142. During the time period of 2020 through 2022, CSAL was also primarily a manual input system. *See* Lam Dep. Tr. 127:2-23 (“Q. Who on OOCL's trade team has involvement with the CSAL for the United States during this time period 2020 through 2022? A. During that period of time CSAL input is still a manual input.”) [APP-1370]; Metzger Dep. Tr. 12:16-20 (“So when I helped build CSAL -- so, originally, CSAL was an Excel spreadsheet that was shared through -- that was done for some time -- with the parties involved.”) [APP-1592].

RESPONSE: Admitted.

142.1. Each of OOCL’s “Trade Control Regions” (“TCRs”) assembled space allocation projections into Excel spreadsheets. *See* Lam Dep. Tr. 127:2-14 (“They actually send to space control team, we have a department outside of TPT. We call it STCC is the department name for the space traffic control center. So they gather all the CSAL input and they consolidate into one Excel file during the year 2020 shipping year, so they will share to all the TCR region. TCR is the traffic control region who is responsible to manage the booking.”) [APP-1370].

RESPONSE: Admitted.

142.2. OOCL’s Space Traffic Control Center (“STCC”) consolidated the TCRs’ respective space allocation projections into a single Excel spreadsheet, or “CSAL” file. *See* Lam Dep. Tr. 127:2-14 [APP-1370].

RESPONSE: Admitted.

142.3. OOCL's STCC is located in Hong Kong. *See* Lam Dep. Tr. 127:24- 128:4 ("Q. The STCC that you mentioned, where is the STCC based? A. They're located in Hong Kong. They are the space control team separate out from the trade.") [APP-1370].

RESPONSE: Admitted.

143. According to OOCL's U.S.-based employee Glenn Metzger, the CSAL process was performed as follows: (1) OOCL Sales team representatives determined whether an allocation was capable based on prior allocations already set; (2) the sales representative inputs customer commitments into CSAL; (3) the regional business analyst (RBA) goes over this information to make sure there are no gaps; (4) the regional business analyst hands off this information to Metzger's team who do a preliminary review to make sure they are meeting commitments based on the regional allocation; (5) Metzger's team then submits this to the "traffic controller", who makes sure that there is a capability to meet all of that; (6) once TCC approves, that approved CSAL is given to Overseas Booking Team which converts it into another system called "BAL" ("booking allocation list"). *See* Metzger Dep. Tr. 34:14-36:22 [APP-1598].

RESPONSE: With the addition of BBBY's exclusion of Mr. Metzger's references to customer involvement, admitted. APP-1598 (Metzger Tr. 34:14-36:22) ("it does start first with a dialogue between the Sales rep and their customer"). Further, as explained by Marvic Chen, space needs submitted by regional sales employees for consolidation and determination of CSAL includes "a little bit about a customer's seasonality," meaning the system is flexible and accommodating of changing customer needs.

144. The booking allocation list or "BAL" used the data from CSAL to identify an allocation afforded to the customer, and was used by the booking clerk when a customer made a booking. *See* Metzger Dep. Tr. 36:11-22 [APP-1598]; Forminio Dep. Tr. 246:9-13 ("When we submitted CSAL, somebody at origin, somebody at Traffic at origin would put together a booking allocation list. That's what the booking clerk used when somebody made a booking.") [APP-666].

RESPONSE: Admitted.

145. Although OOCL's customers "could put anything they want in their booking request" in OOCL's external "My OOCL Center" system, space would not actually be allocated by OOCL until after an OOCL customer service representative manually input a corresponding booking in OOCL's internal IRIS-4 system. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: Denied. Space allocations and customer bookings are different. Allocations were determined in advance of a customer's attempted booking. Allocations are what the customer attempted to book against and what OOCL's traffic team would review to determine if a booking should have been accepted, declined or pended.

146. OOCL's external "My OOCL Center" system did not prevent customers from submitting booking requests that exceeded OOCL's internal CSAL allocation to that customer, or notify customers of such; unless there was further specific back-and-forth between the customer and an OOCL customer service representative regarding the booking request, the customer's booking request simply "would never get input into [OOCL's actual internal booking system,] IRIS-4" Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: Denied. BBY mischaracterizes My OOCL Center as an automated system when it is not. My OOCL Center is a platform for submission of requests to OOCL Customer Service employees. Those employees manually review the request and then update the customer on any germane issues. APP-1844-45 (Murdoch Tr. 171:11-177:12).

147. During the time period of 2020 through 2022, OOCL's trade team had no direct involvement in developing OOCL's central CSAL file. *See* Lam Dep. Tr. 127:18-21 ("So our trade team have no direct involvement for the period during 2020 to 2022 but we can have a real, I mean commercial team for individual region or region.") [APP-1370].

RESPONSE: Admitted.

148. An "Inbound Space Team" in OOCL's Salt Lake City office was instructed to work with TCRs on CSAL booking issues and to escalate issues to the Space Traffic Control Center in Hong Kong. *See* Dep. Ex. 400 at OOCL_0000071736 [APP-3998].

RESPONSE: Admitted.

149. OOCL assesses its shipping capacity each year by knowing the number of service loops, the number of vessels in each loop, and the capacity of those vessels. These assessments are primarily made by OOCL's team in Hong Kong, and the calculated capacity is shared with the sales team to guide their contracts with customers. *See* Forminio Dep. Tr. 83:18-86:4 [APP-625- 626].

RESPONSE: Admitted.

150. OOCL's Hong Kong headquarters determines regional space allocations annually and makes minor adjustments quarterly. *See* Chen Dep. Tr. 77:6-15 [APP-170].

RESPONSE: Admitted.

151. When determining how much space to allocate to BCO customers, OOCL's process begins with assessing total capacity and designing a "model ship", after which ratios are determined for different customers. *See* Wong Dep. Tr. 54:21-57:12 ("...once we know the total capacity we have for coming years and we design the model ship, then we will have the ratio determined, how much we want from different customers.") [APP-2716].

RESPONSE: Admitted.

152. The “Model Ship” is the space allocation for a particular region for a contract year, i.e., each region has its own assigned Model Ship. *See* Mitchell Dep. Tr. 56:22-57:2 [APP-1691]; Wong Dep. Tr. 69:2-3 [APP-2719].

RESPONSE: Admitted.

152.1. “So, Model Ship is, basically, Trade’s perfect-day scenario, where they are detailing what is the space that’s afforded to the region[.]” *See* Metzger Dep. Tr. 37:2-5 [APP-1598].

RESPONSE: Admitted.

152.2. Model Ship is also called ISC; “the ISC is the rough format and the CSAL is the finalized product.” *See* Mitchell Dep. Tr. 54:4-23 [APP-1691].

RESPONSE: Admitted.

153. In the U.S., each month, OOCL’s sales team and the space control team allocate the space provided by Hong Kong to BCO customers based on the MQC. *See* Chen Dep. Tr. 58:8-59:19, 62:9-63:7, 67:6-16 [APP-166-168].

RESPONSE: Admitted.

153.1. In fact, however, MQC fulfillment under CSAL actually fell far short of MQC/52 for the vast majority of OOCL’s BCO customers, including BBY. *See* Dep. Ex. 42 [APP-3045-3050].

RESPONSE: Admitted. MQC fulfillment by NAG shippers, if considered on an MQC/52 basis, was generally short in August 2021. Except as admitted, denied. Moreover, BBY’s Patrick Hackett testified, that MQC/52 is not relevant because it is not how seasonal shippers like BBY operate. *See* APP-844 (Hackett Tr. 125:9-24). Nevertheless, OOCL met its container space commitments to BBY. RPFs 576 to 618. BBY’s assessment of OOCL’s purported shortfall is bogus. *See* RPF 550 to 575.

154. The local sales team and the space control team then send the proposal back to Hong Kong for approval and execution. *See* Chen Dep. Tr. 58:8-59:19, 62:9-63:7 [APP-166-167].

RESPONSE: Admitted.

155. Hong Kong’s traffic team compiles the regional proposals, breaks them down by traffic origin and customer name, and sends them to the booking origin offices/traffic control regions. *See* Chen Dep. Tr. 63:14-64:18 [APP-167].

RESPONSE: Admitted.

156. In late 2020, during the COVID-19 Pandemic, OOCL rolled out the digitized version of CSAL for its North America Group, specifically TPT Eastbound (eastbound transpacific trade from Asia to North America). *See Metzger Dep. Tr. 170:18-171:12 [APP-1632].*

RESPONSE: Admitted that OOCL deployed its digitized CSAL, which altered how OOCL internally communicated, but did not impact customer booking practices. APP-1632-33 (Metzger Tr. 173:22-174:10). Except as admitted, denied.

156.1. Glenn Metzger, who ultimately oversaw the team that worked with CSAL, was not familiar with the details of how allocations from OOCL employees in Hong Kong would be added to CSAL. *See Metzger Dep. Tr. 218:24-219:16 [APP-1644].*

RESPONSE: Denied. Mr. Metzger said he did not know the details of how Hong Kong trade employees ultimately determined whether additional space could be added to CSAL. APP-1644 (Metzger Tr. 219:4-16). Mr. Metzger was not responsible for determining space allocations, but was responsible for managing the CSAL system *after* the allocations were determined from the trade team.

156.2. OOCL began introducing the digital version of CSAL in late 2020, during the pandemic, in a process that necessarily included a process of trial and error that introduced bugs and other errors in the platform. *See Metzger Dep. Tr. 172:16-173:18 [APP-1632]; Young Dep. Tr. 34:9-11 (“Technology always changes. You’re always going to get bugs. Not even Microsoft can issue a release without having some bugs.”) [APP-2832].*

RESPONSE: Admitted that Glenn Metzger testified as set forth above but denied that there is any evidence in the record of any technical difficulties that affected BBY. Denied. Mr. Metzger testified that in his experience with OOCL rolling out multiple programs, “there is a period where we’re doing testing, pretesting, before we roll it out. So, basically, what we do is before it’s moved into production, we’ve done all the reviews that we need to do. And also, when we’re rolling out a product, we’re not doing big bang. We’re basically, not rolling out everything all in one shot and just seeing how it works. We’re basically fine-tuning as we go, improving as we go, listening to our customers. So as customers are advising us of what they need, we’re looking to find innovative ways of assisting them.” APP-1632 (Metzger Tr. 172:25-173:18).

156.3. OOCL employees have taken the position that OOCL’s practice during the relevant time period was to attempt to fill its entire anticipated shipping volume with service contracts at the outset of the shipping year. *See Lam Dep. Tr. 54:11-16 (“Q. Let’s focus on the United States. What portion of the Trans-Pacific Trade to the United States for 2020 through 2022 was subject to service contracts?”)*

A. For United States in terms of the volume is 95 to 97.”) [APP-1352]; Ex. 381 (McCown Report) ¶ 47 (“I understand that OOCL employees have taken the position that OOCL’s practice during the relevant time period was to attempt to fill its entire anticipated shipping volume with service contracts at the outset of the shipping year.”)[APP-3764].

RESPONSE: Admitted that OOCL sought to fill its container volume with service contracts as to the TPT Eastbound services. Service contracts included both BCOs and NVOCCs. One of Complainant’s sources for this purported “fact,” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence.

157. OOCL’s strategy was to participate in the spot market for ocean freight through short-term service contracts with NVOCCs that, in practice, effectively floated along with prevailing spot rates. *See* Mitchell Dep. Tr. 64:14-65:25 [APP-1693]; Lam Dep. Tr. 52:2-9 [APP-1351]; Ex. 381 (McCown Report) ¶ 48 [APP-3764].

RESPONSE: Denied. Ms. Lam testified that most of the NVOs with whom they did business had service contracts with OOCL. APP 1351 (Karen Lam Tr. 52:2-11). Jim Mitchell testified that NVOCCs had shipping contracts with carriers such as OOCL. APP 1693 (Jim Mitchell Tr. 65:10-12). Further, one of Complainant’s sources for this purported “fact,” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence.

157.1. OOCL’s contracts with NVOs “reset every two weeks, going with the ebb and flow of the market”, unlike OOCL’s fixed-price BCO contracts. *See* Mitchell Dep. Tr. 183:15-20 [APP-1723]; Ex. 381 (McCown Report) ¶ 48 [APP-3764].

RESPONSE: Denied. One of Complainant’s sources for this purported “fact,” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. While Mr. Mitchell testified that prices for short term contracts reset every two weeks, the contract duration for NVOCCs was often longer than two weeks and was adjusted based on the market outlook in the near term. *See* APP-1380-81 (K. Lam Tr. 169:21-170:16).

157.2. OOCL was “quite flexible” in its pricing on shorter-term service contracts and looked to the “open market” to reset rates. *See* Lam Dep. Tr. 169:14-170:16 (“Q. I’ll rephrase it. So during the 2020 and 2021 shipping years for customers that didn’t have annual service contracts but had shorter service contracts, for example, quarterly service contracts, how did OOCL go about

setting the rates for each period of time within those shipping years? A. So we are quite flexible. For short-term offer we will also have the estimate on how is the rate trend coming to be in open market. As short term we define like as open contract. So under the open contract we usually leave it to the commercial manager to have the estimate based on the customer pattern. Because some customers they fixed for three months and if we offer lower rate at the beginning, of course, they continue to book and then in case when the open rate continue to go up. But then if we set an average rate, they may short ship In the first month but when the open rate increase they come back to us and book. So I also rely on the commercial manager to first analyze which customer and why the customer wants the short-term rate. Or we are not familiar with the customer, then we prefer to offer even shorter than three months' rate, like a one month or two weeks' rate.") [APP-1380-1381]; Ex. 381 (McCown Report) ¶ 48 [APP-3764].

RESPONSE: Admitted.

158. OOCL's practice of filling its entire usable capacity with service contract space is risky and creates an environment in which unanticipated issues could cause OOCL to fall short on its service commitments. *See* Ex. 381 (McCown Report) ¶ 49 ("It is my opinion that OOCL's practice of filling its entire usable capacity with service contract space is risky and creates an environment in which unanticipated issues could cause OOCL to fall short on its service commitments.") [APP-3764]; *see also* Mitchell Dep. Tr. 63:17-64:7, 64:14-66:4, 183:15-20 [APP-1693; APP-1723]; Devine Dep. Tr. 63:4-64:18 [APP-428]; *cf.* McCown Dep. Tr. 46:4-46:15 [APP-1448].

RESPONSE: Denied. One of Complainant's sources for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Neither of the other sources described a "risky" policy of filling the entire usable space with service contract cargo. In fact, Paul Devine testified that OOCL only allocated 90% of its space to service contract cargo, using the remaining 10% of space as "buffer space" to accommodate needed changes in volume. APP-428 (Devine Tr. 62:7-63:24).

159. Ocean carriers acting reasonably typically reserve some portion of their total capacity outside of service contract commitments. *See* Ex. 381 (McCown Report) ¶ 50 ("In my experience carriers typically reserve some portion of their total capacity outside of service contract commitments. This reserve permits carriers to accommodate all of their contract customers even in the event of significant reductions of service that might be caused by unexpected congestion, delays or other factors. This is similar to developing a vessel deployment schedule which has some slack time built into it in order to stay on schedule even when inevitable weather situations occur at sea. Both are good practices for carriers in a service business.") [APP-3764].

RESPONSE: Denied. Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence.

Respondent is not aware of what other ocean carriers do or do not do in terms of reserving portions of the total capacity. Further, Paul Devine testified that OOCL only allocated 90% of its space to service contract cargo, using the remaining 10% of space as “buffer space” to accommodate needed changes in volume. APP-428 (Devine Tr. 62:7-63:24).

160. [REDACTED]

RESPONSE: [REDACTED]

161. During the pandemic, OOCL did not encounter a significant reduction in total lift capacity or conduct light sailings. *See* Mitchell Dep. Tr. 178:19-22 [APP-1722]; Lam Dep. Tr. 94:21-95:23 [APP-1362]; Ex. 381 (McCown Report) ¶ 51 [APP-3765].

RESPONSE: Denied. While OOCL’s inbound vessels on the Trans-Pacific Trade routes were sailing nearly full, COVID shutdowns in Asia, port delays, and blanked sailings reduced total lift capacity due to a reduction in the total number of sailings completed in the pandemic years.

162. Steffen admitted that, pursuant to FMC policy, ocean freight carriers may need to charter additional space or prorate capacity among service contract shippers if the ocean freight carrier’s ships are fully booked. *See* Steffen Dep. Tr. 131:11-132:7 [APP-2552] (discussing Letter from the then-Managing Director of the FMC Edward P. Walsh (April 8, 1999) (the “1999 Walsh Letter”) [APP-5029-5032]).

RESPONSE: Denied. Mr. Steffen stated that he was not aware of any guidance in terms of what a carrier “needs” to do it if “has” a space shortage (phrased in the present tense). BBBY’s counsel then paraphrased a non-binding 1999 FMC letter, representing to the witness that the

statement was from the current FMC managing director (“A: Who made that statement again? I’m sorry. Q: The managing director of the Federal Maritime Commission.”), despite the quoted guidance being 25 years old. After being intentionally misled by BBY’s counsel as to the source of the putative guidance, Mr. Steffen—who is not a legal expert—simply conceded that *if* the policy stated by counsel was FMC’s policy, he would not disagree with it. APP-2552 (Steffen Tr. 131:25-132:7). Of course, the 1999 letter also stated that “[i]f, in carrying out its duty to the public, a common carrier encounters certain unforeseen circumstances whereby it is not able to provide the necessary space to all its shippers, it will have properly performed its duty if it ‘fairly and equitably distributed’ its space among them.” APP-5031 (1999 Walsh Letter at 3). OOCL abided by this principal, treating BBY the same as other ocean carriers did at the time. APP-850 (Hackett Tr. 148:22-149:11).

163. Steffen admitted that a booking system which achieves its stated goal only 5% of the time is not a reasonable system. *See* Steffen Dep. Tr. 166:22-167:13 (“Q. Is a booking system that achieves its stated goal only 5 percent of the time reasonable, in your view? A. I would say, no.”)[APP-2561]; [REDACTED]

RESPONSE: Admitted that Mr. Steffen agreed 5% goal achievement *would* not be reasonable in the abstract. Denied that 5% was relevant to OOCL’s fulfillment at that time, as Mr. Steffen testified in the next (conveniently omitted) paragraph, “I don’t think that is adequate with respect -- as a general matter, that is not adequate, but that is not evidence [sic] to me from the analysis of Karen Lam -- that that was the fate of Bed Bath & Beyond”). APP-2561 (Steffen Tr. 168:2-8).

At that time in August and September 2021, Glenn Metzger had not undertaken an examination of OOCL’s booking activity with any of the shippers. When he undertook that examination with respect to BBY, he found that OOCL met its container space allocation obligations and BBY did not meet its container tender obligations. RPF 603, 604. This analysis is consistent with the analysis that Karen Lam and her team performed. *See* RPF 576 to 618.

164. There were no capacity constraints that would justify even a fraction of OOCL’s large shortfall to BBY *See* Ex. 381 (McCown Report) ¶ 52 [APP-3765].

RESPONSE: Denied. Complainant’s source for this purported “fact,” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. The premise of the purported “fact” also fails because there was no shortfall. BBY’s assessment of OOCL’s purported shortfall is bogus and relies primarily on John McCown’s specious methodology. *See* RPF 550 to 575.

OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon

Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL has also submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, “OOCL met and exceeded its commitments, or its allocation.” APP 1627 (Glenn Metzger Tr. 151:16-24). OOCL met its container space commitments to BBY. RPFFs 576 to 618.

Finally, there were obviously capacity constraints that impacted OOCL’s operations during the service contract years. See, e.g. APP-1050 (Jensen Tr. 215:4-217:22).

165. During his deposition in this case, Jensen repeatedly failed to answer questions on direct examination by BBY’s counsel as to whether a booking system which achieves its stated goal only 5% of the time is not a reasonable system. See Dep. Ex. 179 at OOCL_0000229939 (email dated August 5, 2021 showing that OOCL was only track to meet its prorated MQC service commitments to less than 5% of its North America East region service contract customers) [APP-3309]; *compare with* Jensen Dep. Tr. 312:18-324:15 (Jensen would not answer if a cargo space allocation scheme that results in less than 5% of customers getting allocations due under the contracts was an efficient, reasonable and effective system and was instructed by OOCL’s counsel not to answer) [APP-1074-1077]

RESPONSE: Denied. Mr. Jensen answered BBY’s counsel’s improper and incomplete hypothetical as completely as he could given the reaching and argumentative nature of the questioning. That Mr. Jensen refused to kowtow to counsel’s repeated badgering shows the impropriety of counsel’s questioning. As Mr. Jensen explained, an alleged observation of a 5% allocation realization “is not necessarily an indication of how the allocation scheme goes. It can just as well be an indication of booking behavior with the shippers that I included here.” APP-1076 (Jensen Tr. 320:8-13). After failing to trick Mr. Jensen into agreeing to his preferred phrasing multiple times, BBY’s counsel became frustrated and began arguing with the witness: “A. That, I cannot read from this. I just see the math, and the math says they are below the MQ. Q. I didn’t ask you to read it. I asked you to use your intellect and confirm for me that if they’re falling short on their MQC to customers in August 2021, that is causing significant damage to customers, isn’t it?” APP-1076 (Jensen Tr. 321:4-12). BBY’s counsel then ramped up his abusive questioning again: “Q. Let’s try some yes or no questions because I sense you’ve been getting a little defense. Yes or no...” APP-1077 (Jensen Tr. 352:3-6). OOCL’s counsel objected to the improper attempt to limit the witness’s testimony, which caused BBY’s counsel to further spiral. Because BBY declines to include the text of the exchange, OOCL includes same below:

Page 310	1 JENSEN 2 meant the MQC booked by Bed Bath & Beyond. 3 Bed Bath & Beyond, when you look 4 at the bookings, did deliver in terms of 5 the amended. When you look at the 6 deposition that came from Karen Lam, there 7 was actually space offered to Bed Bath & 8 Beyond that Bed Bath & Beyond did not book 9 into. 10 Q You think Bed Bath & Beyond was 11 just spending millions upon millions of 12 dollars to NVOs on the same routes that 13 OOCL was supposed to be providing freight 14 on because it wanted to blow through its 15 cash reserves? 16 MR. LETOURNEAU: Objection. 17 Argumentative. 18 A No. I have no idea what was 19 going through the minds of Bed Bath & 20 Beyond, but I would have a hypothesis that 21 Bed Bath & Beyond was in exactly the same 22 position as every other shipper out there, 23 which means that they would have had 24 severe problems maintaining their own 25 supply chains, not in relation to	Page 312	1 JENSEN 2 MR. LETOURNEAU: Objection. 3 Misstates -- 4 Q -- it failed to get its MQCs? 5 A I would not agree to that, no. 6 MR. LETOURNEAU: Objection. 7 Misstates the record. 8 A That is not how I would see it, 9 no. 10 Q Okay. 11 You have relied exclusively for 12 your analysis of fulfillment of the MQC on 13 documents generated by OOCL concerning 14 data reported from CSAL, correct? 15 A Correct. 16 MR. LETOURNEAU: Objection. 17 Misstates the record. 18 Q Now, for a proprietary system 19 such as CSAL that is designed to perform a 20 particular task, is there a threshold of 21 reliability that you would use to 22 determine whether that system is 23 sufficient for the job it was designed 24 for? 25 A I would not have any technical
Page 311	1 JENSEN 2 container carriers, but in terms of when a 3 product is delivered, when can they even 4 book them on the ships, leading to 5 situations where, instead of a stable 6 booking flow, that this would come in 7 large lumps. 8 This, to some degree, is shown 9 also in the Karen Lam deposition, in the 10 graphs, where you can see the attempts of 11 Bed Bath & Beyond to book at very 12 irregular intervals with very high spikes. 13 As I said, this is a hypothesis, 14 but I would very much think that this 15 could be borne out because that is the 16 situation faced by a lot of shippers where 17 their own sourcing patterns were in flux, 18 not to mention their own destination 19 patterns. 20 Q Fair to say that as it actually 21 worked out, given how much Bed Bath did 22 have to spend with NVOs to get that 23 freight, that Bed Bath did not, in fact, 24 get a huge benefit from its contract with 25 OOCL to the extent that --	Page 313	1 JENSEN 2 insight to answer that question. 3 Q Okay. 4 Would you say that a cargo space 5 allocation scheme that results in less 6 than 5 percent of customers actually 7 getting the allocations due them under 8 their contracts is an efficiently and 9 properly designed allocation scheme? 10 A I don't know. I don't know 11 where the 5 percent number comes from. 12 Q Oh, no, I'm not asking that. 13 Would you say that a system that 14 actually results in only 5 percent of 15 customers being up to date on their MQCs 16 is an effective, efficient, and reasonable 17 allocation scheme? 18 MR. LETOURNEAU: Objection. 19 Incomplete hypothetical. 20 A I have no idea what kind of 21 information we are talking about and to 22 which degree these customers would feel 23 well informed, so I can't offer an 24 informed opinion. 25 Q And you worked at Maersk. You

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Page 314	Page 316
1 JENSEN 2 worked at TCC. 3 If you had been at either of 4 those companies and you put in place a 5 system that had a 95 percent fail rate in 6 terms of getting customers the allocation 7 they signed up for, would you consider 8 that a success? 9 A I have not been a part of the -- 10 MR. LETOURNEAU: Same objection. 11 A -- allocation system in Maersk, 12 but I definitely have seen systems in 13 Maersk that have 100 percent failure rate 14 on making invoices, as an example. 15 Q Yes. 16 Do you believe that those 17 systems that had 100 percent failure rate 18 were reasonable and efficient systems for 19 Maersk to rely on? 20 MR. LETOURNEAU: Same objection. 21 A What they were relying on was, 22 then, processes to safeguard and say how 23 do we correct the information? 24 This was not the case when you 25 look deeper down in the actual core	1 JENSEN 2 Q Yes. 3 A Does the system fail in 4 providing the service level the customers 5 aspire to? Or does the system fail in 6 actually providing correct underlying data 7 for what was booked? 8 That's two very, very different 9 things. 10 Q Hypothetically, if there is an 11 allocation scheme that results in only 12 5 percent of customers actually getting 13 allocations consistent with the MQCs in 14 their contract, is that a proper, 15 reasonable, and efficient allocation 16 scheme? 17 MR. LETOURNEAU: Objection. 18 Asked and answered. 19 A That would be a challenge for 20 the process. That does not imply anything 21 about the accuracy of the data. 22 Q It's a challenge for the 23 process, which means that the process 24 needs to be improved, correct? 25 MR. LETOURNEAU: Same objection.
Page 315	Page 317
1 JENSEN 2 booking data because that is what feeds 3 into operational systems, and they're 4 usually extremely reliable because it's 5 with those systems you also generate load 6 plans for the vessels, in terms of finding 7 out what actually happened here. 8 Q All right. 9 So would you at least agree with 10 me that when you have a system that is 11 failing 95 percent of the time that is the 12 time when the company needs to go back to 13 the drawing board and figure out why the 14 system is failing and how it can be 15 improved? 16 MR. LETOURNEAU: Objection. 17 Misstates the record. 18 A I really fail to see the 19 hypothetical here. I-- 20 Q It's not a hypothetical. You 21 have operational experience. 22 And I'm sorry to interrupt you. 23 Please, finish your answer. 24 A But the hypothetical here is 25 what you mean by the system failing.	1 JENSEN 2 A Again, it would be the process, 3 but it doesn't speak to the accuracy of 4 the data. 5 Q Okay. 6 I'm not talking about the 7 accuracy of the data. I'm talking, now, 8 about the actual practice and procedure of 9 allocating space under a contract. 10 If that practice is only 11 successful 5 percent of the time at 12 allocating the space that is agreed, do 13 you believe it is a reasonable process? 14 MR. LETOURNEAU: Objection. 15 Asked and answered. 16 And I'm going to direct the 17 witness not to answer the question. 18 He's answered that at least four 19 times. 20 MR. HUTH: Well, we'll take that 21 up with the judge. Let's mark that in 22 the transcript, that there is an 23 improper instruction not to answer. 24 That is absolutely frivolous, 25 Mr. Letourneau, and I am disappointed.

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Page 318 1 JENSEN 2 MR. LETOURNEAU: Well -- 3 BY MR. HUTH: 4 Q Let's put up Exhibit Number 179, 5 which was previously -- 6 MR. LETOURNEAU: I object -- and 7 I object to your sidebar, Mr. Huth. 8 MR. HUTH: It's not a sidebar. 9 It is a response to a frivolous 10 objection that is obstructing this 11 process. 12 MR. LETOURNEAU: It is not a 13 frivolous objection. 14 MR. HUTH: Exhibit 179, please. 15 MR. LETOURNEAU: You've asked it 16 at least four times. 17 MR. HUTH: And I have yet to 18 receive an answer, which you have now 19 prevented me from getting, but I am 20 sure the documents will speak for 21 themselves. 22 Let's put up Exhibit 179. 23 (Whereupon, E-mail Bates-stamped 24 OOCL_0000229939, previously marked as 25 Murdoch Exhibit 179 for	Page 320 1 JENSEN 2 case if a large amount of these customers 3 have failed to place bookings in line with 4 their MQC or if these customers are trying 5 to place bookings at a weekly level in 6 excess of their MQC, as we have seen was 7 the case for Bed Bath & Beyond. 8 So that we have -- this 9 shortfall is not necessarily an indication 10 of how the allocation scheme goes. It can 11 just as well be an indication of booking 12 behavior with the shippers that I included 13 here. 14 Q Are you reading Mr. Schmiemann's 15 e-mail here as a positive, laudatory 16 e-mail talking about how good OOCL is at 17 serving its customers? 18 A No. I see it basically as 19 factual, that they have a shortfall in 20 terms of the volumes they were expected to 21 move under the MQC. 22 Q Yes. 23 A shortfall that is actively 24 injuring customers in a rising rate 25 environment, correct?
Page 319 1 JENSEN 2 identification, was shown to the 3 witness.) 4 BY MR. HUTH: 5 Q This is a one-pager. This is 6 the entirety of this e-mail chain. 7 Dr. Jensen, Thomas Schmiemann, 8 our vice president of Eastern Region Sales 9 for OOCL, again, writes, now on August 5, 10 2021: "Just to give you an indication of 11 the NAE's customer MQC shortfall, not 12 counting premium contracts, we have 146 13 customers and only seven are at or close 14 to their respective MQC on a prorated 15 basis. At this juncture, customers should 16 be between 33 and 35 percent of their MQ. 17 Less than 5 percent fall into category." 18 In your opinion, is OOCL's 19 allocation scheme successful at this point 20 in time, when less than 5 percent of 21 customers are actually meeting the place 22 where they should be on their MQC? 23 A I cannot, from this, infer 24 whether or not that is OOCL's allocation 25 process. This could just as well be the	Page 321 1 JENSEN 2 MR. LETOURNEAU: Objection. 3 Argumentative. 4 A That, I cannot read from this. 5 I just see the math, and the math says 6 they are below the MQ. 7 Q I didn't ask you to read it. 8 I asked you to use your 9 intellect and confirm for me that if 10 they're falling short on their MQC to 11 customers in August 2021, that is causing 12 significant damage to customers, isn't it? 13 MR. LETOURNEAU: And I object to 14 the argumentative tone of that 15 inquiry. 16 A I would look at this if I was in 17 the carrier and say, well, if I have an 18 MQC in a rising freight rate market and my 19 customer is not placing enough bookings to 20 fill it up, I might want to curtail that 21 customer because he's clearly not showing 22 up for the volume he's supposed to. I 23 could then use that space for something 24 else. 25 Q You don't think that a system

81 (Pages 318 to 321)

Page 322	1 JENSEN 2 that only works one time in 20 -- that 3 there might be something wrong with the 4 system? 5 A But where do you see -- 6 MR. LETOURNEAU: Objection. 7 Asked and answered. 8 A -- the system fails? 9 Q Sorry. What did you say? 10 A I don't see where the system 11 fails. 12 Q Oh. 13 So a 5 percent success rate is 14 acceptable in your view? 15 MR. LETOURNEAU: Same objection. 16 A I completely fail to understand 17 the question here. 18 Q I'm just trying to get an 19 answer, and I -- frankly, it strains 20 credulity to me that you are testifying 21 that, a system that only succeeds 22 5 percent of the time, you know, you don't 23 understand why that might be a flawed 24 system. And -- 25 MR. LETOURNEAU: Objection.	Page 324	1 JENSEN 2 But you've done nothing to 3 confirm whether anything in the CSAL 4 process resulted in it failing 19 times 5 out of 20, have you? 6 MR. LETOURNEAU: Objection. 7 Misstates his testimony. 8 A Again, I cannot see that the 9 system is failing. I have, in this case, 10 146 customers that promises to buy a 11 certain amount of goods. They have not 12 bought that amount of goods, and you blame 13 that on the seller's systems. I fail to 14 understand this line of questioning, to be 15 quite honest. 16 Q Yes. 17 Was demand for containerized 18 cargo from U.S. retailers high in August 19 5th -- August of 2021, in your view? 20 A Demand was high, but that is in 21 the aggregate. That does not necessarily 22 mean that demand is the same in every 23 conceivable week in every conceivable 24 port. As I've already mentioned, we have 25 seen cases with Bed Bath & Beyond having
Page 323	1 JENSEN 2 Argumentative. 3 A And I fail to see where the 4 system even comes into this. 5 Q Right. 6 In fact, CSAL -- whatever the 7 reliability of the data, whatever the 8 accuracy of the numbers as they reflect 9 what's inside OOCL's actual systems, the 10 reality of the contractual relationship 11 relates to how much cargo OOCL actually 12 carries, right? 13 MR. LETOURNEAU: Objection. 14 Misstates the record. 15 A Well -- but what I see here is, 16 when they look at their MQC, there should 17 have been booked and shipped 33 to 18 35 percent for the MQC. That is only the 19 case in 5 percent of the cases. That is 20 not identical to a problem in the CSAL 21 process that can equally well be a 22 reflection that the customers are not 23 booking in line with it, which says 24 absolutely nothing about the CSAL process. 25 Q All right.	Page 325	1 JENSEN 2 allocation, not booking anything. 3 Q Let's try some yes or no 4 questions because I sense you've been 5 getting a little defensive. 6 Yes or not -- 7 MR. LETOURNEAU: I -- side bar. 8 Mr. Huth, it's not him that is 9 getting defensive. It is you that is 10 getting argumentative. 11 BY MR. HUTH: 12 Q Yes or no, Dr. Jensen, in the 13 period from the beginning of the 2021 14 shipping year through August of 2021, was 15 demand higher than usual? 16 A Yes. 17 Q Yes or no, Dr. Jensen, in the 18 period beginning with the 2021 shipping 19 year leading to August of 2021, were spot 20 prices much higher than usual? 21 A Yes. 22 MR. LETOURNEAU: Now, before -- 23 no, wait a second. I'm going to 24 interpose an objection. 25 MR. HUTH: What is happening?

82 (Pages 322 to 325)

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1 JENSEN 2 MR. LETOURNEAU: You are not 3 obligated -- you are not obligated to 4 say yes or no to an answer. You are 5 free to answer however you choose, 6 Dr. Jensen. 7 MR. HUTH: All right. 8 The coaching is explicit and 9 utterly improper. 10 BY MR. HUTH: 11 Q Yes or no, Dr. Jensen, in the 12 period beginning with the beginning of the 13 2021 shipping year and leading up to 14 August of 2021, were spot rates 15 significantly higher than fixed price 16 contract rates negotiated that year? 17 MR. LETOURNEAU: Objection. 18 Form. 19 A Yes, they were. 20 Q So what possible reason would 21 139 out of 146 major North American 22 importers have for failing to bring their 23 cargo over during those several months of 24 elevated prices, elevated demand, and 25 enormous deltas between contract and spot	1 JENSEN 2 asking a question are utterly 3 improper. 4 Let me state the question 5 again -- well, actually let's have the 6 court reporter read it back. 7 MR. LETOURNEAU: I reiterate my 8 objection. 9 MR. HUTH: Ms. Garcia, could you 10 reread the question. 11 (Record read.) 12 MR. LETOURNEAU: Same objection. 13 A I believe the answer to that is, 14 yes, that's a standard phrase, as far as I 15 recall, in the service contracts. 16 Q And what we can say based on the 17 fact that only seven of 146 were at or 18 even close to their MQCs at this time is 19 that something happened to interfere with 20 the allocation scheme that was being 21 published using CSAL, right? 22 MR. LETOURNEAU: Objection. 23 Misstates the record. 24 A I couldn't say that with 25 certainty because I don't know what the
Page 327	Page 329
1 JENSEN 2 prices? 3 MR. LETOURNEAU: Objection. 4 Asked and answered. 5 A Because their supply chain would 6 be in disarray. A shipper that would have 7 expected to book, say, 20 containers every 8 week suddenly receives no product for four 9 weeks because factories are shut down. 10 Then they need to book 100 containers in 11 the same week and are, therefore, unable 12 to find space for them. 13 Q In your opinion, did OOCL have 14 any obligation to work collaboratively 15 with its shippers to help them actually 16 achieve their MQC? 17 A That is -- 18 MR. LETOURNEAU: Objection. 19 Misstates the record. 20 A That is part of the -- 21 MR. HUTH: I didn't say anything 22 about the record. Stop it, 23 Mr. Letourneau. You've been making 24 intense coaching objections, and these 25 "misstates the record" when I am just	1 JENSEN 2 shortfall of these shippers would 3 typically be in a normal situation prior 4 to the pandemic. 5 And just to illustrate, prior to 6 the pandemic, there had been statement -- 7 this was in the Northern market before the 8 pandemic. There had been statements out 9 by, I believe, Maersk stating that it was 10 fairly common to have about 35 percent 11 downfall in terms of shippers booking and 12 never showing up. 13 So whether this is actually an 14 unusual percentage in this case for OOCL 15 or not, I couldn't really say with 16 certainty. 17 MR. HUTH: We can take that one 18 down. 19 You know what? Let's take a 20 short break. I just want to organize 21 my papers. I'm getting close to the 22 end. But let's come back in 10 23 minutes. 24 THE WITNESS: Okay. 25 (Thereupon, a recess was taken,

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165.1. BBY's counsel's questions in the above exchange were proper.

RESPONSE: Denied. BBY was argumentative and abusive to the witness. OOCL incorporates the explanation and text of the exchanges as stated in Response to CPFF 165.

165.2. The above exchange demonstrates that Jensen was coached by OOCL's counsel to evade answering in good faith BBY's counsel's questions.

RESPONSE: Denied. BBY's counsel had no right to limit the witness's responses to "yes" or "no." OOCL incorporates the explanation and text of the exchanges as stated in Response to CPFF 165.

165.3. OOCL's counsel used frivolous and bad-faith objections in the above exchange in order to obstruct Jensen from answering the questions posed by BBY's counsel.

RESPONSE: Denied. Mr. Jensen answered counsel's questions repeatedly. That BBY's counsel did not get the answer he wanted did not entitle him to badger, argue with, and abuse a witness. OOCL incorporates the explanation and text of the exchanges as stated in Response to CPFF 165.

165.4. OOCL's counsel's obstruction of Jensen's testimony in the above exchange included OOCL's counsel instructing Jensen not to answer BBY's counsel's questions.

RESPONSE: Denied. Mr. Jensen answered counsel's questions repeatedly. That BBY's counsel did not get the answer he wanted did not entitle him to badger, argue with, and abuse a witness. OOCL incorporates the explanation and text of the exchanges as stated in Response to CPFF 165.

165.5. The above conduct by Jensen and OOCL's counsel prejudiced BBY because such conduct obstructed BBY counsel from eliciting deposition testimony on a material issue in this case.

RESPONSE: Denied. Mr. Jensen answered counsel's questions repeatedly. That BBY's counsel did not get the answer he wanted did not entitle him to badger, argue with, and abuse a witness. OOCL incorporates the explanation and text of the exchanges as stated in Response to CPFF 165.

b. OOCL's allocation scheme is flawed. Denied.

166. As reflected by the foregoing, and detailed further below, OOCL's CSAL scheme was flawed and incapable of allowing OOCL to meet its commitments to BBY under the Service Contracts, and [sic].

RESPONSE: Denied. OOCL met its space obligations. OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL has also submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24).

Glenn Metzger testified that other of OOCL's customers have provided positive feedback about CSAL, which is seen as a competitive advantage. APP-1627 (Metzger Tr. 152:24-153:21). Further, in March 2022, Karen Lam described CSAL as "another key and unique nature of OOCL." APP-4174. She explained that CSAL is "highlight valued" by customers that value clear space protection, while "some customers who have not enough internal control and loose production schedule would face challenges and suffered, as they will have high fluctuations in their loading volume every week at different locations." *Id.* OOCL was not inadequate, but "one system can never suit all customers' need[s]." *Id.* While many carriers adapted different ways to offer space to shippers, OOCL kept its space allocation system consistent and has "heard so many [sic] positive feedback about this protection." *Id.* Mr. Jensen also testified generally to CSAL's reasonableness, noting that all carriers have some means of allocating space. APP-1015 (Jensen Tr. 76:7-15).

167. OOCL did not design CSAL such that OOCL could meet its service commitments to its customers, including BBY.

RESPONSE: Denied. This purported "fact" is not supported by any record evidence. In fact, Mr. Metzger testified that in his experience with OOCL rolling out the digitized CSAL, "...when we're rolling out a product, we're not doing big bang. We're basically, not rolling out everything all in one shot and just seeing how it works. We're basically fine-tuning as we go, improving as we go, listening to our customers. So as customers are advising us of what they need, we're looking to find innovative ways of assisting them." APP-1632 (Metzger Tr. 173:9-18). Further, OOCL met its space allocation obligations and received much positive feedback regarding CSAL. OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. See Response to CPFF 166.

168. During the period of 2020-2022, OOCL used its CSAL mechanism to restrict the space available to OOCL's customers under those customers' respective service contracts in order to further OOCL's policy of discriminating against fixed-rate BCO service contract cargo, such as BBY's, in favor of higher-priced cargo by freeing up cargo space for such higher-priced cargo. See McCown Dep. Tr. 238:19-240:7, 240:17-241:7, 241:17-242:18 [APP-1496-1497].

RESPONSE: Denied. Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence. Mr. Jensen testified generally to CSAL's reasonableness, noting that all carriers have some means of allocating space. APP-1015 (Jensen Tr. 76:7-15). Further, OOCL met its space allocation obligations and received much positive feedback regarding CSAL. OOCL met its container space commitments to BBY. RPFFs 576 to 618. See Response to CPFF 166.

169. As discussed above, as of August 5, 2021, only 7 of OOCL's 146 North America East customers were at or were close to their respective MQC on a pro rata basis. See [REDACTED]

[REDACTED] see also Young Dep. Tr. 123:15-124:24 [APP-2854].

RESPONSE: Admitted as to the numbers referenced, but OOCL denies the proposition that such interim MQC percentages were or implied any shortfalls attributable to OOCL, as opposed to the shippers. OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. See Response to CPFF 166.

170. As OOCL personnel acknowledged, customer needs are not constant over a service contract year, but fluctuate. See Schmiemann Dep. Tr. 96:23-97:11 ("And in your 30 years-plus of experience, is it common for customers needs to change over the course of a year from what is put down originally in an ISC plan? A. Yes. Q. And is it common also for customers' needs to change, even on the month-to-month basis, as you're putting together a CSAL plan; that is, things -- as that CSAL plan goes into effect for the next year? A. Yes.") [APP-2199]; Murdoch Dep. 60:13-24 ("You can't use a -- let's say MQC simply divide by 12 because that's not realistic. Customers -- particularly, large retailers -- their shipments that they import usually correspond with the -- their sales -- peak sales, you know, so we have sales that are, let's say, for back-to-school goods, so that -- they're going to come in, in July or August, and then you have, you know, Thanksgiving, you know, seasonal holiday shipping. That may come in, you know, August/September.") [APP-1816]; Ex. 381 (McCown Report) ¶ 64 [APP-3766].

RESPONSE: Admitted that the witnesses identified above testified as set forth. As agreed by Paul Pastor, BBY was not in a position to simply enforce fixed-rate agreements as it needed additional capacity beyond its MQC in service years 2020 and 2021, capacity that it knew it would need to pay for at market rates and at rates to which it agreed. APP-1953-1954 (Pastor Tr. 97:8-100:4). Moreover, BBY's Patrick Hackett testified, that MQC/52 is not relevant because it is not how seasonal shippers like BBY operate. See APP-844 (Hackett Tr. 125:9-24). OOCL has moved to strike John McCown as an expert in this case. His methodology and opinions are premised on specious grounds. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

171. BBY's service contracts with OOCL did not contain any provisions tying BBY's MQCs or OOCL's corresponding service commitments with OOCL's internal CSAL system, much less requiring that BBY ship or OOCL carry any specific quantities per week or month between any specific ports in accordance with CSAL. *See* Devine Dep. Tr. 165:6-13, 166:16-167:13 [APP-453-454]; Ex. 381 (McCown Report) ¶ 53 [APP-3765].

RESPONSE: Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. OOCL has moved to strike John McCown as an expert in this case. His methodology and opinions are premised on specious grounds. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence.

CSAL was designed to merge the customer's needs with the space available, and was but OOCL's methodology for managing space, similar to methodologies employed by all carriers. RPFF 43, 230, 231. Mr. Jensen testified generally to CSAL's reasonableness, noting that all carriers have some means of allocating space. APP-1015 (Jensen Tr. 76:7-15). Further, OOCL met its space allocation obligations and received much positive feedback regarding CSAL. *See* Response to CPFF 166; RPFFs 576 to 618. BBY's apparent contention that all shippers should simply be able to call on a carrier at any time for any amount of space up to its annual MQC is, of course, incredible.

172. BBY's service contracts with OOCL did not contain any allocations for periods shorter than one year, such as weekly or monthly MQC. *See* Klosowsky Dep. Tr. 81:10-81:15 [APP-1256]; Pastor Dep. Tr. 111:19-112:13 [APP-1957].

RESPONSE: Admitted that the cited testimony supports the assertion.

173. Allocations made under CSAL are made entirely at OOCL's internal discretion regardless of whether the allocations lined up with BBY's needs, projections, or requests, or OOCL's service commitments to BBY. *See* Ex. 381 (McCown Report) ¶ 54 [APP-3766]; Mitchell Dep. Tr. 91:15-20 [APP-1700]; [REDACTED]

RESPONSE: Denied. One of Complainant's sources for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. OOCL has moved to strike John McCown as an expert in this case. His methodology and opinions are premised on specious grounds. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence.

Admitted that OOCL makes CSAL allocations pursuant to a customer's communicated needs and available space in light of the relevant service contract and other factors but denied as to any proposition that the customer is not involved in the process. RPFF 43, 230, 231

174. OOCL's Hong Kong-based Trade team unilaterally determined how to allocate space within a particular region between BCO and NVO customers. *See Mitchell Dep. Tr. 67:6-14 [APP-1694]; Ex. 381 (McCown Report) ¶ 55 [APP-3765].*

RESPONSE: One of Complainant's sources for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. . OOCL has moved to strike John McCown as an expert in this case. His methodology and opinions are premised on specious grounds. BBY's assessment of OOCL's purported shortfall is bogus. *See RPF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence.*

Admitted that OOCL determines how to allocate vessel space prior to each contract negotiation period to build the Model Ship plan and then employs CSAL each month in formulating space allocations to its customers. RPF 43, 230, 231, 232.

175. BBY's service contracts with OOCL did not permit OOCL to unilaterally determine how its MQC will be delivered by lanes or by week. *See Mitchell Dep. Tr. 341:15-25 ("...you understand that the CSAL allocation is not the MQC that is agreed to under the contract, correct? A. Well, the CSAL allocation is the contract MQC divided by 52. Q. Yes. But there's -- and there's nothing -- is there anything in the Service Contract that allows OOCL to unilaterally determine how the MQC divided by 52 will be delivered to a customer? A. No.") [APP-1762]; Ex. 381 (McCown Report) ¶ 56 [APP-3765].*

RESPONSE: OOCL denies the proposition in the first sentence above. Admitted that Jim Mitchell testified as set forth above, but CSAL works flexibly to allocate container space to customers based upon their respective needs throughout the shipping year in concert with OOCL's available container space aboard its vessels. RPF 43, 230, 231, 232. With a basic MQC provided in the contract, OOCL developed and employed a space allocation system that benefits customers and efficiently allocates available space throughout a service contract year given the varied demand some seasonal customers, like BBY, would experience. RPF 43, 230, 231, 232. As agreed by Paul Pastor, BBY was not in a position to simply enforce fixed-rate agreements as it needed additional capacity beyond its MQC in service years 2020 and 2021, capacity that it knew it would need to pay for at market rates and at rates to which it agreed. APP-1953-1954 (Pastor Tr. 97:8-100:4). Moreover, BBY's Patrick Hackett testified, that MQC/52 is not relevant because it is not how seasonal shippers like BBY operate. *See APP-844 (Hackett Tr. 125:9-24).*

176. BBY's logistics leaders did not know how, if at all, the rolling forecasts that they provided to OOCL were used in OOCL's internal CSAL process, such as whether they were entered into CSAL or used to make a comparison. *See Hackett Dep. Tr. 268:10-14; 268:20-25 [APP-880].*

RESPONSE: Denied. Mr. Paul Pastor, the BBY employee who dealt with CSAL most directly (APP-881 (Hackett Tr. 271:6-9) (stating that "Paul and Jim" would have dealt with CSAL in most detail)) testified that he was "sure there was an e-mail exchange on" how the CSAL

program worked, in terms of when they needed to get information from BBY. APP-1985 (Pastor Tr. 222:19-224:16). CSAL was well-known to BBY. RPFF 234. CSAL allocations are issued monthly by sail week and lanes/service loops. RPFF 235. BBY's rolling forecast did not always align with OOCL's space allocations. RPFF 238. Donna Forminio testified as to how she used BBY's forecasts to develop OOCL's space plan within CSAL:

A: If I remember correctly, Bed Bath & Beyond worked on a two-month rolling forecast, so they would provide us with a long-range forecast.

Q: Uh-huh.

A: Our space plan was done monthly. So I would use that long-range forecast to initially populate the space plan for Bed Bath & Beyond within CSAL. Then there would be, obviously, a fine-tuning of that long-range forecast. And that's when I would take what they needed, what changed from the initial forecast to see if I could work in what they needed when they -- when the vessel -- when the bookings became closer to the actual vessel they needed. And I tried to change the space plan to accommodate those forecasts. It wasn't always possible, but it did work.

RPFF 313.

177. BBY's logistics leaders did not know what CSAL was pegged to, such as, for example, MQC divided by 52. *See* Hackett Dep. Tr. 268:10-14; 268:20-25 [APP-880].

RESPONSE: Denied. Mr. Pastor, the BBY employee who dealt with CSAL most directly (APP-881 (Hackett Tr. 271:6-9) (stating that "Paul and Jim" would have dealt with CSAL in most detail)) testified that he was "sure there was an e-mail exchange on" how the CSAL program worked, in terms of when they needed to get information from BBY. APP-1985 (Pastor Tr. 222:19-224:16). CSAL was well-known to BBY. RPFF 234. CSAL allocations are issued monthly by sail week and lanes/service loops. RPFF 235. BBY's rolling forecast did not always align with OOCL's space allocations. RPFF 238. Donna Forminio testified as to how she used BBY's forecasts to develop OOCL's space plan within CSAL:

A If I remember correctly, Bed Bath & Beyond worked on a two-month rolling forecast, so they would provide us with a long-range forecast.

Q Uh-huh.

A Our space plan was done monthly.

So I would use that long-range forecast to initially populate the space plan for Bed Bath & Beyond within CSAL. Then there would be, obviously, a fine-tuning of that long-range forecast.

And that's when I would take what they needed, what changed from the initial forecast to see if I could work in what they needed when they -- when the vessel -- when the bookings became closer to the actual vessel they needed. And I tried to change the space plan to accommodate those forecasts. It wasn't always possible, but it did work.

RPFF 313.

178. “OOCL’s commitment, I think, at the end of that, *regardless of what we asked for*, was whatever was in CSAL, and then that’s when they would commit to move.” *See* Hackett Dep. Tr. 268:14-17 (emphasis added) [APP-880].

RESPONSE: Admitted. Further, Yusen was contractually obligated with BBY to book per the carrier’s monthly allocation, not per BBY’s rolling forecast. RPFF 622. BBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBY’s containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBY’s Reid Klosowsky that said, among other things: “Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.”)); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: “Because it was Bed Bath & Beyond’s practice to book with more than one carrier. . . .”)). RPFF 623. Yusen did not book per the ocean carriers’ allocations provided by BBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 (“I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.”)). RPFF 624.

179. On the occasions when OOCL’s North American Group sales team tried to secure space for customers, sometimes the bookings were not added to OOCL’s main CSAL file, and by the time the problem was understood it was too late for the customer to use that space. *See* Forminio Dep. Tr. 246:9-248:6 [APP-666]; Dep. Ex. 246 [APP-3326-3329].

RESPONSE: Denied. BBY fails to inform the Presiding Officer that the cited testimony from Ms. Forminio relates to CSAL “growing pains” “before COVID” and is thus irrelevant to the service years in issue. APP-666 (Forminio Tr. 248:7-12).

180. Once OOCL has issued its CSAL allocation, there is no flexibility. *See* Mitchell Dep. Tr. 90:21-24 (“if they don’t deliver on space that’s allocated in a given week, then that allocation is lost if they don’t deliver against it”) [APP-1700]; Dep. Ex. 182 (“We honor our commitment based on the actual CSAL allocation we offered to BBB, and hope BBB can fulfill MQC based on the allocation we offered. If BBB cannot fill up the allocation, it is BBB’s problem and responsibility instead of OOCL.”) [APP-3765]; Ex. 381 (McCown Report) ¶ 57 [APP-3765].

RESPONSE: Denied. CSAL works flexibly to allocate container space to customers based upon their respective needs throughout the shipping year in concert with OOCL's available container space aboard its vessels. RPFF 43, 230, 231, 232. With a basic MQC provided in the contract, OOCL developed and employed a space allocation system that benefits customers and efficiently allocates available space throughout a service contract year given the varied demand some seasonal customers, like BBY, would experience. RPFF 43, 230, 231, 232. As agreed by Paul Pastor, BBY was not in a position to simply enforce fixed-rate agreements as it needed additional capacity beyond its MQC in service years 2020 and 2021, capacity that it knew it would need to pay for at market rates and at rates to which it agreed. APP-1953-1954 (Pastor Tr. 97:8-100:4). Moreover, BBY's Patrick Hackett testified, that MQC/52 is not relevant because it is not how seasonal shippers like BBY operate. *See* APP-844 (Hackett Tr. 125:9-24).

CSAL's flexibility is graphically depicted in the Spotfire graphs prepared by Karen Lam's team, which show many instances of cargo above OOCL's monthly allocation being booked for carriage. APP 3122-3144, 3145-3166 (Ex. 66, 67). Karen Lam referred to this as "over accommodation. APP 3039-3040 (Ex. 39).

Multiple OOCL witnesses have described flexibility in terms of last-minute allocation swaps undertaken in an effort to help customers ship as much cargo as they wanted, even if that cargo was above their allocation. *See, e.g.,* APP-672-73 (Forminio Tr. 273:16-274:11) ("Every week, we were allowed, for the vessel two weeks out, to take a look at our bookings, or take a look at our forecast, and change CSAL to more closely align with what was actually being booked. So with the situation like I just mentioned -- somebody on PCC1 is trying to book Ningbo and they only have Shanghai space -- I could move that space around. I could take it away from Shanghai and put it to Ningbo, so when they booked, they be able to book. It was very tedious. It was very time consuming. And it turned out to, like, kind of, take over my whole day. But that's what was required at -- you know, during peak seasons.").

Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. His methodology and opinions are premised on specious grounds. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence.

181. Importantly, OOCL would not reallocate or make up CSAL allocations at later points within a given service contract term or shipping year if its allocations were provided in a time period that the customer did not or could not actually use the allocated space. *See* DelPrete Dep. Tr. 127:8-128:5, 129:21-131:6 [APP-372-373].

RESPONSE: Denied. Mr. DelPrete clearly described a system by which customers would be able to make up space that was allocated to them via CSAL—space that was only allocated if the customer informed OOCL that such space was needed, because OOCL would have no incentive to allocate space to a customer that did not want or need it—that they ended up not using. Customers might, for example, receive space at a later date. APP-372-73 (DelPrete

129:21-130-2). Put simply, “they would lose their allocation for that week. That doesn’t mean they couldn’t ship more than that in the subsequent week if there’s additional space.” *Id.* (DelPrete Tr. 130:3-12). OOCL also had the ability to “swap” cargo if it was done a number of weeks in advance of a sailing. RPF 657. Further, OOCL’s contractual obligation was to provide a quantity of space and BBY’s obligation was to tender cargo. BBY’s failure to tender cargo per the agreement does not impact OOCL’s fulfillment of its obligation to provide space. See also OOCL’s Response to CPFF 181, which is incorporated herein by reference.

182. The space allocations made unilaterally by OOCL through CSAL is a “use it or lose it” proposition for OOCL’s customers. See Mitchell Dep. Tr. 93:4-11 (“So in terms of MQC from the lens of a shipper trying to make bookings against CSAL in order to fulfill its MQC, that CSAL space is, kind of, use it or lose it, then, in terms of getting up to its MQC under the shipping -- under the service contract? A. Correct.”); [APP-1700]; Ex. 381 (McCown Report) ¶ 58 [APP-3765].

RESPONSE: Denied. See OOCL’s Response to RPF 181, which is incorporated herein by reference. CSAL was well-known to BBY. RPF 234. CSAL allocations are issued monthly by sail week and lanes/service loops. RPF 235. BBY’s rolling forecast did not always align with OOCL’s space allocations. RPF 238. Donna Forminio testified as to how she used BBY’s forecasts to develop OOCL’s space plan within CSAL:

A If I remember correctly, Bed Bath & Beyond worked on a two-month rolling forecast, so they would provide us with a long-range forecast.

Q Uh-huh.

A Our space plan was done monthly. So I would use that long-range forecast to initially populate the space plan for Bed Bath & Beyond within CSAL. Then there would be, obviously, a fine-tuning of that long-range forecast.

And that's when I would take what they needed, what changed from the initial forecast to see if I could work in what they needed when they -- when the vessel -- when the bookings became closer to the actual vessel they needed. And I tried to change the space plan to accommodate those forecasts. It wasn't always possible, but it did work.

RPF 313.

OOCL makes CSAL allocations pursuant to a customer’s communicated needs and available space in light of the relevant service contract and other factors but denied as to any proposition that the customer is not involved in the process. Mr. DelPrete clearly described a system by which customers would be able to make up space that was allocated to them via CSAL—space that was only allocated if the customer informed OOCL that such space was needed, because OOCL would have no incentive to allocate space to a customer that did not want or need it—that they ended up not using. Customers might, for example, receive space at a later date. APP-372-73 (DelPrete 129:21-130-2). Put simply, “they would lose their allocation for that week.

That doesn't mean they couldn't ship more than that in the subsequent week if there's additional space." *Id.* (DelPrete Tr. 130:3-12).

One of Complainant's sources for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. His methodology and opinions are premised on specious grounds. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence.

183. During the relevant time period, CSAL allocation often did not align with BBY's actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. See Hackett Dep. Tr. 271:6-16 [APP-881]; Pastor Dep. Tr. 102:13-20 ("We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn't align in many cases of what our needs were and what were on the CSAL.") [APP-1955]; Schmiemann Dep. Tr. 96:23-97:11 [APP-2199]; Ex. 381 (McCown Report) ¶ 63 [APP-3766].

RESPONSE: Denied. Admitted that BBY's late-made space requests were not always satisfied. OOCL, acting in compliance with the FMC's directive to treat all customers equitably in a time of demand exceeding supply, imposed cutoff dates, and communicated those cutoff dates to its customers. BBY's inability to comply with those cutoff dates may have resulted in its inability to tender cargo or secure space on certain vessels.

CSAL was well-known to BBY. RPF 234. CSAL allocations are issued monthly by sail week and lanes/service loops. RPF 235. BBY's rolling forecast did not always align with OOCL's space allocations. RPF 238. Donna Forminio testified as to how she used BBY's forecasts to develop OOCL's space plan within CSAL:

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Q Uh-huh.

A Our space plan was done monthly. So I would use that long-range forecast to initially populate the space plan for Bed Bath & Beyond within CSAL. Then there would be, obviously, a fine-tuning of that long-range forecast.

And that's when I would take what they needed, what changed from the initial forecast to see if I could work in what they needed when they -- when the vessel -- when the bookings became closer to the actual vessel they needed. And I

tried to change the space plan to accommodate those forecasts. It wasn't always possible, but it did work.

RPFF 313.

OOCL makes CSAL allocations pursuant to a customer's communicated needs and available space in light of the relevant service contract and other factors but denied as to any proposition that the customer is not involved in the process.

One of complainant's sources for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. His methodology and opinions are premised on specious grounds. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence.

184. When a service contract customer did not—or could not—use its allocated CSAL, OOCL would give the allocated space to another customer. *See* DelPrete Dep. Tr. 127:8-128:5, 129:21-131:6 (“Q: Is your understanding that a customer is able to lose any part of its allocation if it's not used at a particular time? A. If a customer doesn't use their allocation in a given week? Q. Yes. A. Then that they would lose their allocation for that week.”) [APP-372].

RESPONSE: OOCL denies the proposition in the first sentence above. OOCL did not leave unused CSAL as empty space on vessels, but filled the space for which BBY tendered no cargo with other containers. This was only after BBY failed to timely tender cargo under an allocation. OOCL had a cut-off date by which cargo had to be booked.

185. During the relevant time period, OOCL provided extra space allocation to BBY at times when OOCL knew BBY would not be able to use it. *See* Dep. Ex. 183 at OOCL_0000136699 [APP-3317], Murdoch Dep. Tr. 146:20-147:8 (“Q. What is your recollection of why it was doubtful that BBB would be able to use the extra space that OOCL was offering at this time? A. Yeah, because of the remaining time left on their contract and their shortfall was significant at that point, so it didn't seem realistic that they would be able to just simply avail themselves of all the extra space that we might give them and load up all their shipments at origin and be able to get them on the ship.”) [APP-1838].

RESPONSE: Denied. Because BBY was behind in tendering its cargo and the contract year ended in April, OOCL observed that BBY would be unlikely to fully meet its MQC obligations before the end of the contract. OOCL admits that it offered BBY “extra space” in March 2022 (APP 1381 (Karen Lam Tr. 173:4-23). Karen Lam testified:

A. From my memory, initially we tried to offer 1100 altogether. And then we let the customer to review and they come back, okay, they tried to adjust the demand across different loop and weeks. And then after a few rounds of the

communication between GM and BBB, **then we come up with space they require and then we set the CSAL.**

Q. The 1100 number you recall was that TEUs?

A. TEU, yes. And the final space that BBB agreed to take is like 870-something. Most of them was the amount but, of course, they also have shortfall after they take the CSAL.

APP 1384 (Karen Lam Tr. 182:6 to 182:18); see also Exs. 66 and 67. When the space was offered, there was still a “high demand scenario in the market.” APP 1384 (Karen Lam Tr. 182:19-183:16).

In addition, OOCL accepted 1,648 TEUs of bookings above its CSAL monthly allocations during the course of the 2021 service contract year, which OOCL was not contractually obligated to accept. APP 3039-3040 (Ex. 39, second slide). 1,648 TEUs equates to 23.3% of the annual MQC of 7,072 TEUs set in the service contract. Further, the adjusted CSAL of 870 TEUs amounted to 12.3% of the annual 7,072 TEUs set in the service contract. OOCL’s CSAL was not adjusted by the amount of space that was offered, but instead by the amount of space that BBY accepted. APP 3039-3040 (Karen Lam Tr. 173:4-23).

186. In his Expert Report submitted in this case, Jensen stated that a carrier would be acting unreasonably if it failed to accept a shipping customer’s bookings for the first 364 days of a year and then on the final day of the contract told the customer that the carrier could approve all bookings on the final day of the year. *See* Ex. 413 (Jensen Report) at 5 [APP-4014].

RESPONSE: Admitted.

187. There were times when OOCL's CSAL allocation was far more than what BBY needed at the specific time for a particular port pair. *See* Hackett Dep. Tr. 270:25-271:16 [APP-881].

RESPONSE: Denied. The cited testimony from Patrick Hackett was that he was not aware of details surrounding CSAL, but he would “have to believe”—without actually knowing—that CSAL and BBY’s booking did not align. APP-881 (Hackett Tr. 271:6-16). Mr. Hackett conjectured that at times there may have been an allocation greater than the amount BBY needed. However, such a statement does not consider why the CSAL was higher than the shipment, namely because BBY reserved the space and then did not end up needing it. Again, OOCL generated CSAL allocations based on customers’ requested space. There was no incentive for OOCL to allocate space to customers that would go unused.

188. A “blank” sailing is when an entire voyage is omitted as opposed to a port omission, in which just one port within that voyage is passed over in order to catch up on time. *See* Young Dep. Tr. 191:1-193:9 [APP-2871].

RESPONSE: Denied. A blank sailing may refer to an entirely omitted voyage, or may refer to a situation where one port is skipped over. See APP-2222 (Schmiemann Tr. 186:9-24).

188.1. OOCL did not make up CSAL allocations if a sailing was blanked or otherwise missed. *See* Mitchell Dep. Tr. 88:8-20 (“Q. And if a -- so if a customer failed to ship -- let’s say they had -- they had an allocation in CSAL for 10 containers in a given week and they were not able to ship it that week, would there be an opportunity for that customer to get those 10, those 10 containers, at a later time in the year in order to satisfy their MQC? A. No.”), 268:16-269:23 [APP-1699]; Forminio Dep. Tr. 250:17-253:23 [APP-667]; Ex. 381 (McCown Report) ¶ 59 [APP-3766].

RESPONSE: Denied. Mr. DelPrete clearly described a system by which customers would be able to make up space that was allocated to them via CSAL—space that was only allocated if the customer informed OOCL that such space was needed, because OOCL would have no incentive to allocate space to a customer that did not want or need it—that they ended up not using. Customers might, for example, receive space at a later date. APP-372-73 (DelPrete 129:21-130-2). Put simply, “they would lose their allocation for that week. That doesn’t mean they couldn’t ship more than that in the subsequent week if there’s additional space.” *Id.* (DelPrete Tr. 130:3-12).

188.2. Decisions concerning blank sailings and port omissions were made by OOCL’s trade team. *See* Young Dep. Tr. 192:5-8; 192:23-25 [APP-2871].

RESPONSE: Admitted.

188.3. Blank sailings are sometimes intentionally planned, especially during major holidays, as part of the Ocean Alliance’s operations, or due to mechanical issues and lack of available ships, but there is no fixed number planned annually. *See* Wong Dep. Tr. 70:24-71:23 [APP-2720]; Forminio Dep. Tr. 234:6-20 [APP-663].

RESPONSE: Admitted but denied that there is any record evidence that any such blank sailings occurred during the pandemic or otherwise affected BBY.

188.4. Unexpected blank sailings occur when “the ship’s engine [is] breaking down” or there are “[v]ery serious delays due to port congestion.” *See* Wong Dep. Tr. 72:2-12 [APP-2720].

RESPONSE: Admitted that these are examples of when blank sailings may have occurred. Blank sailings do not always or only occur in the situations described.

188.5. Blank sailings increased in the ocean shipping industry during the COVID-19 pandemic due to pandemic-related port congestion and ripples from

the Suez Canal grounding incident. *See* Ex. 413 (Jensen Report) at 18 [APP-4027]; Jensen Dep. Tr. 371:23-372:10 [APP-1089]; Forminio Dep. Tr. 233:17-24, 235:16- 18 [APP-662-663].

RESPONSE: Admitted.

188.6. The increased number of blank sailings in the shipping schedules was partly due to the COVID pandemic and continued into 2021. *See* Forminio Dep. Tr. 233:22-235:23 [APP-662-663].

RESPONSE: Admitted.

188.7. OOCL also might order a blank sailing simply to operate more profitably—for instance, when OOCL could not secure an amount of cargo on a particular vessel that would, in OOCL’s eyes, justify the cost of the voyage. *See* Young Dep. Tr. 194:4-195:2 [APP-2872].

RESPONSE: Denied. The witness cited did “not know the impact [of blank sailings] because [he] would not be involved in that process.” APP-2871-72 (Young Tr. 193:24-194:2). To his limited knowledge, Mr. Young testified that a vessel may be blanked if its cargo booking was at 30 or 40 percent capacity “because there’s not enough cargo to justify the cost of moving that particular vessel in that particular loop.” APP-2872 (Young Tr. 194:11-195:2). Mr. Young did *not* testify that a blank sailing would be planned “simply to operate more profitably” as Complainant misstates. Denied that there is any record evidence that any such blank sailings occurred during the pandemic or otherwise affected BBY

188.8. “[W]hen [OOCL] designed the model ship, they [did] not... consider the blank sailing factors.” *See* Wong Dep. Tr. 85:20-86:2 [APP-2723- 2724].

RESPONSE: Admitted. As Mr. Metzger explained, model ship is OOCL’s “perfect-day scenario where they are detailing what is the space that’s afforded to the region.” APP-1598 (Metzger Tr. 37:2-17). That perfect-day scenario is then used as a baseline for CSAL and adjusted as needed.

189. CSAL was widely derided by OOCL employees as inefficient and unfair, with challenging requirements that made booking difficult. *See* Dep. Ex. 12 at OOCL_0000125868 [APP-2940]; Hackett Dep. Tr. 177:8-17 [APP-857]; Ex. 381 (McCown Report) ¶ 65 [APP-3766-3767].

RESPONSE: Denied. The above cited testimony does not support the proposition above. Complainant’s citation to Patrick Hackett is irrelevant as he was discussing Yusen’s difficulty managing multiple contracts for a given shipper, a condition that he did not “think [] was unique to OOCL.” APP-857 (Hackett Tr. 177:5-8). The other record citation (APP-2940) says

nothing of fairness or inefficiency, noting that “CSAL is about as accurate as it is going to get.” APP-2940 (OOCL_0000125868).

One of complainant’s sources for this purported “fact,” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. His methodology and opinions are premised on specious grounds. BBY’s assessment of OOCL’s purported shortfall is bogus. See RPF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence.

190. OOCL rejected bookings that did not comply with CSAL.

RESPONSE: Denied. OOCL pended (that is, neither confirmed nor declined) bookings made for space above that which was allocated to a shipper under the CSAL space plan. Those requests were then reviewed manually, the space team was consulted to see if such space could be made available, and the result communicated to the shipper. *See* APP-1606-07 (Metzger Tr. 69:24-70:9). Glenn Metzger’s detailed examination of the booking activity between OOCL and BBY revealed that in fact OOCL’s declined bookings were by and large justified. RPF 614.

191. Even though OOCL’s external, customer-facing booking system, “My OOCL Center”, allowed OOCL’s customers to “put anything they want in their booking request”, that system did not notify customers if a booking request exceeded OOCL’s internal CSAL allocation to that customer, and no space would actually be allocated by OOCL to that customer unless and until an OOCL customer service representative manually input a separate booking in OOCL’s internal IRIS-4 system. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: OOCL denies the implication of the proposition in the first sentence above. Admitted that bookings beyond CSAL would be pended while OOCL employees attempted to accommodate the overage request. Also admitted that there was no automatic notification as every single booking request was manually reviewed and customer service employees personal contacted the booking agent as needed. *See* APP-1606-07 (Metzger Tr. 69:24-70:9).

Shippers had the ability to request any service, which was then reviewed by customer service personnel and approved if availability permitted. When OOCL issued its monthly container space allocation to BBY/Yusen, OOCL provided booking guidelines, e.g., “To ensure full utilization of the space allocations provided, please request the OCM or the vendor to follow these guidelines: . . . Book to the correct service loop. Book to the allocation.” *See* e.g., APP RX-000977-978 (Ex. 198, Bed Bath & Beyond SPACE WK #31-34.xlsx); APP 3309 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBY/Yusen knew not to book above BBY’s allocation with OOCL, but BBY did so anyway. BBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBY’s containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBY’s Reid Klosowsky that said, among other things: “Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.”)); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: “Because it was

Bed Bath & Beyond's practice to book with more than one carrier. . . .")): APP 960 (Jacobus Tr. 126:2-21).

Yusen did not book per the ocean carriers' allocations provided by BBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 ("I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.")); APP 1554 (McQuade Tr. Tr. 43:12-44-9).

Yusen was contractually obligated to book per the ocean carriers' monthly allocations. RX-000079-153 (Ex. 274, Yusen Logistics-BBY Contract, pp. 26-27).

191.1. When a customer books more space than their allocated amount, the excess is rejected. *See* Young Dep. Tr. 115:4-116:21 [APP-2852].

RESPONSE: Denied. OOCL pended (that is, neither confirmed nor declined) bookings made for space above that which was allocated to a shipper under the CSAL space plan. Those requests were then reviewed manually, the space team was consulted to see if such space could be made available, and the result communicated to the shipper. *See* APP-1606-07 (Metzger Tr. 69:24-70:9).

191.2. Unless there was further specific back-and-forth between the customer and an OOCL customer service representative regarding the booking request, the customer's booking request simply "would never get input into IRIS- 4" Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: Denied as misleading. There is *no evidence* that BBY or its booking agent Yusen ever failed to receive notice of booking request status. Gavin Murdoch actually testified as follows:

Q And so going back to my question a moment ago but elaborating on it, in the instance I described before where a customer submits a request for space that exceeds the CSAL allocation for that particular port pair during that time period, if they've submitted a request for four 40-foot containers, CSAL has three 40-foot containers, and there's no further back-and-forth with the Customer Service representative about the fact that they've exceeded that, does that booking request get rejected in its entirety?

A It just -- it would never get input into IRIS-4.

So, like I said, the Customer Service represent rep in Asia would go to

the Space Team in Asia and ask for permission to create the booking that exceeds the space allocation to the CSAL.

If they get the okay, they would go ahead. They would register the booking. The customer would never know anything. A customer would just then get their booking acknowledgment from IRIS-4.

But if there wasn't space or for any -- you know, or if they were trying to book too close to the vessel sailing, they'd all -- you know, then the customer would get the response back from Customer Service representative and just let them know that they were booking too late or they were booking over their allocation. Let them know, and then let the customer decide what to do.

The customer -- let's say -- let's say they were still within the time frame. The customer can then say, okay, I want -- I want three containers. And we just, you know, respond back and resubmit for the three that they had allocation for.

If a customer didn't respond or customer didn't do anything, then nothing would happen.

APP 1845 (Gavin Murdoch Tr. 175:16 to 177:12).

IRIS-4 is OOCL's "enterprise system that we use for booking, to capture booking, to track booking, to track operations-related items. To track customer information. It's basically a global system that allows us to integrate." APP-1593 (Metzger 14:19-24). Customer bookings input through My OOCL Center went to a manual review. *See* APP-1606-07 (Metzger Tr. 69:24-70:9). Once the review was completed, the bookings would be entered into IRIS-4 or would be discussed with the customer as to next steps. OOCL denies the proposition that requests were simply left unanswered and denies that customers like BBY were not always informed of the status of their booking requests.

192. OOCL's purported system for adjustments to space allocations, so-called CSAL swaps, was ineffective and flawed.

RESPONSE: Denied. Multiple OOCL witnesses have described flexibility in terms of last-minute allocation swaps undertaken in an effort to help customers ship as much cargo as they wanted, even if that cargo was above their allocation. See, e.g., APP-672-73 (Forminio Tr. 273:16-274:11) (“Every week, we were allowed, for the vessel two weeks out, to take a look at our bookings, or take a look at our forecast, and change CSAL to more closely align with what was actually being booked. So with the situation like I just mentioned -- somebody on PCC1 is trying to book Ningbo and they only have Shanghai space -- I could move that space around. I could take it away from Shanghai and put it to Ningbo, so when they booked, they be able to book. It was very tedious. It was very time consuming. And it turned out to, like, kind of, take over my whole day. But that’s what was required at -- you know, during peak seasons.”).

192.1. CSAL swaps were only allowed two weeks in advance. See Forminio Dep. Tr. 272:13-275:5 [APP-672-673].

RESPONSE: Admitted, as the vessel schedules, vessel load plans, and cargo bookings were closer to final at that time.

192.2. CSAL swapping was a “tedious”, “labor-intensive” and “time-consuming” process that involved manually adjusting space allocations for customers on a large spreadsheet. See Forminio Dep. Tr. 272:13-275:5, 278:14-281:13 [APP-672-674]; Dep. Ex. 400 at OOCL_0000071736 [APP-3998].

RESPONSE: Admitted.

192.3. For some OOCL employees, CSAL swaps consumed a full day’s work, becoming a “CSAL pit”. See Dep. Ex. 400 at OOCL_0000071736 [APP-3998].

RESPONSE: Admitted. This fact shows the diligence with which OOCL was working to accommodate all requests—even late requests for space to which shippers were not entitled.

192.4. The result of OOCL’s CSAL swap process was a process riddled with errors as OOCL’s employees struggled to keep up: “CSAL is already a manual process and having to fix mistakes that should not exist in the first place is a waste of precious time.” See Dep. Ex. 400 at OOCL_0000071736 (emphasis added) [APP-3998].

RESPONSE: Denied. There is no testimony that the CSAL swap process was “riddled with errors.” Rather, the testimony states that verifying accuracy took a substantial amount of time. See (Metzger Tr. 226:17-229:13).

193.

RESPONSE:

194.

RESPONSE:

195. “[H]uman error in the CSAL” “at the booking level” prevented customers from receiving enough space to meet their MQC under service contracts. *See* Forminio Dep. Tr. 138:19-25 (“And then sometimes there were just, you know, human error at the booking level, you know, human error in the CSAL. Maybe I put it in the wrong column or something. You know, there was a lot of that as well. You know, it’s just, you know, things happen.”) [APP-639].

RESPONSE: Denied. Ms. Forminio testified that human errors resulted in complaints from shipper customers, not that human error prevented any customers from reaching their MQC. APP-638-39 (Forminio Tr. 137:5-138:25).

196. OOCL’s management of CSAL led to communication issues and delays creating “a lot of misunderstanding and a lot of extra e-mails”. *See* Forminio Dep. Tr. 246:9-247:24 [APP-666].

RESPONSE: Admitted that same was Ms. Forminio’s opinion.

196.1. One of OOCL’s business analysts in North America who worked directly with regional booking offices to manage bookings recalled that operational and communication issues led to bookings not being accepted or and not being “action[ed]”, particularly in small regional offices like Vietnam where it took a long time for employees to learn and adapt to new CSAL processes. *See* Forminio Dep. Tr. 250:17-254:24 [APP-667-668].

RESPONSE: Mr. Forminio testified that she had issues with the Vietnam office in the context of Under Armour shipments. Denied as to the proposition that Ms. Forminio’s commentary extended beyond Vietnam or beyond Under Armour in any significant respect. While she testified that issues existed in other regions, she was able to support same with no specificity.

197. There was confusion within OOCL and OOCL’s Space Team, particularly regarding OOCL’s premium contracts. *See Metzger Dep. Tr. 213:20-215:20; 216:5-217:11 [APP-1642-1643]; Dep. Ex. 400 [APP-3998-4007].*

RESPONSE: Admitted that there was confusion when the contracts were “first started.” APP-1642 (Metzger Tr. 20-21).

197.1. For part of the relevant period, the Inbound Space Team consisted of two employees, Stephanie Edginton and Nicolla Thomas, supervised by Bethany Peters, who was the space manager for both the Inbound Space Team and the Outbound Space Team within North America Group, which was organized under Marketing and Sales. *See Metzger Dep. Tr. 212:13-23 [APP-1642]; Metzger Dep. Tr. 8:4-13 [APP-1591]; Dep. Ex. 400 [APP-3998-4007].*

RESPONSE: Admitted.

197.2. Nicolla Thomas, one of two members of the Inbound Space Team in OOCL’s North America Group managing CSAL, was constantly confused as to how CSAL worked. *See Metzger Dep. Tr. 217:6-11 [APP-217].*

RESPONSE: Mr. Metzger testified that Ms. Thomas required multiple explanations of instructions and performed below average in her role. APP-1643 (Metzger Tr. 8-15).

198. OOCL employee Glenn Metzger, who had responsibility over CSAL for OOCL’s North America region, which included BBY, received numerous complaints about CSAL’s poor functioning, including OOCL’s Hong Kong office’s failure to release OOCL’s North American customers’ booking requests. *See Dep. Ex. 397 at OOCL_0000125883 [APP-3995]; Dep. Ex. 398 [APP-3996]; Dep. Ex. 399 [APP-3997]; Metzger Dep. Tr. 186:6-187:10 [APP-1636].*

RESPONSE: Denied. Glenn Metzger went to Shanghai to learn what was happening with bookings. There was a lack of facts and a “lack of understanding the local practice” and that’s why he went to Shanghai – to clarify matters. APP 1639-1637 (Glenn Metzger Tr. 187:6-190:24).

198.1. OOCL’s Hong Kong headquarters’ inability to understand or otherwise release bookings under CSAL for OOCL’s North American customers was so great the Mr. Metzger was forced in 2023 to personally go to Shanghai to discuss CSAL with the Hong Kong office. *See Dep. Ex. 397 [APP-3995]; Metzger Dep. Tr. 187:6-188:21 [APP-1636].*

RESPONSE: Denied. Glenn Metzger went to Shanghai to learn what was happening with bookings. There was a lack of facts and a “lack of understanding the local practice” and that’s why he went to Shanghai – to clarify matters. APP 1636-1637 (Glenn Metzger Tr. 187:6-190:24).

199. OOCL customers complained as to OOCL’s failure to provide bookings and punitive actions when the customer raised concerns. See OOCL_0000228165 (-0000228170) (“*something is terribly wrong* – no matter what or when we approach you the answer is . . . ‘to [sic] far out’ or ‘no rate on file’ . . . [C]ustomers consignee was told by ODS SLS that since customer expressed concern they can’t secure space, response was to punish the [sic] by stating they cannot have a contract locally either!! This is a fact that can be verified in writing from the customer if needed. *If they report this type [off] behavior to the FMC, OOCL would be subject to unwanted scrutiny*”), (-0000228172) (“OOCL agent canceled all bookings”) (emphasis modified from original) [APP-4348, -4350].

RESPONSE: Denied. It is unclear what Complainant attempts to convey by citation to a single conversation regarding a Mediterranean shipper with no relevance to BBY or the trans-Pacific trade.

200. CSAL’s ineffectiveness was well known within OOCL and documented in materials provided to OOCL’s top management. [REDACTED] Metzger Dep. Tr. 161:12-162:3 (“So this was a document or memo that was created using some of the data I provided to Mike Young and Paul Devine for them to raise as a concern to TPT Trade as well as Hong Kong management that there was concerns going on related to performance, but also from a regulatory concern.” [APP-1629-1630]; Ex. 381 (McCown Report) ¶ 68 [APP-3768].

RESPONSE: Denied. [REDACTED] Glenn Metzger undertook a detailed analysis of the booking activity between OOCL and BBY. RPFF 604, 614.

As explained by Mr. Metzger and omitted from Complainant’s CPFF, the “overall numbers paint a different picture” today than was interpreted at that time. APP-1629 (Metzger Tr. 159:19-24). “Today it shows more of -- that the -- many of the issues were on BBB’s side.” *Id.* (Metzger Tr. 160:4-6).

One of complainant’s sources for this purported “fact,” is Complainant’s Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. His methodology and opinions are premised on specious grounds. BBY’s assessment of OOCL’s purported shortfall is bogus. See RPFF 550 to 575 Accordingly, his testimony should be accorded no persuasive influence.

201. [REDACTED]

Ex. 381 (McCown Report) ¶ 67 [APP-3767-3768].

RESPONSE: Denied.

Glenn Metzger undertook a detailed analysis of the booking activity between OOCL and BBY. RPFF 604, 614.

As explained by Mr. Metzger and omitted from Complainant's CPFF, the "overall numbers paint a different picture" today than was interpreted at that time. APP-1629 (Metzger Tr. 159:19-24). "Today it shows more of -- that the -- many of the issues were on BBB's side." *Id.* (Metzger Tr. 160:4-6).

One of complainant's sources for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. His methodology and opinions are premised on specious grounds. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence.

201.1. Mike Young and Glenn Metzger drafted the executive summary for OOCL's September 2021 Presentation on compliance issues related to bookings and shippers' MQCs. *See* Young Dep. Tr. 149:1-23 [APP-2860]; Metzger Dep. Tr. 161:12-162:3 ("So this was a document or memo that was created using some of the data I provided to Mike Young and Paul Devine for them to raise as a concern to TPT Trade as well as Hong Kong management that there was concerns going on related to performance, but also from a regulatory concern." [APP-1629-1630].

RESPONSE: Denied. Mike Young drafted the executive summary memo with input from Glenn Metzger.

201.2. OOCL's September 2021 Presentation noted that its discriminatory and unreasonable practices created a "Compliance issue on space availability." *See* Dep. Ex. 20 at OOCL_0000219529 (citing Dep. Ex. 73, the internal presentation) [APP-2955].

RESPONSE: Denied. The quoted language is not found in the cited reference.

201.3. In OOCL's September 2021 Presentation, OOCL employees including Mike Young presented to OOCL's head office in Hong Kong on the issue of entire bookings being rejected when a shipper tried to book more TEUs than

provided in the corresponding allocation under CSAL. *See* Young Dep. Tr. 110:12-111:17 [APP-2851].

RESPONSE: Denied that this was OOCL's presentation. It was Mike Young's presentation with the assistance of Glenn Metzger. Admitted that Mr. Young testified as stated. Denied that bookings were rejected as stated. Rather, bookings beyond CSAL would be pended while OOCL employees attempted to accommodate the overage request. *See* APP-1606-07 (Metzger Tr. 69:24-70:9).

201.3.1 Discussing the reasons for presenting the CSAL booking rejection issue to Hong Kong in OOCL's September 2021 Presentation, Mike Young admitted, "we felt it was not the right process to apply, but there were limitations in the system." *See* Young Dep. Tr. 110:16-110:19 [APP-2851].

RESPONSE: Admitted that Mr. Young testified as stated. Denied that bookings were rejected as stated. Rather, bookings beyond CSAL would be pended while OOCL employees attempted to accommodate the overage request. *See* APP-1606-07 (Metzger Tr. 69:24-70:9).

Subsequently, Glenn Metzger undertook a detailed analysis of the booking activity between OOCL and BBY. RPFF 604, 614.

As explained by Mr. Metzger and omitted from Complainant's CPFF, the "overall numbers paint a different picture" today than was interpreted at that time. APP-1629 (Metzger Tr. 159:19-24). "Today it shows more of -- that the -- many of the issues were on BBB's side." *Id.* (Metzger Tr. 160:4-6).

201.4. [REDACTED]

RESPONSE: [REDACTED]

Glenn Metzger undertook a detailed analysis of the booking activity between OOCL and BBY. RPFF 604, 614. As explained by Mr. Metzger and omitted from Complainant's CPFF, the "overall numbers paint a different picture" today than was interpreted at that time. APP-1629 (Metzger Tr. 159:19-24). "Today it shows more of -- that the -- many of the issues were on BBB's side." *Id.* (Metzger Tr. 160:4-6).

201.5.

RESPONSE:

Glenn Metzger undertook a detailed analysis of the booking activity between OOCL and BBY. RPFF 604, 614. As explained by Mr. Metzger and omitted from Complainant's CPFF, the "overall numbers paint a different picture" today than was interpreted at that time. APP-1629 (Metzger Tr. 159:19-24). "Today it shows more of -- that the -- many of the issues were on BB's side." *Id.* (Metzger Tr. 160:4-6).

Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. His methodology and opinions are premised on specious grounds. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Accordingly, his testimony should be accorded no persuasive influence.

202. The executive summary of OOCL's September 2021 Presentation included "bookings made initially in excess of CSAL" as a subset of the general category of bookings within CSAL not being honored by OOCL. *See* Young Dep. Tr. 162:19-24 (citing the internal OOCL presentation, Dep. Ex. 73) [APP-2864].

RESPONSE: Denied that Exhibit 73 makes any reference to "bookings made initially in excess of CSAL." Admitted that Mike Young testified to that effect. However, OOCL provided recurring guidance about not making bookings in excess of CSAL. When OOCL issued its monthly container space allocation to BBY/Yusen, OOCL advised not to exceed its container space allocation. *See e.g.,* APP RX-000977-978 (Ex. 198, Bed Bath & Beyond SPACE WK #31-34.xlsx). APP RX-003123-3124 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBY/Yusen knew not to book above BBY's allocation with OOCL, but BBY did so anyway. BBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBY's containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.")); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . . .")): APP 960 (Jacobus Tr. 126:2-21).

Yusen did not book per the ocean carriers' allocations provided by BBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 ("I remember Bed Bath telling us to book for

the allocation and then secure that allocation and then go back and book more if necessary.”)); APP 1554 (McQuade Tr. Tr. 43:12-44-9).

In terms of the entire booking being rejected if some amount was booked over the allocation, Donna Forminio testified:

Q Did OOCL have a specific policy that if a shipper booked more than its allocation the entire booking request would be canceled?

A That was a problem early on, but we -- I think that was fixed. I remember that happening, and I think it was because they didn't know which -- like, if you had a booking for 15 and you only got 10, which 10 do I pick? So they would reject the booking and tell them, rebook it, but only book 10. You know what I mean? It was -- the booking person didn't have the ability to discern which 10 you should get. You know what I mean?

Q Okay.

A So that was a problem.

Q So you said that happened early on.

Can you be more specific about the time frame?

A When space was so tight. It was probably in the beginning of all this going on. You know, probably in the first few months when there were probably -- also, there were people that weren't used to taking bookings because a lot of people were sick, so they had different people taking the booking desk and it was short-staffed, and it was really difficult.

So I think that when space was so, so tight and these people were told, just take what's in CSAL, just take what's protected for them, don't take anything else, they really took it quite literally. So, at the beginning, I think the communication wasn't as good as it

could be, but I think once we pointed it out, they would reject the booking and then with a caveat to the customer: just book ten. Don't book more. If you want to book more, try to book another five. If we have the space, we'll try to give it to you, but if we don't, we'll reject that one, but you'll get your ten. You know what I mean? So we would live up to what we promised.

Q So was there some sort of -- it sounded like you said that was a problem early on, but then something happened so that it wasn't a problem anymore; is that correct?

A Well, it was pretty quick we realized what was happening. You know, it wasn't too long to figure out that all these bookings were being rejected with CSAL and we couldn't understand it. And it was clarified pretty quickly. I mean, it was just within, you know, a week or so when we figured out what was actual root cause of the problem, and we addressed it and it seemed to be getting a little better. You know, it got better. And then we -- and then there was also some education on our end too to tell our customers, tell them not to book like that; book what we promised you and it'll go a lot smoother. You know, do two bookings, then, and then you'll get your space.

So, yeah, there was a lot of that confusion. It was difficult.

APP 661 (Donna Forminio Tr. at 226:19 to 229:20).

203. OOCL's internal CSAL system is not contemplated by OOCL's service contracts, is not reasonably tailored to a customer's needs, does not allow any flexibility in connection with fluctuating needs or blank sailings, and is created by unilateral fiat. *See* Ex. 381 (McCown Report) ¶ 70 [APP-3769].

RESPONSE: Denied. Complainant's source for this purported "fact," is Complainant's Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence.

CSAL was developed in conjunction with customer shipping projections. Multiple OOCL witnesses have described CSAL flexibility in terms of last-minute allocation swaps undertaken in an effort to help customers ship as much cargo as they wanted, even if that cargo was above their allocation. See, e.g., APP-672-73 (Forminio Tr. 273:16-274:11) ("Every week, we were allowed, for the vessel two weeks out, to take a look at our bookings, or take a look at our forecast, and change CSAL to more closely align with what was actually being booked. So with the situation like I just mentioned -- somebody on PCC1 is trying to book Ningbo and they only have Shanghai space -- I could move that space around. I could take it away from Shanghai and put it to Ningbo, so when they booked, they be able to book. It was very tedious. It was very time consuming. And it turned out to, like, kind of, take over my whole day. But that's what was required at -- you know, during peak seasons."). CSAL was well-known to BBY. RPFF 234. CSAL allocations are issued monthly by sail week and lanes/service loops. RPFF 235. BBY's rolling forecast did not always align with OOCL's space allocations. RPFF 238. Donna Forminio testified as to how she used BBY's forecasts to develop OOCL's space plan within CSAL:

A If I remember correctly, Bed Bath & Beyond worked on a two-month rolling forecast, so they would provide us with a long-range forecast.

Q Uh-huh.

A Our space plan was done monthly. So I would use that long-range forecast to initially populate the space plan for Bed Bath & Beyond within CSAL. Then there would be, obviously, a fine-tuning of that long-range forecast.

And that's when I would take what they needed, what changed from the initial forecast to see if I could work in what they needed when they -- when the vessel -- when the bookings became closer to the actual vessel they needed. And I tried to change the space plan to accommodate those forecasts. It wasn't always possible, but it did work.

RPFF 313.

OOCL met its space obligations. OOCL has submitted unrefuted testimony showing OOCL provided 2,544 TEU of space, or 104.4% of the contracted MQC under the 2020 Service

Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL has also submitted unrefuted testimony showing OOCL provided 5,095 TEU of space, or 94% of the contracted MQC under the 2021 Service Contract. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (Karen Lam Tr. 214:25-226:11). OOCL met its container space commitments to BBBY. RPFFs 576 to 618. BBBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Further, based upon his review of the data, Mr. Metzger opined that, for the 2021 shipping year, "OOCL met and exceeded its commitments, or its allocation." APP 1627 (Glenn Metzger Tr. 151:16-24). Glenn Metzger testified that other of OOCL's customers have provided positive feedback about CSAL, which is seen as a competitive advantage. APP-1627 (Metzger Tr. 152:24-153:21).

In March 2022, Karen Lam described CSAL as "another key and unique nature of OOCL." APP-4174. She explained that CSAL is "highlight valued" by customers that value clear space protection, while "some customers who have not enough internal control and loose production schedule would face challenges and suffered, as they will have high fluctuations in their loading volume every week at different locations." *Id.* OOCL was not inadequate, but "one system can never suit all customers' need[s]." *Id.* While many carriers adapted different ways to offer space to shippers, OOCL kept its space allocation system consistent and has "heard so many [sic] positive feedback about this protection." *Id.* Mr. Jensen also testified generally to CSAL's reasonableness, noting that all carriers have some means of allocating space. APP-1015 (Jensen Tr. 76:7-15).

204. OOCL's CSAL program was not reasonably designed to fulfill OOCL's service commitments, and did not meet OOCL's obligations in practice. *See* Ex. 381 (McCown Report) ¶¶ 69 ("In my opinion, OOCL's CSAL program was not reasonably designed to fulfill OOCL's service commitments, and did not meet OOCL's obligations in practice."), 72 ("I agree with Schmiemann's analysis, and it is striking that even OOCL's own employees understood that OOCL's practices were violating OOCL's service commitments. Schmiemann asked, rhetorically, '*are we delivering on our promise to the customer*' by using a 'restrictive and rigid' system designed to 'maximize profits' to the customer's detriment. Plainly, the answer is 'no'." [APP- 3769-3770].

RESPONSE: Denied. CSAL was both reasonably designed to fulfill service commitments and aided in same. *See* Response to CPFFs 203 and 204.

ii. OOCL failed to accurately track booking attempts.

205. OOCL failed to accurately track booking attempts.

RESPONSE: Denied. To address the allegations that OOCL failed to afford BBBY adequate space, OOCL's Director of Marketing and Sales in Salt Lake City, Glenn Metzger, dug deeper into the actual bookings made by BBBY or on its behalf, cancelled (by BBBY), and declined (by OOCL) during shipping year 2021/22. RPFF 603. Glenn Metzger testified that after he had done a deeper dive regarding the booking activity between OOCL and BBBY during the 2021 shipping year, he found that most of the problems were on BBBY's side, that OOCL met its space allocation obligations, and that BBBY cancelled numerous bookings or had no shows

and did not meet its MQC container tender obligations. RPFF 604. Mr. Metzger explained in detail his methodology and findings during his deposition. RPFF 613. Based upon his review of the data, Mr. Metzger opined that “OOCL met and exceeded its commitments, or its allocation.” APP 1627 (Glenn Metzger Tr. 151:16-24). Mr. Metzger found in his analysis that OOCL afforded BBY all of the space to which it was entitled. APP 1620-1621; 1626; 1627 (Glenn Metzger Tr. 125:23- 128:3; 146:13-147:8; 151:16-24); APP RX-000618, RX-000619 (Ex. 393, 394). Bed Bath did not meet its MQC container tender obligations. APP 1926 (Glenn Metzger Tr. 146:13-147:8). Mr. Metzger also found that OOCL’s booking declinations were justified. RPFF 614.

206. When BBY’s agent Yusen tried to make a booking and it was rejected, OOCL had no transparency into the request because they couldn’t see it from their side of the records. *See* Dep. Ex. 44 [APP-3058-3065]; Schmiemann Dep. Tr. 165:13-23 [APP-2216].

RESPONSE: OOCL denies the proposition in the first sentence above, which is misleading as misleading. There is *no evidence* that BBY or its booking agent Yusen ever failed to receive notice of booking request status. Gavin Murdoch testified:

Q And so going back to my question a moment ago but elaborating on it, in the instance I described before where a customer submits a request for space that exceeds the CSAL allocation for that particular port pair during that time period, if they've submitted a request for four 40-foot containers, CSAL has three 40-foot containers, and there's no further back-and-forth with the Customer Service representative about the fact that they've exceeded that, does that booking request get rejected in its entirety?

A It just -- it would never get input into IRIS-4.

So, like I said, the Customer Service represent rep in Asia would go to the Space Team in Asia and ask for permission to create the booking that exceeds the space allocation to the CSAL.

If they get the okay, they would go ahead. They would register the booking. The customer would never know anything. A customer would just then get their booking acknowledgment from IRIS-4.

But if there wasn't space or for any -- you know, or if they were trying to

book too close to the vessel sailing, they'd all -- you know, then the customer would get the response back from Customer Service representative and just let them know that they were booking too late or they were booking over their allocation. Let them know, and then let the customer decide what to do.

The customer -- let's say -- let's say they were still within the time frame. The customer can then say, okay, I want -- I want three containers. And we just, you know, respond back and resubmit for the three that they had allocation for.

If a customer didn't respond or customer didn't do anything, then nothing would happen.

APP 1845 (Gavin Murdoch Tr. 175:16 to 177:12).

207. CSAL is not integrated into any automated booking acceptance process. *See* Chen Dep. Tr. 312:9-12 [APP-229].

RESPONSE: Admitted. CSAL involved a manual review process to ensure each customer received the best possible service. *See* APP-1606-07 (Metzger Tr. 69:24-70:9).

208. During the relevant time period, OOCL maintained two separate booking systems: an external booking request system, "My OOCL Center", into which customers "could put anything they want in their booking request", and OOCL's actual internal booking system, IRIS- 4, to which OOCL's customers did not have access, but which instead required manual input by an OOCL customer service representative. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: Denied. Complainant attempts to pejoratively bifurcate booking "systems." My OOCL Center, as with a phone call, was a means by which shippers could request space reservations. IRIS-4 was the internal platform into which those requests would be placed after human review.

209. Without such internal manual entry by OOCL, or specific back-and-forth between the customer and an OOCL customer service representative regarding a booking request, a customer's booking request simply "would never get input into IRIS-4." Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: Denied as misleading. There is *no evidence* that BBBY or its booking agent Yusen ever failed to receive notice of booking request status. Gavin Murdoch actually testified as follows:

Q And so going back to my question a moment ago but elaborating on it, in the instance I described before where a customer submits a request for space that exceeds the CSAL allocation for that particular port pair during that time period, if they've submitted a request for four 40-foot containers, CSAL has three 40-foot containers, and there's no further back-and-forth with the Customer Service representative about the fact that they've exceeded that, does that booking request get rejected in its entirety?

A It just -- it would never get input into IRIS-4.

So, like I said, the Customer Service represent rep in Asia would go to the Space Team in Asia and ask for permission to create the booking that exceeds the space allocation to the CSAL.

If they get the okay, they would go ahead. They would register the booking. The customer would never know anything. A customer would just then get their booking acknowledgment from IRIS-4.

But if there wasn't space or for any -- you know, or if they were trying to book too close to the vessel sailing, they'd all -- you know, then the customer would get the response back from Customer Service representative and just let them know that they were booking too late or they were booking over their allocation. Let them know, and then let the customer decide what to do.

The customer -- let's say -- let's say they were still within the time frame. The customer can then say, okay, I want -- I want three containers. And we just, you know, respond back and resubmit for the three that they had allocation for.

If a customer didn't respond or customer didn't do anything, then nothing would happen.

APP 1845 (Gavin Murdoch Tr. 175:16 to 177:12).

210. Bookings denied at origin might not have visibility in OOCL's system. *See* Dep. Ex. 26 [APP-3002-3006]; Mitchell Dep. Tr. 156:14-20 [APP-1716].

RESPONSE: Denied. There is no reference to denials at origin in the cited reference.

211. Declined bookings could go to another shipper. *See* Dep. Ex. 26 [APP-3002-3006]; Dep. Ex. 44 [APP-3058-3065].

RESPONSE: Admitted. However, Jim Mitchell noted in that same email: "However, bookings can still be made against an allocation, even if previous bookings are declined, as long as the booking window is not closed." APP 3002-3006 (Ex. 26).

212. Booking rejections were common, with reasons ranging from incorrect contract information to human error. *See* Forminio Dep. Tr. 225:1-226:6 [APP-660-661].

RESPONSE: Admitted that a customer's incorrect contract information and human error are examples of possible causes for booking declinations. Other causes of booking declinations include booking past the cut-off date, booking on the wrong service loop, booking where there is no allocation, booking above the customer's allocation. Customers also cancelled bookings and had "no shows" where a cargo was booked but not delivered to the ship for loading. Glenn Metzger testified that after he had done a deeper dive regarding the booking activity between OOCL and BBY during the 2021 shipping year, he found that most of the problems were on BBY's side, that OOCL met its space allocation obligations, and that BBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. RPFF 604.

212.1. Booking rejection issues were encountered with TCR offices in other, non-North America countries, often involving miscommunications or delays in processing bookings, leading to frustration as OOCL's sales teams advocated for customers' needs. *See* Forminio Dep. Tr. 254:4-256:7 [APP-668].

RESPONSE: Admitted that in addition to recalling specific issues with Vietnam, Ms. Forminio testified that she experienced frustration with other undisclosed region offices., but she made no mention of BBY in her testimony on this point.

213. An internal OOCL presentation shows that as of September 2021, *OOCL was declining bookings at a rate of over 37.9%.* *See* Dep. Ex. 20, p.7 [APP-2958]; Ex. 381 (McCown Report) ¶ 68 [APP-3768-3769].

RESPONSE: Admitted. This percentage, however, says nothing about why bookings were declined. a customer's incorrect contract information and human error are examples of possible causes for booking declinations. Other causes of booking declinations include booking past the cut-off date, booking on the wrong service loop, booking where there is no allocation,

booking above the customer's allocation. Customers also cancelled bookings and had "no shows" where a cargo was booked but not delivered to the ship for loading.

Importantly, at this time, "it was Bed Bath & Beyond's practice to book with more than one carrier," resulting in duplicative bookings across the carriage market that necessitated significant declinations. APP-2396 (Shippee Tr. 22:5-18). When OOCL issued its monthly container space allocation to BBY/Yusen, OOCL advised not to exceed its container space allocation. See e.g., APP RX-00977-978 (Ex. 198, Bed Bath & Beyond SPACE WK #31-34.xlsx). APP RX-003123-3124 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBY/Yusen knew not to book above BBY's allocation with OOCL, but BBY did so anyway. BBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBY's containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.")); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . . .")): APP 960 (Jacobus Tr. 126:2-21).

For "CY movements", that is, for transportation of the containers concluding at the marine terminal at destination, APP 2397 (Rita Shippee Tr. 26:24-27:21), BBY and Yusen agreed that BBY would provide the monthly projections for each carrier with whom BBY had a service contract and Yusen would book per these projections and report any issues to BBY." RPF 6.f. Yusen did not book per the ocean carriers' allocations provided by BBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 ("I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.")); APP 1554 (McQuade Tr. Tr. 43:12-44-9).

Glenn Metzger testified that after he had done a deeper dive regarding the booking activity between OOCL and BBY during the 2021 shipping year, he found that most of the problems were on BBY's side, that OOCL met its space allocation obligations, and that BBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. RPF 604.

214. As of Week 11 of 2022, OOCL's North America Group had *declined approximately 24% of total booking activity for that year*. See Dep. Ex. 105; Donohue Dep. Tr. 149:21-24 [APP-571].

RESPONSE: Denied as misleading. This statement related to export containers as Andrew Donahue testified, not about import containers, which are at issue in this case. (APP 571-57 (Andrew Donahue Tr. 149:6-150:9). This percentage, moreover, says nothing about *why* bookings were declined. For example, at this time, "it was Bed Bath & Beyond's practice to book with more than one carrier," resulting in duplicative bookings across the carriage market that necessitated significant declinations. APP-2396 (Shippee Tr. 22:5-18). When OOCL issued its monthly container space allocation to BBY/Yusen, OOCL advised not to exceed its container space allocation. See e.g., APP RX-00977-978 (Ex. 198, Bed Bath & Beyond SPACE

WK #31-34.xlsx). APP RX-003123-3124 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBBY/Yusen knew not to book above BBBY's allocation with OOCL, but BBBY did so anyway. BBBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBBY's containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.")); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . . .")): APP 960 (Jacobus Tr. 126:2-21).

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215. The average percentage of BBBY's bookings accepted by OOCL was 69.5% from May 2021 through December 2021. See Pinchuk Dep. Ex. 235 ("% accept vs. allocation" Tab, Row 14) [APP-3325].

RESPONSE: Denied. Exhibit 235 is not authenticated and is therefore not reliable evidence. As Mr. Jensen stated in his report, "[t]he problem with this measurement in exhibit 235 is that it lacks any contextual content related to why bookings are, and are not, accepted. This links back to the outline of how to also measure MQCs. Without this information, exhibit 235 is merely indicative that OOCL treated BBBY in a way that is in line with the average treatment provided by carriers in the market at that time." APP-4023 (Jensen Report at 14).

Further, this percentage, however, says nothing about *why* bookings were declined. A customer's incorrect contract information and human error are examples of possible causes for booking declinations. Other causes of booking declinations include booking past the cut-off date, booking on the wrong service loop, booking where there is no allocation, booking above the customer's allocation. Customers also cancelled bookings and had "no shows" where a cargo was booked but not delivered to the ship for loading.

Importantly, at this time, "it was Bed Bath & Beyond's practice to book with more than one carrier," resulting in duplicative bookings across the carriage market that necessitated significant declinations. APP-2396 (Shippee Tr. 22:5-18). When OOCL issued its monthly container space allocation to BBBY/Yusen, OOCL advised not to exceed its container space allocation. See e.g., APP RX-000977-978 (Ex. 198, Bed Bath & Beyond SPACE WK #31-34.xlsx). APP RX-003123-3124 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBBY/Yusen knew not to book above BBBY's allocation with OOCL, but BBBY did so anyway. BBBY through Yusen failed to properly manage bookings. Yusen regularly double-booked

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Glenn Metzger testified that after he had done a deeper dive regarding the booking activity between OOCL and BBBY during the 2021 shipping year, he found that most of the problems were on BBBY's side, that OOCL met its space allocation obligations, and that BBBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. RPF 604.

216. Bookings could be declined for many reasons, including because they were not in the CSAL system or the CSAL volumes were incorrect. *See* Dep. Ex. 12 [APP-2940-2946]; Murdoch Dep. Tr. 164:12-15 [APP-1842].

RESPONSE: Admitted. A customer's incorrect contract information and human error are examples of possible causes for booking declinations. Other causes of booking declinations include booking past the cut-off date, booking on the wrong service loop, booking where there is no allocation, booking above the customer's allocation. Customers also cancelled bookings and had "no shows" where a cargo was booked but not delivered to the ship for loading.

Importantly, at this time, "it was Bed Bath & Beyond's practice to book with more than one carrier," resulting in duplicative bookings across the carriage market that necessitated significant declinations. APP-2396 (Shippee Tr. 22:5-18). When OOCL issued its monthly container space allocation to BBBY/Yusen, OOCL advised not to exceed its container space allocation. *See e.g.*, APP RX-000977-978 (Ex. 198, Bed Bath & Beyond SPACE WK #31-34.xlsx). APP RX-003123-3124 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBBY/Yusen knew not to book above BBBY's allocation with OOCL, but BBBY did so anyway. BBBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBBY's containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.")); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among

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Glenn Metzger testified that after he had done a deeper dive regarding the booking activity between OOCL and BBBY during the 2021 shipping year, he found that most of the problems were on BBBY’s side, that OOCL met its space allocation obligations, and that BBBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. RPF 604.

217.

RESPONSE:

his in-depth analysis of booking activity between OOCL and BBY during the 2021 shipping year, Glenn Metzger found that “most of the problems were on BBBY’s side, that OOCL met its space allocation obligations, and that BBBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. RPF 604. In terms of a number of OOCL employees blaming CSAL, his analysis led him to a different conclusion (it was booking activity); he testified:

Q And this is the North America Group Sales Team raising issues about CSAL and booking process?

A No. This is Tom Schmiemann, Donna Forminio, and Jonathan having a conversation with everyone in copy.

Q And what is that conversation about?

A It's about their concern with the current performance.

Q Performance of what?

A Of what they deem to be CSAL.

Q Do you have reason to believe they're not speaking about CSAL right now?

A No. I have a reason to believe that it was -- a lot of the issues were misunderstood, which is why I stated earlier that I needed to go to Shanghai and find out. And also, it was stated in 2021, when we raised the issues as -- from performance, we need to understand how things were being handled. That's where a lot of misconceptions are stated here.

You know, it's not just any particular thing. But, basically, you know, after taking this time now to look at BBB in depth -- again, I don't know if this was particular to BBB, this case, but -- or what was raised here, but what I now know from what I learned in Shanghai, and then also what I'm now seeing with BBB, this -- e-mails are painting everybody in the same brush, which is not the case.

Q It reflects confusion on the part of these participants as to how CSAL operated; is that fair?

A No. So it was -- it's not participants in how CSAL is operating. It was basically how the bookings were being accepted and managed overseas. CSAL was not the issue.

That was the problem. CSAL was the easy thing to reference for everyone to blame because it's an easy target. It's what everyone is working with. But the issues were not CSAL. So everyone that -- in our entire company that states "CSAL" sometimes will get it wrong because the problem is not CSAL.

Q So the people here don't know what they're talking about.

A If you want to state malpractice, that's your opinion. My opinion is that there were still facts that needed to be found, that weren't

shown at that time when these e-mails were written.

Q Where -- for whatever reason, there was a lot of confusion around CSAL at the time on behalf of these participants, correct?

A I think they were using the wrong terms and pointing fingers at the wrong process.

RPFF 270.1.

218. The alarming rate of declined bookings was due to more bookings being rejected than accepted, leading to significant frustration among OOCL's salespeople and its customers. *See* Forminio Dep. Tr. 285:11-25 [APP-675].

RESPONSE: Denied. The record cite does not support the proposition offered. A customer's incorrect contract information and human error are examples of possible causes for booking declinations. Other causes of booking declinations include booking past the cut-off date, booking on the wrong service loop, booking where there is no allocation, booking above the customer's allocation. Customers also cancelled bookings and had "no shows" where a cargo was booked but not delivered to the ship for loading.

Importantly, at this time, "it was Bed Bath & Beyond's practice to book with more than one carrier," resulting in duplicative bookings across the carriage market that necessitated significant declinations. APP-2396 (Shippee Tr. 22:5-18). When OOCL issued its monthly container space allocation to BBY/Yusen, OOCL advised not to exceed its container space allocation. *See e.g.,* APP RX-00977-978 (Ex. 198, Bed Bath & Beyond SPACE WK #31-34.xlsx). APP RX-003123-3124 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBY/Yusen knew not to book above BBY's allocation with OOCL, but BBY did so anyway. BBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBY's containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.")); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . . .")): APP 960 (Jacobus Tr. 126:2-21).

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book for the allocation and then secure that allocation and then go back and book more if necessary.”); APP 1554 (McQuade Tr. Tr. 43:12-44-9).

Glenn Metzger testified that after he had done a deeper dive regarding the booking activity between OOCL and BBY during the 2021 shipping year, he found that most of the problems were on BBY’s side, that OOCL met its space allocation obligations, and that BBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. RPFF 604.

219. OOCL also deliberately overbooked ships, which lead to cancellations. *See* Wong Dep. Tr. 60:4-12 (““As a result of that, OOCL will as a matter of practice accept more bookings than the total shipping volume it can actually provide? . . . A. Yes, because in general . . . the customer won’t totally 100 percent return their booked TEU they will have ”); [APP-2717];

Ex. 381 (McCown Report) ¶ 61 [APP-3766].

RESPONSE: Denied as to the proposition that OOCL deliberately overbooked ships. Ms. Wong testified that OOCL would accept more bookings than the total space allocation available, across all customers, because OOCL’s experience was that customers did not deliver 100% of the containers they booked; “[s]o the regions, the loading regions will have to make some buffer.” APP 2717 (Bess Wong Tr. 60:4-12). This does not, however, indicate that OOCL accepted bookings in excess of space on any OOCL vessel or on TPT Eastbound. Nor does it demonstrate any effect upon BBY in particular.

219.1. OOCL “accept[s] more bookings beyond the total capacity or the allocation they have or are given” to ensure that ships are fully loaded even if some customers do not ship their entire booked volume. *See* Wong Dep. Tr. 58:18- 59:3 [APP-2717].

RESPONSE: Admitted. See Response to CPFF 219 and 220.

220. OOCL maintains so-called priority accounts, which are a customer accounts that allow an overbooked ratio (“OBR”) of more than 100 percent or that can rely on their own forecasts for bookings. *See* Wong Dep. Tr. 87:21-88:16 [APP-2724].

RESPONSE: Admitted.

220.1. An OBR greater than 100 percent allows an OOCL customer to book more cargo than their allocated space, based on a percentage increase over the initial allocation. *See* Wong Dep. Tr. 91:23-92:24 [APP-2725].

RESPONSE: Admitted.

221. The designation of an OOCL priority account is proposed by OOCL’s sales regions based on commercial considerations and is then approved by OOCL’s trade team. *See* Wong Dep. Tr. 89:9-91:22 [APP-2724-2725].

RESPONSE: Admitted.

222. One of BBBY's logistics employees specifically raised the issue of low accepted bookings with OOCL on August 25, 2021, complaining that bookings were trending below the weekly allocation and that much of the support that they did get from OOCL in terms of space during this period was "coming from extra loaders and premium contract" allocations. *See* Dep. Ex. 33 [APP-3030-3033].

RESPONSE: Admitted that one of BBBY's employees stated this but denied that it was true. For example in this same Exhibit 33, four weeks (weeks 33, 34, 35, and 36 of the 2021 shipping year) were set forth in a table showing OOCL's space allocations, BBBY's bookings and OOCL's accepted (or confirmed) bookings. The numbers were as followings:

Week	Allocation	No. of Bookings	No. of Accept Bookings:
33	96	48	17
34	92	57	27
35	92	59	33
36	106	143	127

BBBY only booked 50% of OOCL's allocation in week 33, 62% in week 34, 64% in week 35, and 134% in week 36. In week 36, OOCL was only obligated to accept 106, but over accommodated by taking an additional 21 containers above BBBY's allocation. In terms of booking acceptances, Yusen's data in Ex. 33 is not specific enough to show why OOCL bookings were not accepted, for example, a customer's incorrect contract information and human error are examples of possible causes for booking declinations. Other causes of booking declinations include booking past the cut-off date, booking on the wrong service loop, booking where there is no allocation, booking above the customer's allocation. Customers also cancelled bookings and had "no shows" where a cargo was booked but not delivered to the ship for loading.

Importantly, at this time, "it was Bed Bath & Beyond's practice to book with more than one carrier," resulting in duplicative bookings across the carriage market that necessitated significant declinations. APP-2396 (Shippee Tr. 22:5-18). When OOCL issued its monthly container space allocation to BBBY/Yusen, OOCL advised not to exceed its container space allocation. *See e.g.,* APP RX-000977-978 (Ex. 198, Bed Bath & Beyond SPACE WK #31-34.xlsx). APP RX-003123-3124 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBBY/Yusen knew not to book above BBBY's allocation with OOCL, but BBBY did so anyway. BBBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBBY's containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.")); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among

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Glenn Metzger testified that after he had done a deeper dive regarding the booking activity between OOCL and BBBY during the 2021 shipping year, he found that most of the problems were on BBBY’s side, that OOCL met its space allocation obligations, and that BBBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. RPFF 604.

223. OOCL would reject entire bookings if a booking was for more space than allocated on that particular week/sailing, even if the allocation itself was short of MQC/52. *See* Hackett Dep. Tr. 266:9-267:9 [APP-880]; OOCL_0000006916 [APP-4101-4105]; OOCL_0000020280 [APP-4118-4119]; Delprete Dep. Tr. 72:16-74:5 [APP-358-359]; Forminio Dep. Tr. 226:7-229:20 [APP-661].

RESPONSE: Denied. The booking would be pended and OOCL space employees would attempt to work a swap or accommodate the request if possible. When OOCL issued its monthly container space allocation to BBBY/Yusen, OOCL advised not to exceed its container space allocation. See e.g., APP RX-000977-978 (Ex. 198, Bed Bath & Beyond SPACE WK #31-34.xlsx). APP RX-003123-3124 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBBY/Yusen knew not to book above BBBY’s allocation with OOCL, but BBBY did so anyway. BBBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBBY’s containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBBY’s Reid Klosowsky that said, among other things: “Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.”)); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: “Because it was Bed Bath & Beyond’s practice to book with more than one carrier. . . .”)); APP 960 (Jacobus Tr. 126:2-21).

Yusen did not book per the ocean carriers’ allocations provided by BBBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 (“I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.”)); APP 1554 (McQuade Tr. Tr. 43:12-44-9).

In terms of the entire booking being rejected if some amount was booked over the allocation, Donna Forminio testified:

Q Did OOCL have a specific policy that if a shipper booked more than its allocation the entire booking request would be canceled?

A That was a problem early on, but we -- I think that was fixed. I remember that happening, and I think it was because they didn't know which -- like, if you had a booking for 15 and you only got 10, which 10 do I pick?

So they would reject the booking and tell them, rebook it, but only book 10. You know what I mean? It was -- the booking person didn't have the ability to discern which 10 you should get. You know what I mean?

Q Okay.

A So that was a problem.

Q So you said that happened early on.

Can you be more specific about the time frame?

A When space was so tight. It was probably in the beginning of all this going on. You know, probably in the first few months when there were probably -- also, there were people that weren't used to taking bookings because a lot of people were sick, so they had different people taking the booking desk and it was short-staffed, and it was really difficult.

So I think that when space was so, so tight and these people were told, just take what's in CSAL, just take what's protected for them, don't take anything else, they really took it quite literally.

So, at the beginning, I think the communication wasn't as good as it could be, but I think once we pointed it out, they would reject the booking and then with a caveat to the customer: just book ten. Don't book more. If you want to book more, try to book another five. If we have the space, we'll try to give it

to you, but if we don't, we'll reject that one, but you'll get your ten. You know what I mean? So we would live up to what we promised.

Q So was there some sort of -- it sounded like you said that was a problem early on, but then something happened so that it wasn't a problem anymore; is that correct?

A Well, it was pretty quick we realized what was happening. You know, it wasn't too long to figure out that all these bookings were being rejected with CSAL and we couldn't understand it. And it was clarified pretty quickly. I mean, it was just within, you know, a week or so when we figured out what was actual root cause of the problem, and we addressed it and it seemed to be getting a little better. You know, it got better.

And then we -- and then there was also some education on our end too to tell our customers, tell them not to book like that; book what we promised you and it'll go a lot smoother. You know, do two bookings, then, and then you'll get your space.

So, yeah, there was a lot of that confusion. It was difficult.

APP 661 (Donna Forminio Tr. at 226:19 to 229:20).

224. The protocol of rejecting a booking that exceeded the CSAL allocation was built into OOCL's internal "IRIS4" enterprise software, and was based on the concept that in such a situation, it should be the customer's decision what containers to prioritize for inclusion in that booking allocation. *See* Young Dep. Tr. 111:23-112:7 [APP-2851].

RESPONSE: Admitted that Mike Young testified as set forth above. However, Bookings in excess of CSAL would be pended, not rejected, and reviewed manually. *See* APP-1606-07 (Metzger Tr. 69:24-70:9).

225. OOCL's customer-facing My OOCL Center booking system, however, allowed OOCL's customers to "put anything they want in their booking request". Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: OOCL denies the implication of the proposition in the first sentence above. Shippers had the ability to request any service, which was then reviewed by customer service personnel and approved if availability permitted. When OOCL issued its monthly container space allocation to BBY/Yusen, OOCL provided booking guidelines, e.g., “To ensure full utilization of the space allocations provided, please request the OCM or the vendor to follow these guidelines: . . . Book to the correct service loop. Book to the allocation.” See e.g., APP RX-000977-978 (Ex. 198, Bed Bath & Beyond SPACE WK #31-34.xlsx); APP RX-003123-3124 (Ex. 279, BBB – OOCL – FEB 2022 Space Allocations.xlsx). BBY/Yusen knew not to book above BBY’s allocation with OOCL, but BBY did so anyway. BBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBY’s containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBY’s Reid Klosowsky that said, among other things: “Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.”)); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: “Because it was Bed Bath & Beyond’s practice to book with more than one carrier. . . .”)); APP 960 (Jacobus Tr. 126:2-21).

Yusen did not book per the ocean carriers’ allocations provided by BBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 (“I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.”)); APP 1554 (McQuade Tr. Tr. 43:12-44-9).

Yusen was contractually obligated to book per the ocean carriers’ monthly allocations. RX-000079-153 (Ex. 274, Yusen Logistics-BBY Contract, pp. 26-27).

225.1. Neither My OOCL Center nor IRIS-4 would automatically notify customers whether a booking request exceeded OOCL’s internal CSAL allocation to that customer. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: Admitted. While a customer can make a booking request online with My OOCL Center, an OOCL customer service rep puts the actual booking into OOCL’s enterprise system. APP 1842 (Gavin Murdoch Tr. 165:2-13). As stated repeatedly above, employees manually review booking requests and then update the customer on any germane issues. APP-1844-45 (Murdoch Tr. 171:11-177:12).

225.2. Instead, it was only after an OOCL employee manually entered a booking into IRIS-4 that a customer would receive a booking acknowledgment generated by OOCLs internal IRIS-4 system. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: Admitted. While a customer can make a booking request online with My OOCL Center, an OOCL customer service rep puts the actual booking into OOCL’s enterprise system. APP 1842 (Gavin Murdoch Tr. 165:2-13). As stated repeatedly above, employees manually review booking requests and then

update the customer on any germane issues. APP-1844-45 (Murdoch Tr. 171:11-177:12).

225.3. If a customer's booking request exceeded CSAL, unless there was further back-and-forth between the customer and an OOCL customer service representative regarding the request, it simply "would never get input into IRIS- 4" Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

RESPONSE: Denied as misleading. Gavin Murdoch actually testified as follows:

Q And so going back to my question a moment ago but elaborating on it, in the instance I described before where a customer submits a request for space that exceeds the CSAL allocation for that particular port pair during that time period, if they've submitted a request for four 40-foot containers, CSAL has three 40-foot containers, and there's no further back-and-forth with the Customer Service representative about the fact that they've exceeded that, does that booking request get rejected in its entirety?

A It just -- it would never get input into IRIS-4.

So, like I said, the Customer Service represent rep in Asia would go to the Space Team in Asia and ask for permission to create the booking that exceeds the space allocation to the CSAL.

If they get the okay, they would go ahead. They would register the booking. The customer would never know anything. A customer would just then get their booking acknowledgment from IRIS-4.

But if there wasn't space or for any -- you know, or if they were trying to book too close to the vessel sailing, they'd all -- you know, then the customer would get the response back from Customer Service representative and just let them know that they were booking too late or they were booking over their allocation. Let them know, and then let the customer decide what to do.

The customer -- let's say --
let's say they were still within the time
frame. The customer can then say, okay, I
want -- I want three containers. And we
just, you know, respond back and resubmit
for the three that they had allocation
for.

If a customer didn't respond or
customer didn't do anything, then nothing
would happen.

APP 1845 (Gavin Murdoch Tr. 175:16 to 177:12).

226. OOCL also declined bookings even if those bookings had been made *within* OOCL's internal CSAL allocations for that customer. *See* Dep. Ex. 43 (noting large numbers of declined bookings despite the fact that bookings were "within CSAL") [APP-3051-3057]; Ex. 381 (McCown Report) ¶ 60 [APP-3766].

RESPONSE: Admitted that the email addresses an issue involving attempted bookings within CSAL but denied that there is any evidence relating to BBY. BBY is not referenced in this email.

227. OOCL declined a large number of bookings, even though they were considered "within CSAL." *See* Dep. Ex. 12 [APP-2940-2946].

RESPONSE: Same email chain as above. Admitted that the email addresses an issue involving attempted bookings within CSAL but denied that there is any evidence relating to BBY. BBY is not referenced in this email.

227.1. As OOCL employee Donna Forminio admitted in deposition, OOCL's declinations of containers often resulted from a mismatch between where space was allocated and where bookings were made, leading to shortfalls in some locations. *See* Forminio Dep. Tr. 268:22-272:12 ("[E]specially with the volume of bookings [OOCL was] getting," "making everything match up properly[] was a very difficult task. It wasn't a question of not having the freight to load.") [APP-671-672].

RESPONSE: OOCL denies the implication in the proposition in the first sentence above, to wit, that the shortfall was OOCL's fault, which it was not. She actually testified:

**So people were trying to book
from origins maybe that they didn't have
space covered, and then they didn't book
from where they did, which was rather
common because everybody was -- you know,**

you were -- you're shifting things around and, you know, just trying to get cargo from wherever you could get it.

So, invariably, that was the PCC1. You had Shanghai and Ningbo calls. And you had, you know, 20 containers protected out of Shanghai, but they booked 40 containers out of Ningbo. All those containers were declined because it was no space there.

Q Uh-huh.

A And then they didn't have anything from Shanghai, so it was a shortfall.

So that -- that's how difficult it is. This is -- we were trying to make an exact science out of something that's not really an exact science.

APP 672 (Donna Forminio Tr. 271:7 to 272:5).

Yusen was obligated to book per the ocean carriers' monthly allocations. RPF 239. Yusen regularly double-booked BBBY's containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.")); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . . .")): APP 960 (Jacobus Tr. 126:2-21).

Yusen did not book per the ocean carriers' allocations provided by BBBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 ("I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.")); APP 1554 (McQuade Tr. Tr. 43:12-44-9).

228. Having a forecast protected in CSAL does not necessarily increase the likelihood of booking acceptance; it is just part of the preplanning stage. *See* Wong Dep. Tr. 94:5-96:25 [APP-2726].

RESPONSE: Denied as misleading and taken out of context. Ms. Wong was answering questions relating to Ex. 253, an email dated December 22, 2020, TPTEB ALLOCATION, FEB CSAL (week 5 – 8). She explained that this was a pre-planning document. Ex. 253 is each region's allocation for weeks 5-8; each region then uses its regional allocation and develops its space allocations by customer, that is, its Customer Space Allocation List ("CSAL"). This is a

planning document; it does not pertain to actual bookings. APP 2723; 2726 (Bess Wong Tr. 83:4-9; 95:18-96:8). Bess Wong testified:

Q. If a customer has their forecast protected in CSAL, does that mean they're more likely to have their booking requests accepted as compared to customers that don't have their forecast protected in the CSAL?

A. No. This is the stage of planning. It's not during or like after the booking comes. This is the preplan. So I think here the statement is just referring to priority account, the number you fill in to the CSAL. The planning space protections list, either this number is coming from the customer forecast or it is based on our contract commitment.

Then the last sentence, if the number is coming from the customers, then we will accept the booking up to that number.

APP 2726 (Bess Wong Tr. 95:18 to 96:8).

229. OOCL imposed booking window requirements on its customers that resulted in OOCL's customers being unable to book shipments under their service contracts.

RESPONSE: OOCL had a booking-window requirement ("Book at least 14 days prior to the vessel's CY cut-off. Do not book beyond the current week+3 or the bookings will be declined."). APP RX-003123-3124 (Ex. 279).

229.1. OOCL would reject booking requests if they were made too close to or after the booking cutoff. *See* Forminio Dep. Tr. 238:8-16 [APP-664].

RESPONSE: Denied. Donna Forminio actually testified: "Well, there is a booking cutoff. If a booking was made after the cutoff, yeah it would be rejected."). APP 664 (Donna Forminio Tr. 238:8-16).

229.2. OOCL's actual booking windows also did not align with what OOCL defined in its finalized CSAL allocations advised to OOCL's customers. *See* Dep. Ex. 74 at OOCL_0000229479 ("The booking windows do not align with what was defined when the CSAL file was finalized and advised to the customer. We need to ensure there is defined Booking release process to protect the agreed CSAL requirements from the customer. . .") [APP-3185]; Young Dep. Tr. 184:11-185:21 ("A: . . . Again, it's situation where, during this period, as you know, there was so much fluidity and so much delays, especially with vessels being anchored off LA/Long Beach, that what was the booking window -- initially when the booking

is captured, which could be three or four weeks before the vessel starts to load, the vessel can slide back or, you know, change or whatever. *And so we were saying here there are issues in relation to our acceptance policy as outlined during that discussion relative to changes that may occur based on the customer's original indicated vessel and the vessel falling back or whatever based on delays encountered in transit.*") (emphasis added) [APP-2869].

RESPONSE: OOCL denies the proposition in the first sentence above. BBY draws a generalization about a condition that existed at that time. OOCL personnel raised that concern with management. BBY has presented no other evidence that booking windows did not align with a customer's CSAL. Further, there is nothing in Ex. 74 that says a booking window alignment issue existed as to BBY; the "Case # 3" example notes that "Customers are routinely reminded to book within booking window."

229.3. In many cases, OOCL "pended" bookings—i.e., neither accepting nor rejecting the booking, but instead effectively placing it in limbo—because there was no CSAL file and OOCL had to wait for it to be updated. *See Metzger Dep. Tr. 223:9-15 [APP-1645].*

RESPONSE: Denied as misleading. Regarding "pended" bookings, Glenn Metzger actually testified as follows:

Q Can you explain what a pended booking is.

A Yes.

So, first, the declined reasons.

So, again, if you look at the dates -- and that's why the dates are very important -- the earlier they are making a booking -- and, usually, what we do for PCR or for the TPT side of things or TPT Eastbound, there's a booking window that's given. That booking window is usually three weeks.

So when you're booking early, we're, basically, looking to fill the ships, so that's probably why I'm -- what I'm seeing here is, basically, the other bookings were confirmed very early.

As we progress through the booking process, the allocations were probably referred to, and that's why the bookings were declined due to space issue because, as you're moving further into

that -- we're almost into third week now -- the allocations are being filled up, are being utilized. So, basically, that -- now, there's no other space available.

What pended does -- when we do pend a booking, that means that we're researching, that we're looking for our capability to exceed our customers' expectations, to provide them that space.

So, basically, what this is saying is that -- when I see a pended booking, there's some additional checking that's happening. We're seeing if we can accommodate.

APP 1606-1607(Glenn Metzger Tr. 68:21-70:9).

Q What would happen if your submission of the CSAL file was delayed?

A If it was delayed, then the downward impact of that was, basically, the -- the booking office would either have to reduce the booking window or, basically, put customers in pend until they received the files so that they can, then, process it accordingly to CSAL.

Q If a booking was put into pend --

A Uh-huh.

Q -- what would happen next?

A So there's multiple things that can happen.

So with a pended booking, that means that the customer service that has taken that booking, there's either a concern about equipment or a concern about space.

Usually, if it's in pended status, what they're supposed to do is they're supposed to reach out to the Cargo Control Region or Sales Region here at NAG [North America Group], and ask us what this customer intends to do, or are we able to accept?

In a lot of cases, also, when they pended it, they already knew that there was no -- if there was no CSAL file, they knew already that they had to wait for the CSAL file, so they would just pend the booking and wait until the CSAL file was updated.

Q And would there be an issue with these pending bookings that they -- if they were pending for long enough, they'll miss the shipment that they were originally assigned to?

A What would happen, usually, is if it was delayed, it would be, I believe, delayed one week or two weeks. It wouldn't have a bearing on -- because what happens is you have a three-week -- for the most part, it was a three-week booking window. That then would be against what we call a TCR [Traffic Control Region] cut. The TCR would then review that.

So, in a way, there was preventative measures to ensure that, if there was a pended booking that had allocation or that had to be on a ship, there was enough parties involved to catch it to make sure that it was properly confirmed.

But there were instances where, you know, there isn't space available as you get closer to the end of the booking window. It did happen, but it was -- it wasn't the norm. It was more of an exception.

APP 1645 (Glenn Metzger Tr. 222:7 to 224:18). [words added].

229.4. A delay in the internal submission of OOCL's CSAL file could result in customers' booking window being reduced. *See Metzger Dep. Tr. 222:7- 15 [APP-1645]; Dep. Ex. 74 (-229478-9 ("There is a booking release process under BAL which is derived from CSAL agreed submissions. Once TCC reviews and approves CSAL, it is provided to TCR who then convert the file into BAL for CSU to use. There is no direct issue with this process except that it is slow due to the handoffs and approvals, and often may not be followed based on the booking reports*

and handling that we see today we must have some process that ensures we protect the agreed CSAL committed to the NAG customer.”) [APP-3184-3185]; Young Dep. Tr. 185:23-187:5 (“Yeah. Again, this is a similar situation -- excuse me -- where we’re talking about if the vessel slides, if there’s a change or if they swap a vessel for a smaller ship or a larger ship, that we do maintain the situation relative to what was it the customer required in order to ship his booking so we don’t lose sight of, you know, oh, it’s booked on the America and the America is now three weeks later, but it’s still booked on the America, which is what the customer asked for, but he asked for one three weeks earlier. So we want to make sure we have a capability to ensure that we do understand or do know or retain the customer’s intent in terms of his booking.”) [APP-2869-2870].

RESPONSE: Admitted but denied that the above transcript cites relate to BBBY specifically. The context of the testimony related to a general discussion of what would happen if there was a delay in the submission of a CSAL file.

229.5. There were instances where there was not space available close to the end of a booking window, and shipments with a status of pending, *even ones that had CSAL allocations or had to be on that vessel*, would not be able to ship on that vessel. *See* Metzger Dep. Tr. 223:16-224:18 [APP-1645].

RESPONSE: Admitted but denied that the above transcript cites relate to BBBY specifically. The context of the testimony related to a general discussion of what would happen if a booking remained pending for a lengthy period. By contrast, Glenn Metzger performed an in-depth analysis of OOCL and BBBY’s booking activity for the 2021 shipping year, and discussed his methodology and the results of his analysis at length during his deposition. APP 1622-1627 (Glenn Metzger Tr. 131:17-151:24); APP during his deposition. APP 1622-1627 (Glenn Metzger Tr. 131:17-151:24); APP RX-000618, RX-00069 (Exs. 393, 394). He explained the data he analyzed and the work product he generated. APP 1618-1622 (Glenn Metzger Tr. 117:15-130:15). Mr. Metzger testified that, after he had done a deeper dive regarding the booking activity between OOCL and BBBY during the 2021 shipping year, he found that most of the problems were on BBBY’s side, that OOCL met its space allocation obligations, and that BBBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. RPF 603, 604.

229.6. OOCL’s booking window policies led to frequent miscommunications, both internally and externally. *See* Forminio Dep. Tr. 242:9-243:11 (“[I]t was quite frustrating at the time that we were trying to move space around” and there “was an occasion where the communication did break down on a booking” within OOCL team and “it was too late to change the booking because the cutoff had passed.”) [APP-665]; Ex. 74 [APP-3184-3189]; Young Dep. Tr. 180:21-181:24 (“A: . . . You know, if we don’t have the visibility, or whoever manages that vessel, the TCR, doesn’t have that visibility, they would not know why certain

things were being done. So with what they say here, ECSAL, which is a new development of CSAL, which is not within IRIS2, but does take information from IRIS2, that then when they look at those reports, they can determine the situation more effectively based on the data that's created there for the reasons -- just now it's always like, no space onboard, exceeds allocation, or something like that, which really doesn't say a lot for somebody that's trying to review to see if anything can be done on a particular situation.") [APP-2868].

RESPONSE: OOCL denies the proposition in the first sentence above as it pertains to BBY. Ms. Forminio was addressing questions about Ex. 246, which related to a booking issue involving the company Under Armor, not BBY.

230. Customers such as Amazon saw issues where CSAL was assigned but bookings nevertheless remained pending. *See* Dep. Ex. 12 [APP-2940-2946].

RESPONSE: Admitted that Ex. 12 relates to a booking issue involving Amazon but denies that it has anything to do with BBY.

231. Pending status for a booking meant that a booking was with customer service due to a concern about equipment or space. *See* Metzger Dep. Tr. 222:22-223:2 [APP-1645].

RESPONSE: Admitted.

232. OOCL knew "some of the North America BCOs [were] not getting sufficient allocation to allow them, based on a prorated basis to meet their MQC at the end of the contract period" and "the number of customers that were potentially going to fall short unless we did something to improve their lifting" because of this practice. *See* Young Dep. Tr. 110:12-112:14, 120:7-121:11 [APP-2851, 2853].

RESPONSE: Admitted that Mike Young testified as set forth above. However, Glenn Metzger explained that the analysis that he performed at that time did not examine the booking activity of any specific customer. When he later examined the booking activity between OOCL and BBY for the 2021 shipping year he discovered that OOCL met its container space commitments and BBY did not met its MQC container tender obligations. RPFF 603, 604.

233. OOCL did not consistently provide explanations to BBY when bookings were canceled. *See* Metzger Dep. Tr. 223:9-15 (In many cases, OOCL "pended" bookings—i.e., neither accepting nor rejecting the booking, but instead effectively placing it in limbo—because there was no CSAL file and OOCL had to wait for it to be updated.) [APP-1645].

RESPONSE: Denied. The citation above is incorrect, which relates to the validation of invoices for D&D. APP 1645 (Glenn Metzger Tr. 223:9-15). Also, the discussion regarding "pended" bookings was a general discussion and did not specifically relate to BBY. APP 1645 (Glenn Metzger Tr. 222:7 to 224:18).

234. When bookings with OOCL were canceled, BBY or its agents had to take the initiative in following up on such cancellations. *See* Shippee Dep. Tr. 95:10-21; 96:9-97:2 [APP-2414].

RESPONSE: Denied that OOCL “cancels” bookings. Bookings are cancelled by the customer. See e.g., APP 1608; 1609; 1610; 1611 (Glenn Metzger Tr. 76:5-7; 81:6-12; 83:17-21; 87:22-88:3); OOCL declines bookings that it does not accept. See e.g., APP 1606 (Glenn Metzger Tr. 67:23; 68:2-4; 69:14-23).

- iii. OOCL otherwise failed to make reasonable accommodations to provide space. **Denied.**

235. OOCL otherwise failed to make reasonable accommodations to provide space to BBY and other shippers.

RESPONSE: Denied. OOCL’s witnesses consistently testified that they did everything they could to provide space to BBY and other shippers. RPFF 621, 675; See also APP 1885 (Gavin Murdoch Tr. 336:25-337:18); APP 2220, 2246 (Thomas Schmiemann Tr. 178:13-20283:8-23); APP 384 (Vincent Delprete Tr. 174:14-175:8). OOCL’s sales representative in charge of BBY’s account, Jim Mitchell, kept in regular touch with Yusen Logistics as BBY’s Paul Pastor admitted. RX-000188 (Ex. 323 (On May 7, 2021, Paul Pastor wrote: “Rita and I had a good call with Jim today in regards to [sic] OOCL’s monthly allocation and Yusen’s booking against those allocations. . . . Jim as you know is very active with his communication with Pacy / Yusen so it is important that continues which I have no doubt it will.”)). RPFF 620.

236. In his Expert Report submitted in this case, Jensen stated that, “[c]ontracts often only stipulate the annual magnitude of the MQC, but the underlying assumption from both parties is that this is to be applied as a weekly average”. *See* Ex. 413 (Jensen Report) at 4 [APP-4013].

RESPONSE: Admitted that Lars Jensen’s report includes the above statement, but he also went on to write:

In some cases, there is an understanding between the carrier and the shipper that the shipper’s volume is seasonal and hence there will be times of the year where they would need more space than the apportioned 1/52 of the MQC and other times where they need less. Only in some cases are this indicated as an explicit weekly MQC, most industry practice leaves this up to an evolving mutual discussion between the carrier and shipper as the year progresses.

...

Either case shows why the market practice is one where there is some weekly flexibility in how incoming bookings are handled both from a shipper and carrier perspective. It also shows why market practice is not a black-and-white annual number of bookings matched against the MQC leading to a straightforward calculation of liquidated damages / deadfreight, but rather leads to a more in-

depth negotiation related to how to improve the coordination and collaboration for the next contractual term.

...

In practical terms the carrier and shipper will communicate and coordinate booking patterns at a port-port level at relatively frequent intervals based on a combination of the shippers' expected bookings and the carrier's capacity availability. This is then used by the carrier forward allocate vessel space.

What happens in practical terms is that the shipper's forecasted booking expectations rarely amount to an accurate prediction. This can have many reasons including, but not limited to, shortfall in production at origin, non-delivery from sub-suppliers, unexpected delays, shifts of sourcing of goods to a different origin, shift in destination for the goods based on a change in sales projections. This can lead to a pattern where a shipper indicate a certain booking level ahead of time but might not deliver volumes according to this indication. It also leads to situations where a shipper wants to place bookings in excess of the agreed indications. Furthermore it creates a situation where a shipper wants to book the agreed weekly volume, but now wants to do so in a different port-port corridor than planned – a corridor which might be services by entirely different vessels by the carrier, and hence pre-allocated for other purposes.

APP 4010-4028 (Ex. 413, Lars Jensen Report, 4th and 5th unnumbered pages).

237. In his Expert Report submitted in this case, Jensen stated that a carrier would be acting unreasonably if it failed to accept a shipping customer's bookings for the first 364 days of a year and then on the final day of the contract told the customer that the carrier could approve all bookings on the final day of the year. *See* Ex. 413 (Jensen Report) at 5 [APP-4014].

RESPONSE: Admitted, but denied that such situation happened with respect to OOCL's space allocations to BBY during the shipping years at issue. See Exs. 66 and 67, OOCL's Spotfire graphs of space allocations and booking activity for BBY for each of the service loops for the two shipping years at issue.

238. Steffen admitted it would be unreasonable for a carrier to fall significantly short on commitments for most of the year and allocate a large amount of space at the end of the year without considering the shipper's actual needs at that time. *See* Steffen Dep. Tr. 134:20-135:10 [APP-2553].

RESPONSE: Admitted, but denied that such situation happened with respect to OOCL's space allocations to BBY during the shipping years at issue. See Exs. 66 and 67, OOCL's Spotfire graphs of space allocations and booking activity for BBY for each of the service loops for the two shipping years at issue.

239. Despite OOCL's own proffered experts acknowledging the unreasonableness of such conduct, over a *two-week period* in March 2022, OOCL offered BBY cargo space equaling approximately one-third of the entire annual MQC of BBY's 2021-2022 Service Contract knowing full well that it was "*doubtful BBB will be able to use it.*" Murdoch Dep. Ex. 183 at OOCL 0000136699 (emphasis added) [APP-3317]; see also Murdoch Dep. Ex. 184 at OOCL 0000127318 ("BBB is unlikely to avail themselves of all the extra space offered by Trade as BBB is 'in between seasons'") [APP-3318]; Murdoch Dep. Tr. 146:20-147:8 ("it didn't seem that it was realistic that they would be able to just simply avail themselves of all the extra space that we might give them and load up all their shipments at origin and be able to get them on the ship"), 150:10-15 ("Q. So is it my understanding that, over a two-week period in March 2022, OOCL offered Bed Bath & Beyond space equaling approximately one-third of the annual MQC of the 2021 Service Contract? A Yes.") [APP-1838].

RESPONSE: Denied. Gavin Murdoch was not OOCL's proffered expert. OOCL admits that it offered BBY "extra space" in March 2022 (APP 1381 (Karen Lam Tr. 173:4-23). Karen Lam testified:

A. From my memory, initially we tried to offer 1100 altogether. And then we let the customer to review and they come back, okay, they tried to adjust the demand across different loop and weeks. And then after a few rounds of the communication between GM and BBB, then we come up with space they require and then we set the CSAL.

Q. The 1100 number you recall was that TEUs?

A. TEU, yes. And the final space that BBB agreed to take is like 870-something. Most of them was the amount but, of course, they also have shortfall after they take the CSAL.

APP 1384 (Karen lam Tr. 182:6 to 182:18); see also Exs. 66 and 67. When the space was offered, there was still a "high demand scenario in the market." APP 1384 (Karen Lam Tr. 182:19-183:16).

In addition, OOCL accepted 1,648 TEUs of bookings above its CSAL monthly allocations during the course of the 2021 service contract year, which OOCL was not contractually obligated to accept. APP 3039-3040 (Ex. 39, second slide). 1,648 TEUs equates to 23.3% of the annual MQC of 7,072 TEUs set in the service contract. Further, the adjusted CSAL of 870 TEUs amounted to 12.3% of the annual 7,072 TEUs set in the service contract. OOCL's CSAL was not adjusted by the amount of space that was offered, but instead by the amount of space that BBY accepted. APP 1381 (Karen Lam Tr. 173:4-23).

2. OOCL employed an unreasonable policy of preferring higher-priced freight at the expense of its service commitments. **Denied.**

240. OOCL preferred higher-priced freight over meeting its service commitments.

RESPONSE: Denied. Glenn Metzger explained in considerable detail his methodology for evaluating the booking activity between OOCL and BBY during the period May 1 through September 30, 2021. RPFF 269. Based upon his analysis, he did not see any reason to believe that OOCL shifted space from one service contract to another. RPFF 270.

241. OOCL used several methods to implement its policy to discriminate against its fixed-price BCO customers in favor of higher-priced freight: *first*, OOCL auctioned off space to NVOs at premium rates despite lagging well behind in MQC fulfillment with its BCO customers; *second*, OOCL demanded enormous and unusual PSS surcharges from its BCO customers on top of contracted rates; and *third*, by failing to meet service commitments, OOCL freed itself up to sell space to the highest bidder through premium contracts. *See* Ex. 381 (McCown Report) ¶ 77 [APP-3770].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert in this case. His methodology and opinions are based on specious grounds. OOCL and BBY reached agreement on each service contract and the amendments thereto. There is no evidence in this case that the signatories to those contracts and amendments signed them involuntarily or under coercion. RPFF 634. There is also no evidence that OOCL charged a freight rate that was not agreed to between the parties and on file with the FMC. OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575.

242. OOCL's allocation scheme opened up additional room for other shipments to move at significantly higher rates. *See* Ex. 381 (McCown Report) ¶ 81 ("The impact of the allocation scheme was to open up additional room for other loads to move now at significantly higher rates. This is the exact opposite of what would have happened if OOCL had followed longstanding industry practices (and FMC guidance) of honoring service commitments despite the "opportunity for revenue enhancement" from other sources.") [APP-3771].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert in this case. His methodology and opinions are based on specious grounds. OOCL and BBY reached agreement on each service contract and the amendments thereto. There is no evidence in this case that the signatories to those contracts and amendments signed them involuntarily or under coercion. RPFF 634. There is also no evidence that OOCL charged a freight rate that was not agreed to between the parties and on file with the FMC. OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. *See* RPFF 550 to 575.

243. OOCL's allocation scheme created an environment where contract customers were set against each other and made to believe that in the absence of some additional premium pricing related to their reduced volume, they could face even further reductions from ostensibly equitable allocations. *See* Ex. 381 (McCown Report) ¶ 82 [APP-3771].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert in this case. His methodology and opinions are based on specious grounds. OOCL and BBY reached agreement on each service contract and the amendments thereto. There is no evidence in this case that the signatories to those contracts and amendments signed them involuntarily or under coercion. RPF 634. There is also no evidence that OOCL charged a freight rate that was not agreed to between the parties and on file with the FMC. OOCL met its container space commitments to BBY. RPFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575.

244. OOCL's allocation scheme created a vicious cycle where BCOs, despite having relied on carrier commitments in fixed-price service contracts, had no option but to replace the missing volume at market prices. See Ex. 381 (McCown Report) ¶ 83 [APP-3771].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert in this case. His methodology and opinions are based on specious grounds. OOCL and BBY reached agreement on each service contract and the amendments thereto. There is no evidence in this case that the signatories to those contracts and amendments signed them involuntarily or under coercion. RPF 634. There is also no evidence that OOCL charged a freight rate that was not agreed to between the parties and on file with the FMC. OOCL met its container space commitments to BBY. RPFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575.

245. OOCL's allocation scheme created additional demand from customers who should have been able to rely on receiving their MQCs at contracted rates, which further increased demand and competition for available space, pushed prices even higher, and allowed OOCL to profit. See Ex. 381 (McCown Report) ¶ 83 [APP-3771].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert in this case. His methodology and opinions are based on specious grounds. OOCL and BBY reached agreement on each service contract and the amendments thereto. There is no evidence in this case that the signatories to those contracts and amendments signed them involuntarily or under coercion. RPF 634. There is also no evidence that OOCL charged a freight rate that was not agreed to between the parties and on file with the FMC. OOCL met its container space commitments to BBY. RPFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575.

- i. OOCL unreasonably discriminated against its fixed-price service contract customers, including BBY, in favor of higher-priced freight. **Denied.**

246. OOCL's practice of auctioning off premium space began in the early months of the COVID-19 pandemic. [REDACTED]

[REDACTED]

RESPONSE: Denied. OOCL and BBY reached agreement on each service contract and the amendments thereto. There is no evidence in this case that the signatories to those contracts and amendments signed them involuntarily or under coercion. RPFF 634. There is also no evidence that OOCL charged a freight rate that was not agreed to between the parties and on file with the FMC. OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Exhibit 32 relates to additional space offered under OOCL's secondary service contract for extra loader SC2 CJP (COSCP JAPAN). APP 3026-3029 (Ex. 32). To accommodate the spiking demand, in January 2021, OOCL purchased an additional 500 TEUs on a voyage of an alliance partner's vessel (COSCO Japan, also known as "SC2 CJP") ("extra loader") and made 400 TEUs of that space available through its Traffic Control Region ("TCR"). RPFF 167. BBY was well aware that the secondary or premium contract was a separate space commitment from the traditional annual service contract. RPFF 275.

247. OOCL was "selective" in determining which customers' freight it would carry, based on the price the customer was willing to pay. *See* Dep. Ex. 42 [APP-3045-3050]; Ex. 381 (McCown Report) ¶ 74 [APP-3770].

RESPONSE: OOCL denies the implication in the proposition set forth above, to wit: that OOCL was being discriminatory, which it was not. OOCL's secondary contracts for additional space were over and above the space afforded under the annual service contracts. RPFF 772. Glenn Metzger explained in considerable detail his methodology for evaluating the booking activity between OOCL and BBY during the period May 1 through September 30, 2021. RPFF 269. Based upon his analysis, he did not see any reason to believe that OOCL shifted space from one service contract to another. RPFF 270.

248. By August 2021, MQC fulfillment for OOCL's BCO customers on standard service contracts stood at 15% whereas MQC fulfillment for OOCL's NVOCC customers on premium contracts was 118% and 7,598% for BCOs that had agreed to premium rates. *See* Ex. 381 (McCown Report) ¶ 75 [APP-3770]; [REDACTED]

RESPONSE: Denied. The secondary or so-called premium rates contracts had an MQC of "1 TEU," which results in the distorted fulfillment percentages above. [REDACTED]

[REDACTED] Glenn Metzger's deep dive into OOCL and BBY's booking activity during this same period, revealed that OOCL

met its container space commitments and BBY did not meet its MQC container tender obligations. RPFs 610 to 614. Glenn Metzger found that during the period May 1 to September 30, 2021, there were 1037 declined bookings, of which he had questions about 110 (the remaining 927 “were valid as CSAL was either already satisfied or the space available was less than the requested booking.”). APP 1624 (Glenn Metzger Tr. 140:9-25); APP 3039-3040 (Ex. 393). With respect to the remaining 110, the reasons for the declined bookings were “vessel space, allocation met, vessel closed / booking window closed, required equipment not available, route not available. APP 3039-3040 (Ex. 393). Mr. Metzger found that the majority of these 110 declined bookings were valid. APP 1624-1625 (Glenn Metzger Tr. 140:9-142:21).

249. OOCL’s business with BCOs typically involves fixed rates for an entire contract year (committed basis), whereas OOCL’s business with NVOs usually operates with floating rates, which adjust periodically, often every two weeks, to reflect spot market conditions. *See* Wong Dep. Tr. 37:12-39:1, 50:3-52:8 [APP-2711-2712; 2715]; Ex. 381 (McCown Report) ¶ 48 [APP-3764].

RESPONSE: Admitted that the witnesses’ testimony cited in ¶ 48 of John McCown’s report addressed spot rates being reset every two weeks, and spot rate contracts could run two weeks, a month, or three months. Admitted that Bess Wong testified that “For BCO, the majority will be the committed basis. Committed means that they will have a fixed rate for the whole contract year,” APP 2711-2712 (Bess Wong TR. 37:25-38:9). However, each service contract is subject to amendment. APP 3261-3292 (Exs. 163 (Clause 9); 332 (Clause 9)).

250. In 2019, NVOs generally paid higher rates for shipments of cargo with the difference between BCO and NVO rates being around 50% or 70%. *See* Forminio Dep. Tr. 104:18-105:12 (“A: In 2019, before this all started, this craziness, you know, there was a -- there was a premium, but it wasn’t that much. If a BCO was paying 1,000, NVO was paying maybe paying 15 or 1,700.”) [APP-630].

RESPONSE: Admitted that Donna Forminio testified as set forth above.

251. During the COVID-19 pandemic (2020-2022), the gap between what OOCL charged for fixed-rate service contracts versus contracts more closely tethered to spot market rates soared dramatically given that spot market rates were three to four times higher than the rates secured through fixed-rate service contracts. *See* Forminio Dep. Tr. 105:14-108:11 [APP-630-631].

RESPONSE: Admitted that Donna Forminio testified as set forth above.

252. OOCL recognized that the rates were mainly driven by supply and demand. *See* OOCL_0000134511 [APP-4173]; Lam Dep. Tr. 40:15-42:4 [APP-1348-1349].

RESPONSE: Denied that the citation to Karem Lam’s deposition above is correct. She testified that the FAK (freight all kinds) rate depends upon supply and demand. APP 1381 (Karen Lam TR. 172:10-21).

253. Internal written guidelines promulgated by OOCL’s Trade department in Hong Kong ranked OOCL’s customers on both letter-grade (A through F) and “VALUE” scales based

on their respective “contributions”—i.e., how high their rates were as compared with OOCL’s overall fixed service contract rates and “open” (i.e., spot) rates with BCOs and NVOCCs. *See* Dep. Ex. 62 [APP-3121]; Lam Dep. Tr. 154:17-162:9 (“So this is a guideline, the guideline not only just for selecting customer based on priority but also have some guidance on what business at that time we need to control what business that we prefer at that period of time.”)[APP-1377-1379]; Ex. 381 (McCown Report) ¶ 76 [APP-3770].

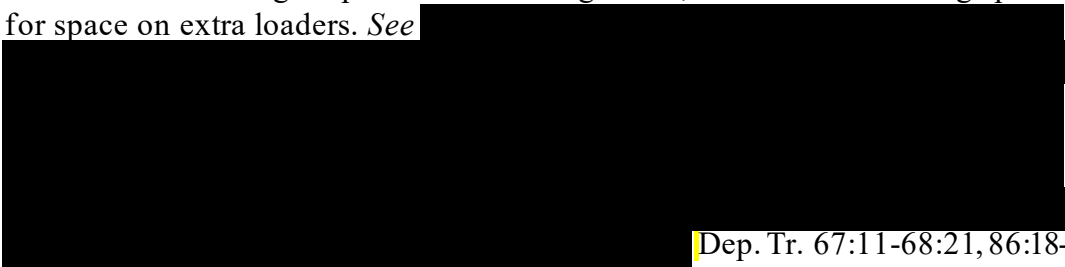
RESPONSE: Admitted.

254. During the period 2020 through 2022, OOCL offered space through “extra loaders”.

See Lam Dep. Tr. 174:17-175:20 [APP-1382].

RESPONSE: OOCL admits that extra loaders provided space that was not related to the normal service it offered. APP 1382 (Karen Lam Tr. 174:7-13).

254.1. During the period 2020 through 2022, OOCL demanded high prices for space on extra loaders. *See*


Dep. Tr. 67:11-68:21, 86:18-87:16, 90:15-90:21, 221:21-222:5, 232:20-233:3, 239:13-243:24 [APP-1818; APP-1823; APP-1824; APP-1856; APP-1859; APP-1861-1862]; Ex. 381 (McCown Report) ¶ 76 [APP-3770].

RESPONSE: OOCL denies the proposition in the first sentence above. OOCL offered space aboard extra loaders to its BCOs, and if such space was desired by the BCOs agreed with them in writing upon the rates and filed same with the FMC. APP 1379 (Karen Lam Tr. 165:10-167:20); RPFF 638.

255. An OOCL employee confirmed that an “extra loader” space was treated as a premium service and was allocated to the highest bidder. *See* Forminio Dep. Tr. 145:23-147:12 [APP-640-641].

RESPONSE: Admitted that Donna Forminio testified as set forth above.

256. The price for shipping cargo on these extra loaders was based on the open or spot market rate, which could be three or four times higher than the rates under standard service contracts. *See* Forminio Dep. Tr. 148:6-151:13 [APP-641-642].

RESPONSE: Admitted that Ms. Forminio spoke in general terms about what the rates “could be.” As for BBY, OOCL and BBY reached agreement on each amendment to the service contracts. RPFFs 640-643. There is no evidence in the record that BBY’s signatories signed

the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 644. There is no evidence in the record that OOC charged a freight rate to BBY that was not on file with the FMC.

257. Despite repeated questioning, a senior OOCL employee refused to acknowledge or explain *why* OOCL could not or did not use its “extra loader” vessels during the relevant time period to provide cargo space to its customers under regular service contract rates for which OOCL was already behind on its service commitments instead of reserving its “extra loaders” for customers paying premium rates:

RESPONSE: Denied. See response to CPFF 258 below.

258. Q. *Why weren't extra loaders used by OOCL to help customers who were behind on their MQCs make up their MQCs?* A. No. The extra loaders were not to help customers that were behind on their MQC. It had nothing to do with the MQC under their standard contracts. The extra loaders and the premium contracts were separate; separate service, separate contract, and outside the scope of the standard contracts. And the extra loaders were just provided based on demand from our customers for additional space beyond what was in their standard service contracts and their allocations. Q. My question is *why* were OOCL's extra loaders not used to give space to service contract customers that were behind on their MQCs? MR. LETOURNEAU: Objection. Form. Asked and answered. A. Yeah, I already explained that. It was the extra loaders and the premium contracts were separate, outside the scope of the standard service offering and the standard contracts. They're completely separate transactions. Q. Yes. And my question is *why* were the OOCL extra loaders separate from the regular service contract? MR. LETOURNEAU: Objection. Form. Asked and answered. A. Because -- yeah. Q. You've told me they're separate, but you haven't said *why* they're separate. *That's what I'm asking.* A. They're separate, the extra -- because it's simply by the term “extra loader.” Extra loader, premium contract completely separate from the standard service offering and the standard contracts. That is not uncommon in our industry when we are facing high demand and customers looking for extra space beyond the scope of their standard contract and our standard service offering. Q. Could OOCL have deployed the extra loaders that it deployed to customers under regular service contract rates as opposed to premium contract rates? MR. LETOURNEAU: Objection. Form. A. Again, the extra loaders were separate service, separate vessels, separate contracts. They're not -- *they cannot be mixed together with the standard service contracts and the MQCs in the standard service contracts.* Completely separate. I don't know -- Q. *Why* could they not be -- A. I seem to keep repeating myself, but ... Q. *Why* could -- A. I don't know how else to answer your question. Q. -- they not be mixed? The question is *why* could they not be mixed? You just testified they could not be mixed with the regular service offering. *Why* could they not be mixed with the regular service offering? *What prevented OOCL from deploying the extra loader vessels for service under regular service contracts?* MR. LETOURNEAU: Objection. Form. A. Yeah, I think you would have to direct your question to the Trade Department because I can't answer it any better than I already have. Q. What was your understanding of the way in which OOCL got the extra loaders that it got during this time period, 2020 through 2022? A. I have no idea. Q. We saw earlier an e-mail from August 2021 suggesting that 139 out of 146 of OOCL's North America Eastern Region customers were well behind on their MQCs. Do you

recall that e-mail? A. I do. Q. *Given that enormous number of customers who were behind on their MQC, why would OOCL not deploy extra loader vessels to make up that space for their service contract customers?* MR. LETOURNEAU: Objection. Form.

A. *I-- I don't know.* At the same time, I don't know why the customers were behind on their MQC in their standard service contracts. What were they doing or not doing? I have no idea."

Murdoch Dep. Tr. 239:13 to 243:24 (emphasis added) [APP-1861-1862].

RESPONSE: OOCL denies the proposition in CPFF 257. As Mr. Murdoch explained, the secondary or so-called premium rate contracts were for additional space over and above the annual service contracts. See RPFFs 485.A.iii, 485.B.iii, 485.C.iii, and 485.D.iii. As Glenn Metzger explained in great detail during his deposition, he undertook an in-depth analysis of the booking activity between OOCL and BBY during the period about which BBY complains and found that OOCL met its container space allocation obligations and BBY did not meet its container tender obligations. RPFF 603, 604, 614. In August and September 2021, when Glenn Metzger first evaluated issues relating to NAG BCO MQC performance, he did not examine the booking activity between OOCL and any shipper. RPFF 608, 609.

259. Shortly after the 2020 Service Contract was signed, email conversations show that OOCL began deviating from the service due under the contract. See Ex. 381 (McCown Report) ¶¶ 120-23 [APP-3779-3780]; Dep. Ex. 28 [APP-3007-3011]; Dep. Ex. 30 [APP-3014-3023]; Dep. Ex. 31 [APP-3024-3025]; Dep. Ex. 32 [APP-3026-3029].

RESPONSE: Denied. OOCL and BBY reached agreement on each amendment to the service contracts. RPFFs 640-643. There is no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 644. There is no evidence in the record that OOC charged a freight rate to BBY that was not on file with the FMC.

260. As a result of OOCL's discrimination, BBY was forced to take unprecedented steps simply to get the space it should have received under the Service Contracts. See Ex. 381 (McCown Report) ¶¶ 124-25 [APP-3780]; Klosowsky Dep. 177:24-178:5 [APP-1280-1281]; Hackett Dep. 37:19-38:8 [APP-822-823].

RESPONSE: Denied. OOCL and BBY reached agreement on each amendment to the service contracts. RPFFs 640-643. There is no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 644. There is no evidence in the record that OOC charged a freight rate to BBY that was not on file with the FMC. OOCL has moved to strike John McCown as an expert witness in this case. His methodology and opinions are based on specious grounds. OOCL met its container space commitments to BBY. RPFFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

261. As a result of OOCL's discrimination, BBY was forced to charter two vessels on its own, at "two to three times the normal rate" because of the pressing need for space. *See* Klosowsky Dep. 177:24-178:5 [APP-1280-1281]; Ex. 381 (McCown Report) ¶ 124 [APP-3780].

RESPONSE: Denied that there is any causal relationship between OOCL's container space allocations and BBY's decision to charter two vessels during the August-September 2021 time frame. At this same time, BBY booked and OOCL carried 590 containers under OOCL's secondary or so-called premium contract. RPFF 38. As Glenn Metzger explained in great detail during his deposition, he undertook an in-depth analysis of the booking activity between OOCL and BBY during the period about which BBY complains and found that OOCL met its container space allocation obligations and BBY did not meet its container tender obligations. RPFF 603, 604, 614.

262. OOCL knew that giving additional space to a couple of select customers raises concerns about fairness and equity, that OOCL "may be doing a disservice to others." *See* Dep. Ex. 181 [APP-3311-3314]; Young Dep. Tr. 137:17-138:23 [APP-2857-2858].

RESPONSE: Denied as stated. Mike Young raised a concern; his opinion is not attributable to OOCL. Further, Exhibit 181 was an email string that involved the allocation of extra space aboard extra loaders. BBY missed the "cut" on the PVCS service loop (meaning that they did not book in time), but Tom Schmiemann noted BBY would be included on the PCC3 service loop "for 600 teu." APP 3311-3314 (Ex. 181).

ii. OOCL unreasonably coerced exorbitant PSS charges. Denied.

263. OOCL coerced BBY to pay unreasonable PSS charges.

RESPONSE: Denied. Respondent did not coerce BBY to pay any freight charges whatsoever. OOCL and BBY reached agreement on each amendment to the service contracts. RPFFs 640-643. There is no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 644. There is no evidence in the record that OOC charged a freight rate to BBY that was not on file with the FMC. Amendment No. 8 to the 2020 service contract presents a good example as to how these amendments were readily accepted by BBY. On November 20, 2020, Patrick Hackett wrote an email to Jim Mitchell at OOCL about extra loaders proposed by OOCL. He wrote:

"Jim....yes, we accept and thank you for the below space on these extra loaders. I'm cc'ing Laurie and Pacy from Yusen so we're all on the same page. If possible, can you just add the below rates into the amendment you just sent me this morning and resend to me and Paul later today/Monday so he can validate and then route for internal review/approval on Monday when he's back from vacation? If not, then just create/send us another amendment just for these rates. Thanks."

RX-001150-1154 (OOCL_0000049048).

264. OOCL aimed to use the imposition of PSS to force its customers with fixed-rate service contracts to actually have to pay prices for ocean freight that approached spot market pricing. *See* 1AC ¶¶ 61-77 [APP-52-57].

RESPONSE: Denied. Denied. Respondent did not coerce BBY to pay any freight charges whatsoever. OOCL and BBY reached agreement on each amendment to the service contracts. RPFFs 640-643. There is no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 644. There is no evidence in the record that OOC charged a freight rate to BBY that was not on file with the FMC. Amendment No. 8 to the 2020 service contract presents a good example as to how these amendments were readily accepted by BBY. On November 20, 2020, Patrick Hackett wrote an email to Jim Mitchell at OOCL about extra loaders proposed by OOCL. He wrote:

"Jim....yes, we accept and thank you for the below space on these extra loaders. I'm cc'ing Laurie and Pacy from Yusen so we're all on the same page. If possible, can you just add the below rates into the amendment you just sent me this morning and resend to me and Paul later today/Monday so he can validate and then route for internal review/approval on Monday when he's back from vacation? If not, then just create/send us another amendment just for these rates. Thanks."

RX-001150-1154 (OOCL_0000049048). References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.

265. OOCL intended its increased PSS rates to make OOCL's service contract rates closer to the market rates for "extra space". Forminio Dep. Tr. 307:3-4 [APP-681]. OOCL's practices with respect to PSS were not reasonable or consistent with the terms of OOCL's service contracts or historical industry practice concerning PSS. *See* Ex. 381 (McCown Report) ¶¶ 118-19 ("In my opinion, OOCL's practices with respect to PSS were not reasonable or consistent with the terms of OOCL's service contracts or historical industry practice concerning PSS. OOCL's PSS premiums were not charged to compensate the carrier for excess expenses or to secure uncommitted space during periods of peak demand. Instead, OOCL actively discriminated against fixed-price BCO cargo from customers who did not agree to a PSS, and informed customers, including BBY, that they needed to participate in a *quid pro quo* transaction and pay high PSS premiums in order to get space. This is totally inconsistent with my understanding of carrier obligations under service commitments. It is also totally inconsistent with industry practice prior to the high pandemic price environment.") [APP-3779].

RESPONSE: Admitted that Donna Forminio testified as set forth above. Denied, that OOCL's practice with respect to PSS were unreasonable or inconsistent with the terms of OOCL's service contracts, and historically PPS occurred during periods of tight capacity. Tight capacity existed throughout the pandemic years after the first three months of the pandemic. Respondent did not coerce BBY to pay any freight charges whatsoever. OOCL and BBY reached agreement on each amendment to the service contracts. RPFFs 640-643. There is no

evidence in the record that BBBY’s signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 644. There is no evidence in the record that OOC charged a freight rate to BBBY that was not on file with the FMC.

OOCL has moved to strike John McCown as an expert witness in this case. His methodology and opinions are based on specious grounds. There is no evidence in this case that OOCL discriminated against fixed-price BCO cargo from customers who did not agree to a PSS. There is evidence to the contrary. RPFF 667.

266. Prior to the COVID-19 pandemic, OOCL imposed PSS only to offset increased expenses borne by the carrier and only in the summer months. *See* Donohue Dep. Tr. 35:5-37:19 [APP-543]; Devine Dep. Tr. 137:4-6 [APP-446]; *see also* Murdoch Dep. Tr. 60:13-24, 71:15-22, 323:12-324:10 [APP-1816; APP-1819; APP-1882].

RESPONSE: OOCL denies the proposition in the first sentence above. OOCL admits that the peak season before the pandemic generally ran from July to the end of October/beginning of November. OOCL admits that PSS helps to address peak operating costs. But also, Gavin Murdoch testified that “[i]t seemed to be a kind of industry standard thing to do when the peak season hits and, you know, to, you know, discuss with customers and try to, you know boost, you know, boost revenue when we have a heavy demand.” APP 1882 (Gavin Murdoch Tr. 323:15-21).

267. OOCL employees testified that PSS ordinarily would be imposed only during peak periods of shipping volume, such as the mid-third quarter to fourth quarter of each year. *See* Donohue Dep. Tr. 35:13-17; 36:7-10; 36:12-17 [APP-543]; *see also* Murdoch Dep. Tr. 60:13-24, 71:15-22, 323:12-324:10 [APP-1816; APP-1819; APP-1882].

RESPONSE: Admitted that Andrew Donahue and Gavin Murdoch testified as to peak season duration during “normal shipping years.” But the pandemic years were anything but normal and container space demand was high and capacity tight from the summer of 2020 through the summer of 2022.

268. During the pandemic, however, OOCL imposed PSS effectively as a year-round price adjustment to the rates previously agreed to under its service contracts with its BCO customers, including the Service Contracts with BBBY. *See* Ex. 381 (McCown Report) ¶¶ 105-119, 126 [APP-3777-3779; APP-3780].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert in this case. His methodology and opinions are based on specious grounds. Tight capacity existed throughout the pandemic years after the first three months of the pandemic. Respondent did not coerce BBBY to pay any freight charges whatsoever. OOCL and BBBY reached agreement on each amendment to the service contracts. RPFFs 640-643. There is no evidence in the record that BBBY’s signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 644. There is no evidence in the record that OOC charged a freight rate to BBBY that was not on file with the FMC.

269. OOCL's practice of conditioning fulfillment of its existing service commitment on high PSS charges began in 2020. [REDACTED]

[REDACTED] Ex. 381 (McCown Report) ¶ 79 [APP-3771].

RESPONSE: Denied. OOCL admits that Thomas Schmiemann made the foregoing statement in the email cited. Nevertheless, OOCL met its container space allocation commitments to BBY. See RPFs 576 to 618. Those space commitments were not altered in 2020 after BBY sold a number of its subsidiary companies. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575.

270. [REDACTED]

[REDACTED] Ex.

381 (McCown Report) ¶¶ 109-111 [APP-3777-3778].

RESPONSE: Denied. [REDACTED]

[REDACTED] There exists no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPF 634. There is no evidence in the record that OOCL charged a freight rate to BBY that was not filed with the FMC. OOCL met its container space allocation commitments to BBY. See RPFs 576 to 618. Those space commitments were not altered in 2020 after

BBBY sold a number of its subsidiary companies. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575.

Thomas Schmeieman testified as to Exhibit 48:

Q So this is an e-mail, I think, dated January 16, 2021, from you to the Team. And you say, "Basically" -- in that third sentence, "Basically, customers will have two options: Agree to a rate increase through April 30, 2021, or extending with an increase through April 2022. If they choose neither, we have the option to remove them from CSAL."

Did I read those two sentences correctly?

A Yes.

Q And this e-mail, this related to customers that had actually met their MQC, correct?

A That's correct.

Q So when you were saying that "we have the option to remove them from CSAL," is that because they had already met their MQC?

A That's correct.

Q Okay.

So you weren't saying that they would be removed from CSAL, whatever they had committed, because they didn't have any CSAL committed; they were done by then?

A That's correct.

APP 2255 (Thomas Schiemann Tr. 319:24 to 321:3).

271. During the pandemic, OOCL engaged in a practice of "trimming" CSAL allocations in favor of customers who were willing to pay exploitative PPS rates.

Ex. 381 (McCown Report) ¶¶ 110-111 [APP-3777-3778].

RESPONSE: Admitted that Raphael Chu made the statement in Exhibits 10 and 13 above. However, denied that such had any impact on BBY. OOCL met its container space allocation commitments to BBY. See RPFs 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPF 550 to 575.

272. [REDACTED]

RESPONSE: [REDACTED]

273. OOCL's imposition of PSS charges during the pandemic was arbitrary due to factors such as "[s]hippers outperforming their forecasted demand, trading conditions that exceeded the physical expectations of a shipping company, extraordinary events". See Devine Dep. Tr. 86:17-19 [APP-434].

RESPONSE: Denied. Paul Devine was asked "And what would lead to a PSS arising? To which he answered" "Shippers outperforming their forecasted demand, trading conditions that exceeded the physical expectations of a shipping company, extraordinary events." All of those things occurred during the pandemic. APP 1951 (Paul Pastor Tr. 86:11-16). BBY's Paul Pastor Mr. Pastor testified that BBY moved cargo on extra loaders during the peak seasons of both service contract years because it shipped more than its total MQC. RPF 275. The pandemic was an extraordinary event, and trading conditions led to constrained container space capacity for a period of two years (from the summer of 2020 through the summer of 2022). APP 1045; 1060 (Lars Jensen Tr. 195:9-18; 257:4-16); RPF 93, 122; [Container shipping: Supply chains will remain disrupted well into 2022 | S&P Global](#).

274. OOCL termed its removal of PSS charges "[b]ased upon a company's own commercial consideration". See Devine Dep. Tr. 86:17-19 [APP-434].

RESPONSE: Admitted that Paul Devine testified as set forth above.

275. During the pandemic, OOCL conditioned shipping BBY's cargo under the Service Contracts on BBY's payment of extracontractual PSS charges. See Hackett Dep. 144:2-14 ("One was they were coming to us with peak season surcharge and they were saying, listen, yeah, I know we have a contract, but if you want to get on a vessel, you're going to have to agree to these peak season surcharges. So, candidly, our hand was kind of forced, as it was with other importers because it was a global phenomenon. And, so, yeah, we did agree to them. Keeping in mind that we are a retailer, right? If we don't have product on the shelves, we don't have business"), 256:5-11 ("And they were coming and saying, well, if you want to basically get space, we can do a peak season. And so I know that we did kind of some dialogue pushback, but when we found that if we didn't do it, we weren't going to get space, we agreed to that."), 258:4-12 ("Q. Do you remember or do you recall how the prices or the rates in those premium contracts were set or negotiated? A.

There wasn't much negotiation. It was pretty much, here's the rate, and if you want it -- if you want the space, this is what you're going to have to pay to get it. And that was true of the carriers that went down that path, not just OOCL") [APP-849, -877-878];

Devine Dep. Tr. 86:5-19 ("Q. How would a -- how would a PSS be announced? A. It would be announced and filed in your -- in your tariff. The Trade would be given 30 days' notice for -- as required by law. Q. And what would lead to a PSS arising? A. Shippers outperforming their forecasted demand, trading conditions that exceeded the physical expectations of a shipping company, extraordinary events.

Q. And how would it be removed? A. Based upon a company's own commercial consideration.") [APP-434]; Ex. 381 (McCown Report) ¶¶ 112-13 [APP-3778].

RESPONSE: Denied. There exists no evidence in the record that BBBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 634, 666, 667. There is no evidence in the record that OOCL charged a freight rate to BBBY that was not filed with the FMC. OOCL met its container space allocation commitments to BBBY. See RPFFs 576 to 618. Those space commitments were not altered in 2020 after BBBY sold a number of its subsidiary companies. BBBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

276. OOCL did not present PSS to BBBY as in a typical negotiation, but rather imposed PSS on BBBY on a unilateral basis. *See* Hackett Dep. Tr. 33:4-34:8 ("There wasn't much negotiation. Let's put it that way. It was more one way. And then it was like, if you want to get space on the vessel, you're going to have to do this, and we said all right.") [APP-821-822].

RESPONSE: Denied. RPFF 666, 667. There exists no evidence in the record that BBBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 634.

277. OOCL occasionally imposed PSS unilaterally, contrary to the Service Contracts.

See Klosowsky Dep. Tr. 152:12-153:2 ("Q. Are you familiar with the term PSS -- A. I believe so.

Q. -- peak season surcharge? A. Yes. Q. And what does that term mean to you? A. That the charge would be -- there would be some sort of over the agreed, you know, agreed upon rate that would be charged, and in some cases I think unilaterally, although I think if I just read the agreement, there would have been some discussion and mutual agreement to an application of PSS.") [APP-1274].

RESPONSE: Denied. There exists no evidence in the record that BBBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 634, 666, 667. OOCL and BBBY signed and filed each service contract and amendment thereto with the FMC. RPFFs 629, -632.

Amendment No. 8 to the 2020 service contract presents a good example as to how these amendments were readily accepted by BBY. On November 20, 2020, Patrick Hackett wrote an email to Jim Mitchell at OOCL about extra loaders proposed by OOCL. He wrote:

“Jim....yes, we accept and thank you for the below space on these extra loaders. I'm cc'ing Laurie and Pacy from Yusen so we're all on the same page. If possible, can you just add the below rates into the amendment you just sent me this morning and resend to me and Paul later today/Monday so he can validate and then route for internal review/approval on Monday when he's back from vacation? If not, then just create/send us another amendment just for these rates. Thanks.”

RX-001150-1154 (OOCL_0000049048).

BBY's Director of International Supply Chain testified about how the amendments with OOCL were negotiated:

Q. And so this amendment would have been -- again, the details of it would have been negotiated between you and, presumably, Jim Mitchell at OOCL and you would present it to your management through Reid Klosowsky and then Juan Guerrero would sign off on it; fair statement?

A. That's the process, yes.

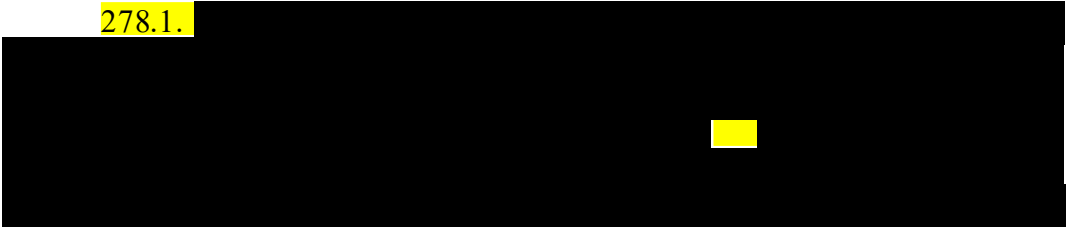
APP 825 (Hackett Tr. at 48:8-15).

Amendment No. 7 presents another good example of BBY's approval. Pat Hackett sent Jim Mitchell an email that said: “Jim, I approve, so please file. Paul will send you a signed copy ASAP. Thanks.” APP 1183 (Kastin Tr. at 167:10-168:15).

278. Unless BBY agreed to accept PSS, BBY might be passed over when its contract came up for renewal.

RESPONSE: Denied. There exists no evidence to support the foregoing proposition. There is evidence, however, to the contrary. See RPFFs 666, 667.

278.1.



[REDACTED]

RESPONSE: [REDACTED]

Thomas Schmeiemann testified [REDACTED]

Q So this is an e-mail, I think, dated January 16, 2021, from you to the Team. And you say, "Basically" -- in that third sentence, "Basically, customers will have two options: Agree to a rate increase through April 30, 2021, or extending with an increase through April 2022. If they choose neither, we have the option to remove them from CSAL."

Did I read those two sentences correctly?

A Yes.

Q And this e-mail, this related to customers that had actually met their MQC, correct?

A That's correct.

Q So when you were saying that "we have the option to remove them from CSAL," is that because they had already met their MQC?

A That's correct.

Q Okay.

So you weren't saying that they would be removed from CSAL, whatever they had committed, because they didn't have any CSAL committed; they were done by then?

A That's correct.

APP 2255 (Thomas Schiemann Tr. 319:24 to 321:3).

279. Notwithstanding BBY's Service Contracts, OOCL forced BBY to compete with spot market demand for space. *See* OOCL_0000086978 (-86978) (email from Jim Mitchell of OOCL to Ken Hsu at Yusen Logistics stating, "Unfortunately, what extra space was available has been released to the open market. Any volumes that we previously offered BBB for this vessel are still in place.") [APP-4152].

signed and filed with the FMC. APP 3261-3292 and 3360-3397 (Exs. 163 (Clause 9; and 332, Clause 9).

282. Steffen admitted that without products on the shelves, it is difficult for a retail business to stay profitable. Steffen Dep. Tr. 69:21-70:5 (“Q. Without products on the shelves is it difficult for a retail business to stay profitable? A. Yes.”) [APP-2536-2537].

RESPONSE: Admitted that Boris Steffen testified as set forth above.

283. The total cost differential BBBY had to pay under the Service Contracts due to OOCL’s PSS pricing policies was approximately \$13.7 million. *See* P-0000801023 [APP-4418]; Ex. 330 (Tabs “SY 20”, “20 But For,” “20 Damages”, Tabs “SY 21”, “21 But For,” and “21 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346]; 1AC ¶¶ 42,51 [APP-85]; Ex. 381 (McCown Report) ¶ 114 (Table 9) [APP-3778].

RESPONSE: Denied. Ex. 330 has not been authenticated or verified for accuracy. Ex. 330, bates-stamped, was produced as an attachment to BBBY’s supplemental responses to OOCL’s interrogatories. It is captioned “BBBY Shipments with OOCL During the 2020-2021 Service Contract Term on Service Contract Lanes”, which relates to freight charges, not allegedly declined bookings. David Kastin testified:

Q. Do you know who prepared it?

A. I do not know which individual prepared it.

Q. Do you know when it was prepared?

A. I do not.

Q. Do you know the source of the data?

A. I do not. . .

Q. Sure. There’s no -- there’s no column references to booking date or when or where bookings were made, correct?

A. There are no columns with those words on it, correct.

Q. All right. Let’s go on to the next tab. And the same would be true for this tab, which is identified at the bottom, “20 But For,” that there is no reference to booking dates or when or where the bookings were made?

A. Those words are not used on this page.

Q. Okay. Let's go on to the next tab, which is identified as "20 Damages." And the same would be true for this tab, correct?

A. Correct.

Q. And if we go on to the next tab, which is tab "SY 21" -- and we'll scroll over to the right so you can see all of the columns. And you would agree with me that there's no reference to booking dates or when or where bookings were made, correct?

A. Those words are not used on the spreadsheet, correct.

Q. And if we go to the next tab, "21 But For," the same would be true for this tab; that there's no reference to booking dates or when or where bookings are made, correct?

A. Those words are not used, correct.

Q. And then last tab is "21 Damages." You would agree, again, there's no reference here to booking dates or when or where bookings are made, correct?

A. Those words are not used.

Q. Sorry. I didn't hear that.

A. Those words are not used.

Q. Okay. And it's a fair statement to say that you cannot verify the accuracy of any of the information set forth in this spreadsheet, correct?

MR. REYNOLDS: Object to form. You can answer.

A. I have no independent knowledge.

RPFF 574.

In ¶ 114 of his Report, John McCown cites as authority BBY's Original Complaint. References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.

284. For the three weeks beginning January 5, 12, and 22 2021, OOCL's PSS policy allowed OOCL to achieve on average 72.9% of the then-prevailing spot market price for each FEU shipped under the 2020 Service Contract. *See* Ex. 381 (McCown Report) ¶¶ 115-16 (Table 10) [APP-3779].

RESPONSE: Denied. In ¶ 116 of his Report, John McCown cites as authority BBY's Original Complaint. References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.

285. OOCL personnel believed it was appropriate for OOCL to profit from the PSS due to increased demand. *See* Mitchell Dep. Tr. 208:24-209:12 ("Q: And based on your view of how PSS operated based on your decades of experience, was PSS – was it appropriate for OOCL to profit off of PSS? A: Yes.") [APP-1729].

RESPONSE: Admitted that Jim Mitchell testified as set forth above.

286. PSS did not guarantee more space. *See* Mitchell Dep. Tr. 190:17-191:16 [APP-1725].

RESPONSE: Admitted that Jim Mitchell testified as set forth above

287. Jensen also wrote in a June 2024 LinkedIn post that "some [carriers] hon[or] a slightly larger amount of the contractually committed cargo than others. All carriers are not equal in this matter." Dep. Ex. 424 at p. 2 [APP-4086].

RESPONSE: Admitted that the quote above was attributed to Lars Jensen in the article noted.

288. OOCL's failure to meet MQC requirements under Service Contracts or demanding higher rates than those set forth under Service Contracts is unreasonable. *See* Ex. 381 (McCown Report) ¶¶ 118-19 ("In my opinion, OOCL's practices with respect to PSS were not reasonable or consistent with the terms of OOCL's service contracts or historical industry practice concerning PSS. OOCL's PSS premiums were not charged to compensate the carrier for excess expenses or to secure uncommitted space during periods of peak demand. Instead, OOCL actively discriminated against fixed-price BCO cargo from customers who did not agree to a PSS, and informed customers, including BBY, that they needed to participate in a *quid pro quo* transaction and pay high PSS premiums in order to get space. This is totally inconsistent with my understanding of carrier obligations under service commitments. It is also totally inconsistent with industry practice prior to the high pandemic price environment.") [APP-3779].

RESPONSE: Denied. OOCL met its space obligations under the 2020 and 2021 service contracts. APP 3039-3040, 3122-3144, 3145-3166 (Ex. 39, 66, 67). OOCL provided 104.4% of the MQC space required under PE203297. APP 3754-3936 (Ex. 384, Boris Steffen Report at

19); APP 1394 (Karen Lam Tr. 224:14-225:24); APP 3039-3040 (Ex. 39). During the 2021 shipping year, OOCL provided 5095 TEUs to BBY. APP 1392 (Karen Lam Tr. at 216:14-25). OOCL accepted and confirmed 1648 TEU of bookings for BBY in addition to that which had been allocated to BBY in CSAL. APP 1392 (Karen Lam Tr. at 217:2-19). Total space provided by OOCL was 6,649 TEUs. APP 1393 (Karen Lam Tr. at 218:15-219:4). This was 94% of the original MQC (7,072 TEUs). APP 1393 (Karen Lam Tr. at 219:13-22.).

OOCL has moved to strike John McCown as an expert because his opinions and methodology are unreliable. Mr. McCown relied on *allegations* of container space shortfalls as described in BBY's Complaint as the entire basis for his opinion that OOCL did not provide the space contracted for under the 2020 and 2021 service contracts. In his deposition, McCown testified:

Q. Okay. So, essentially, you would agree with me that you accepted the proposition that OOCL only provided 1,475.85 FEUs of space during the 2020 service contract year and only 2,432.74 FEUs of space during the 2021 service contract year, that you obtained from reviewing the original Complaint, correct?

A. Yes, I agree with that.

Q. Do you know where those numbers came from?

A. Those numbers came from Bed Bath & Beyond, from their professionals, Mr. Hackett and other folks in their area.

Q. Do you know any specific documents that it refers -- that refer to those numbers?

A. I mean, in quite a few of the depositions they're referenced, but the -- you know, the Complaint was the basis for that.

APP 1467 (McCown Tr. 122:4-122:24).

Not only did McCown rely on allegations instead of facts, he did not bother to even read the service contracts before opining about OOCL's compliance with same. APP 1473 (McCown Tr. 147:5-9).

BBY did not do an independent analysis of the container space provided by OOCL but relied on calculations by counsel that the information provided in the Complaint was correct. APP 1186-87 (Kastin Tr. at 181-182; 185) ("I relied on information provided by Huth Reynolds in reviewing the Complaint.").

Further, there is no evidence that OOCL engaged in a quid pro quo regarding PSS rates. Whether a customer agreed to a PSS, they would continue to receive the contracted space. APP 1725 (Jim Mitchell Tr. at 192:9-14). Bookings were not held up until a PSS was paid. APP 1729 (Jim Mitchell TR. at 207:12-15). If BBY said no to a PSS, OOCL would not pursue it. APP 1749 (Jim Mitchell TR. at 289:16-24).

iii. OOCL unreasonably shifted space from its Service Contracts with BBY to premium contracts.

289.

[REDACTED] Fung Dep. Tr. 57:24-58:11 (“Q. Okay. In addition to Service Contract rates, did OOCL assess premium surcharges in the 2020 to 2021 shipping year? A. After get the approval of the corporation, we have increased some specific contracts rate in order to guarantee the capacity -- THE INTERPRETER: Sorry. Let me rephrase. THE WITNESS: After getting the approval from the corporation on increasing higher shipping capacity, we have increased individual and some of the contracts rate.”) [APP-774-775].

RESPONSE: Denied.

290. In 2021, BBY and OOCL entered into two premium service contracts.

RESPONSE: Admitted that in 2021 OOCL and BBY entered into two secondary or so-called premium contracts.

290.1.

[REDACTED]

RESPONSE: Admitted.

291.1.1

[REDACTED]

RESPONSE: [REDACTED]

290.2.



RESPONSE:



291.



RESPONSE: Denied. There exists no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion.  **APP 1177-1178 (David Kastin Tr. 144:17-147:22).**

Amendment No. 8 to the 2020 service contract presents a good example as to how these amendments were readily accepted by BBY. On November 20, 2020, Patrick Hackett wrote an email to Jim Mitchell at OOCL about extra loaders proposed by OOCL. He wrote:

"Jim....yes, we accept and thank you for the below space on these extra loaders. I'm cc'ing Laurie and Pacy from Yusen so we're all on the same page. If possible, can you just add the below rates into the amendment you just sent me this morning and resend to me and Paul later today/Monday so he can validate and then route for internal review/approval on Monday when he's back from vacation? If not, then just create/send us another amendment just for these rates. Thanks."

RX-001150-1154 (OOCL_0000049048).

BBY's Director of International Supply Chain testified about how the amendments with OOCL were negotiated:

Q. And so this amendment would have been -- again, the details of it would have been negotiated between you and, presumably, Jim Mitchell at OOCL and you would present it to your management through Reid Klosowsky and then Juan Guerrero would sign off on it; fair statement?

A. That's the process, yes.

APP 825 (Hackett Tr. at 48:8-15).

Amendment No. 7 presents another good example of BBBY's approval. Pat Hackett sent Jim Mitchell an email that said: "Jim, I approve, so please file. Paul will send you a signed copy ASAP. Thanks." APP 1183 (Kastin Tr. at 167:10-168:15).

291.1. OOCL based its premium contract rates on open market guidelines. *See* OOCL_0000006104 (-06104) ("As we are basing the premium contract rates on our open market guidelines, we will be adjusting the premium contract pricing whenever the open market guideline levels are changed.") [APP-4093].

RESPONSE: Admitted that OOCL's secondary or so-called premium contract rates were based on open market guidelines.

292. Around January 2021, OOCL began pushing its premium contract program, pressuring BBBY into signing a premium rate contract despite having already failed to meet its service commitments to BBBY under its existing Service Contract. [REDACTED]

[REDACTED] Mitchell Dep. Tr. 183:22-184:7 ("Q. Did you also enter -- based on the customers who you service, did you also see them entering into premium contracts? A. We had -- at that time, we were just offering extra loaders, and then we introduced, I think, later in -- well, beginning of 2020, the end of 2020, into 2021, we introduced premium contracts, but it was for 1 TEU as the MQC.") [APP-1723].

RESPONSE: Denied. There exists no evidence in the record that BBBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 634. There is no evidence in the record that OOCL charged a freight rate to BBBY that was not filed with the FMC. OOCL fulfilled its container space allocation commitments for the two service contract years at issue. RPFFs 576 to 618. BBBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. The secondary or so-called premium contracts were for container space over and above BBBY's annual service contract

space allocation. BBY knew that the secondary contracts were for additional space. RPF 275. See also RPFs 485.A.iii, 485.B.iii, 485.C.iii, and 485.D.iii.

293.



RESPONSE: Admitted that Thomas Schiemann expressed the concerns noted above. Denied that there was any shifting of space between the annual service contract and the secondary or so-called premium rate contracts. Employing a very detailed methodology about which he testified, Glenn Metzger analyzed whether OOCL shifted any space from service contracts to premium rate contracts. APP 1596-1618 (Glenn Metzger Tr. 29:7-115:21). Mr. Metzger evaluated the period May 1 through September 30, 2021, and testified that he did not “see any reason to believe that OOCL was shifting space from any - - one contract to another.” RPFs 616, 617.

294. Under OOCL’s internal CSAL guidelines, priority or premium accounts are treated differently from standard accounts in terms of booking acceptance. *See* Wong Dep. Tr. 105:11-106:13 (“Q. I’m just trying to get at what the difference is in the way these CSAL guidelines treat priority or premium accounts as opposed to standard customer accounts. Could you just give an overarching explanation of how premium or priority accounts are treated differently under these guidelines than standard customer accounts? A. I would say at the booking acceptance, for those not under the priority or premium accounts, the OBR is 100 percent. But it doesn’t mean -- it isn’t equivalent to those accounts not having a chance to load more than their CSAL number. It is subject to the actual loading situation. For example, an account, I would call it a standard account, that means not priority or premium, is assigned 10 TEU on the loop and their OBR is 100 percent. But they come with, say, 12 TEU of bookings. So normally the TCR would confirm the 10 because they are entitled to the 10 TEU, and the 2 TEU, which is beyond the CSAL volume. But in the end, whether this 2 TEU will turn into confirmed bookings or be loaded on board is subject to the overall forecast and the booking situation of the whole vessel at that particular port.”) [APP-2728- 2729].

RESPONSE: Denied as misleading and taken out of context. Bess Wong was not addressing the secondary service contracts or so-called premium contracts in the text cited above. She was testifying with respect to Exhibit 253, which addresses the regional space allocations set forth in an email dated December 22, 2020 with the subject line: “TPT EB ALLOCATION: FEB CSAL (week 5 – 8), which means Trans-Pacific Trade East Bound Allocation. APP 2723 (Bess Wong Tr. 82:2-6). That email was issued before the secondary or so-called premium service contract came into being in January 2021. Further, that email addressed “priority accounts” and “premium accounts” under the caption “CSAL Guideline.” APP RX-3155-3157 (Ex. 253). It did not address the secondary or so-called premium service contracts.

295. Priority and premium accounts may have a higher Overbooked Ratio (OBR), allowing them to book more than their assigned space. *See* Wong Dep. Tr. 106:14-107:1 (“Q.

Would you say that the booking requests of customers with priority or premium accounts are much more likely to be accepted by OOCL as compared to the booking requests of customers with standard accounts? MR. LETOURNEAU: Objection. Form. You can answer if you know. THE WITNESS: It's not likely or not. It's according to the CSAL, what has been assigned. If it's assigned with OBR more than 100 percent, then the TCR would follow and accept the booking up to 120 percent of their assigned number.") [APP-2729].

RESPONSE: Denied as misleading and taken out of context. Bess Wong was not addressing the secondary service contracts or so-called premium contracts in the text cited above. She was testifying with respect to Exhibit 253, which addresses the regional space allocations set forth in an email dated December 22, 2020 with the subject line: "TPT EB ALLOCATION: FEB CSAL (week 5 – 8), which means Trans-Pacific Trade East Bound Allocation. APP 2723 (Bess Wong Tr. 82:2-6). That email was issued before the secondary or so-called premium service contract came into being in January 2021. Further, that email addressed "priority accounts" and "premium accounts" under the caption "CSAL Guideline." APP RX-3155-3157 (Ex. 253). It did not address the secondary or so-called premium service contracts.

296. An OOCL employee confirmed that an "extra loader" space was treated as a premium service and was allocated to the highest bidder. *See* Forminio Dep. Tr. 145:23-147:12 [APP-640-641]; *see also* Murdoch Dep. Tr. 239:13 to 243:24 [APP-1861-1862] (repeatedly stating that "extra loaders" were "completely separate" from OOCL's standard service offering but refusing to acknowledge or explain *why* that was necessarily so).

RESPONSE: OOCL denies the proposition in CPFF 296. As Mr. Murdoch explained, the secondary or so-called premium rate contracts were for additional space over and above the annual service contracts. BBY knew that the secondary contracts were for additional space. RPFF 275.

297. An OOCL employee admitted that OOCL generates more revenue from extra loader space when it is designated for use under premium contracts compared to when the same space is used for standard service contracts. *See* Wong Dep. Tr. 80:16-25 ("Q. Sure. OOCL receives more revenue from the space that it designates as extra loader space to be used pursuant to premium contracts with its customers. It receives more revenue from that space for use under premium contracts than it would if it had designated that same space as standard container space to be used to carry containers pursuant to their standard service contracts with customers? A. For the same slots, definitely.") [APP-2722].

RESPONSE: Admitted that Bess Wong testified as set forth above. However, denied that there was any shifting of space between the annual service contract and the secondary or so-called premium rate contracts. Employing a very detailed methodology about which he testified, Glenn Metzger analyzed whether OOCL shifted any space from service contracts to premium rate contracts. APP 1596-1618 (Glenn Metzger Tr. 29:7-115:21). Mr. Metzger evaluated the period May 1 through September 30, 2021, and testified that he did not "see any reason to believe that OOCL was shifting space from any -- one contract to another." RPFFs 616, 617.

298. BBY needed to agree to premium contracts with OOCL because OOCL refused to book space under the regular Service Contracts. *See* Hackett Dep. Tr. 37:19-38:8 (“I would – I wouldn’t necessarily agree that it was for incremental space above and beyond. To me, and the way that, quite candidly, *I think it got presented, it was like, if you want to get any space, you’re going to need to sign these premium contracts and move these goods under these premium rates; otherwise, you’re not going to get space on the vessel.* And that was kind of a common approach, I think, during that time, once again, not only with OOCL, but with some of our other carriers. Not all carriers, as I recall, had a premium contract, but OOCL was one that did.”) (emphasis added) [APP-822-821];

[REDACTED]

RESPONSE: The secondary or so-called premium contracts were for container space over and above BBY’s annual service contract space allocation. BBY knew that the secondary contracts were for additional space. RPFF 275.

299. OOCL required BBY to book space under the premium rate contracts instead of fulfilling its service commitments under the service contracts.

[REDACTED]

RESPONSE: Denied. OOCL fulfilled its container space allocation commitments for the two service contract years at issue. RPFFs 576 to 618. BBY’s assessment of OOCL’s purported shortfall is bogus. *See* RPFF 550 to 575. The secondary or so-called premium contracts were for container space over and above BBY’s annual service contract space allocation. BBY knew that the secondary contracts were for additional space. RPFF 275.

[REDACTED]

300. During the 2020-21 shipping year, OOCL’s rates under premium contracts never went down. *See* Mitchell Dep. Tr. 215:14-18 (“Q During the period of 2020 to 2021 Service Contract years, or shipping years, were there times where the premium contract rates went down on certain lanes? A No.”) [APP-1731].

RESPONSE: Admitted.

301.

[REDACTED]

[REDACTED]

RESPONSE: Denied. [REDACTED]

[REDACTED] Glenn Metzger's deep dive into OOCL and BBY's booking activity during this same period, revealed that OOCL met its container space commitments and BBY did not meet its MQC container tender obligations. RPFFs 610 to 614. Glenn Metzger found that during the period May 1 to September 30, 2021, there were 1037 declined bookings, of which he had questions about 110 (the remaining 927 "were valid as CSAL was either already satisfied or the space available was less than the requested booking."). APP 1624 (Glenn Metzger Tr. 140:9-25); APP RX-000618 (Ex.393). With respect to the remaining 110, the reasons for the declined bookings were "vessel space, allocation met, vessel closed / booking window closed, required equipment not available, route not available. APP RX-000618 (Ex. 393). Mr. Metzger found that the majority of these 110 declined bookings were valid. APP 1624-1625 (Glenn Metzger Tr. 140:9-142:21). See also RPFFs 576 to 618.

302. An internal OOCL review conducted in April 2022 of the variance between rates for cargo OOCL moved under its customers' regular service contracts against those customers' premium contracts during the same period showed a variance of over \$56 million. [REDACTED]

[REDACTED] Delprete Dep. Tr. 66:2-69:15 ("Q. This spreadsheet was sent in April 2022, do you recall if the volumes listed here referred to those shipped during the 2021 to '22 shipping year? A. I believe so since the contracts are PE21, so that would refer to the '21-'22 shipping year? A. I believe so since the contracts are PE21, so that would refer to the '21-'22 shipping year. Q. Did you perform a similar analysis before you created this spreadsheet? A. No. Q. Have you done a similar analysis since creating this spreadsheet? A. With contract performance, yes. Q. In that analysis for contract performance did you compare service contract rates to premium rates? A. No. Q. So have you done this estimated variance analysis other than in this spreadsheet? A. No. Q. Why did you do this estimated variance analysis at this time? A. We wanted to find out what the variance was between the original contract and the premium contract. Q. What was the purpose of finding that difference? A. To ascertain the amount of premium that was garnered by the volumes on the premium contract.") [APP-357; APP-359].

RESPONSE: Admitted that Vincent Delprete performed the review above, but that it assessed a "hypothetical variance."

303. [REDACTED]

[REDACTED]

RESPONSE:

[REDACTED]

304.

[REDACTED]

RESPONSE:

[REDACTED]

305.

[REDACTED]

RESPONSE:

[REDACTED]

306. As of August 30, 2021, twenty-one customers in OOCL's North American Group ("NAG") region who had service contracts also had additional premium service contracts for which fulfillment far exceeded the small MQCs set forth in those premium contracts. [REDACTED] Chen Dep. Tr. 237:3-20 ("Q Then below that, we have a bullet point that says '21 of Existing SC Holders have additional Premium SCs all far exceeding small MQCs.' That bullet point regarding premium service contracts, does that mean that these are premium service contracts where the customer has shipped far more containers under that premium contract than the MQC in that premium contract? MR. LETOURNEAU: Objection. Form. THE WITNESS: Yeah, can I answer that, please? MR. LETOURNEAU: Yes, you can. A Yes. That's the interpretation, yeah, 21 contract exceeding the separate premium contract MQC.") [APP-210].

RESPONSE: OOCL denies the proposition in the first sentence above. The secondary or so-called premium rates contracts had an MQC of "1 TEU," which results in the distorted fulfillment percentages above.

307. "And so we were concerned, well, how do you then align the situation with their standard contract if they fall short on MQC, but they've achieved sufficient volume on the premium contract that would have taken them above MQC had they been applied, and so we raised that concern." See Young Dep. Tr. 263:19-25 ("And so we were concerned, well, how do you then align the situation with their standard contract if they fall short on MQC, but they've achieved sufficient volume on the premium contract that would have taken them above MQC had they been applied, and so we raised that concern.") [APP-2889].

RESPONSE: Admitted that Mike Young raised the concern expressed above. Denied that there was any shifting of space between the annual service contract and the secondary or so-called premium rate contracts. Employing a very detailed methodology about which he testified, Glenn Metzger analyzed whether OOCL shifted any space from service contracts to premium rate contracts. APP 1596-1618 (Glenn Metzger Tr. 29:7-115:21). Mr. Metzger evaluated the period May 1 through September 30, 2021, and testified that he did not "see any reason to believe that OOCL was shifting space from any - - one contract to another." RPFfs 616, 617.

308. The "liability" referenced in the executive summary of the internal presentation on compliance issues that OOCL's North American personnel gave to colleagues in OOCL's Hong Kong office was a reference to liability for failure to meet contractual obligations to OOCL's customers. See Young Dep. Tr. 177:13-20 ("Q. And it talks about opening OOCL to some liability. What's the liability being discussed here? A. Where are you? Oh, the same line. The liability would be that we're not meeting a contractual obligation with the customer."); 262:7-9 ("Well, it was basically when we did that presentation to Hong Kong, they raised the issue with these premium contracts") [APP-2889].

RESPONSE: Admitted that Mike Young raised the concern expressed above. Glenn Metzger's deep dive into OOCL and BBY's booking activity during this same period, revealed that OOCL met its container space commitments and BBY did not meet its MQC container tender

obligations. RPFFs 610 to 614. Glenn Metzger found that during the period May 1 to September 30, 2021, there were 1037 declined bookings, of which he had questions about 110 (the remaining 927 “were valid as CSAL was either already satisfied or the space available was less than the requested booking.”). APP 1624 (Glenn Metzger Tr. 140:9-25); APP RX-000618 (Ex.393). With respect to the remaining 110, the reasons for the declined bookings were “vessel space, allocation met, vessel closed / booking window closed, required equipment not available, route not available. APP RX-000618 (Ex. 393). Mr. Metzger found that the majority of these 110 declined bookings were valid. APP 1624-1625 (Glenn Metzger Tr. 140:9-142:21). OOCL met its container space allocation commitments. See also RPFFs 576 to 618. BBBY’s assessment of OOCL’s purported shortfall is bogus. See RPFF 550 to 575.

309. OOCL’s employees were aware of situations where a customer had more than one contract, and gave the example of AS America Inc. as a BCO that apparently had two contracts. *See* Young Dep. Tr. 130:7-16 (“I know of cases in my experience where we've had more than one contract with any particular party. I mean, if you look up line 10 and 11, there's AS America Inc., a BCO that has -- showing as two contracts. Now, it may be, as Isra's pointed out, they may be for different periods. But, yeah. I've known situations -- or not known, but I was aware of situations where a customer may have much more than one contract.”)[APP-2856].

RESPONSE: Admitted.

310. OOCL employees maintained that there were only a handful of instances of accepting cargo at a premium level on the same ship for which a standard contract was applicable, stating that in most cases the standard contract commitment was filled first and the premium contract was only used to cover additional space over this allocation. *See* Young Dep. Tr. 176:6-16 (“We were just more concerned that if that was happening -- and I think based on the information I'm sure you'll discuss with Glenn during his deposition, we did not find that there were many instances -- there may have been a handful where we were accepting cargo at premium level on the same ship that we had the standard contract, but the standard contract commitment was met, and then, for additional space, it was based on the premium contract to allow to carry the overallocation.”) [APP-2867].

RESPONSE: OOCL denies the proposition in the first sentence above. OOCL admits the Mike Young testified as set forth above, but Glenn Metzger’s subsequent in-depth analysis of booking activity between OOCL and BBBY during the 2021 service contract year demonstrated that there was no shift of any space from service contracts to the secondary or so-called premium contracts. OOCL RFPP 606, 607, 610-613, 616, 617.

311. However, the failure of OOCL’s internal CSAL system to provide enough useable space to satisfy customers’ service contract MQCs freed up space that could be given to higher-paying customers. *See* McCown Dep. Tr. 241:17-242:18 (“And so, yeah, CSAL, ostensibly, you can say, didn't have anything to do with rates, and yet, in fact, it really had everything to do with rates because it was squeezing -- it was squeezing at both ends. It was pushing -- pushing customers that had a right to expect that the contracted-for volume would be achieved, and that customers who had a right to”) [APP-1496-1497].

RESPONSE: OOCL denies the proposition in the first sentence above as well as the opinions of BBY's purported container transportation expert. OOCL provided the container space to BBY that it was obligated to provide during the two shipping years at issue. See OOCL RFPP 576 to 618.

311. [sic] After OOCL USA employees presented their concerns about OOCL's premium contract policies to OOCL's head office in Hong Kong, OOCL abruptly suspended the premium contract program without explanation. *See* Young Dep. Tr. 263:15-264:7 ("A. Well, we were told that there were premium contracts that were used for-- specifically for extra loaders, but it did not pull any MQC from the original or the basic contract. And so we were concerned, well, how do you then align the situation with their standard contract if they fall short on MQC, but they've achieved sufficient volume on the premium contract that would have taken them above MQC had they been applied, and so we raised that concern. And during that time, Karen basically said, well, we're going to do away with the premium contracts, which she did. Q. Did Karen say why? A. No. She just said we're going to do away with the premium contracts, and we just left it at that.") [APP- 2889]; Dep. Ex. 61 at -114922 ("Please note that we have decided to suspend Premium Offering program in the US market until further notice, for both BCO & NVO segment, TCR shall stop accepting fresh booking on all existing premium contracts, except those under pre-agreed Premium CSAL before, with immediate effect.") (emphasis in original) [APP-3119].

RESPONSE: OOCL denies the proposition in the first sentence above but admits that OOCL suspended the secondary service contracts in place at that time on September 13, 2021.

- iv. OOCL unreasonably discriminated against its North American BCO customers in the transpacific trade in favor of other routes.
Denied.

312. OOCL discriminated against its North American BCO customers in the transpacific trade in favor of other routes in order to enrich itself.

RESPONSE: Denied. There is no evidence or data to support the above proposition.

313. OOCL redirected space away from North American to Asia-based BCOs. *See* Young Dep. Tr. 165:6-13 ("Q. I see. And so would -- tying to the earlier concern about an emphasis on APG over NAG, there's a concern here that quantities rejected and placed under TCR control would disproportionately go to APG? A. We did see a higher percentage of AP BCOs lifting as opposed to NA BCOs on some of the loops, yes.") [APP-2864]; Fung Dep. Tr. 87:25-88:4 ("Q. Okay. Did the pandemic conditions change OOCL's policies with regard to how space is allocated between NVOs and BCOs? A. Yes. During pandemic, we have allocated more spaces to BCO in order to support Chinese exporters.") [APP-782].

RESPONSE: Denied. There is insufficient evidence or data to support the above proposition. The two transcript quotes above do not support the proposition above. Mike Young expressed a concern, but the period observed is insufficient to draw any definitive conclusions about the cause. Teddy Fung testified that more space was allocated to BCOs to support Chinese

exporters. BBY's suppliers were predominantly Chinese exporters/suppliers. Further, Glenn Metzger's subsequent in-depth analysis of booking activity between OOCL and BBY revealed that OOCL met its container space commitments and BBY did not meet its MQC tender obligations. OOCL RPFF 606-614.

314. OOCL's NAG BCOs were underperforming against OOCL's assigned MS ("Model Ship") allocation, while OOCL's Asia Pacific Group ("APG") BCOs were overperforming against OOCL's MS. *See* Dep. Ex. 74 at -229479 ("APG out-performed MS when NAG under-performed MS on multiple services over multiple weeks when reasons for NAG declined bookings were related to space or vessel is full.") [APP-3185].

RESPONSE: Denied as misleading. Glenn Metzger testified about the difference between his assessment in August/September 2021 and his subsequent in-depth analysis of the actual booking activity between OOCL and BBY. In August/September 2021, he did not evaluate the booking activity of any shipper. RPFF 609. During his deep dive into OOCL-BBY booking activity in the 2021 shipping year, he found that most of the problems were on BBY's side, that OOCL met its space allocation commitments, and that BBY cancelled numerous bookings or had no-shows, and did not meet its MQC container tender obligations. RPFF 604. Mr. Metzger also found that OOCL's booking declinations were by and large justified. APP 1624-1625 (Glenn Metzger Tr. at 140:9-142:21); APP RX-000618, RX-000619 (Ex. 393, 394, Data analysis of OOCL Booking Data v. CSAL for BBY from May 1, 2021 to September 30, 2021, and from October 1, 2021, to May 1, 2022, respectively). A review of Karen Lam's Team's Spotfire graphs for the service loops OOCL provided to BBY during the two years at issue reveals that BBY also attempted to book many times beyond its space allocation leading to booking declinations though where OOCL could provide space it did so (through "over allocations," that is accepting bookings beyond BBY's authorized space allocation). RPFF 593, 594 to 602. APP 3122-3144 and 3145-3166 (Ex. 66 and 67). The numerous booking declinations that occurred beyond OOCL's CSAL space allocation are also consistent with testimony in this case that BBY and its booking agent Yusen Logistics double booked containers and booked beyond their allocation. RPFF 623, 624. Yusen was contractually obligated to book per the ocean carriers' monthly allocations provided by BBY. RPFF 625.

315. An internal OOCL analysis sent in September 2021 reflects that 42% of OOCL's Asia Pacific BCO customers with service contracts had achieved MQC fulfillment of *greater than 100%* while at the same time *only 9% of OOCL's North American BCO customers* (31 customers with service contracts) had achieved that MQC fulfillment. *See* Dep. Ex. 74 at -229480, Figure 2 [APP-3186].

RESPONSE: Denied as misleading. The table also shows that 61% of NAG shippers had met 50% or more of their MQC tender obligations. The number of service contracts also is significantly higher for AGP than NAG, but there is no data showing how much MQC was involved under each service contract. There is no data as to what the MQC levels were for any of these service contracts, and thus you cannot draw any conclusions as to how much space was offered or containers tendered. Glenn Metzger testified that his assessment in September 2021 did not evaluate the booking activity of any BCOs at that time. When he subsequently dug

deeper into the booking activity between OOCL and BBY he discovered that OOCL had met its container space commitments and BBY had not met its MQC tender obligations. OOCL RPF 606-614.

316. OOCL saw a higher percentage of its Asia Pacific BCO customers than its North American BCO customers lifting on certain loops. *See* Young Dep. Tr. 165:11-13 (“We did see a higher percentage of AP BCOs lifting as opposed to NA BCOs on some of the loops, yes.”) [APP-2864].

RESPONSE: Admitted that Mike Young testified as set forth above. However, at that time OOCL had not evaluated the actual booking activity between OOCL and BBY. RPF 609. During his deep dive into OOCL-BBY booking activity in the 2021 shipping year, he found that most of the problems were on BBY’s side, that OOCL met its space allocation commitments, and that BBY cancelled numerous bookings or had no-shows, and did not meet its MQC container tender obligations. RPF 604. Mr. Metzger also found that OOCL’s booking declinations were by and large justified. APP 1624-1625 ((Glenn Metzger Tr. at 140:9-142:21); RX-000618, RX-000619 (Ex. 393, 394, Data analysis of OOCL Booking Data v. CSAL for BBY from May 1, 2021 to September 30, 2021, and from October 1, 2021, to May 1, 2022, respectively). A review of Karen Lam’s Team’s Spotfire graphs for the service loops OOCL provided to BBY during the two years at issue reveals that BBY also attempted to book many times beyond its space allocation leading to booking declinations though where OOCL could provide space it did so (through “over allocations,” that is accepting bookings beyond BBY’s authorized space allocation). RPF 593, 594 to 602; APP 3122-3144 and 3145-3166 (Ex. 66 and 67). The numerous booking declinations that occurred beyond OOCL’s CSAL space allocation are also consistent with testimony in this case that BBY and its booking agent Yusen Logistics double booked containers and booked beyond their allocation. RPF 623, 624. Yusen was contractually obligated to book per the ocean carriers’ monthly allocations provided by BBY. RPF 625.

3. OOCL maintained an unreasonable policy of negotiating service contracts without intending to comply. Denied.

317. OOCL failed to meet its service commitments to BBY under the 2020 Service Contract.

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPF 576 to 618.

317.1. In the 2020 Service Contract, which originally covered the time period from July 1, 2020 through June 30, 2021, OOCL committed to provide BBY with 2,100 FEUs of cargo space. *Supra* ¶ 29.2.

RESPONSE: Admitted. OOCL met its service contract commitments to BBY. See RPF 576 to 618.

317.2. Over the course of the 2020 Service Contract year, the space OOCL allocated BBY fell short of the MQC in the 2020 Service Contract and BBY's projected needs, resulting in a shortfall of 624.15 FEUs. *Supra* ¶ 96.

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

317.3. Early into the 2020 Service Contract year, OOCL began deviating from its service commitments in the 2020 Service Contract and under-allocating space to BBY. *Supra* ¶¶ 96-100.

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

317.4. During the 2020 Service Contract year, OOCL admitted to BBY, "The allocations are short of the MQC/52". See OOCL_0000022318(-22323) [APP-4125].

RESPONSE: Denied. The statement was made by one individual covering a limited period. OOCL met its service contract commitments. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

317.5. BBY repeatedly asked for the space that OOCL had committed to provide under the 2020 Service Contract. *Supra* FOF.Arg.I.D.1.

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

317.6.



RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is

bogus. See RPFF 550 to 575. [REDACTED]

BBBY knew that this secondary service contract was for additional space. OOCL RPFF 275. [REDACTED]

318. Nevertheless, despite OOCL knowing that it had fallen short of its service commitments to provide a fixed MQC and fixed prices during the 2020 Service Contract year, OOCL entered into the 2021 Service Contract in which it again committed to fixed prices and a fixed MQC. *Supra* FOF.Intro.II.

RESPONSE: Denied. OOCL met its service contract commitments to BBBY. See RPFF 576 to 618. BBBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. BBBY knew that this secondary service contract was for additional space. OOCL RPFF 275. Space under the secondary service contract was priced at market. RPFF 660, 661, 662.

319. During the 2021 Service Contract, OOCL proceeded to deviate from its service commitments just as it had done in the preceding 2020 Service Contract year.

RESPONSE: Denied. OOCL met its service contract commitments to BBBY. See RPFF 576 to 618. BBBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. BBBY knew that the secondary service contract was for additional space. OOCL RPFF 275. Space under the secondary service contract was priced at market. RPFF 660, 661, 662.

319.1. Despite agreeing to provide 3,796 FEUs of cargo space to BBBY during the 2021 Service Contract year, OOCL provided only approximately 2,432.74 FEUs of space, or 64.1% of its service commitment. *Supra* ¶ 109.

RESPONSE: Denied. OOCL met its service contract commitments to BBBY. See RPFF 576 to 618. BBBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

319.2. Despite agreeing to fixed rates for specific lanes under the 2021 Service Contract, OOCL continued to demand high prices for space on extra loaders which OOCL treated as a premium service. *Supra* ¶ 254.1.

RESPONSE: Denied. OOCL met its service contract commitments to BBBY. See RPFF 576 to 618. BBBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. BBBY knew that the secondary service contract was for additional space. OOCL RPFF 275. Space under the secondary service contract was priced at market. RPFF 660, 661, 662.

320. OOCL's agreement to new fixed prices and a new MQC in the 2021 Service Contract, followed by practices that abandoned any concept of fulfilling its service commitments

in a continuation of its behavior from the 2020 Service Contract year, demonstrates that OOCL never intended to comply with the Service Contracts it negotiated with BBY.

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. BBY knew that the secondary service contract was for additional space. OOCL RPFF 275. Space under the secondary service contract was priced at market. RPFF 660, 661, 662.

321. OOCL repeatedly presented BBY with take-it-or-leave-it contract amendments, imposing new rates and surcharges, and effectively forcing BBY to accept a reduced minimum quantity commitment for the remainder of the term, in an attempt to address OOCL's systematic failure to meet its service obligations.



RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. Respondent did not force Complainant to agree to and sign any contract amendment whatsoever. The words "take it or leave it" were never expressed by any OOCL representative. There exists no evidence that BBY's signatories to 47 service contracts and amendments signed them involuntarily or under coercion. RPFF 634. Amendment No. 8 to the 2020 Service Contract presents a good example as to how these amendments were readily accepted by BBY. On November 20, 2020, Patrick Hackett wrote an email to Jim Mitchell at OOCL about extra loaders proposed by OOCL. He wrote:

"Jim....yes, we accept and thank you for the below space on these extra loaders. I'm cc'ing Laurie and Pacy from Yusen so we're all on the same page. If possible, can you just add the below rates into the amendment you just sent me this morning and resend to me and Paul later today/Monday so he can validate and then route for internal review/approval on Monday when he's back from vacation? If not, then just create/send us another amendment just for these rates. Thanks."

RX-001150-1154 (OOCL_0000049048).

Amendment No. 7 presents another good example of BBY's approval. Pat Hackett sent Jim Mitchell an email that said: "Jim, I approve, so please file. Paul will send you a signed copy ASAP. Thanks." APP 1183 (Kastin Tr. at 167:10-168:15).

4. OOCL's policies of failing to meet its service commitments to its customers, preferring higher-priced freight over meeting its service commitments, and negotiating service contracts without intending to comply were unwarranted by any constraints outside of OOCL's control. **Denied.**

322. OOCL's allocation scheme was unreasonable and inconsistent with historical industry practice as well as unwarranted by any constraints outside of OOCL's control.

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

323. From 2019 (3,477k FEU/6,954k TEU), OOCL's overall annual shipping volume grew in both 2020 (3,731k FEU/7,462k TEU) and 2021 (3,793.5k FEU/7,587k TEU), before subsiding modestly in 2022 (3,564.5k FEU/7,129k TEU). *See* Annual Report, Orient Overseas (International) Ltd. (2020) at 17 [APP-4440]; Annual Report, Orient Overseas (International) Ltd. (2021) at 14 [APP-4640]; Annual Report, Orient Overseas (International) Ltd. (2022) at 16 [APP-4845]; Ex. 381 (McCown Report) ¶¶ 90-91 (Table 3) (The volume for each year, both TEU and FEU, is shown in the thousands) [APP-3772-3773].

RESPONSE: Admitted.

324. OOCL's decision to charter out space during 2020-2022 rather than dedicate such space to customers with service contracts demonstrates that OOCL was focused on profitability over meeting the service commitments into which it had voluntarily entered. *See* Ex. 381 (McCown Report) ¶¶ 84, 92 (Table 3) ("Far from taking steps to ensure it was meeting its service commitments, OOCL's annual reports show that, at times, OOCL actually *chartered out* some of its ships, rather than using them to meet its service commitments."; "The fact that OOCL chose to charter out space during a period of awful service commitment fulfillment (but record profits) demonstrates tha[t] OOCL was clearly focusing on profitability rather than ensuring it had enough space to meet its service commitments.") (emphasis in original) [APP-3771; 3773]; Annual Report, Orient Overseas (International) Ltd. (2020) at 18 (6 vessels chartered out); [APP-4439]; Annual Report, Orient Overseas (International) Ltd. (2021) at 16 (6 vessels chartered out) [APP-4640]; Annual Report, Orient Overseas (International) Ltd. (2022) at 17 (8 vessels chartered out) [APP-4844].

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. OOCL has moved to strike John McCown as an expert in this case. His "facts" about OOCL chartering out space are based on supposition as to when such space was chartered out and for what reasons. As Lars Jensen pointed out during his deposition, it made sense to charter vessels out of the market in early 2020 when demand plummeted, but carriers were in a "mad

scramble” for additional vessels when demand spiked. APP 1086-1087 (Lars Jensen Tr. at 361:19-363:14). The data cited in CPFF 323 above from OOCL’s annual reports demonstrates that OOCL handled a greater volume of cargo in 2020 than in 2019, and more in 2021 than in 2020. Further, in the OOCL was able to bring on additional vessel capacity. There is no evidence in the record as to why there was a modest decline in vessel capacity in 2021. John McCown’s “opinion” as to why there was a decline is no more than supposition, as he does not know how many vessel charters expired that year, what vessels were available for charter, whether there were any shipyard delays in new vessels coming online, whether any vessels were available for sale, etc.

325. During the period of 2020-2022, OOCL’s average revenue per TEU increased dramatically. See Ex. 381 (McCown Report) ¶¶ 93-95 (Tables 4-5) [APP-3773-3774].

RESPONSE: Admitted that OOCL’s average revenue per TEU increased during the pandemic years when container space was scarce. OOCL cannot vouch for John McCown’s calculations.

326. During the period of 2020-2022, the increase in OOCL’s average revenue per TEU in the transpacific trade was greater than the increase OOCL’s overall revenue per TEU. See Ex. 381 (McCown Report) ¶¶ 96-97 (Tables 6) [APP-3774].

RESPONSE: Admitted that OOCL’s average revenue per TEU increased during the pandemic years when container space was scarce. OOCL cannot vouch for John McCown’s calculations.

327. During the period of 2020-2022, OOCL achieved annual revenue per TEU equivalent to 57% of the concurrent Drewry Shanghai-LA spot rate by 2022. See Ex. 381 (McCown Report) ¶¶ 98-100 (Table 7) [APP-3774-3775].

RESPONSE: Admitted that OOCL’s average revenue per TEU increased during the pandemic years when container space was scarce. OOCL cannot vouch for John McCown’s calculations.

328. During the period of 2020-2022, OOCL’s policies of directing volume away from fixed-price contract rates to spot prices allowed it to achieve annual revenue per TEU equivalent to 57% of the concurrent Drewry Shanghai-LA spot rate by 2022. See Ex. 381 (McCown Report) ¶ 100 (“Plainly, in light of OOCL’s statements that it sought to reserve 100% of its space for service contract customers, for OOCL to achieve annual revenue per TEU of 57% of the Drewry, OOCL’s practices must have been very effective at driving a substantial amount of its overall volume away from fixed-price contracts to spot prices, whether those prices were achieved by virtue of floating-rate contracts, premium pricing or PSS.”) [APP-3775]; McCown Dep. Tr. 238:19-240:7 (“I don’t want to digress into a lengthy discussion about my issues with the credibility of spot versus CTS, but I don’t recognize spot rates as necessarily tying into what contracts always renew at. However, when I compare the first quarter of 2022 to the third quarter of 2020, as noted in the last sentence of paragraph 99, OOCL’s Trans-Pacific rate increase of 181 percent was 5/6 of the spot increase of 215 percent. Their depositions indicate that OOCL aimed for nearly 100 percent of their capacity to be handled by contract customers and BCOs. If they had adhered strictly to that strategy, it would have been impossible to maintain this 5/6 relationship trailing the Trans-Pacific spot market. I was perplexed by their extraordinary financial performance, particularly given that CSAL, now part of

COSCO, was no longer publicly discussed or disclosed. To me, CSAL essentially took an existing business, imposed constraints on it, and then leveraged those constraints to pursue spot business with NVOs. It also introduced a mechanism that created the perception of fairness by having parties bid against each other. This strategy worked well for them, but I see it as an allocation scheme—and I use "scheme" in the pejorative sense.”) [APP- 1496].

RESPONSE: Denied. OOCL met its service contract commitments to BBBY. See RPFF 576 to 618. BBBY’s assessment of OOCL’s purported shortfall is bogus. See RPFF 550 to 575. OOCL has moved to strike John McCown as an expert in this case. His opinions about the purported movement of space from BCO to NVO contracts is supposition. Lars Jensen testified that OOCL did not systematically make a major change between BCOs and NVOs. RPFF 172. During the pandemic, as a percentage of its space, OOCL allocated more of its available space to BCOs than it did to NVOs. RPFF 224-227.

329. OOCL was capable of meeting its service commitments to BBBY because OOCL owns 100 ships, charters more, and has access to shipping space through the OCEAN Alliance. *See* Devine Dep. Tr. 47:8-49:18 (“Q: Do you know how many ships OOCL owns? A: Not specifically. Maybe more than 100. Q: More than 100? A: I’m not sure exactly, Luke. I think it could be more than 100, but then again, you have chartering ships and fully owned ships. I believe it’s about 100. Q: Okay. Is it safe to say that a charter is more? A: Excuse me? Q: Is it safe to say that OOCL charters more ships than it owns? A: No, I would not agree with that. I think we have more owned ships. Q: Apologies. My question was unclear. I should have— What I mean to say is does it charter ships in addition to the ones that it owns? A: Yes. Yes, that’s correct. Q: Apologies for my unclear question there. Are there other ways that OOCL has access to additional shipping volume? A: There may be, yes. Q: Maybe? A: Yes. If we would slot charter on your ship, for example. Q: Okay. A: If you owned a ship, we’d buy slots from you, and we then afford it to market with that type of product. Q: Pardon me. Is OOCL a part of a shipping alliance? A: Yes. Q: What alliance is that? A: The OCEAN Alliance. Q: What is your understanding of how the OCEAN Alliance operates? A: The OCEAN Alliance is a pooling of assets to provide a more robust product for the shipping community. I take my 25, join you with your 25, and join the next two parties with 25; now, we have 100 ships. Pretty much like the airlines, so it really improves the scale of our physical operation and the service offerings that we have made available to the public. It’s a completely operational arrangement.”) [APP-424]; Donohue Dep. Tr. 27:4-20 (“Q. Do you know how many ships OOCL owns? A. Roughly 140. Q. Does OOCL charter any more ships than that?

I believe we charter, but I don’t know the exact number. Q. Approximate? A. I don’t know. Q. Are you aware of any other ways that OOCL has access to shipping volume? A. We are in a vessel alliance, and we have allocation on our alliance partners’ ships as they do ours. Q. Any other ways that OOCL has access to shipping volume? A. There are slot purchase agreements that take place, but I don’t have the specifics.”) [APP-541]; *see also* Lam Dep. Tr. 174:14-175:20 (acknowledging that some extra loaders “are vessels chartered from the market, particularly during the COVID period”, some were “borrow[ed]”, some were shared between OOCL and COSCO, and some were owned by OOCL) [APP-1382].

RESPONSE: OOCL denies the implication of the proposition in the first sentence above that it did not meet its container space commitments to BBY. OOCL met its container space commitments. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

330. Table 8 of the Expert Report of John D. McCown accurately describes OOCL's fleet of container ships during the period of 2017-2022. *See* Ex. 381 (McCown Report) ¶ 101 (Table 8) [APP-3775-3776].

RESPONSE: OOCL admits that it owns and charters numerous container ships, which are described on its website. [OOCL - Vessels](#). OOCL cannot vouch for John McCown's calculations.

331. During the period of 2020-2022, OOCL reduced its capacity during 2020-2022 by chartering out certain of its vessels. *See* Ex. 381 (McCown Report) ¶¶ 102-103 ("A striking thing about the data in the table is that OOCL actually reduced its overall vessel capacity in both 2021 and 2022, by reducing the number of leased and chartered vessels, and actively chartering out OOCL vessels to other carriers. Clearly that reduction in capacity was a voluntary choice as part of it required chartering out vessels to other container shipping companies. It is inconsistent with my operating experience as a carrier that at the same time volume was spiking in various trade lanes and certain terminals were becoming congested which had the further effect of reducing capacity, OOCL would elect to charter out container ships to others.") [APP-3776-3777].

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. OOCL has moved to strike John McCown as an expert in this case. His "facts" about OOCL chartering out space are based on supposition as to when such space was chartered out and for what reasons. As Lars Jensen pointed out during his deposition, it made sense to charter vessels out of the market in early 2020 when demand plummeted, but carriers were in a "mad scramble" for additional vessels when demand spiked. APP 1086-1087 (Lars Jensen Tr. at 361:19-363:14). The data cited in CPFF 323 above from OOCL's annual reports demonstrates that OOCL handled a greater volume of cargo in 2020 than in 2019, and more in 2021 than in 2020. Further, in the OOCL was able to bring on additional vessel capacity. There is no evidence in the record as to why there was a modest decline in vessel capacity in 2021. John McCown's "opinion" as to why there was a decline is no more than supposition, as he does not know how many vessel charters expired that year, what vessels were available for charter, whether there were any shipyard delays in new vessels coming online, whether any vessels were available for sale, etc.

332. OOCL's chartering out of certain of its vessels during 2020-2022 had the effect of reducing OOCL's overall shipping capacity. *See* McCown Dep. Tr. 243:6-24 ("Q. Let's talk about those outcharters. So, do you know what service lanes or service loops those vessels that were outchartered were servicing? This is in Table 8 of your report, on page 23. A. I see the report. No, I don't know specifically what lane they were in. Q. Do you know what the circumstances are which led to those outcharters? A. No, I don't. This—but this was data that I got from their annual reports.

Q. Did OOCL reserve any space under those charters for its own use? A. I don't know."); 248:7-16 ("Q. And what facts and circumstances do you have that demonstrate that any of these outcharters had anything to do with the Trans-Pacific trade? A. I don't have that specific information. What I do have is that, overall, their capacity was less than it would have been had they not chartered those vessels out, and that's a fact.") [APP-1497].

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575. OOCL has moved to strike John McCown as an expert in this case. His "facts" about OOCL chartering out space are based on supposition as to when such space was chartered out. As Lars Jensen pointed out during his deposition, it made sense to charter vessels out of the market in early 2020 when demand plummeted, but carriers were in a "mad scramble" for additional vessels when demand spiked. APP 1086-1087 (Lars Jensen Tr. at 361:19-363:14). The data cited in CPFF 323 above from OOCL's annual reports demonstrates that OOCL in fact brought additional capacity online in 2020 and 2021.

333. During the period of 2020-2022, OOCL used its CSAL mechanism to restrict OOCL's carrying capacity and drive up rates for the cargo it did ship. *See McCown Dep. Tr. 238:19-240:7* ("I don't want to digress into a very long discussion of my issues with the credibility of spot versus CTS, but I don't recognize spot as tying into what contracts always renew at. However, what I see from comparing the first quarter of that last sentence in paragraph 99, comparing the first quarter of 2022 to the third quarter of 2020, is that OOCL's Trans-Pacific rate increase of 181 percent was literally 5/6 of the spot increase of 215 percent. Their depositions show that OOCL's strategy is to have 100 percent, effectively, of capacity handled by contract customers and BCOs. If they had stuck with that, it would be impossible to maintain that 5/6 relationship trailing with the Trans-Pacific. I was perplexed by their extraordinary financial performance, especially now that CSAL is no longer a matter of public record or discussed, now that it's part of COSCO. To me, CSAL essentially took an existing business, imposed a constraint, and then entered the market to capture spot business with NVOs. It then created a mechanism that made people believe it was somehow fair and equitable to have them bidding against each other. It all worked very well, but I view it as an allocation scheme—and I mean 'scheme' in the pejorative sense of the word."), 240:15-241:7 ("I don't really think so. I don't think it's anecdotal. Again, I reiterate the numbers that I just went through. I think numbers and results have meaning. There's a rationale for why something occurs. I'm a big believer in comparing metrics within the industry one operates in. You could say it's all anecdotal, but from my perspective, based on 40 years of operating and investment experience in the sector, CSAL was a significant catalyst for this widening gap between itself and the industry."), 241:17-242:18 ("And so, yes, CSAL, ostensibly, you could say, didn't have anything to do with rates. Yet, in reality, it had everything to do with rates because it was squeezing at both ends. It was pushing customers who had a right to expect that the contracted-for volume would be fulfilled, and those same customers, who had a right to expect preferential treatment during difficult times when they needed it most, were not given that preference over spot NVOs. And yet, that did not occur. It was set up in a way that allowed multiple parties—I don't have specific information, but I've seen anecdotal information in various exhibits—where other customers were experiencing the same issues. This, in turn, freed up space to shift to the spot market.

That approach, combined with constraints, was spun as if ‘we’re all going through this.’”) [APP-1496-1497].

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY’s assessment of OOCL’s purported shortfall is bogus. See RPFF 550 to 575. OOCL has moved to strike John McCown as an expert in this case. His opinions are based on supposition. The data cited in CPFF 323 above from OOCL’s annual reports demonstrates that OOCL in fact brought additional capacity online in 2020 and 2021. OOCL has moved to strike John McCown as an expert in this case. His opinions about the purported movement of space from BCO to NVO contracts is supposition. Lars Jensen testified that OOCL did not systematically make a major change between BCOs and NVOs. RPFF 172. During the pandemic, as a percentage of its space, OOCL allocated more of its available space to BCOs than it did to NVOs. RPFF 224-227. Container freight rates rose during the pandemic due to a reduction in available capacity created by consumer demand, shippers flooding the market with millions of loaded containers, and the concomitant port congestion that developed, which restricted vessel utilization. The FMC has recognized the impact that the pandemic had on both container vessel capacity and freight rates. RPFF 93.

334. OOCL’s practice of chartering out vessels at the same time as it knew it was failing to honor its service commitments to its service contract customers, such as BBY, was inconsistent with industry practice and unreasonable. *See* Ex. 381 (McCown Report) ¶ 104 (“In my opinion, it is inconsistent with reasonable industry practices for a carrier to choose to maximize profits by chartering out its vessels while systematically failing to honor its service commitments to customers. What it is consistent with, however, is a systematic scheme to ratchet up pricing by shifting BBY and other BCOs away from rates committed under service contracts towards spot market pricing. In whatever manner that is accomplished, it is an unreasonable practice outside of industry norms.”) [APP-3777].

RESPONSE: OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY’s assessment of OOCL’s purported shortfall is bogus. See RPFF 550 to 575. OOCL has moved to strike John McCown as an expert in this case. His “facts” about OOCL chartering out space are based on supposition as to when such space was chartered out. As Lars Jensen pointed out during his deposition, it made sense to charter vessels out of the market in early 2020 when demand plummeted, but carriers were in a “mad scramble” for additional vessels when demand spiked. APP 1086-1087 (Lars Jensen Tr. at 361:19-363:14). The data cited in CPFF 323 above from OOCL’s annual reports demonstrates that OOCL in fact brought additional capacity online in 2020 and 2021.

5. BBY made *bona fide* and significant efforts to mitigate OOCL’s MQC shortfalls and premium/PSS Charges. **Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY’s assessment of OOCL’s purported shortfall is bogus. See RPFF 550 to 575.**

335. BBY sought to enter into service contracts covering 100% of its anticipated needs for the year. *See* Hackett Dep. Tr. 234:23-235:15 (“To your knowledge, when Bed Bath & Beyond

negotiated its service contracts for an upcoming year with its carriers, was it Bed Bath & Beyond's practice to contract for only the space that it anticipated needing in that upcoming shipping year?

A. In totality? Q. Yes. A. Yes we would look at what we had and divide it up, like four or five type of carriers, yes. Q. Understood. So when you took the combined MQC between all of the carriers with which Bed Bath entered into a service contract for that upcoming shipping year, that combined MQC would be Bed Bath & Beyond's anticipated shipping needs for that year, correct?

A. Correct. Yes.") [APP-872]; Klosowsky Dep. Tr. 239:12-16 ("Q. So Bed Bath's practice was to contract for only what it needed? . . . A. Correct.") [APP-1296]; Pastor Dep. Tr. 44:2-12 ("How does Bed Bath determine its annual MQC-- it's minimum quantity commitment needs? A. Just Bed Bath. Okay. So we -- the -- we would, for the most part just project out what we thought we were going to do for the upcoming season based off of what they were ordering; and then based off of that, determine what our overall MQC we felt that we would need for the upcoming contract season."), 98:10-14 ([O]ur goal is to contract out what we're projecting in that upcoming year, and then contract that out within the MQCs that we did with our ocean carriers.") [APP-1940]; Ex. 381 (McCown Report) ¶ 43 ("BBBY sought to enter into service contracts covering 100% of its anticipated needs for the year—no more, and no less. In my opinion, it was reasonable for BBBY to expect that OOCL would honor its service commitment.") (internal citation omitted)[APP-3763].

RESPONSE: Denied. BBBY's Paul Pastor testified BBBY moved cargo on extra loaders during the peak seasons of both service contract years because it shipped more than its total MQC:

Q. Okay. And those extra loaders were brought on during the pandemic to carry extra cargo beyond that contracted for in the original service contracts; correct?

MR. RUSHING: Objection. Form. Objection. Vague.

A. We sourced or moved some cargo on extra loaders, yes.

Q. And the purpose was that -- so that you could bring in additional cargo beyond that which was originally contracted for in the spring of each of those years, correct?

A. Well, the objective was to move it on the ocean carriers' contract based on the MQC. But MQC divided by 52 doesn't normally address peak seasons.

Q. So did you bring in more containers during those service -- those two years -- 2020/21 and 2021/2022 -- than you had contracted for in the spring of each of those years with the various ocean carriers?

MR. RUSHING: Objection. Form.

A. Yes. Senior management contracted out to work with -- you know, to bring in cargo on extra loaders or charter vessels.

Q. Beyond that which had been contracted for in the service contracts in the spring of each of those years; correct?

MR. RUSHING: Objection. Form.

A. Based -- our goal is to contract out what we're projecting in that upcoming year, and then contract that out within the MQCs that we did with out ocean carriers.

Q. I understand what the objective is. But isn't it true that you ended up shipping so much more volume that you needed to have extra capacity during the pandemic years? Correct?

MR. RUSHING: Objection to form. Mr. Pastor, you can answer, if you understand.

A. Okay. Did we add some extra volume? I'm sure we did have some extra volume. But what percentage is against the MQC, I couldn't tell you right now.

APP-1953-54 (Pastor Tr. 96:23-99:6).

336. OOCL knew BBY intended to fulfill the MQC in its Service Contracts. See Ex. 24 at 5 [REDACTED] [APP-2986]; Chen Dep. Tr. 271:5-11 ("Q. Then he writes, 'BBB[Y] has outwardly declared to us their desire to fulfill their contract MQC.' A. Uh-huh. Yes. Q. To your knowledge, was that statement correct as of this time? A. Correct. Yeah. Correct.") [APP-219].

RESPONSE: OOCL denies the proposition in the first sentence above. That may been what the emailers thought at the time, but the data demonstrates that BBY did not meet its MQC container tender service commitments in either the 2020 or 2021 service contract year. See RPFF 576 to 618. A

337. BBY complied with its obligations under the Service Contracts. *Supra* ¶ 129.

RESPONSE: Denied. See RPFF 576 to 618. APP 3039-3040 (Ex. 39).

338. OOCL failed to meet its service commitments to BBY under the Service Contracts.

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575.

339. During the 2020 Service Contract year, during which OOCL fell short of its service commitments to BBY by 624.15 FEUs, BBY had to undertake using NVOs or ocean freight forwarders on lanes that were supposed to be covered by OOCL's 2020 Service Contract. *See* P-0000801023 [APP-4418]; Dep. Ex. 328 [APP-3357]; Dep. Ex. 329 [APP-3358]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809].

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575; APP 3039-3040 (Ex. 39). OOCL has moved to strike John McCown as an expert witness in this case. As for Appendices A1 through A4, McCown testified that he did not prepare them, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. RPFF 563-564.

340. During the 2021 Service Contract year, during which OOCL fell short of its service commitments to BBY by 1,363.26 FEUs, BBY had to undertake using NVOs or ocean freight forwarders on lanes that were supposed to be covered by OOCL's 2021 Service Contract. *See* P-0000801023 [APP-4418]; Dep. Ex. 328 [APP-3357]; Kestin Dep. Ex. 329 [APP-3358]; Ex. 381 (McCown Report Appendices B-1 through B-4) [APP-3810-3844].

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575; APP 3039-3040 (Ex. 39). OOCL has moved to strike John McCown as an expert witness in this case. As for Appendices B1 through BA4, McCown testified that he did not prepare them, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. RPFF 563-564.

341. During the relevant time period in this case, BBY chartered two vessels at "two to three times the normal rate" simply to get the shipping space it should have received under the Service Contracts. *See* Klosowsky Dep. Tr. 177:12-178:5 ("Q. Mr. Klosowsky, in August of 2021, do you recall that Bed Bath chartered two vessels to carry its goods? A. I recall chartering two vessels. I don't recall the dates exactly. Q. Okay. Do you recall how much cargo, how many

containers they carry? A. I know it was a lot. Maybe over a hundred. I don't recall exactly how many. Q. Do you recall the rate that you paid for that vessel charter? A. I do not, but I remember - I do recall it being maybe on the order of 4 at least two to three times more than a normal rate, at least.") [APP-1280-1281]; Hackett Depo. Tr. 138: 6-13 ("Q. And did you also charter two vessels in terms of adding additional capacity? A. Yeah. With, I think it was, Sparks Logistics, I think, was the name, and we did move -- I can't remember the exact number, but I want to say it was probably at least 200, at least, FEUs on both of those."), 236:23-237:4 ("[H]istorically, whatever we awarded to carriers, typically, they were moving. I mean, we never really -- in all the years that I was there, it wasn't until kind of the COVID years that we had to move outside of our contracted carriers and use NVOs or, you know, charters, which is extreme.") [APP-872]; Ex. 381 (McCown Report) ¶ 124 ("As a result of this discrimination, BBY was forced to make Herculean efforts simply to get goods in stores. At one point, BBY took the unprecedented step of chartering two vessels on its own, at 'two to three times the normal rate' because of the pressing need for space.") (citing the Klosowsky Dep. 177:24-178:5) [APP-1280-1281].

RESPONSE: OOCL admits that BBY chartered two vessels to carry approximately 400 TEUs in the August-September 2021 time frame and did so at the time that its warehouses in Southern California were full. RPFF 38. At this same time, BBY also used OOCL's secondary contract to transport another 590 containers (RPFF 38), thereby compounding the marine terminal congestion because BBY could not move those containers to their full warehouses. RPFF 506. OOCL has moved to strike John McCown as an expert witness in this case. Container freight rates rose during the pandemic due to a reduction in available capacity created by consumer demand, shippers flooding the market with millions of loaded containers, and the concomitant port congestion that developed, which restricted vessel utilization. The FMC has recognized the impact that the pandemic had on both container vessel capacity and freight rates. RPFF 93. OOCL did not discriminate against BBY.

342. In August 2021, BBY arranged to ship approximately 220 FEUs from Yantian to Los Angeles/Long Beach via a charter service. See P-0000296588 (-2966589) ("Pat, [please] find the final PO list on this charter, total 222 FEU (including the extra 22 FEU).") [APP-4397].

RESPONSE: OOCL admits that BBY chartered two vessels to carry approximately 400 TEUs in the August-September 2021 time frame and did so at the time that its warehouses in Southern California were full. RPFF 38. At this same time, BBY also used OOCL's secondary contract to transport another 590 containers (RPFF 38), thereby compounding the marine terminal congestion because BBY could not move those containers to their full warehouses. RPFF 506. OOCL has moved to strike John McCown as an expert witness in this case. Container freight rates rose during the pandemic due to a reduction in available capacity created by consumer demand, shippers flooding the market with millions of loaded containers, and the concomitant port congestion that developed, which restricted vessel utilization. The FMC has recognized the impact that the pandemic had on both container vessel capacity and freight rates. RPFF 93. OOCL did not discriminate against BBY.

343. For the August shipment of approximately 220 FEUs via the charter service, BBY incurred additional inland transportation costs to expedite the cargo. See P-0000296588 (-296601)

(BBBY wrote to Yusen, “Do everything you can to confirm/move as many of the 34 FEU[]s in the 1st priority ‘Checking’ category, even if BBB[Y] needs to pay for any incremental inland transportation costs. Ideally, we’d still like our vendors to cover 50-100% of these incremental costs but I don’t want that to be a deterrent from moving these high priority PO[]s”). [APP-4409].

RESPONSE: Denied. No evidence has been produced of the alleged additional inland transportation costs incurred and paid.

344. For the August shipment of approximately 220 FEUs via the charter service, BBBY paid \$1.5 million upfront to secure necessary space it should have received under its Service Contracts with OOCL. See P-0000296588 (-296601) (BBBY wrote to Yusen, “As we’ve previously discussed, these SO releases are the trigger for me to approve payment of Sparx’s initial payment of \$1.5M that must occur on Monday 7/19.”) [APP-4409].

RESPONSE: Denied that these additional charters were necessitated by anything that OOCL did. To the contrary, OOCL met its service contract commitments to BBBY. See RPFF 576 to 618. BBBY’s assessment of OOCL’s purported shortfall is bogus. See RPFF 550 to 575

345. Further, during the relevant time period in this case, BBBY made extracontractual concessions such as paying PSS and entering into premium contracts before OOCL would perform under its existing service contracts. *Supra* FOF.Arg.I.D.2.

RESPONSE: Denied. All amendments to the service contracts were signed by BBBY and OOCL. There exists no evidence in the record that BBBY’s signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 634. There is no evidence in the record that OOCL charged a freight rate to BBBY that was not filed with the FMC. Thus, all of OOCL’s freight rates were within contract, not extra-contractual.

346. During the relevant time period in this case, BBBY had no choice but to agree to OOCL’s exploitative PSS pricing in order to put products on BBBY’s shelves and stay in business. *See* Hackett Dep. Tr. 37:10-38:2 (“Q. [W]as it your understanding that that was a separate contract commitment for additional space over and above what OOCL was obligated to provide in terms of space protection under the service contract? . . . A. Yeah. I would agree that it was a different contract. It had a different contract number. I would – I wouldn’t necessarily agree that it was for incremental space above and beyond. To me, and the way that, quite candidly, I think it got presented, it was like, if you want to get any space, you’re going to need to sign these premium contracts and move these goods under these premium rates; otherwise, you’re not going to get space on the vessel.”), 144:2-14 (“A. One was they were coming to us with peak season surcharge and they were saying, listen yeah, I know we have a contract, but if you want to get on a vessel, you’re going to have to agree to these peak season surcharges. So, candidly, our hand was kind of forced, as it was with other importers because it was a global phenomenon. And, so yeah, we did agree to them. Keeping in mind that we are a retailer, right? If we don’t have product on the shelves, we don’t have business.”) [APP-822; APP-849].

RESPONSE: Denied. All amendments to the service contracts were signed by BBY and OOCL. There exists no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. RPFF 634. There is no evidence in the record that OOCL charged a freight rate to BBY that was not filed with the FMC. Thus, all of OOCL's freight rates were within contract, not extra-contractual. Patrick Hackett's testimony above is no more than revisionist history. For example, as to executing Amendments 8 to the 2020 service contract he wrote an email to Jim Mitchell at OOCL about extra loaders proposed by OOCL. He wrote:

“Jim....yes, we accept and thank you for the below space on these extra loaders. I'm cc'ing Laurie and Pacy from Yusen so we're all on the same page. If possible, can you just add the below rates into the amendment you just sent me this morning and resend to me and Paul later today/Monday so he can validate and then route for internal review/approval on Monday when he's back from vacation? If not, then just create/send us another amendment just for these rates. Thanks.”

RX-001150-1154 (OOCL_0000049048).

Regarding Amendment 7 to the 2020 service contract, he wrote sent Jim Mitchell an email that said: “Jim, I approve, so please file. Paul will send you a signed copy ASAP. Thanks.” APP 1183 (Kastin Tr. at 167:10-168:15).

E. Count I, Element 5: OOCL's practices and regulations are the proximate cause of the losses claimed by BBY. Denied.

347. OOCL's practices and regulations are the proximate cause of the losses claimed by BBY under Count I. *Infra* COL.I.E.

RESPONSE: Denied. OOCL met its service contract commitments to BBY. See RPFF 576 to 618. BBY's assessment of OOCL's purported shortfall is bogus. See RPFF 550 to 575; APP 3039-3040 (Ex. 39). OOCL has provided ample evidence demonstrating that it was BBY's own supply chain management problems that caused it to experience such delays. RPFF 30 to 35, 37, 38, 276, 279 to 284, 288, 289, 506 to 515.

BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States with no available warehouse space. RPFF 514; APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who “were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it.”). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time, again when its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161-24); RX-000979-996 (Ex. 201).

BBBY also increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBBY had a practice of “holdbacks,” that is, leaving containers at its warehouses containing goods that were not needed at BBBY stores, or were part of a particular season, or an exclusive line. RPF 37.

BBBY had more holdbacks during the two shipping years at issue than prior to the pandemic. RPF 512. BBBY’s Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

RPF 512. Seweryn Soban, BBBY’s former Customs Compliance manager, testified that “merchandise that was not needed at the time it arrived” caused the lack of space in BBBY’s distribution centers. APP 2488 (Seweryn Soban Tr. at 231:8-14).

All of the foregoing was in addition to BBBY’s “self-inflicted disruptions” caused by its inability to forecast and anticipate customer purchasing patterns, altering its traditional inventory and substituting BBBY brand-name products (for recognized national brands) that nobody wanted and did not buy, firing its CEO, buying back its stock, and failing to meet its debt service commitments leading to its eventual liquidation. RPF 30, 32, 482, 513, 705, 727.

II. Count II (“Unjust and unreasonable assessment of Detention and Demurrage Charges”): OOCL’s Policy of Imposing Unreasonable Detention & Demurrage Charges Constitutes A Violation of 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5. Denied.

A. Count II, Element 1: OOCL is an ocean common carrier.

343. OOCL is an ocean common carrier.

RESPONSE: Admitted.

343.1. This element has been established. *Supra* ¶ 11.

RESPONSE: Admitted.

343.2. This element is undisputed.

RESPONSE: Admitted.

- a. **Count II, Element 2: OOCL's policies and practices of imposing unreasonable detention and demurrage charges occurred on a normal, customary, and continuous basis. Denied.**

344. OOCL's acts or omissions in violation of 46 U.S.C. § 41102(c) & 46 C.F.R. § 545.5 occurred on a normal, customary, and continuous basis.

RESPONSE: Denied. OOCL confirmed that the marine terminals were open on each occasion that charges were assessed and issued daily broadcasts of that information along with terminal requirements for pickup of loaded containers and return of empty containers in the Southern California area. Appointments for pickup or redelivery of containers were not required in other parts of the United States. OOCL had a DD Team standing by to assist customers with any questions, complaints or concerns. RPFF 486-95.

During the two shipping years at issue, BBY submitted two complaints to OOCL's DD Team, and in each case the DD Team resolved the issue. RPFF 501. Otherwise, for the thousand plus containers about which BBY only now complains were assessed excessive DD charges, no contemporaneous evidence exists supporting a conclusion that BBY or its drayage carriers failed to pick up or redeliver the containers because of: terminal congestion; lack of appointments; dual exchange requirements; lack of chassis; lack of trucks or drivers; lack of rail cars or service; or because containers were buried in container stacks at a marine terminal. RPFF 496, 499, 500. BBY did not submit any evidence to OOCL showing why the charges were unreasonable because they did not incentivize BBY's prompt action and did not thereby promote freight fluidity. *Id.* RPFF 496-98. In other words, no data exists to support BBY's claim the DD charges were unreasonable.

Further, the rate levels for demurrage and detention charged by OOCL were competitive with its peers in the market. RPFF 781, 782, 784.

344.1. This element has been established. *Infra* FOF.Arg.II.D.1-3.

RESPONSE: Denied. OOCL confirmed that the marine terminals were open on each occasion that charges were assessed and issued daily broadcasts of that information along with terminal requirements for pickup of loaded containers and return of empty containers in the Southern California area. Appointments for pickup or redelivery of containers were not required in other parts of the United States. OOCL had a DD Team standing by to assist customers with any questions, complaints or concerns. RPFF 486-95.

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drivers; lack of rail cars or service; or because containers were buried in container stacks at a marine terminal. RPFF 496, 499, 500. BBY did not submit any evidence to OOCL showing why the charges were unreasonable because they did not incentivize BBY's prompt action and did not thereby promote freight fluidity. *Id.* RPFF 496-98. In other words, no data exists to support BBY's claim the DD charges were unreasonable.

Further, the rate levels for demurrage and detention charged by OOCL were competitive with its peers in the market. RPFF 781, 782, 784.

344.2. This element is undisputed

RESPONSE: Denied. OOCL confirmed that the marine terminals were open on each occasion that charges were assessed and issued daily broadcasts of that information along with terminal requirements for pickup of loaded containers and return of empty containers in the Southern California area. Appointments for pickup or redelivery of containers were not required in other parts of the United States. OOCL had a DD Team standing by to assist customers with any questions, complaints or concerns. RPFF 486-95.

During the two shipping years at issue, BBY submitted two complaints to OOCL's DD Team, and in each case the DD Team resolved the issue. RPFF 501. Otherwise, for the thousand plus containers about which BBY only now complains were assessed excessive DD charges, no contemporaneous evidence exists supporting a conclusion that BBY or its drayage carriers failed to pick up or redeliver the containers because of: terminal congestion; lack of appointments; dual exchange requirements; lack of chassis; lack of trucks or drivers; lack of rail cars or service; or because containers were buried in container stacks at a marine terminal. RPFF 496, 499, 500. BBY did not submit any evidence to OOCL showing why the charges were unreasonable because they did not incentivize BBY's prompt action and did not thereby promote freight fluidity. *Id.* RPFF 496-98. In other words, no data exists to support BBY's claim the DD charges were unreasonable.

In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBY never provided. RPFF 500.

Further, the rate levels for demurrage and detention charged by OOCL were competitive with its peers in the market. RPFF 781, 782, 784.

345. Between 2020 and 2022, \$1,784,164.88 in demurrage charges ("Demurrage Charges") were assessed for BBY shipments moving under OOCL terms. *See* Ex. 381 (McCown Report Appendix C) [APP-3845-3928]; Ex. 329 (P-0000353819) [APP-3358]; Ex. 381 (McCown Report) ¶ 185 ("Accordingly, it is my opinion that the \$1,784,164.88 in demurrage charges and \$6,036,612.95

in detention charges referenced in the Complaint were unreasonable in light of the circumstances”) [APP-3792].

RESPONSE: Admitted that demurrage charges in the above amount were assessed. But denied that they were unreasonable. OOCL has moved to strike John McCown as an expert in this case. He testified that he had no information relating to all of the containers in Appendix C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL’s Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491-1492 (John McCown Tr. at 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (John McCown Tr. at 224:14-22).

346. Between 2020 and 2022, \$6,306,612.95 in detention charges (“Detention Charges” and, together with Detention Charges, the “Detention and Demurrage Charges” or “D&D Charges”) were assessed for BBY shipments moving under OOCL terms. *See* Ex. 381 (McCown Report Appendix C) [APP-3845-3928]; Ex. 329 (P-0000353819) [APP-3358]; Ex. 381 (McCown Report) ¶ 185 (“Accordingly, it is my opinion that the \$1,784,164.88 in demurrage charges and \$6,036,612.95 in detention charges referenced in the Complaint were unreasonable in light of the circumstances”) [APP-3792].

RESPONSE: Admitted that detention charges in the above amount were assessed. But denied that they were unreasonable. OOCL has moved to strike John McCown as an expert in this case. He testified that he had no information relating to all of the containers in Appendix C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL’s Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491-1492 (John McCown Tr. at 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (John McCown Tr. at 224:14-22).

- C. Count II, Element 3: OOCL’s policies and practices of assessing unreasonable detention and demurrage charges relate to and are connected with receiving, handling, storing, or delivering property.

347. OOCL's practices and regulations as to the D&D Charges relate to or are connected with receiving, handling, storing, or delivering property.

RESPONSE: Admitted.

347.1. This element has been established. *Infra* FOF.Arg.II.C.

RESPONSE: Admitted.

347.2. This element is undisputed.

RESPONSE: Admitted.

D. Count II, Element 4: OOCL's policies and practices of assessing unreasonable detention and demurrage charges against BBY are unjust or unreasonable. Denied.

348. The Detention & Demurrage Charges OOCL assessed against BBY are unjust and unreasonable because such Charges were based on rates that are unjustified as a means of compensating OOCL for its direct or opportunity costs, the Charges were assessed during a period of severe port congestion in light of the COVID-19 pandemic when such Charges could not incentivize the movement of BBY's cargo, and BBY did all it could to mitigate the Charges.

RESPONSE: Denied. The rate levels for demurrage and detention charged by OOCL were competitive with its peers in the market. RPFF 781, 782, 784. The DD charges created an incentive to move containers. In the spring of 2022, when BBY's Vice President of Global transportation Reid Klosowsky finally realized the cost of accumulated demurrage charges at marine terminals for long-dwelling containers, he mandated that an action plan be immediately developed to move them. RPFF 533. In an email dated April 19, 2022, he wrote:

Reade/Paul - Do you have a schedule of the Demurrage fees and their escalation rates by Terminal? This demurrage schedule from GCT in Bayonne below blew my "ever-loving" mind just now when Hayden shared their schedule. Dejuan/Hayden - We need a game plan from you to get every container older than 9 days offport today. Now I understand why the demurrage is running \$2M a week. The scale from these terminals goes berserk after 10 days! God help us all!").

This is a clear demonstration of the incentive principle in practice.

BBY did not do everything that it could to minimize demurrage and detention charges. BBY could have submitted explanations or evidence to OOCL as to why BBY was not responsible for such charges. BBY never did. BBY's Reid Klosowsky admitted that it was BBY's burden of proof. RPFF 497.

OOCL has provided ample evidence demonstrating that it was BBY's own supply chain management problems that caused it to experience such delays. RPFF 30 to 35, 37, 38, 276,

279 to 284, 288, 289, 506 to 515. BBY could have stopped shipping huge volumes of containers to the United States when its warehouse were full.

BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States with no available warehouse space. RPFF 514; APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time, again when its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161-24); RX-000979-996 (Ex. 201).

BBY also increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBY had a practice of "holdbacks," that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. RPFF 37.

BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. RPFF 512. BBY's Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

RPFF 512. Seweryn Soban, BBY's former Customs Compliance manager, testified that "merchandise that was not needed at the time it arrived" caused the lack of space in BBY's distribution centers. APP 2488 (Seweryn Soban Tr. at 231:8-14).

All of the foregoing was in addition to BBY's "self-inflicted disruptions" caused by its inability to forecast and anticipate customer purchasing patterns, altering its traditional inventory and substituting BBY brand-name products (for recognized national brands) that nobody wanted and did not buy, firing its CEO, buying back its stock, and failing to meet its debt service commitments leading to its eventual liquidation. RPFF 30, 32, 482, 513, 705, 727.

Further, ocean carriers suffered significant lost opportunity costs by the failure of shippers to return containers during the pandemic. lost opportunity cost of not having containers available during the pandemic resulted in a significant lost opportunity cost to ocean carriers. Dr. Lars Jensen testified:

Q So when you were talking about lost opportunity cost, what lost opportunity cost were incurred by the ocean carriers during this time?

A The lost-opportunity cost the carriers would have in mind was the risk that, if the container was not redelivered delivered on time, it would not make it out to Asia in time, and they might be in a situation where they did not have an empty container available for a customer at a point where going freight rates were 10 to 15,000 dollars.

This was a risk assessment based by the carriers because it would be based on a forecast of how many empty containers would you need at a specific depot in a specific city, typically, two months into the future?

APP 1036 (Lars Jensen Tr. at 359:16 to 360:10).

349. Appendix C of the McCown Report reflects payments made by BBY for D&D Charges charged by OOCL for OOCL shipments. *See* Ex. 381 (McCown Report Appendix C) [APP-3845-3928]; [REDACTED]

RESPONSE: Admitted that Appendix C lists DD charges assessed by OOCL to BBY for the carriage of containers containing BBY's cargo. OOCL has moved to strike John McCown as an expert witness in this case. McCown admitted that he had no information relating to all of the containers in Appendix C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL's Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491-1492 (John McCown Tr. at 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (John McCown Tr. at 224:14-22).

Exhibit 329 are charges relating to multiple ocean carriers, not just OOCL. As far as Exhibit 329 is concerned, was produced by BBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBY. APP-3358 (Ex. 329, bates-stamped P-353819). However, BBY's former general counsel David Kastin admitted he did not independently verify the information in the spreadsheet and testified:

Q And you would agree with me that none of the headings make reference to booking denials or refusals to carry, correct?

MR. REYNOLDS: Object to form.

You can answer.

A Those words are not on the column headings, correct.

Q Okay.

And do you see any text in the spreadsheet that refers to booking denials or refusals to carry?

A Those words are not used in the Excel spreadsheet.

Q Do you know what this spreadsheet is?

A A spreadsheet.

Q Yes. But what is it? What does it reflect?

A A lot of information about carriers and customer numbers and invoice numbers and bills of lading. It's the information under the headings.

Q Do you know who prepared it?

A I do not know what individual prepared it. I assume it came from Huth Reynolds, but I do not know.

...

Q. Okay.

But from your perusal of the document, you cannot identify any containers concerning which OOCL allegedly denied a booking or refused to carry, correct?

MR. REYNOLDS: Object to form.

You can answer.

A Those words are not used on this

document.

APP-1150-51 (Kastin Tr. 35:14-36:16; 38:10-18). David Kastin verified the truth of BBBY's discovery response when it produced this document, yet it is evident he had no knowledge of its content. The lack of authentication and absence of any logical connection to OOCL renders this spreadsheet of no value to the Presiding Officer and lends no support to BBBY's claim

1. OOCL's unreasonable detention and demurrage rates are unjustified as a means of compensating OOCL's direct or opportunity costs associated with container movement. **Denied.**

350. The Detention & Demurrage Charges OOCL assessed against BBBY were based on rates that are unjustified as a means of compensating OOCL for its direct or opportunity costs.

RESPONSE: Denied. The rate levels for demurrage and detention charged by OOCL were competitive with its peers in the market. RPFF 781, 782, 784. The DD charges created an incentive to move containers. In the spring of 2022, when BBBY's Vice President of Global transportation Reid Klosowsky finally realized the cost of accumulated demurrage charges at marine terminals for long-dwelling containers, he mandated that an action plan be immediately developed to move them. RPFF 533. In an email dated April 19, 2022, he wrote:

Reade/Paul - Do you have a schedule of the Demurrage fees and their escalation rates by Terminal? This demurrage schedule from GCT in Bayonne below blew my "ever-loving" mind just now when Hayden shared their schedule. Dejuan/Hayden - We need a game plan from you to get every container older than 9 days offport today. Now I understand why the demurrage is running \$2M a week. The scale from these terminals goes berserk after 10 days! God help us all!").

This is a clear demonstration of the incentive principle in practice.

Further, OOCL's DD charges need to be competitive with its peer competitors' rates. If lower than market, shippers have an incentive to use OOCL's containers as storage.

351. Prior to the pandemic, detention and demurrage charges were anomalies and were seen by carriers more as a minor item rather than as a driver of revenue. *See* Porter Dep. Tr. 126:10-22 ("[Q.] you were not able to do what you did pre-pandemic in terms of evaluating the demurrage and detention charges; correct? . . . THE WITNESS: There was a lot of things I was not able to do pre-pandemic post-pandemic. Just, you know -- but like I had said earlier, per diem and demurrage were anomalies. So when you are talking about one off, of course it's easy to verify. But when you have this much, it takes more time. And I did have people to help me validate ingate and outgate. I never validated computations pre-pandemic or post-pandemic.") [APP-2151]; McCown Dep. Tr. 25:17-23 ("My sense is that all of the other carriers at the time viewed demurrage and detention the same way that U.S. Lines did. You know, it was a minor item, not often billed. And then when it was billed, it was often something that would be negotiated."), 32:20-33:19 ("And so the instance of demurrage and

detention all came about there. It was -- even with that, it was -- wasn't too often.") [APP-1442; APP-1444].

RESPONSE: OOCL denies the proposition in the first sentence above. BBY's Melinda Porter transcript cite above does not support the proposition stated. She was speaking about the time it took to address the volume of charges relating to container delays, not whether they were a minor item rather than a driver of revenue. OOCL has moved to strike John McCown as an expert witness in this case. His basis for assessing whether OOCL's DD charges were reasonable was to compare them to his dated experience working with ocean container barge carrier [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

352. OOCL, including its senior employees and Hong Kong management team, is well aware that the incentive principle, as a means of promoting freight fluidity, acts as the FMC's primary guideline for determining when detention and demurrage charges are reasonable to assess on shipping customers, such as OOCL. *See* Young Dep. Tr. 98:21-99:25 ("Q. And once you've made your determination as to your -- how to interpret a given rule, how would you -- would you communicate that interpretation throughout elsewhere in OOCL? A. Yeah. Any area, obviously, that's involved in traffic to or from the United States is subject to the FMC regulations. So, yes, we would communicate with Europe and we would communicate with Asia to say, hey, this rule means this is what you need to do. And we did do presentations and meetings with other offices just so that they would be clear and understood how to interpret those rules. Q. And would these communications include folks at OOCL's Hong Kong offices? A. Yes, they did. Q. And would those folks include executive management? A. We also communicated with the management team in Hong Kong on -- but we also did separate presentations to the CSU and the frontline teams because they're the ones that would implement the rule. But, yes, we also did communicate to management in Hong Kong, this is what this rule is going to do, what it intends to do, what it's -- how it's interpreted, and then we would communicate with all the teams to let them know what needs to be done."), 104:20-25 ("But that's what we tried to say to them. There has to be an incentive. If the customer cannot pick up his container or he cannot return his container, there's no incentive, and so cannot charge demurrage charges.") [APP-2849]; *see also* Sha Dep. Tr. 68:21- 71:23 ("So the analysis that you were just describing to determine whether a charge is under the customer's control or OOCL's control, did that analysis ever take place before the charge was actually issued? A. Yes, that analysis is also taken before the charge is issued. Q: So what kind of review is undertaken before the charge is issued? A. Yes. For example, on the export side, if a container is already returned and intended to load it onto a port vessel, but then that vessel schedule has a delay which resulted to the container has to sit in the container -- sit at the terminal for few more days, then in that situation we will extended the free time or we will mitigate the charge amount our system is calculated because we know the container is returned, and the schedule delay or change happened after that is not customer's responsibility or it is outside the customer's control. So we will review those case scenarios, adjusted the free time. If there is charge remained, then we will issue the remaining charge, yeah. Q....[I]n what instances is a customer deemed to have been in control of the circumstances that led to a charge? A. There could be different scenarios talking about customer in control versus they're not in control. For example, if customer need find truck power, then that's their responsibility for a merchant move, right? And, for example, customer need to make sure in an original bill situation, they need a return to OBL back to OOCL in an inbound side, then we can release the cargo, then it is customer's responsibility to make sure they have the OBL returned to OOCL first. Or say customer, they need to clear customs, make the customs clearance at the import side, then they need to completed that, then we can release the cargo in line with the customs rules. So those are some of the examples, typical examples, customer need to complete or fulfill their duties. If they have a delay in complete that and the demurrage charge or detention charge is accruing, then those charge are deemed valid, and the D&D charge calculated serve its incentive purpose as the customer is supposed to have a schedule, finish that, then they can

pick up the container, otherwise they also know that the D&D charge will incur and be calculated.”) [APP-2314-2315]; Murdoch Dep. Tr. 128:3-16 (“Q What is your understanding of the FMC’s incentive principle? A The incentive principle is -- encourages the customers to pick up and return equipment within free time, but if there are extenuating circumstances that might prohibit them from doing that, then the carriers may take some action to mitigate the charges. So, in other words, something that would be evidence provided showing that it’s a -- something was beyond the customer’s control, then we can issue them a credit.”), 204:6-18 (“Q What is the FMC Final Rule being referred to there, to your knowledge? A Basically, referring to that we cannot be invoicing D&D to a customer if the circumstances are beyond the customer’s control. That’s what he’s saying. Q And is what Mr. Young is saying in that email there that I just read consistent with your understanding of OOCL’s policy with regard to detention and demurrage at this time? A Yes.”) [APP-1833; APP-1852], Dep. Ex. 9 at -55984 (“Have we even evaluated the DD billed as correct . . . They seem to imply [. . .] that they were not responsible for delays in Pick up – or MT return to our facility...If this is the case and can be validated – the DD should not be billed – per the FMC Final Rule...” [APP-5126]; Dep. Ex. 186 at -65416 (internal draft OOCL response to a complaint letter from BBY claiming that OOCL “do[es] apply mitigation to incurred DD charges where these charges were incurred due to situations that were outside the customers control”, that OOCL “will waive detention and demurrage charges where situations beyond our customer’s control impact their ability to pick up and/or return containers within the allocated free time”, of which “[e]xamples may include terminal congestion, closed areas, appointment limitations and changes with our vessel schedules”, and “[w]here issues impact the ability to pick up laden units or to return empty containers, based on extenuating situations that prevent to collection or return of equipment within the free time, [OOCL] will adjust any potential DD charges for the period that this was not enabled through no fault of the customer”) [APP-5131].

RESPONSE: Denied that the incentive principle is the primary means of assessing the reasonableness of DD charges. The DC Circuit TCW v. Evergreen case, and the recent TCW decision by the FMC demonstrate that the reasonableness of such charges must be evaluate on a case-by-case basis. Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL’s charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24). Further, OOCL had a comprehensive DD review and dispute resolution process in place. RPF 486 to 495.

BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

None of the cited testimony supports the conclusion that “OOCL employees considered OOCL’s conduct to be retaliation.” Instead, the OOCL employees quoted by Complainant discuss worries about “BBY’s perce[ption]” of retaliation. Moreover, Complainant truncates

OOCL employee Mike Young’s quote, who wrote on February 16, 2022, that, “[BBBY] seem[s] to imply – *but have not provided evidence to qualify*, that they were not responsible for delays in Pick up.” [APP-5126].

353. Table 11 of the Expert Report of John D. McCown accurately describes OOCL’s per diem detention and demurrage rates as of August 17, 2023. *See* Ex. 381 (McCown Report) ¶ 130 (Table 11) [APP-3781-3782].

RESPONSE: Admitted. OOCL’s rates were within market and lower than three of its peer competitors. RPFF 781, 782.

354. As of August 17, 2023, OOCL’s per diem detention and demurrage rates are multiples of the direct ownership costs associated with the underlying equipment. *See* Ex. 381 (McCown Report) ¶ 131 (“An initial observation is that the per diem rates are two and even three digit multiples more than the underlying direct ownership cost of a 40’ container that can currently be estimated between \$0.80 to \$1.15 per day. Maintenance costs would add an estimated \$0.45 per day. The resulting multiple is so high relative to the underlying cost of owning and maintaining that container that the only conclusion is that direct cost has little if anything to do with the tariff rate.”) [APP-3782].

RESPONSE: Denied. There is no evidence in this case as to how much OOCL paid for its containers and any attendant debt service or maintenance.

355. As of August 17, 2023, OOCL’s per diem detention and demurrage rates are generally the same regardless of the length of the associated container. *See* Ex. 381 (McCown Report) ¶ 132 (“The per diems are typically the same whatever the length of the container. That is an unusual practice and certainly is not the case with basic container rates that will vary considerably based on container length within the same equipment type.”) [APP-3782].

RESPONSE: OOCL admits that its rates are as set forth in Table 11 of McCown’s report; otherwise denied. OOCL has moved to strike John McCown as an expert in this case. McCown cites to no evidence in support of the proposition set forth in the second sentence above quoted from ¶ 132 of his report.

356. As of August 17, 2023, OOCL’s detention and demurrage per diems are significantly higher than what they were just two decades ago, amounting to “*more than 100 times* the actual daily carrying cost of the containers”. *See* Ex. 381 (McCown Report) ¶¶ 133-37 [APP- 3783-3784].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert in this case. There is no evidence in this case as to how much OOCL paid for its containers and any attendant debt service or maintenance. His basis for assessing whether OOCL’s DD charges were

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Further, if OOCL employed McCown's assessment that DD charges should be no more than container carrying costs, there would be every incentive for shippers to use OOCL's containers as storage as that would be far less than market.

357. As of August 17, 2023, “OOCL’s average U.S. port per diem of \$179 at the initial tier is **61 times** that total overall cost for demurrage situations and **126 times** the overall cost for detention situations”. See Ex. 381 (McCown Report) ¶¶ 141-44 [APP-3784-3786].

RESPONSE: Denied.

358. OOCL’s detention and demurrage rates constitute a practice of assessing detention and demurrage charges in order to drive profit, rather than to promote freight fluidity or for any other reasonable purpose. See Ex. 381 (McCown Report) ¶¶ 131-44 [APP-3782-3786].

RESPONSE: Denied. OOCL’s DD charges, like its peer competitors’ charges, provide an incentive to keep containers moving in commerce. It was not until the Spring of 2022, when BBBY was faced with extreme demurrage costs that had accrued for its large volume of long-dwell containers that BBBY make a concerted effort to evacuate them. RX-000906-973 (Ex. 178, Reid Klosowsky email dated April 19, 2022: “Reade/Paul - Do you have a schedule of the Demurrage fees and their escalation rates by Terminal? This demurrage schedule from GCT in Bayonne below blew my “ever-loving” mind just now when Hayden shared their schedule. Dejuan/Hayden - We need a game plan from you to get every container older than 9 days off port today. Now I understand why the demurrage is running \$2M a week. The scale from these terminals goes berserk after 10 days! God help us all!”). This is a clear demonstration of the incentive principle in practice.

If John McCown’s theory that DD rates should amount to no more than container carrying costs, those containers would still be sitting there used as storage.

Further, during the pandemic there was significant lost opportunity cost attendant with not having OOCL’s equipment available to transport cargo. Ocean carriers suffered significant lost opportunity costs by the failure of shippers to return containers during the pandemic. lost opportunity cost of not having containers available during the pandemic resulted in a significant lost opportunity cost to ocean carriers. Dr. Lars Jensen testified:

Q So when you were talking about lost opportunity cost, what lost opportunity cost were incurred by the ocean carriers during this time?

A The lost-opportunity cost the carriers would have in mind was the risk that, if the container was not redelivered delivered on time, it would not make it out to Asia in time, and they might be in a situation where they did not have an empty container available for a customer at a point where going freight rates were 10 to 15,000 dollars.

This was a risk assessment based

by the carriers because it would be based on a forecast of how many empty containers would you need at a specific depot in a specific city, typically, two months into the future?

RPF 785.

359.

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert in this case. His basis for assessing whether OOCL's DD charges were reasonable was to compare them to his dated experience working with ocean container barge carrier

[REDACTED]

[REDACTED]

Further, if OOCL employed McCown's assessment that DD charges should be no more than container carrying costs, there would be every incentive for shippers to use OOCL's containers as storage as that would be far less than market.

359.1. [REDACTED] was an integrated U.S. flag container carrier that, in addition to owning seven vessels, also owned and operated hundreds of over-the-road tractors and provided a complete integrated service to customers using its own assets. *See* Ex. 381 (McCown Report) ¶ 8 [APP-3756].

RESPONSE: Denied that [REDACTED] serves as a valid benchmark upon which to assess the reasonableness of OOCL's DD charges. [REDACTED]

359.2. [REDACTED]

RESPONSE: Denied that [REDACTED] serves as a valid benchmark upon which to assess the reasonableness of OOCL's DD charges. [REDACTED]

359.3. In a cover article in *American Shipper* in 2006, Trailer Bridge was ranked first in terms of operating income as a percent of revenue in a comparison of more than fifty container shipping companies worldwide for which actual results were known. In that comparison of 2005 annual results, Trailer Bridge's 17.3% margin was slightly above OOCL's margin of 15.9% that had it ranked fourth among all carriers. *See* Ex. 381 (McCown Report) ¶ 11 [APP-3756].

RESPONSE: Denied that [REDACTED] serves as a valid benchmark upon which to assess the reasonableness of OOCL's DD charges. [REDACTED]

360. [REDACTED]

RESPONSE: Denied that [REDACTED] serves as a valid benchmark upon which to assess the reasonableness of OOCL's DD charges. [REDACTED]

361. Detention and demurrage rates assessed solely on the basis of “opportunity cost” are arbitrary. *See* Ex. 381 (McCown Report) ¶ 159 (“The second factor, opportunity costs, appears to be an open-ended explanation that could be anything one needed it to be. Indeed, that factor could be used to justify almost any demurrage level. It is easy to see a carrier making the case that even a one day delay in getting a piece of equipment that somebody else was holding on to would result in losing a load. In that case, the claimed revenue loss could be many more times higher than current per diems, and that was even before rates spiked during the pandemic”) [APP-3788-3789].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert witness in this case. John McCown's “opinion” above is not supported by any data or analysis and amounts to no more than supposition. during the pandemic there was significant lost opportunity cost attendant with not having OOCL's equipment available to transport cargo. Ocean carriers suffered significant lost opportunity costs by the failure of shippers to return containers during the pandemic. Dr. Lars Jensen testified:

Q So when you were talking about lost opportunity cost, what lost opportunity cost were incurred by the ocean carriers during this time?

A The lost-opportunity cost the carriers would have in mind was the risk that, if the container was not redelivered delivered on time, it would not make it out to Asia in time, and they might be in a situation where they did not have an empty container available for a customer at a point where going freight rates were 10 to 15,000 dollars.

This was a risk assessment based by the carriers because it would be based on a forecast of how many empty containers would you need at a specific depot in a specific city, typically, two months into the future?

RPFF 785.

362. During the 2020-2021 and 2021-2022 shipping years, OOCL's container ships were running full in the headhaul lanes. *See* Mitchell Dep. Tr. 178:19-22 (“[Q] During the 2020 and 2021 shipping years, to your knowledge, were OOCL ships running at full capacity? A Yes.”) [APP-1722]; Lam Dep. Tr. 94:21-95:23 (“Q. So Ms. Lam, during the 2020 shipping year what proportion of

OOCL's Trans-Pacific Trade eastbound voyages were sailing full? A. 2020, I cannot recall the individual service name. But, in general, on average we have not reached 100 percent.

Q. So again, for the 2020 shipping year, Trans-Pacific Trade eastbound voyages, would you say that OOCL shipped more than 95 percent of its capacity on those voyages? A. Yeah, I believe so. Q. And for the 2021 shipping year, the same question: What proportion of OOCL's Trans-Pacific Trade eastbound voyages sailed full? A. I don't have the average number for vessels sailed full, but we have the overall average. It's very close to 100 percent. Q. Was that average closer to 100 percent in the 2021 shipping year than it was in the 2020 shipping year? A. 2021 shipping year, yes. But not for 2020 shipping year. Q. But for the 2020 shipping year, you'd agree that Trans-Pacific Trade eastbound voyages were more than 95 percent full? A. Yes, I can agree, in average.") [APP-1362]; Chen Dep. Tr. 126:16-127:10 ("Q Do you have any sense of whether, during the shipping years 2020 and 20201, OOCL's vessels were sailing full, essentially, sailing at full capacity? A. Yeah. I think when we see the demand certainly came, our ships were all full. Q Would you say that OOCL actually used more than 90 percent of its available capacity in the 2020 and 2021 shipping years? A I would believe so. Q Would you say that OOCL used close to 100 percent of its total available capacity in the 2020 and 2021 shipping years? A I would think so; otherwise; they would not try to secure additional capacity from outside."), 241:14-16 ("Q OOCL's vessels during this time period, 2021, were sailing full, correct? A Yes.") [APP-183; APP-211]; Ex. 381 (McCown Report) ¶51 [APP-3765].

RESPONSE: OOCL admits that its vessels were running approximately 95% full in 2020 in the Trans Pacific Trade and close to 100% in 2021.

363. OOCL's detention and demurrage rates assessed during the pandemic are unjustifiable on the basis of opportunity costs. *See* Ex. 381 (McCown Report) ¶ 162 ("Full is full. The opportunity cost argument for enhanced per diem charges therefore does not apply to conditions during the COVID-19 pandemic, when OOCL has admitted it was able to run its ships at full capacity regardless of congestion or delays in container handling") [APP-3789].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert in this case. His supposition is incorrect. Ocean carriers suffered significant lost opportunity costs by the failure of shippers to return containers during the pandemic. Dr. Lars Jensen testified:

Q So when you were talking about lost opportunity cost, what lost opportunity cost were incurred by the ocean carriers during this time?

A The lost-opportunity cost the carriers would have in mind was the risk that, if the container was not redelivered delivered on time, it would not make it out to Asia in time, and they might be in a situation where they did not have an empty container available for a customer

at a point where going freight rates were 10 to 15,000 dollars.

This was a risk assessment based by the carriers because it would be based on a forecast of how many empty containers would you need at a specific depot in a specific city, typically, two months into the future?

RPFF 785.

Based on OOCL's carrying capacity of 781,779 TEUs in 2020, if 5% were filled with containers at a freight rate of \$10,000 per container, OOCL would have generated revenue of \$390,889,500. If only 1% of the space were filled with containers at that rate, the amount would still equate to \$78,177,900. That is a significant lost opportunity cost.

364. Steffen admitted that there are no opportunity costs associated with the detention charges levied by OOCL against BBY at issue in this action. See Steffen Dep. Tr. 210:24-211:22 ("Q You understand that when detention is being accrued the container is offsite, correct? A Yes. Q So when detention is being accrued, there's no opportunity cost arising from the missing space at the terminal facility, right? A I agree with that. Q So, at least, with respect to detention, since there's no opportunity cost associated with space being taken up at the facility, and assuming the ships are able to run full with sufficient containers to support their operations, you haven't identified any opportunity cost relating to the detention of particular containers, correct? A Well, given those facts and -- . . . A Given those facts and circumstances, if true, correct.") [APP-2572].

RESPONSE: OOCL denies the proposition in the first sentence above. That is not what Boris Steffen testified. Instead, he was asked: "when detention is being accrued, there's no opportunity cost arising from the missing space at the terminal facility", to which he responded: "A agree with that." Steffen did not address the lost opportunity costs attendant to not being able to use OOCL's containers to carry cargo.

365. OOCL sets its detention and demurrage rates not in order to compensate itself for the direct or opportunity costs associated with the use of its containers but as a means of driving revenue. See Ex. 381 (McCown Report) ¶¶ 131-44 [APP-3782-3786].

RESPONSE:

366. Jensen described the shipping industry as a "de facto oligopoly". See Dep. Ex. 420 at 5 ("As Vespucci Maritime CEO Lars Jensen told American Shipper in a previous interview, 'We have definitely seen the effects of consolidation. At least on the main trades, there is a de facto oligopoly, which means the carriers are able to somewhat better prevent the price wars we've seen in the past. This is the logical end point of 20 years of gradual consolidation.'") [APP-4064].

RESPONSE: Admitted.

2. OOCL assessed unreasonable detention and demurrage charges against BBY. **Denied.**

367. The Detention & Demurrage Charges OOCL assessed against BBY are unjust and unreasonable because such Charges were assessed during a period of severe port congestion in light of the COVID-19 pandemic when such Charges could not incentivize the movement of BBY's cargo, the Charges were arbitrary, OOCL maintained unreasonable invoicing and collection practices, and OOCL did not have a meaningful dispute resolution practice.

RESPONSE: Denied. Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL's charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24).

Tracy Sha explained that when customers present reasons for the delays they encounter, OOCL would consider same, for example, she testified: "If they collected more information after they made the review and validation and they have the confirmation the detention charge incur is because of lack of appointment and they came to OOCL with those detailed information, then, yes, we will issue the credit note and refund the charge to the customer." APP 2351(Sha Tr. 216:13 to 217:14).

OOCL had and has a comprehensive and reasonable demurrage and detention guidelines for handling DD disputes. RPSS 486 to 495.

BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

BBY's Vice President of Global Transportation Reid Klosowsky admitted that BBY had the "burden of proof" with respect to demurrage and detention claims. RPFF 497. In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBY never provided. RPFF 500. OOCL's Demurrage and Detention Department Supervisor Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. RPFF 501.

368. OOCL knew that when a detention or demurrage charge was outside of the customer's control, the charge would likely not be appropriate under the incentive principle. *See* Devine Dep. Tr. 113:2-12 ("Q So what was the policy that would distinguish between those types of situations? A I don't know the policy specifics, but my general understanding is that if there's a physical operating issue that impedes the operation and is beyond the control of the customer, we would step in and assist the customer, always.") [APP-440]; Murdoch Dep. Tr. 128:3-16 ("Q. What is your

understanding of the FMC's incentive principle? A. The incentive principle is -- encourages the customers to pick up and return equipment within free time, but if there are extenuating circumstances that might prohibit them from doing that, then the carriers may take some action to mitigate the charges. So, in other words, something that would be evidence provided showing that it's a -- something was beyond the customer's control, then we can issue them a credit.”), 204:6-18 (“Q. What is the FMC Final Rule being referred to there, to your knowledge? Basically, referring to that we cannot be invoicing D&D to a customer if the circumstances are beyond the customer's control. That's what he's saying. Q. And is what Mr. Young is saying in that email there that I just read consistent with your understanding of OOCL's policy with regard to detention and demurrage at this time? A. Yes.”) [APP-1833; APP-1852]; Dep. Ex. 9 at -55984 (“Have we even evaluated the DD billed as correct . . . They seem to imply [. . .] that they were not responsible for delays in Pick up – or MT return to our facility...If this is the case **and can be validated** – the DD should not be billed – per the FMC Final Rule...”)[APP-5126]; Dep. Ex. 186 at -65415 (internal draft OOCL response to a October 2021 Letter raising concerns with OOCL’s compliance with FMC rules) [APP-5130].

RESPONSE: OOCL admits that the FMC’s incentive principle provides that demurrage and detention charges in the container shipping industry should primarily function as financial incentives to promote the efficient movement of cargo. OOCL has and had reasonable demurrage and detention guidelines for handling disputes and followed those guidelines. RPFF 486 to 495. OOCL followed those guidelines in this case. Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL’s charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24). Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. RPFF 501.

BBY’s Vice President of Global Transportation Reid Klosowsky testified that BBY has the “burden of proof” with respect to demurrage and detention claims. RPFF 497. In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBY never provided. RPFF 500 BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. See, e.g., APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14.

Complainant truncates OOCL employee Mike Young’s quote, who wrote on February 16, 2022, that, “[BBY] seem[s] to imply – **but have not provided evidence to qualify, that they were not responsible for delays in Pick up.” APP RX-000844-849 (Ex. 9).**

369. During the pandemic years of 2020-2022, significant issues concerning congestion and shortages of equipment, space and labor combined to create an environment in which detention and demurrage charges skyrocketed. Ex. 381 (McCown Report) ¶ 163 (“It is well known that significant issues concerning congestion and shortages of equipment, space and labor combined to create a pandemic-era environment in which detention and demurrage charges skyrocketed.”) [APP-3789].

RESPONSE: OOCL denies the implication of the proposition in the first sentence above, that is, that generalized, anecdotal claims congestion and equipment shortages without demonstrating in any case what actually caused delays to the containers at issue is sufficient to set aside demurrage or detention charges. Instead, a case-by-case assessment is required.

OOCL has and had reasonable demurrage and detention guidelines for handling disputes and followed those guidelines. RPFF 486 to 495. OOCL followed those guidelines in this case. Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL’s charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24). Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. RPFF 501.

BBY’s Vice President of Global Transportation Reid Klosowsky testified that BBY has the “burden of proof” with respect to demurrage and detention claims. RPFF 497. In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBY never provided. RPFF 500. BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. See, e.g., APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14

i. Port congestion and other factors resulting from the COVID-19 pandemic significantly disrupted the flow of containers.

370. OOCL was aware of the congestion impacting ports throughout the world, including in North America. See Ye Dep. Tr. 36:14-22 (“[D]ue to the congestion at the pier as well as the inland USA shipping or merchandise delivery as well as the inland merchandise delivery in Asia, it had caused a lot of vessel congestion. As a result, effectively loadable capacity was drastically affected, and the company was losing money in some years as a result.”) [APP-2773]; OOCL 2020 Annual Report (“As more and more services were introduced, congestion and equipment availability became more and more problematic.”) [APP-4434.]; OOCL 2020 Annual Report (“Towards the end of the year, increasing congestion at the key hubs of Los Angeles/Long Beach, as well as inland bottlenecks hindering the flow of empty containers back to port and on to Asia presented operational challenges. These remain unresolved at the time of writing.”) [APP- 4440.]; OOCL 2021 Annual Report (“Over

the course of 2021, we have seen port congestion, bad weather delays, labour disputes, shortages of truckers, the Suez Canal incident, insufficient rail capacity, empty box shortages in key locations, COVID-19 rules affecting the availability of labour in terminals, depots, yards, quarantining requirements for vessel crew causing operational delays, and a range of other difficulties.”) [App-4635]; OOCL 2022 Annual Report (“Market conditions in container shipping during the first half of 2022 were largely unchanged from the extraordinary conditions seen over the previous 18 to 24 months. In the early part of the year, significant supply chain disruption throughout the network, including port and inland congestion, continued shortages of chassis and of truck drivers, as well as difficulties in repositioning boxes to customers continued to put downward pressure on the levels of effective supply in the market.”) [APP-4844].

RESPONSE: OOCL denies the implication of the proposition in the first sentence, that is, that generalized, anecdotal claims congestion and equipment shortages without demonstrating in any case what actually caused delays to the containers at issue is sufficient to set aside demurrage or detention charges. Instead, a case-by-case assessment is required.

OOCL has and had reasonable demurrage and detention guidelines for handling disputes and followed those guidelines. RPFF 486 to 495. OOCL followed those guidelines in this case. Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL’s charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24). Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. RPFF 501.

BBY’s Vice President of Global Transportation Reid Klosowsky testified that BBY has the “burden of proof” with respect to demurrage and detention claims. RPFF 497. In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBY never provided. RPFF 500. BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. See, e.g., APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

Further, the FMC noted that port congestion did not stop the flow of containers in the United States:

“It should be noted, however, that America’s ocean transportation system, though strained by unprecedented demand, did in fact continue to function and processed and delivered record amounts of cargo even while dealing with COVID-related constraints. Despite wide-spread predictions of empty shelves and shortages of essential goods during the holiday shopping season, most

Americans experienced no major disruptions thanks in large measure to shippers that altered their supply chain expectations, transportation and logistics companies that came up with innovative solutions, and tens of thousands of workers who refused to let the system fail.” FMC Annual Report No. 60 at 11.

371. OOCL was aware at the time that port and rail congestion impacted all of its BCO customers from 2020 through 2022. *See* Chen Dep. Tr. 113:3-119:2 (“Q Generally speaking, in 2020 through 2022, are you aware of the challenges that BCOs faces as a result of port congestion in the United States? A Yes. Not only to BCO, I think. All customers. Q Can you -- can you describe your understanding of what challenges BCOs faced as a result of port congestion during 2020 through 2022? A Our customers could not get the cargo because they are -- you know, because our ships are anchoring outside the terminal after they get the cargoes because our customers’ warehouses just couldn’t have the capacity to process the cargo, so they couldn’t retain the -- our equipment A Oh, sorry. I said, after they got the cargoes, they -- their warehouses did not have the capacity to handle, to process, the cargoes, so they held our equipment[] at their warehouses. Q Are you aware of situations during 2020 through 2022 where BCO’s containers were loaded off of a vessel but were inaccessible at the terminal in the container yard? A Yes. We heard the report from our operation team. Some ports -- some ports were having a chaotic situation because their port was overutilized. Q Do you recall which particular ports had those issues during 2020 through 2022. A I think that was very common across all ports; however, ports -- the conventional ports were probably having the bigger challenge.”) [APP-179-181]; Mitchell Dep. Tr. 116:19-119:5 (“[Q] Did port congestion, from your experience with your customers, get worse as time went on from 2020 into 2021? A Yes. Q How so? A Well, because you had ships out of rotation, vessel bunching. You had new -- new carriers that weren't in the Trade prior to maybe 2020 coming into the Trade. You had -- there were daily updates on a number of ships out at anchorage and beyond the anchorage that were waiting to come in. So you had all this -- all these ships coming, and just the terminal -- between the volume and building up and the containers dwelling, long-term dwelling, at the terminals, that led to congestions. Q From your experience, during this time period, did shippers experience a lack of chassis, making it difficult to pick up containers from port? A Well, there -- lack of chassis was one. Q Was lack of rail service to get containers to go where they needed to go also an issue leading to port congestion? A Well, if an importer had rail movements, the -- you know, the railroads may have lacked the number of railcars needed to move out containers.”) [APP-1706-1707].

RESPONSE: OOCL denies the implication of the proposition in the first sentence, that is, that generalized, anecdotal claims congestion and equipment shortages without demonstrating in any case what actually caused delays to the containers at issue is sufficient to set aside demurrage or detention charges. Instead, a case-by-case assessment is required.

OOCL has and had reasonable demurrage and detention guidelines for handling disputes and followed those guidelines. RPFF 486 to 495. OOCL followed those guidelines in this case. Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL’s charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24). Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. RPFF 501.

BBBY's Vice President of Global Transportation Reid Klosowsky testified that BBBY has the "burden of proof" with respect to demurrage and detention claims. RPFF 497. In October 2021, when BBBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBBY never provided. RPFF 500. BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. See, e.g., APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14.

Further, the FMC noted that port congestion did not stop the flow of containers in the United States:

"It should be noted, however, that America's ocean transportation system, though strained by unprecedented demand, did in fact continue to function and processed and delivered record amounts of cargo even while dealing with COVID-related constraints. Despite wide-spread predictions of empty shelves and shortages of essential goods during the holiday shopping season, most Americans experienced no major disruptions thanks in large measure to shippers that altered their supply chain expectations, transportation and logistics companies that came up with innovative solutions, and tens of thousands of workers who refused to let the system fail." FMC Annual Report No. 60 at 11.

372. OOCL was aware that a lack of chassis availability impacted shippers' ability to pick up containers from port. See Devine Dep. 99:24-101:9 ("Q: Based on your experience during the 2020-2021 shipping year, did shippers experience a lack of chassis for picking up containers from port? MR. LETOURNEAU: Objection. Form. Q: You can answer. A: Yeah. I think that it's general knowledge that this chassis shortage was created due to the large volume of imports that sat idle outside warehouses and deserts everywhere in southern California. So, yeah, there wasn't enough chassis to handle the volume. And there was no fluidity. They weren't coming back. So there was a chassis shortage from time to time, yes. Q: And when you say that there were so many containers lying in the desert in and around southern California, can you elaborate on that a little bit? A: Yeah. Shippers ran out of space. They ran out of warehouse space. They were parking them anywhere and stacking them on top of each other and parking them in the desert. Q: And then those containers were then unable to be used as chassis for other shippers, leading to the shortage, is your testimony? A: That's correct. That's correct.") [APP-437].

RESPONSE: OOCL denies the implication of the proposition in the first sentence, that is, that generalized, anecdotal claims congestion and equipment and chassis shortages without demonstrating in any case what actually caused delays to the containers at issue is sufficient to set aside demurrage or detention charges. Instead, a case-by-case assessment is required.

OOCL has and had reasonable demurrage and detention guidelines for handling disputes and followed those guidelines. RPFF 486 to 495. OOCL followed those guidelines in this case. Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL's charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24). Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. RPFF 501.

BBY's Vice President of Global Transportation Reid Klosowsky testified that BBY has the "burden of proof" with respect to demurrage and detention claims. RPFF 497. In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBY never provided. RPFF 500. BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

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373. OOCL was aware that a lack of rail service impacted shippers' ability to pick up and drop off containers from ports. *See* Devine Dep. 101:13-102:2 ("No, I don't think that we experienced a lack of rail service. I think there was a shortage of railcars because the railcars have to come in to go out, just like the empties have to come in for the ship to sail safely. You can't sail a ship without anything on it to balance the ship. You have to have 10,000 empties or so on your ship. You've got to bring railcars in to put railcars out. That ties into the balanced trade at the time,

U.S. exports at the time. It was a very challenging period for the supply chain at all levels.") [APP-437-438].

RESPONSE: OOCL denies the implication of the proposition in the first sentence, that is, that generalized, anecdotal claims congestion and equipment and rail service shortages without demonstrating in any case what actually caused delays to the containers at issue is sufficient to set aside demurrage or detention charges. Instead, a case-by-case assessment is required.

OOCL has and had reasonable demurrage and detention guidelines for handling disputes and followed those guidelines. RPFF 486 to 495. OOCL followed those guidelines in this case. Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL's charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24). Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. RPFF 501.

BBY's Vice President of Global Transportation Reid Klosowsky testified that BBY has the "burden of proof" with respect to demurrage and detention claims. RPFF 497. In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBY never provided. RPFF 500. BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

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374. OOCL acknowledged the forces leading to demurrage and detention charges were beyond the customers' control. *See* Dep. Ex. 71 [APP-3171-3175]; OOCL_0000042931 at -42931 ("OOCL strictly follows and is aligned with the FMC's 2020 Demurrage and Detention Final Rule implicitly, and we will waive detention and demurrage charges where situations beyond our customer's control impact their ability to pick up and/or return containers within the allocated free

time. Examples may include terminal congestion, closed areas, appointment limitations and changes with our vessel schedules.”) [APP-4130]; OOCL_0000069950 at -69950 (“As we move into the second half of 2021 and 2022, supply chain challenges will continue to intensify due to the unprecedented demand growth for goods. This high sustained consumer demand coupled with extraordinary global circumstances (COVID-19, weather, ocean vessel accidents, labor shortages) has pushed infrastructure to its limits and driven transportation rates for both ocean containers and air freight rates to historical highs.”) [APP-4148]; *see also* Sha Dep. Tr. 56:18-60:19 (“Q. Yes, because of chassis shortages. A. Because of chassis shortage. So I think chassis, if customer has problem in get a chassis, that will impact their ability to pick up the container from the terminal, but one is, the chassis is not provided by OOCL in the merchant move. Get a chassis is customer's responsibility. If customer does -- I mean if customer's not able to get a chassis, which is under their responsibility, then they will have a delay in pickup the container, and that will result to the demurrage charge. So chassis shortage on customer side could result to demurrage charge, but should not be the detention charge...Q. Did drayage providers or trucking companies complain about having to wait to return empty containers at storage yards until an appointment became available? A. Yes. If there is no appointment, for example, they trying to return on Monday, but there is no appointment for Monday, then, yes. If the only appointment is for Tuesday or the only appointment they can get is on Tuesday, then they have to wait Tuesday to return the empty, it could happen. Although we also remind the customer or their trucker when they reach out to us, to frequent check the appointment system, as that -- the appointment system also constantly refreshed when some trucker, they cancel the appointment, and overall, also we see that there is a high no-show ratio for some terminals on appointment side....Q. So speaking about -- we were just talking about a specific type of charge, but speaking about detention and demurrage charges generally, can you provide some examples of the kinds of situations where refunds would be issued?

I think what we talked that if customer paid first for a detention charge and then later on, I will think that's between customer, their side with their vendor. If they collected more information after they made the review and validation and they have the confirmation the detention charge incur is because of lack of appointment and they came to OOCL with those detailed information, then, yes, we will issue the credit note and refund the charge to the customer.”) [APP-2311-2312]; Young Dep. Tr. 82:2-83:15 (“Q. And for the empties, that was exacerbated because exports from the United States were much lower, correct? A. Correct. And empties were being returned and just accumulating in the terminal because we were prioritizing moving our cargo rather than moving out empties, and then we were asked to evacuate these empties out.”) [APP-2844]; Chen Dep. Tr. 142:23-143:7 (“Q. Bed Bath & Beyond says in Exhibit 4, “BBB cannot timely obtain its containerized goods or return empty containers, causing these containers to go beyond their free time due to no fault of our own.” At this time, was that a true statement? A. Yes, in some cases.”) [APP-187].

RESPONSE: Denied. OOCL denies that generalized, anecdotal claims of congestion and equipment and rail service shortages without demonstrating in any case what actually caused delays to the containers at issue is sufficient to set aside demurrage or detention charges. Instead, a case-by-case assessment is required.

The first source cited above, Ex. 71, says nothing about OOCL acknowledging that forces leading to demurrage and detention charges were beyond the customers' control. Instead, it relates to the LBCT Terminal's efforts to deal with long dwell containers on the terminals with cargo belonging to a variety of shippers, including BBY. APP 3171-3175 (Ex. 71, OOCL_0000188127). Eric Witsaman's email of October 20, 2021 notes: "Really driven by trucks and customers, not terminals and rails. . . . Most recent gate performances below separate truck and rail and shows the consistency of terminal rail vs truck. APP 3171-3175 (Ex. 71, OOCL_0000188129).

The two yellow highlighted quotes above do not say that the OOCL acknowledged the forces leading to demurrage and detention charges were beyond the customers' control. The first explains that OOCL will consider explanations for delays in picking up or returning containers, none of which BBY provided to OOCL, except on two occasions that OOCL's Tracy Sha addressed in her deposition. APP 2351 (Sha Tr. 216:13 to 217:14). The second relates to transportation rates for ocean containers, not demurrage or detention.

The majority of the remaining paragraph quotes from OOCL Demurrage and Detention Dispute Team Leader Tracy Sha's deposition. Tracy explained that when customers present reasons for the delays they encounter, OOCL would consider same, for example, she testified: "If they collected more information after they made the review and validation and they have the confirmation the detention charge incur is because of lack of appointment and they came to OOCL with those detailed information, then, yes, we will issue the credit note and refund the charge to the customer." APP 2312 (Sha Tr. 60:3-19).

The quote from Mike Young's deposition related to a general discussion about the handling of empty containers and made no reference to BBY's empty containers.

Marvic Chen testified that in "some cases" BBY may have exceeded free time for reasons beyond its control, but he certainly did not say in every case, or in most cases, and no specific cases were referenced. By contrast Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL's charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24).

OOCL has and had reasonable demurrage and detention guidelines for handling disputes and followed those guidelines. RPFF 486 to 495. OOCL followed those guidelines in this case. Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBY, credited BBY where a credit was due and validated that OOCL's charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24). Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. RPFF 501.

BBY's Vice President of Global Transportation Reid Klosowsky testified that BBY has the "burden of proof" with respect to demurrage and detention claims. RPFF 497. In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and

detention, OOCL requested additional information, which BBBY never provided. RPFF 500. BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14

375. OOCL's U.S.-based Trade team member with authority to grant "commercial mitigation" of detention and demurrage charges during the relevant time period specifically acknowledged that "in some cases" BBBY could not "timely obtain its containerized goods or return empty containers, causing th[o]se containers to go beyond their free time due to no fault of [BBBY's] own". Chen Dep. Tr. at 119:19-25 ("Q. You mentioned commercial mitigation. Was mitigation of detention and demurrage charges something that you and your team were responsible for during this period, 2020 through 2022? A. Yes."), 123:2-22 ("Q. Can you think of any instances during 2020 through May of 2022 where OOCL did provide commercial mitigation to a customer for detention and demurrage charges? A. I don't remember the names there because in my team I was not the only one allowed to give commercial mitigation. My commercial managers, they are also authorized to give commercial mitigation based on the commercial merit. Q. What are the limits of their authority and the limits of your authority for commercial mitigation of detention and demurrage charges? A. My commercial managers were allowed to give \$5,000 U.S. dollars per bill. And then my threshold is \$10,000 U.S. dollars. Q. Is that also per bill? A. Per bill."), 142:23- 143:7 ("Q. Bed Bath & Beyond says in Exhibit 4, 'BBB cannot timely obtain its containerized goods or return empty containers, causing these containers to go beyond their free time due to no fault of our own.' At this time, was that a true statement? A. Yes, in some cases.") [APP-181-182; APP-187]; Dep. Ex. 4 (BBBY's letter to OOCL on detention and demurrage charges stating that "[t]he result is that BBB cannot timely obtain its containerized goods or return empty containers, causing these containers to go beyond their free time due to no fault of our own.") (the "October 21 Letter") [APP-2936].

RESPONSE: Marvic Chen testified that in "some cases" BBBY may have exceeded free time for reasons beyond its control, but he certainly did not say in every case, or in most cases, and no specific cases or number of cases were referenced. By contrast Tracy Sha and her Team vetted all of the demurrage and detention charges assessed by OOCL with respect to BBBY, credited BBBY where a credit was due and validated that OOCL's charges were proper. APP 2353 (Tracy Sha Tr. 224:25 to 225:24).

BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to

52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

Commercial mitigation applied in OOCL's discretion after OOCL's Demurrage and Dispute Team vetted whether operational mitigation was appropriate because of a proven inability to pick up a loaded container or return an empty container. APP 2315-16; 2325; 2347; 2348 (Tracy Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17).

Though Patrick Hackett's letter of October 21, 2021, complained of generalized reasons why containers could not be pick up or returned in a timely fashion, he provided no details as to any particular instance when delays were caused by reasons beyond BBY's control. APP 2936 (Ex. 4). After receiving the letter, OOCL followed up with BBY requesting details; none were forthcoming. APP 2237 (Thomas Schmiemann Tr. at 248:16-249:2).

376. A significant imbalance between higher detention charges as compared to demurrage charges tends to indicate that a shipper's failure to return containers is due to factors outside the shipper's control. *See* Ex. 381 (McCown Report) ¶ 145 ("From my experience, charges to BBY for detention that are more than three times those for demurrage and the imbalance in favor of detention charges indicates a few points. First, an empty container at a shipper facility is of no use and takes up space, potentially leading to congestion that adversely impacts real productivity. Typically, shipper failure to return containers is due to factors outside of the shipper's control, such as when carrier terminal is jammed up and is not allowing empties to be returned, when there is a shortage of chassis or other equipment, or when terminals are imposing limitations on returns.") [APP-3786].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert because he employed no sound methodology. The statement above from his report is no exception. There exists no proof of causation or even correlation between the ostensible supporting points he makes and his conclusion that higher detention than demurrage charges indicates the shipper's failure to return is due to factors beyond the shipper's control. McCown admitted that the responsibility for drayage services and picking up and returning containers in a CY or port-to-port move rests with the shipper, and that the carrier is not involved in any such movements. APP 1484-1485 (John McCown Tr. at 193:17-194:14).

BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

377. Due to the disruptions at U.S. ports and associated infrastructure during the pandemic, most, if not all, of the delays incurred by shippers during this period were not reasonably within the shippers' control. *See* Ex. 381 (McCown Report) ¶ 152 ("In any event, due to the well known

disruptions at US ports and associated infrastructure during the pandemic, including shortages of equipment and labor as well as poorly managed terminal operations, container brushpiles (where containers without a designated trucker at time of discharge are put in one large stack) and other unusual circumstances, it is my opinion that much, if not all, of the delays incurred by shippers were not reasonably within the shippers' control.") [APP-3787].

RESPONSE: Denied. OOCL has moved to strike John McCown as an expert because he employed no sound methodology. The statement above from his report is no exception. McCown offered no evidence to support the proposition above. He admitted that he had no information relating to all of the containers in Appendix C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL's Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491-1492 (John McCown Tr. at 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (John McCown Tr. at 224:14-22).

BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

- ii. OOCL assessed arbitrary and exorbitant detention and demurrage charges against BBY. **OOCL denies this assertion. OOCL's DD rates were within market and were the lowest of its peers. APP-3964 (Steffen Report ¶¶ 58-60). All of OOCL's DD charges were verified by its Demurrage and Detention Dispute Team. APP-2353 (Sha Tr. 224:25-225:24).**

378. OOCL personnel believed congestion was not a valid reason to stop carriers from charging detention or demurrage. *See* Chen Dep. Tr. 119:3-119:18 ("Q. Are you aware of instances where OOCL refunded detention or demurrage charges to BCOs during 2020 through 2022 because of port congestion? A. I don't think we refunded because I was in Commercial role, so anything -- any kind of a charge mitigation will be based on Commercial merits, Commercial considerations. So any charge legitimate, you know, based on the FMC rules, then OOCL should collect it. So when you talk about refund, it probably, you know, a wrong billing issue. I don't think congestion is a reason, you know, to stop carrier charging detention or demurrage.") [APP- 181].

RESPONSE: OOCL denies the proposition in the first sentence above. Marvic Chen talked about his role in terms of commercial mitigation. He was not responsible for addressing operational adjustments or mitigation. Tracy Sha and her team were responsible for that. APP 2323-2324 (Tracy Sha Tr. at 105:13-106:2). When the customer requests demurrage or detention relief, Tracy Sha and her team evaluate whether an operational adjustment is appropriate and make a decision whether to grant it. *Id.*

379. However, OOCL did not waive demurrage and detention charges because “[t]hat delay is not directly caused by OOCL”. *See* Sha Dep. Tr. 71:24-74:2 (“Q. I want go back a little bit to when we were discussing chassis. You said that -- well, I'll let you characterize it yourself, so strike that. Are you aware that customers made complaints about a lack of chassis availability leading to delays in pickups or drop-offs? . . . A. I think we earlier talk about customer, if they cannot find the chassis or they have difficulty find the chassis, then in a merchant move, they will have difficulty to pick up the laden container from the terminal, yes. Q. So -- yes. So did you hear complaints about that from customers? A. I think during 2020 to 2022, we hear some of that. I think -- I will think majority customers understand that's their problem -- well, that's their accountability, as OOCL was not offering chassis and that was from longtime ago. It was not after COVID or, you know, during COVID, so they understand that's their accountability. So there could be -- when we say customer talk with us, if they're talking about they ask for a demurrage charge waiver because of that, then during 2020 to 2022, our principle and we're clear to them is they need to find chassis. That delay is not directly caused by OOCL, so we're not waiving demurrage or we won't concluded that as demurrage charge is invalid. Q. But if you say if customer talk with us, if they dispute, yes, it could be they talk with us and ask -- may not hundred percent being a D&D team, they could also talk with sales. And on the commercial side -- . . . A. So customer can also talk that chassis shortage in the merchant move with our sales, and that we could also -- or sales could also escalate to our commercial team to review the commercial mitigation or discount. Yes, so I think I'm trying to explain is, chassis is not all sales responsibility. We are not conclude[ing] or we are not determining the demurrage charge is invalid when the customer cannot find the chassis or has a delay to find the chassis, but customer could still talk with us, and on our commercial side, we may still could give them consideration, or I don't know how much, but like on operation side, we can help them look into chassis situation if we have any way on that, yes.”) [APP-2315-2316].

RESPONSE: OOCL denies the proposition in the first sentence above. Tracy Sha and her Demurrage and Dispute Team also considered “whatever information customer submit to us” in evaluating whether a DD charge should be operationally adjusted. APP 2344 (Tracy Sha Tr. 188:6-189:21). If grounds exist, OOCL’s DD Dispute Team can make an operational adjustment; in cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Tracy Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). BBY presented only two emails to OOCL during the pandemic seeking a request for an adjustment, each of which OOCL addressed and resolved. APP-2351 (Sha Tr. 216:13-217:14). Further OOCL requested additional information from BBY about these alleged overcharges and BBY provided no information or evidence. APP-2237 (Schmiemann Tr. 248:16-249:2).

380. OOCL policy was to refund demurrage and detention charges only if a customer could prove OOCL's miscalculation or that the charges were not due to the customer's fault. *See* Ye Dep. Tr. 72:24-73:25 ("Q. Mr. Ye, were you aware of any complaints by OOCL's customers as to detention and demurrage charges on the basis of port congestion? A. Yes. I'm aware of complaints made by the customer regarding the fee. I didn't know about it in the beginning, but I learned about it later on, after the pandemic. So, but -- I had told all my coworkers about such situation, and then I told my coworkers that even though OOCL has to make money; however, we would operate under the ethical requirement of us. And, also, there was a time line, which was June 16, 2022, the customer complained if we imposed prior to that effective day of June 16, 2022, and we would ask the customer to provide proof that such a fee that we imposed was miscalculated or it was not the fault of the customer. Then we would be able to refund the overcharge or the fee. So -- and then -- and after that effective date, we -- when the customer make complaints about such fee, we would deal with that based on evidence produced by the customer.") [APP-2782]; *see also* Sha Dep. Tr. 56:18-60:19 ("A....Get a chassis is customer's responsibility. If customer does

-- I mean if customer's not able to get a chassis, which is under their responsibility, then they will have a delay in pickup the container, and that will result to the demurrage charge. So chassis shortage on customer side could result to demurrage charge, but should not be the detention charge.

Q. So that could result in demurrage charges, but not detention charges, in your experience. A. Yes. Q. And did customers ever complain about those types of demurrage charges? A. During 2020 to 2022, I think overall there is customer talk about the chassis, but our position is it is customer's responsibility. OOCL was not providing chassis for the merchant move from long time ago, so it is -- was customer's responsibility.") [APP-2311-2312].

RESPONSE: OOCL denies the proposition in the first sentence above. Tracy Sha and her Demurrage and Dispute Team also considered "whatever information customer submit to us" in evaluating whether a DD charge should be operationally adjusted. APP 2344 (Tracy Sha Tr. 188:6-189:21). If grounds exist, OOCL's DD Dispute Team can make an operational adjustment; in cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Tracy Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). BBY presented only two emails to OOCL during the pandemic seeking a request for an adjustment, each of which OOCL addressed and resolved. APP-2351 (Sha Tr. 216:13-217:14). Further OOCL requested additional information from BBY about these alleged overcharges and BBY provided no information or evidence. APP-2237 (Schmiemann Tr. 248:16-249:2).

381. Requests for discounts or waivers on unpaid charges are reviewed by sales and then forwarded to OOCL's Trade Department for consideration. *See* Wong Dep. Tr. 41:17-24 ("Q. If a customer has a large amount of unpaid detention and demurrage invoices, what steps does OOCL particularly take in response? A. If the customers ask for a discount for the detention or demurrage incurred, they will go to sales and then sales will review whether it's justified or not and then present it to trade for consideration.") [APP-2712].

RESPONSE: Admitted that Sharon Wong testified as set forth above. As well, Tracy Sha

and her Demurrage and Dispute Team also considered “whatever information customer submit to us” in evaluating whether a DD charge should be operationally adjusted. APP 2344 (Tracy Sha Tr. 188:6-189:21). If grounds exist, OOCL’s DD Dispute Team can make an operational adjustment; in cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Tracy Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). BBBY presented only two emails to OOCL during the pandemic seeking a request for an adjustment, each of which OOCL addressed and resolved. APP-2351 (Sha Tr. 216:13-217:14). Further OOCL requested additional information from BBBY about these alleged overcharges and BBBY provided no information or evidence. APP-2237 (Schmiemann Tr. 248:16-249:2).

382. “OOCL has a specific policy and a specific table that shows what amounts of detention and demurrage charges can be waived by various employees”. See Wong Dep. Tr. 43:16- 45:5 (“Q: So do those three individuals you just mentioned have the authority to refund any amount of detention and demurrage charges in response to a customer request, or is there a set amount they don't have authority to approve a refund of? A: They have a certain amount of approval. I won't say refund, because normally the request is to ask for a discount. Q: What amount of detention and demurrage charges that a customer requests be waived would be large enough that someone in Hong Kong would need to make a decision about that? A: I really cannot recall the exact amount. Q: Would the members of the trade team in Salt Lake City that you mentioned have the authority to waive detention charges in the amount of a hundred thousand dollars, for example? A: Sorry. I cannot recall. I need to refer to a table. Q: Which table? A: The table lists out how much we can waive for the team in the U.S. and for me and for upper levels. Q: So OOCL has a specific policy and a specific table that shows what amounts of detention and demurrage charges can be waived by various employees? A: Yes, yes. Q: And you said you have the authority to waive detention and demurrage charges up to \$10,000; is that correct? A: That's just an example, not exactly the amount. Q: Did your work responsibilities at OOCL involve dealing with billing at all? A: No. Q: No? A: No.”) [APP-2713].

RESPONSE: Admitted that certain OOCL personnel had set monetary authority to waive demurrage and detention charges.

383. To the extent BBBY’s warehouses or distribution centers were unable to process cargo during the pandemic, such inability arose in part due to OOCL’s failure to reasonably coordinate the shipment of such cargo. See McCown Dep. Tr. 192:12-193:16 (“Everything's kind of linked to everything else. And to absolutely say, even under your hypothetical, that nonperformance by OOCL — for instance, one of the things on point, specifically, and referenced in our report — was that the normal rhythm of shipping, where everything kind of worked like clockwork, disappeared during the pandemic. That certainly was not Bed Bath & Beyond's fault. OOCL was operating the ship. So that normal rhythm disappeared. I think that's exactly what the vice president, Mr. Klos- — I apologize, I can't pronounce his last name — exactly what he meant when he went to the terminal and was complaining that chassis weren't provided. He referenced, and throughout the depositions Bed Bath & Beyond was saying, that the service we were getting no longer was the regular service we had expected and normally got. It was in bunches. And so, yes, you better believe I feel strongly that that which is squarely at OOCL could, in fact, have a very pronounced effect on your hypothetical.”); 210:17-22 (“Well, I was responding and disagreeing with your contention that OOCL could not be,

in any way, responsible for that. And I was explaining the --one element that I -- in my view, OOCL was responsible .”) [APP-1484; APP- 1489].

RESPONSE: OOCL denies the proposition in the first sentence above. OOCL has moved to strike John McCown as an expert because he employed no sound methodology. The statements above from his deposition are no exception. McCown offered no evidence or data to support the propositions above. He admitted that he had no information relating to all of the containers in Table C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL’s Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491-1492 (John McCown Tr. at 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (John McCown Tr. at 224:14-22). He also admitted that for CY or port-to-port shipments, BBY was responsible for drayage of containers from and to marine terminals, not OOCL. APP 1459-1460 (John McCown Tr. at 193:17 to 194:14).

Further, in August and September 2021, when BBY’s warehouses were full, APP 2644; 2678; 2679 (Gisella Stupnik Tr. at 38:3-40:4; 175:25-177:1), BBY booked 590 containers for carriage by OOCL under its secondary contract. APP RX-000612 (Ex. 387, Tab PCC3-OEP-038E); APP 1611-1612 (Glenn Metzger Tr. at 87:17-90:10). BBY also doubled volumes of imports in each year from 2019 through 2021). APP 2645 (Gisella Stupnik Tr. 43:7 to 45:7).

384. OOCL acknowledged that detention and demurrage charges should not be billed if customers were not responsible for delays in pickup or return. *See* Chen Dep. Tr. 165:3-167:5 (“Q So I'd like to turn to the fourth page, which is Bates 55984, the e-mail from Mike Young on February 16th, 3:46 p.m. Mike Young writes to a number of OOCL recipients, "Have we even evaluated the DD billed as correct? They seem to imply, but have not provided evidence to qualify, that they were not responsible for delays in pick up or MT return to our facility. If this is the case and can be validated, the DD should not be billed per the FMC final rule." Do you agree with Mike Young's statement, that if that were the case and could be validated, the detention and demurrage should not be billed, per the FMC final rule? A Yes. So if we have the final rules in place, then we need to make sure our billing are correct before we sent them to our customers. Yeah. Q And do you agree with Mr. Young's statement, that if Bed Bath & Beyond were not responsible for the delays in pickup or empty returns to their facility, Bed Bath should not have been charged detention and demurrage? . . . A We cannot generalize it here. It has to be a -- you know, per specific case to look at that. Q So you see Mr. Young writes, "If this is the case and can be validated, the DD should not be billed." Do you see that? A They were not responsible delay in pickup. Q Do you see what I'm referring to? A Yeah. Yeah. Yeah. Yeah. So yeah. So if based on the FMC rule about DD, about detention/demurrage,

if the customer is not able to pick up the cargo or return the empty and it was just out of their control, we should not be bill -- we should not bill to the customer.”) [APP-192-193]; Murdoch Dep. Tr. 128:3-16 (“Q What is your understanding of the FMC's incentive principle? A The incentive principle is -- encourages the customers to pick up and return equipment within free time, but if there are extenuating circumstances that might prohibit them from doing that, then the carriers may take some action to mitigate the charges. So, in other words, something that would be evidence provided showing that it's a -- something was beyond the customer's control, then we can issue them a credit.”), 204:6-18 (“Q What is the FMC Final Rule being referred to there, to your knowledge? A Basically, referring to that we cannot be invoicing D&D to a customer if the circumstances are beyond the customer's control. That's what he's saying. Q And is what Mr. Young is saying in that e-mail there that I just read consistent with your understanding of OOCL's policy with regard to detention and demurrage at this time? A Yes.”) [APP-1833; APP-1852], Dep. Ex. 9 at -55984 (“Have we even evaluated the DD billed as correct . . . They seem to imply [. . .] that they were not responsible for delays in Pick up – or MT return to our facility...If this is the case and can be validated – the DD should not be billed – per the FMC Final Rule...”)[APP-5126]; Dep. Ex. 186 at -65415 (internal draft OOCL response to a October 2021 Letter raising concerns with OOCL’s compliance with FMC rules) [APP-5130].

RESPONSE: OOCL’s witnesses consistently testified that DD charges were evaluated on a case-by-case basis, and if the evidence showed that BBY could not pick up or redeliver a container because it was precluded from doing so, the DD charge would be adjusted. Marvic Chen’s testimony above notes: “We cannot generalize here. It has to be a – you know, per specific case to look at that.” APP 193 (Marvic Chen Tr. at 166:10-12). In Exhibit 9 above, BBY omits the complete quote: “Have we even evaluated the DD billed as correct...They seem to imply — **but have not provided evidence to qualify**, that they were not responsible for delays in Pick up — or MT return to our facility...If this is the case **and can be validated** — the DD should not be billed — per the FMC Final Rule...” APP 5126 (Ex. 9). Tracy Sha and her Demurrage and Dispute Team also considered “whatever information customer submit to us” in evaluating whether a DD charge should be operationally adjusted. APP 2344 (Tracy Sha Tr. 188:6-189:21). If grounds exist, OOCL’s DD Dispute Team can make an operational adjustment; in cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Tracy Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). BBY presented only two emails to OOCL during the pandemic seeking a request for an adjustment, each of which OOCL addressed and resolved. APP-2351 (Sha Tr. 216:13-217:14). Further, OOCL requested additional information from BBY about these alleged overcharges and BBY provided no information or evidence. APP-2237 (Schmiemann Tr. 248:16-249:2).

BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to

52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14.

385. OOCL sought to, and did, profit from demurrage charges in addition to covering its costs. *See* Ex. 381 (McCown Report) ¶ 148-49 (“Prior to the pandemic, even when per diems were at extraordinary three-digit levels, it was unusual for large charges to be billed and, when they were, they were often settled at much smaller amounts. Indeed, from my experience many carriers view such charges as negotiating tools to achieve broader revenue goals with that shipper. With generally excess capacity anyway, using a container a few extra days was not costing a carrier much and any claim of lost opportunity costs was non-existent due to the same excess capacity situation. With the significant change in the supply/demand and congestion dynamic that occurred during the pandemic, carriers realized that the tariff per diems offered a meaningful separate stream of revenue and income. To maximize this revenue and income stream and to minimize the questions they knew would come up related to charges, many carriers established a protocol requiring that payment of all demurrage charges was required prior to being able to pickup the load. This ‘gun to head’ approach, ostensibly done in the name of credit concerns, would short circuit any discussion and as soon as payment was made the shipper was deemed to have ‘agreed’ to the charges. Such a shakedown is little more than ‘cargonapping’ and is a particularly abysmal practice for any company that claims to be in the service business.”) [APP-3786-3787]; Donohue Dep. Tr. 76:6-19 (“Q. In addition to covering its costs for these rates, did OOCL profit off of the demurrage charges it charged its customers? A. Yes. There was an element of profit. Q. Can you describe that element in more detail? A. Actually, I should be specific. I can't speak for all locations around the world. But there were some areas where it was cost plus. So there was a margin on the demurrage rate. So we did experience a profit on the demurrage charge. But there were other areas where we were at a loss, and we had to try and recoup. So it's fluid depending on the location.”) [APP-553].

RESPONSE: OOCL admits that it earned profit from DD charges as explained by Andrew Donahue above. As for John McCown's assertions, denied. OOCL has moved to strike John McCown as an expert because he employed no sound methodology. The statements above from his deposition are no exception. McCown offered no evidence or data to support the propositions above. McCown's use of [REDACTED] as a benchmark for DD charges assessed by OOCL is fundamentally flawed for a variety of reasons:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Importantly, McCown testified that OOCL's DD charges were comparable to other ocean carriers, [REDACTED]. APP 1464 (John McCown Tr. at 111:6-22; 112:5-12).

² [REDACTED]

In fact, for the period 2020 to 2022, OOCL's demurrage and detention fees were the lowest among its peers. APP3937-3994 (Boris Steffen Report, p. 24).

 Yet, despite these concessions, McCown testified that he did not compare OOCL's D&D rates with other ocean carriers because "that wasn't particularly relevant to include in [his] report." APP 1464 (McCown Tr. 111:2-5).

Further, admitted that he had no information relating to all of the containers in Table C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL's Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491-1492 (John McCown Tr. at 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (John McCown Tr. at 224:14-22). He also admitted that for CY or port-to-port shipments, BBY was responsible for drayage of containers from and to marine terminals, not OOCL. APP 1484-1485 (John McCown Tr. at 193:17 to 194:14).

Further, in August and September 2021, when BBY's warehouses were full, APP 2644; 2678; 2679 (Gisella Stupnik Tr. at 38:3-40:4; 175:25-177:1), BBY booked 590 containers for carriage by OOCL under its secondary contract. APPRX-000612 (Ex. 387, Tab PCC3-OEP-038E); APP 1611-1612 (Glenn Metzger Tr. at 87:17-90:10). BBY also doubled volumes of imports in each year from 2019 through 2021). APP 2645 (Gisella Stupnik Tr. 43:7 to 45:7).

386. The locations where OOCL profited from demurrage charges included the port of Los Angeles / Long Beach. *See* Donohue Dep. Tr. 76:20-77:5 ("Q. Which areas would there be profit? A. Pacific northwest, Pacific southwest, south Atlantic, sometimes the northeast. Q. What about the region that includes LA/Long Beach? A. So speaking strictly about our tariff rate, yes, there would be profit in LA/Long Beach. But for individual service contracts that have customized demurrage rates or detention rates, it may not be a profit. We could be accepting those terms at a loss.") [APP-553].

RESPONSE: Admitted.

387. OOCL conditioned shipping BBY and other customer cargo on payment of all demurrage charges. *See* Ex. 381 (McCown Report) ¶ 149 ("With the significant change in the supply/demand and congestion dynamic that occurred during the pandemic, carriers realized that the

tariff per diems offered a meaningful separate stream of revenue and income. To maximize this revenue and income stream and to minimize the questions they knew would come up related to charges, many carriers established a protocol requiring that payment of all demurrage charges was required prior to being able to pickup the load. This ‘gun to head’ approach, ostensibly done in the name of credit concerns, would short circuit any discussion and as soon as payment was made the shipper was deemed to have ‘agreed’ to the charges. Such a shakedown is little more than ‘cargonapping’ and is a particularly abysmal practice for any company that claims to be in the service business.”) [APP-3787].

RESPONSE: OOCL denies the proposition in the first sentence above. See response to BBY PFF 385, which is incorporated herein by reference. At numerous times during the pandemic, BBY was in arrears on paying its DD charges, and cargo was still carried. Though OOCL considered doing so, at no time, did OOCL suspend carrying BBY’s cargo because its DD charges were overdue. APP 2247 (Thomas Schmeimann Tr. at 286:9-10).

388. OOCL acknowledged that many shippers were challenging their detention and demurrage invoices. *See* Klosowsky Dep. Tr. 116:17-117:7 (“Q. Okay. So when you were saying you chose to proceed in this manner to allow you to research each claim without overwhelming you, this is going to be a big project for both sides, what did you mean? A. My recollection of that was that they were getting swamped, like my conversation with Dan and Jim and Tom was that many parties like Bed Bath & Beyond were challenging and doing the same thing, and their team, they have a customer service team that would review each individual shipment”) [APP-1265]; *see also* Chen Dep. Tr. 124:25-125:10 (“Q. Do you have any recollection during 2020 through 2022 of OOCL providing commercial mitigation to a particular customer for detention and demurrage charges that was more than \$50,000 in total? A. I -- again, I don’t remember 8 that because every year we have a lot of mitigation cases, you know. I don’t really have the recall.”) [APP-182].

RESPONSE: Denied. No OOCL witnesses testified to this effect. Marvic Chen’s testimony cited above relates to commercial mitigation cases where the charges assessed are correct but for commercial reasons OOCL affords a commercial adjustment. APP 2315-16; 2325; 2347; 2348 (Tracy Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). BBY’s Reid Klosowsky acknowledged that OOCL has “a customer service team that reviews each individual shipment” and the burden of proof was on BBY. He testified:

we were asked to provide all of the documentation to substantiate our claim, and so the burden of proof I think was on us, and so we wanted to try to map out, well, what is going to be the most efficient process for substantiating and to -- for OOCL to acknowledge the claim and for us to gather the data because we’re working

with third parties who were using terminal websites to try to get appointment times to come in, and then when they didn't get an appointment time, you know, sometimes it was a moment in time. In the morning, they weren't allowing any important times. If they went back in the afternoon, at which point they couldn't get a carrier, then it was open. So there were these moments in time during the course of the day where a terminal would allow access versus not allowing access. There were a lot of moving pieces, as I recall, and so we were trying to work in a, you know, a complementary way with the OOCL team because we did have a long-standing relationship and I thought a good relationship, a positive relationship, and so we were trying to say -- figure out -- and my conversation, I believe, as I recall, with Dan and Pat Hackett and Tom and Jim was that they were willing to process claims and make refunds for, you know, overcharges, but it wasn't going to be, you know, easy and that they wanted facts and proof that they couldn't produce themselves on the availability of containers or even the availability of access to a terminal that they were using, so that's I think the gist of what or the general background on that paragraph.

APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). None of the evidence that BBY said they would produce was ever produced. BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.*, APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

389. During the pandemic, OOCL received complaints from customers during about demurrage charges accruing due to a lack of trucks in merchant moves. *See* Sha Dep. Tr. 54:12- 55:9 (“Q. Okay. Did customers complain about demurrage based on the lack of trucks to pick up containers? A. They -- so in the merchant move, they may have some shortage, but that's talk about overall industry. OOCL is not helping customer to find a trucking -- truck power when it is a merchant move, and we're not responsible for that. Q. But that is a complaint that you did encounter?

Opposite to the merchant move, if it is a carrier haulage, which means -- . . . A. If it is a carrier haulage, which means OOCL is responsible for the door delivery to customer's warehouse, then we are responsible for find the truck power, the truck power. And during COVID, there was delay, and we are responsible for that, and we will extend the demurrage free time for that, but customer will experience the delay because of that.”) [APP-2311].

RESPONSE: OOCL denies the proposition in the first sentence above. Tracy Sha spoke in generalities above about merchant haulage movements, for which OOCL is not responsible to

390.

RESPONSE:

- iii. OOCL maintained unreasonable invoicing and collection practices as to the detention and demurrage charges assessed against BBY. **Denied.**

391. OOCL’s invoicing and collection practices were unreasonable.

RESPONSE: Denied. OOCL Demurrage and Detention Dispute Team Leader Tracy Sha explained at her deposition that when customers present reasons for the delays they

encounter, OOCL would consider same, for example, she testified: “If they collected more information after they made the review and validation and they have the confirmation the detention charge incur is because of lack of appointment and they came to OOCL with those detailed information, then, yes, we will issue the credit note and refund the charge to the customer.” APP 2312 (Tracy Sha Tr. at 60:2-19). BBY provided no such explanations to OOCL, except on two occasions that OOCL’s Tracy Sha addressed in her deposition. APP 2351 (Sha Tr. 216:13 to 217:14).

Each case involves a fact-based inquiry. APP 2315; 2348 (Tracy Sha Tr. 70:14-71:23; 204:3-205:17).

If grounds exist, OOCL’s DD Dispute Team can make an operational adjustment. In cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Tracy Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17).

OOCL will review and take into consideration any information that the client provides with respect to a demurrage or detention dispute. APP 2344 (Tracy Sha Tr. 188:6-189:21).

Further, OOCL’s Tracy Sha’s team vetted and verified the charges relating to each and every container and prepared a spreadsheet addressing more than 1,000 containers. APP 2353 (Tracy Sha Tr. 224:25 to 225:24).

Ms. Sha testified at Tr. as follows:

Q. Okay. And so what did you do with respect to the conclusions that you reached after vetting every one of these containers? What did you conclude?

A. Yeah. So what we concluded definitely is we now have the OOCL, our side of the data of the charge amount. Also we have the justification, so we do have a finding that among the list, there are ten containers in a particular day for their container type the terminal is not able to accept empty return. So for those ten days or ten containers, we marked that there’s one day invalid, and we issue the credit note for that amount. So that is marked in the sheet under Column V and Column W, yeah. And for the rest of the days is the majority because there’s more than one thousand containers –

A. For the rest of the record in overall, there’s more than 1,000 container records. What we presented here is the justification for why we view the charge is valid, so we giving [sic] the justification for the charge billed dates.

Id. See also RX-000001 (Ex. 98, Tracy Sha’s Excel Spreadsheet, OOCL0000253914).

OOCL also has a demurrage and detention dispute process for submitting disputes available on OOCL’s website, which was in place throughout the shipping years at issue. APP 2355 (Tracy Sha Tr. 230:6-230:18). OOCL has also had two email boxes in place since 2015 to

directly handling customers' queries or a dispute with respect to DD charges. APP 2354-2355 (Tracy Sha Dep. Tr. 229:6-230:4).

BBBY's Reid Klosowsky acknowledged that OOCL has "a customer service team that reviews each individual shipment" and the burden of proof was on BBBY. APP1265-12 (Reid Klosowsky Tr. at 117:11 to 119:4). BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

392. At least until June 15, 2022, OOCL's invoices were autogenerated and not verified or checked. *See* Dep. Ex. 75 at -207649 ("New required information in the DD invoices- new format of invoices, how to generate from our IRIS system? Need some checking statements before issuing our invoices to avoid the conflict?") [APP-3190].

RESPONSE: Denied. When read in context, Exhibit 75 demonstrates the lengths that OOCL undertook to comply with OSRA22's new invoicing requirements. It would be a gargantuan exercise to generate DD invoices manually for a company that carries millions of containers each year. Exhibit 75 OOCL's Chief Operating Officer Kenny Ye wrote:

Mike, Paul,

I discussed with LRM, Karen Lam and Teddy yesterday.

Some points need to be enhanced:

1. New required information in the DD invoices- new format of invoices, how to generate from our IRIS system? Need some checking statements before issuing our invoices to avoid the conflict?

[Mike] —the invoices issued today for DD already include the following elements based on the requirements under the Final Rule and the potential data elements if the S.3580 were to pass.

Our invoices already include the following elements:

(A) Date that container is made available. Included

(B) The port of discharge. included

(C) The container number or numbers. included

(D) For export shipments, the earliest return date. (ERD — the issue is when this changes and there is need to notify change to customer — the ERD date on the invoice would relate to the last ERD before vessel close and departure - included

(E) The allowed free time in days. included

(F) The start date of free time. included

(G) The end date of free time. included

(H) The applicable detention or demurrage rule on which the daily rate is based. included

(I) The applicable rate or rates per the applicable rule. included

(J) The total amount due. Included — (but need to also consider the issue with "interim" billing that would include only

charges applicable up to the interim invoice date — my suggestion is we include an applicable clause that this is an interim

and not final bill) agree

(K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.

- included

(L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage. (this needs to be agreed with LRM to ensure compliance — this is part of the "certification" needed to meet the requirements under the OSRA bill) will follow up with LRM — thanks — will await advice from LRM and pursue with ISD to add to DD invoice

(M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges. (again needs agreement with LRM to include this statement that OOCL did not contribute to the incurrence of charges — basically compliance to the Final Rule in which charges could only be assessed if the cause was a direct result of the

customers action or inaction) will follow up with LRM — thanks — as above will await advice from LRM. I do agree that there needs to be a checking process — currently the DD invoices are auto generated and not specifically verified / checked — this would become a manual process....

2. Uncertain US outbound schedules leads to the complexity of accurately and effectively

counting DD date of the DD clock – not sure what this entails — unless this relates to the ERD issue on OB cargo that is an issue already within the final rule — if the

situation relates to the incurrence of DD charges where the customer has no control or the basis upon which DD charges are assessed is not attained — (i.e. the incentive principle defined by the FMC in the Interpretive Final Rule) then DD charges would

be deemed "unfair" Yes, it refers to ERD — then we should be covered based on existing handling or ERD

3. Too early outbound booking acceptance leads to the uncertainty of DD starting date and ending date counting and the difficulty of on and off DD clock. — Is this also related to ERD? If so we are obligated to ensure the customer is not penalized based on

changes that occur beyond their control. For example - if vessel is delayed and the ERD changes after the customer returns their container/s based on the previously communicated ERD — the customer cannot be liable for DEM charges — likewise if there is

delay in receiving the loaded containers and customer has to hold to meet the changed ERD — we cannot assess DET charges Yes, it refers to ERD - same as item 2 above

4. The discrepancy of the counting methods between terminals and OOCL. — this is also raised with the FMC — both TOs and VOCs are bound by the Interpretive Final Rule. The charges assessed must meet the required objectives as stated above and within the

final rule — this hasn't changed as a result on the OSRA 2022 rule — other than the Final Rule requirements are now incorporated within the Shipping Act. Compliance and adherence to the principles of DD and the charges outlined in our Tariff / SC's are

applicable ONLY in meeting the incentive principle and where the Customer may be at fault Where the TO is not compliant with the rules we need to raise with the FMC to ensure compliance and to meet the requirements defined in both the Final Rule and

OOCL Tariff / SC If TO does not comply with the new rule, is it on VOC's responsibility or TO's responsibility? As the ocean carrier we are required to bill in accordance with the final rule — the TO are also under the requirements of the final Rule and if the TO

does not apply DEM calculation correctly — as carrier we will apply per rule and address with the TO — If they assess direct to customer we will ensure they bill in accordance to OOCL Tariff and if not — we can also raise to the FMC and address correct

charges to the Customer.... They need to be compliant same as Carrier to the FMC DD Rules.

5. We need to set up a new procedure and system to cater this new challenge. On DD the

challenge based on the OSRA22 rule do

not differ from that we are obligated to apply under the final Rule.... Does this question mean that outside the US — OOCL is not compliant to the Final Rule issued by the FMC? Noted.

6. Some key staffs are authorized to handle the special DD waive requirement. Yes — and I would suggest that the role of the RGGM — particularly in NAG be increased in the level or authority. We will see increasing issues post OSRA and with the FMC drive and

momentum for complaints (HL and Yang Ming examples) — and the needs to hasten the process of addressing any indicated or inferred complaints (BBB / TJX / Huffy). Both RGGM and I will involve subject to the amount - Understood - thanks

7. Local training. — For NAG this is well underway as well as Paul's direction in strengthening the organizational structure within NAG to manage and ensure compliance

I will set up a task force in HKG to support NAG on this project. — we welcome this initiative — but remember — from a DD perspective — adherence to the Final Rule and incorporation of the items under question 1— should ensure we are compliant with

the OSRA 2022 Bill. Other issues related to SC and Booking Acceptance are more "new" from the OSRA perspective — as well as the FMC becoming more active in terms of Chassis provision within the US. Well noted.

APP 3190-3194 (Ex. 75, Kenny Ye email dated June 15, 2022).

393. OOCL used an antiquated system for accepting payment of demurrage charges that contributed significantly to the escalation of demurrage cost. *See* Soban Dep. Tr. 76:5-82:21 (“Q. How was the process for the payment of demurrage -- how did that process change after EDRA Y came on board? A EDRA Y was -- had the benefit because their primary and sole purpose was final mile has developed and used the various tools. And, again, those are the payment tools to get a container demurrage guaranteed in the most efficient time. Again, different ocean carriers and different ports had different ways of paying. So there was one application that was -- or method that was coming onto -- into place because of some of the issues with the demurrage that was being utilized by some. So paying demurrage or guaranteeing demurrage -- paying demurrage became more efficient because prior to that just the fact -- just the process of paying demurrage would contribute to additional demurrage because some required actual check or wire transfer, and so the Yusen and because of the carrier availability would add to the demurrage....Q But did that process ease after EDRA Y was onboarded? A Yes. Q And how was it -- how was it eased after EDRA Y was onboarded? A Because EDRA Y had been implementing onboarding the various ways that the different terminals and ports and ocean carriers were accepting the payment for demurrage. Q Okay. And so with EDRA Y's processes in place, then the payment of demurrage was expedited? A Yes. Q How much -- how would you characterize the level of expediting that EDRA Y provided? How many days did they save, would you say, on average? A I cannot say because I don't how that process looked prior to EDRA Y. I mean, I know how it looked like, but I cannot -- I don't remember specific days, but it did

become efficient. Q How long would you say the process took before it became efficient after you came on board in January of 2022? A I don't know.") [APP- 2449-2451].

RESPONSE: Denied. There is no testimony quoted above that mentions OOCL.

343.1. OOCL required actual payment of demurrage charges and would not accept guarantees, which led to delays due to the processing required for payments via check or wire transfer. *See* Soban Dep. Tr. 76:5-82:21 ("Q How was the process for the payment of demurrage -- how did that process change after EDRA Y came on board? A EDRA Y was -

- had the benefit because their primary and sole purpose was final mile has developed and used the various tools. And, again, those are the payment tools to get a container demurrage guaranteed in the most efficient time. Again, different ocean carriers and different ports had different ways of paying. So there was one application that was -- or method that was coming onto -- into place because of some of the issues with the demurrage that was being utilized by some. So paying demurrage or guaranteeing demurrage -- paying demurrage became more efficient because prior to that just the fact -- just the process of paying demurrage would contribute to additional demurrage because some required actual check or wire transfer, and so the Yusen and because of the carrier availability would add to the demurrage. So, you know, either -- yes. Q So what do you mean that the Yusen or the carrier would add the -- to the demurrage? A The process of payment for the demurrage was adding to the demurrage cost. Q And why is that? A Because the antiquated processes that required, you know, checks or wires, for example. That takes time. Because of that, you need to make sure that you have reserved the dray carrier's driver to be able to pick up, and then execute payment to guarantee and pay that demurrage until the day for the scheduled pickup. Q So if -- for example, if the demurrage hadn't been paid for a particular terminal facility, would it be a fair statement that Bed Bath's drayage carriers would not be permitted to pick up their containers? A No. Some of the dray carriers were able to pick -- or pay the demurrage so that we can get that container out. Q Okay. I just want to make sure I understand when you say that the antiquated systems for payment contributed to the

-- to the demurrage. How so? A So some terminals and ocean carriers require additional -- required actual payment. There was no guarantee. And there was cases where the container was sitting at a port for a long time, and it incurred thousands of dollars in demurrage, so the ocean carrier and the terminal could not accept, or did not want to accept, a guarantee, and they would require actual physical payment. And that would be a -- you know, a credit card, you know, or actual check or a wire. And, again, when I came on board, EDRA Y was then tasked with that, so I had very limited -- well, not understanding, but understanding of how it was paid prior to EDRA Y, I should say.") [APP-2449-2451].

RESPONSE: Denied. There is no testimony quoted above that mentions OOCL.

394. OOCL did not offer a simple way to pay detention and demurrage charges across various ports. *See* Klosowsky Dep. Tr. 183:23-184:3 (“OOCL was making the suggestion, well, use this service provider, PAY CARGO, but what we -- if I recall again, that it wasn't -- all terminals didn't accept PAY CARGO”) [APP-1282].

RESPONSE: Denied. OOC suggested a methodology, but the obligation to pay demurrage and detention charges rested with BBY not OOCL.

395. OOCL instead suggested a platform called PAY CARGO that was not accepted at many terminals. *See* Klosowsky Dep. Tr. 183:23-184:3 (“OOCL was making the suggestion, well, use this service provider, PAY CARGO, but what we -- if I recall again, that it wasn't -- all terminals didn't accept PAY CARGO”) [APP-1282].

RESPONSE: Denied. Reid Klosowsky testified that “all terminals didn’t accept PAY CARGO”, not that many terminals did not accept it.

- iv. OOCL did not have meaningful dispute resolution policies or practices as to the detention and demurrage charges assessed against BBY. **Denied. See Response to BBY PFF 391, which is incorporated herein by reference.**

396. OOCL’s Equipment Management Centre Detention & Demurrage team (“EMCDD”), which is based in OOCL’s headquarters team in Hong Kong, oversees global D&D handling in general. *See* Sha Dep. Tr. 167:14-168:3 (“Q. Have you ever heard of the email address EMCDD@OOCL.com? A. Yes. So EMCDD, as previously when we talk about the D&D management guideline, so they are the headquarter team over -- . . . 20 A. So EMCDD, they are the headquarter team in Hong Kong oversees the D&D handling for all regions. So, yeah, they are our headquarter group team. Q. And EMCDD stands for equipment management center detention and demurrage? A. Yes. So I think EMCDD is under EMC, and EMC is equipment management center. Equipment management center, yes.”) [APP-2339].

RESPONSE: Admitted.

397. In May 2020, following FMC interpretive rules on demurrage and detention, OOCL set up a web page on OOCL.com to “guide[] customer[s] [o]n how to handle a dispute.” *See* Sha Dep. Tr. 229:6-230:4 (“Q. The one question I had for you with respect to the web pages that you have – the email boxes, I should say, for NADISPPD and NAGDD, those two email boxes, how long has OOCL had those email boxes available for submitting emails to your team to inquire about DD charges? A. Yeah, if I -- I remember the NADICDD email box was set up back to 2015, which is when the D&D centralized team is established for North America or under North America group. The NAGDD email box was established even earlier than 2015, but initially meaning handle more like the internal communication. So the box was established and is handling -- directly handling customer, so internal and external, queries and dispute, and on top of that, then in May 2020, after the FMC interpretive rules on demurrage and detention, we also set up a web page under OOCL.com. It is to guiding customer in how to handle a dispute. So we call it a dispute resolution process. So we also

on OOCL.com particularly mentioned these two are the email box to direct handling customers' queries or dispute on the D&D charge.") [APP-2354-2355].

RESPONSE: Admitted.

398. OOCL does not have a written policy to determine issuance of a refund. *See* Fung Dep. Tr. 120:23-121:6 ("Q. So is there a written policy to determine when a refund should be issued? A. Okay. So in order to answer your question, can you clarify within let's say 30-day or 60-day, what's the timeframe? Q. In any timeframe for detention and demurrage refunds .A. We don't have such policy with limitation or with things specific such time for any refund.") [APP- 790]

RESPONSE: Denied. Mr. Fung testified that OOCL did not have a set timeframe in which to determine when a refund should be issued. *See* Response to BBBY PFF 391, which is incorporated herein by reference. OOCL promulgated demurrage and detention management guidelines. RX-000853-889 (Ex. 97, OOCL DD Management Guideline (1 Nov 2020), OOCL_00000128664-128700); APP 2346 (Tracy Sha Tr.195:24-197:2). OOCL followed its DD Management Guidelines, which cover whether a customer is responsible or not for a charge. APP 2313-14; 2320 (Tracy Sha Tr. 63:21-64:20; 65:2-66-22; 92:8-93:12). OOCL has a headquarters and regional detention and demurrage dispute handling guideline. APP 2314 (Tracy Sha Tr. 67:13-68:11; 68:23-11). Instead of implementing a uniform procedure based on the FMC interpretative rules on demurrage and detention, OOCL has established an internal process that is not accessible to its customers. *See* Sha Dep. Tr. 112:15-21 ("Q. So is the definition of operational adjustment laid out in the D&D guideline? A. It is laid out on the D&D management guideline, and under our regional dispute handling principle -- a regional dispute handling guideline, we also talk about the scenarios.") [APP-2325].

399. According to OOCL's Chief Operating Officer, Kenny Ye, OOCL's process of reviewing challenges to detention and demurrage charges is split into two categories, operational and commercial adjustment: "with respect to demurrage or detention, that would be separated into two different categories, one being operation[al] adjustment, and the other one commercial adjustment." *See* Ye Dep. Tr. 74:10-13 [APP-2783].

RESPONSE: Admitted.

CPFF 401. As to operational adjustments, when a customer disputes D&D charges, OOCL requires the customer to either demonstrate that they are totally not liable for the charge due to either OOCL's internal mistake or provide validated information that a demurrage or detention claim should be excused under the FMC rules. *See* Lam Dep. Tr. 204:11-205-2 ("What's the distinction between DD mitigation and these other two categories? A. I cannot exactly know -- remember the framework, but the BNC is the usual criteria that when the customer liable for the DD charge. So it's purely a commercial decision to offer any adjustment. So this is definitely the usual stuff we have. The customer is totally not liable for the DD charge that's under operational adjustment because when there's internal mistake, for example, customers service, you know, have the information late, or whatever, create the DD charges. So eventually all sales still needs to absolve those charges, and that will be . . . operational adjustment to be considered.") [APP-1389]; Donohue

Dep. Tr. 61:9-62:4 (“Q. Just to pause here, are you familiar with the term also “operational adjustment”? A. Yes. Q. Are you familiar with the term “commercial adjustment”? A. Yes. Q. Are those two terms the same thing? A. No. Q. How are they different? A. A commercial adjustment is determined by our commercial department. They have their own methodology for determining what constitutes a commercial adjustment. An operational adjustment could be determined by the detention and demurrage department for OOCL and certain factors and requirements would be taken into consideration. Primarily using the FMC’s final rule and guiding principles is our avenue to determine if a charge was valid and justified. If not, we would issue a refund, and that would be classified as an operational adjustment, refund or credit.”) [APP-549-550]; Chen Dep. Tr. 295:13-296:10 (“Q. And does the operational mitigation require a validation of each container and how it was treated on a case-by-case basis? A. Correct. We have a dedicated email box where we receive customers’ disputes for any charges, particularly for detention and demurrage. Whenever a customer disputes any charges, we have a dedicated team to investigate the case and coordinate with the customer for any details we need to justify the dispute. Q. So what is OOCL’s position if it hasn’t received validated information that a demurrage or detention claim should be excused under the FMC’s rules? A. If the customer is not able to provide any supportive information, then the operational adjustment cannot move on.”) [APP-225].

RESPONSE: OOCL denies the proposition in the first sentence above. Karen Lam did not testify that a customer had to demonstrate that they are not liable for the charge due to either OOCL’s internal mistake or provide validated information that a demurrage or detention claim should be excused. OOCL Demurrage and Detention Dispute Team Leader Tracy Sha explained that OOCL would verify the charge based upon information available to OOCL and would take into consideration any evidence or explanation that a customer offered as to why the DD charge should be adjusted. See Response to BBY PFF 391, which is incorporated herein by reference, which explains the operational adjustment process in more detail.

CPFF 402. OOCL claimed that many customers fail to meet the criteria for operational adjustment, which leads to customers submitting a commercial adjustment request through their sales contact in which OOCL’s Trade Department considers only waivers of D&D Charges for commercial adjustments without evaluating the “validity” or appropriateness of the charges. *See* Sha Dep. Tr. 127:2-10 (“A. Yeah. My main area is operational adjustment review and adjustment handling. If we view the charge is valid, then we will go back, explain that to the case requestor. And the commercial side, if customer has the need, the standard way to handle that is customer explain that to their sales contact, and the sales contact will review the case and ask later to the trade commercial team.”) [APP-2329]; Donohue Dep. Tr. 65:23-66:6 (“Q. And once a determination has been made to not issue a refund under operational adjustment, would the next step be to enter commercial adjustment consideration? A. Unless the requesting party could come back with some level of evidence to substantiate their claim, then it would fall back to operational adjustment. But if not, then the next step could be a commercial adjustment request.”) [APP-550-551]; Lam Dep. Tr. 204:11-205:2 (“What’s the distinction between DD mitigation and these other two categories? A. I cannot exactly know – remember the framework, but the BNC is the usual criterial that when the customer liable for the DD charge. So it’s purely a commercial decision to offer any adjustment. So this is definitely the usual stuff we have. The customer is totally not liable for the DD charge that’s under operational adjustment because when there’s internal mistake, for example, customers service, you know, have

the information late, or whatever, create the DD charges. So eventually all sales still needs to absolve those charges, and that will be . . . operational adjustment to be considered.”) [APP-1389].

RESPONSE: OOCL denies the proposition in the first sentence above. The quoted testimony does not support that proposition. See Response to BBBY PFF 391, which is incorporated herein by reference, which explains the operational adjustment process in more detail.

CPFF 403. The Incentive Principle does not factor into OOCL’s decision to waive detention or demurrage charges under commercial adjustment, because that process is “purely a commercial decision.” Lam. Dep. Tr. 204:11-205:2 (“What’s the distinction between DD mitigation and these other two categories? A. I cannot exactly know – remember the framework, but the BNC is the usual criteria that when the customer liable for the DD charge. So it’s purely a commercial decision to offer any adjustment. So this is definitely the usual stuff we have. The customer is totally not liable for the DD charge that’s under operational adjustment because when there’s internal mistake, for example, customers service, you know, have the information late, or whatever, create the DD charges. So eventually all sales still needs to absolve those charges, and that will be operational adjustment to be considered”) [APP-2389]; *see also* Chen Dep. Tr. 124:22-24 (“So we basically just look at the value of the customer to OOCL before we decide any commercial mitigation there.”); [APP-182].

RESPONSE: Denied. As Complainant noted above, commercial adjustment is a final recourse for customers who have applied for the operational adjustment but failed to qualify. Ergo, any commercial adjustment inherently accounts for operational adjustment criteria, as applying for an operational adjustment is a precursor step to applying for a commercial adjustment. Operational adjustments, in turn, are determined based “primarily using the FMC’s final rule and guiding principles.” APP 550 (Andrew Donohue Tr. 62:1-4). See Response to BBBY PFF 391, which is incorporated herein by reference, which explains the operational adjustment process in more detail.

CPFF 404. During the relevant time period, “commercial mitigation was very tight.” *See* Chen Dep. Tr. 121:24-122:25 (“Q. Again, looking at 2020 through, let’s say, May of 2022, can you think of any instances where you or your team provided commercial mitigation to a customer for detention and demurrage charges? A. We received multiple requests from our customer base and from our sales representatives. But during the congestion period, commercial mitigation was very tight. We held our hands very tight because we didn’t want containers sitting at the port and equipment sitting at customers’ warehouses. We wanted them to come back. We believed that speeding up the turnaround time would help ease the congestion. So we were very strict with any commercial mitigation. I don’t have specific names in mind, but for any commercial mitigation, we were very careful and prudent.”) [APP-181-182].

RESPONSE: Admitted that Marvic Chen testified that commercial mitigation was tight because OOCL did not want containers sitting at the port and equipment sitting at customers’ warehouses, which amplifies the incentive principle to keep containers moving.

CPFF 405. A commercial adjustment request would only be escalated to Hong Kong for endorsement of refunds exceeding local authority limits if it received support from the local Trade

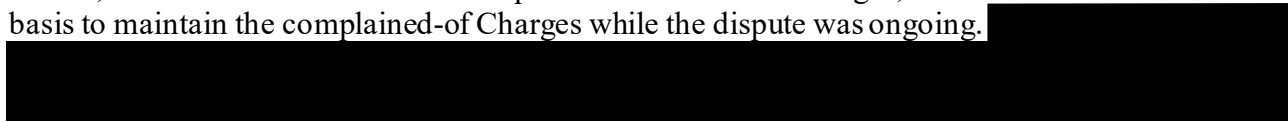
Department. *See* Chen Dep. Tr. 127:11-128:22 (“Q. Turning back to what we were talking about a moment ago on detention and demurrage, were there situations where anyone at OOCL Hong Kong got involved in commercial mitigation of detention and demurrage charges for a U.S. customer of OOCL? A. Yes. That’s possible. Q. Do you recall whether anyone at OOCL Hong Kong got involved in any commercial mitigation or requested commercial mitigation for detention and demurrage charges to Bed Bath? A. I don’t think there’s any commercial mitigation endorsed by Hong Kong for Bed Bath & Beyond. Q. Do you know if anyone from OOCL Hong Kong was involved in considering commercial mitigation for Bed Bath or deciding on commercial mitigation for Bed Bath? A. The internal protocol here is, if the local Commercial Team does not support that mitigation request, it will not be escalated to Hong Kong. Q. Is there a certain dollar amount that would require someone at OOCL Hong Kong to approve it in order to provide commercial mitigation for detention and demurrage charges? A. Yes. If the local Commercial Team supports the mitigation, then that local Commercial Team would escalate it to Hong Kong for endorsement because the dollar amount is higher than the local authority.”) [APP-183].

RESPONSE: Admitted. OOCL’s commercial mitigation process was in addition to its operational adjustment process.

CPFF 406. Whenever BBBY raised an issue with OOCL as to the charges, BBBY faced weeks of waiting for an explanation. *See* Dep. Ex. 89 at OOCL 000099332 (“We have discussed this issue for several weeks on the weekly meetings with no movement. The customer has indicated they have received a lot of invoices/credits and doesn’t understand what is valid or not. This has [led] them to question all the outstanding invoices.”) [APP-3216].

RESPONSE: OOCL denies the proposition in the first sentence above. Complainant misstates the record to reach this conclusion. In fact, OOCL had been working with BBB “for several weeks” regarding this credit invoicing issue but had not yet reached a resolution. An earlier email in the thread cited by Complainant provides some context: “BBB has credits hanging in system without advice from BBB how to apply payments against invoices. Requires reconciliation by BBB, then to advise FINCON how they want to apply their credits.” APP 3219 (Ex. 89, OOCL_000099335). Moreover, an email from Tracey Sha responding to the correspondence cited by Complainant indicates that these Debit and Credit Notes were issued by OOCL as a result of miscommunication on BBBY’s part: “One invoice and two Debit Notes were issued to the customer based on the planned pickup date provided and changed by the customer. The last Debit Note 380915786A was issued on 4/29, after the customer advised the planned pickup date to be postponed from 4/29 to 5/3. But the customer finally still picked up the container on 4/29, and that’s why we then issued the Credit Note 380915951A. This scenario is happening quite often.” APP 3215 (Ex. 89, Tracy Sha email dated May 3, 2022, OOCL_000099330-99331).

CPFF 407. In an extreme example, BBBY sent letters from its employee Pat Hackett to OOCL in October 2021 and February 2022 which, in addition to prompting OOCL to retaliate against BBBY, included *inter alia* BBBY’s dispute of certain D&D Charges, which letters OOCL used as a basis to maintain the complained-of Charges while the dispute was ongoing.



[REDACTED]

Devine Dep. Tr. 277:14-279:13 (“Q. And you – when you said, ‘These are the same folks behind the threatening DD letter dated 18 October,’ what letter were you referring to? A. Obviously, I’m referring to a letter that came from Bed Bath & Beyond dated October 18th. We’d have to pull that from the records. Q. What did you mean by ‘threatening’? A. Apparently, the letter must have been threatening; threatening support; threatening complain, threatening by some nature. Threatening nonpayment. Threatening . . . Q. Why was that letter relevant to this discussion? A. The letter – again, we don’t have the letter to refer to specifically. But from my general understanding here, the threatening tone of the letter, they might have been threatening support, they might have been threatening nonpayment, they might have been threatening some kind of complaint, they might have been threatening some type of legal action. And this is an email from me, basically, warning our people to be very careful.”) [App-481-482].

RESPONSE: Denied. The signatory of the two letters that form the basis of this claim, Patrick Hackett, BBY’s Director of International Supply Chain, testified that he had no intention of threatening to bring a claim to the FMC by sending his October 18, 2021 letter to OOCL. APP 829 (Patrick Hackett Tr. 63:21-64:15).

Despite Mr. Hackett’s sworn testimony that he never intended a threat by his letter, BBY nevertheless asserts on page 72 of its brief that “[o]n October 18, 2021, BBY conveyed a threat to file a complaint with the FMC to OOCL, the October 21 Letter.”

Further, the second letter Mr. Hackett signed made no reference to the FMC. APP 3307-3308 (Ex. 177, Patrick Hackett letter of February 9, 2022).

With respect to DD charges, See Response to BBY PFF 391, which is incorporated herein by reference, which explains the operational adjustment process in more detail.

OOCL’s witnesses consistently testified that DD charges were evaluated on a case-by-case basis, and if the evidence showed that BBY could not pick up or redeliver a container because it was precluded from doing so, the DD charge would be adjusted. Marvic Chen’s testimony above notes: “We cannot generalize here. It has to be a – you know, per specific case to look at that.” APP (Marvic Chen Tr. at 166:10-12). In Exhibit 9 above, BBY omits the complete quote: “Have we even evaluated the DD billed as correct...They seem to imply — **but have not provided evidence to qualify**, that they were not responsible for delays in Pick up — or MT return to our facility...If this is the case **and can be validated** — the DD should not be billed — per the FMC Final Rule...” APP 5126 (Ex. 9). Tracy Sha and her Demurrage and Dispute Team also considered “whatever information customer submit to us” in evaluating whether a DD charge should be operationally adjusted. APP 2344 (Tracy Sha Tr. 188:6-189:21). If grounds exist, OOCL’s DD Dispute Team can make an operational adjustment; in cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Tracy Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). BBY presented only two

emails to OOCL during the pandemic seeking a request for an adjustment, each of which OOCL addressed and resolved. APP-2351 (Sha Tr. 216:13-217:14). Further, OOCL requested additional information from BBY about these alleged overcharges and BBY provided no information or evidence. APP-2237 (Schmiemann Tr. 248:16-249:2).

BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

CPFF 408. OOCL's dispute resolution process required the shipper to meet certain onerous documentation standards. *See* Klosowsky Dep. Tr. 117:13-14 ("to substantiate our claim, and so the burden of proof I think was on us") [APP-1265].

RESPONSE: OOCL denies the proposition in the first sentence above. The quoted testimony says nothing about OOCL's documentation process being onerous, but instead, BBY's Reid Klosowsky recognized that the burden of proof was upon BBY to demonstrate that the DD charges should be adjusted. He testified: "we were asked to provide all of the documentation to substantiate our claim, and so the burden of proof I think was on us," APP 1265 (Reid Klosowsky Tr. at 117:11-14).

CPFF 409. From 2020 to 2022, for lack of appointments to return empty containers in Long Beach and Los Angeles to serve as the basis for a change adjustment on detention or demurrage, OOCL required customers to provide screenshots or email records showing specific issues like dual transactions, lack of container availability, or terminal pickup appointment problems. *See* Sha Dep. Tr. 77:24-81:8 ("Q. So who else is on the team that helps you make these determinations? A. Yeah, so we have – currently we have six team members in demurrage and detention team in North America. We have five D&D analysts and one D&D team manager. They are located in Salt Lake City, Chicago and New York. That is in North America. And we also have four people in Shanghai under North America Group Center team under customer service, and we have three reps and one supervisor. They are also supporting the demurrage and detention handling. Q. So when it comes to OOCL's decision to adjust the charge, what type of evidence do customers typically submit? A. It could be like we talk about the detention side, the screenshots, or in the email, they speak about dual transaction, as they don't have laden container at a particular terminal, or they could provide the email record they have with our vendor, for example, the terminal talking about the container is not available or there is no terminal pickup appointment. So in general, the email communication which prove a statement customer give to us, and in certain time, the screenshot, as well, mailing from the terminal website. Q. So, for instance, when they're submitting – apologies for that word salad. When a customer would submit a request to have a waiver, and if they did not have screenshots, would that generally be an unsuccessful request? A. During 2020 to 2022, we do require the screenshots. We do trying to clarify with the customer as they need to book appointment first and constantly check the appointment if possible and then give us the screenshot. So in 2023, we do consider if there is a live

case, customer is talking to us, no appointment, but this is like realtime talking a case, and reduce some of the administrative effort from customer on their trucking side, we did drop that request, but that is after 2022. So overall, the screenshot of appointment is a requirement during 2020 to 2022. Q. Were there other requirements? A. If talk about inbound detention, that's the main requirement. We don't need them provide anything to prove they don't have dual volume. Q. So when it comes to dual transaction, dual volume requirement, what are some of the terminals you know that did have the dual transaction requirement? A. I know in some particular day, LBCT. Q. LBCT? A. Long Beach Container Terminal, they do have this requirement. But overall, I think I can supplement on that is, the dual transaction, like for 2021, the days that requiring the dual transaction and we're charging a detention for that day is less than 5 percent in Long Beach and the Los Angeles terminals area. And Long Beach and the Los Angeles area, those are the areas commonly has more restriction – I should say commonly that we publish which terminal accept the empty, and then we know in certain time of day, in certain time of the year, so certain days, the dual is a requirement. So I just want to supplement dual transaction is a well-known restriction or requirement for Long Beach and LA terminals, but the overall restriction in the time of year in 2021 is less than 5 percent. The other majority states, the terminal – at least there's one terminal available to accept empty without a dual restriction, and it could be also more than one terminal accept empty return.”). 84:14-88:13 (“Q. So can you help me understand which types of issues would require a screenshot and what are the types of issues that would not? A. Yeah. In general is – well, if – basically we're talking two scenarios. If it is lack of appointment and we know in Long Beach and the Los Angeles area, they do require appointment to return the empty, if they don't have a dual volume, then we require screenshot during 2020 to 2022, the screenshot of no appointment. If there is a separate reason that is dual transaction, so customer, they come to us, let us know on a particular day they don't have dual transaction volume and it is matched in our record, yes, on that day, the terminal. . . . that only terminal open to accept empty return requires a dual transaction volume, then based on the email, we will give customer the mitigation. We don't need any screenshot.”) [APP-2316-2319].

RESPONSE: Admitted. It is important to note that there is no evidence in this case that BBBY submitted any evidence or explanation as to why containers could not be picked up or returned to OOCL, save in two instances that OOCL vetted and resolved. APP 2351(Tracy Sha Tr. 216:13 to 217:14). BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. See, e.g., APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

CPFF 410. OOCL conditioned the release of unrelated containers on payment of disputed D&D charges for other containers. *See* Klosowsky Dep. Tr. 88:23-89:4 (“but Pat Hackett and Paul Pastor would review these charges, and in some cases, I think they were compelled to go ahead and pay them and then argue after payment simply because, you know, services would be denied.”) [APP-1258].

RESPONSE: Denied. Complainant misstates the witness testimony to reach its conclusion.

Mr. Klosowsky clarified immediately after the quoted testimony that Bed Bath & Beyond employees merely assumed that services would be denied, saying, “I don’t know specifically if there were delayed services because of, you know, delayed payment, or you know, any sort of failure to do so, I don’t know.” APP 1258 (Reid Klosowsky Tr. at 89:18-22). Complainant has presented no evidence whatsoever that OOCL “conditioned the release of unrelated containers on payment of disputed D&D charges for other containers,” instead demonstrating only that OOCL required payment for certain containers before releasing those same containers to the customer.

CPFF 411. In an example of a large amounts of containers BBBY arranged to be shipped by rail to Dallas, OOCL refused to ship BBBY’s long-dwelling containers by rail to Dallas until all the outstanding demurrage charges were cleared. See OOCL 0000163532 at -163544 (“The containers will most likely depart from LBCT not later than this weekend. We must fit them in with other containers that were already scheduled to go to Dallas, because many of yours are dwelling for so long they are at the bottom of the stacks. As previously mentioned, the process of changing these from local to intermodal can’t begin until all the outstanding demurrage charges are cleared through emodal.”) [APP-4208].

RESPONSE: Admitted in this instance. Long-dwell containers accrued considerable demurrage charges.

3. Factors outside of BBBY’s control interfered with BBBY’s *bona fide* and significant efforts to mitigate OOCL’s unreasonable detention and demurrage charges. **Denied.** BBBY’s Reid Klosowsky acknowledged that OOCL has “a customer service team that reviews each individual shipment” and the burden of proof was on BBBY. APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

CPFF 412. Numerous Factors Outside of BBBY’s Control Interfered with BBBY’s *Bona Fide* and Significant Efforts to Mitigate D&D Charges.

RESPONSE: Denied. BBBY’s Reid Klosowsky acknowledged that OOCL has “a customer service team that reviews each individual shipment” and the burden of proof was on BBBY. APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP

830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

John McCown admitted that he had no information relating to all of the containers in Table C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL's Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491-1492 (John McCown Tr. at 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (John McCown Tr. at 224:14-22). He also admitted that for CY or port-to-port shipments, BBY was responsible for drayage of containers from and to marine terminals, not OOCL. APP 1484-1485 (John McCown Tr. at 193:17 to 194:14).

Further, in August and September 2021, when BBY's warehouses were full, APP 2644; 2678; 2679 (Gisella Stupnik Tr. at 38:3-40:4; 175:25-177:1), BBY booked 590 containers for carriage by OOCL under its secondary contract. APP RX-000612 (Ex. 387, Tab PCC3-OEP-038E); APP 1611-1612 (Glenn Metzger Tr. at 87:17-90:10). BBY also doubled volumes of imports in each year from 2019 through 2021). APP 2645 (Gisella Stupnik Tr. 43:7 to 45:7).

CPFF 413. BBY did everything it could to minimize demurrage and get containers out of port in a timely manner. See Soban Dep. Tr. 17:12-18:14 ("Q. Okay. When you were tracking and tracing the containers, what exactly did you do? A. So the containers, which were the backlog of containers at the port, my responsibility was to minimize the demurrage charges and per-diem charge. DCs had a list of purchase orders, and those purchase orders were associated with containers. And those purchase orders represented certain merchandise that was requested by the allocation team to be delivered to the stores. So my job was, essentially, to balance minimizing the demurrage, getting containers out of the port in a timely manner, and getting the containers that the DC needed to fulfill the purchase orders or the allocations. Q. Did you ever do any type of look-back analysis for the time that preceded your work in January of '22 regarding demurrage or detention? A. No."), 68:5-72:14 ("Q. Would it be a fair statement to say, before you brought on ED RAY, that the process of tracking and tracing the containers was decentralized and managed through Bed Bath's personnel at its various DCs throughout the country? . . . A. So each import DC distribution center manager would manage that task working with the carrier, looking at the --- working with the carrier, essentially, and having the carrier deliver -- pick up containers from the port and then deliver to the DC.") [APP-2434-2435; APP-2447-2448]; Porter Dep. Tr. 136:1-13 ("A. To your knowledge, during the periods between 2020 and 2022, did Bed Bath take steps to reduce the overall number of containers they had which were incurring detention and demurrage charges? . . . *During the time we all strived -- myself, to look outside the box to try to minimize what we could, whether it was, you know, adding space or shipping containers around to help flow out to stores. You know, we -- gosh, we were trying to do*

everything we could to mitigate any of our exposure. But, you know, it was a challenge during that time period.”) (emphasis added) [App-2153].

RESPONSE: OOCL denies the proposition in the first sentence above. The quoted testimony does not state that BBBY did everything that it could to minimize demurrage and get containers out of port in a timely fashion. For example, to minimize demurrage (and detention charges), BBBY could have submitted explanations or evidence to OOCL as to why BBBY was not responsible for such charges. BBBY never did. BBBY’s Reid Klosowsky acknowledged that OOCL has “a customer service team that reviews each individual shipment” and the burden of proof was on BBBY. APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

Seweryn Soban was not brought on to deal with the management of delivery of containers from the port to distribution centers until December 2021. APP 2433 (Seweryn Soban Tr. at 11:2-24). He did not perform any type of look-back for the time that preceded his work in January 2022 regarding demurrage or detention. APP 2435 (Seweryn Soban Tr. at 18:10-14).

Further, Melinda Porter’s testimony was over an objection. She testified that she did not know anything about BBBY presenting explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22)

CPFF 413.1. BBBY transshipped containers to inland facilities for processing in order to move long-dwelling freight. *See* Klosowsky Dep. Tr. 105:7-19 (“But eventually, we did secure a train, got those containers moved off the port, put on a train, and then transported them via container service to Dallas, where we ultimately worked off all of the freight off those containers. That was a response to trying to move the containers that were essentially locked at the port because there wasn’t adequate service locally in Southern California to get those containers out.”) [APP-1262].

RESPONSE: Admitted. The rail movement of long dwell containers happened because OOCL worked with its inland transportation logistics company ESI and BNSF Railroad to arrange for the transportation of 330 long-dwell containers from LALB to Dallas, TX and Savannah, GA. APP 857 (Patrick Hackett Tr. at 174-176); APP 1854-1855 (Gavin Murdoch Tr. 212:16-215:4).

CPFF 413.2. BBBY was willing to take on extra drayage costs to move containers to locations with available space. *See* Ex. 381 (McCown Report) ¶ 170 (“BBBY sought to move containers to locations with space, incurring additional drayage expense in doing so.”) [APP-3790]; Stupnik Dep. Tr. 187:14-188:3 (“Q. To your knowledge, did Bed Bath during

the period between 2020 and 2022 seek to move containers to places where they did have warehouse space? KEITH LETOURNEAU: Objection. Form. THE WITNESS: Yes. BY JAMES FRIBLEY: Q. And did they work with the drayage providers to do that? A. Yes.”) [APP-2681}.

RESPONSE: Denied. John McCown’s Report ¶ 170 cites Gisella Stupnik’s deposition at 187:14-188:3 for the proposition that BBY was willing to take on extra drayage costs, but Ms. Stupnik testified to no such thing. APP 2681 (Gisella Stupnik Dep. Tr. 187:14-188:3). When asked what were those other storage facilities to which BBY sought to move containers, she testified that she knew there were conversations, but did not know the names or locations of the storage facilities, and she did not see any containers leave the warehouses destined for these other storage facilities. APP 2681 (Gisella Stupnik Dep. Tr. 189:6-17).

CPFF 413.3. BBY utilized additional distribution centers in order to process freight more quickly. *See* Soban Dep. Tr. 232:11-233:8 (“Q. Okay. So, before, you stated that backlog equipment shortages inside the port and outside, you had become creative. Could you clarify what you meant by this? And could you give us more examples about this? A. . . . At one point, we utilized additional [distribution centers] to process and handle all the freight”) [APP-2488].

RESPONSE: Denied as stated. Seweryn Soban was not brought on to deal with the management of delivery of containers from the port to distribution centers until December 2021. APP 2433 (Seweryn Soban Tr. at 11:2-24). He did not perform any type of look-back for the time that preceded his work in January 2022 regarding demurrage or detention. APP 2435 (Seweryn Soban Tr. at 18:10-14).

BBY’s distribution centers were full. APP 2411-2412 (Rita Shippee Tr. 84:14-86:1); APP 1560; 1561 (Brian McQuade Tr. 69:3-24; 72:9-73:11 (BBY’s import distribution centers are full)); RX-001022-1027 (Ex. 300, P-0000362783, Yusen-BBY Meeting Minutes, 11 Nov 2021, “Import DC’s: “DC’s are full and cannot receive more product.”).

CPFF 413.4. BBY made efforts to clear backlog by hiring and utilizing an additional storage provider at the distribution centers and warehouses and pooling points. *See* Soban Dep. Tr. 97:256-98:206 [sic] (“Q. Where did you hire that additional space? A. Beginning of 2022. Q. Where? A. There was a lot of other stuff that was going on before I came on board, but when I came on board, we did hire, like, ITS to help. So the containers were prioritized by free time. Q. So let’s talk about ITS for just a second. So ITS was a drayage carrier? A. Drayage, storage, transportation logistics provider. Q. And they provided additional storage beyond that which was available to you at the distribution centers and warehouses and pooling points? A. Yes.”) [APP-2454-2455].

RESPONSE: Denied as stated. Seweryn Soban was not brought on to deal with the management of delivery of containers from the port to distribution centers until December 2021. APP 2433 (Seweryn Soban Tr. at 11:2-24). He did not perform any

type of look-back for the time that preceded his work in January 2022 regarding demurrage or detention. APP 2435 (Seweryn Soban Tr. at 18:10-14). Any efforts by Seweryn Soban did not start until the tail of end of shipping year 2021; by then the accumulated demurrage and detention charges had already accrued.

BBBY's distribution centers were full. APP 2411-2412 (Rita Shippee Tr. 84:14-86:1); APP 1560; 1561 (Brian McQuade Tr. 69:3-24; 72:9-73:11 (BBBY's import distribution centers are full)); RX-001022-1027 (Ex. 300, P-0000362783, Yusen-BBBY Meeting Minutes, 11 Nov 2021, "Import DC's: "DC's are full and cannot receive more product.").

Because their warehouses were full, BBBY stored hundreds of loaded containers on chassis at the warehouse container yards in Southern California and other remote locations. APP 2644; 2678; 2679 (Tr. of Gisella Stupnik 38:3-40:4; 175:25-177:1); 180:1-13; APP 2124-25; 2152 (Tr. of Melinda Porter, former senior manager of import operations for BBBY on the West Coast 19:14-18; 22:19 to 23:4; 130:11-15 ("Containers in the yard, yes, we were full."); APP 2411-2412 (Rita Shippee Tr. 84:14-86:1).

BBBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBBY prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBBY had a practice of "holdbacks," that is, leaving containers at its warehouses containing goods that were not needed at BBBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBBY's Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBBY was one of the shippers who "were ordering a lot of inventory, and so hence the

demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."'). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161); RX-000979-996 (Ex. 201).

CPFF 413.5. BBY brought in additional carriers to help address shipping backlogs. *See* Soban Dep. Tr. 232:11-233:8 ("Q. Okay. So, before, you stated that backlog, equipment shortages inside the port and outside, you had become creative. Could you clarify what you meant by this? And could you give us more examples about this? A. ITS is an example, you know, creating additional space to get those containers out of the port to arrest the demurrage. Bringing in additional carriers. At one point, we utilized additional DCs to process and handle the freight.") [APP-2488].

RESPONSE: Denied as stated. Seweryn Soban was not brought on to deal with the management of delivery of containers from the port to distribution centers until December 2021. APP 2433 (Seweryn Soban Tr. at 11:2-24). He did not perform any type of look-back for the time that preceded his work in January 2022 regarding demurrage or detention. APP 2435 (Seweryn Soban Tr. at 18:10-14). See OOCL Response to BBY PFF 413.4, which is incorporated herein by reference. Any efforts by Seweryn Soban did not start until the tail of end of shipping year 2021; by then the accumulated demurrage and detention charges had already accrued.

CPFF 413.6. BBY pre-pulled containers to arrange storage so as to minimize demurrage charges. *See* Soban Dep. Tr. 159:6-163:22 ("Q. And it says, 'Hi, Nicole, I just left you a voicemail regarding the below 10 containers that are destined for our DC Zenith. They have a long wait to make deliveries and we would like to understand what's the cost to pre-pull per-day storage.' Did I read that correctly? A. Yes. Q. When you say 'DC Zenith' – when you say 'our DC Zenith,' what do you mean? A. I mean DC. That's just the way I speak. And Nicole is just the carrier. I don't know. Our DC, the one that we use. Q. I understand that, but you say, 'our DC Zenith.' Is Zenith a Bed Bath distribution center, or is it a third-party receiver? A. Third – 3PL. Q. Okay. And what you're talking about is they were destined for the distribution center, which would then ultimately deliver it to Zenith, correct? A. The carrier, OOCL, is advising us that the – you know, if you – if you want to have the containers pre-pulled, I believe that you can, and they need to speak to MDS and Nicole, and so that – I believe that's what's happening. Q. Okay. And when it says 'pre-pull,' did you, when you came on board in January of 2022, inquire about the ability to pre-pull all of the long-dwell containers in the marine terminals in southern California in order to stop the accrual of demurrage? A. Majority of the containers were pre-pulled. Q. And when you say – when you say 'pre-pulled,' explain that again, what that means to you. A. So is that a yes? A. Inquired? No. Because all of the containers were pre-pulled, or a majority of the containers were pre-pulled. Q. And when you say – when you say 'pre-pulled,' explain that again, what that means to you. A. So I guess I was assuming when you say 'pre-pull.' In this case, pre-pull is bringing it to the carrier's yard. And then subsequently, because we have a delivery, there were cases when we were pre-pulling containers that the carrier on the west coast had room. If they

didn't, it would then go to the pool yard, and then it would be directed and then managed to deliver to the DC when the DC had the allocations and – to process that container. So in this case – Q. Yes, but – no. Go ahead. A. Yeah. So in this case, pre-pull – because I'm getting involved in this because, you know, I, or as the shipper, is working directly with the – I believe OOCL carrier, which is not our carrier.") [App-2470-2471].

RESPONSE: Denied as stated. Seweryn Soban was not brought on to deal with the management of delivery of containers from the port to distribution centers until December 2021. APP 2433 (Seweryn Soban Tr. at 11:2-24). He did not perform any type of look-back for the time that preceded his work in January 2022 regarding demurrage or detention. APP 2435 (Seweryn Soban Tr. at 18:10-14). See OOCL Response to BBY PFF 413.4, which is incorporated herein by reference. Any efforts by Seweryn Soban did not start until the tail of end of shipping year 2021; by then the accumulated demurrage and detention charges had already accrued.

CPFF 413.6.1. This process was out of the ordinary and involved approving additional costs. *See* Soban Dep. Tr. 163:24-164:24 ("And I am asking them for a favor to pre-pull all those containers and then store them. Because this is not our carrier – this is OOCL's carrier – I worked with the Chicago import manager and asked if there was a way for us to do something. He said if we need to, we can bring it to one of our warehouses or DCs and then do a cross-dock, offload those containers so that we can free them up. This way, the carrier doesn't have to hold them because the carrier said they couldn't do the pre-pull, or whatever. So we wanted to do that as a means of alleviating the demurrage. We were working out of the box. This is not a normal time. But "pre-pull," generally speaking, means the carrier has to pick up the container early from the port or railhead because they will not make the delivery at the time that was the window given to them by the DC. Then we need to approve that cost because it's an additional cost.") [APP-2471].

RESPONSE: Denied as stated. Seweryn Soban was not brought on to deal with the management of delivery of containers from the port to distribution centers until December 2021. APP 2433 (Seweryn Soban Tr. at 11:2-24). He did not perform any type of look-back for the time that preceded his work in January 2022 regarding demurrage or detention. APP 2435 (Seweryn Soban Tr. at 18:10-14). See OOCL Response to BBY PFF 413.4, which is incorporated herein by reference. Any efforts by Seweryn Soban did not start until the tail of end of shipping year 2021; by then the accumulated demurrage and detention charges had already accrued.

CPFF 413.7. BBY brought in EDRA to streamline the demurrage payment process. *See* Ex. 381 (McCown Report) ¶ 172 ("BBY incurred significant expense trying to deal with these challenging extrinsic conditions. BBY hired new employees and brought on a new drayage vendor, EDRA, to manage the load. BBY employee Seweryn Soban testified that he was tasked specifically with managing delivery of containers from ports to distribution centers and serve as a liaison to EDRA and dray carriers to try to deal with these conditions.") [APP-3791]; Soban Dep. Tr. 76:5-82:21 ("Q. How was the process for the

payment of demurrage – how did that process change after EDRA Y came on board? A. EDRA Y was – had the benefit because their primary and sole purpose was final mile has developed and used the various tools. And, again, those are the payment tools to get a container demurrage guaranteed in the most efficient time. Again, different ocean carriers and different ports had different ways of paying. So there was one application that was – or method that was coming onto – into place because of some of the issues with the demurrage that was being utilized by some. So paying demurrage or guaranteeing demurrage – paying demurrage became more efficient because prior to that just the fact – just the process of paying demurrage became more efficient because prior to that just the fact – just the process of paying demurrage would contribute to additional demurrage because some required actual check or wire transfer, and so the Yusen and because of the carrier availability would add to the demurrage. So, you know, either – yes. Q. So what do you mean that the Yusen or the carrier would add the – to the demurrage? A. The process of payment for the demurrage was adding to the demurrage cost. Q. And why is that? A. Because it takes the antiquated process that required, you know, checks or wires, for example. That takes time. Because of that, you need to make sure that you have reserved the dray carrier’s driver to be able to pick up, and then execute payment to guarantee and pay that demurrage until the day for the scheduled pickup. Q. So if – for example, if the demurrage hadn’t been paid for a particular terminal facility, would it be a fair statement that Bed Bath’s drayage carriers would not be permitted to pick up their containers? A. No. Some of the dray carriers were able to pick – or pay the demurrage so that we can get that container out. Q. Okay.”); 233:2-3 (“in EDRA Y, for example, as streamlining the demurrage payment process.”) [APP-2449-2451; APP-2488].

RESPONSE:

CPFF 413.8. BBY paid a 2 percent fee on the total demurrage paid for that service. *See* Soban Dep. Tr. 181:18-182:17 (“A. Dray carriers move freight from the marine terminal to a DC, distribution center, warehouse, or off-yard dock. “Off-yard dock” is what I refer to as a pool storage point for containers It’s the same thing – off-dock yard, pool point, or pool storage area for containers. The carriers are domestic carriers that handle freight movement inland after the freight has been received and processed. Q. Right. And when we’re referring to those inland carriers, we’re not referring to the ocean carriers, correct? A. Correct. Q. Okay. And that’s because the ocean carrier’s moves are CY moves. Basically, their services end when the containers land at the marine terminals, correct? A. Correct.”) [App-2475-2476].

RESPONSE: Respondent lacks information sufficient to admit or deny.

CPFF 413.9. BBY organized calls that included carriers, distribution centers, and BBY’s drayage vendor, EDRA Y, in order to help coordinate solutions to port congestion and shipping backlog issues. *See* Soban Dep. Tr. 232:11-233:8 (“Q. Okay. So, before, you stated that backlog, equipment shortages inside the port and outside, you had become creative. Could you clarify what you meant by this? And could you give us more examples about this? A. . . . Organizing and bringing the carriers, the [distribution centers], and EDRA Y onto the same call.”) [APP-2488].

RESPONSE: Respondent does not deny that Complainant may have done; however,

Complainant has produced no evidence of any conversation among BBY, EDRAI, and OOCL specifically.

CPFF 312. [sic] BBY never deliberately failed to pick up containers, because demurrage charges were more expensive than warehousing goods. *See* Ex. 381 (McCown Report) 169 (“BBY never deliberately failed to pick up containers, because demurrage charges were more expensive than warehousing goods.”) [APP-3790]; Klosowsky Dep. Tr. 147:17-148:3 (“Q. Was it cheaper to accrue demurrage at the marine terminals than it was to pay warehouse storage fees? A. I don’t have the numbers in front of me, but I do not believe it was cheaper. It was more expensive is my recollection to store or have any container at – racking up or having detention or demurrage fees as opposed to having it in the warehouse is my recollection.”) [APP-1273]; Stupnik Dep. Tr. 83:15-18 (“To my knowledge container was to be picked up as soon as it became available for pickup.”) [APP-2655]; McCown Dep. Tr. 206:10-15 (“Q. So your assessment is the 11 storage costs, the costs of storing it locally, the – in order to incentivize the pickup, the demurrage charge needs to exceed the cost of local storage. A. Most definitely, yes.”), 232:24-233:3 (“So I disagree with your characterization of shippers holding on to hundreds of thousands of containers. That wasn’t in their interest.”) [APP-1488].

RESPONSE: Denied. As a preliminary matter, Respondent notes that this purported fact is lifted wholesale from Complainant’s ostensible “expert” in this matter, John McCown. OOCL has moved to strike John McCown as an expert because he employed no sound methodology. The statement above from his report is no exception. However, notwithstanding that Mr. McCown is not qualified to opine on this particular subject, Gisella Stupnik testified that picking up containers at the marine terminals was impeded because BBY’s warehouses were full; she testified: “Q. And so that’s my question to you is if – if the warehouse is full, then how do you move the containers from the marine terminal to a full warehouse? A. We don’t. Q. Okay. And so you would agree with me then that the full warehouse impeded your ability to retrieve the containers from the marine terminals, correct? JAMES FRIBLEY: Objection to form. THE WITNESS: That’s correct.”). APP 2647 (Gisella Stupnik Tr. at 50:15-51:5). Further Reid Klosowsky only testified that he thought the cost of demurrage was higher than warehouse costs; he did not testify that BBY never deliberately failed to pick up containers.

Respondent also notes that Mr. McCown acknowledged that: “In order to incentivize pickup [the stated goal of D&D charges], the demurrage charge needs to exceed the cost of local storage.” APP 1488 (McCown Dep. Tr. 206:10-207:6).

CPFF 413.10. Detention charges apply when a container is under a shipper’s control, thus requiring the shipper to pay both the charges and storage costs, effectively doubling BBY’s costs. *See* McCown Dep. Tr. 275:24-278:13 (“Q. Detention applies to empty containers that are still within the shipper’s control, correct? A. Yes. Q. So would a shipper have to pay storage cost for an empty container that it continues to hold? A. Yes. Q. And would a shipper also have to pay detention charges on top of the shipping cost that it is already incurring to hold that container? A. Yes, they would. Q. Understanding, then, that detention adds on to a shipping cost and does not replace it, as demurrage costs may replace storage costs for a shipper, does that affect your analysis of whether detention needs to be higher than a shipper’s own storage costs in order to incent the prompt return of empty

containers? A. Yes. It definitely needs to be. Q. And what would your analysis be, understanding that hypothetical? A. Well, the detention cost, it's somewhat puzzling that they're the same as demurrage because the one tangible cost that a carrier can point to that they have with demurrage is the land rental and the space that it takes up. You don't have that with detention. So, in many respects, detention is even more unreasonable in the at the levels that it's shown at. And, again, my overriding view with the whole – I certainly agree with the concept of having a cajole to move it along. I believe my former company, [REDACTED] which now has its 53-foot containers, I think it's 30, 35 dollars a day, more than does that. That's why I use that as the minimum benchmark for something reasonable. But, in general, the whole argument of the reason for detention and demurrage during the pandemic – or the justification falls apart because it literally was situations that no amount would incent a different behavior. The shippers were constrained in what they wanted to do. So it just became that much more pernicious. It struck me that the carriers would have done all quite well by just the increase in rates from supply and demand. And I take no issue with that. But the layering on of these demurrage and detention charges, which really were, to my way of looking at it, a form of double-dipping, so it – this was pretty egregious.”) [APP-1505-1506].

RESPONSE: Denied that Respondent, as a carrier, is responsible for storage costs, such that the term “double-dipping” would be applicable. OOCL has moved to strike John McCown as an expert in this case. His comparison of DD charges assessed by [REDACTED] with those charged by OOCL is but one example of his flawed methodology. McCown’s use of [REDACTED] as a benchmark for DD charges assessed by OOCL is fundamentally flawed for a variety of reasons:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Importantly, McCown testified that OOCL's DD charges were comparable to other ocean carriers. [REDACTED] APP 1464 (John McCown Tr. at 111:6-22; 112:5-12). In fact, for the period 2020 to 2022, OOCL's demurrage and detention fees were the lowest among its peers. APP 3937-3994 (Boris Steffen Report, p. 24).

[REDACTED]

Yet, despite these concessions, McCown testified that he did not compare OOCL's D&D rates with other ocean carriers because "that wasn't particularly relevant to include in [his] report." APP 1464 (McCown Tr. 111:2-5).³ Said differently, McCown knew [REDACTED] knew OOCL's D&D rates were within market of other ocean carriers, but intentionally avoided those facts to reach the predetermined outcome he was hired to write in his report.

CPFF 413.11. Because detention charges add to shipping costs, a detention charge must be higher than the shipper's storage cost in order to incentivize the shipper to move the container. *See* McCown Dep. Tr. 276:13-22 ("Q. Understanding, then, that detention adds on to a shipping cost and does not replace it, as demurrage costs may replace storage costs for a shipper, does that affect your analysis of whether detention needs to be higher than a shipper's own storage cost in order to incent the prompt return of empty containers? A. Yes. It definitely needs to be.") [APP-1505].

RESPONSE: Admitted.

CPFF 414. In addition to macro conditions, several other factors interfered with BBBY's ability to mitigate the detention and demurrage charges assessed against it by OOCL. *See* Ex. 381 (McCown Report) ¶ 163-72 ("It is well known that significant issues concerning congestion and shortages of equipment, space and labor combined to create a pandemic-era environment in which detention and demurrage charges skyrocketed. In addition to these macro conditions, which affected many shippers, the evidence available to me shows that several other factors interfered with BBBY's ability to mitigate detention and demurrage charges. For example, BBBY encountered issues with 'long dwell' containers at the LA/Long Beach ports in late 2021 due to large batches arriving at once, causing chassis and dray carrier shortages. (Klosowsky Dep. Ex. 166.) BBBY senior logistics employee Reid Klosowsky visited the OOCL terminal and personally witnessed that conditions arising from the glut of containers had basically slowed the flow of containers from the terminal to a halt, despite BBBY (and other shippers') best efforts to move cargo. (Klosowsky Dep. 101:15-

³ Fortunately, Borris Steffen *did* undertake analyzing other ocean carriers' D&D rates, finding that "in all three years, OOCL's fees were the lowest among its peers." APP-3964 (Steffen Report ¶¶ 58-60).

103:14: ‘So this is towards the end of December, early January of 2022. So about a month prior, maybe two months prior, November, I had visited the OOCL terminal that – in Long Beach that the product was moving through and I met with the terminal operator there and I think there were some OOCL employees on that trip as well, but what we noticed and this is where we got the idea of trying to take these containers that were on port for which we were having difficulty moving because there weren’t chassis available, and the way it normally happens, I mean, we have a predictable flow, these containers were landing in big batches because they were being delayed at origin, and so big groups of containers were getting onto one ship and they weren’t coming in on a nice even patten, and then, of course, the ships being anchored at that time, freight would arrive in big chunks and then were weren’t, you know, dray carriers or chassis available, and then at the beginning of the e-mail string, what reminded me was that when I was at the port of Long Beach terminals, I visited a number – I don’t remember each individual terminal that I visited, I saw that there wasn’t a lot of freight coming off the ports universally, and not just for Bed Bath, but for everyone, there were a lot of containers stacking up at the port, and one thing that I noticed or that we discussed in that meeting was that a lot of the containers that normally would ship with an intermodal rail service in land had stopped and there were a few very large shippers who had I guess decided to – because of the delays, too – instead of railing the product inland to places like Chicago and Dallas where they would work it at their DCs, they decided to take those containers locally. So we saw trains positioned at the ports that were empty, that were nothing.’) [APP-3789-3790]. At times, BBBY went to extreme effort and expense to move long-dwelling freight, including transshipping containers to inland facilities for processing because there was not adequate service in the vicinity of OOCL’s terminals to move the containers any other way. (Klosowsky Dep. 105:7-19: ‘eventually, we did secure a train, we got those containers moved off the port, put on a train and then moved on a train, on a container service to Dallas where ultimately we worked all of the freight off of those containers, but that was – we were – that was a response to trying to move the containers that were essentially locked at the port because there wasn’t adequate service locally in southern California to get those containers out.’) The congestion issue was not unique to BBBY. In fact, other large importers were also dealing with a glut of containers that eliminated capacity to obtain chassis and dray carriers. (Klosowsky Dep. Tr. 105:20-106:15.) BBBY never deliberately failed to pick up containers, because demurrage charges were more expensive than warehousing goods. Klosowsky Dep. 147:17-148:3 (‘Q. Was it cheaper to accrue demurrage at the marine terminals than it was to pay warehouse storage fees? A. I don’t have the numbers in front of me, but I do not believe it was cheaper. It was more expensive in my recollection to store or have any container at – racking up or having detention or demurrage fees as opposed to having it in the warehouse is my recollection.’) BBBY’s policy was to pick up containers as soon as possible. (Stupnik Dep. 83:15-18: ‘To my knowledge, container was to be picked up as soon as it became available for pickup.’) BBBY sought to move containers to locations with space, incurring additional drayage expense in doing so. (Stupnik Dep. 187:14-188:3.) Supply chain disruptions happened frequently during the pandemic. Planned shipping schedules for imports were disrupted. There were bottlenecks followed by sudden release of containers, causing significant challenges in managing the flow and reacting to the timing. BBBY logistics employee Melinda Porter recalled that ‘the containers didn’t off-ship according to their, you know, their plan from the import team. So instead of everything kind of flowing in consistently, there was many times where everything got bottlenecked and then everything got released at once. So instead of having a flow, it was more like a stoppage, like truly, like a plumbing stoppage. It opens, stuff came out. It got packed up. So it was not a consistent flow. And every time you have that, no matter how great the plan and preparations are, you know, it’s a

challenge to react when it flows that way.’ (Porter Dep. 127:23-128:10.) OOCL employee Mike Young recalled of the impacts of the pandemic that ‘it was a really strange time. I mean, we – none of us in the industry had ever encountered anything like the situation that evolved based on the pandemic.’ (Young Dep. 70:17-21). Mr. Young added: ‘Because another issue was that while there was so much cargo coming in and we were loading them onto rail cars and distributing them on land, we rely on return cargo or export cargo or empties to come back to replenish the rail cars within the port. And because there was containers that were just stuck or just sitting because they couldn’t unpack it, the empties weren’t coming back. Exports were lower than normal. And so we had situations where rail cars were all in the wrong place. So the president set up what he called the White House Envoy to coordinate meetings with all the stakeholders to try to see what we can do to improve the flow of cargo and ensure that we don’t have a situation – and it did happen a couple times that we had a vessel that came into one of the LA ports and it couldn’t work because there was nowhere to discharge and put the containers. So she sat there waiting for the containers to move so they could discharge the vessel. It as a very, very fraught time and I’ve never known anything like that in my life.’ (Young Dep. 79:11-80:12)” (paragraph numbers omitted) [APP-2843].

RESPONSE: Denied. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett’s letter of October 18, 2021, complaining about OOCL’s DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who “were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn’t absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn’t digest it.”). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161:24); RX-000979-996 (Ex. 201).

BBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBY had a practice of “holdbacks,” that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBY’s Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

BBBY continues to rely upon generalized complaints about congestion and purported reasons why containers could not be picked up or returned, but no evidence has been presented in this case as to why each container could not be picked up or returned. BBBY’s Reid Klosowsky acknowledged that OOCL has “a customer service team that reviews each individual shipment” and the burden of proof was on BBBY. APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.*, APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

CPFF 414.1. OOCL’s policy of refusing to cooperate with BBBY in BBBY’s efforts to address problems arising from port congestion interfered with BBBY’s ability to mitigate the detention and demurrage charges assessed against it by OOCL. *See* OOCL 0000163532 at -163570, -163560 (OOCL rejecting BBBY’s proposed solution to container buildup, stating “this option will not work” and asserting that “Trade will not waive unless there is justification which the customer must present.”) [APP-4224].

RESPONSE: Denied that OOCL had a “policy of refusing to cooperate with BBBY.” OOCL engaged with BBBY in the iterative waiver process – disagreement on a proposed solution to container buildup is hardly tantamount to “refus[al] to cooperate.” *See* OOCL Response to BBBY PFF 391, which is incorporated herein by reference and addresses OOCL’s operational adjustment process.

CPFF 415. In November 2021, BBBY went to extreme effort and expense to move long-dwelling freight, including transshipping containers to inland facilities for processing because there was not adequate service in the vicinity of OOCL’s terminal to move the containers any other way. *See* Ex. 381 (McCown Report) ¶ 167 (“At times, BBBY went to extreme effort and expense to move long-dwelling freight, including transshipping containers to inland facilities for processing because there was not adequate service in the vicinity of OOCL’s terminals to move the containers any other way.”) [APP-3790]; Klosowsky Dep. Tr. 105:7-19 (“eventually, we did secure a train, we got those containers moved off the port, put on a train and then moved on a train, on a container service to Dallas where ultimately we worked all of the freight off of those containers, but that was – we were – that was a response to trying to move the containers that were essentially locked at the port because

there wasn't adequate service locally in southern California to get those containers out.") [APP-1262].

RESPONSE: Denied. OOCL does not own or operate any marine terminal in the United States. OOCL - Orient Overseas (International) Limited announces the sale of Long Beach Container Terminal to a consortium led by Macquarie Infrastructure Partners. The proposition above is lifted wholesale from Complainant's purported "expert" in this matter, John McCown, whom OOCL has moved to strike.

The rail movement of long dwell containers happened because OOCL worked with its inland transportation logistics company ESI and BNSF Railroad to arrange for the transportation of 330 long-dwell containers from LALB to Dallas, TX and Savannah, GA. APP 857 (Patrick Hackett Tr. at 174-176); APP 1854-1855 (Gavin Murdoch Tr. 212:16-215:4).

CPFF 416. To address over 100 containers stuck at the Long Beach port due to a lack of chassis, BBY wrote to OOCL, asking if OOCL "[has] any ability to transfer containers to the UP railroad, that might be our fastest path to exit these containers. We are considering moving them to Seattle." See OOCL_0000163532 at -163570 [APP-4234]; Klosowsky Dep. Tr. 109:21-111:9 ("Q. And in terms of evaluating this issue with respect to these 49 or 60 containers, depending on where you read in this e-mail string, OOCL was also going to assist you with moving those containers out of the terminals and arranging with this, I guess, domestic inland carrier to transport them eastbound; correct? MR. HILL: Objection to form. A. Yeah, I think – again, my recollection was they helped us do a full train earlier than this at significant cost to us, by the way, additional, and, again, I don't remember what those charges were, but in addition to what we would have planned if we had taken the containers locally. I don't – I think that Jim at some point had said to do this as a one-time, but not again, and that's why we enlisted Sherry from Odyssey to try to help us take this smaller quantity of containers and do a similar thing, dray them out of the local terminal and move them with local intermodal service with the railroad, with the BNSF railroad or the UP, one of the two. Q. Would you agree with me that the charges you were assessed related to the transportation aspect of it; correct? MR. HILL: Objection to form. A. I don't think – I wouldn't agree with that.") [APP-1263-1264]; Klosowsky Dep. Ex. 166 [App-3293-3306]; Young Dep. Tr. 70:14-71:9 ("Q. Mr. Young, what's your understanding of how the pandemic impacted OOCL's business? A. Interesting question. I think it was a really strange time. I mean, none of us in the industry had ever encountered anything like the situation that evolved based on the pandemic. People were panicking, and because there was a situation where people were confined to home, they weren't allowed to socialize or anything, that meant a lot more people were purchasing goods online. And so it created a huge demand to move certain commodities to various areas, depending on where the demand may be. A lot of that created some of the congestion that occurred, particularly in the LA/Long Beach basis where, as I'm sure you know, there was a period where there were over 100 ships sitting out in the water at anchor waiting to go to berth.") [APP-2841].

RESPONSE: Admitted that BBY sent the above-quoted email on November 17, 2021. The rail movement of long dwell containers happened because OOCL worked with its inland transportation logistics company ESI and BNSF Railroad to arrange for the transportation of 330 long-dwell containers from LALB to Dallas, TX and Savannah, GA. APP 857 (Patrick Hackett Tr. at 174-176); APP 1854-1855 (Gavin Murdoch Tr. 212:16-215:4).

CPFF 416.1. OOCL flatly rejected this proposal, stating that “this option will not work”, and denied BBY’s request to waive charges, asserting that “Trade will not waive unless there is justification which the customer must present.” *See* OOCL_0000163532 at -163570, -163560 [APP-4224]; Klosowsky Dep. Tr. 109:21-111:9 (“Q. And in terms of evaluating this issue with respect to these 49 or 60 containers, depending on where you read in this e-mail string, OOCL was also going to assist you with moving those containers out of the terminals and arranging with this, I guess, domestic inland carrier to transport them eastbound; correct? MR. HILL: Objection to form. A. Yeah, I think – again, my recollection was they helped us do a full train earlier than this at significant cost to us, by the way, additional, and, again, I don’t remember what those charges were, but in addition to what we would have planned if we had taken the containers locally. I don’t – I think that Jim at some point had said to do this as a one-time, but not again, and that’s why we enlisted Sherry from Odyssey to try to help us take this smaller quantity of containers and do a similar thing, dray them out of the local terminal or move them with local intermodal service with the railroad, with the BNSF railroad or the UP, one of the two. Q. Would you agree with me that the charges you were assessed related to the transportation by rail, for which OOCL has no involvement, at least with respect to the transportation aspect of it; correct? MR. HILL: Objection to form. A. I don’t think – I wouldn’t agree with that.”) [APP-1263-1264]; Klosowsky Dep. Ex. 166 [APP-3293-3306]; Young Dep. Tr. 70:14-71:9 (“Q. Mr. Young, what’s your understanding of how the pandemic impacted OOCL’s business. A. Interesting question. I think it was a really strange time. I mean, none of us in the industry had ever encountered anything like the situation that evolved based on the pandemic. People were panicking, and because there was a situation where people were confined to home, they weren’t allowed to socialize or anything, that meant a lot more people were purchasing goods online. And so it created a huge demand to move certain commodities to various areas, depending on where the demand may be. A lot of that created some of the congestion that occurred, particularly in the LA/Long Beach basin where, as I’m sure you know, there was a period where there were over 100 ships sitting out in the water at anchor waiting to get to berth.”) [APP-2841].

RESPONSE: Denied. Complainant mischaracterizes the record. First, in the November 17, 2021 email partially quoted by Complainant, OOCL actually explained that “It’s very rare for LBCT to have UP flatcars, this option will not work,” in response to BBY’s request to transfer containers to UP. [App-4234]. Clearly, OOCL did not “flatly reject” anything, but was instead operating within practical constraints, including availability of rail cars, that BBY neglected to mention. Second, in the December 1, 2021 email exchange regarding BBY’s request for waiver, an OOCL representative advised that, “Trade will not waive unless there is justification which the customer must present” in response to a request from BBY’s Reid Klosowsky reading: “Is there anything you can do to wave [sic] all container demurrage to date from LBCT as we are incurring significant costs to make this drop yard happen.” [App-4224]. OOCL can hardly be blamed for refusing to accept BBY’s own “significant [domestic transportation] costs” as sufficient justification to waive demurrage charges that BBY had not paid.

Despite Mr. Young's quoted testimony above, OOCL's ships were not delayed in reaching berth at LBCT; they were going right to the berth. APP 1724 (Jim Mitchell Tr. at 189:12-17).

CPFF 417. Ultimately, OOCL threatened to suspend all bookings unless BBBY moved the containers at significant additional cost, advising BBBY that "there will be a Corporate mandate to put 'At Risk' customers on a list for either total suspension of bookings at origin or suspension of only LALB bookings." See OOCL_0000163532 at -163553 [App-4217]; Klosowsky Dep. Tr. 109:21-111:9 ("Q. And in terms of evaluating this issue with respect to these containers, depending on where you read in this email string, OOCL was also going to assist you with moving those containers out of the terminals and arranging with this domestic inland carrier to transport them eastbound; correct? MR. HILL: Objection to form. A. Yeah, I think – again, my recollection was they helped us do a full train earlier than this at a significant cost to us, by the way, additional, and, again, I don't remember what those charges were, but in addition to what we would have planned if we had taken the containers locally. I don't – I think that Jim at some point had said to do this as a one time, but not again, and that's why we enlisted Sherry from Odyssey to try to help us take this smaller quantity of containers and do a similar thing, dray them out of the local terminal and move them with local intermodal service with the railroad, with the BNSF railroad or the UP, one of the two. Q. Would you agree with me that the charges that you were assessed related to the transportation by rail for which OOCL has no involvement, at least with respect to the transportation aspect of it, correct? MR. HILL: Objection to form. A. I don't think – I wouldn't agree with that.") [APP-1263-1264]; Klosowsky Dep. Ex. 166 [APP-3293-3306]; Young Dep. Tr. 70:14-71:9 ("Q. Mr. Young, what's your understanding of how the pandemic impacted OOCL's business. A. Interesting question. I think it was a really strange time. I mean, none of us in the industry had ever encountered anything like the situation that evolved based on the pandemic. People were panicking, and because there was a situation where people were confined to home, they weren't allowed to socialize or anything, that meant a lot more people were purchasing goods online. And so it created a huge demand to move certain commodities to various areas, depending on where the demand may be. A lot of that created some of the congestion that occurred, particularly in the LA/Long Beach basin where, as I'm sure you know, there was a period where there were over 100 ships sitting out in the water at anchor waiting to get to berth.") [APP-2841]; See Ex. 381 (McCown Report) ¶ 167 ("At times, BBBY went to extreme effort and expense to move long-dwelling freight, including transshipping containers to inland facilities for processing because there was not adequate service in the vicinity of OOCL's terminals to move the containers any other way.") [APP-3790].

RESPONSE: Respondent admits that certain "At Risk" customers who had fallen far into arrears were susceptible to having certain bookings suspended until the account was made current. Denied that such advisement was intended to be or was in fact "threatening." OOCL never suspended BBBY's bookings. See e.g., APP 2247 (Thomas Schmeimann Tr. at 286:9-10).

The rail movement of long dwell containers happened because OOCL worked with its inland transportation logistics company ESI and BNSF Railroad to arrange for the transportation of 330 long-dwell containers from LALB to Dallas, TX and Savannah, GA. APP 857 (Patrick Hackett Tr. at 174-176); APP 1854-1855 (Gavin Murdoch Tr. 212:16-215:4). OOCL did not charge for rail transportation, and waived detention charges while the containers were in transit by rail. APP 2228-2229; 2229 (Gavin Murdoch Tr. at 213:23-215:4; 217:10-22).

CPFF 418. In late 2021/early 2022, BBY's senior logistics employee Reid Klosowsky took an unusual step of visiting OOCL's LA/LB terminal and personally witnessed that conditions arising from the glut of containers had basically slowed the flow of containers from the terminal to a halt. *See* Ex. 381 (McCown Report) ¶ 166 ("BBY senior logistics employee Reid Klosowsky visited the OOCL terminal and personally witnessed that conditions arising from the glut of containers that had basically slowed the flow of containers from the terminal to a halt, despite BBY (and other shippers') best efforts to move cargo") [APP-3789-3790]; Klosowsky Dep. 101:15-103:14 ("So this is towards the end of December, early January of 2022. So about a month prior, maybe two months prior, November, I had visited the OOCL terminal that – in Long Beach that the product was moving through and I met with the terminal operator there and I think there were some OOCL employees on that trip as well, but what we noticed there I think this where we got the idea of trying to take these containers that were on port for which we were having difficulty moving because there weren't chassis available, and the way it normally happens, I mean, we have a predictable flow, these containers were landing in big batches because they were being delayed at origin, and so big groups of containers were getting onto one ship and they weren't coming in on a nice even pattern, and then, of course, the ships being anchored at that time, freight would arrive in big chunks and then there weren't, you know, dray carriers or chassis available, and then at the beginning of the e-mail string, what reminded me was that when I was at the port of Long Beach terminals, I visited a number – I don't remember each individual terminal that I visited, I saw that there wasn't a lot of freight coming off the ports universally, not just for Bed Bath, but for everyone, there were a lot of containers stacking up at the port, and one thing that I noticed or that we discussed in that meeting was that a lot of the containers that normally would ship with an intermodal rail service in land had stopped and there were a few very large shippers who had I guess decided to – because of the delays, to – instead of railing the product inland to places like Chicago and Dallas where they would work it at their DCs, they decided to take those containers locally. So we saw trains positioned at the ports that were empty, that were nothing.") [APP-1261-1262]; McCown Dep. Tr. 271:18-272:18 ("Yeah, you know, I don't have specific information on every communication that Bed Bath and Beyond Had. I reject completely the notion that there wasn't communication. I point to a vice president of BBY showing up at the Long Beach Terminal walking around. That's not something you normally have a shipper doing. I mean, that's somebody that was screaming, you know, this isn't working for us. I just – so I reject the notion that there was not – I even reject the notion that there was not daily communication on each one of those things. I do not have documents to show that. You know, we have e-mails at the top of the chain that kind of suggest what sort of verbal communication was going on, but I'm highly confident from everything that I read that there was no – nobody at OOCL could say, wow, we never heard any – we thought everything was just going swimmingly for Bed Bath & Beyond. That's a – that's a ridiculous supposition.") [APP-1504].

RESPONSE: Denied. There is no evidence that the flow of containers came to a halt. See FMC Annual Report No. 60 at 11:

"It should be noted, however, that America's ocean transportation system, though strained by unprecedented demand, did in fact continue to function and processed and delivered record amounts of cargo even while dealing with COVID-related constraints. Despite wide-spread predictions of empty shelves and shortages of essential goods during the

holiday shopping season, most Americans experienced no major disruptions thanks in large measure to shippers that altered their supply chain expectations, transportation and logistics companies that came up with innovative solutions, and tens of thousands of workers who refused to let the system fail.”

What is evident is that at this time, BBBY’s warehouses were full and they were continuing to ship large volumes of containers to Southern California. BBBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett’s letter of October 18, 2021, complaining about OOCL’s DD charges, BBBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBBY was one of the shippers who “were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn’t absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn’t digest it.”). In September 2021, BBBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161-24); RX-000979-996 (Ex. 201).

BBBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBBY had a practice of “holdbacks,” that is, leaving containers at its warehouses containing goods that were not needed at BBBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBBY’s Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

BBBY continues to rely upon generalized complaints about congestion and purported reasons why containers could not be picked up or returned, but no evidence has been presented in this case as to why each container could not be picked up or returned. BBBY's Reid Klosowsky acknowledged that OOCL has "a customer service team that reviews each individual shipment" and the burden of proof was on BBBY. APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.*, APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

Also, to the extent that Complainant suggests that Mr. Klosowsky's visit to the LA/LB terminal was caused by any purported disputes that BBBY had with OOCL at the time, OOCL denies same. While Mr. Klosowsky did not identify the impetus for his visit to the port of LA/LB, he testified that he "visited a number" of terminals and that he did not "remember each individual terminal," but "saw that there wasn't a lot of freight coming off the ports universally, not just for Bed Bath, but for everyone."

CPFF 419. BBBY provided to OOCL documentation and justifications for disputed detention and demurrage charges. *See* Klosowsky Dep. Tr. 91:10-92:5 ("Q. Okay. Examples. But my question to you is a little bit more specific, and that is, as to each one of these containers, and we're talking about an amount that is in excess of a thousand containers for detention charges and obviously a multitude of containers with respect to demurrage charges, for each of those containers, did Bed Bath ever provide any documentation or evidence to OOCL showing why the detention and demurrage charges should be reversed? MR. HILL: Objection to form. A. My recollection is we did. Maybe not for every last container on that list – I don't know, I'm not in a position to comment on that – but my recollection is that we did submit reasons for the feeling that it was being egregiously or overcharged.") [APP-1259].

RESPONSE: Denied. First, the quoted testimony does not support the conclusion that "BBBY provided to OOCL documentation and justifications for disputed ... charges". Mr. Klosowsky testified:

Q. But rather than a general complaint about being overcharged, what I'm looking for though is specifically with respect to each one of these containers, was there an explanation or justification provided to OOCL supporting the fact that Bed Bath was not responsible for the charge as to a particular container?

MR. HILL: Objection.

Asked and answered.

**You can answer, Mr. Klosowsky,
to the extent you have an answer
different from anything you
previously said.**

**A. I don't have an answer
different. I don't know.**

APP 1259 (Reid Klosowsky Tr. 92:6-22).

BBBY continues to rely upon generalized complaints about congestion and purported reasons why containers could not be picked up or returned, but no evidence has been presented in this case as to why each container could not be picked up or returned. BBBY's Reid Klosowsky acknowledged that OOCL has "a customer service team that reviews each individual shipment" and the burden of proof was on BBBY. APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

CPFF 420. An OOCL employee admitted that they "tend not to give them extra space that's going to cost a lot of money when they already owe you so much." *See* Forminio Dep. Tr. 200:20-201:18 ("Service contract space, no. But if a customer owes a significant amount for a significant amount of time, you would tend not to give them extra space that's going to cost a lot of money when they already owe you so much. Get your account current, and then we'll give you extra space. That's the only thing. You know, it was a question of outstanding charges. Whatever the charges were – freight, ocean freight – I have no idea what it was. But for extra space, when you're talking about large volumes at high rates, you're just going to add more on the outstanding funds that are owed. So there might be a step taken back until the account is brought current, their finances are brought current, and then everything's fine. But it would certainly not affect the contracted space that we gave them under their regular contract.") [APP-654].

RESPONSE: Admitted that Donna Forminio testified as set forth above.

CPFF 421. On October 18, 2021, Patrick M. Hackett, BBBY's Director of International Supply Chain, acting on behalf of BBBY to mitigate damages, sent a letter to OOCL (the "October 2021 Letter"), explicitly putting OOCL on notice regarding OOCL's misalignments with the FMC guidance on reasonable demurrage and detention practices, stating in part:

We strongly believe that the actions of your company in assessing the charges in question [are] not in the spirit of the Federal Maritime Commission's guidance as to what constitutes reasonable demurrage and detention practices. Therefore, with Port of Los Angeles/Long Beach congestion forecasted to continue into the foreseeable

future, BBB[Y] is hereby putting OOCL on notice that we expect to from the date of this correspondence forward be exempt from detention and demurrage charges that are not proven to be caused by our actions, and over which we have no control. Further, we request a full refund of all such charges.

See 1AC ¶ 139 [APP-74]; Dep. Ex. 4 (October 21 Letter) [APP-2936].

RESPONSE: Admitted that Patrick Hackett signed and sent the October 18, 2021 letter. The signatory of the two letters that form the basis of this claim, Patrick Hackett, BBY's Director of International Supply Chain, testified that he had no intention of threatening to bring a claim to the FMC by sending his October 18, 2021 letter to OOCL. APP 829 (Hackett Tr. 63:21-64:15).

Despite Mr. Hackett's sworn testimony that he never intended a threat by his letter, BBY nevertheless asserts on page 72 of its brief that "[o]n October 18, 2021, BBY conveyed a threat to file a complaint with the FMC to OOCL, the October 21 Letter."

Further, the second letter Mr. Hackett signed made no reference to the FMC. APP 3307-3308 (Ex. 177, Patrick Hackett letter of February 9, 2022).

References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.

CPFF 422. On February 9, 2022, Mr. Hackett followed up with OOCL to reiterate OOCL's failure to meet its service commitments and their outrageous charges, stating:

"As you are aware, on October 18, 2021 I sent you a letter setting forth the cost and harm being caused to my company, Bed Bath & Beyond Inc. ("BBB"), due to issues in obtaining pick-up and return containers when such appointments were provided. Further, as these conditions were causing BBB[Y] to accrue substantial detention and [d]emurrage charges for conditions we were not responsible for, we asked to be reimbursed for past charges and exempted from future charges. To date, OOCL's response has been to change noting, and to continue to act in a manner detrimental to BBB[Y] which we believe to be unfair and unsupportable. In addition to the port issues described above, we believe that operational actions of your company have also placed undue burdens and expenses on BBB[Y]."

See Dep. Ex. 177 (February 2022 Letter) at -5486 [APP-3307].

RESPONSE: Admitted that Patrick Hackett signed and sent the February 9, 2022 letter. Hackett, BBY's Director of International Supply Chain, testified that testified that to his knowledge an analysis to determine whether or not OOCL provided all of the space it said it was going to provide was never done. APP 887 (Patrick Hackett Tr. at 294:5-10). Mr. Hackett is the same man who nevertheless signed a letter to OOCL claiming that OOCL had not met its container space commitments. APP 3307-3308 (Ex. 177, February 9, 2022 letter signed by Patrick Hackett).

Hackett admitted that there was never an agreed MQC breakdown "by week or by month."

APP 859 (Patrick Hackett Tr. 183:15-184:4). He admitted that he added the graph at the bottom of the February 9, 2022 letter, which reflected the volume actually moved under the two service contracts in place in 2021. APP 860 (Patrick Hackett Tr. 186:7-22). Mr. Hackett admitted that he only knew what was carried rather than the amount of space that OOCL provided. APP 860 (Patrick Hackett Tr. 189:13-20). He assumed the information regarding the amount carried came from Yusen, but he did not remember. APP 860-861 (Patrick Hackett Tr. 189:22-190:6). Mr. Hackett did not know whether BBY or Yusen ever tracked all of the container space that OOCL allocated but which BBY did not use during the pandemic years. APP 861 (Patrick Hackett Tr. 190:7-20). He did not know whether BBY verified that in each case where a booking was declined, that it was the correct service loop. APP 861 (Patrick Hackett Tr. 190:21-191:2). He did not know whether BBY or Yusen verified that for every booking declination that the booking was timely made in accordance with guidance that OOCL provided. APP 861 (Patrick Hackett Tr. 192:12-20). Mr. Hackett did not know for every booking request that was declined whether BBY or Yusen verified that the booking was made in accordance with the cargo allocation provided by OOCL. APP 862 (Patrick Hackett Tr. 194:9-18).

CPFF 423. On February 2, 2022, BBY employee Reid Klosowsky wrote an email to OOCL in which Klosowsky cited systemic factors as the basis for requesting abatement of certain of the D&D Charges. See OOCL 000000005125 (-5125-26) (email from BBY employee Reid Klosowsky to OOCL employees detailing inter alia port congestion issues, shipping delays, and other forces outside of BBY's control as the basis of certain of OOCL's detention and demurrage charges assessed against BBY and seeking abatement from OOCL.) [APP-4091-4092].

RESPONSE: Admitted that Reid Klosowsky sent the February 2, 2022 email. However, at deposition, he testified that “we were asked to provide all of the documentation to substantiate our claim, and so the burden of proof I think was on us.” APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. See, e.g., APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

CPFF 424. On February 9, 2022, Klosowsky sent the February 2022 Letter, which reiterated that OOCL's detention and demurrage charges against BBY were unreasonable in light of the pandemic. “Shipping delays at origin and anchoring delays at destination, none of which were contributed to by BBY, caused our containers to arrive in a bulk manner that could not reasonably be picked up in a way that would maximize container flow, resulting in port backlogs and detention and demurrage charges.” Ex. 177 (February 2021 Letter) at OOCL_00000005486 (emphasis added) [APP-3307].

RESPONSE: Denied. Patrick Hackett signed and sent the February 9, 2022 letter. APP 3307-3308 (Ex. 177). Hackett, BBY's Director of International Supply Chain, testified that testified

that to his knowledge an analysis to determine whether or not OOCL provided all of the space it said it was going to provide was never done. APP 887 (Patrick Hackett Tr. at 294:5-10). Mr. Hackett is the same man who nevertheless signed a letter to OOCL claiming that OOCL had not met its container space commitments. APP 3307-3308 (Ex. 177, February 9, 2022 letter signed by Patrick Hackett).

Mr. Hackett admitted that there was never an agreed MQC breakdown “by week or by month.” APP 859 (Patrick Hackett Tr. 183:15-184:4). He admitted that he added the graph at the bottom of the February 9, 2022 letter, which reflected the volume actually moved under the two service contracts in place in 2021. APP 860 (Patrick Hackett Tr. 186:7-22). Mr. Hackett admitted that he only knew what was carried rather than the amount of space that OOCL provided. APP 860 (Patrick Hackett Tr. 189:13-20). He assumed the information regarding the amount carried came from Yusen, but he did not remember. APP 860-861 (Patrick Hackett Tr. 189:22-190:6). Mr. Hackett did not know whether BBY or Yusen ever tracked all of the container space that OOCL allocated but which BBY did not use during the pandemic years. APP 861 (Patrick Hackett Tr. 190:7-20). He did not know whether BBY verified that in each case where a booking was declined, that it was the correct service loop. APP 861 (Patrick Hackett Tr. 190:21-191:2). He did not know whether BBY or Yusen verified that for every booking declination that the booking was timely made in accordance with guidance that OOCL provided. APP 861 (Patrick Hackett Tr. 192:12-20). Mr. Hackett did not know for every booking request that was declined whether BBY or Yusen verified that the booking was made in accordance with the cargo allocation provided by OOCL. APP 862 (Patrick Hackett Tr. 194:9-18).

While port congested existed, it did not affect OOCL’s ships from reached the berth at LBCT in Southern California. Further, BBY has presented no evidence that such congestion caused the failure to pick up or return any particular container. At deposition BBY’s Reid Klosowsky testified that: “we were asked to provide all of the documentation to substantiate our claim, and so the burden of proof I think was on us.” APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.*, APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

What is evident is that at this time, BBY’s warehouses were full and they were continuing to ship large volumes of containers to Southern California. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett’s letter of October 18, 2021, complaining about OOCL’s DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10)

(BBBY was one of the shippers who “were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn’t absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn’t digest it.”). In September 2021, BBBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161-24); RX-000979-996 (Ex. 201).

BBBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBBY had a practice of “holdbacks,” that is, leaving containers at its warehouses containing goods that were not needed at BBBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBBY’s Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

CPFF 425. OOCL was aware that BBBY was experiencing issues moving cargo shipped by OOCL during the pandemic in part due to port congestion issues. See McCown Dep. Tr. 271:18-272:18 (“Yeah, you know, I don’t have specific information on every communication that Bed Bath & Beyond had. I reject completely the notion that there wasn’t communication. I point to a vice president of BBBY showing up at the Long Beach Terminal walking around. That’s not something that you usually have a shipper doing. I mean, that’s somebody that was screaming, you know, this isn’t working for us. I just – so I reject the notion that there was not – I even reject the notion that there was not daily communication on each one of these things. I do not have documents to show that. You know, we have e-mails at the top of the chain that kind of suggest what sort of verbal communication was going on, but I’m highly confident from everything else that I read that there was no – nobody at OOCL could say, wow, we never heard any – we thought everything was just going swimmingly for Bed Bath & Beyond. That’s a – that’s a ridiculous supposition.”), 274:16-19 (“Were these congestion issues well known to everyone involved in the supply chain, including the ocean carriers?”); 274:22 (“Yes, most definitely.”) [APP-1504-1505].

RESPONSE: Denied. While generalized port congested existed, it did not affect OOCL’s ships

from reached the berth at LBCT in Southern California. APP 1724 (Jim Mitchell Tr. at 189:12-17). Further, BBY has presented no evidence that such congestion caused the failure to pick up or return any particular container. At deposition BBY's Reid Klosowsky testified that: **"we were asked to provide all of the documentation to substantiate our claim, and so the burden of proof I think was on us."** APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

What is evident is that at this time, BBY's warehouses were full and they were continuing to ship large volumes of containers to Southern California. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161:24); RX-000979-996 (Ex. 201).

BBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBY had a practice of "holdbacks," that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBY's Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the

pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

CPFF 426. The impacts of the pandemic were unprecedented. *See* Ex. 381 (McCown Report) ¶ 171 (“Supply chain disruptions happened frequently during the pandemic. Planned shipping schedules for imports were disrupted. There were bottlenecks followed by sudden release of containers, causing significant challenges in managing the flow and reacting to the timing.”) [APP-3790-3791]; Young Dep. Tr. 79:11-80:12 (“Because another issue was that while there was so much cargo coming in and we were loading them onto rail cars and distributing them on land, we rely on return cargo or export cargo or empties to come back to replenish the rail cars within the port. And because there was containers that were just stuck or sitting because they couldn’t unpack it, the empties weren’t coming back. Exports were lower than normal. And so we had situations where rail cars were all in the wrong place. So the president set up what he called the White House Envoy to coordinate meetings with all the stakeholders to try to see what we can do to improve the flow of cargo and ensure that we don’t have a situation – and it did happen a couple times that we had a vessel that came into one of the LA ports and it couldn’t work because there was nowhere to discharge and put the containers. So she sat there waiting for the containers to move so they could discharge the vessel. It was a very, very fraught time and I’ve never known anything like that in my life.”) [APP-2843]; Devine Dep. Tr. 126:12-14 (“Q. Is it fair to say the congestion issues arose at ports during the pandemic? A. It’s fair to say that.”) [APP-444]; Forminio Dep. Tr. 167:19-170:17 (“Q. What were the effects of COVID in China before the major shutdowns in the U.S. in March of 2020? A. We knew about COVID prior to it coming here. We knew it was a factor in China probably November. Q. Yes. And what effects did COVID have on OOCL’s operations in China? A. At first, it really wasn’t anything. I mean, it had happened before. There was SARS. There were all different kinds of things that had happened previously. It wasn’t anything initially that was too concerning until it started to gain a little traction. At first, it was small shutdowns, or, you know – but nothing really happened, probably, until early 2020, where things started to get a little tight. Things were being shut down, ports were being shut down, cities were being shut down. Truckers couldn’t get from one city to another. It started getting a little crazy after the first of the year. But we knew that something was going on prior to that, but nobody had any idea it was going to turn into what it in turned into. Q. And what effect did that have on OOCL’s ability to ship the cargo worldwide? MR. LETOURNEAU: Objection to form. OOCL doesn’t ship cargo. Q. What effect did that have on OOCL’s ability to meet the minimum quantity commitments it had negotiated under its service contracts with BCOs? A. When a port was shut down or a terminal was shut down or a vessel had a crew that was infected with COVID, they couldn’t make the calls. So despite the fact that there was cargo booked, they couldn’t load. A trucker might have the cargo somewhere in a province, and they couldn’t get into the port because that province was closed down. If the vessel had somebody on board with COVID, they wouldn’t let them in the port. Longshoremen to work the port, ships wouldn’t call. So it affected absolutely everything. There was no aspect of the supply chain that wasn’t affected. Warehousing – there was nobody to load. At the customers’ level, they had warehouses that couldn’t open. It was just something that we had never seen before. I had never seen

before. You just couldn't plan because you didn't know what was going to happen the next day. It was quite difficult."), 171:24:172:17 ("Q. So how did OOCL's experience with the COVID shutdown in 2020 affect its service contract negotiations for the 2021 shipping year? MR. LETOURNEAU: Objection. Form. You can answer if you know. A. I think everybody was shellshocked. By that time, they were talking about rates at a different level because of the market. And everybody was worried about space, and so were we. Nobody knew what was going to happen. We were still in the midst of this situation that we had no control over. So it was a little bit difficult. It was a difficult negotiation year that year.") [APP-646-647].

RESPONSE: Admitted that the impacts of the pandemic were unprecedented.

CPFF 427. BBY encountered long dwell containers at LA/LB ports in late 2021 due to large batches arriving at once. *See* Ex. 381 (McCown Report) ¶ 165 ("For example, BBY encountered issues with "long dwell" containers at the LA/Long Beach ports in late 2021 due to large batches arriving at once, causing chassis and dray carrier shortages."), ¶ 171 ("Supply chain disruptions happened frequently during the pandemic. Planned shipping schedules for imports were disrupted. There were bottlenecks followed by sudden release of containers, causing significant challenges in managing the flow and reacting to the timing.") [APP-3789; APP-3790-3791]; Dep. Ex. 166 [APP-3293-3306]; Porter Dep. Tr. 127:23-128:10 ("Like, the containers didn't off-ship according to their, you know, their plan from the import team. So instead of everything kind of flowing in consistently, there was many times where everything just got bottlenecked and then everything got released at once. So instead of having a flow, it was more like a stoppage, like truly, like a plumbing stoppage. It opens, stuff came out. It got packed up. So it was not a consistent flow. And every time you have that, no matter how great the plan and preparations are, you know, it's a challenge to react when it flows that way.") [APP-2151]; D'Alfonso Dep. Tr. 30:2-7 ("Do you recall during this time frame, in October/November of 2021, an issue of long-dwell containers on the west coast involving Bed Bath? A. I believe that's when it started to originate.") [APP-323].

RESPONSE: Admitted that BBY experienced long-dwell containers in LALB in the fall of 2021. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161-24); RX-000979-996 (Ex. 201).

BBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBBY had a practice of “holdbacks,” that is, leaving containers at its warehouses containing goods that were not needed at BBBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBBY’s Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

CPFF 428. The glut of containers had basically slowed the flow of containers from the terminal to a halt. *See* Klosowsky Dep. Tr. 101:15-103:14 (“[In November 2022] I had visited the OOCL terminal that – in Long Beach that the product was moving through and I met with the terminal operator there and I think there were some OOCL employees on that trip as well, but what we noticed and this is where we got the idea of trying to take these containers that were on port for which we were having difficulty moving because there weren’t chassis available, and the way it normally happens, I mean, we have a predictable flow, these containers were landing in big batches because they were being delayed at origin, and so big groups of containers were getting onto one ship and they weren’t coming in on a nice even pattern, and then, of course, the ships being anchored at that time, freight would arrive in big chunks and then there weren’t, you know, dray carriers or chassis available, and then at the beginning of the e-mail string, what reminded me was that when I was at the port of Long Beach terminals, I visited a number – I don’t remember each individual terminal that I visited, I saw that there wasn’t a lot of freight coming off the ports universally, not just for Bed Bath, but for everyone, there were a lot of containers stacking up at the port, and one thing that I noticed or that we discussed in that meeting was that a lot of the containers that normally would ship with an intermodal rail service in land had stopped and there were a few very large shippers who had I guess decided to – because of the delays, to – instead of railing the product inland to places like Chicago and Dallas where they would work it at their DCs, they decided to take those containers locally. So we saw trains positioned at the ports that were empty, that were nothing.”) 105:20-106:15 (“I was actually quite shocked to see that during the peak period how little was coming off the ports like the, you know, the highways in and out were almost empty when I visited in that kind of late October, early November is what I recall.”) [APP-1261-1263]; Soban Dep. Tr. 18:15-24:20 (“And because of the backlog and ... equipment shortages, because of the driver shortages, and all the backlog, not only in the – at the port – inside the port, but outside, you had to become creative..”) [APP-2435-2436]; Ex. 381 (McCown Report) ¶ 166 [APP-3789-3790].

RESPONSE: There is no evidence that the flow of containers came to a halt. See FMC Annual Report No. 60 (Fiscal Year 2021)(October 1, 2020-September 30, 2021)(available at: <https://www.fmc.gov/wp-content/uploads/2022/04/60thAnnualReport.pdf>) issued on March 31, 2022, RX-002160-2238. What is evident is that at this time, BBY's warehouses were full and they were continuing to ship large volumes of containers to Southern California. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161:24); RX-000979-996 (Ex. 201).

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BBY continues to rely upon generalized complaints about congestion and purported reasons why containers could not be picked up or returned, but no evidence has been presented in this case as to why each container could not be picked up or returned. BBY's Reid Klosowsky acknowledged that OOCL has "a customer service team that reviews each individual shipment"

and the burden of proof was on BBY. APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

CPFF 429. This issue was not unique to BBY. *See* Ex. 381 (McCown Report) ¶ 168 (“The congestion issue was not unique to BBY. In fact, other large importers were also dealing with a glut of containers that eliminated capacity to obtain chassis and dray carriers.”) [APP-3790]; Klosowsky Dep. Tr. 101:15-103:14 (“I saw that there wasn’t a lot of freight coming off the ports universally, not just for Bed Bath, but for everyone, there were a lot of containers stacking up at the port”); 105:20-106:15 (“Now, again, this was the conversation I had I believe with representatives of OOCL there where they were showing me that some of their larger shippers who normally use container service on the rail to move their products inland had stopped that practice and were receiving those containers, which represented many thousands of containers, I believe. In my view, that took away capacity for chassis, local dray carriers, and other shippers like Bed Bath and others. I think there was a universal issue there.”) [APP-1261-1263]; Devine Dep. Tr. 104:10-105:10 (“Q. Okay. So were there complaints about demurrage based on a lack of appointments to pick up containers? A. I don’t know of a specific right now that I can refer to at this point, in this moment in time. But were there complaints made? No doubt.”) [APP-438]; Soban Dep. Tr. 188:15-20 (“The reason why we did that was not because Bed Bath decided, but it is related to all of the factors around that time that not only Bed Bath, but many and all of the importers were experiencing.”) [APP-2477].

RESPONSE: Admitted that shippers were impacted by pandemic conditions; otherwise denied.

CPFF 430. Port congestion issues worsened through the pandemic years 2020-2022. *See* Young Dep. Tr. 85:17-86:8 (“Q. Do you recall whether these port congestion issues got worse over time during this time period of the pandemic – 2020 through 2022? A. Yes. Q. How did they get worse? A. They got worse until the port envoy started putting pressure on people, even to the degree that General Lyons called importers and said, ‘You’ve got to get these containers off the terminal because they’re causing congestion.’ Like you mentioned earlier, because they had containers sitting there, they were having to store containers around, which buried some of the containers and caused other problems as well.”) [APP-2844-2845].

RESPONSE: Admitted. However, BBY’s supply chain management created the problems that it encountered. BBY’s warehouses were full and they were continuing to ship large volumes of containers to Southern California. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett’s letter of October 18, 2021, complaining about OOCL’s DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the

shippers who “were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn’t absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn’t digest it.”). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161-24); RX-000979-996 (Ex. 201).

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A. Correct.

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BBY continues to rely upon generalized complaints about congestion and purported reasons why containers could not be picked up or returned, but no evidence has been presented in this case as to why each container could not be picked up or returned. BBY’s Reid Klosowsky acknowledged that OOCL has “a customer service team that reviews each individual shipment” and the burden of proof was on BBY. APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

CPFF 431. Port congestion led to containers being unable to be picked up. *See* Young Dep. Tr. 85:17-86:8 (“Q. Do you recall whether these port congestion issues got worse over time during

this time period of the pandemic – 2020 through 2022? A. Yes. Q. How did they get worse? A. They get worse until the port envoy started putting pressure on people, even to the degree that General Lyons called importers and said, ‘You’ve got to get these containers off the terminal because they’re causing congestion.’ Like you mentioned earlier, because they had containers sitting there, they were having to store containers around, which buried some of the containers and caused other problems as well.”) [APP-2844-2845].

RESPONSE: Denied as to BBY. BBY’s supply chain management created the problems that it encountered. BBY’s warehouses were full and they were continuing to ship large volumes of containers to Southern California. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett’s letter of October 18, 2021, complaining about OOCL’s DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who “were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn’t absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn’t digest it.”). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161-24); RX-000979-996 (Ex. 201).

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CPFF 432. A lack of space in distribution centers, caused by unneeded merchandise and processing delays, contributed to the problem. *See* Soban Dep. Tr. 231:5-232:10 ("Q. From your experience, was there a lack of space in distribution centers? A. At times, yes. Q. What caused such a lack of space in distribution centers? A. Merchandise that was not needed at the time it arrived. Procurement – I'm not entirely sure. But yes, there were delays in processing the freight at the DCs. Q. Was it about containers that could not be returned, to some extent? A. To an extent, yes, because the DC was running out of space, and the containers were creating a jam in the parking lot. Maneuvering the containers around contributed to this issue. A lack of allocations, a lack of personnel or labor at the DC, and sometimes just processing delays were the primary reasons. Space was not necessarily the main issue; it was more about processing delays. The DC was making changes to create additional racking space. I actually just remembered that. So the space not – was not necessarily called out as an issue; it was more of processing that was creating delays.") [APP-2488]; Porter Dep. Tr. 130:4-15 ("Q. Ms. Porter, do you recall any time period during the year 2021 when Bed Bath's container yards and some of its warehouses were at full capacity? A. Yes – as far as I remember, yes. Q. And what portion of the 2021 year would you say that some of Bed Bath's container yards and its warehouses were at full capacity? A. As far as I remember, it was probably September on.") [APP-2152].

RESPONSE: Admitted that the lack of space was caused in part by shippers ordering unneeded merchandise and by processing delays, and that this lack of space contributed to the congestion problem during the pandemic years. Notably, Seweryn Soban, BBBY's former Customs Compliance manager, testified that "merchandise that was not needed at the time it arrived" caused the lack of space in BBBY's distribution centers. APP 2488 (Seweryn Soban Tr. at 231:8-14). Demonstrably, BBBY's inability to forecast and anticipate customer purchasing patterns, this self-inflicted disruption" cannot possibly be attributable to OOCL. APP RX-00671-763 (Holli Etlin Declaration, ¶¶ 25, 26).

CPFF 433. Seasonal merchandise would be delivered late and also items would be only partially delivered and could not be shipped out until the entire item came in. *See* Soban Dep. Tr. 28:11-30:23 ("Q. In January of 2022, when you came on board for this project, were the warehouses in Southern California full? A. They were at capacity. Not 100 percent, but they were at capacity, and it just . . . Q. So when you say "they were at capacity," does that mean that a full container that's

delivered to the warehouse or distribution center can't be unloaded because there's not enough space within the warehouse or distribution center? A. The containers were offloaded, and the merchandise was then put into the supply chain. What I described earlier, the whole process of mitigating the cost and getting the correct product delivered to the DC – the DCs were full of product that the stores and the merchandising team did not want because it was seasonal or whatever the case may be.”) [APP-2437-2438].

RESPONSE: Denied that any evidence exists to attribute seasonal merchandise delays to OOCL. By contrast, BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who “were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it.”). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161-24); RX-000979-996 (Ex. 201).

BBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBY had a practice of “holdbacks,” that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBY's Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

CPFF 434. Ocean carriers did not allow empty containers to be terminated at the East Coast destination, necessitating their return to the West Coast, which was costly and impractical. *See*

Soban Dep. Tr. 187:25-188:13 (“Bath & Beyond to terminate empty containers at destination. What that means – and I am sure you are aware – when a container landed at the east coast seaport, it was then outgated. And when the decision was made to rail that container to the east coast, the ocean carrier said, yeah, Bed Bath, too bad. It was your decision, and you have to bring those containers back to west coast, empty containers, and then terminate them at the seaport you outgated them”) [APP-2477].

RESPONSE: Denied. The above quoted testimony makes no reference to OOCL, and there is no evidence in the record to this effect as it pertains to OOCL.

CPFF 435. BBY faced many challenges in loading cargo, particularly due to frequent operation issues such as dropped port calls, that often led to significant amounts of cargo being left unshipped, despite having sufficient freight to meet allocations. *See* Forminio Dep. Tr. 275:14-278:12 (“Q. So, Ms. Forminio, you wrote in this email, ‘All we do is discuss and hit a brick wall every way we turn. I would love some suggestions on how to improve what is out of our control, Raphael. We have the data and it’s the same every week. We have enough cargo to fill our allocation twice over and we can’t get it loaded.’ You continue, ‘We drop ports every two minutes and throw off what we do have booked. We waste hours on CSAL swaps which no one pays attention to because it’s too late or too difficult.’ It sounds like you’re very frustrated in this email. A. You think? Q. So is it fair to say that this was a common problem during this time period? A. It was, yes. Q. Yes. A. As I said, it was very, very frustrating. And what I’m saying about dropping ports, it’s in my little notes. On the one service, the Vietnam service – going back to the Vietnam situation – we had two places we called, Ho Chi Minh and Hai Phong, and they were always dropping the Hai Phong call, and we had all this cargo and we couldn’t load it. So it was very frustrating to be called out and saying you’re not making your number, but this is why we’re not making our number. And we have the freight; it’s just frustrating not to load it. It’s frustrating not to take care of the customer. It’s frustrating to be questioned on your ability to do your job. So I was frustrated in this particular case.”) [APP-673-674].

RESPONSE: OOCL denies the proposition in the first sentence above. The above quoted testimony of Donna Forminio makes no reference to BBY and cites to no specific instances involving BBY. Exhibit 43, a string of emails from October 2020, which is the subject of this portion of Ms. Forminio’s examination, makes no reference to BBY. It does not follow from the testimony and Exhibit 43 that the proposition in the first sentence occurred.

CPFF 436. BBY incurred significant expense and invested significant resources into trying to deal with the challenging extrinsic conditions that resulted from the pandemic. *See* Dep. Ex. 177. 177 (February 2022 Letter) at OOCL_0000005486 (discussing increased shipping costs BBY incurred as a result of OOCL’s conduct in light of supply chain issues resulting from the pandemic) [APP-3307-3308]; Dep. Ex. 166 at P-0000637228 (BBY encountered issues with “long dwell” containers at the LA/Long Beach ports in late 2021 due to large batches arriving at once, causing chassis and dray carrier shortages) [APP-3302]; Klosowsky Dep. Tr. 105:7-19 (“eventually, we did secure a train, we got those containers moved off the port, put on a train and then moved on a train, on a container service to Dallas where ultimately we worked all of the freight off of those containers, but that was – we were – that was a response to trying to move the containers that were essentially

locked at the port because there wasn't adequate service locally in southern California to get those containers out" [APP-1261]; Porter Dep. Tr. 128:11-16; 136:15-137:16 (during the pandemic BBY added a new warehouse facility to make room for containers) [APP-2151, -2153]; Soban Dep. Tr. 186:8-189:13 (BBY incurred significant costs in transshipping cargo to open distribution centers) [APP-2477].

RESPONSE: Admitted that BBY, like many companies across all sectors, invested resources into "trying to deal with the challenging extrinsic conditions that resulted from the pandemic." However, denied that OOCL caused or contributed to BBY's supply-chain problems. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161:24); RX-000979-996 (Ex. 201).

BBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBY had a practice of "holdbacks," that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBY's Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

Further, under merchant haulage, BBY was responsible for all drayage and inland transportation of its cargo. And OOCL experienced no delays in getting its ships to berth at LBCT in Southern California during the pandemic. APP 1724 (Jim Mitchell Tr. at 189:12-17).

CPFF 437. The chart below illustrates that a significant portion of the detention and demurrage charges OOCL assessed against BBY during the relevant time period occurred in periods when port congestion issues were spiking. Ex. 381 (McCown Report, Appendix C) [APP-3845-3928], Ex. 329 [APP-3358]; Donohue Dep. Tr. 43:5-10 (“Q. When did port congestion issues arise at the port of Long Beach? A. Around October 2021. Q. Is that the same for port of Los Angeles? A. Yes.”) [APP-545]; Young Dep. Tr. 75:9-12 (“Q. Do you recall the time period in which the port congestion issues began? A. During COVID, basically. During the whole COVID period.”) [APP-2842]; 85:17-22 (“Q. Do you recall whether these port congestion issues got worse over time during this time period of the pandemic – A. Yes. Q. – 2020 through 2022? A. Yeah, they did get worse.”) [APP-2844].

RESPONSE: Denied. BBY’s supply chain management created the problems that it encountered. The chart below correlates to precisely when BBY’s warehouses were full and they were continuing to ship large volumes of containers to Southern California. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett’s letter of October 18, 2021, complaining about OOCL’s DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who “were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn’t absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn’t digest it.”). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161:24); RX-000979-996 (Ex. 201).

BBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBY had a practice of “holdbacks,” that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBY’s Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

BBBY continues to rely upon generalized complaints about congestion and purported reasons why containers could not be picked up or returned, but no evidence has been presented in this case as to why each container could not be picked up or returned. BBBY’s Reid Klosowsky acknowledged that OOCL has “a customer service team that reviews each individual shipment” and the burden of proof was on BBBY. APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

CPFF 437.1. The Total D&D Charges Assessed by OOCL against BBBY chart (“Chart 1”) is based on Ex. 381 (McCown Report, Appendix C) [APP-3845-3928], Ex. 329 [APP-3358].

RESPONSE: Denied that Chart 1 is accurate. Further, there is no evidence as to who created the chart. John McCown admitted that he did not prepare Appendix C, does not know when or how it was prepared, had no information relating to all of the containers in Appendix C of his report (for which DD charges were assessed) as to whether BBBY ever provided any evidence or explanation why the charges should be reversed, whether BBBY ever submitted a claim or dispute through OOCL’s Demurrage and Detention Dispute Team email boxes, whether BBBY ever submitted any evidence or explanation to OOCL that BBBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491; 1491; 1491-1492 (John McCown Tr. at 219:9-14; 219:24-220:6; 220:25-224:13). Further, he testified that he had no information as to whether BBBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (John McCown Tr. at 224:14-22).

As far as Exhibit 329 is concerned, was produced by BBBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBBY. APP-3358 (Ex. 329, bates-

stamped P-353819). However, BBY's former general counsel David Kastin admitted he did not independently verify the information in the spreadsheet and testified:

Q And you would agree with me that none of the headings make reference to booking denials or refusals to carry, correct?

MR. REYNOLDS: Object to form.

You can answer.

A Those words are not on the column headings, correct.

Q Okay.

And do you see any text in the spreadsheet that refers to booking denials or refusals to carry?

A Those words are not used in the Excel spreadsheet.

Q Do you know what this spreadsheet is?

A A spreadsheet.

Q Yes. But what is it? What does it reflect?

A A lot of information about carriers and customer numbers and invoice numbers and bills of lading. It's the information under the headings.

Q Do you know who prepared it?

A I do not know what individual prepared it. I assume it came from Huth Reynolds, but I do not know.

...

Q. Okay.

But from your perusal of the

document, you cannot identify any containers concerning which OOCL allegedly denied a booking or refused to carry, correct?

MR. REYNOLDS: Object to form.

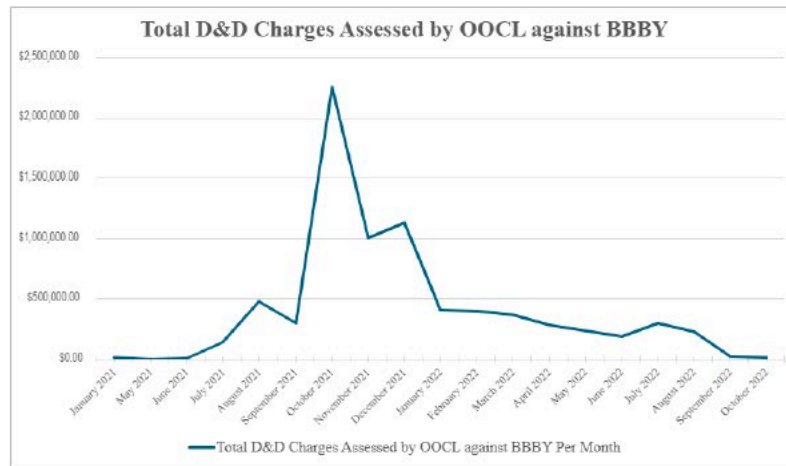
You can answer.

A Those words are not used on this document.

APP-1150-51 (Kastin Tr. 35:14-36:16; 38:10-18). David Kastin verified the truth of BBY's discovery response when it produced this document, yet it is evident he had no knowledge of its

content. The lack of authentication and absence of any logical connection to OOCL renders this spreadsheet of no value to the Presiding Officer and lends no support to BBY's claim.

Chart 1:



- E. Count II, Element 5: OOCL's policies and practices of assessing unreasonable detention and demurrage charges against BBY are the proximate cause of BBY's claimed losses. **Denied.**

CPFF 438. OOCL's practices and regulations are the proximate cause of the losses claimed by BBY.

RESPONSE: Denied. There is no evidence to support the above proposition. Quite to the contrary, OOCL provided the container space it said it was going to provide, APP 3039-3040 (Ex. 39), BBY did not deliver the number of loaded containers it said it was going to tender, APP 3039-3040 (Ex. 39), and the parties reached agreement on each service contract and amendment thereto (47 in all for shipping years 2020 and 201) before any charges were assessed. APP 3261-3292, 3360-3753 (Exs. 163, 332-379). Further, OOCL's freight, demurrage and detention rates were all within market. APP 1088 (Jensen Tr. 369:15-23) (rates charged by OOCL during the two shipping years at issue were competitive with the market); APP 1084 (Jensen Tr. 352:5 to 352:20); APP 3754-3936 (Ex. 384, Steffen Report at 24). As far as demurrage and detention, all inland container movements were merchant haulage, meaning BBY was responsible for picking up and redelivering the containers. APP 1026 (Jensen Tr. 118:18-119:2). [REDACTED] OOCL had a process to vet the charges and considered whatever evidence or explanation a shipper would provide in evaluating whether an operational adjustment was warranted. APP 2344, 2353 (Sha Tr. 188:6-189:21; 224:25 to 225:24); RX-000001 (Ex. 98, Tracy Sha's Excel Spreadsheet, OOCL0000253914).

BBY's Reid Klosowsky acknowledged that OOCL has "a customer service team that reviews each individual shipment" and the burden of proof was on BBY. APP 1265-1266 (Reid

Klosowsky Tr. at 117:11 to 119:4). BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

BBY's supply chain management created the problems that it encountered. The chart below correlates to precisely when BBY's warehouses were full and they were continuing to ship large volumes of containers to Southern California. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161:24); RX-000979-996 (Ex. 201).

BBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBY had a practice of "holdbacks," that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBY's Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

CPFF 438.1. This element has been established. *Infra* FOF.Arg.II.E.

RESPONSE: Denied.

CPFF 438.2. This element is undisputed.

RESPONSE: Denied.

III. Count III (“Conduct not in accordance with Service Contracts”): OOCL’s Provision of Service to BBY under the Service Contracts was not in Accordance with the Rates, Charges, Classifications, Rules and Practices Contained in the Service Contracts and Constitutes a Violation of 46 U.S.C. § 41104(a)(2). **Denied.**

A. OOCL’s actions of “systematically failing to meet its service commitments” were not in accordance with the rates, charges, classifications, rules and practices contained in the parties’ Service Contracts with BBY. **Denied.** OOCL provided the container space it said it was going to provide, APP 3039-3040 (Ex. 39), BBY did not deliver the number of loaded containers it said it was going to tender, APP 3039-3040 (Ex. 39), and the parties reached agreement on each service contract and amendment thereto (47 in all for shipping years 2020 and 201) before any charges were assessed. APP 3261-3292, 3360-3753 (Exs. 163, 332-379). Further, OOCL’s freight, demurrage and detention rates were all within market. APP 1088 (Jensen Tr. 369:15-23) (rates charged by OOCL during the two shipping years at issue were competitive with the market); APP 1084 (Jensen Tr. 352:5 to 352:20); APP 3754-3936 (Ex. 384, Steffen Report at 24). As far as demurrage and detention, all inland container movements were merchant haulage, meaning BBY was responsible for picking up and redelivering the containers. APP 1026 (Jensen Tr. 118:18-119:2). [REDACTED] OOCL had a process to vet the charges and considered whatever evidence or explanation a shipper would provide in evaluating whether an operational adjustment was warranted. APP 2344, 2353 (Tracy Sha Tr. APP 2344 (Sha Tr. 188:6-189:21; 224:25 to 225:24); RX-000001 (Ex. 98, Tracy Sha’s Excel Spreadsheet, OOCL0000253914).

CPFF 439. The 2020 Service Contract, as originally agreed to by BBY in good faith, required a minimum quantity commitment of 2,100 FEUs during the 2020 Service Contract year. *Supra* ¶ 29.2; [REDACTED]

RESPONSE: Admitted that OOCL’s 2020 Service Contract with BBY contained a minimum quantity commitment of 4,200 TEUs.

CPFF 440. [Intentionally left blank]

RESPONSE: No response is required.

CPFF 441. The 2021 Service Contract, as originally agreed to by BBY in good faith, required a minimum quantity commitment of 3,796 FEUs during the 2021 Service Contract year. *Supra* ¶ 31.1; *see also* Ex. 163 at P-0000008673 (2021 Service Contract, Section 3, “MINIMUM QUANTITY COMMITMENT(S): 7592 TEU”) [APP-3278].

RESPONSE: Admitted that OOCL’s 2021 Service Contract with BBY contained a minimum quantity commitment of 7,592 FEUs.

CPFF 441.1. BBY attempted to book this amount by diligently providing OOCL and other ocean carriers updated container forecasts; generally seeking to ship products with OOCL 60 days earlier than BBY’s regular practice to alleviate bottlenecks; and engaging third-party agents to make handle bookings on its behalf. *Supra* ¶¶ 22, 129.2, 130.2.

RESPONSE: Denied. APP 3039-3040, 3122-3144, 3145-3166 (Exs. 39, 66, 67); APP. RX-000612 (Ex. 387); See OOCL RPFs 486 to 495, 504, 505, 540, 542, 576 to 618.

CPFF 442. OOCL refused to meet its service commitments to BBY under the Service Contracts.

RESPONSE: Denied. Denied. APP 3039-3040, 3122-3144, 3145-3166 (Exs. 39, 66, 67); APP. RX-000612 (Ex. 387); See OOCL PPFs See OOCL RPFs 486 to 495, 504, 505, 540, 542, 576 to 618

B. OOCL’s actions of “seeking to coerce BBY to pay PSS and enter into premium rate contracts” were not in accordance with the rates, charges, classifications, rules and practices contained in its Service Contracts with BBY. Denied. The parties reached agreement on each service contract and amendment thereto (47 in all for shipping years 2020 and 201) before any charges were assessed. APP 3261-3292, 3360-3753 (Exs. 163, 332-379). There exists no evidence in the record that BBY’s signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. [REDACTED] APP 1177-1178 (David Kastin Tr. 144:17-147:22).

CPFF 443. The 2020 Service Contract, as originally agreed to by BBY in good faith, provided contract rates that BBY would pay OOCL for the services provided thereunder. [REDACTED]

RESPONSE: Admitted.

CPFF 444. The 2021 Service Contract, as originally agreed to by BBY in good faith, provided contract rates that BBY would pay OOCL for the services provided thereunder. [REDACTED]

RESPONSE: Admitted.

CPFF 445. OOCL extracted additional payments by coercing BBY to agree to PSS, with employee Marvic Chen explicitly stating, “Given what’s happening in [the] Spot market, NAG should take the chance to do some self-optimization if a handful of clients are willing to pay PSS, and reduce space on some of [the] lower pay cargo.”

RESPONSE: Denied. Complainant takes this quote out of context. The parties reached agreement on each service contract and amendment thereto (47 in all for shipping years 2020 and 201) before any charges were assessed. APP 3261-3292, 3360-3753 (Exs. 163, 332-379). There exists no evidence in the record that BBY’s signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. APP 3360-3753 (Exs. 332-379); APP 1177-1178 (David Kastin Tr. 144:17-147:22).

CPFF 446. The total cost differential BBY had to pay under the Service Contracts due to OOCL’s PSS pricing policies was approximately \$13.7 million. See P-0000801023 [PP-4418]; Ex. 330 (Tabs “SY 20”, “20 But For,” “20 Damages”, Tabs “SY 21”, “21 But For,” and “21 Damages”) [APP-3359]; 1AC ¶¶ 42, 51 [APP-49, 50]; Ex. 381 (McCown Report) ¶ 114 (Table 9) [APP-3778].

RESPONSE: Denied. References to BBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY’s CPFFs. As far as Ex. 330 is concerned, it was produced as an attachment to BBY’s supplemental responses to OOCL’s interrogatories. It is captioned “BBY Shipments with OOCL During the 2020-2021 Service Contract Term on Service Contract Lanes”, about which David Kastin testified:

Q. Do you know who prepared it?

A. I do not know which individual prepared it.

Q. Do you know when it was prepared?

A. I do not.

Q. Do you know the source of the data?

A. I do not. . .

Q. Sure. There’s no -- there’s no column references to booking date or when or where bookings were made, correct?

A. There are no columns with those words on it, correct.

Q. All right. Let's go on to the next tab. And the same would be true for this tab, which is identified at the bottom, "20 But For," that there is no reference to booking dates or when or where the bookings were made?

A. Those words are not used on this page.

Q. Okay. Let's go on to the next tab, which is identified as "20 Damages." And the same would be true for this tab, correct?

A. Correct.

Q. And if we go on to the next tab, which is tab "SY 21" -- and we'll scroll over to the right so you can see all of the columns. And you would agree with me that there's no reference to booking dates or when or where bookings were made, correct?

A. Those words are not used on the spreadsheet, correct.

Q. And if we go to the next tab, "21 But For," the same would be true for this tab; that there's no reference to booking dates or when or where bookings are made, correct?

A. Those words are not used, correct.

Q. And then last tab is "21 Damages." You would agree, again, there's no reference here to booking dates or when or where bookings are made, correct?

A. Those words are not used.

Q. Sorry. I didn't hear that.

A. Those words are not used.

Q. Okay. And it's a fair statement to say that you cannot verify the accuracy of any of the information set forth in this spreadsheet, correct?

MR. REYNOLDS: Object to form. You can answer.

A. I have no independent knowledge.

APP 1152-1153 (Kastin Tr. 42:19 to 42:21; 42:22 to 43:3; 44:10 to 46:13).

Further, there is no authentication and verification of the data in Table 9 of John McCown's report.

CPFF 447. Around January 2021, OOCL began pushing its premium contract program, pressuring BBY into signing premium rate contracts despite having already failed to meet its service commitments. *Supra* ¶ 291.

RESPONSE: Denied. There exists no evidence in the record that BBY's signatories signed any the service contracts or amendments thereto involuntarily or under threat of coercion.

APP 1177-1178 (David Kastin Tr. 144:17-147:22).

Secondary or so-called "premium" service contracts were developed by OOCL in response to market demand for additional space and were meant to offer BCOs who wanted more space than existing contracts could provide, access to additional vessel capacity at rates lower than rates being offered by NVOs. APP 1380 (Karen Lam Tr. at 165:10-167:20).

OOCL's secondary service contract rates were lower than rates NVOs were offering BCOs. APP 1398 (Karen Lam Tr. at 239:4-8); APP 1071 (Lars Jensen Tr. 300:4-301:7).

BBY was well aware that the secondary or premium contract was a separate space commitment from the traditional annual service contract that did not alter the amount of space under the annual service contract. APP 822; 823 (Patrick Hackett Tr. at 37:4-39:19). In any email dated January 21, 2021, BBY's Paul Pastor wrote the following to Pacy Chow at Yusen:

Pacy, follow up to OOCL premium rate contract we signed this week.

OOCL has put aside a separate allocation for BBB under this contract for weeks note below.

It is important we take advantage of this space.

Jim reached out to me today and noticed we have not used all the space for week 5 on the EXC services into the USEC. Please any orders that are not yet conformed for these lanes and that cargo is available, please try to use this space.

RX-001235-1237 (Ex. 292, P-0000179277).

OOCL offered secondary service contracts to select customers that OOCL knew were looking for additional space and came to OOCL “asking if we offered a premium contract, and Bed Bath & Beyond was one of those customers.” APP 1727 (Mitchell Tr. 201:6-15). The secondary service contracts were “a response to customer demand and the opportunity to secure additional space to supplement their primary contract.” APP 1730 (Mitchell Tr. 211:20-23). The secondary service contract was introduced in January 2021, and OOCL would file rates by individual extra loader, that is, per additional container ship. APP 1734 (Mitchell Tr. 229:4-8).

CPFF 448. BBY had no choice but to agree to pay PSS. *Supra* ¶ 288, 298.

RESPONSE: Denied. There is no evidence that OOCL engaged in a *quid pro quo* regarding PSS rates. Whether a customer agreed to a PSS, they would continue to receive the contracted space. APP 1725 (Jim Mitchell Tr. at 192:9-14). Bookings were not held up until a PSS was paid. APP 1729 (Jim Mitchell TR. at 207:12-15). If BBY said no to a PSS, OOCL would not pursue it. APP 1749 (Jim Mitchell TR. at 289:16-24).

Amendment No. 8 to the 2020 service contract presents a good example as to how these amendments were readily accepted by BBY. On November 20, 2020, Patrick Hackett wrote an email to Jim Mitchell at OOCL about extra loaders proposed by OOCL. He wrote:

“Jim....yes, we accept and thank you for the below space on these extra loaders. I'm cc'ing Laurie and Pacy from Yusen so we're all on the same page. If possible, can you just add the below rates into the amendment you just sent me this morning and resend to me and Paul later today/Monday so he can validate and then route for internal review/approval on Monday when he's back from vacation? If not, then just create/send us another amendment just for these rates. Thanks.”

RX-001150-1154 (OOCL_0000049048).

BBY's Director of International Supply Chain testified about how the amendments with OOCL were negotiated:

Q. And so this amendment would have been -- again, the details of it would have been negotiated between you and, presumably, Jim Mitchell at OOCL and you would present it to your management through Reid Klosowsky and then Juan Guerrero would sign off on it; fair statement?

A. That's the process, yes.

APP 825 (Hackett Tr. at 48:8-15).

Amendment No. 7 presents another good example of BBY's approval. Pat Hackett sent Jim Mitchell an email that said: "Jim, I approve, so please file. Paul will send you a signed copy ASAP. Thanks." APP 1183 (Kastin Tr. at 167:10-168:15).

CPFF 449. OOCL threatened to sell BBY's contracted space on the open market. *Supra* ¶ 288.

RESPONSE: Denied. Complainant cites no evidence in the record to support this alleged fact. Instead, Complainant's source, the speculative testimony of "expert" John McCown, is neither reliable nor persuasive evidence of this purported fact.

CPFF 450. OOCL threatened that BBY would be shut out of contracted space if it failed to agree to premium rate contracts. *Supra* ¶¶ 288, 298.

RESPONSE: Denied. Complainant cites no evidence in the record to support this alleged fact. Instead, Complainant's source, the speculative testimony of "expert" John McCown, is neither reliable nor persuasive evidence of this purported fact.

IV. Count IV ("Retaliation"): OOCL's Actions and Omissions Constitute Retaliation against BBY and a Violation of the Former 46 U.S.C. § 41104(a)(3) (Now Codified At 46 U.S.C. § 41102(d)). **Denied.**

A. Count IV, Element 1: BBY is a shipper.

CPFF 451. BBY is a shipper. *Infra* ¶ 6.

RESPONSE: Admitted.

B. Count IV, Element 2: BBY engaged in protected activity.

CPFF 452. On October 18, 2021, BBY conveyed a threat to file a complaint with the FMC to OOCL (the "October 2021 Letter"). *See* 1 AC ¶ 139 [APP-74]; Dep. Ex. 4 (October 21 Letter) at OOCL 0000224211 [APP-2936].

RESPONSE: Denied that the contents of the October 2021 Letter "conveyed a threat to file a complaint." The signatory of the two letters that form the basis of this claim, Patrick Hackett, BBY's Director of International Supply Chain, testified that he had no intention of threatening to bring a claim to the FMC by sending his October 18, 2021 letter to OOCL. APP 829 (Patrick Hackett Tr. 63:21-64:15). References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.

CPFF 453. The October 2021 Letter explicitly asserted that OOCL's practices, in particular its D&D Charges assessed to BBY, violated the Shipping Act, as Patrick M. Hackett, BBY's Director of International Supply Chain, emailed the first demand letter to OOCL, wrote, "We strongly believe that the actions of your company in assessing the charges in question is not in

the spirit of the Federal Maritime Commission’s guidance as to what constitutes reasonable demurrage and detention practices,” thereby explicitly putting OOCL on notice regarding OOCL’s misalignments with the FMC guidance on reasonable demurrage and detention practices. *See* 1AC ¶ 139 [APP-74]; Dep. Ex. 4 (October 21 Letter) [APP-2946].

RESPONSE: Denied that the text of the October 2021 Letter explicitly asserted a violation of the Shipping Act, or that it “conveyed a threat to file a complaint” or “put[] OOCL on notice regarding OOCL’s misalignments with the FMC guidance on reasonable demurrage and detention practices.” [APP-2946]. The signatory of the two letters that form the basis of this claim, Patrick Hackett, BBBY’s Director of International Supply Chain, testified that he had no intention of threatening to bring a claim to the FMC by sending his October 18, 2021 letter to OOCL. APP 829 (Patrick Hackett Tr. 63:21-64:15). Further, Patrick Hackett also testified that he “sent this exact letter out to every carrier that we were doing business with because we had similar issues with them that we had with OOCL.” APP 829 (Patrick Hackett Tr. at 63:4-16). References to BBBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY’s CPFFs. .

1. BBBY’s October 2021 Letter and other complaints are “protected activity.” Denied. The signatory of the two letters that form the basis of this claim, Patrick Hackett, BBBY’s Director of International Supply Chain, testified that he had no intention of threatening to bring a claim to the FMC by sending his October 18, 2021 letter to OOCL. APP 829 (Patrick Hackett Tr. 63:21-64:15). Further, Patrick Hackett also testified that he “sent this exact letter out to every carrier that we were doing business with because we had similar issues with them that we had with OOCL.” APP 829 (Patrick Hackett Tr. at 63:4-16).

CPFF 454. BBBY threatened to file a petition with the FMC, as indicated in the October 2021 Letter.

RESPONSE: Denied that BBBY’s letter expressed a threat to file a petition with the FMC. [APP-2946]. The signatory of the two letters that form the basis of this claim, Patrick Hackett, BBBY’s Director of International Supply Chain, testified that he had no intention of threatening to bring a claim to the FMC by sending his October 18, 2021 letter to OOCL. APP 829 (Patrick Hackett Tr. 63:21-64:15). Further, Patrick Hackett also testified that he “sent this exact letter out to every carrier that we were doing business with because we had similar issues with them that we had with OOCL.” APP 829 (Patrick Hackett Tr. at 63:4-16). References to BBBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBBY’s CPFFs.

CPFF 455. The October 2021 Letter explicitly mentioned challenging OOCL’s detention and demurrage charges because OOCL did not satisfy the guidelines issued by the FMC. *See* 1AC ¶ 139 [APP-74]; Dep. Ex. 4 (October 21 Letter) at OOCL-0000224211 (“We strongly believe that the actions of your company in assessing the charges in question [are] not in the spirit of the Federal Maritime Commission’s guidance as to what constitutes reasonable demurrage and detention

practices . . . we request a full refund of all such charges.”) [APP-2936].

RESPONSE: Denied that BBY’s letter “explicitly mentioned challenging OOCL’s detention and demurrage policies” before the FMC. The October 2021 Letter states BBY’s position that the detention and demurrage charges assessed by OOCL were “not in the spirit of the Federal Maritime Commission’s guidance. . .” [APP-2946]. References to BBY’s First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY’s CPFFs. The signatory of the two letters that form the basis of this claim, Patrick Hackett, BBY’s Director of International Supply Chain, testified that he had no intention of threatening to bring a claim to the FMC by sending his October 18, 2021 letter to OOCL. APP 829 (Patrick Hackett Tr. 63:21-64:15). Further, Patrick Hackett also testified that he “sent this exact letter out to every carrier that we were doing business with because we had similar issues with them that we had with OOCL.” APP 829 (Patrick Hackett Tr. at 63:4-16).

2. OOCL’s employees interpreted BBY’s October 2021 Letter as a threat to file the complaint with the FMC. **Denied.**

CPFF 456. Both BBY and OOCL considered BBY’s October 2021 Letter to be a threat to OOCL that BBY may file a complaint with the FMC.

RESPONSE: Denied. The signatory of the October 18, 2021 letter did not consider it a threat. APP 829 (Patrick Hackett Tr. 63:21-64:15). He also sent the exact same letter to every other carrier. APP 829 (Patrick Hackett Tr. at 63:4-16). The second letter made no mention of the FMC. APP 3307-3308 (Ex. 177).

The only time that an OOCL employee mentions the FMC in connection with the BBY dispute is when Mike Young wrote on February 16, 2022, that, “They seem to imply – **but have not provided evidence to qualify**, that they were not responsible for delays in Pick up - or MT return to our facility...If this is the case **and can be validated** —the DD should not be billed — per the FMC Final Rule” APP-5126 (Ex. 9, OOCL_0000055984).

CPFF 456.1. OOCL’s employees considered OOCL’s conduct to be retaliation against BBY. *See* Dep. Ex. 9 at -55984 (“Have we even evaluated the DD billed as correct They seem to imply [. . .] that they were not responsible for delays in Pick up – or MT return to our facility If this is the case and can be validated – the DD should not be billed – per the FMC Final Rule I agree with the attorney – to simply dismiss out of hand without investigation would create potential risk that the situation may be presented to the FMC”) (emphasis added) [APP-5126]; Dep. Ex. 186 at -65415 (internal draft OOCL response to a October 2021 Letter raising concerns with OOCL’s compliance with FMC rules) [APP-5130]; Dep. Ex. 76 at OOCL_0000055991 (“As we push to lower the MQC while the other issues are still under review, our worry is that BBB[Y] will perceive that we are retaliating against them due to the above issues and want to reduce our exposure – while increasing the rate.”) [APP-3195]; Dep. Ex. 68 at OOCL 0000134507 (“[T]he fact that we have other contracts with other parties on similar MQC and shipping pattern may potentially be construed that we are retaliating and holding our position to limit our carrying with BBB[Y] / If this is their perception – and they push this position – it would add weight to the congressional perception and

the Biden position.”) [APP-3168]; Dep. Ex. 134 at OOCL 0000115031 (-115033) [APP-2986]; Devine Dep. Tr. 277:14-279:13 (“Q. And you – when you said, “These are the same folks behind the threatening DD letter dated 18 October,” what letter were you referring to? A. Obviously, I’m referring to a letter that came from Bed Bath & Beyond dated October 18th. We’d have to pull that from the records. Q. What did you mean by “threatening”? A. Apparently, the letter must have been threatening; threatening support, threatening complaint, threatening by some nature. Threatening nonpayment. Threatening . . . Q. Why was that letter relevant to this discussion? A. The letter – again, we don’t have the letter to refer to specifically. But from my general understanding here, the threatening tone of the letter, they might have been threatening support, they might have been threatening nonpayment, they might have been threatening some kind of complaint, they might have been threatening some type of legal action. And this is an e-mail from me, basically, warning our people to be very careful.”) [APP-481-482].

RESPONSE: Denied. None of the cited testimony supports the conclusion that “OOCL employees considered OOCL’s conduct to be retaliation.” Instead, the OOCL employees quoted by Complainant discuss worries about “BBBY’s perce[ption]” of retaliation. Moreover, Complainant truncates OOCL employee Mike Young’s quote, who wrote on February 16, 2022, that, “[BBBY] seem[s] to imply – *but have not provided evidence to qualify*, that they were not responsible for delays in Pick up - If this is the case *and can be validated* —the DD should not be billed — per the FMC Final Rule” APP-5126 (Ex. 9, OOCL_0000055984). Each OOCL witness who was asked whether OOCL retaliated against BBBY testified that no retaliation occurred. APP 711 (Donna Forminio Tr. 426:19-427:11, “A. I never saw any incidents of retaliation. If anything, you know, they were a value customer, and we all worked pretty hard to try and get them what they needed under very difficult circumstances. So I did not see any retaliation at all. There was certainly none as far as space. And I didn’t see anything in any contract negotiations that gave me any pause at all when it came to that.”); APP 1869 (Gavin Murdoch Tr. at 273:3-8, “A. we certainly did not retaliate or – you know, against any of our customers. You know we try to help our customers. So, again, it’s complete rubbish.”); APP 1397 (Karen Lam Tr. at 234:23-235:22, “A. I totally disagree about the statement about for OOCL have done any retaliation against BBBY. . . .”); APP 226 (Marvic Chen Tr. at 300:20-301:12), “Q. [I]n your assessment, did OOCL retaliate against Bed Bath & Beyond at any time during the period 2020 through 2022? A. No. No.”); APP 459 (Paul Devine Tr. at 188:23-24, “There’s no – there’s no retaliation. . . .”); APP 2890 (Mike Young Tr. at 286:8-14, “I would say that I have not seen any evidence and I do not believe OOCL has retaliated in any way, shape or form.”).

C. Count IV, Element 3: OOCL is an ocean common carrier.

CPFF 457. OOCL is an ocean common carrier. *Supra* ¶ 11.

RESPONSE: Admitted.

CPFF 457.1. This element has been established. *Infra* FOF.Arg.IV.C.

RESPONSE: Admitted.

CPFF 457.2. This element is undisputed.

RESPONSE: Admitted.

D. Count IV, Element 4: OOCL engaged in prohibited conduct. **Denied.**

1. OOCL engaged in retaliation by refusing to accept BBY's bookings during the 2021 Shipping Year and assessing punitive D&D Charges. **Denied.**

CPFF 458.

on" among customers. See 1 AC ¶ 140 [APP-74]; Dep. Ex. 49 at OOCL_0000115382 [APP-3071].

RESPONSE:

CPFF 459. On May 17, 2023, OOCL employee Mike Young internally acknowledged that they didn't always meet CSAL or allow bookings under it from 2020 to 2022. See Dep. Ex. 16 at OOCL 0000070344 ("Also did comparison on where CSAL in place and we declined / rejected booking – even CSAL allocatin not met . . . we did not always meet CSAL or allow booking under CSAL.") [APP-2950]; DelPrete Dep. Tr. 141:20-142:10 ("Q. What is deselection? A. Deselection means when it comes time to issue another contract, we don't actively engage for renewal.") [APP-375-376].

RESPONSE: Admitted that Ex. 16 includes the CSAL statements noted but deny that they are correct. Glenn Metzger delved in great detail into whether OOCL provided all of the space that it was obligated to provided in the 2021 service contract year and he found that OOCL did so. APP 1626; 1627 (Glenn Metzger Tr. at 146:14-147:8; 151:16-24). Karen Lam's Team performed a separate analysis for the 2020 and 2021 service contract years and her Team reached the same conclusion. See OOCL RPFFs 576 to 618.

Denied that BBY was ever "deselected." OOCL did not "deselect" or otherwise restrict bookings or extra space relating to BBY at any time. APP 2239; 2239 (Thomas Schmeimann Tr. at 254:5-20; 255:2-7; 13-21); APP 385 (Vincent Delprete Tr. at 180:11-24).

CPFF 460. OOCL failed to allocate sufficient space to BBY under the 2021 Service Contract as a means of retaliation.

RESPONSE: Denied. Complainant cites no source for this purported fact. To the contrary, Glenn Metzger delved in great detail into whether OOCL provided all of the space that it was

obligated to provided in the 2021 service contract year and he found that OOCL did so. APP 1626; 1627 (Glenn Metzger Tr. at 146:14-147:8; 151:16-24). Karen Lam's Team performed a separate analysis for the 2020 and 2021 service contract years and her Team reached the same conclusion. See OOCL RPFs 576 to 618.

CPFF 461. Of the 2432.74 (out of 3,796) FEUs that OOCL did carry for BBY under the 2021 Service Contract, OOCL carried only 958.875 subsequent to October 18, 2021, or approximately 40% of the total. See Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358].

RESPONSE: Denied. Glenn Metzger delved in great detail into whether OOCL provided all of the space that it was obligated to provided in the 2021 service contract year and he found that OOCL did so. APP 1626; 1627 (Glenn Metzger Tr. at 146:14-147:8; 151:16-24). Karen Lam's Team performed a separate analysis for the 2020 and 2021 service contract years and her Team reached the same conclusion. See OOCL RPFs 576 to 618.

OOCL has moved to strike John McCown as an expert witness. His methodology and opinions are not reliable. With respect to Appendices B-1 through B-4 of his report, he testified that he did not prepare them, and the source, date, method and accuracy of creation, and reliability of which are all unknown. APP-1469-70 (McCown Tr. 130:20-132:17, 134:11-135:19). McCown testified he did not know whether the shipments in Appendices A-1 to B-4 correlated to any shipments not carried by OOCL that should have been. He stated: "[w]hat I do know is that that number of FEUs correlates with the shortfall that Bed Bath & Beyond experienced with OOCL. I don't have information on anything else that it correlates with, other than just the number of loads that were the shortfall." APP-1468 (McCown Tr. 128:13-25). And McCown took the shortfall number from BBY's Complaint. OOCL RPF 565. Further, as stated above, BBY's own Patrick Hackett admitted that BBY's NVO shipments were due to carriage shortfalls from OOCL *and other carriers*, defeating BBY's own claim that all the cited NVO shipments were made necessary solely by OOCL. APP-881 (Hackett Tr. 272:20-23).

McCown's purported OOCL container space shortfall number derives from BBY's Complaint. APP 1467; 1471-1472 (McCown TR. at 122:4-24; 141:7-142:5).

CPFF 462. Of the \$7,820,777.83 in D&D Charges complained of by BBY under Count II, OOCL assessed \$5,093,099.34 (65%) after October 18, 2021. See Ex. 381 (McCown Report, Appendix C) at 25-84 [APP-3869-3928]; Ex. 329 [APP-3358].

RESPONSE: Denied. No sworn testimony supports the above assertion. Further, Exhibit 39 was produced by BBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBY. APP-3358 (Ex. 329, bates-stamped P-353819). However, BBY's former general counsel David Kastin admitted he did not independently verify the information in the spreadsheet and testified:

**Q And you would agree with me that
none of the headings make reference to**

booking denials or refusals to carry, correct?

MR. REYNOLDS: Object to form.

You can answer.

A Those words are not on the column headings, correct.

Q Okay.

And do you see any text in the spreadsheet that refers to booking denials or refusals to carry?

A Those words are not used in the Excel spreadsheet.

Q Do you know what this spreadsheet is?

A A spreadsheet.

Q Yes. But what is it? What does it reflect?

A A lot of information about carriers and customer numbers and invoice numbers and bills of lading. It's the information under the headings.

Q Do you know who prepared it?

A I do not know what individual prepared it. I assume it came from Huth Reynolds, but I do not know.

...

Q. Okay.

But from your perusal of the document, you cannot identify any containers concerning which OOCL allegedly denied a booking or refused to carry, correct?

MR. REYNOLDS: Object to form.

You can answer.

A Those words are not used on this document.

APP-1150-51 (Kastin Tr. 35:14-36:16; 38:10-18). David Kastin verified the truth of BBBY's discovery response when it produced this document, yet it is evident he had no knowledge of its content.

As for Appendix C of John McCown's report, Mr. McCown did not prepare it and he does not know who did or when it was prepared and does not know how the information in the spreadsheet was prepared. **APP 1491** (John McCown Tr. at 219:9-220:6). The spreadsheet's data has not be authenticated.

2. OOCL engaged in retaliation by offering rates to BBY significantly higher than those offered to other shippers with similar service contracts for the 2022 Shipping Year. **Denied.**

CPFF 463. BBY requested a 2022 contract maintaining the level of MQC from 2021 and with lower rates, which OOCL verbally agreed to and then recanted. *See* Dep. Ex. 22 at OOCL_0000044255-44256, -44265 (OOCL firmly confirmed internally that it would maintain its round one offer) [APP-2965-2966, 2975]; Dep. Ex. 76 at OOCL_0000055991 [APP-3195]; 1AC ¶ 143 [APP-76].

RESPONSE: Denied. Contract negotiations are not written in stone. OOCL Trade employees testified that they did not engage in retaliatory pricing. APP-217, 221-22 (Chen Tr. 262:3-12, 281:23-282:24). As for retaliatory pricing, OOCL's sales rep with BBY Jim Mitchell testified: "We were very concerned about compliance and how commercial decisions may be viewed based on, at that time, what was happening at the FMC, and so we were just cautious, overly cautious, in terms of trying to be compliance with what the Federal Maritime Commission expected from carriers." APP 1756 (Jim Mitchell Tr. at 316:21-317:8). He further testified:

Q. What was your belief about whether OOCL engaged in retaliatory pricing or conduct against Bed Bath & Beyond?

MR. CRAPANZANO: Objection. Objection to form.

A We were not retaliatory at all. We were doing everything in our capacity to provide space under their allocation, find them extra space. And we were, you know, just working on a daily basis to help them manage their supply chain.

APP 1761 (Jim Mitchell Tr. at 334:24 to 335:11).

References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.

CPFF 464. On January 28, 2022, BBY bid for a service contract with OOCL to govern the May 2022 to April 2023 shipping year. *See* 1AC ¶ 143 [APP-75]; Dep. Ex. 22 at OOCL_0000044265 ("Request Submitted: Jan 28, 2022; Response Due: 02/11/2022 11:00 AM PST; Requested Term: May 1, 2022 to Ap 30, 2023.") [APP-2975].

RESPONSE: Admitted. References to BBY's First Amended Complaint are not evidence and amounts to the inclusion of legal arguments in BBY's CPFFs.

CPFF 465. On February 3, 2022, OOCL issued to BBY its first round offer. Dep. Ex. 22 at OOCL_0000044258 [APP-2968].

RESPONSE: Admitted that OOCL maintained its first-round offer.

CPFF 466. On February 17, 2022, BBBY responded with a counter-proposal on February 17, 2022 seeking lower rates. Dep. Ex. 22 at OOCL-0000044255 [APP-2965-2966].

RESPONSE: Admitted.

CPFF 467. On February 18, 2022, OOCL firmly confirmed internally that it would maintain its round one offer “*without changing any rate offering as advised by trade.*” Dep. Ex. 76 at OOCL_0000055991 [APP-3195].

RESPONSE: Admitted that OOCL opted to adhere to the terms of its first-round offer, as advised by OOCL’s Trade department. Contract negotiations are not written in stone. OOCL Trade employees testified that they did not engage in retaliatory pricing. APP-217, 221-22 (Chen Tr. 262:3-12, 281:23-282:24). As for retaliatory pricing, OOCL’s sales rep with BBBY Jim Mitchell testified: “We were very concerned about compliance and how commercial decisions may be viewed based on, at that time, what was happening at the FMC, and so we were just cautious, overly cautious, in terms of trying to be compliance with what the Federal Maritime Commission expected from carriers.” APP 1756 (Jim Mitchell Tr. at 316:21-317:8). He further testified:

Q. What was your belief about whether OOCL engaged in retaliatory pricing or conduct against Bed Bath & Beyond?

MR. CRAPANZANO: Objection. Objection to form.

A We were not retaliatory at all. We were doing everything in our capacity to provide space under their allocation, find them extra space. And we were, you know, just working on a daily basis to help them manage their supply chain.

APP 1761 (Jim Mitchell Tr. at 334:24 to 335:11).

CPFF 468.

RESPONSE:

[REDACTED]

Mike Young took a cautious approach to regulatory compliance alerting management to his perceived concerns, but nevertheless in the final analysis he testified at deposition: “I would say that I have not seen any evidence and I do not believe OOCL has retaliated in any way, shape or form.” APP 2895 (Mike Young Tr. at 286:8-14).

CPFF 469.

[REDACTED]

RESPONSE:

[REDACTED]

Mike Young took a cautious approach to regulatory compliance alerting management to his perceived concerns, but nevertheless in the final analysis he testified at deposition: “I would say that I have not seen any evidence and I do not believe OOCL has retaliated in any way, shape or form.”). APP 2895 (Mike Young Tr. at 286:8-14).

CPFF 470. OOCL refused to negotiate rates, firmly maintaining its round one offer. *See* Dep. Ex. 22 at OOCL 0000044255 (“We would maintain our Rd 1 offer for the time being.” [APP-2965]; Dep. Ex. 134 at OOCL_00000143746-47 [APP-3229-3230].

RESPONSE: Denied that OOCL “refused to negotiate,” given that OOCL continued the iterative negotiations process with BBY and ultimately reached an agreement for the 2022 service contract. Contract negotiations are not written in stone and rates are but one facet of negotiations.

3. OOCL engaged in retaliation by discriminatorily reducing BBY’s MQC as a precondition to entering into a service contract for the 2022-23 shipping year. **Denied.**

CPFF 471.

[REDACTED]

RESPONSE: Denied. [REDACTED]

CPFF 472. BBY's initial offer to OOCL of a 3,816 FEU MQC commitment to be applied to the 2022-23 shipping year was roughly equivalent to the 3,796 FEU MQC commitment included in the 2021 Service Contract. *Compare* Ex. 22 at OOCL_0000044261 ("Proposed MQC – 7,632 TEUs for Combined Trades.") [APP-2971]; [REDACTED]

RESPONSE: Admitted that this was BBY's initial offer. Otherwise denied.

CPFF 473. The service contract ultimately entered into between OOCL and BBY for the 2022-23 shipping year included an MQC commitment of 3,125 FEUs. *See* OOCL_0000077725 (-77743) (2022 Service Contract, Section 3, "MINIMUM QUANTITY COMMITMENT(S): 6078 TEU) [APP-5150]; P-0000129201 (cover email to OOCL_0000077725) [APP-2353-2354]; P-0000520047 (-520047) (Service Contract MTT226042, Amendment No. 1 "Amend Minimum Quantity Commitment to read: 6250 TEU) [APP-4415]; OOCL_0000073924 (cover email to P-0000520047) [APP-4415].

RESPONSE: Admitted.

CPFF 474. The 671 FEU difference between the MQC in the 2021 Service Contract and the ultimate MQC commitment included in the service contract for the 2022-23 shipping year between OOCL and BBY was intended by OOCL as retaliation against BBY in response to BBY's threats to OOCL of bringing FMC litigation based on OOCL's unlawful practices and policies.

RESPONSE: Denied. Complainant fails to cite any evidence to support this purported "fact" because nothing in the record reinforces this conclusion of law masquerading as a fact. [REDACTED]

CPFF 475. OOCL determined internally that it was comfortable reducing MQC to shippers who complained that OOCL was not living up to FMC guidelines. *See* Devine Dep. Tr. 273:18-274:8 ("Q. So would sending communications claiming that OOCL's conduct was not in line with FMC guidance make a shipper a problem customer? A. Not necessarily. . . . Q. You said not 'not necessarily,' so in some instances it might; is that correct? A. They might. They might. They might not. Depends on the type of customer.") [APP-480-481]; [REDACTED]

RESPONSE: OOCL denies the proposition in the first sentence above. This purported “fact” is both inaccurate and not supported by the record. Paul Devine’s testimony on this topic reads in full:

Q. So what about BBB made them a problem customer?

A You'd have to look at their account receivable and their Statement of Account track record. You'd have to look at their claims record. You'd have to look at their booking performance record. You'd have to look at their equipment records, their dwell-time records, how long they kept bookings/boxes on the ground for. You'd have to look at the records associated with chassis. You'd have to look at disputes that were made, whether they were founded or unfounded.

So you'd have to take into consideration all the above to draw some conclusion as to the type of customer that we're dealing with here.

Q Okay.

So would sending communications claiming that OOCL's conduct was not in line with FMC guidance make a shipper a problem customer?

A Not necessarily. Shippers -- the FMC was actively soliciting so-called charge complaints from customers. That doesn't bother us. We deliver what we promise to our customers.

Q You said "not necessarily," so in some instances it might; is that correct?

A They might. They might. They might not. Depends upon the type of customer.

APP 480-481 (Paul Devine Tr. at 272:23 to 274:8).

Further, OOCL never suspended BBY's bookings. See e.g., APP 2247 (Thomas Schmeimann

Tr. at 286:9-10).

[REDACTED]

CPFF 476.

[REDACTED]

RESPONSE:

[REDACTED]

CPFF 477.

[REDACTED]

RESPONSE:

[REDACTED]

CPFF 478.

[REDACTED]

RESPONSE:

[REDACTED]

CPFF 479.

RESPONSE:

CPFF 480.

RESPONSE:

CPFF 481.

RESPONSE:

[REDACTED]

CPFF 482.

[REDACTED]

RESPONSE:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

CPFF 483.

[REDACTED]

RESPONSE:

[REDACTED]

CPFF 484.

[REDACTED]

[REDACTED]

RESPONSE: [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Further, given the litany of reasons provided by Mr. Chen in a previous email (including BBY's inability to manage its own supply chain), OOCL's decision to reduce BBY's MQC as part of this overall reduction made sound business sense. APP 2962-63 (Ex. 22, OOCL_0000055992-93).

CPFF 485. [REDACTED]

[REDACTED]

RESPONSE: Denied. The parties negotiated the terms and conditions of the 2022 service contract and reached an agreement.

CPFF 486. As a result of BBY's protected activity, OOCL offered BBY 671 fewer FEUs for the 2022-2023 service contract than it had previously agreed.

RESPONSE: Denied. [REDACTED]

[REDACTED]

4. OOCL engaged in retaliation by refusing any rate reductions requested by BBY. **Denied.**

CPFF 487. OOCL refused any rate reductions requested by BBY. See OOCL_0000224375 (-224375) [APP-4332].

RESPONSE: Denied. OOCL agreed to a rate reduction during the 2022 shipping year.

CPFF 488. OOCL admitted internally that OOCL offered rates above the rates quoted by other shippers with similar MQC, which could “be construed that [OOCL is] retaliating and holding [its] position to limit [OOCL’s] carrying with BBB[Y]”. See Dep. Ex. 68 at OOCL_0000134507 (“[W]e offered rates for their 7000T contract offer around 1000-1500 above the rates quoted to other shippers with similar SC MQC, When BBB[Y] requested some reduction compared to the rates being offered by other carriers, Trade declined and stuck to the initial offered rates . . . the fact that we have other contracts with other parties on similar MQC and shipping pattern may potentially be construed that we are retaliating and holding our position to limit our carrying with BBB[Y] . . . Trade refused to budge on the rates for BBB based on our initial offering”) [APP-3168]; Dep. Ex. 134 at OOCL_0000143746-47 [APP-3229-3230]; Devine Dep. Tr. 185:8-16 (“Q. What do you understand it to mean? A. We offered rates around a 1,000 or \$1,500 above rates quoted to other shippers.” [APP-458]).

RESPONSE: Admitted that the emails above state the foregoing. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] Further, this rate claim is not actionable for the reasons set forth in OOCL's Brief. pp. 54, 74-76.

CPFF 489.

[REDACTED]

RESPONSE:

[REDACTED]

CPFF 490. On March 19, 2022, OOCL employee Mike Young expressed his concern regarding OOCL's pricing policies. See OOCL_0000134511 at 3 ("[P]itching high in most cases will result in customers walking away from OOCL, [or] signing in fear that if they do not commit – they will not secure space – so they accede in some cases just to ensure they can ship their commodity. Some customers have chosen to walk away from OOCL – possibly that is Trade[']s intent to deselect through pricing.") [APP-4173].

RESPONSE: Admitted that Mike Young's email states the foregoing expressing his perceived concerns, but nevertheless in the final analysis he testified at deposition: "I would say that I have not seen any evidence and I do not believe OOCL has retaliated in any way, shape or form." APP 2895 (Mike Young Tr. at 286:8-14). See also OOCL's response to BBY's PFF 488, which is incorporated herein by reference.

CPFF 491.

[REDACTED]

RESPONSE:

CPFF 492. As of August 2022, BBY had made continuous requests for “downward rate adjustments due to differentials between our contracted pricing and spot rates.” OOCL_0000224375 (2243-75-79) (On July 22, August 5, and August 12, Mitchell internally noted, “[BBY] would like us to make downward rate adjustments due to differentials between our contracted pricing and spot rates.”) [APP-4332-4336].

RESPONSE: Admitted, that BBY made a few requests for downward rate adjustments in the summer of 2022. Otherwise denied. On April 11, 2022, OOCL’s Financial Control Team warns that BBY’s failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owes OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25).

CPFF 493. On August 11, 2022, BBY noted to OOCL that “[b]y far OOCL is our highest rated carrier” and asked that OOCL “review and advise back asap what direction OOCL will be taking as your current rates are not in line with the market as demand has slowed down and capacity is at its highest.” OOCL_00000009696 (-09697, -09699) [APP-4107, -4109].

RESPONSE: Admitted that the email cited states what is set forth above. However, on April 11, 2022, OOCL’s Financial Control Team warned that BBY’s failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBY’s rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration). Further, declining to lower rates is not actionable for the reasons set forth in OOCL’s Brief at p. 59.

CPFF 494. OOCL persisted with its high rates. See OOCL_0000224375 (224375-79) (On July 22, August 5, and August 12, Mitchell internally noted, “[BBBY] would like us to make downward rate adjustments due to differentials between our contracted pricing and spot rates.”) [APP-4332-4336]; OOCL_0000009696 (-09697) (“[W]e are holding our rate at higher levels . . . We recognize that even with the rate reduction being offered, we are still on the higher end of BBB[Y]’s pricing table.” [APP-4107]).

RESPONSE: OOCL denies the proposition in the first sentence above but admits that the emails cited state what is set forth above. However, on April 11, 2022, OOCL’s Financial Control Team warned that BBBY’s failure (bankruptcy) score and delinquency score are high risk; at the time, BBBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBBY’s rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration). Further, declining to lower rates is not actionable for the reasons set forth in OOCL’s Brief at p. 59.

CPFF 495. OOCL employee Mitchell admitted that OOCL’s rates under the 2022-2023 service contract were intentionally set higher than what BBBY would actually ship at. See Dep. Ex. 36 at OOCL_0000103007 (“[N]o need to reach out to Bed Bath & Beyond as our rates are purposely higher than what they will ship against.”) [APP-3036].

RESPONSE: OOCL admits that the email cited states what is set forth above. However, on April 11, 2022, OOCL’s Financial Control Team warned that BBBY’s failure (bankruptcy) score and delinquency score are high risk; at the time, BBBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBBY’s rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration). Further, declining to lower rates is not actionable for the reasons set forth in OOCL’s Brief at p. 59.

CPFF 496. OOCL’s high rates were designed to prompt BBBY to “deselect” OOCL. See Dep. Ex. 23 at OOCL_0000070354 (“After review, we will hold firm on our last adjusted rate offer.”) [APP-2979]; Dep. Ex. 192 at OOCL_0000136819 (“*Do not decrease rates and let BBB[Y] ‘deselect’ OOCL due to higher rates . . .* As BBB[Y] mentioned, OOCL rates are too high.”) (emphasis added)

[APP-3322].

RESPONSE: OOCL admits that the email cited states what is set forth above. However, on April 11, 2022, OOCL's Financial Control Team warned that BBBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353)), OOCL made another prescient decision not to further reduce BBBY's rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration). Further, declining to lower rates is not actionable for the reasons set forth in OOCL's Brief at p. 59.

CPFF 497. In December 2022, following OOCL's trade team's refusal to adjust BBBY's rates downward to align more closely with market prices, OOCL employee Mitchell expressed concern that if OOCL persisted in its behavior, "[OOCL] could be open to FMC scrutiny for retaliatory pricing." Dep. Ex. 23 at OOCL_0000070354 (emphasis added) [APP-2979].

RESPONSE: Denied. Complainant mischaracterizes the context of this quote from OOCL sales representative Jim Mitchell. Following a call with BBBY, Mr. Mitchell wrote: "If we cannot move forward with adjusting their rates to current market levels, then we need to issue an amendment to reduce the MQC to what has shipped YTD and close out this contract. Please bear in mind that if we go this route, we could be open to FMC scrutiny for retaliatory pricing." APP-2979 (Ex. 23). Trade representative Marvic Chen replied: "Pricing is a commercial issue. Carriers have a right to decide whether to engage a client commercially. OOCL already adjusted BBB[Y]'s original contract rates before based on own commercial considerations, and OOCL is not obligated to do any rate adjustment from the compliance perspective." OOCL Vice President Mike Young added further that: "[R]educing [BBB[Y]'s] MQC does not constitute retaliatory action . . . if we say we are not going to consider business with BBB[Y] then there must be a sound commercial reason and not related to any issues with DD or any complaints in the past on charges or 'other' business issues." APP-2978 (Ex. 23).

CPFF 498. In December 2022, following OOCL's trade team's refusal to adjust BBBY's rates downward to align more closely with market prices, OOCL employee Schmiemann expressed concern that the artificially high rates OOCL was charging for BBBY's shipments would expose OOCL to claims of retaliation. Dep. Ex. 23 at OOCL 000070352 ("When reading this string the word '*Discriminatory*' entered my mind.") (emphasis added) [APP-2977]; Ex. 24 at 5 ("My concern is that we are openly out in the [market] offering both NVO's and BCO's rate that are *thousands of dollars below BBB[Y] rates. The FMC may view OOCL as discriminating against BBB[Y] if a complaint was filed. BBB[Y] has asked us to treat them as we are treating other similarly situated shippers. BBB[Y] has outwardly declared to us their desire to fulfill their contract MQC. They are struggl[ing] due to our competitors having rates that are more in line with the [market].*")

(emphasis added) [APP-2990].

RESPONSE: Admitted that the emails cited state what is set forth above. However, on April 11, 2022, OOCL's Financial Control Team warned that BBBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBBY's rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration). Further, declining to lower rates is not actionable for the reasons set forth in OOCL's Brief at p. 59.

CPFF 499. When OOCL's trade team attempted to excuse OOCL's exorbitant rates assessed on BBBY based on feigned concerns as to BBBY's "financial situation," Schmiemann correctly characterized that as an excuse. Dep. Ex. 24 at 5 ("If we are so concerned over their financial position why are we charging them exorbitant rates compared to the [market] levels. I would think we would work toward getting the contract fulfilled minimizing our cost exposure assessing [market] level rates.") [APP-2990].

RESPONSE: Denied. On April 11, 2022, OOCL's Financial Control Team warned that BBBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBBY's rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration). Further, declining to lower rates is not actionable for the reasons set forth in OOCL's Brief at p. 59.

[REDACTED]

[REDACTED]

5. There is no lawful justification for OOCL's conduct. **Denied.** On April 11, 2022, OOCL's Financial Control Team warned that BBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBY's rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration). Further, declining to lower rates is not actionable for the reasons set forth in OOCL's Brief at p. 59.

CPFF 500. There is no justification for OOCL's policies/actions.

RESPONSE: Denied. Complainant does not – and cannot – cite any source for this conclusion disguised as fact. By contrast, legitimate business reasons existed for OOCL not to further reduce its rates with BBY. On April 11, 2022, OOCL's Financial Control Team warned that BBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBY's rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration). Further, declining to lower rates is not actionable for the reasons set forth in OOCL's Brief at p. 59.

CPFF 501. BBY internally discussed letters from OOCL that they considered "threatening" when deciding on services to offer them. See Dep. Ex. 140 at OOCL_0000224203 ("Note our concern on their threatening letter. Certainly we are not taking it lightly.") [APP-3251]; Devine Dep. Tr. 277:14-279:13 (Q. And you – when you said, 'These are the same folks behind the threatening DD letter dated 18 October,' what letter were you referring to? A. Obviously, I'm referring to a letter that came from Bed Bath & Beyond dated October 18. We'd have to pull that from the records. Q. What did you mean by 'threatening'? A. Apparently, the letter must have been threatening: threatening support, threatening complaint, threatening by some nature. Threatening

nonpayment. Threatening . . . Q. Why was that letter relevant to this discussion? A. The letter – again, we don’t have the letter to refer to specifically. But from my general understanding here, the threatening tone of the letter, they might have been threatening support, they might have been threatening nonpayment, they might have been threatening some kind of complaint, they might have been threatening some type of legal action. And this is an email from me, basically, warning our people to be very careful.”) [APP-481-482].

RESPONSE: Denied. Legitimate business reasons existed for the decisions that OOCL made [REDACTED] maintaining OOCL’s rates during contract negotiations with BBBY, and declining to further reduce rates beyond the one reduction in the latter half of 2022.

[REDACTED]

As for maintaining rates during contract negotiations, Marvic Chen wrote: “For your heads up, considering the uncertainty of space supply in 2022, BBBY’s inability to manage their supply chain efficiently and OOCL’s corporate direction of more IPI, OOCL would like [sic] reduce our MQC space commitment significantly if BBBY would accept our rates and BP revision for renewal. We may further discuss.” APP 2962-63 (Ex. 22, OOCL_0000055992-93).

On April 11, 2022, OOCL’s Financial Control Team warned that BBBY’s failure (bankruptcy) score and delinquency score are high risk; at the time, BBBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBBY’s rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration). Further, declining to lower rates is not actionable for the reasons set forth in OOCL’s Brief at p. 59.

CPFF 502. [REDACTED]

RESPONSE: [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

6. OOCL considered its conduct to be retaliation against BBY. **Denied.**

CPFF 503. OOCL's employees considered OOCL's conduct to be retaliation against BBY. *See* [REDACTED]

[REDACTED]

Devine Dep. Tr. 277:14-279:13 (Q. And you – when you said, “These are the same folks behind the threatening DD letter dated 18 October,” what letter were you referring to? A. Obviously, I’m referring to a letter that came from Bed Bath & Beyond dated October 18. We’d have to pull that from the records. Q. What did you mean by ‘threatening’? A. Apparently, the letter must have been threatening: threatening support, threatening complaint, threatening by some nature. Threatening nonpayment. Threatening Q. Why was that letter relevant to this discussion? A. The letter – again, we don’t have the letter to refer to specifically. But from my general

understanding here, the threatening tone of the letter, they might have been threatening support, they might have been threatening nonpayment, they might have been threatening some kind of complaint, they might have been threatening some type of legal action. And this is an email from me, basically, warning our people to be very careful.”) [APP-481-482].

RESPONSE: OOCL denies the proposition in the first sentence above None of the cited testimony supports the conclusion that “OOCL employees considered OOCL’s conduct to be retaliation.” Instead, the OOCL employees quoted by Complainant discuss worries about “BBBY’s perce[ption]” of retaliation. Moreover, Complainant truncates OOCL employee Mike Young’s quote, who wrote on February 16, 2022, that, “[BBBY] seem[s] to imply – *but have not provided evidence to qualify*, that they were not responsible for delays in Pick up.” APP-5126.

Each OOCL witness who was asked whether OOCL retaliated against BBBY testified that no retaliation occurred. APP 711 (Donna Forminio Tr. 426:19-42711, “A. I never saw any incidents of retaliation. If anything, you know, they were a value customer, and we all worked pretty hard to try and get them what they needed under very difficult circumstances. So I did not see any retaliation at all. There was certainly none as far as space. And I didn’t see anything in any contract negotiations that gave me any pause at all when it came to that.”); APP 1869 (Gavin Murdoch Tr. at 273:3-8, “A. we certainly did not retaliate or – you know, against any of our customers. You know we try to help our customers. So, again, it’s complete rubbish.”); APP 1397 (Karen Lam Tr. at 234:23-235:22, “A. I totally disagree about the statement about for OOCL have done any retaliation against BBBY...”); APP 226 (Marvic Chen Tr. at 300:20-301:12), “Q. in your assessment, did OOCL retaliate against Bed Bath & Beyond at any time during the period 2020 through 2022? A. No. No.”); APP 459 (Paul Devine Tr. at 188:23-24, “There’s no – there’s no retaliation. ...”);

Mike Young testified at deposition: “I would say that I have not seen any evidence and I do not believe OOCL has retaliated in any way, shape or form.” APP 2895 (Mike Young Tr. at 286:8-14).

V. Count V (“Unreasonable refusals to deal or negotiate”): OOCL Unreasonably Refused to Deal or Negotiate with BBBY in Violation of 46 U.S.C. § 41104(a)(10).

A. Count V, Element 1: OOCL is an ocean common carrier.

CPFF 504. OOCL is an ocean common carrier. *Supra* ¶ 11.

RESPONSE: Admitted.

CPFF 504.1. This element has been established. *Infra* FOF.Arg.V.A.

RESPONSE: Admitted.

CPFF 504.2. This element is undisputed.

RESPONSE: Admitted.

B. Count V, Element 2: OOCL refused to deal or negotiate with BBY. **Denied.**

CPFF 505. OOCL refused to deal or negotiate with BBY.

RESPONSE: Denied. OOCL continued to deal with BBY even after BBY's financial situation deteriorated during the pandemic years. OOCL's decision not to reduce the rates offered to BBY was motivated by commercial considerations given BBY's own mismanagement. APP-2978.

Legitimate business reasons existed for the decisions that OOCL made [REDACTED] maintaining OOCL's rates during contract negotiations with BBY, and declining to further reduce rates beyond the one reduction in the latter half of 2022.

[REDACTED]

As for maintaining rates during contract negotiations, Marvic Chen wrote: "For your heads up, considering the uncertainty of space supply in 2022, BBB's inability to manage their supply chain efficiently and OOCL's corporate direction of more IPI, OOCL would like [sic] reduce our MQC space commitment significantly if BBB would accept our rates and BP revision for renewal. We may further discuss." APP 2962-63 (Ex. 22, OOCL_0000055992-93). OOCL continued the iterative negotiations process with BBY and ultimately reached an agreement for the 2022 service contract. Contract negotiations are not written in stone and rates are but one facet of negotiations.

On April 11, 2022, OOCL's Financial Control Team warned that BBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBY's rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration).

CPFF 505.1. This element has been established. *Infra* FOF.Arg.V.B.

RESPONSE: Denied. Complainant has not, and cannot, establish this purported fact.

CPFF 505.2. This element is undisputed.

RESPONSE: Denied. OOCL continued to deal with BBY even after BBY's financial situation deteriorated during the pandemic years. OOCL's decision not to reduce the rates offered to BBY was motivated by commercial considerations given BBY's own mismanagement. APP-2978.

Legitimate business reasons existed for the decisions that OOCL made [REDACTED] maintaining OOCL's rates during contract negotiations with BBY, and declining to further reduce rates beyond the one reduction in the latter half of 2022.

[REDACTED]

As for maintaining rates during contract negotiations, Marvic Chen wrote: "For your heads up, considering the uncertainty of space supply in 2022, BBY's inability to manage their supply chain efficiently and OOCL's corporate direction of more IPI, OOCL would like [sic] reduce our MQC space commitment significantly if BBY would accept our rates and BP revision for renewal. We may further discuss." APP 2962-63 (Ex. 22, OOCL_0000055992-93). OOCL continued the iterative negotiations process with BBY and ultimately reached an agreement for the 2022 service contract. Contract negotiations are not written in stone and rates are but one facet of negotiations.

On April 11, 2022, OOCL's Financial Control Team warned that BBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBY's rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration).

CPFF 506. OOCL failed to accept bookings or make space available to fulfill its MQC service commitment to BBY.

RESPONSE: Denied. OOCL did not "deselect" or otherwise restrict bookings or extra space relating to BBY at any time. APP 2239; 2239 (Thomas Schmeimann Tr. at 254:5-20; 255:2-7; 13-21); APP 385 (Vincent Delprete Tr. at 180:11-24). OOCL provided the container space it said it was going to provide, APP 3039-3040, 3122-3144, 3145-3166 (Exs. 39, 66, 67); see also

OOCL PFFs 576 to 618.

CPFF 507. In August 2020, BBY employee Paul Pster followed up with OOCL in an email chain in which BBY sought OOCL's support to add a single 20' container shipment to BBY's September allocation, stating to OOCL's sales team, "you guys know what a difficult situation we're currently in re space so [please] do whatever you can to satisfy our below need for just 1 more container. thanks", which OOCL denied. See OOCL_0000022318 [APP-4121].

RESPONSE: Admitted that the email cited states what is set forth above.

2. OOCL failed to provide contracted space to BBY without PSS or premium rates.

CPFF 508. OOCL failed to provide contracted space to BBY without PSS or premium rates. *Infra* ¶ 776.

RESPONSE: Denied. OOCL provided the container space it said it was going to contractually provide, APP 3039-3040, 3122-3144, 3145-3166 (Exs. 39, 66, 67); see also OOCL PFFs 576 to 618. The parties agreed and signed 47 service contracts or amendments thereto during the two shipping years at issue. There exists no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. [REDACTED] APP 1177-1178 (David Kastin Tr. 144:17-147:22). BBY's PFF 776 has been struck.

3. OOCL failed to assess D&D charges in a reasonable manner. Denied.

CPFF 509. OOCL failed to assess D&D charges in a reasonable manner.

RESPONSE: Denied. OOCL cites no source for this self-serving conclusion disguised as a purported fact. OOCL's DD rates were within market; OOCL's demurrage per diem rates in 2020-2022 were lower than those of three comparable operators. APP 3754-3936 (Ex. 384, Steffen Report at 24).

CPFF 510. Effectively, OOCL refused to address disputed invoices or provide necessary requested information in response to BBY's requests.

RESPONSE: Denied. OOCL promulgated demurrage and detention management guidelines. RX-000853-889 (Ex. 97, OOCL DD Management Guideline (1 Nov 2020), OOCL_00000128664-128700); APP 2346 (Sha Tr.195:24-197:2). OOCL followed its DD Management Guidelines, which cover whether a customer is responsible or not for a charge. APP 2313-14; 2320 (Sha Tr. 63:21-64:20; 65:2-66-22; 92:8-93:12). OOCL has a headquarters and regional detention and demurrage dispute handling guideline. APP 2314 (Sha Tr.67:13-68:11; 68:23-11). The analysis as to whether the DD charge is within OOCL's control or the customer's control takes place before the charge is issued. APP 2314-2315 (Sha Tr. 69:13-70:13). Each case involves a fact-based inquiry. APP 2315; 2348 (Sha Tr. 70:14-71:23; 204:3-205:17). If grounds exist, OOCL's DD Dispute Team can make an operational adjustment. In cases where grounds do not exist, a

commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). OOCL will review and take into consideration any information that the client provides with respect to a demurrage or detention dispute. APP 2344 (Sha Tr. 188:6-189:21). OOCL has a demurrage and detention dispute process for submitting disputes available on OOCL's website, which was in place throughout the shipping years at issue. APP 2355 (Sha Tr. 230:6-230:18). When BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information which BBY never provided. APP 2247 (Schmiemann Tr. 248:16 to 249:2). OOCL's Demurrage and Detention Department Supervisor Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. APP 2351 (Sha Tr. 216:13 to 217:14).

OOCL's Tracy Sha's team vetted and verified the charges relating to each and every container and prepared a spreadsheet addressing more than 1,000 containers. APP 2353 (Sha Tr. 224:25 to 225:24). Ms. Sha testified at Tr. as follows:

Q. Okay. And so what did you do with respect to the conclusions that you reached after vetting every one of these containers? What did you conclude?

A. Yeah. So what we concluded definitely is we now have the OOCL, our side of the data of the charge amount. Also we have the justification, so we do have a finding that among the list, there are ten containers in a particular day for their container type the terminal is not able to accept empty return. So for those ten days or ten containers, we marked that there's one day invalid, and we issue the credit note for that amount. So that is marked in the sheet under Column V and Column W, yeah. And for the rest of the days is the majority because there's more than one thousand containers –

A. For the rest of the record in overall, there's more than 1,000 container records. What we presented here is the justification for why we view the charge is valid, so we giving [sic] the justification for the charge billed dates.

Id. See also RX-000001 (Ex. 98, Tracy Sha's Excel Spreadsheet, OOCL0000253914).

OOCL sent daily announcements to truckers during the pandemic about terminals openings and empty container return requirements. APP 1707 (Mitchell Tr. 119:6-18); APP 2356 (Sha. Tr. 237:1-12).

4. OOCL failed to engage in negotiations for the 2022-2023 shipping year in a reasonable manner. Denied.

CPFF 511. OOCL failed to engage in negotiations for the 2022-2023 shipping year in a reasonable manner. *Infra* ¶ 778.

RESPONSE: Denied. Legitimate business reasons existed for the decisions that OOCL made
[REDACTED] **maintaining OOCL's**
rates during contract negotiations with BBY, and declining to further reduce rates beyond
the one reduction in the latter half of 2022.

[REDACTED]

As for maintaining rates during contract negotiations, Marvic Chen wrote: “For your heads up, considering the uncertainty of space supply in 2022, BBY's inability to manage their supply chain efficiently and OOCL's corporate direction of more IPI, OOCL would like [sic] reduce our MQC space commitment significantly if BBY would accept our rates and BP revision for renewal. We may further discuss.” APP 2962-63 (Ex. 22, OOCL_0000055992-93). OOCL continued the iterative negotiations process with BBY and ultimately reached an agreement for the 2022 service contract. Contract negotiations are not written in stone and rates are but one facet of negotiations.

On April 11, 2022, OOCL's Financial Control Team warned that BBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBY's rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration).

BBY's PFF 778 has been struck.

C. Count V, Element 3: OOCL's refusals were unreasonable. **Denied.**

CPFF 512. OOCL's refusals were unreasonable. *Infra* ¶¶ 779-781.

RESPONSE: Denied. Legitimate business reasons existed for the decisions that OOCL [REDACTED] maintaining OOCL's rates during contract negotiations with BBY, and declining to further reduce rates beyond the one reduction in the latter half of 2022.

[REDACTED]

As for maintaining rates during contract negotiations, Marvic Chen wrote: "For your heads up, considering the uncertainty of space supply in 2022, BBY's inability to manage their supply chain efficiently and OOCL's corporate direction of more IPI, OOCL would like [sic] reduce our MQC space commitment significantly if BBY would accept our rates and BP revision for renewal. We may further discuss." APP 2962-63 (Ex. 22, OOCL_0000055992-93). OOCL continued the iterative negotiations process with BBY and ultimately reached an agreement for the 2022 service contract. Contract negotiations are not written in stone and rates are but one facet of negotiations.

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BBY's PFF 779-781 have been struck.

CPFF 512.1. This element has been established.

RESPONSE: Denied. Legitimate business reasons existed for the decisions that OOCL made [REDACTED] maintaining OOCL's rates during contract negotiations with BBY, and declining to further reduce rates beyond the one reduction in the latter half of 2022.

[REDACTED]

[REDACTED]

As for maintaining rates during contract negotiations, Marvic Chen wrote: “For your heads up, considering the uncertainty of space supply in 2022, BBB's inability to manage their supply chain efficiently and OOCL 's corporate direction of more IPI, OOCL would like [sic] reduce our MQC space commitment significantly if BBB would accept our rates and BP revision for renewal. We may further discuss.” APP 2962-63 (Ex. 22, OOCL_0000055992-93). OOCL continued the iterative negotiations process with BBY and ultimately reached an agreement for the 2022 service contract. Contract negotiations are not written in stone and rates are but one facet of negotiations.

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CPFF 512.2. This element is undisputed.

RESPONSE: Denied. Legitimate business reasons existed for the decisions that OOCL made
[REDACTED] maintaining OOCL's rates during contract negotiations with BBY, and declining to further reduce rates beyond the one reduction in the latter half of 2022.

[REDACTED]

As for maintaining rates during contract negotiations, Marvic Chen wrote: “For your heads up, considering the uncertainty of space supply in 2022, BBB's inability to manage their supply chain efficiently and OOCL 's corporate direction of more IPI, OOCL would like [sic] reduce our MQC space commitment significantly if BBB would accept our rates and BP revision for renewal. We may further discuss.” APP 2962-63 (Ex. 22, OOCL_0000055992-93). OOCL continued the iterative negotiations process with BBY and ultimately reached an agreement for the 2022 service contract. Contract negotiations are not written in stone and rates are but one facet of negotiations.

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VI. Reparations

CPFF 513. For the reasons set forth herein, BBY has established that it is entitled to recover reparations in the amounts set forth in Table 1 below, in addition to interest and attorneys' fees.

RESPONSE: Denied. RPFFs 550-575, 698-787, which are incorporated herein by reference.

OOCL and BBY signed the 2020 Service Contract [REDACTED] and all [REDACTED] Amendments thereto. [REDACTED] APP 1167-1171 (Kastin Tr. 103:15- 120:9). OOCL and BBY signed the 2021 Service Contract [REDACTED] and all [REDACTED] Amendments thereto. APP 3261-3292; 3471-3646 (Exs. 163, 350-365); APP 1171-1174 (Kastin Tr. 120:10- 133:21). [REDACTED]

[REDACTED] The three signatories of the foregoing service contracts and amendments [REDACTED] were Juan Guerrero, John Hartmann and Jeff Macak. [REDACTED] There exists no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. [REDACTED] APP 1177-1178 (David Kastin Tr. 144:17-147:22).

Amendment No. 8 to the 2020 service contract presents a good example as to how these amendments were readily accepted by BBY. On November 20, 2020, Patrick Hackett wrote an email to Jim Mitchell at OOCL about extra loaders proposed by OOCL. He wrote:

"Jim....yes, we accept and thank you for the below space on these extra loaders. I'm cc'ing Laurie and Pacy from Yusen so we're all on the same page. If possible, can you just add the below rates into the amendment you just sent me this morning and resend to me and Paul later today/Monday so he can validate and then route for internal review/approval on Monday when he's back from

vacation? If not, then just create/send us another amendment just for these rates. Thanks.”

RX-001150-1154 (OOCL_0000049048).

BBBY’s Director of International Supply Chain testified about how the amendments with OOCL were negotiated:

**Q. And so this amendment would have been -
- again, the details of it would have been negotiated between you and, presumably, Jim Mitchell at OOCL and you would present it to your management through Reid Klosowsky and then Juan Guerrero would sign off on it; fair statement?**

A. That's the process, yes.

APP 825 (Hackett Tr. at 48:8-15).

Amendment No. 7 presents another good example of BBBY’s approval. Pat Hackett sent Jim Mitchell an email that said: “Jim, I approve, so please file. Paul will send you a signed copy ASAP. Thanks.” APP 1183 (Kastin Tr. at 167:10-168:15).

Service contract amendments that amended rates and peak season surcharges would not go into effect until the amendment was signed and filed. APP 821(Hackett Tr. at 31:19-32:22).

BBBY’s reparations claim is predicated on BBBY’s fallacious container space shortfall allegations, APP [No bates-stamped numbers] (Amended Complaint, ¶¶ 175, 176, 178-187 (Count VIII)) that David Kastin has promoted through specious verifications and testimony. See OOCL Proposed Findings of Fact addressing OOCL container space during shipping years 2020 and 2021 above, RPFFs 576 to 618, which are incorporated herein by reference.

BBBY submitted no proof of the containers or container numbers that BBBY or its booking agent booked or attempted to book with OOCL that OOCL declined to carry.

There exists no evidence of the goods carried within the containers that OOCL purportedly declined to carry, no evidence of the cost of such goods, and no evidence that such goods ever sold.

BBBY's Senior Director of Financial Analysis testified that he did not recall ever identifying any of the containers that BBBY booked or attempted to book with OOCL that OOCL did not carry, or reviewing any manifests or costs of products carried in these allegedly declined containers, or the revenue or profit margin generated by such containers. APP 276 (Cunniff Tr. 14:14-16:18).

Richard Cunniff also testified:

Q. Would it be a fair statement to say that, with respect to any of the containers that were booked with OOCL or attempted to be booked with OOCL, that OOCL allegedly did not carry, that you don't know whether or not any goods contained in such containers were ever sold?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint. You can answer.

**A. I don't specifically know. I would have to -
- I mean, I don't know.**

APP 293 (Cunniff Tr. 82:14-83:3).

BBBY earned no profit in any of the years at issue and ultimately filed for bankruptcy protection in the spring of 2023. RX-000680 (Ex. 385, Holly Etlin Declaration p. 10, ¶ 21).

BBBY'S lost profits claim is predicated upon a false narrative as to how much container space OOCL afforded BBBY during shipping years 2020 and 2021. See OOCL Proposed Findings of Fact addressing OOCL container space during shipping years 2020 and 2021 above, RPFFs 576 to 618, which are incorporated herein by reference.

BBBY then takes its fallacious shortfall numbers and multiplies them by the purported lost profit per container number calculated by BBBY's former Senior Director of Financial Analysis Richard Cunniff to produce the astounding claim amount set forth in Amended Complaint ¶ 182. APP 37-91 (Ex. 380, First Verified Amended Complaint).

Richard Cunniff, BBBY's Senior Director of Financial Analysis, was tasked in the summer of 2023 to determine the relative profitability of a container over a window of time. APP 277 (Cunniff Tr. 18:16-20:12).

Mr. Cunniff's lost-profit-per-container number was not based upon the containers that OOCL allegedly declined to carry. Instead, he thought it was reasonable to assume that the profit-per-container number in his spreadsheet is based on the aggregate value of all of the goods shipped during the period he evaluated, but he did not know specifically if that was the case. APP 281-282 (Cunniff Tr. 37:20-38:2).

In the spreadsheet he created for this purpose, Mr. Cunniff could not point to any container in the spreadsheet that was booked or attempted to be booked with OOCL that OOCL did not carry, and did not know whether any of the shipments in his spreadsheet replaced OOCL's allegedly declined bookings. APP 278; 279-280 (Cunniff Tr. 23:18-24:10; 29:24-31:20).

Concerning the 14,000 or so containers identified in Tab 1 to this spreadsheet, Mr. Cunniff did not know whether those containers were carried on the same service loops under the OOCL-BBBY service contracts, and did not how many of these containers were booked or attempted to be booked with OOCL. APP 281 (Cunniff Tr. 36:5-37:7).

Though Tab 2 includes BBBY purchase order numbers you cannot identify any purchase order numbers of containers booked or attempted to be booked with OOCL. APP 282-283 (Cunniff Tr. 41:17-42:4).

Tab 3 of his spreadsheet, Sales, identifies the sales of stock-keeping units ("SKUs"), which reflects individual product items. APP 282 (Cunniff Tr. 39:5-40:3; 42:6-17).

The Sales Tab does not include items that went unsold, nor does Mr. Cunniff know - of all the items in the aggregate that were shipped during this window of time how many of the items went unsold, nor does he know whether any of the goods allegedly not carried by OOCL were ever sold. APP 284-292-93 (Cunniff Tr. 47:23-48:18; 81:18-83:3).

Mr. Cunniff testified:

Q. It's a fair statement to say, based upon your -- what you've done, you haven't made any identification of the goods that were in those containers, the sales price of those goods, or the purchase price of the goods for any containers that were allegedly booked or attempted to be booked with OOCL, that OOCL did not carry, correct?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint. You can answer.

A. I did not, not to that extent.

APP 292 (Cunniff Tr. 79:7-20).

Further, Mr. Cunniff does not know whether any of the containers that were allegedly not carried by OOCL were carried by any other carrier, or whether they were ever delivered by BBBY's suppliers. APP 292 (Cunniff Tr. 80:7-21).

Any damages to BBBY were a mere rounding error in bankruptcy and did not contribute to BBBY's bankruptcy filing. APP 2589-2590 (Steffen Tr. 280:22-282:9).

Per container average profit in aggregate cannot measure with reasonable certainty lost profits. APP 3937-3994 (Ex. 384, Steffen Report at 25).

Table 1:

Count (Reparation Type):	Reparations Amounts:
Count I: MQC Shortfalls (2020 Service Contract)	\$3,146,072.00
Count I: MQC Shortfalls (2021 Service Contract)	\$19,563,799.79
Count I: PSS/Premium Contract Charges (2020 Service Contract)	\$7,109,296.00
Count I: PSS/Premium Contract Charges (2021 Service Contract)	\$6,623,453.00
Count II: Demurrage Charges	\$1,784,164.88
Count II: Detention Charges	\$6,036,612.95
Count III: Conduct not in accordance with Service Contracts	(Additional basis for Counts I & II damages)
Count V: Refusal to Deal	(Additional basis for Counts I & II damages)
Subtotal:	\$44,263,398.62
Count IV: Retaliation Doubles statutory reparations (MQC Shortfalls (2021 Service Contract); PSS/premium charges (2021 Service Contract); D&D Charges post-October 18, 2021)	\$31,280,352.13
Subtotal:	\$75,543,750.75
Count V: Refusal to Deal (2022-2023 Shipping Year Lost Profits)	\$44,906,060.97
Count IV: Retaliation Doubles 2022-2023 Shipping Year Lost Profits	\$44,906,060.97
Grand Total:	\$165,355,872.69

RESPONSE: Denied. For the reasons set forth immediately above.

- A. Count I ("Unjust and unreasonable failure to meet service commitments under the Service Contracts"). **Denied.**

CPFF 514. As to Count 1, BBBY is entitled to reparations from OOCL in the amount of \$36,442,620.79. Infra COL.XL.A.

RESPONSE: Denied. See OOCL's Response to BBBY's PFF 513, which is incorporated herein by reference.

- CPFF 515. Appendices A-1 through A-4 of the McCown Report reflect actual shipments

undertaken by BBY during the 2021 Service Contract Year on lanes covered by the 2020 Service Contract, using NVOs or ocean freight forwarders, which BBY was forced to undertake due to OOCL's failure to meet its service commitments under the 2020 Service Contract. See Ex. 381 (McCown Report, Appendices A-1 through A-4) (APP-3794-3809]; Dep. Ex. 328 [APP-3357]; Dep. Ex. 329 [APP-3358].

RESPONSE: Denied. See OOCL's Response to BBY's PFF 513, which is incorporated herein by reference. BBY's purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. APP 1467-1468 (McCown Tr. 123:16-128:13).

Mr. McCown relied on *allegations* of container space shortfalls as described in BBY's Complaint as the entire basis for his opinion that OOCL did not provide the space contracted for under the 2020 and 2021 service contracts. In his deposition, McCown testified:

Q. Okay. So, essentially, you would agree with me that you accepted the proposition that OOCL only provided 1,475.85 FEUs of space during the 2020 service contract year and only 2,432.74 FEUs of space during the 2021 service contract year, that you obtained from reviewing the original Complaint, correct?

A. Yes, I agree with that.

Q. Do you know where those numbers came from?

A. Those numbers came from Bed Bath & Beyond, from their professionals, Mr. Hackett and other folks in their area.

Q. Do you know any specific documents that it refers -- that refer to those numbers?

A. I mean, in quite a few of the depositions they're referenced, but the -- you know, the Complaint was the basis for that.

APP 1467 (McCown Tr. 122:4-122:24).

Not only did McCown rely on allegations instead of facts, he did not bother to even read the service contracts before opining about OOCL's compliance with same. APP 1473 (McCown Tr. 147:5-9).

BBBY did not do an independent analysis of the container space provided by OOCL but relied on calculations by counsel that the information provided in the Complaint was correct. APP 1186-87 (Kastin Tr. at 181-182; 185) ("I relied on information provided by Huth Reynolds in reviewing the Complaint.").

Pages 9 and 10 of Ex. 326 (APP 3345-3346) are excerpts from BBBY's supplemental discovery responses, in this case to OOCL's Interrogatory Number 2, which asked: "For every container identified in response to Interrogatory No. 1, identify the date a booking was attempted, where the booking was attempted, by whom, with whom, and the intended load port to destination route." BBBY's supplemental answer (again verified by David Kastin) was: "Subject to and without waiver of the foregoing, Complainant supplements its previous answer to Interrogatory No. 1 by referring Respondents to Appendices A-1 through A-4 and Appendices B-1 through B-4 of the Expert Report of John D. McCown, dated September 17, 2024, and documents bates-stamped P-0000810432 and P-0000353819, produced to Respondents in this action." APP 3337-3356 (Ex. 326, 18th page (unnumbered)).

Ex. 328 (APP-3357, bates-stamped P-810432) was produced by BBBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBBY. APP 3337-3356 (Ex. 326, pages 7 and 8, Supplemental Answer to Interrogatory No. 1).

Ex. 328 lists more than 7,000 containers that are not logically connected to OOCL in any way. BBBY's former general counsel David Kastin testified:

Q. Well, I mean, the question -- the interrogatory asked to identify all the containers concerning which OOCL refused to carry or denied a booking. This is a spreadsheet that lists in excess of 7,000 containers with no reference to OOCL. And so I guess the question is which of these containers did Bed Bath, if any -- which of these containers, if any, did Bed Bath attempt to book with OOCL?

A. No independent knowledge.

APP 1149 (Kastin Tr. 33:6-17).

Ex. 329 (APP-3358, bates-stamped 353819) was produced by BBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBY. APP 3337-3356 (Ex. 326, pages 7 and 8, Supplemental Answer to Interrogatory No. 1).

However, as to Ex. 329, BBY's former general counsel David Kastin admitted he did not independently verify the information in the spreadsheet and testified:

Q. And you would agree with me that none of the headings make reference to booking denials or refusals to carry, correct?

MR. REYNOLDS: Object to form. You can answer.

A. Those words are not on the column headings, correct.

Q. Okay. And do you see any text in the spreadsheet that refers to booking denials or refusals to carry?

A. Those words are not used in the Excel spreadsheet.

Q. Do you know what this spreadsheet is?

A. A spreadsheet.

Q. Yes. But what is it? What does it reflect?

A. A lot of information about carriers and customer numbers and invoice numbers and bills of lading. It's the information under the headings.

Q. Do you know who prepared it?

A. I do not know what individual prepared it. I assume it came from Huth Reynolds, but I do not know.. . .

Q. Okay. But from your perusal of the document, you cannot identify any containers concerning which OOCL allegedly denied a booking or refused to carry, correct?

MR. REYNOLDS: Object to form. You can answer.

A. Those words are not used on this document.

APP 1150-51 (Kastin Tr. 35:14 to 36:16; 38:10-18).

David Kastin verified the truth of BBY's discovery response when it produced Exhibits 328 and 329, yet it is evident he had no knowledge of their content. APP 3337-3356 (Ex. 326, pages 6, 7 and the 18th page (unnumbered)).

Ex. 330, bates-stamped, was produced as an attachment to BBY's supplemental responses to OOCL's interrogatories. It is captioned "BBY Shipments with OOCL During the 2020-2021 Service Contract Term on Service Contract Lanes", which relates to freight charges, not allegedly declined bookings. David Kastin testified:

Q. Do you know who prepared it?

A. I do not know which individual prepared it.

Q. Do you know when it was prepared?

A. I do not.

Q. Do you know the source of the data?

A. I do not. . .

Q. Sure. There's no -- there's no column references to booking date or when or where bookings were made, correct?

A. There are no columns with those words on it, correct.

Q. All right. Let's go on to the next tab. And the same would be true for this tab, which is identified at the bottom, "20 But For," that there is no reference to booking dates or when or where the bookings were made?

A. Those words are not used on this page.

Q. Okay. Let's go on to the next tab, which is identified as "20 Damages." And the same would be true for this tab, correct?

A. Correct.

Q. And if we go on to the next tab, which is tab "SY 21" -- and we'll scroll over to the right so you can see all of the columns. And you would agree with me that there's no reference to booking dates or when or where bookings were made, correct?

A. Those words are not used on the spreadsheet, correct.

Q. And if we go to the next tab, "21 But For," the same would be true for this tab; that there's no reference to booking dates or when or where bookings are made, correct?

A. Those words are not used, correct.

Q. And then last tab is "21 Damages." You would agree, again, there's no reference here to booking dates or when or where bookings are made, correct?

A. Those words are not used.

Q. Sorry. I didn't hear that.

A. Those words are not used.

Q. Okay. And it's a fair statement to say that you cannot verify the accuracy of any of the information set forth in this spreadsheet, correct?

MR. REYNOLDS: Object to form. You can answer.

A. I have no independent knowledge.

APP 1152-1153 (Kastin Tr. 42:19 to 42:21; 42:22 to 43:3; 44:10 to 46:13).

As for David Kastin's knowledge of the appendices to John McCown's report, he testified that he did not know the source of the data, did not know who compiled it, there are no booking denials or refusals to carry in any of the columns of the spreadsheet, and he has no idea whether any of the shipments referenced in the spreadsheet correlate to when OOCL denied a BBY booking. APP 1147-1148 (Kastin Tr. 22:2-29:17).

OOCL has moved to strike John McCown as an expert because his methodology and conclusions are unreliable.

CPFF 516. Appendices B-1 through B-4 of the McCown Report reflect actual shipments undertaken by BBY during the 2021 Service Contract Year on lanes covered by the 2021 Service Contract, using NVOs or ocean freight forwarders, which BBY was forced to undertake due to OOCL's failure to meet its service commitments under the 2021 Service Contract. See Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Dep. Ex. 328 [APP-3357]; Dep. Ex. 329 [APP-3358].

RESPONSE: Denied. See OOCL's Responses to BBY's PFF 513 and 515, which are incorporated herein by reference. OOCL has moved to strike John McCown as an expert because his methodology and conclusions are unreliable.

CPFF 517. There is no error in BBY's calculation of shortfall damages as to Count I.

RESPONSE: Denied. See OOCL's Response to BBY's PFF 513, 515, 516, which are incorporated herein by reference.

CPFF 518. Steffen is not aware of any industry standards for calculating shortfall damages. See Steffen Dep. Tr. 256:2-6 ("Q. Are you aware of any standards that are recognized in the industry relating to the calculation of shortfall damages specifically? A. No.") [APP-2583].

RESPONSE: Admitted that Boris Steffen testified as set forth above.

CPFF 519. There is no error in BBY's calculation of PSS/premium rate damages as to Count I.

RESPONSE: Denied. See OOCL's Response to BBY's PFF 513, 515, 516, which are incorporated herein by reference.

CPFF 520. Steffen testified that he would calculate damages related to BBY's claims for PSS/premium charges by subtracting the "but-for" amount from the actual amount paid, consistent with the formula BBY used for PSS/premium damages. See Steffen Dep. Tr. 85:9-22 ("Q. So you've said you would gather reliable data, but can you structure for me a mathematical operation that would allow you to determine the damages from surcharges or fees? A. It would be – damages are the difference between actual and but-for. Q. All right. So just to break that apart: If you knew the actual amount that Bed Bath paid OOCL for the freight that OOC carried, that would be one component of your analysis, right? A. Yes."), 87:10-14 ("Q. What did you mean by but-for"? A. What Bed Bath & Beyond would have paid but for its having to pay peak-season surcharges and

premium charges.”), 87:16-24 (“Q. And if you had those two numbers – what Bed Bath actually paid OOCL and what Bed Bath would have paid but for those charges – what operation would you undertake mathematically to size the damages? A. I would calculate the difference between the but-for amounts and the actual amounts.”) [APP-2540].

RESPONSE: OOCL denies the proposition set forth in the first sentence above. Boris Steffen’s report makes very clear that he fundamentally disagrees with the purported analysis and methodology undertaken by John McCown. APP 3937-3994 (Ex. 384, pp. 17, 20-26).

B. Count II (“Unjust and unreasonable assessment of Detention and Demurrage Charges”)

CPFF 521. As to Count II, BBY is entitled to reparations from OOCL in the amount of \$6,178,515.48. *Infra* COL.XI.B.

RESPONSE: Denied. See OOCL’s Response to BBY’s PFF 513, 515, 516, which are incorporated herein by reference.

CPFF 522. Appendix C of the McCown Report reflects payments made by BBY for detention and demurrage charges charged by OOCL for OOCL shipments. See Ex. 381 (McCown Report Appendix C) [APP-3845-3928]; Ex. 329 (P-0000353819) [APP-3358].

RESPONSE: Denied that Appendix C accurately reflects OOCL charges. John McCown admitted that he did not prepare Appendix C, did not know who did, and did not know how it was generated. APP 1491 (John McCown Tr. at 219:9-220:6).

CPFF 523. Consistent with the allegations in the Complaint, Appendix C reflects that OOCL charged BBY \$1,784,164.88 in demurrage charges and \$6,036,612.95 in detention charges, for a total of \$7,820,777.83 in detention and demurrage charges. See Ex. 381 (McCown Report, Appendix C) [APP-3845-3928]; Ex. 329 (P-0000353819) [APP-3358].

RESPONSE: Denied. John McCown admitted that he did not prepare Appendix C, did not know who did, and did not know how it was generated. APP 1491 (John McCown Tr. at 219:9-220:6).

CPFF 523.1. The total amount of \$7,820,777.83 in detention and demurrage charges was excessive.

RESPONSE: Denied. OOCL promulgated demurrage and detention management guidelines. RX-000853-889 (Ex. 97, OOCL DD Management Guideline (1 Nov 2020), OOCL_00000128664-128700); APP 2346 (Sha Tr.195:24-197:2). OOCL followed its DD Management Guidelines, which cover whether a customer is responsible or not for a charge. APP 2313-14; 2320 (Sha Tr. 63:21-64:20; 65:2-66-22; 92:8-93:12). OOCL has a headquarters and regional detention and demurrage dispute handling guideline. APP 2314 (Sha Tr. 67:13-68:11; 68:23-11). The analysis as to whether the DD charge is within OOCL’s control or the customer’s control takes place before the charge is issued. APP

2314-2315 (Sha Tr. 69:13-70:13). Each case involves a fact-based inquiry. APP 2315; 2348 (Sha Tr. 70:14-71:23; 204:3-205:17). If grounds exist, OOCL's DD Dispute Team can make an operational adjustment. In cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). OOCL will review and take into consideration any information that the client provides with respect to a demurrage or detention dispute. APP 2344 (Sha Tr. 188:6-189:21).

OOCL has a demurrage and detention dispute process for submitting disputes available on OOCL's website, which was in place throughout the shipping years at issue. APP 2355 (Sha Tr. 230:6-230:18). When BBBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information which BBBY never provided. APP 2247 (Schmiemann Tr. 248:16 to 249:2). OOCL's Demurrage and Detention Department Supervisor Tracy Sha testified that BBBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. APP 2351 (Sha Tr. 216:13 to 217:14).

OOCL's Tracy Sha's team vetted and verified the charges relating to each and every container and prepared a spreadsheet addressing more than 1,000 containers. APP 2353 (Sha Tr. 224:25 to 225:24). Ms. Sha testified at Tr. as follows:

Q. Okay. And so what did you do with respect to the conclusions that you reached after vetting every one of these containers? What did you conclude?

A. Yeah. So what we concluded definitely is we now have the OOCL, our side of the data of the charge amount. Also we have the justification, so we do have a finding that among the list, there are ten containers in a particular day for their container type the terminal is not able to accept empty return. So for those ten days or ten containers, we marked that there's one day invalid, and we issue the credit note for that amount. So that is marked in the sheet under Column V and Column W, yeah. And for the rest of the days is the majority because there's more than one thousand containers –

A. For the rest of the record in overall, there's more than 1,000 container records. What we presented here is the justification for why we view the charge is valid, so we giving [sic] the justification for the charge billed dates.

Id. See also RX-000001 (Ex. 98, Tracy Sha's Excel Spreadsheet, OOCL0000253914).

OOCL sent daily announcements to truckers during the pandemic about terminals openings and empty container return requirements. APP 1707 (Mitchell Tr. 119:6-18); APP 2356 (Sha. Tr. 237:1-12).

Tracy Sha and her Demurrage and Dispute Team also considered “whatever information customer submit to us” in evaluating whether a DD charge should be operationally adjusted. APP 2344 (Tracy Sha Tr. 188:6-189:21). If grounds exist, OOCL’s DD Dispute Team can make an operational adjustment; in cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Tracy Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). BBY presented only two emails to OOCL during the pandemic seeking a request for an adjustment, each of which OOCL addressed and resolved. APP-2351 (Sha Tr. 216:13-217:14). Further OOCL requested additional information from BBY about these alleged overcharges and BBY provided no information or evidence. APP-2237 (Schmiemann Tr. 248:16-249:2).

BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.*, APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

John McCown had no information relating to all of the containers in Appendix C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL’s Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491 (John McCown Tr. at 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (John McCown Tr. at 224:14-22).

CPFF 523.1.1. OOCL suffered no opportunity cost in relation to the containers underlying the total amount of \$7,820,777.83 in detention and demurrage charges. *Supra* ¶¶ 361, 363-365.

RESPONSE: Denied. Dr. Lars Jensen testified:

Q So when you were talking about

lost opportunity cost, what lost opportunity cost were incurred by the ocean carriers during this time?

A The lost-opportunity cost the carriers would have in mind was the risk that, if the container was not redelivered delivered on time, it would not make it out to Asia in time, and they might be in a situation where they did not have an empty container available for a customer at a point where going freight rates were 10 to 15,000 dollars.

This was a risk assessment based by the carriers because it would be based on a forecast of how many empty containers would you need at a specific depot in a specific city, typically, two months into the future?

APP 1086 (Lars Jensen Tr. at 359:16 to 360:10).

As for BBBY PFFs ¶¶ 361, 363-365, OOCL has moved to strike John McCown as an expert. He failed to compare the reasonableness of OOCL's DD rates against its peer competitors, and instead compared OOCL's rates against container barge carrier [REDACTED] McCown's use of [REDACTED] as a benchmark for DD charges assessed by OOCL is fundamentally flawed for a variety of reasons:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

CPFF 523.1.2. The total amount of \$7,820,777.83 in detention and demurrage charges are unreasonable. *Infra* ¶¶ 793-98.

RESPONSE: Denied. OOCL promulgated demurrage and detention management guidelines. RX-000853-889 (Ex. 97, OOCL DD Management Guideline (1 Nov 2020), OOCL_00000128664-128700); APP 2346 (Sha Tr.195:24-197:2). OOCL followed its DD Management Guidelines, which cover whether a customer is responsible or not for a charge. APP 2313-14; 2320 (Sha Tr. 63:21-64:20; 65:2-66-22; 92:8-93:12). OOCL has a headquarters and regional detention and demurrage dispute handling guideline. APP 2314 (Sha Tr. 67:13-68:11; 68:23-11). The analysis as to whether the DD charge is within OOCL's control or the customer's control takes place before the charge is issued. APP 2314-2315 (Sha Tr. 69:13-70:13). Each case involves a fact-based inquiry. APP 2315; 2348 (Sha Tr. 70:14-71:23; 204:3-205:17). If grounds exist, OOCL's DD Dispute Team can make an operational adjustment. In cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). OOCL will review and take into consideration any information that the client provides with respect to a demurrage or detention dispute. APP 2344 (Sha Tr. 188:6-189:21).

OOCL has a demurrage and detention dispute process for submitting disputes available on OOCL's website, which was in place throughout the shipping years at issue. APP 2355 (Sha Tr. 230:6-230:18). When BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional

information which BBY never provided. APP 2247 (Schmiemann Tr. 248:16 to 249:2). OOCL's Demurrage and Detention Department Supervisor Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. APP 2351(Sha Tr. 216:13 to 217:14).

OOCL's Tracy Sha's team vetted and verified the charges relating to each and every container and prepared a spreadsheet addressing more than 1,000 containers. APP 2353 (Sha Tr. 224:25 to 225:24). Ms. Sha testified at Tr. as follows:

Q. Okay. And so what did you do with respect to the conclusions that you reached after vetting every one of these containers? What did you conclude?

A. Yeah. So what we concluded definitely is we now have the OOCL, our side of the data of the charge amount. Also we have the justification, so we do have a finding that among the list, there are ten containers in a particular day for their container type the terminal is not able to accept empty return. So for those ten days or ten containers, we marked that there's one day invalid, and we issue the credit note for that amount. So that is marked in the sheet under Column V and Column W, yeah. And for the rest of the days is the majority because there's more than one thousand containers –

A. For the rest of the record in overall, there's more than 1,000 container records. What we presented here is the justification for why we view the charge is valid, so we giving [sic] the justification for the charge billed dates.

Id. See also RX-000001 (Ex. 98, Tracy Sha's Excel Spreadsheet, OOCL0000253914).

OOCL sent daily announcements to truckers during the pandemic about terminals openings and empty container return requirements. APP 1707 (Mitchell Tr. 119:6-18); APP 2356 (Sha. Tr. 237:1-12).

Tracy Sha and her Demurrage and Dispute Team also considered “whatever information customer submit to us” in evaluating whether a DD charge should be operationally adjusted. APP 2344 (Tracy Sha Tr. 188:6-189:21). If grounds exist, OOCL's DD Dispute Team can make an operational adjustment; in cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Tracy Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17). BBY presented only two emails to OOCL during the pandemic seeking a request for an adjustment, each of which OOCL addressed and resolved. APP-2351 (Sha Tr. 216:13-217:14). Further OOCL requested

additional information from BBY about these alleged overcharges and BBY provided no information or evidence. APP-2237 (Schmiemann Tr. 248:16-249:2).

BBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See*, e.g., APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor Tr. 80:11 to 84:14).

John McCown had no information relating to all of the containers in Appendix C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL's Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491-1492 (John McCown Tr. at 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (John McCown Tr. at 224:14-22).

BBY's PFF 793-798 have been struck.

CPFF 523.1.3. Port congestion issues and other factors made it impossible for BBY to move the containers underlying the total amount of \$7,820,777.83 in detention and demurrage charges. *Supra* FOF.Arg.II.2-3; *infra* COL. (discussing the "incentive principle").

RESPONSE: Denied. There is no evidence that the flow of containers came to a halt. What is evident is that at this time, BBY's warehouses were full and they were continuing to ship large volumes of containers to Southern California. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP

385 (Vincent Delprete Tr. 179:20-180:10) (BBBY was one of the shippers who “were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn’t absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn’t digest it.”). In September 2021, BBBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161-24); RX-000979-996 (Ex. 201).

BBBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBBY had a practice of “holdbacks,” that is, leaving containers at its warehouses containing goods that were not needed at BBBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBBY’s Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

BBBY continues to rely upon generalized complaints about congestion and purported reasons why containers could not be picked up or returned, but no evidence has been presented in this case as to why each container could not be picked up or returned. BBBY’s Reid Klosowsky acknowledged that OOCL has “a customer service team that reviews each individual shipment” and the burden of proof was on BBBY. APP 1265-1266 (Reid Klosowsky Tr. at 117:11 to 119:4). BBBY presented no such explanations or evidence during the pandemic that delays were caused to any particular container by lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.*, APP 830-831 (Patrick Hackett Tr. 67:3 to 70:13); APP 2448-2449 (Seweryn Soban Tr. 72:15 to 74:20); APP 2046-2048 (Ian Pinchuk Tr. 16:15 to 23:21); APP 2128-2129 (Melinda Porter Tr. 35:3 to 38:22); APP 2647 (Gisella Stupnik Tr. 51:7 to 52:5); APP 1259-1260 (Reid Klosowsky Tr. 92:6 to 95:17); APP 1949-1950 (Paul Pastor

Tr. 80:11 to 84:14).

CPFF 523.2. Even if any of OOCL's determinations are correct as to the validity of any of the total amount of \$7,820,777.83 in detention and demurrage charges, OOCL's rates were grossly excessive. *Supra* FOF Section VIII.D.1; [REDACTED]

RESPONSE: Denied that regional carriers like are remotely comparable to global ocean carriers such as OOCL. BBY's PFF 796 has been struck. OOCL has moved to strike John McCown as an expert. He failed to compare the reasonableness of OOCL's DD rates against its peer competitors (OOCL's demurrage per diem rates in 2020-2022 were lower than those of three comparable operators. APP 3754-3936 (Ex. 384, Steffen Report at 24), and instead compared OOCL's rates against container barge carrier [REDACTED] [REDACTED] McCown's use of [REDACTED] as a benchmark for DD charges assessed by OOCL is fundamentally flawed for a variety of reasons:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]



CPFF 524. The imposition of Detention and Demurrage Charges was unreasonable in that there was no basis for imposing such Charges.

RESPONSE: Denied. OOCL's DD charges were based on market rates. OOCL's demurrage per diem rates in 2020-2022 were lower than those of three comparable operators. APP 3754-3936 (Ex. 384, Steffen Report at 24). Additionally, OOCL's demurrage free time in 2020-2022 was more generous than three comparable operators. APP 3754-3936 (Ex. 384, Steffen Report at 24).

CPFF 524.1. Steffen is not aware of any industry standards for calculating detention and demurrage damages. See Steffen Dep. Tr. 256:7-12 ("Are you aware of any standards that are published or recognized in the industry that were linked to the calculation of detention and demurrage damages specifically? A. No.") [APP-3789].

RESPONSE: Admitted that Boris Steffen testified as set forth above.

CPFF 524.2. See Ex. 381 (McCown Report) ¶ 162 ("Full is full. The opportunity cost argument for enhanced per diem charges therefore does not apply to conditions during the COVID-19 pandemic, when OOCL has admitted it was able to run its ships at full capacity regardless of congestion or delays in container handling") [APP-3789].

RESPONSE: Denied. Dr. Lars Jensen testified:

Q So when you were talking about lost opportunity cost, what lost opportunity cost were incurred by the ocean carriers during this time?

A The lost-opportunity cost the carriers would have in mind was the risk that, if the container was not redelivered delivered on time, it would not make it out to Asia in time, and they might be in a situation where they did not have an empty container available for a customer at a point where going freight rates were 10 to 15,000 dollars.

This was a risk assessment based

by the carriers because it would be based on a forecast of how many empty containers would you need at a specific depot in a specific city, typically, two months into the future?

APP 1086 (Lars Jensen Tr. at 359:16 to 360:10).

OOCL has moved to strike John McCown as an expert. He failed to compare the reasonableness of OOCL's DD rates against its peer competitors, and instead compared OOCL's rates against container barge carrier [REDACTED]. McCown's use of [REDACTED] as a benchmark for DD charges assessed by OOCL is fundamentally flawed for numerous reasons. See OOCL's Response to BBY PFF 523.1.1., which is incorporated herein by reference.

CPFF 524.3. OOCL's own designated expert admitted that there are no opportunity costs associated with the detention charges levied by OOCL against BBY at issue in this action. See Steffen Dep. Tr. 210:24-211:22 ("Q. You understand that when detention is being accrued the container is offsite, correct? A. Yes. Q. So when detention is being accrued, there's no opportunity cost arising from the missing space at the terminal facility, right? A. I agree with that. Q. So at least, with respect to detention, since there's no opportunity cost associate with space being taken up at the facility, and assuming the ships are able to run full with sufficient containers to support their operations, you haven't identified any opportunity cost relating to the detention of particular containers to support their operations, you haven't identified any opportunity cost relating to the detention of particular containers, correct? A. Well given those facts, and – given those facts and circumstances, if true, correct.") [APP-2572].

RESPONSE: Denied that Mr. Steffen's agreement with certain specific hypothetical circumstances constitute an "admission" that OOCL did not experience lost opportunity costs from BBY's failure to timely return OOCL's equipment. The hypothetical questions above fail to account for the actual market at the time and the lost opportunity costs expressed by Dr. Lars Jensen during his deposition. See OOCL's response to BBY's PFF 524.2., which is incorporated herein by reference.

CPFF 525. There is no error in BBY's calculation of detention and demurrage damages as to Count II.

RESPONSE: Denied. OOCL's DD charges were proper and BBY provided no explanations or evidence why any adjustment should be made. See OOCL's Responses to BBY's PFFs 523.1.2 and 523.1.3, which are incorporated herein by reference.

C. Count IV ("Retaliation")

CPFF 526. As to Count IV, BBY is entitled to reparation from OOCL in the amount of \$31,280,352.13 for OOCL's violations in Counts I through III and, as described further below, an

additional reparations of \$44,906,060.97 for OOCL's Count V unreasonable refusal to deal as it relates to the 2022-2023 shipping year. *See infra* COL.XI.E.

RESPONSE: Denied. Legitimate business reasons existed for the decisions that OOCL made [REDACTED] maintaining OOCL's rates during contract negotiations with BBY, and declining to further reduce rates beyond the one reduction in the latter half of 2022.

[REDACTED]

As for maintaining rates during contract negotiations, Marvic Chen wrote: "For your heads up, considering the uncertainty of space supply in 2022, BBB's inability to manage their supply chain efficiently and OOCL's corporate direction of more IPI, OOCL would like [sic] reduce our MQC space commitment significantly if BBB would accept our rates and BP revision for renewal. We may further discuss." APP 2962-63 (Ex. 22, OOCL_0000055992-93). OOCL continued the iterative negotiations process with BBY and ultimately reached an agreement for the 2022 service contract. Contract negotiations are not written in stone and rates are but one facet of negotiations.

On April 11, 2022, OOCL's Financial Control Team warned that BBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Thomas Schmiemann Tr. at 311:4-19); APP 1397 (K. Lam Tr. at 236:13-25). Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-2985 (Ex. 23, OOCL_0000070353), OOCL made another prescient decision not to further reduce BBY's rates to induce it to take its business elsewhere. APP 1397 (K. Lam Tr. 236:13-237:15). BBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Holly Etlin Declaration).

D. Count V ("Unreasonable refusals to deal or negotiate")

CPFF 527. OOCL's unreasonable refusals to deal or negotiate with BBY during the 2020, 2021, and 2022 shipping years caused BBY to incur the same losses alleged under Counts I and II. *Supra* FOF.Arg.I-II.

RESPONSE: Denied that OOCL refused to deal with BBY, denied that OOCL's behavior was unreasonable, and denied that OOCL's actions proximately caused BBY's alleged losses. OOCL continued to deal with BBY even after BBY's financial situation deteriorated during the pandemic years. OOCL's decision not to reduce the rates offered to BBY was motivated by commercial considerations given BBY's own mismanagement. APP-2978. See OOCL

Response to BBY PFF 526, which is incorporated herein by reference.

CPFF 528.

RESPONSE: Denied that OOCL's commercially justified business decisions with respect to negotiating its 2022-2023 Service Contract with now-bankrupt BBY were improper or proximately caused BBY's losses.

BBY's PFF 809 and 812 have been struck.

CPFF 528.1. OOCL's knowingly improper decision to rescind, during negotiations, MQC for the 2022-2023 shipping year in the amount of 671 FEUs following protected conduct by BBY was part of OOCL's retaliatory conduct. *Supra* ¶ 486.

RESPONSE: Denied that OOCL's conduct was retaliatory. Further denied that OOCL's commercially justified business decisions with respect to negotiating its 2022-2023 Service Contract with now-bankrupt BBY were improper or proximately caused BBY's losses.

E. Lost Profits

CPFF 529. As to Lost Profits, BBY is entitled to reparations from OOCL in the amount of \$133,055,566 as to the OOCL's failure to honor service commitments during the 2020 and 2021 Service Years and \$44,906,060.97 as to OOCL's retaliatory and unreasonable refusal to deal related to the 2022-23 shipping year. *Infra* COL.XI.F.

RESPONSE: Denied that BBY has not demonstrated entitlement to any damages whatsoever. BBY's own failure to manage its business operations during the pandemic years was not the fault or responsibility of OOCL. See OOCL's Response to BBY's PFF 513, 515 and 516, which are incorporated herein by reference.

CPFF 530. BBY's calculations of lost profits are based on actual shipments and profits recorded from May 1, 2020, around the time that the parties' 2020 Service Contract began, to April 30, 2022, when the 2021 Service Contract concluded. *See* Dep. Ex. 401 at Tab "Container Receipts with Expenses" [APP-4008]; Cunniff Dep. Tr. 21:4-16 ("Q. What did you do to prepare this

worksheet? A. There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources, one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time.”) [APP-277].

RESPONSE: Denied. There is no correlation between any of the shipments replied upon by BBY and any shipment allegedly declined to be carried by OOCL. See OOCL’s Response to BBY’s PFF 513, 515 and 516, which are incorporated herein by reference.

CPFF 531. Rick Cunniff, BBY’s former Senior Director of Financial Analysis, gathered data from multiple sources, including detailed records of shipped containers, product markups, and sales figures, and created a spreadsheet detailing container profitability during the relevant time. *See* Dep. Ex. 401, at Tab “Container Receipts with Expenses” [APP-4008]; Cunniff Dep. Tr. 9:3-12 (“Q. What was your position when you left Bed Bath’s employ? A. I was the senior director of financial analysis . . . Q. And how long had you held that position? A. That specific role? Q. Yes, sir. A. Maybe three of four years.”), 20:9-12 (“Q. And what was the task? A. It was to determine the relative profitability of a container over a window of time.”) [APP-274; APP-277].

RESPONSE: Denied that the deposition transcript cite above supports the alleged fact that Mr. Cunniff “gathered data from multiple sources, including detailed records of shipped containers, product markups, and sales figures, and created a spreadsheet detailing container profitability during the relevant time.” Quite to the contrary, Mr. Cunniff’s analysis was fatally flawed for the reasons set forth in OOCL’s Responses to BBY’s PFFs 513, 515, and 516.

CPFF 532. Mr. Cunniff verified the Lost Profits Analysis spreadsheet’s accuracy to a reasonable extent by cross-referencing the quantity of goods shipped over time against financial reports on imports. *See* Cunniff Dep. Tr. 22:18-23:2 (Q. Did you verify the accuracy of the information in each tab? A. To a reasonable extent, yes. Q. And what does that mean? A. The amount of goods that were shipped over a window of time, I validated in terms of some of the financial reporting that we had that tells me how much we’ve imported.”) [APP-278].

RESPONSE: Denied that Mr. Cunniff’s self-serving testimony during his deposition constitutes adequate verification efforts. Mr. Cunniff’s analysis was fatally flawed for the reasons set forth in OOCL’s Responses to BBY’s PFFs 513, 515, and 516.

CPFF 533.

RESPONSE: Admitted that Ex. 401 includes the number 14,137 next to “#Containers.” Otherwise, Exhibit 401 has no correlation to any container that was actually booked or attempted to be booked with OOCL that OOCL did not carry. APP 278 (Richard Cunniff Tr. 23:18-24-10).

RESPONSE: Denied. Exhibit 401 has no correlation to any container that was actually booked or attempted to be booked with OOCL that OOCL did not carry. APP 278 (Richard Cunniff Tr. 23:18-24-10). Richard Cunniff never did a comparison between his spreadsheet 401 and Appendices A-1 and B-1 of John McCown's report, and he does not know whether any of the shipments identified replaced OOCL's declined bookings or were made when OOCL has space available for the service loops covered by the shipments. APP 279; 280 (Richard Cunniff Tr. at 28:17-29:20; 31:4-20). As for Exhibit 401, Mr. Cunniff did not know how many of the containers listed were carried on the same service loops under the OOCL Bed Bath service contracts, or how many of the containers were booked or attempted to be booked with OOCL that OOCL did not carry. APP 281; 282 (Richard Cunniff Tr. 36:23-37:7; 40:5-23).

When Mr Cunniff was asked whether it would be fair statement to say that the profit-per-container number is based on the aggregate value of all of the products shipped during this period [that is, the two shipping years at issue], he testified: "reasonably assume, but I don't know specifically if it is." APP 281-282 (Richard Cunniff Tr. 37:20-38:2). Further, of all the items in the aggregate that were shipped during this window of time [that is, the two shipping years at issue], he did not know how many of them went unsold. APP 284 (Richard Cunniff Tr. at 48:12-18). Mr. Cunniff did not know whether there was any correlation between any of the purchase orders and bookings that OOCL allegedly declined to carry. APP 290 (Richard Cunniff Tr. at 70:18-72:7). He did not know whether any of the containers in his spreadsheet were filled with goods that OOCL agreed to carry under its service contract with BBY. APP 291 (Richard Cunniff Tr. 76:16-77:24). Further, he testified:

- 2 Is it a fair statement to say
- 3 that, with respect to these allegedly
- 4 missing containers, you never evaluated
- 5 what they contained or the sales price of
- 6 any of the goods, correct?
- 7 MR. REYNOLDS: Objection.
- 8 Mischaracterizes the allegations in
- 9 the Complaint.
- 10 You can answer.
- 11 A In -- I don't -- it wasn't the
- 12 intent to scrutinize the items that were
- 13 on there or not. You know, there's some
- 14 general calculations that were, kind of,

15 overlapping with that.
16 But to specifically answer your
17 question, no. It wasn't, like, my focus,
18 so I didn't really ...

APP 292 (Richard Cunniff Tr. 78:2 to 78:18).

7 Q It's a fair statement to say,
8 based upon your -- what you've done, you
9 haven't made any identification of the
10 goods that were in those containers, the
11 sales price of those goods, or the
12 purchase price of the goods for any
13 containers that were allegedly booked or
14 attempted to be booked with OOCL, that
15 OOCL did not carry, correct?

16 MR. REYNOLDS: Objection.
17 Mischaracterizes the allegations in
18 the Complaint.

19 You can answer.
20 A I did not, not to that extent.

APP 292 (Richard Cunniff Tr. 79:7 to 79:20).

7 Q How do you know that these
8 containers that allegedly were not carried
9 by OOCL were ever carried by any other
10 carrier?

11 MR. REYNOLDS: Objection.
12 Mischaracterizes the allegations in
13 the Complaint.

14 You can answer.
15 A I do not know. I didn't need to
16 check that.

17 Q How do you know that they
18 weren't -- they were not carried because
19 Bed Bath's suppliers did not deliver the
20 goods?

21 A I do not know.

APP 292 (Richard Cunniff Tr. at 80:7 to 80:21).

22 Q And we have at least 1,900-plus
23 purchase orders that were canceled during
24 this period, correct?

25 **A** On that tab that we ran, those
2 were purchase orders that were canceled in
3 that window, 19 -- whatever the number
4 was. Yes, correct.

5 **Q** Okay.
6 And do you know, of those 1,900
7 containers, how -- or 1,900 purchase
8 orders, how many of those were actually
9 carried?

10 **A** I do not know. To my knowledge,
11 a canceled PO means that those goods
12 didn't arrive. They would have to be
13 rewritten on another PO or something like
14 that to be on another container. So all I
15 know is from dataset that they were
16 canceled.

APP 292 (Richard Cunniff Tr. at 80:22 to 81:16).

18 And I was asking you before
19 about goods that went unsold, and I just
20 want to make sure I'm clear on the record
21 here.

22 We have a list of all of the
23 commodities that were included within the
24 containers that you identified were
25 carried during the two-year period that
2 you identified, correct?

3 **A** Correct.

4 **Q** Okay.
5 But you don't know how many of
6 those goods actually went unsold during
7 that period.

8 Would that be a fair statement?

9 **A** It would be a fair statement in
10 that I couldn't specifically tell you with
11 certainty the condition -- you know, what
12 happened to every item that was on -- in
13 those containers.

APP 292-293 (Richard Cunniff Tr. at 81:18 to 82:13).

15 What is your experience in
16 performing any type of lost-profits

17 analyses?
18 A Not tremendously experienced.
19 Q Have you ever performed a
20 profit-per-container analysis before?
21 A Not on -- I don't recall. I may
22 have done something similar to that in my
23 Christmas Tree Shop role, but, you know,
24 I -- and I did it maybe on inbound, like,
25 land freight, kind of, in general. Like,
2 we did some trucking analysis on goods
3 being shipped, but that was in the
4 Christmas Tree Shop space.
5 Q But you've never done an
6 analysis like you've done with respect to
7 this, Exhibit 401, before, correct?
8 A Correct.

APP 293 (Richard Cunniff Tr. at 83:15 to 84:8).

Further, and fatal to BBY's lost-profits-per container argument is that there exists no evidence as to OOCL's alleged MQC "shortfall." BBY's Director of International Supply Chain, Patrick Hackett, testified as follows:

Q. Did you ever do an analysis to determine whether or not OOCL provided all of the space that it said it was going to provide?
A. Not to my knowledge.
APP 887 (Hackett Tr. 294:6-10).

Patrick Hackett is the same person who submitted the February 9, 2022, letter to OOCL claiming that OOCL had not meet its container space commitments. APP 3307-3308 (Ex. 177, February 9, 2022, letter signed by Patrick Hackett).

There exists no testimony or other evidence in the record that anyone with or on behalf of BBY, or its booking agent Yusen Logistics, ever calculated the amount of container space that OOCL provided to BBY during the 2020 and 2021 shipping years. Rather, there exists abundant evidence showing such calculation was never undertaken. See e.g., APP 887 (Hackett Tr. 294:6-10); APP 2405 (Shippee Tr. 61:4-13); APP 1547 (McQuade Tr. 15:4-11); APP 1159-1160; 1199 (Kastin Tr. 71:11-77:2; 231:10-232:5); APP 2068, 2083 (Pinchuk Tr. 103:4-13; 163:13-25); APP 1466-1467 (McCown Tr. 118:8-122:24); APP 1248 (Klosowsky Tr. 48:7-21 (Reid Klosowsky looked to Paul Pastor as the person who would determine how much container space an ocean carrier actually provided)); APP 1956 (Pastor Tr.107:6-20) (Paul Pastor testified that he would have to look at the data and he did not recall the number of shipping years 2020/21 and 2021/22); APP 275-276 (Cunniff Tr. 13:24-14:5); APP 1567 (McQuade Tr. 94:7-95:10).

BBBY has produced no data as to any calculation, evaluation, determination, verification or review of the actual container space provided by OOCL during shipping years 2020 and 2021; the only data provided was the number of containers actually carried in Patrick Hackett's letter of February 9, 2022. APP 860 (Hackett Tr. 189:13-20); APP 3307-3308 (Ex. 177).

BBBY has placed no documents in the record that calculate or otherwise explain the amount of actual space OOCL provided to BBBY over the entirety of shipping years 2020 and 2021.

BBBY's purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBBY (or Yusen) or a booking denial by OOCL. APP 1467-1468 (McCown Tr. 123:16-128:13).

Mr. McCown relied on *allegations* of container space shortfalls as described in BBBY's Complaint as the entire basis for his opinion that OOCL did not provide the space contracted for under the 2020 and 2021 service contracts. In his deposition, McCown testified:

Q. Okay. So, essentially, you would agree with me that you accepted the proposition that OOCL only provided 1,475.85 FEUs of space during the 2020 service contract year and only 2,432.74 FEUs of space during the 2021 service contract year, that you obtained from reviewing the original Complaint, correct?

A. Yes, I agree with that.

Q. Do you know where those numbers came from?

A. Those numbers came from Bed Bath & Beyond, from their professionals, Mr. Hackett and other folks in their area.

Q. Do you know any specific documents that it refers -- that refer to those numbers?

A. I mean, in quite a few of the depositions they're referenced, but the -- you know, the Complaint was the basis for that.

APP 1467 (McCown Tr. 122:4-122:24).

Pages 9 and 10 of Ex. 326 (APP 3345-3346) are excerpts from BBY's supplemental discovery responses, in this case to OOCL's Interrogatory Number 2, which asked: "For every container identified in response to Interrogatory No. 1, identify the date a booking was attempted, where the booking was attempted, by whom, with whom, and the intended load port to destination route." BBY's supplemental answer (again verified by David Kastin) was: "Subject to and without waiver of the foregoing, Complainant supplements its previous answer to Interrogatory No. 1 by referring Respondents to Appendices A-1 through A-4 and Appendices B-1 through B-4 of the Expert Report of John D. McCown, dated September 17, 2024, and documents bates-stamped P-0000810432 and P-0000353819, produced to Respondents in this action." APP 3337-3356 (Ex. 326, 18th page (unnumbered)).

Ex. 328 (APP-3357, bates-stamped P-810432) was produced by BBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBY. APP 3337-3356 (Ex. 326, pages 7 and 8, Supplemental Answer to Interrogatory No. 1).

Ex. 328 lists more than 7,000 containers that are not logically connected to OOCL in any way. BBY's former general counsel David Kastin testified:

Q. Well, I mean, the question -- the interrogatory asked to identify all the containers concerning which OOCL refused to carry or denied a booking. This is a spreadsheet that lists in excess of 7,000 containers with no reference to OOCL. And so I guess the question is which of these containers did Bed Bath, if any -- which of these containers, if any, did Bed Bath attempt to book with OOCL?

A. No independent knowledge.

APP 1149 (Kastin Tr. 33:6-17).

Ex. 329 (APP-3358, bates-stamped 353819) was produced by BBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBY. APP 3337-3356 (Ex. 326, pages 7 and 8, Supplemental Answer to Interrogatory No. 1).

However, as to Ex. 329, BBY's former general counsel David Kastin admitted he did not independently verify the information in the spreadsheet and testified:

Q. And you would agree with me that none of the headings make reference to booking denials or refusals to carry, correct?

MR. REYNOLDS: Object to form. You can answer.

A. Those words are not on the column headings, correct.

Q. Okay. And do you see any text in the spreadsheet that refers to booking denials or refusals to carry?

A. Those words are not used in the Excel spreadsheet.

Q. Do you know what this spreadsheet is?

A. A spreadsheet.

Q. Yes. But what is it? What does it reflect?

A. A lot of information about carriers and customer numbers and invoice numbers and bills of lading. It's the information under the headings.

Q. Do you know who prepared it?

A. I do not know what individual prepared it. I assume it came from Huth Reynolds, but I do not know. . .

Q. Okay. But from your perusal of the document, you cannot identify any containers concerning which OOCL allegedly denied a booking or refused to carry, correct?

MR. REYNOLDS: Object to form. You can answer.

A. Those words are not used on this document.

APP 1150-51 (Kastin Tr. 35:14 to 36:16; 38:10-18).

David Kastin verified the truth of BBBY's discovery response when it produced Exhibits 328 and 329, yet it is evident he had no knowledge of their content. APP 3337-3356 (Ex. 326, pages 6, 7 and the 18th page (unnumbered)).

Ex. 330, bates-stamped, was produced as an attachment to BBY's supplemental responses to OOCL's interrogatories. It is captioned "BBY Shipments with OOCL During the 2020-2021 Service Contract Term on Service Contract Lanes", which relates to freight charges, not allegedly declined bookings. David Kastin testified:

- Q. Do you know who prepared it?
- A. I do not know which individual prepared it.
- Q. Do you know when it was prepared?
- A. I do not.
- Q. Do you know the source of the data?
- A. I do not. . .
- Q. Sure. There's no -- there's no column references to booking date or when or where bookings were made, correct?
- A. There are no columns with those words on it, correct.
- Q. All right. Let's go on to the next tab. And the same would be true for this tab, which is identified at the bottom, "20 But For," that there is no reference to booking dates or when or where the bookings were made?
- A. Those words are not used on this page.
- Q. Okay. Let's go on to the next tab, which is identified as "20 Damages." And the same would be true for this tab, correct?
- A. Correct.
- Q. And if we go on to the next tab, which is tab "SY 21" -- and we'll scroll over to the right so you can see all of the columns. And you would agree with me that there's no reference to booking dates or when or where bookings were made, correct?
- A. Those words are not used on the spreadsheet, correct.
- Q. And if we go to the next tab, "21 But For," the same would be true for this tab; that there's no reference to booking dates or when or where bookings are made, correct?
- A. Those words are not used, correct.
- Q. And then last tab is "21 Damages." You would agree, again, there's no reference here to booking dates or when or where bookings are made, correct?
- A. Those words are not used.

Q. Sorry. I didn't hear that.

A. Those words are not used.

Q. Okay. And it's a fair statement to say that you cannot verify the accuracy of any of the information set forth in this spreadsheet, correct?

MR. REYNOLDS: Object to form. You can answer.

A. I have no independent knowledge.

APP 1152-1153 (Kastin Tr. 42:19 to 42:21; 42:22 to 43:3; 44:10 to 46:13).

As for David Kastin's knowledge of the appendices to John McCown's report, he testified that he did not know the source of the data, did not know who compiled it, there are no booking denials or refusals to carry in any of the columns of the spreadsheet, and he has no idea whether any of the shipments referenced in the spreadsheet correlate to when OOCL denied a BBY booking. **APP 1147-1148 (Kastin Tr. 22:2-29:17).**

By contrast, OOCL's Trans-Pacific Trade General Manager Karen Lam and her team evaluated the amount of space that OOCL actually provided to BBY during the 2020 and 2021 shipping years by service lane. **APP 1388 (K. Lam Tr. 187:10-188:20).**

Not only did Karen Lam testify about the results of the work performed, but each member of her team also executed a sworn declaration attesting to the work that each performed in carrying out the analysis. **RX 000643-644 (K. Lam Declaration); RX 000652-654 (S. Wong Declaration); RX 000637-642 (A. Lam Declaration); RX 000655-660 (Cheung Declaration); RX 000645-651 (M. Wong Declaration). See OOCL's RPFF 577.**

CPFF 535. Cunniff explained his methodology for calculating average profit per container, starting with an FOB log file from BBY's Logistics Team. See Dep. Ex. 402 at Tab "Steps," Row 21, Columns A-B ("STEP 1. Match FOB and POMRCH files based on PO# to isolate PO's received during window in question." [APP-4009]; Cunniff Dep. Tr. 87:22-88:3 ("A. Step 1, FOB log file was a table that was provided as a source document from the logistics team that lists out the containers . . . that were shipped".) [APP-294].

RESPONSE: Denied. See OOCL Response to BBY PFF 534, which is incorporated herein by reference.

CPFF 536. Cunniff matched this data to a JDA table using purchase order numbers to identify containers received within a specific timeframe. See Dep. Ex. 402 at Tab "Steps," Row 21, Columns A-B ("STEP 1. Match FOB and POMRCH files based on PO# to isolate PO's received during window in question." [APP-4009]; Cunniff Dep. Tr. 88:9-89:2 ("Step 1. So that aforementioned FOB table is matched up against a JDA table . . . that has, by PO number, the receipt information . . . So this is getting us the containers in question that were received during that window of time.") [APP-294].

RESPONSE: Denied. See OOCL Response to BBY PFF 534, which is incorporated herein by reference.

CPFF 537. Cunniff then pulled shipment details, including containers and SKU information, from the PO shipment report. See Dep. Ex. 402 at Tab “Steps,” Row 64, Columns A-B (“STEP 2. Match QryShippedPO’s with Container PO Shipment Rpt.”) [APP-4009]; Cunniff Dep. Tr. 89:5-19 (“[S]o, now, we’ve got a listing of Pos that were shipped in that window of time, and it’s running off the PO shipment report that . . . give[s] me the shipment details, so that has the SKU information in it.”) [APP-294].

RESPONSE: Denied. See OOCL Response to BBY PFF 534, which is incorporated herein by reference.

CPFF 538. Cunniff then matched shipment details with receiver information. See Dep. Ex. 402 at Tab “Steps,” Row 100, Columns A-B (“STEP 3. Match QryContainerShipmentDetails with TBL_RECEIVER_DETAILS on PO & SKU.”); [APP-4009]; Cunniff Dep. Tr. 89:20-90:2 (“And then step 3 – oh, there we go. Sorry. There’s the receiver details, so we’ve got the receiver quantity. And then the receiver details has the item costs and the items on it. I-number is the SKU number.”) [APP-294-295].

RESPONSE: Denied. See OOCL Response to BBY PFF 534, which is incorporated herein by reference.

CPFF 539. Cunniff then attached container costs and categorized the data into two groups: items received within 60 days and those received after 60 days, to more accurately approximate BBY’s profits per container. See Dep. Ex. 402 at Tab “Steps,” Row 145, Columns A-B (“STEP 4. Match QryContainerReceiptDetails with QryContainerCost.”) [APP-4009]; Cunniff Dep. Tr. 90:3-91:11 (“And then step 4 is, then, attaching the container cost for those items. So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that’s on those containers, and then take those containers and identify what the cost was. And then it dumps out the detail. And then I think that’s where we bifurcated the detail into received within 60 days, received greater than 60 days.”) [APP-295].

RESPONSE: Denied. See OOCL Response to BBY PFF 534, which is incorporated herein by reference.

CPFF 540. Mr. Cunniff also subtracted the landed cost of goods sold, which covered both purchase costs and freight expenses. See Dep. Ex. 401 at Tabs “CONTAINER SUMMARY,” [APP-4008]; Cunniff Dep. Tr. 34:3-24 (“Q. And if we look at column O, the second highlighted acronym, COS, can you tell us what that means? A. Cost of sales. Q. Okay. All right. And so does the cost of sales – what costs are included in the cost of sales? A. It is the landed cost of the good – of the item that was sold. So it’s the loaded freight and the cost to buy the goods.”) [APP-281].

RESPONSE: Denied. See OOCL Response to BBY PFF 534, which is incorporated herein by reference.

CPFF 541. Steffen, who was not tasked with forming any opinions about BBY’s lost profits claim, addressed lost profits in his report independently. See Steffen Dep. Tr. 212:23-213:6 (“Q. And is it accurate to say that this section is not a response to anything that Mr. McCown said,

but rather your own analysis that affects a category of damages that were alleged in the Complaint but not addressed in Mr. McCown's report? A. That's correct.") [APP-2572].

RESPONSE: Admitted that Mr. Steffen testified as set forth above.

CPFF 542. Steffen, relying on documents selected by OOCL's counsel, testified that he had not seen evidence of profit margins for BBBY's goods in specific containers. See Steffen Dep. Tr. 9:19-10:6 ("Q. And other than the documents that you were given by Blank Rome, did you have access to any other documents that were produced from the parties in this case? A. No. Q. So your analysis, other than what you could glean from your own expertise and publicly available information, was limited to the selected group of exhibits that you were given by lawyers for OOCL; is that correct? A. That is correct."); 271:3-10 ("Q. But my question to you, sir, is what is the profit margin of each of these projects – or products, if you've seen any evidence that demonstrates what they are? MR. HUTH: Objection to form. A. I've not seen any of that type of analysis or evidence.") [APP-2521-2522; APP-2587].

RESPONSE: Admitted that Mr. Steffen testified as set forth above.

CPFF 543. During his deposition in this case, BBBY counsel walked Steffen through the Lost Profits Analysis spreadsheet during which questioning Steffen conceded that the information necessary to calculate BBBY's lost profits was reflected in Cunniff's Lost Profits Analysis spreadsheet. See Ex. 401 (P-0000810431) (Tab "Container Receipts with Expense") [APP-4008]; Steffen Dep. Tr. 294:13-295:6, 295:21-299:18 ("And you testified briefly, in response to Mr. Letourneau's questions, that you had not seen any evidence relating to the *actual profitability of Bed Bath merchandise, to the actual cost, to the actual revenue associated with products, or to the containers that they were shipped in*. Did I get all that right? MR. LETOURNEAU: I object. It misstates his testimony. A. Well, I think that when we referred to particular documents, it was – my responses were tied to those particular documents. Q. This document, as you click through the tabs, does include that information, doesn't it? . . . Q. So because you, as you say, know nothing about this spreadsheet, you have no reason to believe that the data in it is not accurate, correct? MR. LETOURNEAU: Objection. Form. A. Well, that would be correct. And I have no reason to believe it is accurate. Q. *Let's click on the second tab, entitled "Container Receipts with Expense." If we look in column A, do you see that there is a port of delivery here? A. I see that. Q. If we look in column B, do we see that there is a port of discharge? A. I see that. Q. In column C, do you see that there is a carrier associated with these? A. I see that. Q. In columns F, G, H, and J, do you see that there are dates associated with the shipment? A. I see that. Q. Column L contains bill of lading numbers, correct? Is that a yes? A. Oh, that's a yes. Q. Column M contains container numbers, correct? A. I see that. Q. Column O contains a description of the products that were inside those containers, right? A. I see that. Q. Column S states the retail cost for those items, right? A. Well, it says, "item retail." What that means exactly, its' not provided. Q. Okay. Column R reflects the quantity of those items that were inside the container, right? A. Yes, it does. Q. Column T reflects the item cost for the items that were inside the container, right? A. Oh, yes, it does. Uh-huh. Q. And then columns U and V and multiple out, the retail revenue and the external cost of those items calculated for the total number that were inside the container, right? A. You know, could you – could you scroll down to the formulas because I see – I see the numbers, but I*

don't see if there is a calculation in there. MR. HUTH: Mr. Mitchell, maybe if you click on the cell at the top – I don't know where the formulas are. THE WITNESS: Yes, yes. Uh-huh. MR. HUTH: If you click on a cell, it will usually show. THE WITNESS: Okay. So it's a hard-pasted, hard-coded number. There's no calculation. So I know what the label says. I don't know exactly what was – what is in that cell Q. *And that is data that would be useful in determining the profitability of goods carried in specific containers, correct?* MR. LETOURNEAU: Objection. Form. A. *I would say that that appears to be the case.*") (emphasis added) [APP-2593-2594].

RESPONSE: Denied that Mr. Steffen "conceded that the information necessary" was in Cunniff's Lost Profits Analysis spreadsheet. As Mr. Steffen noted in the quoted (but not emphasized) text, he had no reason to believe that the data in the spreadsheet was accurate. Further, while Mr. Steffen agreed that the data reviewed "would be useful in determining the profitability of goods carried in specific containers," **he did not testify that it was all of the information necessary to determine profitability.** BBY also omitted the following testimony from the transcript cite above:

4 **Q** This document, as you click
5 through the tabs, does include that
6 information, doesn't it?
7 **MR. LETOURNEAU:** Objection.
8 **Form.**
9 **A** I will say this, what I have to
10 say: I learned in my very first case to
11 not make assumptions and come to
12 conclusion about spreadsheets about which
13 I know nothing, and that is the case with
14 this particular spreadsheet. I don't know
15 who prepared it, why they prepared it, how
16 it was used. I don't know the assumptions
17 I know -- don't know the source of the
18 data. It's not something that can be
19 relevantly or reliably used at this point
20 in time, given those limitations.

APP 2593 (Boris Steffen Tr. at 295:4 to 295:20). Moreover, nothing in Mr. Cunniff's Lost Profits Analysis spreadsheet links the containers listed in the spreadsheet to the allegedly declined bookings by OOCL.

CPFF 544. Steffen lacks experience or expertise regarding the FMC rules, guidance, or actions concerning lost profits claims. *See* Steffen Dep. Tr. 44:8-13 ("A. So typically, there's a presumption when a party brings a lost profits claim that it had profits to lose, and Bed Bath & Beyond had – did not have any profits to lose."), 220:6-23 ("Q. And when you're looking at a company's overall profit and loss, that's a sum of the profit and loss of all the operating segments, correct? A. That is correct. Q. If one of your operating segments has a loss of \$500 million and another has a profit within the operating segment of \$200 million, the result is a net loss of \$300 million, correct?

A. That is correct. Q. If that operating segment that made \$200 million would have made \$400 million had its counterparties honored their contracts with it, would you agree with me that the company has lost \$200 million in profits? A. I would agree.”), 230:20-231:16 (“Q. Is it your position that the fact that those companies all had operating losses prior to their bankruptcy means that none of those companies could ever recover lost profits from any other party, regardless of what that party did to the entity? A. Well, no, I know – I think there’s a – there’s a possibility of bringing a claim, you know, depending upon – you know, if there – if there’s, like, a litigation trust set up, you know, that claim could go into the litigation trust. Q. Okay. And do you have any reason to believe that Bed Bath would be exempt from that same rule; that a bankrupt entity can pursue lost profits, even though it had operating losses? A. I don’t have that opinion.”) [APP-2573, -2574, -2577].

RESPONSE: Denied. Complainant’s cited testimony does not support its assertion. Further, there exists no proof that BBBY or any segment of BBBY was profitable during shipping years 2020 and 2021. APP RX-00671-763 (See Ex. 385, Holli Etlin’s Declaration, ¶ 21).

CPFF 545. While Steffen states that BBBY cannot claim lost profits because it “did not have any profits to lose”, he concedes that companies with operating losses prior to bankruptcy can still pursue lost profits claims. *See* Steffen Dep. Tr. 214:10-23 (“A. So, typically, there’s a presumption when a party brings a lost profits claim that it had profits to lose, and Bed Bath & Beyond had – did not have any profits to lose.”), 220:6-23 (“Q. And when you’re looking at a company’s overall profit and loss, that’s a sum of the profit and loss of all the operating segments, correct? A. That is correct. Q. If one of your operating segments has a loss of \$500 million and another has a profit within the operating segment of \$200 million, the result is a net loss of \$300 million, correct? A. That is correct. Q. If that operating segment that made \$200 million would have made \$400 million had its counterparties honored their contracts with it, would you agree with me that the company has lost \$200 million in profits? A. I would agree.”), 230:20-231:16 (“Q. Is it your position that the fact that those companies all had operating losses prior to their bankruptcy means that none of those companies could ever recover lost profits from any other party, regardless of what that party did to the entity? A. Well, no. I know – I think there’s a – there’s a possibility of bringing a claim, you know, depending upon – you know, if there – if there’s like, a litigation trust set up, you know, that claim could go into the litigation trust. Q. Okay. And do you have any reason to believe that Bed Bath would be exempt from that same rule; that a bankrupt entity can pursue lost profits, even though it had operating losses? A. I don’t have that opinion.”) [APP-2573, -2574, -2577].

RESPONSE: Admitted that Mr. Steffen testified as cited above. However, there exists no proof that BBBY or any segment of BBBY was profitable during shipping years 2020 and 2021. APP RX-000671763 (See Ex. 385, Holli Etlin’s Declaration, ¶ 21).

VII. Experts

A. Boris Steffen

1. Experience

CPFF 546. Steffen admits that BBBY’s expert, John D. McCown, has more experience in the container shipping industry than the entire staff of Boris Steffen’s firm, Providence Capital. *See*

Steffen Dep. Tr. 80:13-81:2 (“Q. Do Mr. Jin Dong or Sebastian Fernandez have any container shipping industry experience? A. No. Q. Does anybody at Province have any container shipping industry experience? A. Not that I am aware of. Q. All right. So, to the best of your knowledge, Mr. McCown has more container shipping industry than the entire staff of Province, correct? A. I believe so.”) [APP-2539].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but nevertheless as a CPA maintained his position that Mr. McCown’s analysis and methodology were flawed. He testified that:

A. Well, Mr. McCown failed to undertake the analysis and verification of whether or not OOCL, in fact, failed to live up to its obligations to provide the space agreed to in the 2020 and 2021 service contracts.

In addition to that, his methodology fails to account for incremental revenues; thus, his analysis is overstated by an indeterminate amount. APP 2561 (Boris Steffen Tr. at 169:2 to 169:11).

Q And that's all I'm asking, is assuming that the Federal Maritime Commission agrees that that shortfall is of OOCL's fault, would you agree with me that Mr. McCown's math is correct as presented in his Appendices A-1 through B-4 of his report?

A I don't think --

MR. LETOURNEAU: Objection. Misstates the record.

A Yeah, I don't think I can agree with that because Mr. McCown talks about his method about missing containers, the need to account for missing containers, and he does not. Fails to do so.

Q What do you mean by "missing containers"?

A He talks about the methodology that he uses, that he adopts from one of the opinions or decisions that we discussed previously. And he talks about the need to take into account missing containers. He doesn't define what the missing containers are, but he talks about

it. He identifies a specific need to do so that -- but he does not do that analysis.

APP 2563 (Boris Steffen Tr. at 175:6 to 176:8).

CPFF 547. Steffen has no experience in container shipping outside of his report in this case. See Steffen Dep. Tr. 36:9-12 (“Q. But outside of your report in this case, do you have any expertise in the field of container shipping? A. I do not.”) 56:6-10 (“Q. So fair to say that, until you were hired for this case, you had no experience in the container-shipping field; is that right? A. That is correct.”), 67:23-68:14 (“Q. But none of those areas, at least in any of your publications to date, relate to container shipping, right? A. They do not.”) [APP-2528, -2533, -2536].

RESPONSE: Admitted that Boris Steffen testified as set forth above. But in addition to his testimony above in OOCL’s Response to BBY’s PFF 546 about John McCown’s methodological flaws, Mr. Steffen’s report addresses those flaws in greater detail. Mr. McCown failed to compare the reasonableness of OOCL’s DD rates against its peer competitors (OOCL’s demurrage per diem rates in 2020-2022 were lower than those of three comparable operators. APP 3754-3936 (Ex. 384, Steffen Report at 24), and instead compared OOCL’s rates against container barge carrier [REDACTED] McCown’s use of [REDACTED] as a benchmark for DD charges assessed by OOCL is fundamentally flawed for a variety of reasons:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]



Further Mr. Steffen explained that McCown's focus on incremental expenses fails to account for the offset of incremental revenues as its done in a lost profits analysis, where the principal is to compensate, not enrich, the Complainant. APP 3754-3936 (Ex. 384, Steffen Report at 20).

By failing to identify and account for offset of incremental revenues, McCown overstated actual injuries alleged by BBY. APP 3754-3936 (Ex. 384, Steffen Report at 9).

The conceptual and methodological flaws inherent to Mr. McCown's analysis render his opinions regarding the alleged damages to BBY irrelevant, speculative and unreliable. In particular,

- Mr. McCown failed to evaluate and independently analyze whether OOCL in fact failed to fulfill its obligation to provide space agreed upon under the 2020 and 2021 Service Contracts.
- With his focus on incremental costs alone, Mr. McCown's alleged shortfall damages are overstated by an indeterminate amount given his failure to identify and take into account the matching offset of incremental revenues.
- The effect of Mr. McCown adopting the damages from PSS and Premium Charges as his own in the Verified Complaint was to rubber stamp BBY's allegations.
- Mr. McCown failed to explain how [REDACTED] the benchmark he used to calculate BBY's demurrage and detention damages, was comparable to OOCL operationally or otherwise. This renders his conclusions baseless.

APP 3754-3936 (Ex. 384, Steffen Report at 9).

Further, as for lost profits, lost profits calculations are typically measured as the difference between profits actually earned by the Complainant and profits that it would have earned but for the Respondent's wrongful conduct. APP 3754-3936 (Ex. 384, Steffen Report at 21). But it is not possible to calculate the difference between profits actually earned by BBBY and profits BBBY might have earned but for OOCL's allegedly wrongful conduct, since BBBY had nothing to show but net losses between July 2020 through April 2022. APP 3754-3936 (Ex. 384, Steffen Report at 21).

CPFF 548. No one employed at Boris Steffen's firm (Province Capital) has any experience in container shipping outside of his report in this case. See Steffen Dep. Tr. 80:13-81:2 [APP-2539].

RESPONSE: Admitted, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown's methodology or assess whether a basis exists for BBBY to claim lost profits. See OOCL's Response to BBBY's PFF 547, which is incorporated herein by reference.

CPFF 549. Steffen has no experience in detention and demurrage charges outside of his report in this case. See Steffen Dep. Tr. 37:18-38:3 ("Q. Fair to say you don't have any experience in detention or demurrage at all, outside of your work on this case, is that right? A. That is correct.") [APP-2528-2529].

RESPONSE: Admitted, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown's methodology or assess whether a basis exists for BBBY to claim lost profits. See OOCL's Response to BBBY's PFF 547, which is incorporated herein by reference.

Mr. Steffen serves as a financial advisor and expert in accounting, corporate finance, valuation and solvency matters in transactions, related claims and investigations that arise within the context of mergers, acquisitions and restructurings. Over the course of his career, he has worked in industry as an auditor, accountant and strategist, in economic consulting and corporate restructuring as a financial and strategic advisor, and in government as a Senior Staff Accountant and Financial Analyst in the Office of Accounting and Financial Analysis of the U.S. Federal Trade Commission, Bureau of Competition. As such, he has conducted investigations, advised in corporate development and restructuring initiatives, and served as a consulting or testifying expert in regulatory proceedings and civil and criminal litigation involving mergers, acquisitions, divestitures, restructurings, initial public offerings, leveraged buyouts, securities and commercial contracts valued in excess of \$200 billion.

The industries in which he has consulted include the aerospace, aggregates, asbestos, automotive manufacturing, battery, beef processing, biotechnology, business supplies and services, cable network, basic and specialty chemicals, consumer products, carbonated soft drinks, cosmetics and beauty supplies, defense, document management, electronic imaging, electric utility, financial services & banking, grocery stores, healthcare, HVAC, independent

power, information technology, insurance, internet, newspaper, mining, pharmaceutical, oil & gas exploration, production, refining, marketing and transportation, printing, pumps & controls, retail, satellite, semiconductor, software, sporting goods, steel, real estate, wireless and land-line telecommunications, tobacco and water industries. His industry experience also includes roles in which he was responsible for evaluating the acquisition of businesses; auditing, accounting for and analyzing firm cash flows, operating results and financial position; leading investigations and serving as the independent accounting expert in post-closing net working capital disputes. As Manager of Acquisitions in the Corporate Development group of the former independent power producer U.S. Generating, Inc., for example, he participated in managing the asset acquisition process, including the development of acquisition strategies, preparation of competitive analyses, evaluation of geographic and product markets and screening of acquisition targets. He also prepared analyses of company historical financial performance, projections of future revenues, costs, profits and cash flows, and assessments of profitability and returns on invested capital. This included estimating rates of return required by investors and creditors for purposes of discounting cash flows expected in the future to present value, and preparing valuations of target firms and purchased power contracts used in bidding for business acquisitions. As an accountant and auditor with the former Inland Steel Industries, Inc., he audited and evaluated internal accounting controls, operational functions and financial results of the manufacturing and distribution segments, managed the development and administration of the business plan and budget for a \$1.5 billion asset business group, and participated in a restructuring of the group's operations to reduce annual operating costs by \$200 million, the objective and effect of which was to decrease operating costs commensurate with sustainable revenues. As the Southeast Leader of the Financial Investigations and Dispute Advisory practice of RSM US, the fifth largest public audit, tax and consulting firm in the U.S., he conducted internal investigations of alleged violations of the Foreign Corrupt Practices Act, and served as the independent accounting expert in settling post-closing networking capital disputes, including in Lockheed Martin's \$4.6 billion separation of its Information Systems & Global Solutions business segment and subsequent merger with a subsidiary of Leidos Holdings, Inc., where he was tasked with opining as to the choice of accounting principle applied, consistency in its application with past practices and fiscal period, subsequent events and materiality.

APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 2-5).

CPFF 550. Steffen has no experience in detention and demurrage charges outside of his report in this case. See Steffen Dep. Tr. 89:8-22 ("Q. And you don't have any experience in the application of the Shipping Act to state whether the Shipping Act requires a consideration of incremental revenues, in addition to incremental costs, do you? A. I do not. Q. You don't have any understanding of the Federal Maritime Commission's guidelines or procedures that would allow you to determine whether the Federal Maritime Commission requires a consideration of incremental revenues as well as costs, do you? A. I'm not aware.") [APP-2541].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John

McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547 and 549, which are incorporated herein by reference.

CPFF 551. Except his report in this case, Steffen is not familiar with the Shipping Act. Steffen Dep. Tr. 39:10-12 (“Q. Are you familiar with the U.S. Shipping Act? A. I am not.”) [APP-2529].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547 and 549, which are incorporated herein by reference.

CPFF 552. Steffen has no experience or understanding of whether the Shipping Act or FMC guidelines require considering incremental revenues in addition to incremental costs when calculating damages. See Steffen Dep. Tr. 89:8-22 (“Q. And you don’t have any experience in the application of the Shipping Act to state whether the Shipping Act requires a consideration of incremental revenues, in addition to incremental costs, do you? A. I do not. Q. You don’t have any understanding of the Federal Maritime Commission’s guidelines or procedures that would allow you to determine whether the Federal Maritime Commission requires a consideration of incremental revenues as well as costs? Do you? A. I’m not aware.”) [APP-2541].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547 and 549, which are incorporated herein by reference.

CPFF 553. Steffen does not know what the term “peak shipping season” refers to. See Steffen Dep. Tr. 40:12-14 (“Q. What are the peak shipping seasons? A. I do not know.”) [APP-2529].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547 and 549, which are incorporated herein by reference.

CPFF 554. Steffen’s understanding of how the FMC addresses reparations is based solely on two opinions he read for this case: the *OJ Commerce* and the *MCS Industries* cases. See Steffen Dep. Tr. 41:5-24 (“Q. Do you have any experience in connection with how the Federal Maritime Commission addresses reparations? A. Other than what has been described in the two opinions I have read, no. Q. Okay. So your entire experience on how the Federal Maritime Commission addresses reparations is based on two opinions that you read for your work in this case, is that right? A. That is correct. Q. Which two opinions were those? A. One was OJ. And I don’t recall the name right now, but both of the cases are addressed in my report, I believe. Q. Was the other case the MCS Industries case? A. Yes.”) [APP-2529].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See

OOCL's Response to BBBY's PFF 547 and 549, which are incorporated herein by reference.

CPFF 555. Steffen has no experience or expertise regarding the FMC rules, guidance, or actions concerning refusals to deal, retaliation, D&D charges, premium charges, shortfall claims, or lost profits claims, beyond reading the *OJ Commerce* and *MCS Industries* cases. *See* Steffen Dep. Tr. 42:8-44:13 (“Q. Are you familiar with the Federal Maritime Commission’s rules concerning unreasonable or unlawful refusals to deal? A. I am not. Q. Do you have any experience in applying the maritime or shipping laws to unreasonable refusals to deal? A. I do not. Q. Are you familiar with the Federal Maritime Commission’s administrative actions and releases concerning detention or demurrage charges? A. I do not. Q. Do you have any experience whatsoever concerning the Federal Maritime Commission’s guidance or actions concerning premium charges? A. No. Q. Other than those two opinions, OJ and MCS, which you reviewed in connection with your work in this case, do you have any expertise in how the Federal Maritime Commission addresses detention or demurrage claims? A. I do not. Q. And other than your review of the OJ Commerce and MCS cases, which you reviewed for your work in this case, do you have any experience with how the FMC addresses lost profits claims? A. I do not.”) [APP-2530].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBBY to claim lost profits. See OOCL’s Response to BBBY’s PFF 547 and 549, which are incorporated herein by reference.

CPFF 556. Steffen does not understand what an ocean alliance is in the container trade industry. *See* Steffen Dep. Tr. 121:19-22 (“Q. Do you have any understanding of what an ocean alliance is in the container trade industry? A. I do not.”) [APP-2549].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBBY to claim lost profits. See OOCL’s Response to BBBY’s PFF 547 and 549, which are incorporated herein by reference.

CPFF 557. Other than the service contract to be reviewed in preparation of his opinions in this action, Steffen has never seen a service contract with an ocean carrier. *See* Steffen Dep. Tr. 142:22-143:7 (“Q. Other than the service contract that you reviewed in connection with the preparation of your opinions in this case, have you ever seen a service contract with an ocean carrier before? A. I had not.”) [APP-2555].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBBY to claim lost profits. See OOCL’s Response to BBBY’s PFF 547 and 549, which are incorporated herein by reference.

CPFF 558. Steffen has no expertise in how ocean freight contracts are negotiated or structured. *See* Steffen Dep. Tr. 143:4-7 (“Q. Do you have any expertise in how service contracts are negotiated or structured? A. I do not.”) [APP-2555].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent

Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547 and 549, which are incorporated herein by reference.

CPFF 559. Outside of his report in this case, Steffen has no prior involvement in FMC proceedings. *See* Steffen Dep. Tr. 39:13-22 (“Q. Other than the current engagement that we’re having this deposition about, have you ever been involved in any proceedings of the Federal Maritime Commission? A. I have not. Q. Have you ever been accepted as an expert by the Federal Maritime Commission? A. I have not.”) [APP-2529].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547 and 549, which are incorporated herein by reference.

CPFF 560. Although his report discussed BBY’s share repurchase history, Steffen is not an expert in share repurchase transactions. *See* Steffen Dep. Tr. 103:10-12 (“Q. Do you consider yourself an expert in share repurchase transactions? A. No.”) [APP-2545].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547 and 549, which are incorporated herein by reference.

CPFF 561. Steffen lacks experience or expertise regarding the FMC rules, guidance, or actions concerning lost profits claims. *See* Steffen Dep. Tr. 44:8-13 [APP-2545].

RESPONSE: Disputed on relevance grounds, as expert legal testimony is not admissible. but in any event that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547, which is incorporated herein by reference.

CPFF 562. As of October 29, 2024, the date of his deposition in this case, Steffen’s firm, Province Capital, has billed approximately \$300,000 in connection with its engagement in this case. *See* Steffen Dep. Tr. 77:24-28:13 (“Q. And a ballpark estimate is fine, but do you have an understanding of how much in total dollars Province has billed in connection with your engagement on this case? A. I’m going to have to, sort of, make a guesstimate because, again, I hadn’t paid attention to it specifically. Maybe 300,000. Q. So that’s your best estimate – understanding it will depend on the actual bills – that 300,00 is how much Province has incurred? A. I think so.”) [APP-2538-2539].

RESPONSE: Disputed on relevance grounds.

2. Credibility

CPFF 563. As to BBY's lost profits claim, Steffen failed to consider evidence regarding the profit margin of goods in the specific containers reflected in Mr. Richard Cunniff's excel spreadsheet. *See* Steffen Dep. Tr. 271:3-10, 293:22-294:12, 298:22-299:18 [APP-2587, -2592-2593, -2594]; Dep. Ex. 401 at Tab "Container Receipts with Expenses" [APP-4008] .

RESPONSE: Admitted that Mr. Steffen did not evaluate Mr. Cunniff's "Lost Profits Analysis" spreadsheet, a spreadsheet which has no connection to bookings allegedly made with and/or declined by OOCL. Nevertheless, that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown's methodology or assess whether a basis exists for BBY to claim lost profits. *See* OOCL's Response to BBY's PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBY or any segment of BBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin's Declaration, ¶ 21); ; APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

CPFF 564. In preparing this report, Steffen failed to apply Generally Applicable Accounting Principles (GAAP) or any officially promulgated accounting standards. *See* Steffen Dep. Tr. 32:19-33:17 ("Q. Did you apply Generally Accepted Accounting Practices in connection with your report in this case? A. It was not a part of the assignment or something I needed to do with respect to what I was asked to perform. Q. Okay. So in connection with what you were asked to perform, were there any standards that were set by any professional agencies that you applied in the course of your work? A. You know, there are – it is possible to read, doing research in the literature, that there are quite a few articles written about how to – how to calculate damages. And so while you may not – there may not be officially promulgated standards by any organization, there was a lot of literature on the topic as to how one should go about calculating damages.") [APP-2527].

RESPONSE: Denied. Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown's methodology or assess whether a basis exists for BBY to claim lost profits. *See* OOCL's Response to BBY's PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBY or any segment of BBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin's Declaration, ¶ 21); APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

CPFF 565. Steffen has never been accepted as an expert by the FMC. *See* Steffen Dep. Tr. 39:19-22 ("Q. Have you ever been accepted as an expert by the Federal Maritime Commission? A. I have not.") [APP-2529].

RESPONSE: Admitted, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown's methodology or assess whether a basis exists for BBY to claim lost profits. *See* OOCL's Response to BBY's PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBY or any segment of BBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin's Declaration, ¶ 21); ; APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

CPFF 566. Steffen has not done any independent analysis of whether BBBY acted reasonably in attempting to book its freight against the MQC in its Service Contracts with OOCL. *See* Steffen Dep. Tr. 154:6-11 (“Q. Have you made any independent analysis of whether Bed Bath & Beyond acted reasonably in connection with attempting to booking its freight against MQC? A. I have not.”) [APP-2558].

RESPONSE: Admitted, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBBY to claim lost profits. *See* OOCL’s Response to BBBY’s PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBBY or any segment of BBBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin’s Declaration, ¶ 21); ; APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

CPFF 567. Steffen did not analyze in his report in this action the percentage of BBBY’s merchandise supply costs related to transportation. *See* Steffen Dep. Tr. 72:14-20 (“Q. Do you have an understanding of what percentage of the supply cost of Bed Bath’s merchandise related to the price of transporting those goods from where they were manufactured to Bed Bath stores? A. I do not.”) [APP-2537].

RESPONSE: Admitted, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBBY to claim lost profits. *See* OOCL’s Response to BBBY’s PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBBY or any segment of BBBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin’s Declaration, ¶ 21); ; APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

CPFF 568. Steffen did not analyze in his report in this action the impact of increased shipping costs on the profitability of BBBY’s products. *See* Steffen Dep. Tr. 73:17-23 (“Q. Have you done any analysis to determine the size of the effect of Bed Bath’s container shipping prices on its profitability during this period that you look at in your report, from 2020 to the present. A. I have not.”) [APP-2537].

RESPONSE: Admitted, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBBY to claim lost profits. *See* OOCL’s Response to BBBY’s PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBBY or any segment of BBBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin’s Declaration, ¶ 21); ; APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

CPFF 569. Steffen did not analyze in his report in his action the impact of container shipping costs on BBBY’s profitability. *See* Steffen Dep. Tr. 73:17-23 (“Q. Have you done any analysis to determine the size of the effect of Bed Bath’s container shipping prices on the profitability

during this period that you look at in your report, from 2020 to the present? A. I have not.”) [APP-2537].

RESPONSE: Admitted, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBY or any segment of BBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin’s Declaration, ¶ 21); ; APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

CPFF 570. Steffen did not analyze in his report in this action BBY’s supply chain costs. See Steffen Dep. Tr. 73:24-74:5 (“Q. Have you been asked to use any assumptions concerning the supply chain costs that Bed Bath was subject to in – in connection with any of the opinions in your report? A. I have not.”) [APP-2537-2538].

RESPONSE: Admitted, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBY or any segment of BBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin’s Declaration, ¶ 21) ; APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

CPFF 571. Steffen did not analyze in his report in this action how increased supply chain costs directly impacted BBY’s bankruptcy. See Steffen Dep. Tr. 75:22-76:3 (“Q. To answer my question, you do not have any understanding of the direct impact of the increase in supply chain costs on Bed Bath’s descent into bankruptcy, right? A. Correct.”) [APP-2537-2538].

RESPONSE: Admitted, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John McCown’s methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL’s Response to BBY’s PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBY or any segment of BBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin’s Declaration, ¶ 21); APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

CPFF 572. Steffen did not analyze in his report incremental revenues associated with BBY’s MQC shortfall claims in this action. See Steffen Dep. Tr. 81:3-22 (“Q. In the second bullet point in paragraph 17, where you’re discussing Mr. McCown’s shortfall damages calculation, you opine that Mr. McCown failed to identify and take into account the matching offset of incremental revenues. Can you explain what you mean by ‘the offset of incremental revenues.’ A. Mr. McCown states that he focuses on incremental costs. To calculate damages properly, incremental costs must be matched with incremental revenues. Q. Okay. Do you attempt to make any calculation, in your opinion, of what those incremental revenues would actually be. A. I do not.”) [APP-2539].

RESPONSE: Admitted that Mr. Steffen did not calculate BBBY's incremental revenues in this matter because doing so was at best tangential to the task presented, which was to critique Mr. McCown's analysis. It was John McCown's burden to consider the matching offset of incremental revenues in his damages calculations and he failed to do so. In his report at page 9, Boris Steffen wrote:

I disagree with the findings and conclusions of the damages analysis in the expert report submitted on behalf of Plaintiffs by John D. McCown, dated September 17, 2024, in nearly every respect. As explained below and illustrated in the accompanying exhibits and schedules of this report, the conceptual and methodological flaws inherent to Mr. McCown's analysis render his opinions regarding the alleged damages to BBBY irrelevant, speculative and unreliable. In particular,

- Mr. McCown failed to evaluate and independently analyze whether OOCL in fact failed to fulfill its obligation to provide space agreed upon under the 2020 and 2021 Service Contracts.
- With his focus on incremental costs alone, Mr. McCown's alleged shortfall damages are overstated by an indeterminate amount given his failure to identify and take into account the matching offset of incremental revenues.
- The effect of Mr. McCown adopting the damages from PSS and Premium

Charges as his own in the Verified Complaint was to rubber stamp BBBY's allegations.

- Mr. McCown failed to explain how [REDACTED] the benchmark he used to calculate BBBY's demurrage and detention damages, was comparable to OOCL operationally or otherwise. This renders his conclusions baseless.

APP 3937-3994 (Ex. 384, p. 9; see also pp. 15-17, 20-26).

CPFF 573. Steffen was unable to identify a reason for BBBY choosing higher-priced transactions for the same freight identified in the appendices to John D. McCown's Report other than BBBY being unable to secure lower-priced freight through OOCL. *See* Steffen Dep. Tr. 100:21-101:7 ("Q. Can you think of a single rational reason, other than that Bed Bath was unable to get that freight at lower price through OOCL, why Bed Bath might have entered into those significantly higher transactions for the same freight it should have been able to get under its OOCL agreement? . . . A. I don't have a reason.") [APP-2544].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate analytical flaws in John

McCown's methodology or assess whether a basis exists for BBY to claim lost profits. See OOCL's Response to BBY's PFF 547, 549, and 572, which are incorporated herein by reference. Also denied that BBY was not provided adequate space on OOCL ships under the service contracts at issue. See OOCL RPFs 576 to 618.

CPFF 574. Steffen admitted that BBY's decline in EBITDA from Q3 FY 2020 through Q1 FY 2022 was unrelated to BBY's debt-related interest obligations. *See* Steffen Dep. Tr. 113-22-114:10 ("Q. You note in your report that Bed Bath & Beyond's EBITDA, excluding the effective interest, plummeted during the period from the third quarter of 2020 through the first quarter of fiscal year 2022. Do you see that? A. I do see that. Q. And that didn't have anything to do with Bed Bath's interest load because of its debt obligations because this is EBITDA we're looking at, right? A. That is correct.") [APP-2547-2548].

RESPONSE: Admitted, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate whether a basis exists for BBY to claim lost profits. See OOCL's Response to BBY's PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBY or any segment of BBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin's Declaration, ¶ 21); APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41). CPFF 575. Steffen attributed the decline in BBY's EBITDA to operating profit losses caused by an imbalance between revenue and operating costs. *See* Steffen Dep. Tr. 114:11-22 ("Q. In your opinion, what was responsible for Bed Bath's EBITDA declining as substantially as you indicate it did here in your report. A. I would say its operating profit losses. Q. Those operating profit losses were, as we discussed, an inability to match revenue to cost structure, correct? A. Well, that would be the operating costs, you know, out of balance revenue versus operating cost.") [APP-2548].

RESPONSE: Admitted that Mr. Steffen testified as set forth above, but that does not prevent Mr. Steffen from applying his analytic skills as a CPA to evaluate whether a basis exists for BBY to claim lost profits. See OOCL's Response to BBY's PFF 547 and 549, which are incorporated herein by reference. There exists no proof that BBY or any segment of BBY was profitable during shipping years 2020 and 2021. APP RX-671-763 (See Ex. 385, Holli Etlin's Declaration, ¶ 21); APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

CPFF 576. Steffen admitted that the goods in the containers shipped under the OOCL Service Contract with BBY would likely be the same as those shipped by alternative shippers. *See* Steffen Dep. Tr. 186:7-187:10 ("Q. So with all that understood, I just want to clarify that you don't have any basis to opine that the stuff that was in those boxes, that was actually shipped on those lanes that were covered by the OOCL service contract, is any different than the stuff that would have been shipped by OOCL if Bed Bath had been able to ship it all, all the way up to the MQC in the OOCL service contract, is that right? . . . A. Well, offhand, I would expect the items or the goods, specific goods in the container, to be the same.") [APP-2566] .

RESPONSE: Admitted that Boris Steffen testified as set forth above, but he did not evaluate any issues relating to the content of the containers loaded with BBY's products. Further, denied that OOCL failed to provide the container space it was obligated to provide. The

unrefuted evidence is that it did so. See OOCL RPFs 576 to 618.

CPFF 577. Steffen admitted that the incremental revenues for the goods in the containers shipped under the OOCL Service Contract with BBY, assuming they arrived at the same place and were sold in the same manner, would not be materially different from the goods BBY shipped by alternative shippers but otherwise would have shipped with OOCL. See Steffen Dep. Tr. 185:22-187:10 (“Q. We’ve established that’s if it’s the same stuff that comes from the same place at the same time, the incremental revenues are identical between the two shipments, right, whether it’s carried by – A. Yes. Q. – OOCL or somebody else? A. Correct . . . Q. And because those specific goods in each container would be the same, the incremental revenue of those goods, assuming they arrived in the same place and were sold in the same way, would not be materially different, in your view, correct? A. Given the qualifications that I have testified to previously. Q. You would agree with me given those qualifications? A. Yes.”) [APP-2565-2566].

RESPONSE: OOCL denies the proposition in the first sentence above. Boris Steffen qualified his answer. As to incremental revenue, he testified:

Q And the second is that Mr. McCown, in your view, failed to incorporate incremental revenues in calculating the damages.

Did I get those right?

A I would say that -- with respect to my first point is that Mr. -- in calculating shortfall damages, Mr. McCown did not at all investigate -- take into account the factors necessary to show with reasonable certainty that, in fact, OOCL did not abide by its contractual obligations to provide space.

I think, as I said earlier, in his deposition, he doesn't know where the data came from. He did not prepare it. He did not direct it. He accepted it and wrote about it in his report.

APP 2561-2562 (Boris Steffen Tr. at 169:24 to 170:19). Mr. McCown relied on *allegations* of container space shortfalls as described in BBY’s Complaint as the entire basis for his opinion that OOCL did not provide the space contracted for under the 2020 and 2021 service contracts. In his deposition, McCown testified:

Q. Okay. So, essentially, you would agree with me that you accepted the proposition that OOCL only provided 1,475.85 FEUs of space during the 2020 service contract year and only 2,432.74 FEUs of space during the 2021 service

contract year, that you obtained from reviewing the original Complaint, correct?

A. Yes, I agree with that.

Q. Do you know where those numbers came from?

A. Those numbers came from Bed Bath & Beyond, from their professionals, Mr. Hackett and other folks in their area.

Q. Do you know any specific documents that it refers -- that refer to those numbers?

A. I mean, in quite a few of the depositions they're referenced, but the -- you know, the Complaint was the basis for that.

APP 1467 (McCown Tr. 122:4-122:24). BBY's Senior Director of International Supply Chain testified that to his knowledge an analysis to determine whether or not OOCL provided all of the space it said it was going to provide was never done. APP 887 (Patrick Hackett Tr. at 294:5-10).

BBY did not do an independent analysis of the container space provided by OOCL but relied on calculations by counsel that the information provided in the Complaint was correct. APP 1186-87 (Kastin Tr. at 180:25-182:3) ("I reviewed the documents provided to me by Huth Reynolds in connections with my verification of the Complaint.").

There exists no testimony or other evidence in the record that anyone with or on behalf of BBY, or its booking agent Yusen Logistics, ever calculated the amount of container space that OOCL provided to BBY during the 2020 and 2021 shipping years. Rather, there exists abundant evidence showing such calculation was never undertaken. See e.g., APP 887 (Hackett Tr. 294:6-10); APP 2405 (Shippee Tr. 61:4-13); APP 1547 (McQuade Tr. 15:4-11); APP 1159-1160; 1199 (Kastin Tr. 71:11-77:2; 231:10-232:5); APP 2068, 2083 (Pinchuk Tr. 103:4-13; 163:13-25); APP 1466-1467 (McCown Tr. 118:8-122:24); APP 1248 (Klosowsky Tr. 48:7-21 (Reid Klosowsky looked to Paul Pastor as the person who would determine how much container space an ocean carrier actually provided)); APP 1956 (Pastor Tr.107:6-20) (Paul Pastor testified that he would have to look at the data and he did not recall the number of shipping years 2020/21 and 2021/22); APP 275-276 (Cunniff Tr. 13:24-14:5); APP 1567 (McQuade Tr. 94:7-95:10).

Also, Boris Steffen testified that “John McCown did not analyze whether, in fact, OOCL did not abide by the terms of its contract. . . . He did not take into account terminations, cancellations or no-shows on the part of BBBL, or Bed Bath & Beyond. These are all factors that Mr. McCown should have investigated and verified in coming up with his analysis of shortfall damages.” APP 2562 (Boris Steffen Tr. at 171:2-22). John McCown admitted that he did not read the service contracts. APP 1473 (McCown Tr. 147:5-9).

CPFF 578. Steffen did not analyze whether the detention and demurrage charges OOCL assessed to BBBY during the relevant period were reasonable. *See* Steffen Dep. Tr. 206:19-207:11 (“Q. Just so I understand: To the extent you performed any analysis of detention and demurrage, that analysis was limited to identifying the published rates of the other carriers you identify here and comparing those to OOCL’s rates, right? A. Yeah. Well, that would be the other comp – the other carriers that I identified as being competitors, and then doing a – you know, a comparison of rates, yes. Q. You didn’t do any analysis that goes to whether any of these rates by any of these carriers were reasonable in light of all of the circumstances, did you? A. I did not.”) [APP-2571].

RESPONSE: Denied. As Mr. Steffen testified, his reasonableness analysis accounted for rates charged by other carriers. Whatever Complainant meant by “in light of all of the circumstances” is not clear, but Mr. Steffen did perform a reasonableness analysis by comparing OOCL’s DD rates with its peer competitors. In his report, Mr. Steffen found that:

OOCL’s demurrage per diem rates in 2020-2022 were lower than those of three comparable operators. APP 3754-3936 (Ex. 384, Steffen Report at 24).

OOCL’s demurrage free time in 2020-2022 was more generous than three comparable operators. APP 3754-3936 (Ex. 384, Steffen Report at 24).

CPFF 579. Steffen spent time working at U.S. Generating, an independent power producer, and has testified before FERC, and noted that in the electric generation and electricity utility sectors, utilities that were customers of generation plants often entered into long-term rate agreements to lock in costs, even though there was also a spot market for energy. *See* Steffen Dep. Tr. 56:11-20, 58:9-13, 59:8-61:18 (“[I]n my experience working in the electric utility industry . . . various independent power producers that took market rates that went bankrupt.”) [APP-2534]

RESPONSE: Admitted.

CPFF 580. Steffen admitted that his expectation based on his expertise is that, in industries where there is a distinction between fixed rate agreement and floating spot price purchases, producers would honor their fixed rate agreements. *See* Steffen Dep. Tr. 63:23-64:4 (“Q. In your exposure to industries where there is a distinction between fixed rate agreement and floating spot price purchases, do you expect that producers will honor their fixed rate agreements? A. I would expect that.”) [APP-2535].

RESPONSE: Admitted but disputed as to relevance, as OOCL honored its service contract with BBBY for shipments that fell within the ambit of that service contract and the amendments thereto. There exists no evidence in this case that OOCL charged BBBY more than that which was filed with the FMC.

CPFF 581. Steffen conceded that decreased profitability and excess costs caused by supply chain dislocations resulting from the pandemic was a factor in BBBY's spiral into bankruptcy. Steffen Dep. Tr. 74:25-75:6 ("Q. Could decreased profitability and excess costs caused by the supply chain dislocation be one factor in Bed Bath's spiral to bankruptcy, in your opinion? A. Yes. Yes.") [APP-2538].

RESPONSE: Denied. Complainant mischaracterizes Mr. Steffen's testimony. Mr. Steffen in fact said that decreased profitability and excess costs could have been a factor in Bed Bath's collapse, but that Bed Bath & Beyond "did not break that [information] out." APP 2538 (Steffen Dep. Tr. 75:20-21).

CPFF 582. Steffen admitted that in any field he has worked in he would never advise a consumer of a product with a fluctuating price to resort solely to fluctuating spot prices where fixed rate-contracts, like the Service Contracts between BBBY and OOCL, are available, including because such a consumer could go bankrupt if it suddenly needed to pay significantly higher prices than those it anticipated paying. Steffen Dep. Tr. 61:14-18 ("Q. A company can go bankrupt if it's suddenly forced to pay significantly higher rates than it anticipated paying, correct? A. That's correct."), 62:25-63:12 ("Q. In your experience, in every field that you've worked in where there's been a distinction between fixed rate agreements and floating spot prices, would you ever advise a large consumer of a product with a fluctuating price to resort solely to fluctuating spot prices to acquire that commodity? A. I would not. Q. Why not? A. Because you cannot hedge the risk.") [APP-2534, -2535].

RESPONSE: OOCL denies the proposition in the first sentence above. Admitted that Mr. Steffen testified as set forth above. Mr. Steffen also testified "that the losses that Bed Bath & Beyond may have incurred as a consequence of any activity alleged to have been -- alleged to have been taken by OOCL is close to being a rounding error as compared to these numbers." APP 2581 (Boris Steffen Tr. at 247:8-14). He also testified:

**Q. You testified earlier about
OOCL, the dollar amount of its impact upon
Bed Bath being a rounding error.**

Do you recall that testimony?

A I do.

**Q And can you elaborate on that?
What did you mean by that?**

A. Okay.

**Well, my intuition, given what I
have seen of the calculations by
Mr. McCown versus the extent of the net
operating losses recorded by Bed Bath &
Beyond, the size disparity is such that
those damages calculated by Mr. McCown
would be a rounding error, relatively
speaking.**

Q So if it's a rounding error,

what is your opinion as to whether or not OOCL's conduct, based upon the allegations in the Amended Complaint, caused Bed Bath to enter bankruptcy?

MR. HUTH: Objection to form.

A I do not believe that that was a factor whatsoever.

Q And why do you say that?

A Given the scale of the damages that have been alleged by Mr. McCown versus the extent of the net operating losses realized by Bed Bath & Beyond. And further to that, my analyses of the underlying causes of Bed Bath & Beyond's failure, given its failure in its competitive strategy, and given its issuance of a tremendous amount of debt to repurchase \$11 billion worth of its shares. That was a remarkable amount.

APP 2564-2565 (Boris Steffen Tr. at 280:22 to 282:9).

CPFF 583. Steffen admitted that relying solely on spot prices for fluctuating commodities can expose a company to risks, including bankruptcy, and he would never advise a large consumer to rely exclusively on spot prices because “you cannot hedge the risk.” *See* Steffen Dep. Tr. 62:13-24 (“Q. My question is, in general, for a company that has to acquire any product and has – that has a price that fluctuates and has the opportunity to enter into a fixed-price rate agreement versus taking the market spot price wherever it stands when they need the product, having to take the spot price may expose that company to risks, including bankruptcy, if the prices goes to high, doesn’t it? A. That may be the case.”) [APP-2535].

RESPONSE: Admitted that Mr. Steffen testified as set forth above. However, he also testified that any damages allegedly incurred by BBY as a result of OOCL’s activity amounted to a mere rounding error, and he does not believe that OOCL’s activity “was a factor whatsoever.” See OOCL Response to BBY PFF 582, which is incorporated herein by reference.

CPFF 584. Steffen admitted that it is preferable to enforce a fixed-rate agreement rather than paying significantly higher prices elsewhere for the same commodity. *See* Steffen Dep. Tr. 102:3-9 (“Q. When you have a fixed rate agreement, is it not always preferable to enforce that fixed rate agreement, rather than paying multiple times that price for the same commodity elsewhere? A. If that, in fact, is consistent with the fact pattern, yes.”) [APP-2545] .

RESPONSE: OOCL denies the proposition in the first sentence above. Mr. Steffen qualified his answer. Admitted that Mr. Steffen testified as set forth above.

CPFF 585. Steffen admitted that a consumer of container shipping who had a fixed rate agreement at a particular price could face operational or financial problems if that consumer was required to pay multiples of that fixed rate agreement price through spot market purchases. *See* Steffen Dep. Tr. 64:11-20 (“Q. In the field of container shipping, for example, if a consumer of container shipping has a fixed rate agreement at a particular price and is, instead, forced to resort to spot market purchases at five to ten times that price, would that pose an operational or financial problem for the purchaser of container shipping? A. I believe so.”) [APP-2535].

RESPONSE: Admitted that Mr. Steffen testified as set forth above but denied that the hypothetical question pertains to the facts in this case. OOCL provided container space at the prices agreed upon between the parties. OOCL’s freight rates were within market and lower than NVO rates. Also, BBY has produced no data supporting the proposition that OOCL failed to provide its obligated container space during the 2020 and 2021 service contract years. By contrast, OOCL has produced data to prove that it did. APP 3036-3038, 3122-3144, 3145-3166 (Ex. 39, 66, 67); see also OOCL RPFs 576 to 618.

Mr. McCown relied on *allegations* of container space shortfalls as described in BBY’s Complaint as the entire basis for his opinion that OOCL did not provide the space contracted for under the 2020 and 2021 service contracts. In his deposition, McCown testified:

Q. Okay. So, essentially, you would agree with me that you accepted the proposition that OOCL only provided 1,475.85 FEUs of space during the 2020 service contract year and only 2,432.74 FEUs of space during the 2021 service contract year, that you obtained from reviewing the original Complaint, correct?

A. Yes, I agree with that.

Q. Do you know where those numbers came from?

A. Those numbers came from Bed Bath & Beyond, from their professionals, Mr. Hackett and other folks in their area.

Q. Do you know any specific documents that it refers -- that refer to those numbers?

A. I mean, in quite a few of the depositions they’re referenced, but the – you know, the Complaint was the basis for that.

APP 1467 (McCown Tr. 122:4-122:24). BBY's Senior Director of International Supply Chain testified that to his knowledge an analysis to determine whether or not OOCL provided all of the space it said it was going to provide was never done. APP 887 (Patrick Hackett Tr. at 294:5-10).

BBY did not do an independent analysis of the container space provided by OOCL but relied on calculations by counsel that the information provided in the Complaint was correct. APP 1186-87 (Kastin Tr. at 180:25-182:3) ("I reviewed the documents provided to me by Huth Reynolds in connections with my verification of the Complaint.").

There exists no testimony or other evidence in the record that anyone with or on behalf of BBY, or its booking agent Yusen Logistics, ever calculated the amount of container space that OOCL provided to BBY during the 2020 and 2021 shipping years. Rather, there exists abundant evidence showing such calculation was never undertaken. See e.g., APP 887 (Hackett Tr. 294:6-10); APP 2405 (Shippee Tr. 61:4-13); APP 1547 (McQuade Tr. 15:4-11); APP 1159-1160; 1199 (Kastin Tr. 71:11-77:2; 231:10-232:5); APP 2068, 2083 (Pinchuk Tr. 103:4-13; 163:13-25); APP 1466-1467 (McCown Tr. 118:8-122:24); APP 1248 (Klosowsky Tr. 48:7-21 (Reid Klosowsky looked to Paul Pastor as the person who would determine how much container space an ocean carrier actually provided)); APP 1956 (Pastor Tr. 107:6-20) (Paul Pastor testified that he would have to look at the data and he did not recall the number of shipping years 2020/21 and 2021/22); APP 275-276 (Cunniff Tr. 13:24-14:5); APP 1567 (McQuade Tr. 94:7-95:10).

CPFF 586. Contrary to paragraph 18 of his report, Boris Steffen admitted that the prices OOCL charged BBY for shipping cargo had an effect on BBY's operational performance. See Steffen Dep. Tr. 90:18-91:14 ("Q. The first sentence is a summary of paragraph 18. You say, 'As for the reasons underlying BBY's eventual liquidation, BBY's fall from its position atop its industry was the result of deteriorating operational performance, debt-financed share repurchases, and burdensome debt obligations, all of which were the product of management mistakes and not attributable to OOCL in any way, shape, or form.' Do you see that? A. I do see that. Q. Is it your position, Mr. Steffen, that the prices that OOCL charged Bed Bath for shipping don't play any role in the operational performance of Bed Bath & Beyond."), 94:15-95:7 ("Q. Given everything we've just discussed, would you agree with me, that it is an overstatement to say that OOCL's pricing did not, in any way, shape, or form, affect Bed Bath's operational performance? . . . A. Well, I think to the extent that the costs of OOCL were reflected in the calculation of the operating profit of Bed Bath & Beyond, there certainly is an effect there. How soon do they get that, that effect, is with respect to the ultimate failure of Bed Bath & Beyond, I don't believe that's a major factor whatsoever.") [APP-2542].

RESPONSE: Denied. Complainant distorts the record – Mr. Steffen did not contradict his report that BBY's "management mistakes" caused BBY's decline "not attributable to OOCL" with his testimony that OOCL had a "not . . . major" effect on BBY's operational performances. In between the two questions above, Mr. Steffen testified:

25 A Well, I think that with respect
2 to the analysis of Bed Bath & Beyond as an

3 entity -- I think that -- with respect to
4 the operational performance, I think a key
5 factor in my mind is that they brought in
6 a new chief executive officer from Target
7 who changed from marketing branded goods
8 to private-label goods. I think that that
9 was a mistake that -- a major contributor
10 to the operational decline -- operational
11 performance decline of Bed Bath & Beyond.

12 I mean, I also think that, you
13 know, they -- over time, they devoted --
14 they spent \$11 million on share
15 repurchases financed with debt for debt
16 equity, you know, and that is a -- then
17 that created a severe or significant debt
18 load of debt service payment that the
19 company simply could not, you know,
20 operate over time, you know, be viable
21 over time.

APP 2542 (Boris Steffen Tr. at 91:25 to 92:21).

22 Q And I want to take your
23 statement here as a whole, so it doesn't
24 include just burdensome debt obligations
25 or just debt-financed share repurchases.

2 It also discusses deteriorating
3 operational performance, which you've
4 testifying could be affected by increased
5 shipping costs, including from OOCL,
6 correct?

7 A I would have to say that, to the
8 extent that it is -- that those costs had
9 an effect on Bed Bath & Beyond's operating
10 profit, it would be an influence.

11 But I would say, from what I
12 have seen, you know, Bed Bath & Beyond was
13 a multibillion-dollar company, and over
14 the period of this contract, its operating
15 profit declined in a range of, like,
16 123 million to the negative as much as
17 330 -- 30 million, I believe.

18 So the scale of Bed Bath &
19 Beyond's operations seems to obviate
20 anything that OOCL would have done, in
21 terms of shipping.

APP 2542 (Boris Steffen Tr. at 92:22 to 93:21).

Further, in reference to paragraph 18 of his Report, Mr. Steffen wrote:

As for the reasons underlying BBY's eventual liquidation, BBY's fall from its position atop its industry was the result of deteriorating operational performance, debt financed share repurchases, and burdensome debt obligations, all of which were the product of management mistakes and not attributable to OOCL in any way, shape or form. More specifically:

- During the period covering 2020 and 2021 Service Contracts, which encompassed July 2020 through April 2022 (or Q2 FY2020 through Q1 FY2022), BBY incurred an operating loss in seven out of eight quarters, varying from (\$123 million) in Q3 FY2020 to (\$339 million) in Q1 FY2022. Given these results, BBY's allegation that OOCL's conduct caused it to incur lost profits is dubious as best.**
- From fiscal year 2016 (or "FY2016") through FY2022, BBY allocated an aggregate of \$2,015 million to repurchase shares, which exceeded the Company's outstanding debt of \$1,821 million by \$194 million when it filed for bankruptcy on April 23, 2023. Starting in 2004, BBY spent \$11.8 billion to repurchase its own shares, more than the \$5.2 billion in debt reported in its last SEC filing.**
- From Q3 FY2020 through Q1 FY2022, BBY allocated \$962 million to repurchase shares, while earnings before interest, taxes, depreciation and amortization ("EBITDA")—a proxy for operating cash flow—plummeted from (\$143) million to (\$241) million. During the same period, cash on hand dropped from \$1,463 million to \$108 million, while total debt (excluding leases) increased from \$1,190 million to \$1,380 million.**
- BBY's cash flow from operations was approximately (\$384) million for Q1 FY2022. This continued through the next three quarters from Q2 FY2022 through Q4 FY2022, with cash flow from operations totaling an aggregate of (\$607) million.**
- Ultimately, BBY's operating losses, oppressive debt load, and lack of liquidity left the Company with no choice but to file for bankruptcy in Chapter 11, followed by a liquidation of its business in Chapter 7.**

APP 3937-3994 (Ex. 384, pp. 9-10).

CPFF 587. Steffen admitted that rising supply chain costs may have driven BBY's negative operating cash flow during the pandemic, contributing to BBY's lack of liquidity. *See* Steffen Dep. Tr. 111:19-16 ("Q. And what factors, in your view, contributed to Bed Bath's lack of liquidity? A. I think taking out a tremendous amount of debt to repurchase shares while, at the same

time, their cash flow was negative and declining. Q. What causes a negative cash flow? A. Well, you know, one factor is, you know, negative – negative earnings, negative operating profit. Q. And negative earnings would be caused by having costs that exceed revenues, correct? A. Yes. That's one factor. Q. And increases in supply chain costs, to the extent that they caused cost to exceed revenues, would contribute to negative operating cash flow, correct? A. That could contribute to a negative operating cash flow.”) [APP-2547].

RESPONSE: OOCL denies the proposition in the first sentence above. Admitted that Mr. Steffen testified as set forth above. He testified that increase in supply chain costs could contribute to a negative operating cash flow, not that such costs did. Further, there is no evidence in this case, that any purported increase in supply chain costs due to OOCL caused BBY's negative cash flow. Instead, as Mr. Steffen opined in his report: “the reasons underlying BBY's eventual liquidation, BBY's fall from its position atop its industry was the result of deteriorating operational performance, debt financed share repurchases, and burdensome debt obligations, all of which were the product of management mistakes and not attributable to OOCL in any way, shape or form.” See also OOCL's Response to BBY PFF 586, which is incorporated herein by reference.

CPFF 588. Steffen admitted that ocean freight carriers may need to charter additional space or prorate capacity among service contract shippers if the ocean freight carrier's ships are fully booked. *See* Steffen Dep. Tr. 131:11-132:7 [APP-2552] (discussing 1999 Walsh Letter [APP-5029-5032]).

RESPONSE: Denied. Mr. Steffen actually testified that: “Well, that is a policy of the Federal Maritime Commission, I would not disagree with it.” APP 2552 (Steffen Dep. Tr. 131:11-132:7).

CPFF 589. Steffen admitted that a booking system which achieves its stated goal only 5% of the time is not a reasonable system. *See* Steffen Dep. Tr. 166:22-167:13 (“Q. If you look at this e-mail, Mr. Schmiemann discusses the NAE customer MQC shortfall. It states: ‘We have 146 customers and only seven are at or close to their respective MQC on a prorated basis. At this juncture, customers should be between 33 and 35 percent of their MQ. Less than 5 percent fall into that category.’ Do you see that? A. I do see that. Q. Is a booking system that achieves its stated goal only 5 percent of the time reasonable in your view? A. I would say, no.”) [APP-2561]; *compare with* Dep. Ex. 179 at OOCL_0000229939 [APP-3309].

RESPONSE: OOCL denies the proposition in the first sentence above. Mischaracterizes the record. MQC is based upon annual performance [REDACTED] not a spot in time during the year. BBY's Director of International Supply Chain Patrick Hackett admitted that there was never an agreed MQC breakdown “by week or by month.” APP 859 (Patrick Hackett Tr. 183:15-184:4). Also mischaracterizes whose shortfall is at issue; the email specifically refers to “NAE customer MQC shortfall.” APP 3309 (Ex. 179). Glenn Metzger found in his analysis that OOCL afforded BBY all of the space to which it was entitled. APP 1620-1621; 1626; 1627 (Glenn Metzger Tr. 125:23- 128:3; 146:13-147:8; 151:16-24); APP RX-000618, RX-000619 (Ex. 393,394). For Glenn Metzger's deep dive see APP 1596-

1618; 1622-1627 (Glenn Metzger Tr. 29:7-115:21; 131:9-151:15).

Yusen regularly double-booked BBY's containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BB in hopes of getting additional space.")); APP 2395-2396 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . . .")): APP 960 (Jacobus Tr. 126:2-21).

Yusen did not book per the ocean carriers' allocations provided by BBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 ("I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.")); APP 1554 (McQuade Tr. Tr. 43:12-44-9).

Yusen was contractually obligated to book per the ocean carriers' monthly allocations. RX-000079-153 (Ex. 274, Yusen Logistics-BBY Contract, pp. 26-27).

CPFF 590. Steffen admitted it would be unreasonable for a carrier to fall significantly short on commitments for most of the year and allocate a large amount of space at the end of the year without considering the shipper's actual needs at that time. *See* Steffen Dep. Tr. 134:20-135:10 ("Q. And in the container shipping field, if a carrier were to fall terribly short on its commitments throughout most of a shipping year, and then suddenly award an enormous amount of space near the end of the year, without regard to whether the shipper actually needed that space at the time, would you agree that would be an unreasonable method of allocating space to achieve a service commitment? . . . A. Well, I guess in that – in that hypothetical, I think that would be unreasonable.") [APP-2553].

RESPONSE: Admitted that Mr. Steffen testified as set forth above but denied that the hypothetical question presented was the reality. In fact, OOCL met its space container obligations during the 2020 and 2021 shipping years. *See* OOCL RPFs 576 to 618; APP 3039-304, 3122-3144, 3145-3166 (Ex. 39, 66, 67); APP 1620-1621; 1626; 1627 (Glenn Metzger Tr. 125:23- 128:3; 146:13-147:8; 151:16-24); APP RX-000618, RX-000619 (Ex. 393, 394). For Glenn Metzger's deep dive in bookings during the 2021 service contract year, *see* APP 1596-1618; 1622-1627 (Glenn Metzger Tr. 29:7-115:21; 131:9-151:15).

CPFF 591. Steffen admitted that without products on the shelves, it is difficult for a retail business to stay profitable. Steffen Dep. Tr. 69:21-70:5 ("Q. And, in terms of product, is it important that a product actually be on the shelves for consumers to spend money at that retail establishments? A. That's my understanding. Q. Without products on the shelves, is it difficult for a retail business to stay profitable? A. Yes.") [APPP-2536-2537].

RESPONSE: Admitted that Mr. Steffen testified as set forth above but denied that OOCL was responsible for BBY's empty shelves. BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. at 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's

letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-1612 (Glenn Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Vincent Delprete Tr. 179:20-180:10) (BBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Patrick Hackett Tr. at 160:8-161:24); RX-000979-996 (Ex. 201).

BBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Tr. of Gisella Stupnik 43:7 to 45:7).

BBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBY had a practice of "holdbacks," that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. APP 2648-2649 (Gisella Stupnik Tr. 55:16-58:10).

BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Gisella Stupnik Tr. 59:3-61:6). BBY's Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Gisella Stupnik Tr. 61:1-6).

CPFF 592. Steffen admitted that if a PSS was included in a fixed-rate contract, it would already be reflected in the rate and could not be added as an additional charge. *See* Steffen Dep. Tr. 141:7-142:21 [APP-2554-2555].

RESPONSE: Denied. The hypothetical was not complete because it did not take into account that the 2020 and 2021 service contracts were amended by agreement between the parties 17 and 16 times, respectively. APP 3261-3292, 3360-3642 (Exs. 163, 332-365). Further, Mr. Steffen is not a lawyer and so legal opinions about what a contracts permits are beyond his ken.

CPFF 593. Steffen admitted that there are no opportunity costs associated with the detention charges levied by OOCL against BBY at issue in this action. *See* Steffen Dep. Tr. 210:24-

211:22 (“Q. You understand that when detention is being accrued the container is offsite, correct? A. Yes. Q. So when detention is being accrued, there’s no opportunity cost arising from the missing space at the terminal facility, right? A. I agree with that.”) [APP-2572].

RESPONSE: OOCL denies the proposition in the first sentence above. Complainant mischaracterizes the record. Mr. Steffen testified that there was no opportunity cost “from the missing space at the terminal facility,” not that OOCL incurred no opportunity costs whatsoever from BBBY’s failure to return OOCL’s equipment. Further, Dr. Lars Jensen testified that there was a significant lost opportunity cost attendant to not timely returning containers during the pandemic:

Q So when you were talking about lost opportunity cost, what lost opportunity cost were incurred by the ocean carriers during this time?

A The lost-opportunity cost the carriers would have in mind was the risk that, if the container was not redelivered delivered on time, it would not make it out to Asia in time, and they might be in a situation where they did not have an empty container available for a customer at a point where going freight rates were 10 to 15,000 dollars.

This was a risk assessment based by the carriers because it would be based on a forecast of how many empty containers would you need at a specific depot in a specific city, typically, two months into the future?

APP 1036 (Lars Jensen Tr. at 359:16 to 360:10).

CPFF 594. Steffen is not aware of any industry standards for calculating shortfall damages. *See* Steffen Dep. Tr. 256:2-24 [APP-2583].

RESPONSE: Admitted that Mr. Steffen testified as set forth above but denied that BBBY suffered any shortfall damages. *See* OOCL RPFF 764-766; APP 3039-3040, 3122-3144, 3145-3166 (Ex. 39, 66, 67). OOCL also incorporates by reference herein OOCL’s Response to BBBY PFF 585.

CPFF 595. Steffen is not aware of any industry standards for calculating PSS damages. *See* Steffen Dep. Tr. 256:2-24 [APP-2583].

RESPONSE: Admitted that Mr. Steffen testified as set forth above but denied that BBBY suffered any PSS damages. The parties signed the 2020 and 2021 service contracts and the

amendments thereto, each of which was filed with the FMC. APP 3261-3292, 3360-3646 (Exs. 163, 332-365). There exists no evidence that BBBY's signatories signed the service contracts and amendments involuntarily. There exists zero evidence that OOCL charged a rate that was not agreed upon between the parties.

CPFF 596. Steffen is not aware of any industry standards for calculating detention and demurrage damages. *See* Steffen Dep. Tr. 256:2-24 [APP-2583].

RESPONSE: Admitted.

CPFF 597. Steffen, who was not tasked with forming any opinions about BBBY's lost profits claim, addressed lost profits in his report independently. *See* Steffen Dep. Tr. 212:23-213:6 ("Q. And it is accurate to say that this section is not a response to anything that Mr. McCown said, but rather your own analysis that affects a category of damages that were alleged in the Complaint but not addressed in Mr. McCown's report? A. That's correct.") [APP-2572].

RESPONSE: OOCL denies the proposition in the first sentence above. Mr. Steffen formulated opinions about BBBY's lost profits claim. See OOCL Response to BBBY PFF 586, which is incorporated herein by reference.

CPFF 598. Steffen relying on documents selected by OOCL's counsel, testified that he had not seen evidence of profit margins for BBBY's goods in specific containers. *See* Steffen Dep. Tr. 271:3-10.

RESPONSE: Denied. Mr. Steffen testified as follows:

Let's take a look at the service contract for the 2020-'21 service contract year.

And let me -- you -- you've reviewed this document before, correct?

A Yes, I have.

Q And let's go down to the list of commodities.

And these are the lists of commodities that the parties agreed would be carried by OOCL in the loaded containers from Bed Bath.

Would you agree with that?

A I agree.

Q Okay.

Have you seen any documentation that identifies the products that were contained within the containers that allegedly -- allegedly OOCL declined or refused to carry?

If you answered that question, sir, we didn't hear you.

A I have not.

One of the questions that you were asked, a hypothetical by Mr. Huth, previously related to if the containers were all the same and basically containing all of the same products.

But my question to you, sir, is what is the profit margin of each of these projects -- or products, if you've seen any evidence that demonstrates what they are?

MR. HUTH: Objection to form.

A I've not seen any of that type of analysis or evidence.

APP 2586-2587 (Boris Steffen Tr. at 269:22 to 271:10). BBY has produced no evidence of any specific container that OOCL failed to carry or the contents thereof, or the profit margin of the products carried therein. BBY's Senior Director of Financial Analysis testified that he did not recall ever identifying any of the containers that BBY booked or attempted to book with OOCL that OOCL did not carry, or reviewing any manifests or costs of products carried in these allegedly declined containers, or the revenue or profit margin generated by such containers. APP 276 (Cunniff Tr. 14:14-16:18 And he does not know whether any of the goods in any of the containers that OOCL allegedly did not carry ever sold. APP 293 (Cunniff Tr. 82:14-83:3).

CPFF 599. During his deposition in this case, BBY counsel walked Steffen through the Lost Profits Analysis spreadsheet during which questioning Steffen conceded that the information necessary to calculate BBY's lost profits was reflected in Cunniff's Lost Profits Analysis spreadsheet. See Ex. 401 (P-0000810431) (Tab "Container Receipts with Expense") [APP-4008]; Steffen Dep. Tr. 294:13-295:6, 295:21-299:18 ("And you testified briefly, in response to Mr. Letourneau's questions, that you had not seen any evidence relating to the *actual profitability of Bed Bath merchandise, to the actual cost, to the actual revenue associated with products, or to the containers that they were shipped in.* Did I get all that right? MR. LETOURNEAU: I object. It misstates his testimony. A. Well, I think that when we referred to particular documents, it was -- my responses were tied to those particular documents. Q. This document, as you click through the tabs, does include that information, doesn't it? . . . Q. So because you, as you say, know nothing about this spreadsheet, you have no reason to believe that the data in it is not accurate, correct? MR. LETOURNEAU: Objection. Form. A. Well, that would be correct. **And I have no reason to believe it is accurate.** Q. *Let's click on the second tab, entitled "Container Receipts with Expense." If we look in column A, do you see that there is a port of delivery here? A. I see that. Q. If we look in column B, do we see that there is a port of discharge? A. I see that. Q. In column C, do you see that there is a carrier associated with these? A. I see that. Q. In columns F, G, H, and J, do you see that there are dates associated with the shipment? A. I see that. Q. Column L contains bill-of-lading numbers, correct? Is that a yes? A. Oh, that's a yes. Q. Column M contains container*

numbers, correct? A. I see that. Q. Column O contains a description of the products that were inside those containers, right? A. I see that. Q. Column S states the retail cost for those items, right? A. Well, it says, "item retail." What that means exactly, it's not provided. Q. Okay. Column R reflects the quantity of those items that were inside the container, right? A. Yes, it does. Q. Column T reflects the item cost for the items that were inside the container, correct? A. Oh, yes, it does. Uh-huh. Q. And then columns U and V and multiple out, the retail revenue and the external cost of those items calculated for the total number that were inside the container, right? A. You know, could you -- could you scroll down to the formulas because I see -- I see the numbers, but I don't see if there's a calculation in there. MR. HUTH: Mr. Mitchell, maybe if you click on the cell at the top -- I don't know where the formulas are. THE WITNESS: Yes, Yes. Uh-huh. MR. HUTH: If you click on a cell, it will usually show. THE WITNESS: Okay. So it's a hard-pasted, hard-coded number. There's no calculation. So I know what the label says. I don't know exactly what was -- what as in that cell Q. And that is data that would be useful in determining the profitability of goods carried in specific containers, correct? MR. LETOURNEAU: Objection. Form. A. I would say that appears to be the case.") (emphasis added) [APP-2593-2594].

RESPONSE: OOCL denies the proposition in the first sentence above and the misleading questions about what Mr. Steffen had testified about. Mr. Steffen testified as follows:

Let's take a look at the service contract for the 2020-'21 service contract year.

And let me -- you -- you've reviewed this document before, correct?

A Yes, I have.

Q And let's go down to the list of commodities.

And these are the lists of commodities that the parties agreed would be carried by OOCL in the loaded containers from Bed Bath.

Would you agree with that?

A I agree.

Q Okay.

Have you seen any documentation that identifies the products that were contained within the containers that allegedly -- allegedly OOCL declined or refused to carry?

If you answered that question, sir, we didn't hear you.

A I have not.

One of the questions that you were asked, a hypothetical by Mr. Huth, previously related to if the containers

were all the same and basically containing all of the same products.

But my question to you, sir, is what is the profit margin of each of these projects -- or products, if you've seen any evidence that demonstrates what they are?

MR. HUTH: Objection to form.

A I've not seen any of that type of analysis or evidence.

APP 2586-2587 (Boris Steffen Tr. at 269:22 to 271:10). BBY has produced no evidence of any specific container that OOCL failed to carry or the contents thereof, or the profit margin of the products carried therein. BBY's Senior Director of Financial Analysis testified that he did not recall ever identifying any of the containers that BBY booked or attempted to book with OOCL that OOCL did not carry, or reviewing any manifests or costs of products carried in these allegedly declined containers, or the revenue or profit margin generated by such containers. APP 276 (Cunniff Tr. 14:14-16:18 And he does not know whether any of the goods in any of the containers that OOCL allegedly did not carry ever sold. APP 293 (Cunniff Tr. 82:14-83:3).

Further, with respect to the containers addressed in Mr. Cunniff's spreadsheet, which have no correlation to any containers that OOCL allegedly failed to carry, Mr. Steffen testified: "And that is data that would be useful in determining the profitability of goods carried in specific containers, correct? MR. LETOURNEAU: Objection. Form. A. I would say that appears to be the case."). But the specific containers at issue are not the ones in Mr. Cunniff's spreadsheet, but rather the allegedly thousands of containers that OOCL did not carry, concerning which BBY has not identified a single one.

600. While Steffen states that BBY cannot claim lost profits because it "did not have any profits to lose", he concedes that companies with operating losses prior to bankruptcy can still pursue lost profits claims. See Steffen Dep. Tr. 213:25-214:23, 220:6-23, 230:20-231:16 [APP- 2572-2573, -2574, -2577].

RESPONSE: Denied that the foregoing represents Boris Steffens's lost profits opinions regarding BBY. Specifically, with respect to BBY, Mr. Steffen testified:

So, typically, there's a presumption when a party brings a lost profits claim that it had profits to lose, and Bed Bath & Beyond had -- did not have any profits to lose. And what they -- is lost has far exceeded anything that could have happened by virtue of any discrepancy with rates, with shipping rates.

And further to that, I -- you

know, looking at the way Bed Bath & Beyond reported its financial -- its financial results, you cannot break out any effect of OOCL's shipping rates in Bed Bath & Beyond's lack of profitability.

APP 2573 (Boris Steffen Tr. at 214:10 to 214:23).

Further, there exists no proof that BBBY or any segment of BBBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin's Declaration, ¶ 21); APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

601. Steffen testified that he would calculate damages related to BBBY's claims for PSS/premium charges by subtracting the "but-for" amount from the actual amount paid, consistent with the formula BBBY used for PSS/premium damages. See Steffen Dep. Tr. 85:9-22 ("Q. So you've said you would gather reliable data, but can you structure for me a mathematical operation that would allow you to determine the damages from surcharges or fees? A. It would be -- damages are the difference between actual and but-for. Q. All right. So just to break that apart: If you knew the actual amount that Bed Bath paid OOCL for the freight that OOC carried, that would be one component of your analysis, right? A. Yes."), 87:10-14 ("Q. What did you mean by "but-for"? A. What Bed Bath & Beyond would have paid but for its having to pay peak-season surcharges and premium charges."), 87:16-24 ("Q. And if you had those two numbers -- what Bed Bath actually paid OOCL and what Bed Bath would have paid but for those charges -- what operation would you undertake mathematically to size the damages? A. I would calculate the difference between the but-for amounts and the actual amounts.") [APP-2540-2541].

RESPONSE: OOCL denies the proposition in the first sentence above. Admitted that Mr. Steffen testified as he did with respect to hypothetical questions posed. However, those hypothetical questions fail to account for the fact that OOCL and BBBY agreed in writing to each amendment to the 2020 and 2021 service contracts. The parties signed the 2020 and 2021 service contracts and the amendments thereto, each of which was filed with the FMC. APP 3261-3292, 3360-3646 (Exs. 163, 332-365). There exists no evidence that BBBY's signatories signed the service contracts and amendments involuntarily. There exists zero evidence that OOCL charged a rate that was not agreed upon between the parties.

3. Bias

602. As to Steffen, Steffen's opinions should be discounted because his firm (Province Capital) pitched itself to assist the unsecured creditors of BBBY, and members of Province Capital who were involved in that pitch contributed to Steffen's report.

RESPONSE: Denied. Mr. Steffen testified that there were no conflicts and he was not involved in the pitch. APP 2523 (Boris Steffen Tr. at 16:3-17:20). After his deposition, Mr. Steffen confirmed that the pitch deck materials referenced in his deposition were not used in his submission and this information was conveyed to BBBY's counsel on November 4, 2024.

602.1. Because a consultant seeking employment by BBBY's creditors' committee obviously

has an incentive to put as much blame as possible on BBBY and its former management, this undisclosed conflict demonstrates bias and undermines the credibility of Steffen's opinions. See Steffen Dep. Tr. 8:2-14 ("A. So Jin and Sebastian did initial drafts of the portion that dealt with the demise of Bed Bath & Beyond. I wrote all of the damages portion myself. And I also, then, went back and revised the work of Jin and Sebastian with respect to the Bed Bath & Beyond analysis. Q. All right. And both of those individuals, Jin Dong and Sebastian Fernandez, they are both employed by Province, your consulting firm; is that right? A. Well, that is correct."), 12:10-15 ("Q. What is the primary business activity of the Province firm? A. Well, Province is a corporate restructuring firm. I would say the firm is best known for advising unsecured creditors in corporate bankruptcy filings."), 15:6-11 (Q. In any case, it's certainly the goal of the unsecured creditors' committees to maximize their own recovery, right? A. The members themselves have that goal."), 16:3-15 ("Q. Have you made any effort to check to see whether Province might be -- might have any conflicts in connection with Bed Bath's restructuring or bankruptcy? A. There are no conflicts. You know, my recollection would be that, at some point, Province made a pitch to be involved in the case, but I don't -- I don't know the result of that, or I should -- I'm not sure of the result of that. I know that I was not involved in it in any way."), 19:5-22 ("Q. So how did you come by the understanding that you have, that Province may have pitched to become involved in the Bed Bath bankruptcy proceeding? A. Well, I believe that Jin Dong told me that at one point there was a pitch deck. Q. And when you say, "a pitch deck," do you mean a deck of slides that Province had prepared in connection with attempting to gain some mandate in the Bed Bath bankruptcy proceedings? A. Yes. Q. Have you seen that deck? A. I have not. Q. But Mr. Dong has that deck? A. I don't know whether he has it. I know that he mentioned it."), 237:15-21 ("Q. Was Mr. Dong involved in that pitch document? A. I believe so. Q. Do you know he used any of the work that he generated for that pitch in any way in your report? A. I do not know.") [APP-2521-2524, -2578].

RESPONSE: Denied. Mr. Steffen testified that there were no conflicts and he was not involved in the pitch. APP 2523 (Boris Steffen Tr. at 16:3-17:20). After his deposition, Mr. Steffen confirmed that the pitch deck materials referenced in his deposition were not used in his submission and this information was conveyed to BBBY's counsel on November 4, 2024.

602.2. During Steffen's deposition in this case, BBBY's counsel requested that OOCL produce a deck of slides that Province Capital prepared in connection with attempting to gain a mandate in the BBBY bankruptcy proceedings (the "Province BBBY Pitch Deck"). See Steffen Dep. Tr. 19:4-20:8 [APP-2524]

RESPONSE: Denied. Mr. Steffen testified that there were no conflicts and he was not involved in the pitch. APP 2523 (Boris Steffen Tr. at 16:3-17:20). After his deposition, Mr. Steffen confirmed that the pitch deck materials referenced in his deposition were not used in his submission and this information was conveyed to BBBY's counsel on November 4, 2024.

602.3. OOCL refused to produce the Province BBY Pitch Deck.

RESPONSE: Denied. Mr. Steffen testified that there were no conflicts and he was not involved in the pitch. APP 2523 (Boris Steffen Tr. at 16:3-17:20). After his deposition, Mr. Steffen confirmed that the pitch deck materials referenced in his deposition were not used in his submission and this information was conveyed to BBY's counsel on November 4, 2024.

B. Lars Jensen

i. Credibility

603. Jensen observed during the COVID-19 pandemic that many companies were under severe pressure from freight costs and "could potentially go bankrupt because of the current situation with extremely high freight rates". See Dep. Ex. 425 at 1-2 [APP-4087-4088].

RESPONSE: Admitted that a quote attributed to Lars Jensen appears in the article referenced. Denied that BBY went bankrupt because of OOCL's freight rates. Mr. Steffen also testified "that the losses that Bed Bath & Beyond may have incurred as a consequence of any activity alleged to have been -- alleged to have been taken by OOCL is close to being a rounding error as compared to these numbers." APP 2581 (Boris Steffen Tr. at 247:8-14). He also testified:

**Q. You testified earlier about
OOCL, the dollar amount of its impact upon
Bed Bath being a rounding error.**

Do you recall that testimony?

A I do.

**Q And can you elaborate on that?
What did you mean by that?**

A. Okay.

**Well, my intuition, given what I
have seen of the calculations by
Mr. McCown versus the extent of the net
operating losses recorded by Bed Bath &
Beyond, the size disparity is such that
those damages calculated by Mr. McCown
would be a rounding error, relatively
speaking.**

**Q So if it's a rounding error,
what is your opinion as to whether or not
OOCL's conduct, based upon the allegations
in the Amended Complaint, caused Bed Bath
to enter bankruptcy?**

MR. HUTH: Objection to form.

A I do not believe that that was a

factor whatsoever.

Q And why do you say that?

A Given the scale of the damages that have been alleged by Mr. McCown versus the extent of the net operating losses realized by Bed Bath & Beyond. And further to that, my analyses of the underlying causes of Bed Bath & Beyond's failure, given its failure in its competitive strategy, and given its issuance of a tremendous amount of debt to repurchase \$11 billion worth of its shares. That was a remarkable amount.

APP 2589-2590 (Boris Steffen Tr. at 280:22 to 282:9).

604. Jensen stated in a November 10, 2021 article in FreightWaves that the shipping industry has “definitely seen the effects of consolidation. At least on the main trades, there is a de facto oligopoly, which means the carriers are able to somewhat better prevent the price wars we’ve seen in the past. This is the logical end point of 20 years of gradual consolidation.” See Dep. Ex. 420 at 5 [APP-4064].

RESPONSE: Admitted that a quote attributed to Lars Jensen appears in the article referenced. But Lars Jensen also testified at deposition that there was no link between consolidation in the carrier industry and lack of capacity during the COVID-19 period. APP 1040 (Lars Jensen Tr. 177:4-22).

605. Jensen recognized that global ocean carrier industry’s high level of consolidation and joint ownership suggests the common behavior of carriers was well understood during the time of the COVID-19 pandemic within the industry. See Dep. Ex. 420 at 5 [APP-4064].

RESPONSE: Denied. The November 10, 2021 article cited says nothing about “common behavior of carriers was well understood during the time of the COVID-19 pandemic within the industry” and such a conclusion does not follow from the article’s content. APP-4064 (Ex. 420, p. 5).

606. Jensen stated in August 2020 that “shipping lines have for now clearly said goodbye to the old philosophy about it being exclusively a matter of conquering market shares and volumes at all costs, to it now being a bit more reasonably to focus on how to become profitable”. See Dep. Ex. 416 at 4 [APP-4040].

RESPONSE: Admitted that the quote above was attributed to Lars Jensen in the article cited.

607. Jensen projected in August 2020 that “[u]nless something goes horribly wrong in the second half of the year, the shipping lines altogether will most likely exit 2020 with a profitability that’s better than 2019, despite the crisis.” See Dep. Ex. 416 at 5 [APP-4041].

RESPONSE: Admitted that the quote above was attributed to Lars Jensen in the article cited.

ii. Bias

608. In June 2024, roughly around the same time he was hired by OOCL as an expert in this case, Jensen posted on LinkedIn his position that it is “not the case” that service contracts are binding in the container shipping industry. See Dep. Ex. 424 [APP-4085]; Jensen Dep. Tr. 291:15- 24 [APP-1069].

RESPONSE: Admitted that Lars Jensen made such a post on LinkedIn, but denied that he is a legal expert.

608.1. This LinkedIn post, mirroring OOCL’s arguments in this case, contradicted Jensen’s previous public statements in the media that fixed price contracts are vitally important for shippers. See Dep. Ex. 425 at 2 (“[A]ccording to Jensen . . . having fixed freight contracts has huge benefits for major shippers”) [APP-4088].

RESPONSE: Denied. OOCL honored its container space obligations during the 2020 and 2021 shipping years at issue. See OOCL RPFFs 576 to 618. The parties signed the 2020 and 2021 service contracts and the amendments thereto, each of which was filed with the FMC. APP 3261-3292 (Exs. 163, 332-365). There exists no evidence that BBBY’s signatories signed the service contracts and amendments involuntarily. There exists zero evidence that OOCL charged a rate that was not agreed upon between the parties.

VII. OOCL Employees

A. Karen Lam

609. Karen Lam served as the General Manager of Trans-Pacific Trade at OOCL during the relevant time period. See Lam Dep. Tr. 45:11-13 [APP-1349].

RESPONSE: Admitted that Karen Lam began serving as General Manager of Trans-Pacific Trade at OOCL in January 2021 and throughout the balance of the relevant period.

610. Karen Lam was deposed in this case on July 3, 2024. See Lam Dep. Tr. at 1 [APP-1338].

RESPONSE: Admitted.

611. Karen Lam’s testimony during her deposition in this case is not credible and should be discounted.

RESPONSE: Denied. Karen Lam’s testimony was entirely truthful and should not at all be

discounted.

612. During her deposition in this case, Karen Lam was asked questions by OOCL's attorneys designed to elicit self-serving testimony in favor of OOCL. See Lam Dep. Tr. 234:19- 22, 235:23-236:2 ("Q. As trade director what is your assessment as to whether or not OOCL retaliated against Bed Bath & Beyond between 2020 and the present day?" or "Q. As trade director what is your assessment as to whether or not OOCL discriminated against Bed Bath & Beyond between 2020 and the present day?") [APP-1397].

RESPONSE: Denied. The questions posed to Ms. Lam were proper, and she expressed her views that OOCL did not retaliate or discriminate against BBY:

23 A. I totally disagree about the
24 statement about for OOCL have done any
25 retaliation against BBB. As mentioned previously
2 we are undergoing the normal contract
3 negotiations starting from a higher point of a
4 rate offer and then we'll go compromise the rate
5 with both parties.

6 And secondly on the MQC signed, we
7 are willing to honor the same MQC volume compared
8 to the previous year; however, the discounted MQC
9 applicable for many of the customer at the same
10 time was under the estimated potential and
11 reduced capacity based on the situations happened
12 in the previous year.

13 So we trying not to overcommit to the
14 customer instead we get the understanding from
15 many of the customer who are willing to sign with
16 the discount if eventually the land sailing not
17 happen in our capacity we will protect them the
18 space up to 100 percent back.

19 So customer buying, also we believe
20 also that BBB also agree to the discount MQC and
21 sign. So I believe this is not a kind of
22 retaliation action towards BBB.

23 Q. As trade director what is your
24 assessment as to whether or not OOCL
25 discriminated against Bed Bath & Beyond between
2 2020 and the present day?

3 A. We actually treat customer the same
4 while we always have the commercial
5 considerations to review about the rate level.
6 Also, the MQC and at the same time we honor the
7 commitment offering the CSAL and also offer

8 accommodations to the customer.
9 So basically BBB is in the same
10 position with other customers in the same
11 contract year. We did not show any
12 discrimination towards BBB.

APP 1397 (Karen Lam Tr. at 234:23 to 236:12).

613. On direct-examination, Karen Lam testified as to Exhibit 39, “it’s the review from these two years regular contract from two different points of view based on the information available. So we have request our information services department to produce based on the basic data that’s available in the system, and also the CSAL information even though it’s offline, but got the original document upload by STCC at that time and then combined with the information to show individuals’ parties booking situations and also the fulfilment.” See Lam Dep. Tr. 187:10-22 [APP-1385]; Dep. Ex. 39 at 1-2 [APP-3039-3040].

RESPONSE: Admitted. OOCL’s Trans-Pacific Trade General Manager Karen Lam and her team evaluated the amount of space that OOCL actually provided to BBY during the 2020 and 2021 shipping years by service lane. APP 1388 (K. Lam Tr. 187:10-188:20).

Not only did Karen Lam testify about the results of the work performed, but each member of her team also executed a sworn declaration attesting to the work that each performed in carrying out the analysis. RX 000643-644 (K. Lam Declaration); RX 000652-654 (S. Wong Declaration); RX 000637-642 (A. Lam Declaration); RX000655-660 (Cheung Declaration); RX 000645-651 (M. Wong Declaration).

Each member of Ms. Lam’s team possesses the requisite education and training necessary to carry out the work undertaken as detailed in their respective declarations. RX 000637-642 (A. Lam Declaration); RX 000645-651 (M. Wong Declaration); RX 000655-660 (Cheung Declaration).

Karen Lam directed Sharon Wong to work with OOCL’s Information Services Department (“ISD”) to evaluate OOCL’s space protection (also known as Customer Space Allocation List or CSAL) and BBY’s booking and delivery of containers during service contract years 2020/21 and 2021/22. RX 000643-644 (K. Lam Declaration).

Sharon Wong asked ISD’s Mickey Wong, Alex Lam and Stanley Cheung to carry out that work. RX 000652-654 (S. Wong Declaration).

Ms. Lam’s Team examined OOCL’s databases, specifically, OOCL’s space protection (also known as CSAL) and shipment data. RX 000637-642 (A. Lam Declaration); RX 000655-660 (Cheung Declaration); RX 000645-651 (M. Wong Declaration).

As for CSAL data, OOCL’s Information Services Department (“ISD”) imports all user files into a database and uses them to generate Spotfire graphs, about which we expound below. RX 000637-642 (A. Lam Declaration); RX 000655-660 (Cheung Declaration); RX 000645-651 (M.

Wong Declaration).

The shipment data was extracted from OOCL's IRIS-4 database, which is OOCL's Enterprise Resource Planning Platform used by OOCL's business departments and which undergoes an annual external audit. RX 000637-642 (Alex Lam Declaration); RX 000655-660 (Stanley Cheung Declaration); RX 000645-651 (Mickey Wong Declaration).

IRIS-4 is OOCL's Integrated Regional Information System used "for bookings, to capture bookings, to track bookings, to track operations-related items ... So, globally, any OOCL office has access to IRIS, and they can see where bookings are, what bookings are being completed, confirmed, deleted, pending; all that information." APP 1593 (Glenn Metzger Tr. 14:18-15-9).

The Team cross-validated the data collected to confirm that the digital records matched the original records without discrepancies, and cross-checked the digitalized CSAL in the database with the original CSAL in the excel file row by row, as well as conducted a duplicate detection search, missing value check, and summary and detail alignment to ensure the accuracy of the data collected. RX 000637-642 (Alex Lam Declaration); RX 000655-660 (Stanley Cheung Declaration); RX 000645-651 (Mickey Wong Declaration).

Ms. Lam's Team analyzed the data collected and developed the Spotfire graphs that ultimately were marked as Exhibits 66 and 67, verified the accuracy of the information therein, and provided data results to Sharon Wong. RX 000637-642 (Alex Lam Declaration); RX 000655-660 (Stanley Cheung Declaration); RX 000645-651 (Mickey Wong Declaration).

Those graphs provide a summary of the results the Team found when they examined the data. RX 000637-642 (Alex Lam Declaration); RX 000655-660 (Stanley Cheung Declaration); RX 000645-651 (Mickey Wong Declaration).

Sharon Wong reviewed and evaluated BBBY's booking and shipping data, BBBY's CSAL, and BBBY's service contracts. RX 000652-654 (Sharon Wong Declaration).

Sharon Wong asked the Team to help draw and summarize the data. RX-000652-654 (Sharon Wong Declaration).

Sharon Wong also double-checked the data prepared by the Team and used the data to prepare the slides marked as Ex. 39. RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39).

The Spotfire graphs show the container space allocations provided by OOCL to BBBY for each service loop during the 2020 and 2021 service contract years, the amount of space used and unused by BBBY, and the amount of space that OOCL provided to BBBY beyond its allocations. APP 3122-3144 and 3145-3166 (Exs. 66 and 67).

614. During Karen Lam's deposition in this case, OOCL's attorneys exhibited a number of self-serving documents, including Exhibits 66 and 67. See Lam Dep. Tr. 214:25-215:9, 227:22-228:8, 233:23-234:11 [APP-1392; APP-1395; APP-1369-1397].

RESPONSE: Denied that the documents were self-serving, but instead were the product of a

data analysis performed by Karen Lam and members of OOCL's ISD Team. See OOCL's Response to BBY PFF 613, which is incorporated herein by reference.

614.1. Exhibit 39 includes two slides: one purporting to be a "2020-2021 regular contract summary for Trans-Pacific Trade eastbound" and the other purporting to be a "2021-2022 regular contract summary for that same Trans-Pacific Trade eastbound". See Lam Dep. Tr. 214:25-215:9 [APP-1392]; Dep. Ex. 39 at 1-2 [APP-3039- 3040].

RESPONSE: Admitted that Exhibit 39 includes two slides: one showing the data analysis results relating to the 2020-2021 regular contract summary for Trans-Pacific Trade eastbound" and the other showing the data analysis results for the 2021-2022 regular contract summary for that same Trans-Pacific Trade eastbound. Otherwise denied.

614.2. Exhibit 66 contains 23 graphs that were specifically prepared for this litigation. See Lam Dep. Tr. 227:22-228:8 [APP-1395]; Dep. Ex. 66 at OOCL_0000254115-OOCL_0000254137 [APP-3122-3144].

RESPONSE: Admitted that Exhibit 66 was prepared during the course of and for use in OOCL's defense of the claims brought by BBY.

614.3. Exhibit 67 contains 22 graphs that were specifically prepared for this litigation. See Lam Dep. Tr. 233:23-234:11 [APP-1396-1397]; Dep. Ex. 67 at OOCL_0000254093-OOCL_0000254114 [APP-3145-3166].

RESPONSE: Admitted that Exhibit 67 was prepared during the course of and for use in OOCL's defense of the claims brought by BBY.

614.4. On cross-examination, Karen Lam testified as to Exhibit 66, "it shows that at the beginning of the contract, despite the customers didn't put any CSAL or the CSAL not in place yet, we also confirm the capture or the booking despite we cannot cater to whatever they come and then we accept. And then throughout the years we can see the line sometimes drop to zero. There's a case that there can be a zero CSAL or this is under a blind sailing. So that we also see the gray column with a lot of cases accepted confirmed the booking, accepted over the purple line which represent the CSAL." See Lam Dep. Tr. 230:9-21 [APP-1396]; Dep. Ex. 66 at OOCL_0000254115 [APP-3122].

RESPONSE: Admitted that Karen Lam testified as set forth above.

614.5. On cross-examination, Karen Lam testified as to Exhibit 67, "We repeatedly cross-checked and verified the data to ensure the accuracy for the data to generate this graph." See Lam Dep. Tr. 234:15-17 [APP-1397]; Dep. Ex. 67 at OOCL_0000254093-OOCL_0000254114 [APP-3145-3166].

RESPONSE: Admitted that Karen Lam testified as set forth above.

615. During her deposition, Ms. Lam admitted that she had no personal involvement in the preparation of Exhibits 39, 66, or 67, or the underlying data, nor did she perform the calculations of such data. See Lam Dep. Tr. 240:6-8 (“Q. Ms. Lam, did you personally prepare Exhibit 66? A. No.”), 240:23-25 (“Q. Ms. Lam, you did not personally prepare Exhibit 67, did you? A: I did not.”), 240:23-241:14 (“Q. You do not personally have firsthand knowledge of the data that is in Exhibit 67, do you? A: I do not. And you did not personally review the data sources that went into Exhibit 67, did you? A. I did not. Q. And you didn’t perform any of the calculations for Exhibit 66 or Exhibit 67, did you? . . . A. I did not involve in the calculations.”), Lam Dep. 241:16-242:6 (Q. Ms. Lam, you didn’t personally prepare the charts in Exhibit 39, did you? A. I did not. Q [Y]ou don’t have any firsthand knowledge of the data or numbers that went into Exhibit 39, do you? . . . A. I don’t have the firsthand knowledge ”) [APP-1398].

RESPONSE: Admitted that Karen Lam testified from Hong Kong as set forth above. However, she also testified:

10 **Q. Were you the one who prepared those**
11 **slides?**

12 **A. We are the one to request for the**
13 **information and the data from the company**
14 **information services department. And we have my**
15 **team and my colleague to coordinate and compile**
16 **the slide.**

17 **Q. What are the names of the individual**
18 **employees who prepared those slides?**

19 **A. The slide prepared by Sharon Wong in**
20 **TPT trade and the data provided by a team in**
21 **information services their name Alex Lam, Stanley**
22 **Cheung and Mickey Wong.**

23 **Q. Are all of the individuals that you**
24 **just mentioned based in Hong Kong?**

25 **A. Yes.**

APP 1344 (Karen Lam Tr. at 25:10-25).

22 **Q. Did you communicate with anyone else**
23 **in preparation for your testimony today?**

24 **A. Sharon Wong, she helped me to**
25 **coordinate with the ISD department and also**
2 **helped me to dig out some informations.**

3 **Q. What is the ISD department?**

4 **A. ISD department is the information**
5 **services department. Initial is ISD.**

6 **Q. When was this communication with**
7 **Sharon Wong that you're referring to?**

8 **A. You mean the timing to have Sharon.**
9 **It's been a few months that we tried to fine-tune**
10 **the data given by ISD department. The database**

11 is the same, but we want to show more reality and
12 reflecting more truth from the graph and also
13 verify the data. So she also responsible to
14 cross-check the data at least to see the logic
15 itself is correct.

APP 1346 (Karen Lam Tr. at 30:22-31:15).

13 Q. Who prepared these graphs that are
14 depicted in Exhibit 66?

15 A. Our ISD team I previously mentioned
16 by Alex Lam and together with Stanley Cheung and
17 Mickey Wong.

18 Q. What is your understanding of the
19 accuracy of the information in these graphs?

20 MR. REYNOLDS: Object to form.

21 A. We have repeatedly review also verify
22 by Sharon in my team repeatedly on the data.

APP 1396 (Karen Lam Tr. at 233:13 to 233:22).

2 Q. I wanted to first get an
3 understanding of which OOCL employees were
4 involved in creating these charts?

5 A. In my team I discussed with Sharon
6 Wong, as mentioned she is in the compliance team
7 domiciled in Hong Kong. And she helped me to
8 coordinate based on the agreement and the
9 criteria that appear in the system. So she
10 coordinate with the information services
11 department, the team led by Alex Lam and with the
12 member Stanley Cheung and Mickey Wong.

13 So the data, basically, with all the
14 booking stages and information from our IRIS-4.
15 IRIS-4 is the company enterprise system holding
16 all the booking data. So this is the person
17 involved. Of course, I am also to review the
18 data to ask question to make sure it's up to
19 accuracy, also to ensure it reflect the very true
20 of the scenario.

APP 1385 (Karen Lam Tr. at 188:2 to 188:20).

10 What is your understanding of the
11 accuracy of the information in these two slides?

12 A. Yes, we did have a long, long caring
13 in verifying it from a different angle. We have
14 Sharon also getting the result verified with
15 different angle and repeat the same for the ISD
16 team to reconfirm the accuracy. So that we after
17 that we also split the dry and reefer settlement

18 to ensure that the information given is more
19 clear position. Because the concern and the
20 premium offer mainly on the dry so we have to
21 make sure everything in order.

22 So we have confidence on the data
23 accuracy.

APP 1392 (Karen Lam Tr. at 215:10 to 215:23).

13 Q. Who prepared these graphs that are
14 depicted in Exhibit 66?

15 A. Our ISD team I previously mentioned
16 by Alex Lam and together with Stanley Cheung and
17 Mickey Wong.

18 Q. What is your understanding of the
19 accuracy of the information in these graphs?

20 MR. REYNOLDS: Object to form.

21 A. We have repeatedly review also verify
22 by Sharon in my team repeatedly on the data.

APP 1396 (Karen Lam Tr. at 233:13 to 233:22).

BBBY fails to apprise this tribunal that prior to the close of discovery, OOCL produced sworn declaration by each individual who was involved in the data analysis that led to the creation of Exhibits 39, 66 and 67, and attested to the work undertaken and the accuracy thereof. See OOCL Response to BBBY PFF 613, which is incorporated herein by reference.

616. During her deposition, Ms. Lam admitted that OOCL never conducted analyses as reflected in Exhibits 39, 66, or 67 for any other of OOCL's BCO customers. See Lam Dep. Tr. 244:10-13 ("Q. Has OOCL done any other analyses like Exhibit 39 for other BCOs with respect to the 2020 or 2021 shipping years. A. Not to my knowledge.") [APP-1399].

RESPONSE: Admitted.

617. During her deposition, on cross-examination, OOCL's lawyers walked Karen Lam step-by-step through documents, including Exhibits 39 and 66, OOCL's lawyers prepared for purposes of this litigation by asking Mrs. Lam repetitive and leading questions designed to align her testimony with OOCL's legal theories in this case. See Lam Dep. Tr. 215:24-216:3 ("Q. So I'd like to walk through each of the bullet points that you've referenced in here and ask you to explain to us what each of those mean.") [APP-1392].

RESPONSE: Denied. OOCL's attorney did not ask leading questions.

618. OOCL asked repeated questions to make sure their prepared theories are on the record:

- "Q. What does that mean to you? A. The space provided during the contract year for BBB." See Lam Dep. Tr. 216:5-8 [APP-1392]; Dep. Ex. 39, at 2 [APP-3040].

- “Q. What does that mean to you? A. Because we check the CSAL file as mentioned those data upload to the system, and then we also check through how many blank sailings that incur so we can identify for the respective week with those with the sailing to identify how much CSAL supposed to be given to this contract number.” See Lam Dep. Tr. 216:18-25 [APP-1392]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. This is the booking accept and confirm by OOCL with the booking number exceeding the CSAL number given in the same sailing. So the total 1648 TEU those TEU come above the CSAL or equivalent to 427 cases that we overaccommodating customer booking.” See Lam Dep. Tr. 217:4-10 [APP-1392]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. [W]hat does that mean to you? A. This is the math adding the first item 5095 plus 1658. And there’s no duplication because the booking we did not count with CSAL but only count booking over the CSAL plus supposed to the CSAL we offered. So this is the overall capacity we provided.” See Lam Dep. Tr. 217:22-218:4 [APP-1392-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. We also take into account those bookings rejected below CSAL, there’s 104 TEU or there are 22 cases for this 104 TEU. So we also declare all the information that appear in the data.” See Lam Dep. Tr. 218:9-14 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does this mean to you? A. The total space provided by OOCL from the certain item 6753 minus the rejected CSAL 104, despite we also not agree a hundred percent the rejected TEU below CSAL was under OOCL because there’s many different cases and reasons. However, at the calculation we still consider we did not accept the booking as per CSAL so total space then indicated here is with the 6753 minus 104 equals to 6649 TEU.” See Lam Dep. Tr. 218:19-219:4 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. So what does that mean to you? A. That’s the clear accuracy noted from the agreement particular for TPT eastbound at 7072 TEU.” See Lam Dep. Tr. 219:9-12 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. This is the number in item 5, total space provided by OOCL 6649 divided by 7072 TEU equals to 94 percent.” See Lam Dep. Tr. 219:19-22 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. [W]hat does that mean to you? A. This is the review on the customer fulfillment in terms of the booking numbers versus the MQC.” See Lam Dep. Tr. 219:24-220:3. [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. This is the total booking OOCL received and confirmed by BBB so adding to 5556 TEU.” See Lam Dep. Tr. 220:13-16 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].

- “Q. What does that mean to you? A. So this is the status after OOCL confirm the booking, that bookings under canceled, initiated by the customer. And secondly, under terminated is the customer already picked the empty container, but did not ship on boat. And 7 is no-show bookings means customer did not take any actions after they got the confirmed bookings. So three status adding together equals to 1308 TEU.” See Lam Dep. Tr. 220:21-221:6 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. So the loaded booking means after we confirm the booking in the first item at 5556, but after that some booking being canceled, terminated and also no show. So minus 1308 that equals to final loaded bookings which is 4248 TEU.” See Lam Dep. Tr. 221:11-16 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. This is we identify the unfulfilled TEU after OOCL provide the space. So in the period section we summarize OOCL provides space in a total 6649 TEU, but the total confirmed booking in the second section I think at 5556. So there’s 1093 TEU, despite we have provide but they did not show up not even to book. So this is the unfulfilled numbers.” See Lam Dep. Tr. 221:21-222:5 [APP-1393-1394]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. So this is the percentage comparing the customer confirmed placed the booking and confirmed by OOCL compared to the MQC. So the calculation is 5556 over the MQC 7072 TEU equals to 78.6 percent.” See Lam Dep. Tr. 222:14-19 [APP-1394]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. [W]hat does that mean to you? A. This is the loaded booking compared to the MQC. So from the previous item three loaded bookings at 4248 over MQC 7072 TEU equals to 60 percent.” See Lam Dep. Tr. 222:24-223:4 [APP-1394]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. So the overall loaded bookings compared to the MQC I would say pro rata MQC is only at 58.5 percent so that’s the customer fulfillment.” See Lam Dep. Tr. 226:7-11 [APP-1395]; Dep. Ex. 39, at 1 [APP-3039].
- “Q. What is your understanding of the accuracy of the information in these two slides? A. Yes, we did have a long, long caring in verifying it from a different angle. We have Sharon also getting the result verified with different angle and repeat the same for the ISD team to reconfirm the accuracy. So that we after that we also split the dry and reefer settlement to ensure that the information given is more clear position. Because the concern and the premium offer mainly on the dry so we have to make sure everything in order.” See Lam Dep. Tr. 215:10-21 [APP-1392] Dep. Ex. 39, at 1-2 [APP-3039-3040].
- “Q. What is your understanding of the accuracy of the information in these graphs? A. We have repeatedly review also verify by Sharon in my team repeatedly on the data”; See Lam Dep. Tr. 233:18-22 [APP-1396]; Dep. Ex. 66, at OOCL_0000254115-OOCL_0000254137 [APP-3122-3144].
- “Q. What is your understanding of the accuracy of the information contained in these

graphs? A. We repeatedly cross-checked and verified the data to ensure the accuracy for the data to ensure the accuracy for the data to generate this graph.” See Lam Dep. Tr. 234:12-17 [APP-1397]. Dep. Ex. 67, at OOCL_0000254093- OOCL_0000254114 [APP-3145-3166].

RESPONSE: Admitted that Karen Lam testified as set forth above and denied that the questions asked of her were leading or improper in any way.

619. On October 25, 2024, OOCL produced to BBY a declaration, purportedly executed by Karen Lam and dated August 13, 2024 (the “Lam Declaration”). See OOCL_0000254146, at OOCL_0000254146-OOCL_0000254147 [APP-4351-4352].

RESPONSE: Admitted.

620. The Lam Declaration is not credible.

RESPONSE: Denied. The declaration was sworn under oath by Ms. Lam.

620.1. OOCL’s lawyers self-servingly crafted the Lam Declaration for purposes of this litigation.

RESPONSE: Denied.

620.2. The Lam Declaration was not contemporaneously created during the relevant period in this case (2020-2022).

RESPONSE: Admitted but deny the relevance of the objection.

620.3. The Lam Declaration was executed over a month after Mrs. Lam’s deposition.

RESPONSE: Admitted.

620.4. The Lam Declaration was produced to BBY over three months after Mrs. Lam’s deposition.

RESPONSE: Admitted.

620.5. The Lam Declaration claims personal knowledge of Exhibits 39, 66, and 67, despite Mrs. Lam admitting during her deposition that she has no personal knowledge of those documents. See OOCL_0000254146, at OOCL_0000254146 [APP-4351].

RESPONSE: Denied. Karen Lam reviewed and testified about Exhibits 39, 66 and 67. She reviewed them with her team, and she double-checked the calculations in Exhibit 39. APP 1399 (Karen Lam Tr. at 244:11-13). She testified that she did not have personal knowledge about the underlying data. However, BBY fails to apprise this tribunal that prior to the close of discovery, OOCL produced sworn declaration by each individual who was involved in the data

analysis that led to the creation of Exhibits 39, 66 and 67, and attested to the work undertaken and the accuracy thereof. See OOCL Response to BBY PFF 613, which is incorporated herein by reference.

B. Glenn Metzger

621. Other than a Bachelor of Science from New York University from 1998, Glenn Metzger does not hold any educational degrees. See Metzger Dep. Tr. 163:19-164:4 [APP-1630].

RESPONSE: Admitted, but he has more than twenty years of on-the-job IT experience.

622. Glenn Metzger does not hold any professional licenses. See Metzger Dep. Tr. 164:5-7 [APP-1630].

RESPONSE: Admitted, but he has more than twenty years of on-the-job IT experience.

623. Glenn Metzger's only employment subsequent to completion of his studies at New York University in 1998 has been with OOCL. See Metzger Dep. Tr. 164:8-13 [APP-1630].

RESPONSE: Admitted, but he has more than twenty years of on-the-job IT experience.

624. Glenn Metzger draws an annual salary from OOCL, which is supplemented by a yearly discretionary management bonus. See Metzger Dep. Tr. 164:14-165:12 ("Q. And are you compensated by OOCL for your work? A. Yes. I'm a salaried worker Q. Do you receive any other compensation from OOCL? A. We do have a DMB program, so we receive a discretionary management bonus every year.") [APP-1630].

RESPONSE: Admitted.

625. Glenn Metzger's yearly discretionary management bonus depends in part on Metzger's personal performance. See Metzger Dep. Tr. 165:13-166:6 ("Q. And is that [bonus] dependent on your personal performance? A. That's dependent on personal performance, but also performance of the company.") [APP-1630-1631].

RESPONSE: Admitted.

626. Other than from OOCL, Glenn Metzger does not generate income from any other source. See Metzger Dep. Tr. 166:9-11 [APP-1631].

RESPONSE: Admitted.

627. Glenn Metzger has never served as an expert witness in any litigation. See Metzger Dep. Tr. 168:6-8 [APP-1631].

RESPONSE: Admitted.

628. Glenn Metzger has never been recognized as an expert by a court or any other tribunal. See

Metzger Dep. Tr. 168:9-12 [APP-1631].

RESPONSE: Admitted, but he has more than twenty years of IT experience working with OOCL's computer systems, which systems include the company's enterprise database IRIS-4, is OOCL's Integrated Regional Information System used "for bookings, to capture bookings, to track bookings, to track operations-related items ... So, globally, any OOCL office has access to IRIS, and they can see where bookings are, what bookings are being completed, confirmed, deleted, pending; all that information." APP 1593 (Glenn Metzger Tr. 14:18-15-9).

629. In preparing his analyses produced in this litigation, Glenn Metzger's methodology relied solely on Metzger's experience to look at data within OOCL. See Metzger Dep. Tr. 168:13- 169:20 ("Q. What did you base that methodology on? A. My experience to look at data within OOCL.") [APP-1631].

RESPONSE: Admitted that Glenn Metzger testified as set forth above, but he also has more than 20-years experience working within OOCL's systems. Mr. Metzger possesses the requisite IT and OOCL corporate database experience to undertake the analysis he performed. APP 1591-96 (Glenn Metzger Tr. 7:19-27:11; 28:17-29:5).

Mr. Metzger also authenticated all of the data he relied upon, save for one spreadsheet (Ex. 390), which was separately authenticated by OOCL's Inside Sales Analyst Peter Nash. APP 1618-1622 (Glenn Metzger Tr. 117:15-130:9); RX 000663-664 (Peter Nash Declaration, referencing two spreadsheets, the second of which was provided to OOCL's container liability expert Lars Jensen for review).